BPER:
Gruppo

BPER:
Banca

ANNUAL REPORT 2016.

BPER Banca S.p.A.
Head office in Via San Carlo 8/20, Modena, Italy
Tel. 059/2021111 – Fax 059/2022033
Register of Banks no. 4932
Parent Company of the BPER Banca S.p.A. Banking Group
Registered in the Register of Banking Group with ABI code 5387.6, since 7 August 1992
http://www.bper.it, www.gruppobper.it; E-mail: bpergroup@bper.it - Certified e-mail (PEC): bper@pec.gruppobper.it
Tax Code, VAT number and Modena Companies Register no. 01153230360
Modena Chamber of Commerce 222528 Share capital as at 31/12/2016 € 1,443,925,305.00
Member of the Interbank Deposit Guarantee Fund and of the National Guarantee Fund
Ordinary shares listed on the MTA market

Shareholders' meeting

Modena, 8 April 2017

Agenda

Ordinary part:

1) presentation of the draft Financial statements for 2016 and related reports; presentation of the Consolidated Financial statements; related resolutions;
2) appointment of eight Directors;
3) proposal of the Directors' Remuneration for 2017; related resolutions;
4) presentation of the Remuneration Report pursuant to art. 123-*ter* of Legislative Decree 58 dated 24 February 1998, comprising the Remuneration policies for 2017 of BPER Banca Group and annual disclosure regarding implementation of remuneration policies for 2016; related resolutions;
5) proposal of the remuneration plan pursuant to art. 114-*bis* of Legislative Decree no. 58 dated 24 February 1998, implementing the Remuneration policies for 2017 of BPER Banca Group; related resolutions.

Contents

Consolidated financial statements as at 31 December 2016

Attachments

Certifications and other reports

BPER Banca S.p.A.

Directors and officers of the Parent Company at the date of approval of the financial statements

Board of Directors

Chairman:		Luigi Odorici
Deputy chairmen:	*	Alberto Marri
	*	Giosuè Boldrini
Chief Executive Officer:	*	Alessandro Vandelli
Directors:		Mara Bernardini
	*	Ettore Caselli
		Pietro Cassani
		Cristina Crotti
	*	Pietro Ferrari
		Elisabetta Gualandri
		Costanzo Jannotti Pecci
		Giovampaolo Lucifero
		Giuseppe Lusignani
		Roberto Marotta
		Valeriana Maria Masperi
		Margherita Perretti
		Valeria Venturelli

(*) Members of the Executive Committee

Board of Statutory Auditors

Chairman:	Antonio Mele
Acting Auditors:	Carlo Baldi
	Diana Rizzo
	Francesca Sandrolini
	Vincenzo Tardini
Substitute Auditors:	Giorgia Butturi
	Gianluca Spinelli

General Management

General Manager:	Fabrizio Togni
Deputy General Managers:	Eugenio Garavini Pierpio Cerfogli Gian Enrico Venturini Claudio Battistella

Manager responsible for preparing the Company's financial reports

Manager responsible for preparing the Company's financial reports:	Emilio Annovi

Independent Auditors

PricewaterhouseCoopers s.p.a.

Chairman's Message to the Shareholders' Meeting

In 2016, Italian economic recovery continued, even if at a lower rate than that of the Euro-zone, while there was an improvement in lending in the retail sector. Alongside these positive elements, there were still some factors of uncertainty in Italy, linked to insufficient growth in demand for productive investments that limited the possibilities for a more rapid recovery as well as to a need for more incisive implementation of structural reforms.
The albeit moderate recovery in the economy has had positive effects on indicators of credit quality, while Italian banks have generally improved their capital requirements and have experienced a reduction in non-performing loans. In the meantime, there has been an increase in coverage rates thanks to a prudent provisioning policy.
Very low interest rates and a high level of competition in our traditional business serving customers continued to exert pressure on the return on banks' assets, though the intensity gradually fell, while the stock market registered a high level of volatility. In these difficult circumstances, BPER Banca's share price in 2016 was one of the least penalised, having outperformed the index for the sector by more than 10%.

During 2016, the delicate situation concerning certain Italian banks was addressed by means of a series of measures aimed at overcoming the emergency and by restoring stability, which we hope will resolve the critical issues that had arisen. The banking system contributed to the pursuit of this key objective with a very significant financial commitment.
In a general framework that marked an improvement, but not without its difficulties, for our Banking Group, the past year marked a turning point for the better: mortgage loans to households and businesses increased by more than 18%, while there was a sharp slowdown in the flow of new problem loans, which will presumably continue in 2017. This set of positive factors should support the prospects of profitability in the near future, while the implementation of major structural changes continued.
Worth noting is the transformation of the Bank's legal form from a cooperative into a company limited by shares, in accordance with Law no. 33 of 24 March 2015. This important change was submitted to the Extraordinary Shareholders’ Meeting on 26 November 2016 that approved it along with the consequent adoption of new articles of association. The resolution was adopted by a vast majority in the presence of 4,071 shareholders (in person, by proxy or by legal representation): the votes in favour reached 99.80% of the votes cast. It should be remembered that, after the transformation, no withdrawal requests were submitted by the shareholders.

In the meantime, the internal efficiency plan continued, with the implementation of the Business Plan for 2015-2017, which all of the Bank's structures made a considerable joint effort to develop during the year just ended, with decidedly positive results. Among the main activities, worth remembering is the management of non-performing loans: at the centre of the initiatives started, were the operations of the Group company "BPER Credit Management", which has been operative since January 2016.

The Business Plan, which represents an important programme of growth and renewal, also includes the progressive and ever more effective affirmation of the new "BPER Banca" brand, adopted in 2015, which is an immediate expression of the Bank's new market positioning. The objective is to combine the strength of a national bank with an in-depth knowledge of the territories in which customers live, working with them side by side.

Staff deserve a mention as they, at all levels, have worked with great intensity and team spirit to make the Bank increasingly efficient and modern, simplifying the Group structure and making the most of all possible cost and revenue synergies.

The BPER Banca Group has a solid financial position, with a CET1 Ratio (the main indicator) of 13.80% under the transitional arrangements (13.27% on a fully phased basis). This is at the top end of the Italian banking system, well above the European Central Bank's minimum requirement following the 2016 Supervisory Review and Evaluation Process (SREP) of 7.25% that has been in force as from 1 January 2017. This positive result was achieved partly due to the approval by the ECB of the internal credit risk measurement models. The picture is completed by a leverage ratio that is one of the best in the system and liquidity ratios that are well over 100%.

BPER Banca is even more solid in terms of capital; it tends to be much admired in any comparison with other banks of a similar size and has created the conditions to carry on growing in the future, to everyone's considerable satisfaction, preparing to also consider growth assumptions for external lines, if there are valid prerequisites to achieve them.

The gratifying result that we have achieved shows that the Bank is still managing to address this complex period in history with an increasing sense of responsibility, conscious of the role that it has to play in providing financial support for the economic development of the areas that it serves.

The BPER Banca Group's main objectives are to maintain an adequate level of financial solidity, to strengthen traditional banking profitability and to hold down operating costs. It is not unreasonable to say, once again, that the resources and efforts that we have dedicated to give us a Bank that confirms its status as one of the best and most important cooperatives in the country, have created a solid foundation on which to take advantage of any opportunities that the recovery may offer.

Directors' Report on Group operations


BPER:
Banca
:Inizio
La tua idea di futuro raccontala a una banca solida
che sa ascoltare, capire e fare.
Vicina. Oltre le attese.
www.bper.it
800 20 50 40
Seguici su

Contents

1. The macroeconomic context

1.1 Background

Rather than macroeconomic upheavals, 2016 will mainly be remembered for the unexpected political surprises, such as the vote in favour of the United Kingdom's exit from the European Union (Brexit) and the election of Donald Trump as President of the United States, as well as the lesser than expected reactions of financial markets.
Worldwide GDP in 2016, according to Prometeia projections (December 2016 Forecast Report), was expected to increase by 2.8% year-on-year, down slightly on the prior year growth rate (3.1%).
Our comments on the main macro areas are as follows.

In the United States, after a slow start (quarter on quarter annualised growth in GDP for the first half of +0.8%) the second half of the year saw a strong acceleration thanks to growth in consumer spending sustained by a healthy labour market that ended 2016 close to full employment. Nonetheless, growth in the year just ended is expected to be close to 2%, which is quite disappointing when compared to the trend recorded in the years prior to the crisis of 2008. High levels of public and private debt, the polarisation of wealth with growing inequalities between rich and poor and demographic factors have in fact pushed down the GDP of the world's largest economy (and not only that). This resulted in inflation being lower than desired by the Federal Reserve, even though, thanks to a macro improvement towards the year end and the appointment of Trump as president (synonymous with greater infrastructure investment, lower taxes on businesses and households and significant deregulation), the trend of the latter in the fourth quarter was decidedly upwards. One of the contributory factors was the favourable statistical effect of crude oil prices, which rose steadily in 2016 in comparison to prices that were lower than 40$ per barrel at the end of 2015 (and compared to the multi-year lows in February 2016).

As regards the Euro-zone, growth estimates for 2016 (source Prometeia) are in the region of 1.7% thanks to a discrete first quarter (+0.5% quarter on quarter) followed by slightly weaker figures for subsequent quarters. The growth in GDP benefited from the favourable trend in consumer spending, boosted by improvements in the labour market and by low prices. Also of help was the weakness of the Euro against the US dollar, as well as the ECB's widely expansionary monetary policy (both in terms of the level of official interest rates and of monthly liquidity injections via quantitative easing).

Italy saw the year end with a GDP growth rate close to 1%, which was an improvement on 2015, but which pales in comparison to growth in the member states of the European Monetary Union and in nearby (and in some ways similar) countries, such as Spain. Political uncertainty and the lack of visibility concerning the future impede the start of a virtuous circle in which growth feeds on itself. Here also, the drivers of growth were consumer spending and exports, followed by some expenditure on plant and machinery, but with the construction sector having been a strong point of weakness. Inflation remained negative (deflation) throughout the year and only in December 2016 did it rise (+0.5% Year on Year). In 2016, there was an average annual decrease in consumer prices (-0.1%): this is the first time that this has happened since 1959 (when the decrease was -0.4%). Core inflation, calculated excluding fresh foods and energy products, remained positive (+0.5%), although its growth had slowed compared to the 2015 figure (+0.7%).

Decidedly more fluctuating and discontinuous was the trend recorded by the emerging nations, whereby, after the fears encountered at the beginning of the year, substantial control was exerted over the planned slowdown in the Chinese economy, there was a notable decrease in the fall in Russia's GDP (-0.9% vs -3.7% in 2015) and an ongoing weakness attributable to Brazil, the economy of which remained burdened by political events (and uncertainties). From an analysis of the CESI Emerging Markets index, which summarises trends in macroeconomic data for the area, compared to analysts' expectations, one may conclude that, towards the end of 2016, there was a significant improvement in the state of health of these countries, which appear, to most people, to be less vulnerable when faced with adverse factors such as the strengthening of the U.S. dollar, growth in U.S. interest rates and more or less accentuated protectionism that President Trump wishes to introduce. According to the International Monetary Fund, GDP is expected to grow in 2016 by 4.1% (as was the case in 2015), while forecast growth for 2017 is expected to rise to 4.5%.

(%)

	GDP			Inflation (annual average)			Unemployment (annual average)		
	2015	2016e	2017f	2015	2016e	2017f	2015	2016e	2017f
U.S.A.	2.6	1.6	2.4	0.1	1.1	1.9	5.3	4.9	4.9
Japan	0.6	0.8	0.8	0.8	(0.3)	0.2	3.5	3.0	2.9
European Monetary Union	1.9	1.7	1.5	-	0.2	1.4	10.9	9.9	9.5
Italy	0.6	0.9	0.7	-	(0.1)	1.2	11.9	11.6	11.4
Germany	1.5	1.7	1.6	0.1	0.3	1.4	4.7	4.2	4.2
France	1.2	1.2	1.2	0.1	0.3	1.3	10.4	10.1	9.9
Spain	3.2	3.2	2.2	(0.6)	(0.5)	1.6	22.1	19.8	17.8
UK	2.2	2.0	1.3	-	0.8	2.7	5.4	4.8	4.9
China	6.9	6.7	6.2	1.5	1.8	2.7	n.a.	n.a.	n.a.
India	7.3	6.9	7.2	5.6	8.5	9.6	n.a.	n.a.	n.a.

Key:
e: estimate
f: forecast

Source: IMF for GDP, Prometeia for inflation, Bloomberg Professional (OUTL function) for unemployment.

1.2 Public-sector finance

The public administrations' deficit is forecast to fall in 2016 to 2.4% of the GDP from the 2015 figure of 2.6%. The debt/GDP ratio is thus expected to be just 0.1 percentage points higher than the estimate of 2.3% indicated in the 2016 Stability Programme, notwithstanding a downward revision of growth estimates of 0.4 percentage points. In fact, the trend in tax revenue is in line with, if not better than, the original forecasts, thanks to solid growth in domestic demand and the effectiveness of new VAT withholding methods, which were introduced in 2015. Primary expenditures are in line with previous estimates and, at the end of 2016, interest expenditures were expected to be slightly lower than forecast.

In the recent Update Note to the 2016 Economic and Financial Document, the deficit for 2017 was revised upwards from 1.8% of GDP to 2.0% of GDP. The government, however, has requested an intervention by Parliament, which, effective 12 October, had authorised a further increase in the deficit by up to a maximum of 0.4 percentage points of GDP, in order to meet the extraordinary costs associated with immigration, the earthquake in central Italy and an investment plan to render buildings and infrastructure earthquake-proof that cannot be postponed on account of the fact that the region is being more frequently hit by earthquakes.

As regards the debt-to-GDP ratio, the recent revision of national accounts data performed by Istat on 23 September 2016 led to a reduction in the ratio for 2015 from 132.7% to 132.3%. However, the forecast for 2016 was increased with respect to the Stability Programme from 132.4% to 132.8%. This slight deterioration was due to a more modest growth forecast for nominal GDP, which has been revised from 2.2% to 1.8%, as well as a significant reduction in forecast proceeds from privatisations in 2016.
The debt-to-GDP ratio has been forecast to fall over the three year period 2017-2019 to 126.7% in the last year of the planning scenario. The government is firmly committed to the achievement of a greater reduction in medium/long-term borrowing, not only through primary surpluses, but also through budgetary policy aimed at nominal growth in GDP.

Public-sector finance balance *(% of GDP)*	2015	2016e	2017f
Net borrowing	2.6	2.4	2
Borrowing	132.3	132.8	132.5

Key:
e = estimate
f = forecast

Source: "Update of the 2016 Economics and Finance Document" approved by the Council of Ministers on 27 September 2016.

1.3 The financial market and interest rates

In 2016, financial markets were strongly influenced by a series of important events of both an economic and political nature. After the initial months that were characterised by a marked risk aversion mainly caused by fears tied to the state of health of the Chinese economy and by a fall in oil prices (that subsequently rose again vigorously), the year continued with the expansion of quantitative easing by the ECB and, above all, with the surprising outcome of key political events: the yes to Brexit, which signalled the United Kingdom's desire to exit the EU and Donald Trump's rise to the White House. All of this led to a fairly fluctuating trend in the markets, even though the net change in various asset classes was positive. Government bonds were more adversely affected, especially longer-dated bonds and, after an initial rally favoured by monetary policy decisions by the Bank of Japan and then by the ECB, they started to reflect a general increase in inflation expectations, tighter fiscal policies and a gradual change in central banks' strategy that was less focused on the compression of interest rates. As often happens, equity markets moved in a fairly uneven, although positive manner, while the best performers were High Yield corporate bonds and bonds pertaining to emerging nations. On the macroeconomic front, growth in global GDP, which in the second half of 2016 had started heading in a better direction compared to that experienced in the first half, was largely unchanged compared to prior year.

Stock market

As far as stock markets are concerned the best performances in the last two months of the year were achieved by the major markets in developed countries - against all expectations – following Trump's victory. In fact, stock exchanges had decided to look confidently at the effects the new administration's expected fiscal stimulus measures could have on U.S. growth and, as a consequence, on the rest of the world. On Wall Street, it was thus possible to celebrate another positive year (S&P 500 +9.5%) as was also the case in London (FTSE 100 +14.4%) notwithstanding Brexit. In the Euro-zone, Paris and Frankfurt closed with a moderate rise, while the Italian FTSE MIB index (-10.2%) paid the price of massive exposure to the financial sector. In fact, 2016 was definitely an annus horribilis for Italian banks: new European bailout rules, ECB Supervisory Authority requirements, the amount of non-performing loans recognised in financial statements and earnings issues tied to increasingly lower interest rates together helped to create a mix nothing short of explosive. Despite the year end rally having encompassed the Japanese stock market, driven in particular by the weakening of the yen, the Topix index closed 2016 slightly down. As always, the emerging countries' scenario was very varied: vis-à-vis an excellent performance in Russia (+26.8%) and Brazil (+38.9%), driven in particular by a recovery of commodities, currency tensions and non-placated fears concerning the state of health of the economy did not help the Chinese stock market, which ended 2016 with a fall of over 10%.

Bond market

2016 proved to be a two-faced year for bond markets. In the early months, due to tensions originating in China and a further drop in oil prices, yields on government bonds fell significantly and, in various countries, they reached an all-time low, often with negative yields. The phenomenon was particularly significant in the Euro-zone, where, following the ECB's decision to strengthen its quantitative easing by increasing its monthly purchases to Euro 80 billion of Euro (that were then again reduced in December to 60 billion, although the term of the plan was extended) and by expanding the range of purchasable securities to corporate bonds, part of the latter were able to benefit from being traded - and in some cases from primary market issues - at yields below zero. The fall in yields underwent a change of course in the second half of the year, when yields started rising just about everywhere, driven by an upturn in energy commodity prices and a consequent reawakening of inflation expectations. A further rise in yields was caused by initial signs of a change in monetary policy strategy by central banks, which gradually became aware of the adverse collateral impact arising from exceptionally compressed rate curves that were dangerously not very steep. Lastly, the outcome of the U.S. presidential election, in light of the fiscal stimulus policies promised by Trump, has led to a revision of growth and inflation expectations in the U.S.A. and, as a consequence, throughout the rest of the world. In December, the Federal Reserve intervened, as expected, by increasing official interest rates, at the same time letting it be known, in light of the new situation that had arisen after the election, that there would likely be greater interventionism in 2017. The net effect of these fluctuations in government bonds mostly led to rising yields (Italian 10-year BTPs, which at the start of the year offered a gross yield of 1.60%, ended 2016 offering a yield of 1.81%; U.S. 10-year bonds, which offered 2.27% at the start of the year, ended with a yield of 2.44%). Only in a few areas, including Germany, an opposite movement was recorded, whereby the BTP-Bund spread widened, going from 97 bps at the beginning of the year to 161 bps at the end of 2016. Riskier bonds (corporate bonds, both investment grade and high yield bonds, and emerging market bonds) followed this alternation of events, performing well in the first months of the year and then partly falling thereafter. All the above categories closed 2016 with a widely positive performance, with U.S. high yield bonds, which, thanks to improved prospects offered by the energy sector, having recorded the best performance. Lastly, interbank interest rates, depressed by the expansionary measures taken by the ECB (particularly the cut in the deposit rate which was lowered in March to -0.40%), ended 2016 at their all-time lows: - 0.32% for the 3-month Euribor and -0.22% for the 6-month Euribor.

Foreign exchange market

On the forex front, the most significant movement among the major currencies was that recorded by the GB pound, which, due to the outcome of the Brexit referendum, fell against the Euro by 13.50%. An upturn in commodities favoured the strengthening of those currencies closely linked to commodity trends: of the emerging currencies, the Brazilian real and the Russian rouble distinguished themselves (+26% and +24.1%, respectively, against the Euro), while, among the developed countries, there was a much more modest strengthening of the Canadian dollar, Norwegian krone and the New Zealand dollar. 2016 also saw a continuation of the rising trend of the U.S. dollar against the Euro, albeit to a lesser extent than in the prior two years. The movement occurred in the last weeks of the year - subsequent to the U.S. presidential election - when the dollar rose mainly against the Japanese yen and the Euro, ending the year with an annual rise of 3.3%. In addition to the expansionary promises made by the new President, a contributory factor to the strength of the dollar was the expected acceleration by the Federal Reserve of its normalisation of interest rates.

On the commodities front, after a sharp initial fall, 2016 saw a general change of course, driven by the energy commodities sector and by industrial metals. A sign of greater discontinuity with previous years arrived, without a shadow of a doubt, from oil prices. Despite a sharp downturn at the beginning of 2016, with Brent crude oil prices having crashed to their lowest in thirteen years to under 30 dollars a barrel, crude oil ended with its finest performance since 2009, up by 52.4%. After two years of extremely severe crisis, the main cause for optimism in the sector was OPEC: in fact, the Organization of the Petroleum Exporting Countries, after numerous failed attempts, managed to regroup by deciding to significantly cut production, a decision that also involved Russia and other countries outwith the group.

1.4 The banking system and domestic interest rates

2016 was once again a very challenging year for the Italian and European banking systems. The aftermath of the 2007-2008 crisis and of the 2011 crisis suffered by the peripheral Euro-zone countries continue to make themselves felt as far as margins, earnings and the quality of lending are concerned. All of this has taken place within a legal and regulatory framework that is increasingly more rigid and new, as well as within a framework of changes made necessary by technological advances. Nevertheless, some signs existing at the year end (a rise in interest rates, a steeper yield curve, an upturn in the global macroeconomy etc.) provide hope for an improvement in the economic environment in the current year even with all the appropriate caveats. Gross bad loans, which are one of the key issues faced by our banks, were again close to Euro 200 billion.

Loans[1]

According to the latest ABI monthly report that was issued in December 2016, in November of that same year the amount of loans granted to customers by banks operating in Italy came to Euro 1,814.5 billion,

[1] *Source: Bank of Italy Economic Bulletin 1/2016*

an amount that is much higher, by almost Euro 151 billion, than total customer deposits of Euro 1,663.8 billion.
More specifically, as far as bank loans are concerned, the November 2016 numbers have confirmed the continuation of the improvement in the trend of loans to households and businesses. The annual change recalculated including loans not recognised in the financial statements of banks since they have been securitised and excluding changes in balances not linked to transactions (for example, changes due to exchange rate fluctuations, adjustments to carrying amounts and reclassifications) shows an increase of 1.1%, which is higher than the prior month figure of 1%. Based on the latest official data relating to October 2016, confirmation has been provided, inclusive of existing loans, of an upturn in the market for mortgage loans, for which there has been a rise in disbursements of new loans. The total amount of mortgage loans granted to households has increased by 1.7% with respect to October 2015 (when there were already signs of improvement).

Net bad loans (net of writedowns already made by banks with their own resources) at the end of October 2016 came to Euro 85.5 billion, being a reduction of 4% compared to the high of Euro 89 billion at the end of December 2015.

In November 2016 there was a further reduction in interest rates applied to customer loans: the average interest rate applied to total loans was 2.90%, reaching a new all-time low (it was 6.18% prior to the crisis, at the end of 2007). The average interest rate applied to new house purchase loans came to 2.06%, close to the all-time low of 2.02% that was recorded in September 2016 (5.72% at the end of 2007). Of the total disbursements of new mortgage loans, approximately two thirds were fixed rate mortgage loans. The average interest rate applied to new business loans came to 1.67%, versus 5.48% at the end of 2007.

Funding[2]

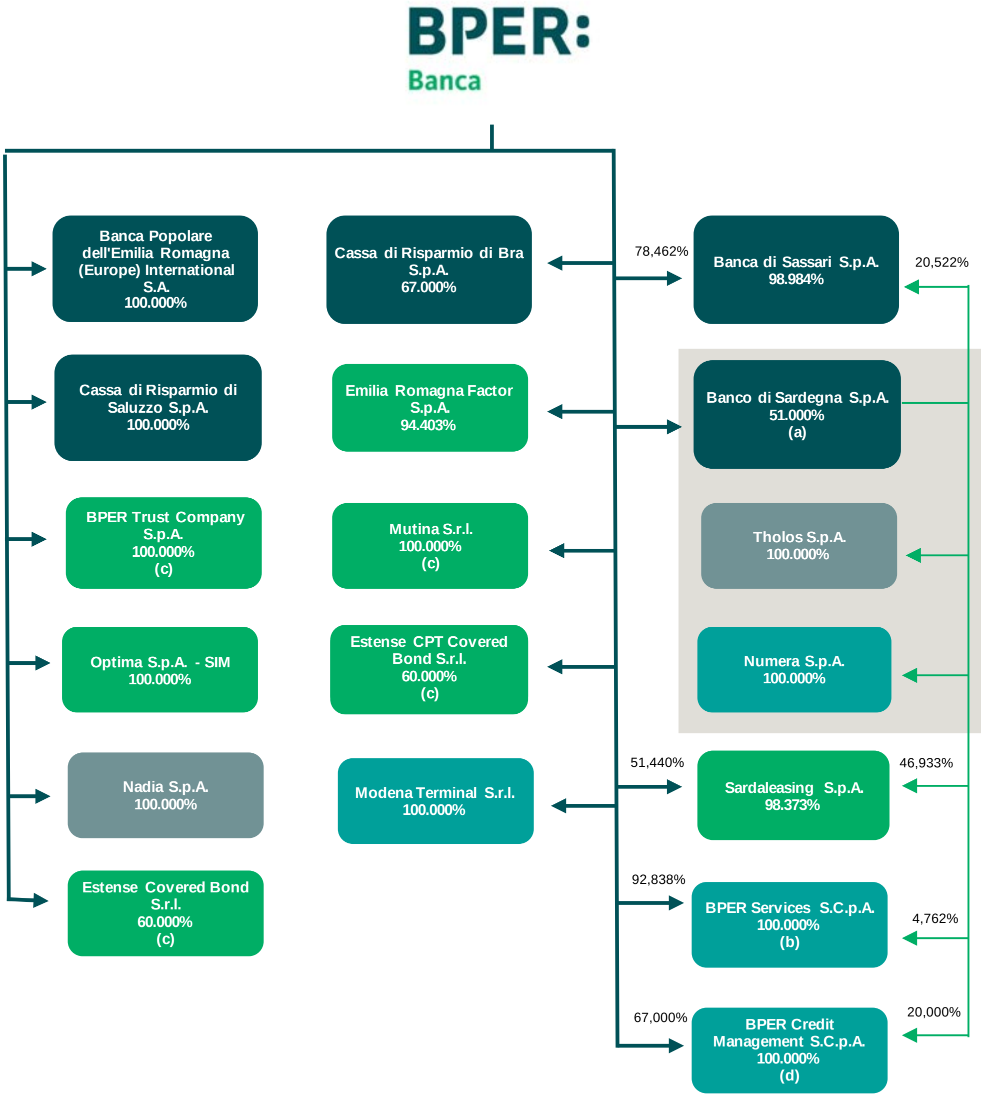
Moving on to deposits (current accounts, certificates of deposit and repurchase agreements) the ABI report indicates an increase at the end of November 2016 of more than Euro 56 billion compared to prior year (year-on-year change of +4.4%), whereas it confirmed a decrease in medium-long term deposits, being those pertaining to bonds, of almost Euro 70 billion over the last 12 months (-18%). The trend in total funding (deposits from resident customers and bonds) recorded in November 2016 showed a year-on-year change of -0.8%. From the end of 2007, which was prior to the crisis, to the present day, customer deposits have gone up from Euro 1,513 billion to Euro 1,663.8 billion, an increase in absolute terms of more than Euro 151 billion.
The average interest rate as of November on total customer deposits (sum of deposits, bonds and repurchase agreements in Euro to households and non-financial companies) stood at 1% (down on the figure at the end of 2007 of 2.89%) due to:

- the interest rate on deposits (current accounts, savings deposits and certificates of deposits), which reached 0.41%;
- the yield on bonds of 2.75%;
- the interest rate on repurchase agreements of 1.16%.

[2] *Source: ABI Monthly Outlook – December 2015*

2. Key figures

2.1 BPER Group structure as at 31 December 2016



a) Equivalent to 50.669% of the entire Capital Stock consisting of ordinary, preferred and savings shares, the latter being non voting shares.

b) The following Companies also are shareholders of BPER S.C.p.A :
- Banca di Sassari S.p.A. (0.400%);
- Optima S.p.A. SIM (0.400%);
- Sardaleasing S.p.A. (0.400%);
- Cassa di Risparmio di Bra S.p.A. (0.400%);
- BPER Credit Management S.C.p.A (0.400%)
- Cassa di Risparmio di Saluzzo S.p.A (0.400%)

c) Subsidiary companies consolidated under the equity method.

d) The following Companies also are shareholders of BPER Credit Management S.C.p.A :
- Sardaleasing S.p.A. (6.000%);
- Banca di Sassari S.p.A. (3.000%);
- Cassa di Risparmio di Bra S.p.A. (2.000%);
- Emilia Romagna Factor S.p.A. (1.000%);
- Cassa di Risparmio di Saluzzo S.p.A. (1.000%);

In addition to the above members of the banking group, the scope of consolidation also includes the following subsidiaries companies which are not members of the banking group since they do not contribute directly to its activities.
These companies are consolidated under the equity method:
- **the Parent Company:**
  - Adras S.p.A. (100%);
  - Italiana Valorizzazioni Immobiliari S.r.l. (100%);
    - Polo Campania S.r.l. (100%);
    - Sifà S.p.A. (35%).
- **Nadia S.p.A.:**
  - Galilei Immobiliare S.r.l. (100%).
- **Italiana Valorizzazioni Immobiliari S.r.l.:**
  - Costruire Mulino S.r.l. (100%);
  - Frara S.r.l. (100%).

2.2 Summary of results

2016 closed with an increase in ordinary profitability[3], with profit for the year of Euro 71.5 million (Euro 62.1 million for the year ended 31 December 2015) excluding extraordinary items and contributions made to the Resolution and Deposit Guarantee Funds. Reported profit for the year came to Euro 14.3 million (Euro 220.7 million for the year ended 31 December 2015).
Revenue from continuing operations fell by 3.64% compared to prior year and was more than offset by a reduction in net adjustments to loans (-12.19%).
Worth noting is the continuous improvement in asset quality with the help of particularly conservative provisioning policies. Specifically, the gross stock of non-performing and bad loans has decreased, thanks to a number of bad loan assignments - by a total gross amount of approximately Euro 700 million during the year, without a significant impact on profit or loss - carried out as part of a broader strategy for the management of non-performing loans.
The coverage ratio of total non-performing loans comes to 44.54%, representing an increase on the 2015 year end figure of 44.22% (+32 bps) despite the above significant bad loan assignments.
Net lending to customers increased significantly by 4.10% compared with last year, with a strong increase in new disbursements of mortgages and personal loans.

As regards the figures in the income statement, note that in the summary versions that follow as well as in paragraph 2.4, reference is made to the reclassified Consolidated financial statements[4] in which indirect tax recoveries, which are allocated for accounting purposes to *"Other operating income"*, have been reclassified as a reduction in the related costs and contributions to the SRF, DGS and FITD-SV funds have been shown separately from the specific accounting technical forms to give a better and clearer representation of the trend in the Group's operating costs.
The profit from current operations before tax amounts to Euro 10.5 million in the year (Euro 213.5 million at 31 December 2015).
Operating profit amounted to Euro 2,067.3 million, down by 12.79% on 2015. In particular:

- net interest income is down by 4.65% mainly due to short-term interest rates that are now structurally negative and that have negatively affected the performance of the total spread: in this context, the gradual and steady decline in the cost of funding was still unable to offset the decline in asset yields;
- net commission income fell by 1.92%, mainly due to commission from loans and guarantees (-3.00%) and from collections and payment instruments (-6.58%), while commissions on indirect deposits and "bancassurance" remained broadly in line with the previous year's figures;
- there was a positive net result from financial activities (excluding dividends), which amounted to Euro 120 million, influenced by extraordinary income of Euro 37.6 million relating to a significant gain[5] recognised by the Group as part of the reorganisation of the Group involving Visa Europe Ltd.

Operating costs fell by 2.98% compared to the figure for the year ended 31 December 2015, which included extraordinary costs for redundancy incentives and the Solidarity Fund of Euro 58.6 million; on a comparable basis, operating costs increased by 1.58%.
Net adjustments to loans and other financial assets are 10.67% down on the previous year.ù

---

[3] *Reference should be made to the details provided at the end of this chapter*
[4] *Paragraph 2.4 below provides the reconciliation required by CONSOB communication DEM/6064293 of 28 July 2006.*
[5] *Proceeds of Euro 20.8 million collected by Banca di Sassari upon the sale of its investment in Visa Europe and Euro 16.8 million collected by BPER Banca as the earn-out on the sale of an equity interest in ICBPI in 2015.*

In the balance sheet:

- net lending to customers of Euro 45,494.2 million increased by 4.10% compared to the figure at 31 December 2015 due to entry into scope of consolidation of Cassa di Risparmio di Saluzzo (CR Saluzzo) and a sharp increase in disbursements of mortgages and personal loans;
- direct deposits (Euro 47,747.9 million) increased by 1.04%, with a loans/deposits ratio of 95.28% (92.48% at 31 December 2015);
- indirect deposits (Euro 32,871.0 million) turned in a good performance, with an increase of 8.22%, mainly attributable to assets under management (+10.59%). The stock of insurance policies (Euro 4,434.7 million), which are not included in indirect deposits, also turned in a significant increase (+17.75%).

The capital ratios have been calculated taking into account the internal model (AIRB) methodology for the credit risk requirement, as follows:

- Common Equity Tier 1 Ratio (Phased In) of 13.80% (14.47% at 30 September 2016 and 11.54% at 31 December 2015). This Ratio calculated on a fully phased basis comes to 13.27% (14.13% at 30 September 2016 and 11.21% at 31 December 2015);
- Phased In Tier 1 Ratio of 13.89% (14.56% at 30 September 2016 and 11.65% at 31 December 2015);
- Total Capital Ratio (Phased In) of 15.21% (15.98% at 30 September 2016 and 12.80% at 31 December 2015).

Leverage ratios:

- transitional arrangements (Phased In) of 6.7% (7.1% at 30 September 2016 and 31 December 2015);
- full application (Fully Phased) of 6.5% (6.9% at 30 September 2016 and 31 December 2015).

Liquidity levels higher than the required minimums:

- Liquidity Coverage Ratio (LCR) of 102% (123.4% at 30 September 2016 and 136.1% at 31 December 2015);
- Net Stable Funding Ratio (NSFR) of 104.3% (106.6% at 30 September 2016 and 110.9% at 31 December 2015).

Note

The ordinary profitability reported at the beginning of this chapter was determined as follows:

(in thousands)

Description	2016	2015
Net profit for the period	**14,299**	**220,661**
Extraordinary income and expenses for 2016:		
- total impact on the income statement	41,866	(165,141)
- minority interests	(1,043)	(9,416)
Contributions to the Resolution and Deposit Guarantee Funds:		
- total impact on the income statement	18,213	17,631
- minority interests	(1,826)	(1,660)
Net profit for the period attributable to ordinary profitability	**71,509**	**62,075**

Details are provided below of the main extraordinary items in 2016 and 2015 that contributed to the result

2016.

Extraordinary income in 2016:

- *The Group reorganisation involving Visa Europe Ltd (described in the chapter on "Significant events and strategic transactions") gave rise to extraordinary income that was recognised in profit or loss for the year ended 31 December 2016 under caption 100 b) amounting to Euro 37.6 million (before tax estimated at Euro 2.6 million), of which Euro 20.8 million relates to a gain recognised by Banca di Sassari on the sale of its investment in Visa Europe to Visa Inc. and of which Euro 16.8 million relates to the earn-out collected by BPER Banca concerning the sale of its equity interest in ICBPI that took place last year.*

Extraordinary expenses in 2016:

- *The item "Adjustments to AFS securities" (130 b of the Income statement) includes the impairment on the entire amount paid (including the payment made on 3 January 2017, recognised in the 2016 financial statements) to the Atlante Fund (Euro 28.3 million, or 34.8% of the amount paid), and the contribution paid to the FITD-SV for the intervention in favour of CariCesena (Euro 2.5 million);*
- *Euro 34.9 million before the tax effect (Euro 23.4 million net of taxes) for the extraordinary contribution to the Single Resolution Fund ("SRF") in connection with the resolution plan for the four banks, called on 29 December and equal to two further annual instalments for 2016; this contribution has been recorded under item 180 b) "Other administrative expenses"; even if not yet paid, but ascertained as a liability to the Resolution Authority;*
- *goodwill impairment of Euro 32.9 million.*

2015.

Extraordinary income in 2015:

- *Euro 174.3 million gross of the tax effect (Euro 162.2 million net of taxes) relating to the sale of a 9.1422% stake in Istituto Centrale delle Banche Popolari Italiane (ICBPI), completed on 18 December 2015;*
- *Euro 69 million (neutral tax effect) relating to the transfer of the interest in ARCA SGR from the "Available for sale - AFS" portfolio (asset caption 30) to "Equity investments" (asset caption 100), with an impact on the Consolidated financial statements only and not on the Separate financial statements of BPER Banca, following the increase of the interest in the company from 19.998% to 32.752% completed on 22 December 2015.*

Extraordinary expenses in 2015:

- *Euro 58.6 million before taxes relating to extraordinary costs for redundancy incentives and the Solidarity Fund at 31 December 2015;*
- *Euro 40 million before taxes (Euro 26.8 after taxes) for the extraordinary contribution to the Single Resolution Fund ("SRF") required by Directive 2014/49/EU in force since 1 January 2015, recorded under caption 180 b) "Other administrative expenses".*

Extraordinary income and expenses for 2016

(in thousands of Euro)

Description	Income statement caption	1Q16	2Q16	3Q16	4Q16	Total 2016
1) Gain on the sale of the interest in VISA by Banca di Sassari	100 b) - Gain on disposal of AFS financial assets	-	20,764	-	-	20,764
2) Earn-out for the sale of ICBPI (Cartasì - see above for description of the transaction)	100 b) - Gain on disposal of AFS financial assets	-	9,440	2,738	4,674	16,852
3) Impairment of the share of the Atlante Fund	130 b) - Net adjustments to AFS securities	-	-	-	(28,262)	(28,262)
4) Extraordinary contributions to FITD-SV Volunteer Scheme (CariCesena)	130 b) - Net adjustments to AFS securities	-	-	-	(2,568)	(2,568)
5) Extraordinary contributions to the single resolution fund (SRF)	180 b) - Other administrative expenses	-	-	-	(34,932)	(34,932)
6) Goodwill impairment	260) – Adjustments to goodwill	-	-	-	(32,854)	(32,854)
Total non-recurring income and expenses		**-**	**30,204**	**2,738**	**(93,942)**	**(61,000)**
Total tax effect	290) Income taxes	-	(7,523)	(190)	26,847	19,134
Total impact on the income statement		**-**	**22,681**	**2,548**	**(67,095)**	**(41,866)**
Minority interests						(1,043)

Extraordinary income and expenses for 2015

(in thousands of Euro)

Description	Income statement caption	1Q15	2Q15	3Q15	4Q15	Total 2015
1) Sale of the investment in ICBPI	100 b) – Gain on disposal of AFS financial assets	-	-	-	174,259	174,259
2) Transfer of the investment in ARCA SGR to Equity investments from the AFS portfolio	100 b) – Gain on disposal of AFS financial assets	-	-	-	68,993	68,993
3) Extraordinary costs for redundancy incentives and the Solidarity Fund (2015-17 Business plan)	180 a) - Payroll costs	-	(1,767)	(52,518)	(4,339)	(58,624)
4) Extraordinary contributions to the single resolution fund (SRF)	180 b) - Other administrative expenses	-	-	-	(40,000)	(40,000)
Total non-recurring income and expenses		-	**(1,767)**	**(52,518)**	**198,913**	**144,628**
Total tax effect	290) Income taxes	-	584	17,368	2,561	20,513
Total impact on the income statement		-	**(1,183)**	**(35,150)**	**201,474**	**165,141**
Minority interests						(9,416)

In addition, the following is a list of the contributions made to the Resolution and Deposit Guarantee Funds for 2016:

(in thousands of Euro)

Description	Income statement caption	1Q16	2Q16	3Q16	4Q16	Total 2016
Ordinary contributions to the Single Resolution Fund ("SRF")	180 b) - Other administrative expenses	(15,000)	(90)	-	-	(15,090)
Ordinary contributions to the Deposit Guarantee Scheme ("DGS")	180 b) - Other administrative expenses	-	(14)	(17,607)	708	(16,913)
Recovery for provision to the Solidarity Fund	190) Provisions for risks and charges	-	-	-	3,980	3,980
Recovery for provision to FITD Tercas 2015	220) Other operating income	-	-	-	775	775
Total expenses		**(15,000)**	**(104)**	**(17,607)**	**5,463**	**(27,248)**
Total tax effect	290) Income taxes	4,961	35	5,823	(1,784)	9,035
Total impact on the income statement		**(10,039)**	**(69)**	**(11,784)**	**3,679**	**(18,213)**
Minority interests						(1,826)

and 2015:

(in thousands of Euro)

Description	Income statement caption	1Q15	2Q15	3Q15	4Q15	Total 2015
Ordinary contributions to the Single Resolution Fund ("SRF")	180 b) - Other administrative expenses	-	(10,250)	(315)	(2,791)	(13,356)
Ordinary contributions to the Deposit Guarantee Scheme ("DGS")	180 b) - Other administrative expenses	-	-	(8,540)	342	(8,198)
Provision to the Solidarity Fund (Stability Law 2016)	190) Provisions for risks and charges	-	-	-	(3,980)	(3,980)
Provision to FITD Tercas 2015	190) Provisions for risks and charges	-	-	-	(775)	(775)
Total expenses		-	**(10,250)**	**(8,855)**	**(7,204)**	**(26,309)**
Total tax effect	290) Income taxes	-	3,390	2,928	2,360	8,678
Total impact on the income statement		-	**(6,860)**	**(5,927)**	**(4,844)**	**(17,631)**
Minority interests						(1,660)

Worth noting are the transfers between accounts that took place in the fourth quarter of 2015 compared with the previous quarters:

1) contribution to the Deposit Guarantee Schemes (DGS) required by Directive 2014/59/EU in force since 3 July 2015, calculated for the third quarter of 2015 in € 8.5 million under caption 190 "Net provisions for risks and charges", redefined and reallocated for accounting purposes to caption 180 b) "Other administrative expenses" on payment and recognition of the actual amount due (€ 8.2 million).

2) contribution to the "Single Resolution Fund ("SRF") required by Directive 2014/49/EU in force since 1 January 2015 (€ 10.5 million) recognized in the second quarter of 2015 under caption 190" Net provisions for risks and charges", reallocated for accounting purposes to caption 180 b) "Other administrative expenses" in the fourth quarter of 2015 on payment and recognition of the actual amount due (€ 13.3 million).

2.3 Performance ratios

Financial ratios	31.12.2016	31.12.2015
Structural ratios (%)		
net loans to customers/total assets	70.04%	71.34%
net loans and advances to customers/direct deposits from customers	95.28%	92.48%
financial assets/total assets	21.11%	18.88%
fixed assets/total assets	2.13%	2.21%
goodwill/total assets	0.56%	0.62%
direct deposits/total assets	88.07%	86.15%
deposits under management/indirect deposits	49.55%	48.48%
financial assets/tangible equity[6]	2.72	2.25
total tangible assets[7]/tangible equity	12.79	11.83
net interbank lending/borrowing (in thousands of Euro)	(8,130,867)	(4,435,679)
number of employees	11,635	11,447
number of national bank branches	1,200	1,216
Profitability ratios (%)		
ROE	0.30%	4.57%
ROTE	0.33%	5.10%
ROA (net profit/total assets)	0.02%	0.36%
Cost/income ratio[8]	61.29%	55.09%
Net adjustments to loans/net loans to customers	1.36%	1.62%
Basic EPS	0.030	0.459
Diluted EPS	0.030	0.459
Risk ratios (%)		
non-performing exposures/net loans to customers	13.62%	14.54%
net bad loans/net loans to customers	6.61%	6.81%
net unlikely to pay loans/net loans to customers	6.69%	7.15%
net past due loans/net loans to customers	0.32%	0.58%
adjustments to non-performing exposures/gross non-performing exposures	44.54%	44.22%
adjustments to bad loans/gross bad loans	57.25%	58.16%
adjustments to unlikely to pay loans/gross unlikely to pay loans	23.49%	21.88%
adjustments to past due loans/gross past due loans	7.80%	10.02%
adjustments to performing exposures/gross performing exposures	0.47%	0.54%
texas ratio[9]	111.58%	111.98%

[6] *Tangible equity = total shareholders' equity net of intangible assets.*
[7] *Total tangible assets = total assets net of intangible assets.*
[8] *The cost/income ratio has been calculated on the basis of the layout of the reclassified income statement (operating expenses/operating income); the figure at 31 December 2015 has been restated to take into account that the caption "Contributions to the SRF funds, DGS, FITD-SV" has been added to this scheme. When calculated on the basis of the layouts provided by Circular no. 262 of the Bank of Italy the cost/income ratio is at 65.52% (58.98% as at 31 December 2015).*
[9] *The texas ratio is calculated as the relationship between total gross non-performing loans and net tangible equity, including minority interests, increased by total provisions for non-performing loans.*

Financial ratios	31.12.2016	31.12.2015
Own Funds (Phased in)[10]		
Common Equity Tier 1 (CET1)	4,497,645	4,629,088
Own Funds	4,958,045	5,133,802
Risk-weighted assets (RWA)	32,593,235	40,101,688
Capital and liquidity ratios[11]		
Common Equity Tier 1 Ratio (CET1 Ratio) - Phased in	13.80%	11.54%
Tier 1 Ratio (T1 Ratio) - Phased in	13.89%	11.65%
Total Capital Ratio (TC Ratio) - Phased in	15.21%	12.80%
Common Equity Tier 1 Ratio (CET1 Ratio) - Fully Phased	13.27%	11.21%
Leverage Ratio - Phased in[12]	6.7%	7.1%
Leverage Ratio - Fully Phased[13]	6.5%	6.9%
Liquidity Coverage Ratio (LCR)	102.0%	136.1%
Net Stable Funding Ratio (NSFR)	104,3%	110.9%

Non-financial ratios	31.12.2016	31.12.2015
Productivity ratios (in thousands of Euro)		
direct deposits per employee	4,103.82	4,128.22
loans and advances to customers per employee	3,910.11	3,817.82
assets managed per employee	1,399.75	1,286.45
assets administered per employee	1,425.44	1,366.99
core revenues[14] per employee	161.85	170.72
net interest and other banking income per employee	173.02	202.50
operating costs per employee	113.35	119.43

[10] *The comparative ratios at 31 December 2015 are presented in the pro-forma version, taking into account the share of profit realized in the second half of 2015 that is allocable to equity (€ 118.6 milion, equal to around 30 bps).*
[11] *See previous note.*
[12] *The ratio is calculated according to the provisions of Regulation (EU) 575/2013 (CRR), as amended by the Commission Delegated Regulation (EU) 2015/62.*
[13] *See previous note*
[14] *Core revenues = net interest income + net commission income.*

2.4 Summary schedules

In accordance with CONSOB's requirements contained in Communication DEM/6064293 of 28 July 2006, we provide details of aggregations and reclassifications compared to the standard income statement format provided in the Bank of Italy's Circular no. 262/2005:

- *"Net result from financial activities"* includes items 80, 90, 100 and 110 in the standard reporting format;
- indirect tax recoveries, allocated for accounting purposes to item 220 *"Other operating charges/income"*, have been reclassified as a reduction in the related costs under *"Other administrative expenses"* (Euro 118,704 thousand at 31 December 2016 and Euro 123,302 thousand at 31 December 2015);
- *"Net adjustments to property, plant and equipment and intangible assets"* include captions 200 and 210 in the standard reporting format;
- *"Net impairment adjustments to AFS and HTM financial assets"* includes captions 130 b) and 130 c) in the reporting format;
- *"Gains (losses) on equity investments, disposal of investments and adjustments to goodwill"* include captions 240, 260 and 270 in the reporting format.
- "Contributions to the DGS, SRF and FITD-VS funds" has been shown separately from the specific accounting technical forms to give a better and clearer representation, as well as to leave caption 180 b) *"Other administrative costs"* as a better reflection of the trend in the Group's operating costs. Specifically, the amount shown under this caption for the year ended 31 December 2016 of Euro 73,478 thousand represents the component allocated for accounting purposes to administrative costs to the caption 180 b) *"Other administrative expenses"* (Euro 78,233 thousand):
    - 2016 ordinary contribution to the SRF (Single Resolution Fund) for Euro 15,090 thousand;
    - 2016 contribution to the DGS (Deposit Guarantee Scheme) for Euro 16,913 thousand;
    - the contribution to the FITD-SV (Voluntary Scheme) for the intervention on behalf of Banca Tercas for Euro 11,298 thousand;
    - extraordinary contributions to the SRF (Single Resolution Fund) for Euro 34,932 thousand;

  and from the accounting recovery of the provision made to the Solidarity Fund in 2015 (Euro 3,980 thousand, allocated to caption 190 *"Net provisions for risks and charges"*) as paid by ordinary DGS contributions and of the guarantee expired as part of the Banca Tercas transaction (Euro 775 thousand, recognised under caption 220 *"Other operating income/expenses"*).

  At 31 December 2015, on the other hand, the captions concerned were 180 b) *"Other administrative expenses"* for Euro 61,554 thousand (Euro 13,356 thousand for the ordinary contribution to the SRF, Euro 8,198 thousand to the DGS and Euro 40,000 thousand for the extraordinary contribution to the SRF) and 190 *"Net provisions for risks and charges"* for Euro 4,755 thousand, relating to estimated contributions to the Solidarity Fund (Stability Law 2016), and for the voluntary scheme established under the Interbank Deposit Guarantee Fund to finance the new intervention in favour of Banca Tercas.

Please note that the caption "Contributions to the SRF, DGS and FITD-VS funds" has been included from 30 June 2016 and that the comparative figures at 31 December 2015 have therefore been restated with respect to those published at the time of the Consolidated financial statements at 31 December 2015. The table showing the reclassified quarterly figures has also been adjusted to this approach.

Consolidated reclassified income statement as at 31 December 2016

(in thousands of Euro)

Captions		31.12.2016	31.12.2015	Change	% Change
10+20	Net interest income	1,170,447	1,227,541	(57,094)	-4.65
40+50	Net commission income	712,722	726,693	(13,971)	-1.92
70	Dividends	9,872	15,953	(6,081)	-38.12
80+90+100+110	Net trading income	119,999	347,884	(227,885)	-65.51
220 (*) (**)	Other operating charges/income	54,238	52,502	1,736	3.31
	Operating income	**2,067,278**	**2,370,573**	**(303,295)**	**-12.79**
180 a)	Payroll	(769,149)	(825,053)	55,904	-6.78
180 b) (*) (***)	Other administrative costs	(417,217)	(400,622)	(16,595)	4.14
200+210	Net adjustments to property, plant, equipment and intangible assets	(80,595)	(80,249)	(346)	0.43
	Operating costs	**(1,266,961)**	**(1,305,924)**	**38,963**	**-2.98**
	Net operating income	**800,317**	**1,064,649**	**(264,332)**	**-24.83**
130 a)	Net impairment adjustments to loan	(619,750)	(705,799)	86,049	-12.19
130 b)+c)	Net impairment adjustments to financial assets available for sale and held to maturity	(51,811)	(27,343)	(24,468)	89.49
130 d)	Net impairment adjustments to other financial assets	12,497	(4,658)	17,155	-368.29
	Net impairment adjustments	**(659,064)**	**(737,800)**	**78,736**	**-10.67**
190 (****)	Net provisions for risks and charges	(32,648)	(47,382)	14,734	-31.10
###	Contribution to SRF, DGS, FITD-SV	(73,478)	(66,309)	(7,169)	10.81
240+260+270	Gains (Losses) from equity instruments, on disposal of investments and adjustment to goodwill	(24,583)	356	(24,939)	--
280	**Profit (Loss) from current operations before tax**	**10,544**	**213,514**	**(202,970)**	**-95.06**
290	Income taxes on current operations for the period	5,270	5,718	(448)	-7.83
320	**Net profit (loss) for the period**	**15,814**	**219,232**	**(203,418)**	**-92.79**
330	Net profit (loss) pertaining to minority interests	(1,515)	1,429	(2,944)	-206.02
340	**Profit (Loss) for the period pertaining to the Parent Company**	**14,299**	**220,661**	**(206,362)**	**-93.52**
	Caption net of:				
(*)	Recovery of taxes	118,704	123,302	(4,598)	-3.73
(**)	Accounting recovery of the guarantee expired as part of the Banca Tercas transaction	775	-		
(***)	Contribution to SRF, DGS, FITD-SV	(78,233)	(61,554)	(16,679)	27.10
(****)	Contribution to SRF, DGS, FITD-SV	3,980	(4,755)	8,735	-183.70

The numbers corresponding to the item in the financial statements have been given next to each entry in order to facilitate reconciliation of the items in the reporting format required by Bank of Italy Circular no. 262/2005 with the reclassified income statement.

(in thousands of Euro)

Captions		1st quarter 2016	2nd quarter 2016	3rd quarter 2016	4th quarter 2016	1st quarter 2015	2nd quarter 2015	3rd quarter 2015	4th quarter 2015
10+20	Net interest income	296,800	293,576	285,728	294,343	314,095	308,370	302,036	303,040
40+50	Net commission income	177,083	181,035	174,803	179,801	179,203	180,650	177,844	188,996
70	Dividends	86	8,732	338	716	249	13,583	457	1,664
80+90+ 100+110	Net trading income	15,662	49,064	25,518	29,755	46,058	15,463	20,361	266,002
220 (*)	Other operating charges/income	15,538	16,430	13,605	8,665	15,443	9,269	12,274	15,516
(***)	**Operating income**	**505,169**	**548,837**	**499,992**	**513,280**	**555,048**	**527,335**	**512,972**	**775,218**
180 a)	Payroll	(196,586)	(201,655)	(176,168)	(194,740)	(199,322)	(196,883)	(232,374)	(196,474)
180 b) (*) (***)	Other administrative costs	(101,125)	(102,758)	(106,098)	(107,236)	(93,620)	(103,392)	(95,698)	(107,912)
200+210	Net adjustments to property, plant and equipment and intangible assets	(17,084)	(20,443)	(17,943)	(25,125)	(17,330)	(17,087)	(17,495)	(28,337)
	Operating costs	**(314,795)**	**(324,856)**	**(300,209)**	**(327,101)**	**(310,272)**	**(317,362)**	**(345,567)**	**(332,723)**
	Net operating income	**190,374**	**223,981**	**199,783**	**186,179**	**244,776**	**209,973**	**167,405**	**442,495**
130 a)	Net impairment adjustments to loans	(114,167)	(161,935)	(124,578)	(219,070)	(147,504)	(150,237)	(127,156)	(280,902)
130 b)+c)	Net impairment adjustments to financial assets available for sale and held to maturity	(3,678)	(3,524)	(4,948)	(39,661)	(6,347)	(2,552)	(7,563)	(10,881)
130 d)	Net impairment adjustments to other financial assets	(3,666)	14,888	3,097	(1,822)	3,879	(4,997)	(348)	(3,192)
	Net impairment adjustments	**(121,511)**	**(150,571)**	**(126,429)**	**(260,553)**	**(149,972)**	**(157,786)**	**(135,067)**	**(294,975)**
190 (***)	Net provisions for risks and charges	(9,621)	(12,504)	(5,791)	(4,732)	(14,096)	(12,439)	(6,585)	(14,262)
###	Contributions to SRF, DGS, FITD	(15,000)	(11,402)	(17,607)	(29,469)	-	(10,250)	(8,855)	(47,204)
240+260 +270	Gains (Losses) on disposal of investments and adjustments to goodwill	3,193	(4,077)	2,462	(26,161)	(1,773)	7,173	(6,846)	1,802
280	**Profit from current operations before income tax**	**47,435**	**45,427**	**52,418**	**(134,736)**	**78,935**	**36,671**	**10,052**	**87,856**
290	Income taxes on current operations	(14,104)	(13,689)	(12,838)	45,901	(27,234)	(7,367)	(2,313)	42,632
320	**Net profit (loss) for the period**	**33,331**	**31,738**	**39,580**	**(88,835)**	**51,701**	**29,304**	**7,739**	**130,488**
330	Net profit (loss) for the period pertaining to minority interests	(2,356)	2,029	(3,162)	1,974	(6,504)	(1,270)	1,616	7,587
340	**Profit (Loss) for the period pertaining to the Parent Company**	**30,975**	**33,767**	**36,418**	**(86,861)**	**45,197**	**28,034**	**9,355**	**138,075**

	Captions net of:								
(*)	Recovery of taxes	30,405	28,899	29,385	30,015	30,864	31,763	30,804	29,871
(**)	Accounting recovery of the guarantee expired as part of the Banca Tercas transaction	-	-	-	775	-	-	-	-
(***)	Contributions to SRF, DGS, FITD	(15,000)	(11,402)	(17,607)	(34,224)	-	-	-	(61,554)
(***)	Contributions to SRF, DGS, FITD	-	-	-	3,980	-	(10,250)	(8,855)	14,350

3. Significant events and strategic transactions

3.1 Strategic transactions

"Dinamo" project: Banco di Sardegna acquired 55 branches from Banca di Sassari and then transferred direct control to BPER Banca

On 22 March 2016, Banco di Sardegna s.p.a. (BdS) and BPER Banca announced that they had approved the transfer of 59.2% of Banca di Sassari s.p.a. (BSS) from BdS to BPER Banca.

The acquisition of direct control by the Parent Company is part of a project called "Dinamo" in line with the 2015-2017 Business Plan, which saw the following transactions carried out in the second quarter of 2016:

- *Sale of a business unit*

On 20 May 2016 BSS and BdS, both belonging to the BPER Banca Group, signed an agreement for the sale of the business unit, effective from 23 May 2016, consisting of a group of assets organised to carry on banking activities in the 55 BSS branches, all located in Sardinia, except for one which is in Rome.

The operation was designed to concentrate and rationalize the distribution network, especially in Sardinia, with Banca di Sassari focusing on consumer finance activities and Monetica on servicing the BPER Banca Group's distribution network by creating a specialised centre of excellence.

The total price provisionally agreed upon for the sale of the business unit was initially set at Euro 190.9 million.

Following a better quantification of the financial position and the actual accounting results at the effective date of sale, the final price for the transaction was set at Euro 78.3 million. The Consolidated financial statements of the sub-holding BdS show a Euro 3.3 million writedown of goodwill related to BSS.

- *Transfer of direct control of Banca Sassari to BPER Banca*

The transfer of 59.2% of the shares in BSS from BdS to BPER Banca was completed on 23 May 2016. As a result of this purchase, the Parent Company's investment in BSS rose from 18.311% at 31 March 2016 to 77.511%, thereby acquiring direct control over BSS as of that date. Banco di Sardegna's holding therefore decreased from 79.722% to 20.522%.

At 30 June 2016 BPER Banca's ownership in BSS rose again to 78.459%, after individual shareholders' acceptance of the purchase proposal made to them by the Parent Company (0.948%).

The consideration for the sale of this shareholding was determined by the Boards of Directors of BdS and BPER Banca with the help of their respective independent financial advisors, based on a valuation of 100% of BSS's share capital after the sale of the business unit of Euro 360 million (Euro 5.80 per share). BdS has been paid a consideration of Euro 213 million on 23 May 2016 that generated a gain of Euro 69 million, with no impact on the Group's Consolidated financial statements as it was an intercompany transaction.

The transfer of the shareholding qualifies as a transaction between related parties and associated persons. Both banks have therefore carried out the procedural formalities to comply with the relevant regulations. BPER Banca, as parent company, has opted for the exemption applicable to intercompany transactions.

The information document prepared pursuant to art. 5 of CONSOB Regulation 17221/2010 has been made available to the public by BdS, under the terms and in the manner provided for by law, at its registered office, at the company that runs the stockmarket (Borsa Italiana s.p.a.), in Bit Market Services's

NIS-STORAGE storage device (www.emarketstorage.com) and on the website of Banco di Sardegna (www.bancosardegna.it - Related Parties section).

BPER Banca participated in the increase in share capital of Release s.p.a.

On 17 March 2016, Release s.p.a.'s shareholders meeting approved a paid increase in capital of Euro 200 million by means of an issue at par of 200,000,000 shares, each with a par value of Euro 1.00. The transaction was reserved for shareholders who wished to take part by exercising an option right by 29 April 2016.

At the Shareholders' Meeting date, BPER Banca had an interest in Release of 10.84%. Having considered the aim of the capital increase and having taken account of the agreed run-off route for Release s.p.a. that BPER Banca had ensured at the time of the restructuring of Italease Group, on 22 April 2016 the Parent Company exercised its option right for 21,680,000 shares, with a total disbursement of Euro 21.7 million, thus maintaining the above interest.

BPER Banca acquires control of Cassa di Risparmio di Saluzzo

On 13 April 2016, BPER Banca and Fondazione Cassa di Risparmio di Saluzzo ("Fondazione") signed a "share sale and purchase agreement", the effectiveness of which was subject to obtaining the necessary authorisations from the competent Authorities and completing the procedures required by law, with a view to allowing "Cassa di Risparmio di Saluzzo s.p.a." ("CRS") to join the BPER Banca Group.

At the time of signing of the contract, BPER Banca held 31.02% of CRS, while the other 66.98% was held by the Fondazione (the residual 2% referred to a minority shareholder).

The contract envisaged BPER Banca buying another 46.98% of CRS's share capital held by the Fondazione, giving BPER Banca a 78% controlling interest, with the additional commitment by the Fondazione to acquire the remaining 2% from the minority shareholder and then sell it to BPER Banca.

At 30 September 2016, the Parent Company obtained the necessary permissions from the competent Authorities and on 4 October 2016, the contract for the transfer of 48.98% of CRS (the Fondazione had in the meantime acquired 2% from a minority shareholder) has been implemented, thus enabling BPER Banca to increase its interest from 31.02% to 80% with the Fondazione maintaining a 20% interest.

An Extraordinary Shareholders' Meeting was held on 10 October 2016 in Saluzzo; the Meeting approved the change in CRS's Articles of Association, indicating that it had joined the BPER Banca Group, with the appointment of a new Board of Directors to replace the previous one that had resigned in the meantime, as well as a new Board of Statutory Auditors.

On 23 December 2016, the Fondazione exercised its put option (granted under the agreements for Cassa di Risparmio di Saluzzo s.p.a. to join the BPER Group) for the sale of its shares in CRS to BPER Banca, which acquired 20% of the share capital of CRS from the Fondazione, thus increasing its interest from 80% to 100%.

The acquisition of control, for a consideration of Euro 51.9 million, gave rise to the provisional recognition of goodwill of approximately Euro 14 million until the completion of the purchase price allocation (PPA), which is expected, as indicated by the applicable accounting standards, to take place by the end of 2017, in order to determine the portion of which that may be allocated to the financial statement components.

Cassa di Risparmio di Saluzzo is a historical local bank, which was founded in 1901 and which currently operates through a distribution network of 27 branches in the provinces of Cuneo and Turin.

For the BPER Banca Group, the transaction is in line with the strategy pursued since the acquisition of a minority stake in CRS at the beginning of 2006 of strengthening its presence in the Piedmont Region by acquiring local banks with strong links to their historical territory. This transaction, which follows the one

with Cassa di Risparmio di Bra at the beginning of 2013, boosts the project considerably, giving rise to a "regional hub" of 55 branches without any overlaps, seeing as the respective distribution networks are completely complementary.
Joining a banking group of national importance allows CRS to obtain strong financial and operational support, benefiting from significant competitive advantages, also by adopting best practices followed within the Group, and from further diversifying the range of financial products and services offered to its customers. This will allow CRS to cope better with the challenges of an increasingly complex and competitive market, while remaining close to the needs and projects of its customers, with a view to linking its own growth to the economic, social and environmental development of the areas that it serves.
For the Fondazione, the transaction forms part of the initiatives launched for the purpose of compliance with the recommendations of the "ACRI-MEF Protocol".

BPER Banca invests in the Atlante Fund

On 15 April 2016, BPER Banca informed the manager of the Atlante Fund (a closed-end alternative investment fund), Quaestio Capital Management SGR s.p.a Unipersonale, of its commitment to invest Euro 100 million in units of the Fund.
In late April 2016, 100 units of the Fund were assigned to BPER Banca, with a nominal value of Euro 1 million each, for a total amount of Euro 100 million, corresponding to about 2.3535% of the total issue (4,249 units for a total amount of Euro 4,249 million).
At 31 December 2016, as a result of payments or settlements made in the year, there was a balance of Euro 81.1 million allocated to the AFS portfolio in connection with the original formalised commitment of Euro 100 million, which had thus been reduced by Euro 18.9 million.
The sequence of events in the year is as follows:

- 29 April 2016, payment of Euro 39.5 million to participate in the capital increase of Popolare Vicenza;
- 20 June 2016, payment of Euro 20.1 million to participate in the capital increase of Veneto Banca;
- 28 November 2016, payment of Euro 17.8 million with specific reference to the investment relating to Monte dei Paschi di Siena, but subsequent to developments concerning the various means of intervention established for this bank, Quaestio reimbursed the amount (with a slight increase) on 30 December;
- 31 December 2016, settlement of Euro 21.5 million, paid on 3 January 2017, as requested by Quaestio on 19 December 2016, being the consideration for investments in Banca Popolare di Vicenza s.p.a. and Veneto Banca s.p.a. (the portions attributable to BPER Banca were calculated to be Euro 7.1 million and Euro 14.5 million, respectively).

At the reporting date, BPER Banca took note of communications received from Quaestio at the end of January, which provided details of the calculation of the NAV of Euro 819.1 thousand per unit, which was thus broadly in line with the cost incurred, but also of the valuation performed by Deloitte Financial Advisory s.r.l. (independent valuer) of Euro 619.6 thousand per unit, which was thus approximately 24% lower. Having taken account of the foregoing evidence and of the declaration by the valuer that the valuation was subject to significant uncertainty arising from the limited information that was made available and from a valuation methodology that was based solely on market multiples, BPER Banca deemed it correct and prudent to perform its own valuation, which gave rise to a write-down of Euro 28.3 million, gross of the tax effect, equating to 34.83% of the carrying amount that was entirely recognised in profit or loss as an adjustment to "*Financial assets available for sale"*. The residual carrying amount of the investment is thus Euro 52.8 million.

Cross-border merger of EMRO Finance Ireland Ltd with BPER Banca

On 6 May 2016, after having received authorisation from the Supervisory Authority on 22 April 2016, the common draft terms for the cross-border merger by absorption of EMRO Finance Ireland Ltd into BPER Banca was filed with the Modena Companies Register.

The merger was carried out in simplified form as per art. 18 of Legislative Decree no. 108 of 30 May 2008, implementing Directive 2005/56/EC on cross-border mergers of limited liability companies, and art. 2505 of the Italian Civil Code, as the Merging Company holds 100% of the share capital of the Company Being Merged.

The merger was formalised on 21 June 2016 by the Board of Directors of BPER Banca (public deed with registration in the Companies Register, as per art. 2505, para. 2, of the Italian Civil Code), having received authorisation from the Supervisory Authority, pursuant to art. 57 of Legislative Decree no. 385/93.

On 2 August 2016, also pursuant to the decisions taken by the High Court of Ireland, the merger deed for the absorption of EMRO Finance Ireland Ltd by BPER Banca, signed on 25 July 2016, with legal, accounting and tax effect from 1 August 2016, was filed with the Modena Companies Register and all the resulting accounting entries were recorded on that date.

As regards the Consolidated financial statements for the year ended 31 December 2016, the merged company was included in the scope of consolidation via the consolidation of its financial statements for the period ended 31 July 2016 (but only its income statement).

Merger of Frigodocks with Modena Terminal

The share purchase agreement of Frigodocks s.p.a., sole shareholder company based in Campogalliano (Modena) was signed on 11 May 2016 between Modena Terminal s.r.l. (wholly-owned by BPER Banca) and SDM Società Dichiaranti Doganali Modenesi s.r.l. and Arcobaleno Immobiliare s.r.l. for 100% of the company's share capital (whose head office is next to that of the buyer). The merger deed for company's absorption by its parent company Modena Terminal was filed on 30 September 2016, with effect for legal and statutory purposes from the same date and for accounting and tax purposes from 1 January 2016.

Merger of Melior Valorizzazioni Immobili (MVI) with Italiana Valorizzazioni Immobiliari (IVI)

On 13 May 2016 the subsidiary Italiana Valorizzazioni Immobiliari s.r.l. (IVI) held an extraordinary quotaholders' meeting to discuss its absorption of Melior Valorizzazioni Immobili s.r.l. (MVI), both subsidiaries of BPER Banca, which is the sole shareholder.

The merger complies with the policy of simplification of the Group structure and forms part of an integration project between the companies. This will help create advantageous business synergies, while respecting the experience and skills acquired by each of the companies in their respective field of activity, with a view to meeting the demands of a changing market and seizing any opportunities for growth.

The merger transfers to the Merging Company the commitment imposed on the Merged Company under an agreement signed on 28 August 2009 by Meliorbanca s.p.a. (now part of BPER Banca) and Risanamento s.p.a. as part of the latter's debt restructuring under art. 182 *bis*.

The merger does not provide for any increase in capital by the Merging Company, nor any share exchange ratio with the cancellation of the Merged Company's entire share capital, given that both companies have the same sole shareholder.

The merger, which was completed in accordance with art. no. 2504-*bis* second paragraph of the Italian Civil Code, took effect for legal purposes from 22 June 2016, and for accounting and tax purposes from 1 January 2016.

Sale of the investment in Visa Europe

At the end of last year, the Visa Inc. Group (USA) announced its intention to buy out the rest of its former subsidiary Visa Europe, which included among its shareholders Banca di Sassari and CartaSi, the latter controlled by ICBPI which was sold last year by the various participating banks, including BPER Banca. The contract for the sale of ICBPI's shareholding, in connection with the Visa transaction, envisaged an earn-out clause that would fall due within five years from execution of the sale, at which point an additional consideration would be potentially be calculated to take account of "Visa net proceeds".

At the end of the various changes in company holdings and the expected authorisations from the Supervisory Authorities, Visa communicated to Banca di Sassari and CartaSi that the transaction could be concluded and that VISA could purchase the shares held by the banks and companies involved by the end of June 2016.

At 30 June 2016, Banca di Sassari realised a gain from the sale of its shares of Euro 20.8 million against receipt of a component in cash (Euro 15.1 million), the present value of the component deferred for three years (Euro 1.2 million) and valorisation of the component in unlisted Class C preferred shares which are convertible into listed Class A shares (Euro 4.5 million). This gain was booked under caption 100 b) of the income statement.

As regards CartaSi, the consideration received in June 2016 gave rise to the situation envisaged by the agreement for the aforementioned sale of the equity interest in ICBPI by BPER Banca, which gave it the right to receive the earn-out provided for by the agreement. On 20 December 2016 a supplementary and amendment agreement was executed in relation to the agreement entered into 19 June 2015 with Mercury Italy S.r.l. and Mercury UK Holdco Limited, and on 29 December 2016 payment was made of the consideration established as an earn-out of Euro 16.8 million, which has been allocated to income statement caption 100 (at 30 June 2016 an amount of Euro 9.4 million had been ascertained and at 30 September 2016 this had been increased to Euro 12.2 million).

BPER Credit Management (BCM) s.cons.p.a.

In the preparation of the 2015-2017 Business Plan, one of the nodal points was an increase in the efficiency of bad loans recovery by industrialising the process.

The key move in this initiative was the establishment of the consortium company BPER Credit Management (BCM) in which were concentrated all of the analysis and coordination functions related to credit disputes.

The consortium company was set up on 22 December 2015 with its objects being “the recovery and management of non-performing loans and any other operations designed to facilitate their disposal and/or collection” and on 24 December it was registered as part of the Banking Group, as previously disclosed in the 2015 report on operations.

As at 31 December, the members of the consortium, which commenced operations on 1 January 2016, are as follows:

- BPER Banca S.p.A. (67.000%);
- Banco di Sardegna s.p.a. (20.000%);
- Banca di Sassari s.p.a. (3.000%);
- Cassa di Risparmio di Bra s.p.a. (2.000%);
- Sardaleasing s.p.a. (6.000%);
- Emilia Romagna Factor s.p.a. (1.000%);
- Cassa di Risparmio di Saluzzo s.p.a. (1.000%).

In its first year of operations, the consortium's initial focus was to lay solid foundations to implement the strategic objectives laid down by its business plan concerning the Group's bad loans, via a revision of the model for handling non-performing loans aimed at simplification of the organisation and processes.
In April a “Management mandate framework agreement” was signed that regulates the mandate granted by the members of the consortium to the consortium company and which sets out in detail the parties' commitments and, at the same time, Group Regulations were issued for the management and recovery of bad loans.
The Regulations specifically address:

- the new model for the recovery and management of bad loans adopted by BPER Banca Group, based on the operational segmentation of the bad loans portfolio into appropriate classes, on the definition of clear rules for portfolio/managers assignment, on the specialised management of bad loans and on the definition of recovery strategies differentiated according to the assigned class;
- the system for delegation of powers, based on the carrying amounts of bad loans, which have been granted to BCM, within the limits provided for by the “Management mandate framework agreement”, with particular reference to what has been laid down by “Powers and thresholds for the conduct of the consortium's activities”;
- the outsourcing model, the criteria for the identification of collection agencies and the creation of a unique Group list of collection agencies;
- the criteria for the accreditation of external law firms and the creation of a list of accredited firms;
- guidelines relating to provisioning for bad loans;
- the process for handling bad loans.

The Company's streamlined organisational structure and new operating model have given rise to greater effectiveness of strategies for the management of non-performing exposures, as well as a marked improvement in the manner in which services are provided.
In addition to General Management, the current organisation chart encompasses:

- a portfolio management unit that acts as a staff function for General Management that has the task of directing recovery and the operational monitoring of the work performed;
- an administrative control unit responsible for administrative and accounting matters concerning bad loans managed by the consortium;
- an asset management unit that coordinates recovery and management performed by territorial offices in order to optimise the recovery process and to maximise the results achieved thereby;
- an outsourcing management unit that handles relationships with external collection agencies.

Already in the first year, trend data have shown a more than positive trend for the Company's core activities, evidencing the fact that the new operating model, even at its outset, is heading in the right direction.

Sales without recourse of portfolios of non-performing loans

In the second half of the year, BPER Banca Group carried out bad loan assignments for a total of over Euro 700 million ("GBV"), corresponding to approximately 10% of the stock at the beginning of the year, thus completing the planned sales programme for 2016 in full compliance with the goal set for gross stock reduction.
More specifically, the assignments took place as follows:

- On 13 July 2016, BPER Banca Group completed the sale without recourse of an NPL portfolio to two separate investors that specialise in this sector: Algebris NPL Fund (through the SPV as per

Law 130/99, Nemo SPV Srl)[15] and Cerberus European Investments (through the SPV as per Law 130/99, Diesis SPV Srl)[16].

- The NPL portfolio that has been sold consisted of around 15,000 positions for a total gross book value ("GBV") of approximately Euro 450 million at 31 December 2015. The bad loans sold were primarily secured by collateral (87%) and related to corporate counterparties; the unsecured portion (i.e. not backed by collateral) included in the sale amounted to approximately Euro 58 million (13% of the overall portfolio sold) and was made up of around 14,500 positions.
- The sale of NPLs relating to a single corporate group took place in September 2016 for a gross book value of Euro 52 million.
- On 25 October 2016, the sale was completed of an NPL portfolio to Fortress, a leading specialist investor, which operates at a national and international level (the sale was made to Veltro Securitisation Srl, an SPV as per Law 130/99). It consisted of 153 positions due to BPER Banca (66) and to Banco di Sardegna (87) relating to corporate secured loans with an amount due of Euro 56 million and a GBV of Euro 52.3 million (Euro 36.8 million of loans attributable to BPER Banca and Euro 12.3 million of loans attributable to Banco di Sardegna).
- On 22 December a further sale was completed, in this case to J-Invest (an Italian operator specialised in NPLs), regarding a portfolio of corporate secured loans, consisting of no. 68 positions (no. 58 attributable to BPER Banca and no. 10 to Banco di Sardegna) with an amount due, as at 30 September 2016, of Euro 156 million and a GBV of Euro 150.1 million (of which Euro 128.7 million is attributable to BPER Banca), for a consideration of Euro 2.2 million (of which Euro 1.9 million is attributable to BPER Banca and the rest to Banco di Sardegna).

Taking account of the corresponding provisions existing at 30 June 2016, the sales gave rise to a total net loss, which was allocated to income statement caption 100, of Euro 11.1 million (Euro 10.4 million is attributable to BPER Banca and Euro 0.7 million to Banco di Sardegna).
The total net consideration amounted to Euro 111 million.

Nettuno Gestione Crediti s.p.a. – early winding up of the Company

The new organisational solution, with reference to BCM as described above, absorbed, among others, the function of "highly specialised supervision", previously entrusted to Master Servicer Nettuno Gestione Crediti s.p.a. and also realised through the Avia Pervia securitisation operation.
A natural consequence was the early termination of the Avia Pervia operation, completed on 15 December 2015, which was followed by the decision to replace Nettuno Gestione Crediti with BPER Banca in the role of Master Servicer of the Mutina multi-originator securitisation from 1 January 2016.
Another consequence was BPER Banca's decision as the company's sole shareholder not to apply for registration of Nettuno Gestione Crediti s.p.a. in the new Single Register under art. 106 of the Consolidated Banking Act (new version) set up to replace the previous lists (general and special) under arts. 106 and 107 of the Consolidated Banking Act (previous version).
As the company no longer had a mission or reason to exist, BPER Banca, as the sole shareholder, decided to wind up the company in advance by means of the voluntary liquidation procedure. This ended with the Extraordinary General Meeting held on 27 July 2016, which approved the final liquidation accounts at 30 June 2016 presented by the liquidator, and definitive cancellation of the company.

---

[15] *Nemo SPV Srl financed the purchase of the loans via the issue of ABS securities entirely subscribed to by Algebris NPL Fund.*

[16] *Diesis SPV Srl financed the purchase of the loans via the issue of the following ABS securities:*
- *Senior Securities of a nominal amount of 31 million subscribed to by Group banks;*
- *Junior Securities of a nominal amount of 21 million subscribed to by BPER Banca (1 million) and Cerberus European Investments (20 million).*

On completion of its voluntary liquidation that was approved at the beginning of the year, Nettuno Gestione Crediti s.p.a. in liquidation was removed from the Modena Companies Register on 14 September 2016. The residual assets were acquired by the sole shareholder BPER Banca.

3.2 BPER Banca Group's 2015-2017 Business Plan and the new 2018-2021 Business Plan

In February 2015, the Board of Directors of BPER Banca approved the 2015-2017 Business Plan, which will steer the Group's activities over the next three years. The targets for 2017 are:

- a ROTE (Return On Tangible Equity) of 9% and Euro 400 million of "Net profit";
- a CET1 Ratio of 12%;
- a dividend payout ratio of more than 30%.

The Plan, which was given the name *"BECOMING BPER"*, was devised with the close involvement of all Group personnel, who worked together on one single, agreed programme of change, drawing on three strategic guidelines:

- the strengthening of revenues, with objectives for the growth of commission income and the development of lines of business that support the needs of the territories served, households and small and medium-sized enterprises;
- the simplification and greater efficiency of the operational model, due to further rationalisation of the branch network and related organisational controls, the simplification of processes and investment in innovative technologies;
- optimisation of the risk profile, involving targeted evolution of the way the lending process is governed and the implementation of strategies that are tied to the Risk Appetite Framework, as well as more specialisation in the management of impaired loans, partly by the creation of a business unit dedicated to the recovery of non-core assets.

The Plan was determined with reference to the needs of the various stakeholders in the Group (customers, communities, shareholders, regulators and employees).

Subsequent to its approval by the Board of Directors, a Transformation Program was devised in order to put the business plan into practice. This has involved establishing work groups and projects that address each of the three strategic guidelines, with strict monitoring of the time required and the progress made on the various tasks.

In addition, the Group has identified a dedicated project organisation that coordinates the various phases of the process (operational planning, project implementation, monitoring, reporting and the analysis of variances).

Managers have also been identified for the various work groups and related projects, each focused on their specific responsibilities. They are supported by a number of persons, within a matrix-style organisation, who monitor the progress of individual projects. Specific training courses have also been established, together with a virtual community whose primary purpose is to ensure maximum involvement of the persons concerned.

A total of 124 activities had commenced at 31 December 2016 as envisaged by the Plan covering the period 2015-2017. In addition, work continues on 44 activities linked to projects not included in the Plan. Out of no. 168 activities commenced to date, no. 118 have already been completed.

The main planning activities already completed include:

- Presentation of the new brand image and launch of the new advertising campaign.
- Rationalisation and reorganisation of the Sardinian hub with the "Dinamo" Project, which we have already discussed in considerable detail.

- Reorganisation of the distribution network (project "Footprint"), with the preparation of a new distribution model that envisages different branch models, namely:
  - Branches within a micromarket that could be:
    - HUBS (lead branches), in which relationships with Corporates and SMEs that are customers of spoke branches will be centralised and which will cater for the provision of all service models;
    - SPOKES (satellites) which will handle only retail service models (Family, Small Businesses, Personal and Private)
  - Autonomous Branches, that is, those outwith micromarkets, which will continue to cater for the provision of all service models and which could be:
    - Autonomous District: branches within a geographical area included in a logical-commercial grouping called a "District", with a person dedicated to new customer development with the title "District Developer"; the Developers will report to the Area Manager and, according to the area's vocation, may be dedicated to the Individuals segment (Personal/Private) or Businesses;
    - Autonomous Expansion: branches for which it is envisaged there will greater focus on marketing directed at value segments, namely, Personal and/or Corporate, partly through the identification of a new role dedicated to the development of new customers, to be called "Expansion Officer", that could be Individuals (Personal Service Model) or Businesses (Corporate and SME Service Model);
    - Autonomous: for which no dedicated initiative is envisaged.

  The reorganisation of the network has given rise to the closure of 100 branches, of which 42 thereof resulted from the rationalisation and reorganisation of the Sardinian hub (project "Dinamo" as detailed above).
- Migration of Cassa di Risparmio di Bra to the Group's IT system (completed on 26 October 2015), enabling CRB to align itself totally with the Group's models, processes and tools.
- In June 2016, the Bank completed the process of verifying, together with the trade unions, the Group Framework Agreement as signed on 14 August 2015 as a result of which an amount was recognised in the 2015 financial statements of Euro 58.6 million. As far as planned staff reductions are concerned, 2016 saw the departure of 45 resources to which will be added 369 resources as from 1 January 2017.
- A new organisational structure following issuance of the simplification and rationalisation project (referred to as the "Delayering"), which today involves the structures of BPER Banca and BPER Services, but which is intended to redesign the entire structure of the Group, redefining organisation charts and key processes, with a view to simplifying the structure and making processes and operations more efficient and fluid. The redefinition of both companies' organisation charts, which will come into force in January 2017, when the trade union procedure envisaged in the contract has been be completed, entails a substantial reduction in organisational units, which decrease from 650 to 339. The new operating rules have been established using both minimum size criteria and maximum number of reports, to maintain a streamlined and efficiency-oriented structure over time.
- Revision of the model for handling bad loans via the set up of the consortium BPER Credit Management, details of which have been provided in a specific paragraph.

Lastly, note that, in advance of the natural expiry of the current plan, on account of the significant changes that we have seen over the last two years in the macroeconomic, market and interest rate scenario compared to the assumptions underlying the plan, the Bank has decided to start preparing the new 2018-2021 Business Plan, which will be presented by the end of the summer.

3.3 European Single Supervisory Mechanism (SSM)

Regulation (EU) 1024 of 15 October 2013 assigned specific tasks to the European Central Bank (ECB) regarding the prudential supervision of banks in cooperation with the national Supervisory Authorities of the participating countries, within the Single Supervisory Mechanism (SSM).
The ECB accepted the tasks assigned by this Regulation on 4 November 2014; they are performed with assistance from the Bank of Italy, in the manner envisaged in Regulation (EU) 468/2014 of 16 April 2014.
The ECB works closely with the various European Supervisory Authorities including the European Banking Authority (EBA) in particular, since these supervisory authorities and the SSM must perform their functions in compliance with the EBA regulations.
BPER and its Group are among the major European banks supervised directly by the ECB.
Consistent with the European SSM, BPER has organised a process of constant discussion and alignment with the ECB that includes the provision of detailed periodic information flows in response to requests from the Joint Supervisory Team (JST).

- During the first half of 2016, the BPER Banca Group sent the ECB an action plan containing the measures it had decided to take as a result of the review carried out by the ECB in the second half of 2015 in the field of governance, internal controls, risk management and the remuneration system.
- In the same period, in compliance with the indications provided by the regulations for the prudential supervision of banks (Bank of Italy Circular no. 285/2013) and with the regulatory updates introduced in January 2016 by the EBA[17] and the ECB[18] on periodic reporting relating to the capital adequacy assessment process (ICAAP) and the liquidity adequacy assessment process (ILAAP), BPER Banca Group started working on its ICAAP and ILAAP reports, by revising the underlying processes, with the objective of ensuring an effective integration into business practices of the strategic and operational impact of the law and sent them to the European Supervisory Authority as required.
- On 24 June 2016, BPER Banca Group obtained ECB's authorisation to adopt its own internal models ("AIRB") for the measurement of its capital requirements for credit risk, as explained in the paragraph on Own Funds in the chapter entitled "BPER Banca Group's results", with evidence provided of the benefits obtained in terms of capital ratios.
  In the second half of 2016, work started on addressing the observations received from the ECB in its communication containing the use of AIRB methodology for the credit risk requirement and relating to the update to the roll out plan for the internal rating system.
- In December 2015, the BPER Banca Group ended preparing its own 2015 Recovery Plan in line with the provisions of Directive 2014/59/EU (BRRD). After the approval by the Board of Directors, this document was submitted to the European Supervisory Authority, which, in June, provided its feedback on the assessment performed and which was taken into consideration when preparing the 2016 Recovery Plan, for which preliminary activities were started in September 2016.

---

[17] *EBA Consultation Paper – Guidelines on ICAAP and ILAAP information collected for SREP purposes" (11 December 2015), which provides information relating to the ICAAP framework and process, to strategy and the business model, to governance principles and to assessment for ICAAP purposes.*
[18] *"ECB Supervisory expectations on ICAAP and ILAAP and harmonised information collection on ICAAP and ILAAP" (8 January 2016) whereby the Supervisory Authority highlights the need to align ICAAP and ILAAP content to the EBA Guidelines and confirms the particular relevance assumed by this process as part of the SREP.*

In December 2016, BPER Group completed drafting the "2016 Recovery Plan" based on the feedback received from the ECB on 10 June 2016 relating to the assessment performed of the 2015 Recovery Plan.

- We also wish to point out that BPER Banca Group is one of the "significant" credit institutions involved in the ECB's stress testing for 2016, using the same methods as the EBA for testing 51 European banks, the only difference being in publishing the results (they will only be officially published for these banks). The work was completed in July and the results have confirmed the Group's resilience to particularly penalising macroeconomic scenarios, given an impact on the CET1 Ratio under the adverse scenario in 2018 in line with the average for European banks participating in the EBA stress test for which the results of the testing have been made public. If we take into account the validation of internal models, the Group's CET1 Ratio under the adverse scenario in 2018 ranks among the highest of the entire banking system, both in Italy and in Europe.
- In December 2016, the Supervisory Authority issued its overall assessment of the Group as a result of which, on 12 December 2016, BPER issued a press release to inform the market that it had received notification from the ECB of its decision regarding capital requirements.

  As regards the 2016 SREP process and the outcome thereof, the ECB has updated its methodologies for the calculation of the minimum capital requirements, as specified in the document entitled "SSM SREP Methodology Booklet – 2016 edition" published by the Supervisory Authority on 15 December 2016. Specifically, the results of the SREP process concerning capital adequacy are divided into two components: one of which is binding (Pillar 2 Requirement or P2R) as it constitutes an integral part of the minimum capital requirements and, thus, it must always be complied with, whereas the other provides guidance (Pillar 2 Guidance or P2G) and does not form part of the minimum capital requirements as it provides an indication of the level of capital needed to a cope with potential adverse situations; failure to comply with the second component is not thus deemed to be a breach of minimum capital requirements and would not be taken into account for maximum distributable amount ("MDA"); accordingly, there are no explicit reporting requirements such as those for P2R and any breach or an expected breach of P2G triggers only an obligation to notify the ECB. It is not thus possible to directly compare the results of the 2015 SREP process with previous results.

  Based on its review and having taken account of the new SREP methodological approach as described above, the ECB decided that BPER should maintain, as from 1 January 2017, the following consolidated minimum capital ratios:

  - Common Equity Tier 1 Ratio: of 7.25%, consisting of the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 of the European Parliament and the Council on prudential requirements for banks and other financial institutions (4.50%), plus the amount by which CET1 exceeds the minimum requirement in accordance with art. 16 of EU Regulation 1024/2013 (the aforementioned P2R equating to 1.50%) and plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU that has been transposed into national law (1.25%)
  - Total Capital ratio: of 10.75%, consisting of the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 of the European Parliament and the Council on prudential requirements for banks and other financial institutions (8.00%), plus the amount by which CET1 exceeds the minimum requirement in accordance with art. 16 of EU Regulation 1024/2013 (the aforementioned P2R equating to 1.50%) and plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU that has been transposed into national law (1.25%).

In accordance with regulations for the prudential supervision of banks, failure to comply with the CET1 Ratio and Total Capital Ratio minimum requirements would lead to limitations on the distribution of earnings and the need to adopt a plan for the conservation of capital.

The ECB has also confirmed that the Italian Group banks and the Luxembourg bank must constantly meet the requirements for Own Funds and liquidity on the basis of Regulation (EU) 575/2013, of national legislation enabling Directive 2013/36/EU, and of any applicable national liquidity requirement, in compliance with Article 412 paragraph 5 of EU Regulation 575/2013, as well as having authorised the Group, effective as of 1 January 2017, to remove the supplementary specific requirement relating to risk-weighted assets of Banca di Sassari s.p.a., assigned by the Bank of Italy in 2003 and subsequently amended in 2009.

The above quantitative capital objectives were accompanied by the following requests:

- to prepare an assessment of the ability to meet the objectives set out in the Group's business plan for 2015-17 in light of recent changes in the economic and financial scenario;
- to prepare by 31 March 2017 a strategic plan for the management of non-performing loans (NPLs) supported by an operating plan aimed at the management of the high level of the NPLs that takes account of the recent reorganisation of the procedures adopted by the Group for the management of loans of this nature; these plans have to include clear quantitative objectives for the reduction of non-performing loans both gross and net of provisions;
- to provide the ECB with a quarterly report on developments in the period concerning non-performing loans.

The Bank has already taken appropriate steps to comply with the Authority's requests within the prescribed timeframe, having also taken account of the requirements set out in the document entitled “Draft guidance to banks on non-performing loans” published by the ECB in September 2016.

With regard to evaluation activities, investigations or inspections, reference should be made to the section entitled "Other information".

3.4 Contributions to the Single Resolution Fund and the Deposit Guarantee Scheme and developments in the Interbank Deposit Guarantee Fund (voluntary scheme) and Solidarity Fund

Single Resolution Fund (SRF)

On 4 May 2016, the Bank of Italy, in its capacity as National Resolution Authority, sent to BPER Banca and the other Group Banks a request for payment of the contributions for 2016 to be made by 15 June 2016, for a total amount due by the Group of Euro 17.2 million (of which Euro 14.8 million relating to BPER Banca).

The payment request provided an option to pay a portion of 15% (only for 2016) of the contribution due via Irrevocable Payment Commitments (IPC). Intermediaries were required to provide suitable collateral against their irrevocable payment commitments and, for 2016, this has been restricted to cash.

BPER Banca announced that it would take advantage of this option by the 20 May 2016 deadline, sending, as required, all of the documents requested by the National Resolution Authority (Bank of Italy) and to the Single Resolution Board (SRB), which has acknowledged receipt. Both Authorities have subsequently responded positively to the communication.

On 13 June 2016 BPER Banca made the required payments on behalf of all the Group's Italian banks, for a total of Euro 15 million (of which Euro 12.6 million relating to BPER Banca); at the same time, Bper

(Europe) International, the Luxembourg subsidiary, also paid Euro 0.1 million to its National Resolution Authority (CSSF).
Overall, the Group has contributed Euro 15.1 million, recording it as Administrative costs - other administrative costs (under sub-caption "Contributions to SRF, FITD-DGS and FITD-SV"). The Parent Company BPER Banca also recognised Euro 2.2 million as collateral, booked as an interest-bearing guarantee deposit and therefore classified under amounts due from banks.

On 29 December 2016, BPER Banca and the other Group banks received a communication from the Bank of Italy, in its capacity as National Resolution Authority, concerning "Contributions to the Single Resolution Fund".
In its communication, which refers to the requirements of art. 1, paragraph 848 of Law 208 of 28 December 2015 (2016 Stability Law) concerning the management of potential needs to pay additional contributions within the limits laid down by arts. 70 and 71 of Regulation (EU) 2014/806, the Bank of Italy requested payment by the banks, for 2016 alone, of two further annual instalments.
The additional contributions, which are required to meet the forthcoming financial needs of the Fund in connection with the resolution plan for the 4 banks, payable by BPER Banca Group, comprising CR di Saluzzo, amount to Euro 34.9 million (of which Euro 29.6 million is attributable to BPER Banca).
The communication also indicates that the Bank of Italy, by referring to changes to the regulatory framework and, in particular, to Legislative Decree no. 237 of 23 December 2016 (not yet converted into law), which provides for the possibility to recall the contributions in question, in the years subsequent to 2016, reserves the right to communicate, by means of a subsequent measure, the timing and procedure for the payment of the contributions and, in any case, to reconsider the decision taken.
In light of the above communication, on account of having fully complied with IAS 37 and the clarifications provided by IFRIC 21 (existence of an obligating event), at 31 December 2016 it was necessary to recognise the aforementioned extraordinary contributions as administrative costs attributable to 2016 as well as the liability to the Resolution Authority (Bank of Italy) within *"Other liabilities".* This accounting treatment was then formally confirmed by the Bank of Italy in a note issued at the end of January 2017.

Deposit Guarantee Scheme (DGS)

The Deposit Guarantee Scheme (DGS) is foreseen by Directive 2014/49/EU (Deposit Guarantee Schemes Directive – DGSD), which establishes a harmonised regulatory framework at European Union level concerning deposit guarantee schemes and requires all Member States to adopt an ex-ante system of funding, with a target set at 0.8% of guaranteed deposits to be achieved in 10 years.
Deposit guarantee schemes are an important instrument for the management of banking crises: they make interventions aimed at cushioning the impact of a crisis, reimbursing depositors up to a certain ceiling in the event of liquidation of the intermediary, as well at preventing the occurrence thereof.
For 2015, given that the Directive takes effect from 3 July 2015, the contribution paid was 50% of the expected annual amount, with the unpaid portion to be spread over the following 9 years.
The Fund will be managed by the Interbank Deposit Guarantee Fund, which amended its Articles of Association for this purpose, having to provide first for the ex-ante contribution mechanism as provided by the rules, and no longer ex-post, when only quantification of the commitment for each member bank was provided, to be allocated for accounting purposes as a guarantee given.
The contributions charged to the BPER Banca Group for 2015 amounted to Euro 8,198 thousand (of which Euro 5,951 thousand for the Parent Company BPER Banca).

On 10 February 2016, the Council of Ministers approved Legislative Decree 30, thereby transposing into Italian law the aforementioned DGSD. The Legislative Decree's framework, in line with the DGSD, had the aim of ensuring a high level of protection for depositors. The Legislative Decree amended Italian regulations concerning deposit guarantee schemes, as contained in the Consolidated Banking Act (Legislative Decree no. 385 of 1 September 1993, Section IV, Title IV) and in Legislative Decree no. 180 of 16 November 2015 that had transposed the BRRD into Italian law.
The Decree entered into force on the day subsequent to its publication in the Official Journal, except for art. 1, paragraph 3, letter a) which will become applicable as from 1 July 2018. It regulates the impact of the new legislation on cooperative banks, already affected by the reform being finalised.
On 13 December 2016, the IDGF communicated the amount of the ordinary contribution payable for 2016 and that the related direct debit was due on 20 December.
The total annual amount payable by the national banking system for 2016 was Euro 449.2 million (consisting of Euro 348.8 million of ordinary contributions, Euro 0.4 million of additional contributions, Euro 100 million to be allocated to the Solidarity Fund and a recovery of Euro 9.4 million assigned to the Fund following the liquidation of Bank Network, which was subject to an intervention by the Fund in 2012).
The amount debited to the Group, taking into account instalments calculated based on protected deposits at 30 September 2016, was Euro 16.9 million (Euro 12.3 million attributable to BPER Banca) compared to an amount estimated and ascertained at 30 September of Euro 17.6 million.
As far as Bper (Europe) International is concerned, the 2016 contribution, which amounted to Euro 14 thousand, was requested and paid in May 2016.

Interbank Deposit Guarantee Fund (IDGF) – scheme of intervention on a voluntary basis

The Extraordinary Meeting of the members of the IDGF held on 26 November 2015 had approved the amendment to the Fund's articles of association, with particular reference to art. 35, which provides for a scheme of intervention on a voluntary basis for the implementation of support measures in favour of participating banks that are in receivership or in conditions of instability or risk of collapse, where conditions exist that would make a turnaround feasible.
The initiative was launched to provide the Fund with an additional tool to resolve the banking crisis and to find a solution to the issue concerning Banca Tercas, to overcome the objections raised by the European Commission, which has considered the intervention carried out in 2014 by the IDGF to be an alleged violation of the rules on state aid, as it consisted of a use of mandatory contributions.
An Extraordinary Meeting of the members of the IDGF held on 20 January 2016 amended the aforementioned art. no. 35 of the articles of association, reducing the upper limit for an intervention to Euro 300 million, but only in the case of Banca Tercas and retaining solely one threshold for intervention on a voluntary basis of 95% of covered deposits.
The introduction of the new voluntary mechanism by the new articles of association provides for the possibility to act in a completely independent way, separate from the obligatory scheme, using private resources provided by participating banks independently and in addition to the mandatory contributions owed. Membership is binding for two years.
At 31 December 2015 a voluntary scheme was formally established with a maximum of Euro 300 million and the Group had allocated the amount estimated to be its share, comprising the guarantee of Euro 30 million provided by the Fund to Popolare di Bari, which was still in place at the year end, with a simultaneous allocation to Provisions for risks and charges of its share, having deemed the disbursement thereof to be probable (the amount in question was Euro 0.8 million, of which Euro 0.6 million was attributable to the Parent Company, BPER Banca).

On 28 April 2016, the IDGF, on completion of the process for the solution of the issue concerning Banca Tercas, as described above, proceeded to credit the banks involved with the funds recovered from Banca Tercas, as follows:

- Euro 265 million in cash paid to cover the capital deficit, with the Group's share amounting to Euro 11 million, without interest and commissions (Euro 7.9 million for BPER Banca), recorded under caption 130 of the income statement as a writeback, in line with the allocation made upon payment;
- Euro 140 thousand relating to a fee for a guarantee of Euro 35 million that was extinguished in 2015, with the Group's share amounting to Euro 9 thousand, reported under *"Commission income"*;
- Euro 6.7 million for accrued interest, with the Group's share amounting to Euro 0.3 million (Euro 0.2 million for BPER Banca), booked under *"Interest income"*.

At the same time, the Group banks were debited with their share of the membership cost for the scheme of intervention on a voluntary basis of Euro 11.3 million, which was Euro 44 thousand higher than the amount received and this was recognised in the income statement under "Administrative costs", detailed as "Contributions to SRF, DGS and FITD-SV".

On 17 June 2016, the IDGF's Extraordinary Meeting approved another amendment to the articles of association, which was again to article 35, by raising the maximum intervention threshold of the voluntary scheme from Euro 300 million to Euro 700 million (BPER Banca Group's share was Euro 27.4 million of which Euro 20 million was attributable to the Parent Company, booked for accounting purposes under the caption "Commitments and risks"), of which Euro 280 million was already approved and allocated for the intervention on behalf of Cassa di Risparmio di Cesena.

On 16 September 2016, the IDGF voluntary scheme announced that, on 15 September 2016, it had been notified of the ECB's decision authorising the acquisition of a controlling interest in Cassa di Risparmio di Cesena by the voluntary scheme and that it charged Euro 281 million, with a value date of 20 September 2016, to the banks that had joined the scheme, of which Euro 280 million corresponded to the amount of the capital increase needed for Cassa di Risparmio di Cesena and Euro 1 million related to the costs of the intervention and the operations of the voluntary scheme.

This intervention led to the recognition under available-for-sale (AFS) securities of the amount paid by the Group of Euro 11.2 million (of which Euro 8 million was attributable to BPER Banca) and the amount in question was treated as though it related to equity instruments, even if they were not directly linked to CR Cesena, as only the IDGF voluntary scheme had control thereover. The above intervention thus gave rise to a reduction in the irrevocable off-balance sheet commitment towards the IDGF voluntary scheme, which originally amounted to Euro 28.6 million (of which Euro 20.9 million was attributable to BPER Banca) and which was then reduced to Euro 16.7 million (of which Euro 12 million was attributable to BPER Banca).

In October 2016, upon the expiration of the aforementioned guarantee provided by the IDGF to Popolare di Bari, without the execution thereof, the aforementioned provision was reversed (Euro 0.8 million), with this amount having been taken to the income statement. On 20 January 2017, the IDGF voluntary scheme, following the commitments assumed upon the CR Cesena capital intervention and the consequent amounts charged to the banks, made an announcement regarding the fair value measurement of the financial assets acquired.

In its note, the Fund announced that, to perform the measurement in question, it had engaged KPMG Corporate Finance that, based on the most recent available data, had applied methodology known as the "Dividend Discount Model" and had concluded that the Bank's equity value (corresponding to 100% of

the capital) was Euro 222.4 million (comprised in a range from Euro 216.9 million to Euro 228.2 million). An amount of Euro 211.9 million, corresponding to the Fund's holding of 95.3%, was then used to compute a pro-rata allocation to each bank based on their share of the contributions to the voluntary scheme.
Accordingly, BPER Banca Group has written down by approximately 24% its share of the intervention, amounting to Euro 2.6 million, and has recognised the impairment loss in the income statement.

Interbank Deposit Guarantee Fund – Solidarity Fund

The Solidarity Fund was set up by the 2016 Stability Law (Law 208 of 28 December 2015, art. 1, paragraphs 855-861) and subsequently regulated by Decree Law no. 59 (Banks Decree), converted into Law 119/2016, in force from 3 July 2016. The regulations aim to provide protection to small investors who held subordinated securities issued by the four banks put up for resolution on 22 November 2015, upon the occurrence of the conditions expressly provided for and attribute the management and alimentation of the Solidarity Fund to the Interbank Deposit Guarantee Fund.
In this context, BPER Banca Group had recognised in its 2015 financial statements an allocation to Provisions for risks and charges of Euro 4 million (of which Euro 2.9 million was attributable to BPER Banca) that it had estimated to be its share of the total amount due of Euro 100 million. Having acknowledged the total amount of Euro 100 million, the IDGF absorbed it into the total amount of ordinary contributions established for 2016 and, thus, it is now possible to reverse the prior allocation to provisions for risks and charges with a positive impact on the income statement.

3.5 Structured finance operations, securitisations and other particular financial transactions

In view of the importance of maintaining an adequate liquidity profile, appropriate initiatives have been devised to diversify the forms of medium/long-term funding. These include refinancing operations with the European Central Bank and the placement of bonds in the domestic and international markets.

Covered Bonds

On 8 February 2011, the Board of Directors of BPER Banca had authorised the structuring of a programme for the issue of guaranteed bank bonds ("GBB" or "Covered Bonds"). This programme envisages the issue to institutional investors on several occasions, by 31 December 2018, of Covered Bonds totalling a maximum of Euro 5 billion (subject to annual renewal of the related prospectus prepared in compliance with the relevant EU regulations).
The segregated loan portfolio used as collateral for bonds issued is made up entirely of residential mortgage loans.
GBB issues have been included in the BPER Banca Group's Business Plan as a way to diversify funding, reduce the related costs and extending the maturities of liabilities.
In particular, Covered Bond issues are extremely appealing at a time when market yields are very low, partly due to institutional intervention by the ECB through its programmes of GBB purchases.
In this context, the following actions have been completed since the start of the programme:

- first issue on 1 December 2011, nominal amount of Euro 750 million, redeemed on 22 January 2014;
- second issue on 25 June 2012, nominal amount of Euro 300 million at a floating rate with a maturity of three years. Redeemed early, on 12 January 2015;

- third issue on 15 October 2013, nominal amount of Euro 750 million at a fixed rate with a tenor of five years, placed in full on the domestic and international markets. This issue was reopened on 24 February 2014, adding a further Euro 250 million;
- fourth issue on 22 January 2015, nominal amount of Euro 750 million, placed in full on the domestic and international markets;
- fifth issue on 29 July 2015, nominal amount of Euro 750 million, placed in full on the domestic and international markets;
- sixth issue on 31 May 2015, nominal amount of Euro 500 million, fully self-subscribed for refinancing purposes with the European Central Bank;

The outstanding debt at 31 December 2016 amounted to Euro 3,000 million.

On 3 March 2015, the Board of Directors of BPER Banca approved the structuring of a second programme for the issue of guaranteed bank bonds ("GBB2"). The second programme envisages the issue of Covered Bonds (subject to annual renewal of the related prospectus prepared in compliance with the relevant EU regulations) to institutional investors or for refinancing transactions with the European Central Bank, within 10 years from the first issue.
In this context, the following actions have been completed since the start of the programme:

- first issue on 16 December 2015, nominal amount of Euro 625 million, fully self-subscribed for refinancing purposes with the European Central Bank;
- second issue on 1 August 2016, nominal amount of Euro 200 million, fully self-subscribed for refinancing purposes with the European Central Bank.

The outstanding debt at 31 December 2016 amounted to Euro 825 million.

Securitisations arranged by the Parent Company

BPER Banca has completed a number of securitisations pursuant to Law 130 of 30 April 1999 in order to strengthen the funding available from the ECB to tackle liquidity risk. Details are provided below of a securitisation arranged by the Parent Company and which had still not been completed at 31 December 2016:

- securitisation of residential mortgages: 2009 saw the formation of Estense Finance s.r.l., an SPV held 9.9% by the Parent Company, to which performing loans were sold without recourse in exchange for asset-backed bonds issued by the SPV. The notional amount outstanding on the Senior securities after the November 2016 payment date comes to Euro 427 million. The Mezzanine and Junior Securities at 31 December 2016 amount to Euro 40 million and Euro 132.6 million respectively.

Securitisations arranged by Group Banks and Companies

Cassa di Risparmio di Bra s.p.a. arranged two self-securitisations in 2011 and 2012. These securities, recognised as eligible by the ECB, comprise:

- Dedalo Finance: Senior Securities (class A) issued for Euro 166.8 million, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 77 million (after the November 2016 payment date, the securities show a nominal value of Euro 33.5 million) and Junior Securities (class B) issued for Euro 33.8 million, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 15.6 million (after the November 2016 payment date their nominal value amounted to Euro 15.6 million);
- Icaro Finance: Senior Securities (class A) issued for Euro 485 million, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 151.3 million.

The transaction had initially been envisaged to have an average residual duration of a couple of years. Given that the performance thereof has been satisfactory, it has been deemed appropriate to keep it operative beyond its original maturity. The situation subsequent to the last payment date of August 2016 presented a residual portfolio of Euro 291 million that provided collateral for residual ABS senior bonds of Euro 40 million. The ordinary running costs of the transaction no longer appeared to be justifiable and, having assessed the various options, it was deemed appropriate to close the securitisation transaction risk in question, thus freeing up the related portfolio that may be used for other types of refinancing.

A new securitisation transaction called Multi Lease2, worth over Euro 1,014 million, was launched towards the end of the year by Sardaleasing s.p.a.; the portfolio is made up of part of the loans already sold in the Multi Lease transaction (closed early in January 2016, but effective for income statement recognition purposes as of 31 December 2015) including the 2013 and 2014 production and the contracts that were not eligible in 2012 for lack of "seniority".
As always, the self-securitisation transaction responds to the need to transform the Group's assets into securities eligible for REPO transactions with the ECB; as a direct result, this made it possible to access sources of intercompany funding for 2016 at lower costs with respect to traditional funding.
Therefore, on 26 January 2016, the sale of a pool of performing loans to the SPV Multilease AS (the same as the previous transaction) was formalised, with effect from 1 January 2016, while the securities were issued on 18 February 2016; due to the positive performance of the previous deal in 2013, a volume of Senior Notes of Euro 658 million (with an "A-" rating) was confirmed by the rating agencies to be superior to those in the past (64.95% versus 61.5%).
Furthermore, the retention structure of the transaction has been confirmed, that is, the securities have been subscribed for by the Originator (Sardaleasing) and subsequently loaned to the Parent Company and used as collateral for REPO transactions with ECB.
The total amount of these notes after the repayment on the payment date (20 January 2017) – repayment of principal Euro 56.7 million and interest Euro 0.6 million - is Euro 796.1 million made up as follows:
Class A Senior Notes – Euro 440.2 million;
Class B Junior Notes – Euro 355.9 million.
The residual balance of the portfolio at 31 December 2016 amounted to Euro 822 million for a total of 3,916 contracts, including Euro 614.9 million of unpaid principal instalments.
Based on the servicing contract, credit monitoring and loan recovery remain with the Servicer, which takes all steps possible to collect any loan instalments that have not been repaid or defaulted loans included in the securitised portfolio, using the same recovery policies applied to the non-securitised part of the loans.

Cassa di Risparmio di Saluzzo s.p.a. has completed a self-securitisation in 2013 pursuant to Law 130 of 30 April 1999 in order to strengthen the funding available from the ECB to tackle liquidity risk. The transaction consisted of the securitisation of loans granted to small and medium-sized enterprises: 2013 saw the formation, together with Banca Mediocredito del Friuli Venezia Giulia s.p.a. and Banca Cassa di Risparmio di Savigliano s.p.a., of an SPV, Alchera SPV s.r.l., to which loans were sold for a total of Euro 642.6 million, of which Euro 231.1 million was the portion originated by Cassa di Risparmio di Saluzzo s.p.a., in exchange for bonds issued by the SPV. Senior Securities (class A) were issued for Euro 419 million, of which Euro 150.7 million was subscribed by Cassa di Risparmio di Saluzzo s.p.a. and Junior Securities (class B) were issued for Euro 240.4 million, of which Euro 86.5 million was subscribed by

Cassa di Risparmio di Saluzzo s.p.a. At 31 December 2016, the nominal value of the Senior Securities was Euro 40.3 million and that of the Junior Securities was Euro 86.5 million.
In the latter part of the year, as part of a restructuring project concerning the above transaction, which envisaged the sale by each of the other two banks participating in the initial transaction of a further loan portfolio and the entry of two new originator banks (Banca Alpi Marittime Credito Cooperativo di Carrù S.c.p.A. and Cassa di Risparmio di Cento s.p.a.), the Board of Directors of Cassa di Risparmio di Saluzzo s.p.a., in agreement with the Parent Company, decided on 23 December 2016 that the former should exit the Alchera self-securitisation.

Securis Real Estate Fund

Sardaleasing s.p.a., which operates in the field of leasing for the BPER Banca Group, sold properties in several tranches to the Securis Fund, as summarised below:

- in 2013, Sardaleasing s.p.a. made two separate contributions of properties for a total of Euro 15.2 million;
- on 30 June 2014, a third contribution of 25 properties was formalised for a value appraised by CB Richard Ellis of Euro 22 million;
- a further contribution (the fourth) of 45 properties for a total of Euro 27.1 million was formalised on 23 December 2014.

The Securis Fund, established in 2008 with a duration of 30 years, is a closed-end real estate mutual investment fund, set up to manage and sell properties coming from bank lease companies following repossession. The fund is reserved for qualified investors and managed by Investire Immobiliare SGR.
In exchange for the properties that it sold the fund, Sardaleasing obtained 955 shares of the Securis Fund, accounted for as "Financial assets available for sale": the value of these shares at 31 December 2016 comes to Euro 58.9 million.
At 31 December 2016, an adjustment of Euro 2.1 million was confirmed in the income statement, following a decrease in the fair value of the units of the Securis Fund compared with December 2015.
Sardaleasing currently holds 24% of the total units, but, in case, has no significant bearing from a management point of view.

Securis Real Estate II Fund

On 30 December 2015, Sardaleasing sold to the Securis II Fund (established in 2013 with the same characteristics as the first one) 35 properties deriving from "non-performing contracts", for a value appraised by Reag s.p.a. (a company belonging to the American Group Duff & Phelps and appointed by Società di Gestione Investire Immobiliare s.p.a) of Euro 33.2 million, compared with a net book value of Euro 32.5 million.
On 31 December 2016, the value of the 343 units held in the Securis Real Estate II Fund, which Sardaleasing recognises as "Financial assets available for sale", amounts to Euro 27.8 million.
At that date, the units were devalued for a total of Euro 1,375 thousand, which was recorded in the "Valuation reserves for financial assets for sale".
Sardaleasing currently holds 15.22% of the total units.

Securis Real Estate III Fund

On 20 December 2016, Sardaleasing sold to the Securis III Fund (established with the same characteristics as the first two) 25 properties deriving from "non-performing contracts", for a value appraised by Reag s.p.a. (a Company belonging to the American Group Duff & Phelps and appointed by

Società di Gestione Investire Immobiliare s.p.a) of Euro 15.7 million, compared with a net book value of Euro 15.8 million.
The decision to transfer the property to Securis III Fund (as opposed to Securis and Securis II) was based on the high level of the investment made by Sardaleasing in the first Securis Fund (over 20%) and in the second (over 15%).
In exchange for the properties that it sold the fund, Sardaleasing obtained 176 units in the Securis III Fund, with a provisional nominal value of Euro 91.6 thousand, which it accounted for as "Financial assets available for sale": the value of these units at 31 December 2016 is Euro 16.1 million corresponding to an interest of 12%.

Polis Asset Bancari VI Fund

In 2012, Polis Fondi SGR set up a first fund specifically designed to invest in portfolios of investment properties and non-performing loans with underlying real estate from banking groups. The company strengthened its position in this segment at the end of 2015 with the start of operations of the Fondo Asset Bancari VI, which will have a ten-year duration.
On 21 April 2016, Sardaleasing s.p.a. completed a contribution to this Fund of 4 properties deriving from non-performing contracts for a value of Euro 2.8 million, compared with a net book value of Euro 2.6 million. The operation did not result in any losses on disposal.
The no. 56 units acquired were recorded as "Financial assets available for sale"; at 31 December 2016, the units were devalued by Euro 33 thousand. The carrying amount of the UCITS units is Euro 2.8 million.

New Targeted Long-Term Refinancing Operations – TLTRO II

On 10 March 2016, the Executive Council of the European Central Bank (ECB) approved a new series of targeted long-term refinancing operations (TLTRO II) to be launched through four quarterly auctions commencing 30 June 2016. As was the case for the previous TLTRO, the initiative aims to improve the functioning of the mechanism for transmitting monetary policy to the real economy, by supporting the process for granting credit.
Applicant banks will be assigned a TLTRO II ceiling of an amount equal to 30% of the total amount of loans to the non-financial private sector (excluding home purchase loans to households) in the Euro-zone (so-called "eligible loans") outstanding at 31 January 2016.
The interest rate to be applied to the new series of TLTROs, which will have a fixed maturity of four years from the time of payment, will be equal to that applied to monthly refinancing operations (currently zero). If, as at 31 January 2018 the Bank has granted loans eligible for the calculation of the benchmark, it may apply a decreasing interest rate to the funds requested down to a minimum equal to the interest rate applied to excess cash deposited with the ECB (currently -0.40%) subject to the condition that the benchmark has been exceeded by 2.5%.
The ECB also made it possible for the banks that participated in the original TLTRO programme to replace TLTROs approaching maturity with the cash proceeds of the new issues; therefore, on 23 June 2016 (settlement date 29 June 2016) the Euro 2 billion of TLTROs maturing in September 2018 were repaid in advance by BPER Banca at the time that we took part in the first auction of the TLTRO II programme for an amount of Euro 4 billion.
On 13 December, BPER Banca participated in the third auction with a take up of Euro 1 billion, which was settled on 21 December 2016.
At 30 September 2016, the related interest amounted to zero, given that to date there have not been sufficient clear elements to account for the potential benefit of the expected negative interest rate of up

to 0.40%. The amount potentially accrued at 30 September 2016, were the maximum expected target to have been incurred, would have come to Euro 4.1 million.
At 31 December 2016, having taken account of the fact that at 31 December 2016 it had already met the target set for 31 January 2018 and that it had prepared a structured plan to maintain that result, in accordance with IAS 39, BPER Banca recognised interest income based on a negative interest rate of 0.40%, thus allocating an amount of Euro 8.3 million to net interest income.

3.6 Other significant events

Reform of cooperative banks: Transformation Plan

With regard to the Reform of cooperative banks governed by Decree Law 3 of 24 January 2015, converted into Law 33 of 24 March 2015, on 12 July 2016 the Board of Directors of BPER Banca, with the favourable opinion of the Board of Statutory Auditors, approved draft amendments to the Articles of Association that the Bank of Italy authorised on 14 October 2016 with the issue of its appraisal under art. 56 and 61 of Legislative Decree 385 of 1 September 1993 (CBA), to be submitted to the Shareholders' Meeting.
The draft includes measures designed, on the one hand, to eliminate certain aspects that are typical of cooperatives, being inconsistent with the different structure due to be adopted, and, on the other, to introduce certain refinements that should make the governance mechanisms even more effective in light of the size and complexity of the Bank, also taking into account industry best practices, with particular reference to those listed banks that are joint-stock companies.
The extraordinary part of the Bank's Shareholders' Meeting held on 26 November 2016 passed a resolution to transform the legal form from a cooperative into a company limited by shares and, among other things, to change the company's name from "Banca popolare dell'Emilia Romagna società cooperativa" to "BPER Banca S.p.A.", as well as to change the banking group's name to "BPER Banca Group", and to adopt a new text of the articles of association.
The resolution was filed with the Modena Register of Companies on 28 November 2016.
The transformation of BPER Banca from a cooperative to a joint-stock company involved the right of withdrawal for those who do not approve the above resolution pursuant to art. 2437 of the Italian Civil Code.
In this regard, it should be noted that the liquidation value of the BPER Banca's shares subject to withdrawal has been set at Euro 3.8070 per share.
The liquidation value of BPER Banca's shares has been calculated in accordance with art. 2437-ter, paragraph 3, of the Italian Civil Code, with reference to the straight average of the closing prices in the six months prior to publication of the notice of calling of the Shareholders' Meeting.
Reimbursement of the shares subject to withdrawal that are not purchased by those entitled to buy them under the option offer or which cannot be placed on the market, in accordance with the provisions of art. 2437-quater, paragraphs from 1 to 4, of the Italian Civil Code, remains subject to the limits and restrictions set out in the so-called Reform of Cooperative Banks and the Articles of Association of the Bank[19]. Details are provided of the outcome of the right of withdrawal in the chapter in this report entitled "Significant subsequent events and outlook for operations".

[19] *Reference should be made to the Explanatory Report of the Bank's Board of Directors prepared pursuant to art. 125-ter of Legislative Decree 58 of 24 February 1998 and art. 72 of the Issuers Regulation.*

Single register for entities operating in the financial sector

On 1 March 2016, the Bank of Italy informed Emilia Romagna Factor s.p.a. and Sardaleasing s.p.a. that they were authorised to conduct lending activities toward the general public as per art. 106 *et seq.* of the Consolidated Banking Act. Emilia Romagna Factor's effective registration took place on 15 March 2016 and the Company is registered at number 19432; Sardaleasing s.p.a. was registered on 21 March 2016 at number 19257. Since the end of March 2016, the two financial companies are therefore subject to EU Regulation 575/2013 (CRR) implemented by the Bank of Italy for these types of entities with Circular no. 288 of 3 April 2015.

Shareholders' Meeting of the Parent Company: allocation of 2015 net profit

On 16 April 2016, the Shareholders' Meeting approved the allocation of the net profit of Euro 162 million earned in 2015 by the Parent Company, with the declaration of a dividend of Euro 0.10 per share (Euro 48.1 million in total). Accordingly, Euro 113.9 million was retained as part of Own Funds.

Avia Pervia s.r.l.: voluntary liquidation

A General Meeting was held in Conegliano on 10 October 2016 to ask for the early winding up of Avia Pervia s.r.l. and its voluntary liquidation as there is no longer the desire to carry out further securitisations. The voluntary liquidation is effective from 1 November 2016, the date on which the deed was filed with the Treviso-Belluno Companies Register.

Estense SME s.r.l.: voluntary liquidation

A General Meeting was held in Conegliano on 10 October 2016 to ask for the early winding up of Estense SME s.r.l. and its voluntary liquidation as there is no longer the desire to carry out further securitisations. The voluntary liquidation is effective from 1 November 2016, the date on which the deed was filed with the Treviso-Belluno Companies Register.

Group Management:

- *New appointments*

The following Directors were appointed at the Shareholders' Meeting held on 16 April 2016: Luigi Odorici, Pietro Ferrari, Costanzo Jannotti Pecci (independent), Valeria Venturelli (independent) – all drawn from list no. 1 - and Margherita Perretti - drawn from List no. 2 - as "Minority Director".
Following the approval of the amendments to the Articles of Association as per paragraph 1) of extraordinary part of the meeting and, in particular, of the transitional provision contained in art. 57 paragraph 4, the mandate of these Directors will last for one year.
During the meeting held on 19 April 2016 the Board of Directors confirmed Luigi Odorici as Deputy Chairman. The Deputy Chairmen in office at that date were thus: Alberto Marri, Luigi Odorici and Giosuè Boldrini.

- *Resignation of a Director*

On 24 May 2016 the independent Director Giulio Cicognani resigned from the position of Director of BPER Banca for personal reasons, effective immediately.
Mr Cicognani is not a member of any of the Board committees.
The Board of Directors took note of his decision and expressed gratitude and appreciation to Mr Cicognani for his constant contribution and reserved the right to decide later on what to do about the vacant directorship.

- *Co-option of a Director*

On 21 June 2016 the Board of Directors co-opted Pietro Cassani as a Director to replace Giulio Cicognani.
Mr Cassani - born in Imola (Bologna), graduated with honours in Mechanical Engineering from the University of Bologna and a master's degree in Business Administration from SDA Bocconi of Milan - was confirmed by the Shareholders' Meeting held on 26 November 2016.

- *New Chairman of the Bank*

On 20 December 2016, following the resignation of Ettore Caselli from his position as Chairman, the Board of Directors appointed Luigi Odorici as his replacement.

Deferred tax assets (DTA)

Art. 11 of Decree Law 59 of 3 May 2016, converted with amendments by Law 119 of 30 June 2016, introduced the option for payment of an annual fee against which it is possible to continue application of the rule providing for the convertibility of deferred tax on loan adjustments and writedowns of goodwill recorded in banks' financial statements, thereby enabling them to be included in the calculation of capital for supervisory purposes (DL 225/2010).
The option is binding on the bank to pay the fee from 2015 up to the tax year in progress at 31 December 2029 and it has to be exercised by 31 July 2016. This amount is deductible for IRES and IRAP purposes.
The rate is 1.5% and is applied to the difference between the (convertible) deferred tax assets outstanding at the reporting date (less the deferred tax assets at 31 December 2007 and plus the deferred tax assets already converted) and the taxes (IRES and IRAP) paid from 2008 until the reporting date. It the difference is negative, no commission is due.
The measure of the Director of the Tax Authorities implementing the regulations, as well as Circular no. 32/E, was published on 22 July 2016. It was also clarified that if the difference is negative, the option can still be exercised by 31 July 2016 to maintain the guarantee provided for in Decree Law 225/2010.
The Parent Company BPER Banca exercised its option to maintain this guarantee mechanism, assessing that for 2015 and 2016 no commission is due as the calculation resulted in a negative difference.

Arca SGR becomes a holding company

BPER Banca holds 32.752% in Arca SGR which at the end of June 2016 carried out a new corporate reorganisation, completing last year's one, through the sale of the collective asset management business to Arca Fondi SGR s.p.a. On 16 June 2016 Arca Fondi SGR called an Extraordinary Meeting to approve an increase in share capital of Euro 49 million, which was subscribed by Arca SGR by means of contributions. All of the assets used in the asset management, portfolio management and investment advisory businesses have been transferred to Arca Funds SGR, as has the Arca Previdenza fund. Arca SGR retains the building where its Milan head office is located and the innovative capital instruments issued at the end of 2013.
So from 1 July 2016 Arca SGR s.p.a. changed its name to Arca Holding s.p.a., which owns 100% of Arca Fondi SGR s.p.a.

JESSICA Sardinian Urban Development Fund

In 2011, the Autonomous Region of Sardinia (ARS) activated JESSICA (Joint European Support for Sustainable Investment in City Areas), an EU investment instrument. This instrument was devised in 2006 as a joint initiative between the European Commission and the EIB, in collaboration with the Council of Europe Development Bank (CEB), in order to promote sustainable investment, growth and employment in city areas.

ARS and the EIB signed a loan agreement for the creation of a JESSICA Sardinia Investment Fund ("FPJS") that would manage the resources available under AXIS III and AXIS V of the ERDF Regional Operational Programme 2007-2013. In order to transfer resources from the EIB to the managers, two urban development funds (FSU) endowed with Euro 33.1 million each were established: the Energy Fund and the Urban Renewal Fund. The managers of these two UDF were chosen by means of a competitive selection process, with Banco di Sardegna being selected for lot 1 with the technical consultancy of Sinloc: Urban Renewal (Axis V).

In July 2012, the EIB and Banco di Sardegna signed an operational agreement at the Regional Planning Centre of the Sardinia Region for the granting of a loan amounting to Euro 33.1 million (subject to possible increases), to be accompanied by cofinancing of about Euro 99 million from Banco di Sardegna and other lenders identified by the latter, and invested on a rotating basis. In order to implement the JESSICA Project, Banco di Sardegna decided to create a separate fund within the UDF by making a loan for a specific purpose, pursuant to art. no. 2447 decies of the Italian Civil Code.

The JESSICA instrument allows investment in eligible projects within an integrated Plan that are presented, implemented and managed by public entities or, alternatively, presented by public entities and implemented and managed by private parties.

The resources may be made available in the following ways:

- direct loans to authorities and public entities;
- loans to private companies, selected by a public call for tenders, for the design, construction and management of publicly-owned facilities created under a direct concession or on a project-financing basis;
- investment in the risk capital of selected private companies.

The amendment to the Operating Agreement of 19 July 2012 between the EIB and Banco di Sardegna, for the allocation of Euro 6.3 million of additional resources, was signed on 29 December 2015. This is a concrete demonstration of approval of the way that Banco di Sardegna has managed the Fund, confirming recognition of the excellent work celebrated at the public event held in July 2015 in the presence of representatives of the EIB and the Sardinia Region. The additional resources were paid in full to the UDF on 20 January 2016.

As of 31 December 2016, the Investment Committee of the FSU has approved the following loans and all of the resources available have been disbursed.

(in Euro)

	Investment	JESSICA loan	Investment in the capital of JESSICA	Contract date	Disbursements	
					Loan	Risk capital
					Disbursed as at 31.12.2016	Paid as at 31.12.2016
Purchase of 12 modern trolleybuses	7,126,000	6,769,700	-	18.12.2013	6,769,700	-
Construction and running of a natural gas distribution network (*)	45,120,239	7,000,000	-	15.04.2014	7,000,000	-
Construction and running of a new cruise terminal at the "Molo Rinascita" in Cagliari. Two loan	715,000	534,173	-	18.12.2014 08.07.2016	534,173	-
Two projects involving the construction and running of a natural gas distribution network based on two separate catchment areas (*)	38,913,569	8,000,000	4,000,000	16.02.2015	8,000,000	4,000,000
Renovation and expansion of the Municipal Market of Oristano with adjacent parking	4,133,055	1,140,000	-	12.6.2015	1,140,000	-
Redevelopment of a building owned by the Municipality of Borutta destined to bar diner	265,000	251,750	-	22.06.2015	251,750	-
Construction of a residential and daytime comprehensive rehabilitation centre for the intellectually and relationally disabled in the Municipality of Selargius	2,150,000	1,432,695	-	31.08.2015	1,432,695	-
Redevelopment of Alghero Town Hall	600,000	570,000	-	30.10.2015	570,000	-
Construction of the municipal indoor swimming pool in Alghero	2,100,000	1,915,026	-	30.05.2016	1,915,026	-

(in Euro)

	Investment	JESSICA loan	Investment in the capital of JESSICA	Contract date	Disbursements	
					Loan	Risk capital
					Disbursed as at 31.12.2016	Paid as at 31.12.2016
Redevelopment of the multi-purpose sports area in the Latte Dolce district of Sassari	560,000	532,000	-	24.06.2016	532,000	-
Redevelopment of the multi-purpose sports area in the Monte Rosello district of Sassari	750,000	712,500	-	24.06.2016	712,500	-
Redevelopment of the multi-purpose sports area in the Carbonazzi district of Sassari	600,000	570,000	-	24.06.2016	570,000	-
Redevelopment of the "Roberta Serradimigni" sports hall in Sassari	4,300,000	4,085,000	-	24.06.2016	4,085,000	-
Total	**107,332,863**	**33,512,844**	**4,000,000**		**33,512,844**	**4,000,000**

(*) The capital expenditure indicated only takes into account of the technical costs associated with the project. This excludes the financial costs of the operation (costs associated with working capital, interest, commissions, DSRA, etc. which still have to be financed during construction)

The following table shows simplified accounts for the JESSICA Urban Development Fund at 31 December 2016.

Balance sheet

(in Euro)

Assets		31.12.2016	31.12.2015
60.	Due from banks	395,213	11,160,395
150.	Other assets	-	4,812
	Total assets	**395,213**	**11,165,207**

(in Euro)

Liabilities and shareholders' equity		31.12.2016	31.12.2015
10.	Due to banks	645,285	11,567,815
100.	Other liabilities	107,342	106,697
200.	Net profit (loss) for the period	(357,414)	(509,305)
	Total liabilities and shareholders' equity	**395,213**	**11,165,207**

Income statement

(in Euro)

	Captions	31.12.2016	31.12.2015
10.	Interest and similar income	443,961	336,817
30.	**Net interest income**	**443,961**	**336,817**
40.	Commission income	18,662	59,497
50.	Commission expense	(820,037)	(905,619)
60.	**Net commission income**	**(801,375)**	**(846,122)**
290.	**Net profit (loss) for the period**	**(357,414)**	**(509,305)**

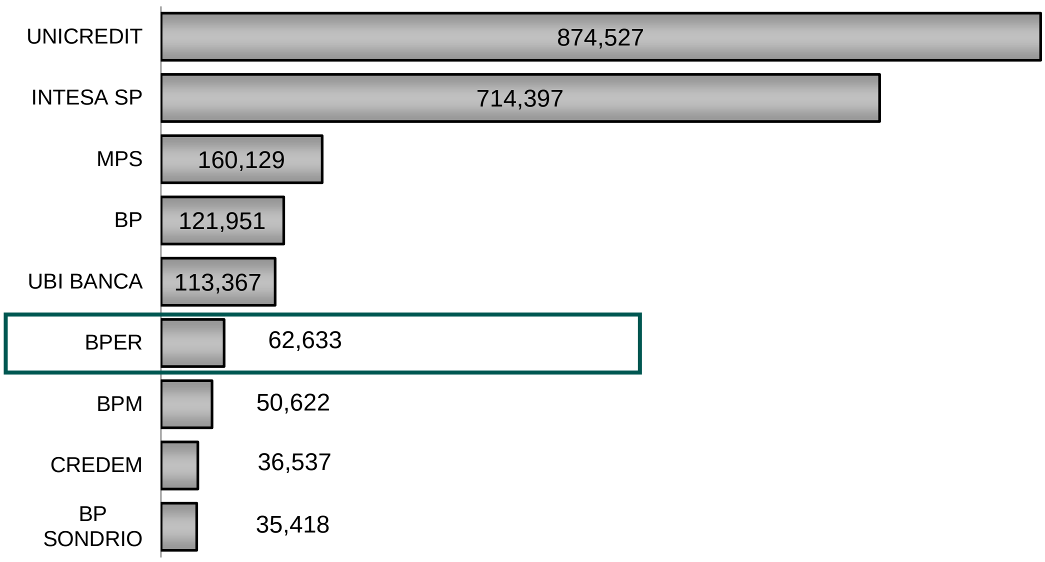
4. Summary of activities and strategic direction of the BPER Banca Group

4.1 Market positioning

The BPER Banca Group operates mainly in the traditional banking sector, i.e. loans and deposits and providing credit to customers, who are mainly represented by households and small and medium-sized businesses through the parent company BPER Banca, which operates throughout the country, except in Piedmont and Sardinia: the former is served by Cassa di Risparmio di Bra s.p.a. and by Cassa di Risparmio di Saluzzo s.p.a. (entry into the Group effective for accounting purposes as of 1 October 2016); the latter is served by Banco di Sardegna s.p.a.
At 31 December 2016, the Group's network consists of 1,200 branches located in 18 Italian regions, as well as a branch office in the Grand Duchy of Luxembourg, with a domestic market share, updated to 30 September 2016, of 4.01%[20].
Through a network of companies, the Group offers a wide range of services to its customers in Corporate and Investment banking, Private Banking and Wealth Management, as well as a series of financial products such as leasing and factoring.
On the Italian banking scene, the BPER Banca Group ranks sixth by total assets, deposits and loans.

Positioning with respect to competitors

Figures at 30 September 2016 (total assets in Euro/mn)



Source: Accounts of banking groups

[20] *Source: Bank of Italy Statistical Bulletin 30 September 2016.*

Within the national banking system, the Group’s market share of loans to customers, excluding bad loans, at 31 October 2016 comes to 2.51%, up on the same period in 2015, when it stood at 2.42%. There has been an increase in the year in the Group's market share of loans to SMEs (3.70% compared with 3.61% as of October 2015) and of large corporate loans (3.10% compared with the prior year figure of 3.02%); the market share of loans to households also increased (to 2.19% from 2.13% at the end of October 2015).
Market share of deposits as of October 2016 was up slightly on the same period in 2015 (2.41% versus 2.40%). The fall in deposits from family businesses and households was offset by an increase in deposits from companies (from 3.61% as of October 2015 to 3.67% as of October 2016).

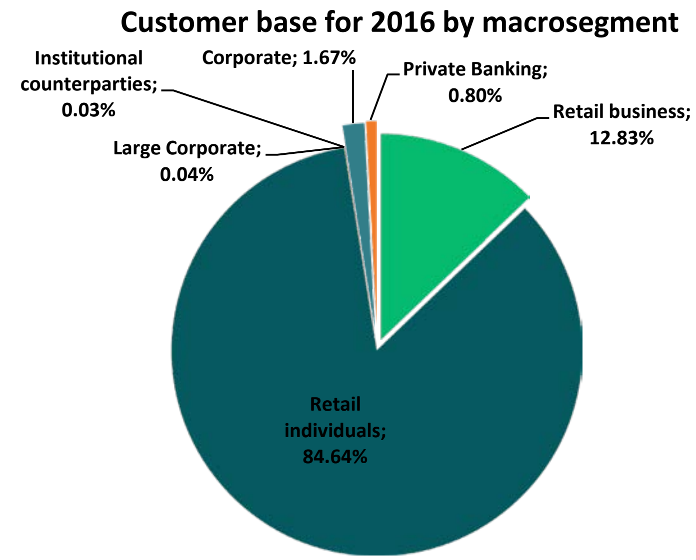
4.2 Relations with customers

Brand

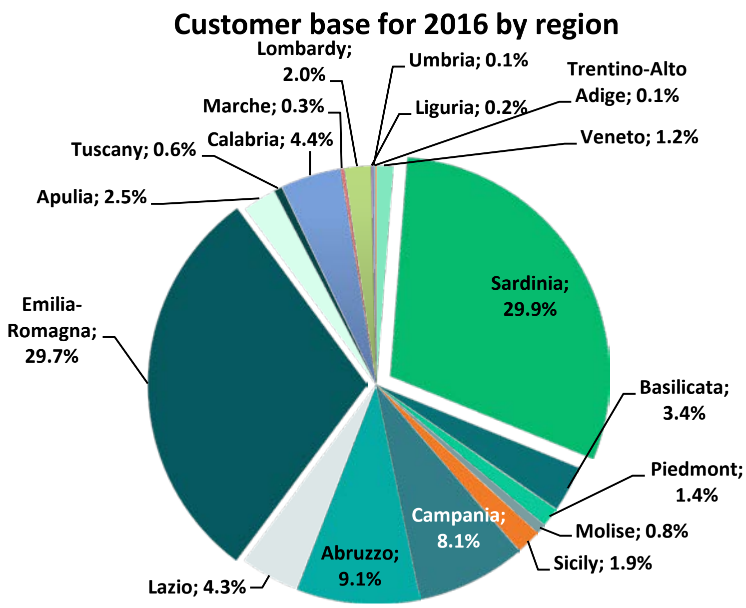
During 2016, in order to affirm the brand, its values and its positioning, BPER Banca launched its first institutional campaign on all communication channels (TV, digital, social, press and radio). From brand surveys conducted, it resulted that there had been a strong improvement in BPER Banca's image and awareness, as far as customers and non-customers were concerned, with a brand perception consistent with its values and its positioning.
For the first time, BPER Banca had won a place in people's top-of-mind awareness. In fact, during the brand surveys, the interviewees spontaneously stated the bank was ranked first.
The rebranding that commenced in 2015 is in its final stage, with the replacement of the last branch signages.
In 2016, the new brand enabled greater effectiveness in communication with improved recognition, distinctiveness and reputation of the logo.

Composition of the customer base

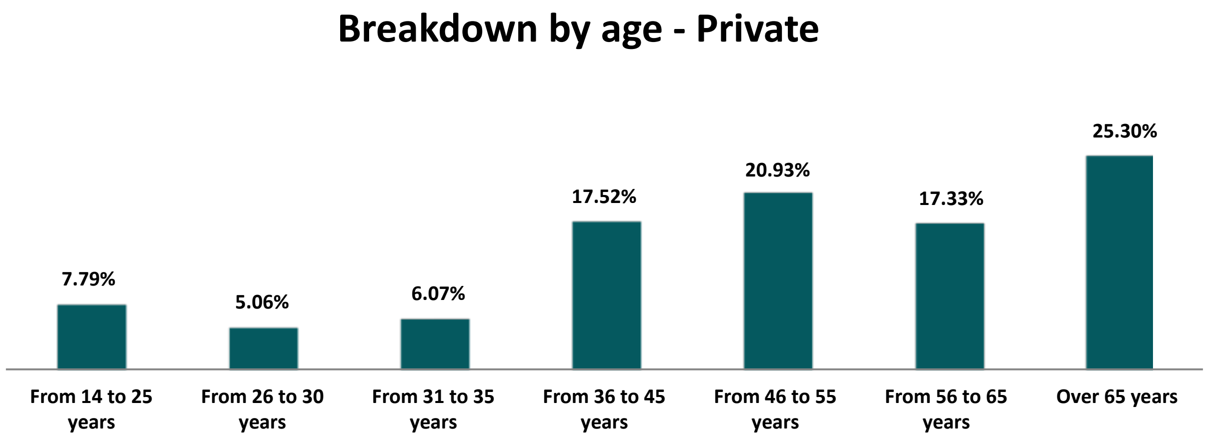
The BPER Banca Group confirms itself as a Bank dedicated to households and small and medium-sized businesses, consistent with the aim of active support and proximity to the needs and plans expressed by the social and economic fabric of the territories served.

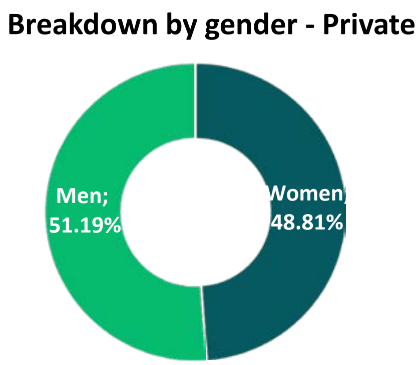


Key:
Retail Individuals: individual customers;
Private Banking: private banking customers with assets of more than € 500,000.00 who sign up for a specific service model;
Retail Business: businesses and entities with turnover of up to Euro 2.5 million;
Corporate: companies and groups with turnover of more than € 2.5 million;
Large Corporate: companies and groups with a turnover of more than € 250 million selected by experts for their more complex management;
Institutional Counterparties: banks and financial sector companies.

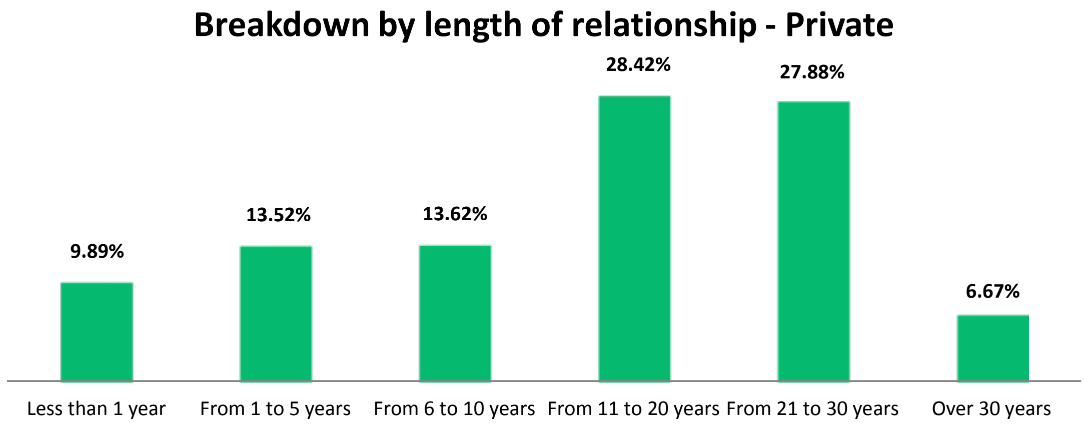


An analysis of retail customers shows that there is an even distribution between male and female. The average age of our customers is in line with previous years and with the traditional banking system. Customers of a certain age represent a significant share of the customer composition, even though the percentage of young people under 30 years is slightly up.



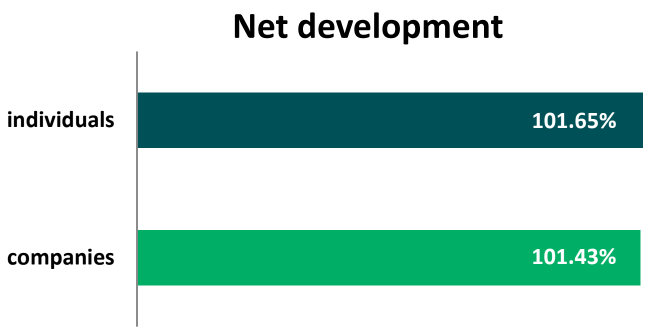


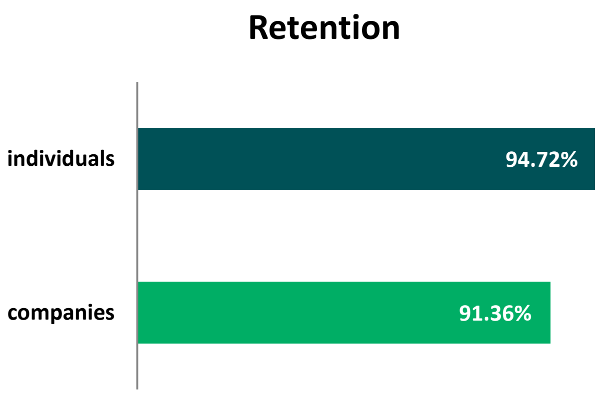
The distribution of customers by length of relationship remains substantially the same and there is a predominant share of customers who have a long relationship with the BPER Banca Group.



The main trends in the customer base

Metrics on customer trends, which are an essential tool for guiding and monitoring corporate strategies, are showing an improvement in the Group's performance.





There was a constant development of retail customers compared to 2015. The net growth (development) indicator shows an increase in companies capable of maintaining a firm relationship with its customers (companies retention rate +1.28%).

Communication

Throughout 2016, to facilitate the achievement of business and brand related objectives, product and institutional communication was present almost daily on all media (traditional, digital and social).
Specifically, there has been a constant presence of BPER Banca on all major national media and of Banco di Sardegna and Cassa di Risparmio di Bra on local media.
The organisation of various local events was the main means of communication used for the development of Private Banking and Corporate customers.
BPER Banca's principal Retail communication campaigns focused on mortgage loans, there were two campaigns dedicated to a specific commercial offer and one campaign dedicated to "Progetto Casa".
This project goes beyond the topic of mortgage loans and highlights BPER Banca's ability to offer a value proposition that is different and differentiated with respect to what the market offers. A dedicated website has been created for "Progetto Casa" that is used for key content marketing.
2016 saw an increase in BPER Banca's digital marketing campaigns that facilitated the procurement, via the digital channels, of useful contacts for the development of business in the branches.
In support of the commercial initiatives, use was also made of the email channel for the delivery of DEM to customers. This channel has been well received going by the high number of emails that have been opened.
Lastly, with the aim of increasing brand awareness and the acquisition of Corporate and Private Banking customers, 5 roadshows were held for the Corporate segment with a total of 631 participants and 9 events for Private Banking customers with 580 participants.
2016 also saw a strong presence by BPER Banca on social networks with the achievement of excellent results that ranked it as the first Italian bank in terms of engagement rate on Facebook in September.
The Facebook page attracted 100,000 fans in less than a year with an average engagement rate by page (indicator of the page's performance) of 2.9%.
The YouTube channel had 523 members and 2,290,721 total views. The LinkedIn channel had 16,000 followers and 1,393,845 views of posts.

Customer Satisfaction (CS)

Service quality is a fundamental element of the Bank's value proposition and is a strategic competitive factor in the market. As such, it requires close monitoring and conscious governance by the company. This principle has spawned a need for the construction of a system to monitor quality perceived by customers across all customer segments and the various points of the bank-customer relationship.
A Customer Satisfaction survey was carried out among the Retail customers of BPER Banca and Cassa di Risparmio di Bra during 2016. The research system is the same that was used in prior years and offers a real insight into customer perception that makes it possible to identify critical issues that need to be addressed with priority. The interviews, which were conducted by telephone, covered 7,500 customers of BPER Banca (4,500 individuals and 3,000 companies) and 565 customers of Cassa di Risparmio di Bra (442 individuals and 123 companies). Again for this cycle, use was made of a benchmark market survey focused on main competitors.
As regards BPER Banca, the overall picture concerning Individuals was positive and stable with respect to previous surveys. Satisfaction ratings were higher than those recorded by customers of competitor banks in Italy.

As far as image is concerned, confirmation was received of BPER Banca having been perceived to be serious and trustworthy, as well as innovative. The Net Promoter Score (NPS)[21] awarded by Individuals had improved since the previous survey, especially as far as the Family service model was concerned.
The ratings achieved by BPER Banca's retail companies have remained stable with respect to the previous survey. BPER Banca was deemed to be fair and consistent in its conduct over time. The NPS indicator shows a slight improvement that takes it up to positive, in contrast with the relevant market.
Cassa di Risparmio di Bra Retail customer ratings recorded a downturn in satisfaction, in future behavioural intentions and in institutional image with respect to the previous survey, but was in line with the results achieved by BPER Banca and the performance gap that exists in the market between banks belonging to large banking groups and small local banks.

Bank	Service model	Summary index of Customer Satisfaction	NPS
BPER Banca 2016	Private Banking	77.9	22.4%
	Retail	70.9	0.70%
Cassa di Risparmio di Bra 2016	Private Banking	76.2	15.20%
	Retail	71.5	4.50%

In 2016, the branch service quality monitoring system was rolled out for the Parent Company, BPER Banca. The new metric was named ESSI (Experience and Service Satisfaction Index) and it explores all aspects of the experience within a branch, in order to identify any critical service issues that need to be addressed promptly.
Continuous listening envisages 52,000 telephone interviews a year dedicated to BPER Banca's Retail customers classed in the Family, Personal and Small Businesses portfolios of all 768 branches (excluding 11 small branches).
As from the beginning of 2017, the information gathered will be made available to semi-central structures and all branch managers to strive for an improvement in services to meet customers' needs.

Service model	ESSI - BPER Banca 2016	NPS 2016
Private Banking	84	48%
Retail	81	34%

For BPER Banca's Corporate segment, the customer satisfaction survey was conducted in October 2016 and was heard by a sample of 1,000 customers.
With respect to the last survey conducted in 2014, BPER Banca's customers appeared to be more satisfied. Almost all the topics raised had been awarded a higher score. A market comparison showed an overall high level of satisfaction with corresponding favourable future behavioural intentions, a solid institutional image and satisfaction with most service elements. There were very high valuations for the

[21] *NPS: indicator that measures the willingness of customers to recommend a product, brand or service and is represented by the proportion of “promoters” net of “detractors”. “Promoters” are customers that would certainly recommend the product/service to their friends and colleagues (votes of 9 or 10 on a scale of 0 to 10), whereas “detractors” are those who not recommend it (votes of 0 to 6). Votes of 7 or 8 are considered “neutral” and are not taken into account by the indicator.*

Staff (Contact) and for the Branch. Lending and foreign operations are areas that recorded the most significant increases compared to 2014.

Banca	Service model	Summary index of Customer Satisfaction	NPS
BPER Banca 2016	Corporate	73.3	4.20%

No satisfaction ratings are available for 2016 for Banco di Sardegna customers, given that Banca di Sassari's commercial branches were absorbed by Banco di Sardegna during the year. New satisfaction surveys will be conducted in the first few months of 2017.

Media Relations

In 2016, the activities of the Media Relations office were focused on many important institutional appointments and events in the life of the Bank, as well as a series of important initiatives that required effective and widespread communication, with the aim of adequately enhancing the various operations being carried out: from the handling of institutional events such as the two Shareholders' Meetings (on 16 April and 26 November, with the latter having approved the bank's transformation into a company limited by shares) to the presentation to the market of the 2015 financial statements and interim financial reports. Specifically, the following events took place:

- the event held on 16 May 2016 at Forum Monzani in Modena drew the public's attention to the "Premio Strega Giovani", promoted by BPER Banca together with Fondazione Maria e Goffredo Bellonci, as part of the 70th edition of the "Premio Strega". The event was attended by about 400 upper school students from around the country, who were able to discuss matters with the competitors for the 2016 "Strega" prize present on stage. This event received broad media attention as a result of the press releases issued and the radio and TV interviews carried out;
- six round tables organised on 27 January in Milan, 11 May in Reggio Emilia, 22 June in San Patrignano (Rimini), 29 September in Pesaro, 26 October in Ferrara and 2 December in Bologna together with Poligrafici Editoriale (QN-il Resto del Carlino-La Nazione-Il Giorno) on "How to create value for the local economy", on innovation, the mission of banks and businesses for economic recovery and new frontiers for tourism, with considerable participation on the part of the general public;
- press conferences that illustrated the cycles (spring and autumn) of the "Meetings with the Author" event, sponsored by BPER Banca, at the BPER Forum Monzani of Modena, which saw the involvement of the most important names in contemporary Italian literature, in the presence of a large audience;
- the publication in February, April, September and November 2016 of four issues of the house magazine "Per Voi". Note that the online version of the magazine is constantly updated;
- the organization and coordination of the conference on "Bank and territory, opportunities and certainties for families and businesses", which took place on 23 March 2016 at the registered offices of Cassa di Risparmio di Bra (Cuneo) with the presence, among others, of the general manager of the Parent Company Togni;
- the press conference for presentation of the handbook entitled "Pathological Gamblers and Banking Services" held by BPER Banca on 17 May 2016 in the press room of the Chamber of Deputies;

- media relations related to a project included in the 2015-2017 business plan, namely "Dinamo", details of which have been provided in the chapter on strategic transactions;
- the efforts made through the press conferences on 7 June 2016 and various press releases to advertise the initiative entitled "BPER Banca Beach Volley Italia Tour 2016 e Coppa di Lega BPER Banca", which took place in 7 stages in different locations throughout Italy. The Games were well attended by the general public and the new brand gained considerably in terms of recognition as a result;
- media relations, with interviews of BPER Banca top management by Class-CNBC and other national and local television stations, at the time of the Assiom-Forex Meeting on 30 January 2016 in Turin, the Fabi national conference on 12 February 2016 in Milan, the "Final Considerations" of the Governor of the Bank of Italy on 31 May 2016 in Rome and the "Savings Day" on 27 October in Rome;
- the organisation of and media relations on behalf of BPER Banca's premises in Modena, Ravenna, Avellino and Matera that participated in the 15th edition of "Invito a Palazzo". The event, which exhibited to the public at large, art masterpieces not normally visible that are stored in the historical premises of Italian banks, involved the premises of 100 banks and foundations in 50 cities and towns and 16 regions throughout Italy;
- the organisation and coordination of a conference entitled "Financial education: the challenge to be won for sustainable growth", which was held in Matera on 6 October in the Casa Cava Auditorium. The event, which was organised by BPER Banca and Etica Sgr, focused on topics concerning financial education with a view to social responsibility towards the communities in which the banks are present;
- the organisation and coordination of an "Evening of Good Wishes" held on 20 December at the Palapanini in Modena, starring Elisa (an Italian singer) in a highly acclaimed concert. The event also constituted a foretaste of the initiatives planned for 2017 to celebrate the 150th anniversary of the Bank's foundation.

From a quantitative point of view, there were over 37,500 articles (in the press and on the web) mentioning BPER Banca in 2016, the main topics being:

- corporate life and governance of BPER Banca;
- institutional news;
- initiatives in favour of customers and the territory;
- changes in the presence and structure of the Group;
- initiatives concerning corporate social responsibility.

BPER Banca was mentioned on national and local television about 850 times in the above period.

Multichannel

Internet banking

In 2016, Smart Web was enhanced by the introduction of various innovations.

In February, a monthly report was created to address Smart Web and Smart Mobile online data and to track customers' transactions and behaviour so as to be able to interpret them and translate them into improvements in relationships between customers and the various channels.

In July, thanks to an exclusive partnership formed with Amazon, a section was created for internet banking users entitled “Amazon for me”, a web page that offers Smart users a showcase of products dedicated to the Bank's customers.
In the same month, the following were released on internet banking:

- Live Person, an automatic and pro-active help-line for customers: a system with dynamic content and a pro-active chat that only appear when the user really needs them and that the customer can use to ask for help from the Contact Centre. The objective is to increase the percentage of customers who connect to internet banking and to reduce the user rate for customers who have not yet made their first-time access;
- a “Single Payment” procedure within the existing “Bollettini CBILL” bill paying service whereby payment can be made quickly and simply of payment slips payable by customers and by others.

In September, apps were launched for tablets: two apps entitled “Smart Mobile Banking” and “Smart Mobile Trading”, both of which were developed as native apps for the two operating systems (iOS and Android). The Banking app provides the user with new functions for the management of daily activities, over and above those previously available for the smartphone app (for example: reminders for payments falling due; and the payment of post office payslips by photographing the barcode). With the Trading app, the user may manage his/her investments directly from the tablet, monitor the performance of financial markets and his/her portfolio and manage orders placed. Moreover, both apps guarantee a strong customisation of the workspace, in order to propose to the user information and functions that he/she uses the most, making it simpler and faster to manage transactions.
In the same month, the Smart Web function “Tax relief bank transfers” was released, whereby it is possible to make bank transfers for tax relief using deductions provided for by law for the refurbishment of buildings and energy savings.
At the year end, project “Couponing” began, which consists of the creation of an internet banking section named “Promotions reserved for you”, in which a Smart user can find a page dedicated to promotions proposed by selected partners. In this section, each user may view a limited number of coupons associated therewith based on his/her characteristics, he/she may look at details of the offers and download the coupons or, alternatively, send by email the discount code that can be used on the merchant's e-commerce portal (or in a shop that participates in the initiative).

Electronic Money, ATM and POS

During 2016, various activities were carried out to meet the objectives set for the development of the ATM channel as included in the 2015-2017 business plan:

- the new Western Union Money Transfer service was released for ATMs that can be used for the speedy transfer of cash abroad and around the world;
- an initiative was introduced to encourage the use of a representative sample of “advanced ATMs” installed by the Group and which have been hardly used;
- work commenced on the creation of 47 self-service areas with advanced machines (the work is expected to be completed in the first few months of 2017);
- identification of what needed to be done to meet the objectives set out in the 2015-2017 business plan concerning certain services (recycling, CBILL payments, cardless withdrawals, advanced inquiries, issue of INPS vouchers and PIN changes);
- Drive-through ATMs: the launch of an experiment to gauge reaction to the service that is currently available and which permits access to our ATMs by car (ref. project “secure monetics”).

As regards the POS tool, as well as monitoring volumes to meet the objectives set out in the “CartaSì fee structure”, the main activities/projects undertaken in 2016 are detailed below:

- increase of approximately Euro 10 million in the amount transacted in connection with project "Biesse" that the Group follows directly together with the branch and CartaSì;
- development of "WI-FI POS": the latest hardware that had been missing to complete the Group's offering;
- development of a POS related loyalty scheme that would enable merchants/merchant consortiums to create and monitor campaigns for their customers. This would help to differentiate our POS product that, to date, no other banking group in Italy has been able to achieve;
- the launch of a project for the creation of a semi self-service fuel service area that would enable communication with the fuel pump and payment by means of one's own mobile device via an app (ref. project "secure monetics");
- work started on the creation of a new POS category that charges IBAN cards rather than a current account.

As far as cards are concerned, we have been focusing mainly on mobile payments and card control, being the identification of services that need to be developed to meet the Group's needs regarding mobile card services.

In addition to projects for individual segments, other objectives have been pursued such as various types of collection tools (physical POS, virtual POS/e-commerce) and key business issues such as the innovation and competitiveness of individual products.
In the latter part of the year, an in-depth review commenced of the new PSD (Payment Services Directive), the European directive on payment systems that needs to be implemented by the beginning of 2018 with the objective of standardising the procedure for the execution of digital payments, for rendering transactions safer and for consumer protection.

Interbank Corporate Banking service (ICB)

The ICB (Interbank Corporate Banking) service is the main channel by which BPER Banca Group provides cash management services to its Business Customer.
ICB is an electronic data transmission service relating to banking and commercial transactions offered by a financial institution (the Offeror) to a business client, not only by the Offeror, but also by other passive financial institutions.
The data flows may encompass collection and payment orders, information and document management.
This service is provided in accordance with rules established by the ICB Consortium.

The main activities that will impact customers are:

- Launch of a project relating to CBILL payments
- Adherence to requirements of Single Euro Payments Area (SEPA) regulations
- Compliance with the AGID agreement for payments to public administrations
- Compliance with the agreement with Equitalia for CBILL-ICB payments
- The introduction of new features:
  - Payment of customs duties by bank transfer
  - Payment of car tax
  - Payment of postal payment slips
  - Top up of prepaid cards
  - Top up of telephone

- Functional process adjustments to electronic invoicing service
- Rationalisation of ICB products.

Contact Centre

2016 saw the Contact Centre's historical hub in Modena being joined by new hubs in Avellino, which has been active since June, and in Sassari, which has been active since November, with total resources at the year end numbering 90 persons.

The Contact Centre has consolidated the support it provides to the branches by cooperating significantly therewith by means of the execution of commercial campaigns planned by the Bank, as well as the development of reactive inbound activities aimed at commercial proactivity relating to a predefined range of products that are proposed at the end of support calls received from customers.

Since June 2016, two new customer relationship channels have been launched: Chat, which is currently available only for certain Smart Web pages, but will be gradually extended, and WhatsApp. Both platforms have been well received by customers with almost 3,000 contacts each in 6 months.

The key figures for 2016 are: 135,052 calls answered (with a level of service equal to 95%), 115,470 calls made for information and promotion campaigns, 15,121 appointments made on behalf of the branches with Group customers and 17,605 replies to customers via e-mail.

4.3 The relationship with the market: Investor Relations

Against the difficult market conditions experienced over the past year, Investor Relations activities were designed to ensure complete, timely and transparent disclosures to the market of the results of the Bank and the banking Group, significant operating events, action taken as a consequence of regulatory changes and other aspects of interest to the financial community. Also significant is the activity that involves communicating with the Rating Agencies and providing their analysts with information.

In particular, the principal Investor Relations activities have included:

- conference calls following approval of the annual and interim results;
- participation by BPER Banca management at international conferences, road shows and one-on-one meetings, which made it possible to present the Banking Group to over 400 institutional investors;
- periodic meetings with institutional investors and analysts who monitor the Bank for their own independent research (currently BPER Banca shares are actively followed by 13 analysts in Italian and foreign firms);
- continuous requests for information and clarification from analysts, investors and the Bank's own shareholders and customers.

The intense activity by management aimed at spreading awareness of BPER Banca internationally led to an increase in the number of Italian and foreign institutional investors with shares in the Bank and helped to support the volume of trading in the shares on the stock market, increasing their liquidity.

4.4 Commercial and service policies

Group processes

During the year, implementation was completed of project Footprint, which had been envisaged by the 2015-2017 business plan and which has significantly redesigned the Group's distribution structure, with the objective of improving the effectiveness and efficiency of distribution, of focusing on skills and of improving service quality for various customer segments.

Again as envisaged by the business plan, a project was completed aimed at defining the governance mechanisms for the commercial supply chain, especially as regards the dialogue between the centre, semi-centre and network.

Work was completed on the standardisation and homogenisation of a means for facilitating dialogue on commercial performance at all levels of the Business Area, thanks to the definition of a process for the analysis and interpretation of results, through the use of common reporting, which enables the identification of the strengths and weaknesses of each organisational unit and, as a consequence, it helps to plan customised corrective measures.

In this context, significant improvements have been made to commercial planning tools, through the implementation, in conjunction with normal top down CRM planning (Air), of a number of commercial actions that can be selected and implemented directly by the on-demand sales network (Ground). The annual planning process has been improved with the objective of greater consistency between market trends, customer needs, performance of marketing metrics and strategic positioning as established by senior management.

Similarly, in 2016, work was completed on the revision of the product approval process operating model, which had to be done for a number of external and internal factors. The revision of the process made it possible to refocus objectives (especially that pertaining to the encouragement and appreciation of business ideas to increase the Group's competitiveness), while combining needs for simplification and maximisation of value with full regulatory compliance by also taking account of forthcoming changes to the regulatory framework.

The Group's commercial agreements

2016 saw BPER Banca Group conclude important agreements with the aim of constantly developing products and services with a view to customer centricity.

In fact, BPER Banca has been the only Italian bank to have entered into an important commercial agreement with Amazon that offers its customers an innovative and distinctive service within the context of increasing use of e-commerce.

With the objective of expanding and improving the private banking customer value proposition, BPER Banca, in collaboration with iShares, which belongs to BlackRock group, has developed an important partnership with the objective of offering an insurance solution, namely ETFs, developed by Arca Vita and placed by the Private Banker network of BPER Banca Group's banks (BPER Banca, Banco di Sardegna and Cassa di Risparmio di Bra).

This agreement has made it possible to offer private banking customers an innovative investment service, capable of combining the advantages that are typical of an insurance solution with the chance to take advantage of various market opportunities, with the versatility and efficiency that come with ETFs.

A constant feature of BPER Banca Group in 2016 was the attention given to the development of partnerships with entities, universities and associations based on collaboration and proximity to the territory.

In order to support the people and businesses affected, unfortunately, by frequent natural disasters that occur on the territory, a coherent plan of interventions (loans) has been drawn up, characterised by the speed of availability, a key element in emergency situations.

Products and commercial activities

Retail

2016 was characterised by a consolidation of the customer management process through increasingly sophisticated methods of contact and relationship governance. The commercial proposition was focused on the management - both proactive and reactive - of all customers' basic and sophisticated needs.
Advisory services to higher net worth customers also continued. Particular attention has been given to the protection of assets and of the family, the restructuring of financial portfolios and succession and pension planning.
As part of the growing needs of smaller companies, there is the strengthening of business service models, intended to bring the Bank's level of service into line with the needs of each customer.
The commercial offer ranges from deposit-investment products (proposed in accordance with the needs, targets and risk tolerance of the customer), to consumer credit products (primarily intended for families, giving great attention to customers and their requirements), insurance solutions for individuals and businesses, up to non-banking services in collaboration with external partners offering multi-utility services.

Private Banking – BPERPrivate

The Private Banking Division of BPER Banca Group has continued along the path of qualitative and quantitative development of the service with the goal of improving the quality of the offer aimed at satisfying the needs of high-standing customers and standardising the level of service in line with the local particularities of individual geographical areas.
In 2016, a particularly demanding training programme was offered to enable the Group's private bankers to sit the exam needed to register as certified financial advisors, which is a prerequisite to the provision of advisory services through financial promoters.
At the same time, the Group continued to offer training to maintain the high level of skills needed to meet European Financial Planning Association certification requirements for private bankers. Again with regard to training, courses were designed and held to augment managers' skills concerning capital planning and wealth management services.
As regards non-financial advisory services, in 2016 the work of the team of experts in the field of non-life and health protection was consolidated, joining the network in customer advisory services for the evaluation of needs in the field of personal, health and asset protection. Again in 2016, numerous meetings were held that gave rise to an increase in insurance production of approximately 12%. These results reflect BPER's ongoing commitment to offering advisory services for Global Wealth Management.
As regards the financial offering, we continued to select and maintain the best SICAV segments chosen from among the key international players in the field of asset management. This ensures BPER Private's financial offering is of an extremely high quality, in line with the main competitors in the sector.
In the latter part of the year, the platform was released for the provision of advisory services through financial promoters. The proposition of the service to the clientele commenced gradually, based on the propensity to digitalisation, taking into account the fact that clients in this segment tend to be elderly.
Lastly, 9 Top private events were held locally to present private banking services to high-standing non-customers and 18 Caring events were held for existing customers in all territorial divisions.

Corporate

In 2016, corporate customers were taken care of by means of a comprehensive development activity implemented through sales campaigns with the aim of increasing the quality of lending and of increasing the range of services offered to customers.

In particular, new customers with high credit worthiness and strong balance sheets were acquired by offering the following Corporate products:

- short-term and medium/long-term loans against liquidity made available by the European Central Bank (ECB): short-term loans (with maturities up to 18 months) and medium-term loans (with maturities between 30 and 60 months) at very favourable conditions for Corporate Customers, in terms of the spread to be applied on the interbank parameter and in terms of fees.
- INNOVFIN: thanks to the guarantee provided by the European Investment Fund (EIF), loans at very favourable conditions for SMEs involved in the production and development of innovative goods, processes or services, characterised by intensive Research & Development and/or Innovation activities.
- Traditional medium-long term loans backed by government guarantees provided by the Guarantee Fund for SMEs, various type of loans with different maturities backed by the guarantee of SACE (export credit insurance and support for Italian exports) as well as longer-term loans with funding from the European Investment Bank (EIB).
- "Financial packages" for exporting companies linked to specific export contracts, as well as loans at particularly good conditions for higher standing companies.

Moreover, in 2016, again as part of the efforts to improve marketing to Corporate customers, international development support continued to be provided.

This activity, which was facilitated by a strong network of relationships with thousands of correspondent banks across the globe – that constitute an important intangible asset for BPER Banca Group – was supported by the use of a dedicated portal called BPEREstero, by means of which BPER Banca Group is capable of providing analysis and reports that are useful for the definition of companies' operating development strategies.

In addition to assisting in the definition of international development plans, BPER Banca Group also provided, thanks to approximately 80 specialists, support and advice in connection with basic and complex trade & export finance transactions (from documentary transactions to post-financing and forfaiting) coupled with cash management services, aimed at improving the efficiency of payments, collections and cash management of companies.

A further activity was developed in 2016 to assist Corporate customers with their commercial development, aimed at equipping the Group's branch network with new, advanced IT tools to facilitate the analysis and assessment of companies. In this regard, commencing September 2016, a new application was gradually released, with the following key objectives:

- to speed up the analysis and assessment of companies;
- awareness of actual and prospective business needs;
- increased awareness of the competitive environment in which companies are positioned (microsector, supply chain, main competitors…);
- greater efficiency in the link between commercial and decision-making processes;
- identification of potential specialist needs of companies to alert BPER Banca's relevant service lines (especially foreign services and corporate finance);
- creation of future commercial opportunities with potentially new business customers.

The use of this IT platform in close cooperation with the chief financial officers of the companies has also made it possible to allow the companies themselves to benefit from an effective cognitive tool that helps them to understand their needs and to prepare their financial and investment plans.
It should also be noted that, at the end of 2015, a commercial agreement was entered into with the investee company SIFA' s.p.a., which made it possible to offer long term car rental services to Corporate customers in 2016. SIFA' s.p.a. (over which there is de facto control) handles all phases of the supply and management of motor cars, thus optimising the administration and maintenance of a company's entire car fleet and freeing company resources from this burden, while providing companies with some certainty regarding costs for the use of cars without having to immediately disburse the entire amount needed for the purchase thereof.

4.5 Lending policies

Based on the macroeconomic environment, which was discussed at the beginning of this report and on the scenario expected in 12 months' time, the Group defined its credit policy for 2016 by providing guidelines and objectives with a view to optimising the loan portfolio in terms of risk-return. The foregoing took account of the sustainability of the objectives, compliance with current laws (I.C.A.A.P Regulations) and the concepts of sound and prudent management.

Through internal models for measuring credit risk, recognised and authorised in late June by the European Central Bank, we identified a target scenario for changing the mix of the loan portfolio, in both qualitative and quantitative terms, with the aim of giving preference to Retail customers (primarily households, but also Small Businesses and Retail SMEs), in line with forecasts included in the 2015-2017 Business Plan, and the development of sectors with growth expectations and a high degree of internationalisation, such as Mechanical Engineering, Food, Rubber, Plastics and Pharmaceuticals.

Guidelines for asset allocation targets for the performing exposures of Group banks and which have been laid down for portfolio management, have been provided on the basis of the following drivers:

- economic sectors: *i)* "In" sectors for the development and increase market shares; *ii)* sectors of excellence and those with special characteristics, especially "Made in Italy" exports, to be selected with care and evaluated by experts; *iii)* "Neutral" sectors, being those characterised by non-unique dynamics, where the focus is on assessments of other risk indicators (rating and segment), *iv)* "out" sectors faced by ongoing difficulties and therefore, with significant levels of risk;
- risk segments (repositioning loans to Retail rather than Corporate customers);
- internal ratings (providing guidance on the development of low-risk counterparties and a greater openness to "neutral" sectors as well);
- geographical areas (identifying areas characterised by lower than average risk, development potential and specific entrepreneurial excellence in which to acquire new customers and develop lending) and industrial districts;
- agreed customer potential (determining market share with reference to total lending by the banking system as a whole);
- limitation of past due exposures.

The Group's product-specific companies have also been given guidelines for their leasing, factoring and lending-against-salary operations, considering the intrinsic characteristics of these products and their reduced risk profile with respect to similar banking transactions.

The Group continued to participate in ABI initiatives, which were implemented in 2015, in favour of SMEs (2015 lending agreement – Firms returning to growth) and individuals ("Mortgage solidarity fund", "Suspension of household loan repayments", "Guarantee fund for the first home"), while also guaranteeing support for areas hit by natural disasters via the suspension of loan repayments, as envisaged by law.

4.6 IT activities

The Group's IT function is handled by the consortium BPER Services s.cons.p.a., which is a wholly-owned subsidiary of BPER Banca Group and which is responsible for:

- the study, design, development, supply, management, maintenance and enhancement of IT and related systems and applications, as well as for the provision of data processing and transmission services;
- the provision of back office services, including accounting, administration and operational support, as well as the management of purchasing and shipments of all kinds, the handling of correspondence, valuables and accounting materials, the processing, management and storage of data, and the management of archives and stores.

Also belonging to the Group is a company named Numera (based in Sardinia and fully held by Banco di Sardegna), which is involved in monetics and electronic document management and which provides services within and outside the Group.

The software used by the Group is essentially owned by the consortium, which at 31 December 2016 recognised an amount relating thereto in intangible assets of Euro 129.1 million, net of accumulated amortisation.

The objectives set by the BPER Banca Group in the 2015-2017 Business Plan are reflected in the 2016 IT Plan of BPER Services, which during 2016 took action to strengthen its competitive position, rationalise its operational IT processes and guarantee compliance with regulatory requirements. This led the consortium to increase the carrying amount of its software by Euro 51.2 million, gross of accumulated amortisation of Euro 30.6 million.

The principal work completed by the Systems Division of BPER Services during the year is summarised below:

- review of the network organisational structure and introduction of BPER Banca's new distribution model, which deals with the reorganisation of the distribution network and the introduction of groupings of various branches other than district branches and new types of branches (Hub and Spoke branches), the definition of new network roles (Itinerant Account Managers, Persons In Charge) and the evolution of service and relationship models;
- development of the Private Banking service model by introducing personalised or off-site offers;
- development of a system for the efficient management of BPER Banca Group's bad loans;
- evolution of the Early Warning model for the interception of customers with a potential risk of default;

- the status of watchlist loans was split in three sub-levels to link them back to the level of account manager, process and procedure;
- rationalisation of printouts provided by the credit-granting platform, with the optimisation of the information presented;
- implementation of a whistleblowing policy that enables all staff to report, directly and with guaranteed confidentiality, any unlawful conduct within the Group;
- implementation of technologies to enable security in the field of mobile devices, system administrators and log collection tools, in line with the specific dictates of the Bank of Italy's Circular no. 285;
- implementation of a single "Payment Hub" platform for the management of SEPA traffic in the Payments and Receipts sector;
- introduction of a Service Oriented Architecture (SOA), which enables the construction of a single application framework to be used both in the construction of new applications and in the evolution of current IT components;
- adaption of all information systems impacting the sale of Banca di Sassari's branch network to Banco di Sardegna (Project Dinamo).

Additionally, the 2016 IT Plan prepared by BPER Services envisages continuation of the following activities:

- development of an integrated platform that allows the definition of a system of remote indicators and controls, in order to improve the ability to identify at any time those anomalies that represent a concrete risk for the Bank. This will benefit the Group's various control functions (Internal Audit Department, Anti-Money Laundering Unit and Compliance Unit);
- adaptation to New European Supervisory Provisions through software interventions to ensure adaptation to the new European Supervisory Provisions for the management of accounting data and prudential supervision (EBA Reports - FINREP and COREP), recording of historical losses on default positions (Circular 284), the new measurements of fair value (IFRS 13) and Basel 3 reports on the liquidity ratios of the BPER Banca Group;
- optimisation of processes for transfers to non-performing;
- definition and implementation of the data governance and data quality framework through the activation of organisational procedures and operational regulations, the development of an integrated platform to support operating activities and the control of governance and quality of data by means of the re-engineering of the data warehouse environment;
- simplification of work-flows and of the credit granting and disbursement process to improve decision-making processes in order to minimise the "time to yes" on low-risk positions;
- adoption of the new accounting standard IFRS9, which aims to define the treatment to be applied for the recognition and measurement of financial instruments, while ensuring more timely recognition of expected losses;
- development of a new interbank application for the presentation of cheques for payment electronically in line with ABI requirements.

As regards Numera, the company, which is fully held by Banco di Sardegna, has included in intangible assets an amount of Euro 8.8 million that is essentially unchanged compared to the prior year figure.
The most significant events that occurred during the year, in which the company celebrated its 30th anniversary, included the accreditation in December 2015 to the register held by the Agency for Digital Italy of the Keepers of electronic documents pursuant to art. 44 *bis* of the Digital Administration Code –

the first and still the only Sardinian entity to have achieved this – as well as PCI-DSS certification. This new asset, which is a highly rated operational mode for the performance of IT tasks to the highest industry standards, represents, at the same time, a point of arrival and a new starting point for development programmes that the company intends to pursue in the near future.
Other events that characterised the year include:

- consolidation of the service concerning electronic payment and collection orders and revenue arising from expansion outwith the area where it has traditionally operated;
- renegotiation of the agreement relating to the document management service provided to Group banks;
- renegotiation of the POS service agreement.

4.7 Real estate sector

At 31 December, the Group's real estate sector consisted of over 700 properties with a total carrying amount of Euro 885.3 million (Euro 263.6 million attributable to land and Euro 621.7 million attributable to buildings), in addition to properties recognised as other assets with a carrying amount of Euro 19.3 million, consisting of property held for resale by the Group's real estate companies.
The fair value of the properties amounts to Euro 994 million, which is thus over Euro 100 million higher than their carrying amount.
During the year, the Group continued to manage the freehold property portfolio, both with regard to the branch network and the offices which house General Management, with the performance of refurbishment and ordinary and extraordinary maintenance. In addition to the ordinary management of the business's properties, various streamlining initiatives were performed to obtain cost savings.
During the year, value was added to the real estate sector by means of property purchases amounting to Euro 34.2 million as well as expenditure on improvements of Euro 8.1 million.
In this regard, significant interventions were made in areas badly hit by devastating earthquakes in recent years, including:

- L'Aquila (head office): as regards the building, which was hit by an earthquake in 2009, reconstruction work started on 30 March 2016 and is expected to be completed in June 2018;
- Cavezzo: as regards the building, which was hit by an earthquake in 2012, reconstruction work started in December 2016 and is expected to be completed by mid-2018;
- Concordia (Modena): as regards the building, which was hit by an earthquake in 2012, reconstruction work started in October 2016 and is expected to be completed by the end of 2017.

Ordinary maintenance work, the cost of which came to Euro 42 million and which was allocated to administrative expenses under "maintenance and repairs", was performed for the following reasons (in order of priority):

- safety measures for those properties for which defects or deterioration could cause injury to persons and / or property;
- to render currently non-income generating properties capable of being leased or sold;

The main interventions took place in Basilicata, Emilia-Romagna, Abruzzo and Sardinia and related to project areas envisaged by the business plan, such as the new "BPER: Banca" Brand, with the replacement of signages that commenced last year, branch design in accordance with the new concept and the completion of project "Hub and Spoke", as well as interventions that were needed in Sardinia following the sale to Banco di Sardegna by Banca di Sassari of its entire branch network.

During the year, in compliance with applicable accounting standards, the real estate sector recognised a total depreciation expense of Euro 18.3 million, as well as impairment losses relating to a number of properties.
Impairment testing is required for the determination of the fair value of property held for whatever purpose. It is usually done based on generally accepted valuation methods and principles, also with the help of independent specialists. In fact, at the end of 2011, the Bank's entire real estate portfolio was subject to an expert appraisal by Praxi s.p.a. (a so-called "full on-site inspection"), which was then revisited this year via the performance of a desktop review, in addition to "full" specific checks in cases where this was considered necessary. Details of the rules adopted by the Group are provided in Part A of the Explanatory notes.
In 2016, Praxi s.p.a. performed the appraisal work for almost all of the properties (except for some exceptions, such as Sardaleasing, as was the case for the valuation of leased property), in compliance with the standards set out in the Appraisal and Valuation Standards (the so-called "Red Book") issued by the Royal Institution of Chartered Surveyors (RICS).
The market analysis was carried out by detecting, in percentage terms, the average change in the trend in the area during the period examined (from 31 December 2011 to 31 December 2016) and drawing on information from bibliographic data by sector, from comparables (data held by the company) and from interviews with local real estate agents.
Given the initial assumptions, in the light of information gathered from sector studies, for certain types of real estate assets (mostly located in high value districts in homogeneous areas, so less sensitive to market fluctuations), specific additional research has been introduced: to gain more accurate measurements, surveys were carried out in "targeted" zones, making it possible to detect variances that are closer to reality.
During 2016, full appraisals were commissioned for buildings subject to commercial negotiations to be sold and certain other properties potentially sellable, with a significant value.
It should be noted that, in this context, the term "market value" means the estimated amount for which a property or liability could be sold and purchased at the valuation date by a seller and a buyer without particular connections, both interested in the sale, under competitive conditions, after adequate marketing in which the parties acted in an informed manner, knowingly and without coercion (in fact, the concept of "market value" is linked to the notion of "fair value").
This activity highlighted the need to write down the carrying amount of the real estate sector by Euro 9.4 million, compared with the Group's total real estate assets of Euro 621.7 million (net book value of the buildings), in addition to writedowns of property held for resale by Group real estate companies for Euro 3.7 million.

4.8 Human resources

Close cooperation between the various staff functions, the Human Resources Department and Group Banks and Companies has led to the achievement of significant results, in line with the targets set by the Business Plan.

Staff search and selection

In 2016, in line with the provisions of the Group's three-year Business Plan, the recruitment of external resources focused very much on the need to find specialists, while the replacement of normal staff turnover was limited.

Depending on the nature of the staff positions that need to be filled and the type of person required, recourse was made to the following contractual opportunities offered by current law:

- permanent contracts for hiring candidates with specialist skills (with personal negotiation of entry salary and position, in order to preserve internal balances as much as possible, also from a remuneration point of view);
- apprenticeship contracts were used for junior members of staff;
- in other cases (temporary replacements), short-term contracts were used, mainly under temping contracts and, marginally, under fixed-period contracts.

Management and Development of Resources

The projects envisaged by the 2015-2017 business plan are nearing completion. In particular:

- the HR project dedicated to downsizing further the Group's headcount in compliance with the objectives set by the business plan. The difficulties involved in the implementation of the project lie in the need for consistency and compatibility between the freeing up of "resources released" and their use in new job positions;
- the evolution of the organisational structure of the central functions has led to the organisation chart existing at the beginning of 2017 as a result of the delayering carried out. This evolution was combined with that completed in 2016 with respect to the network and semi-centre, which were reorganised according to the new “distribution footprint". The prolonged phase of commercial and organisational development has had an impact on HR management. The action taken has made a compromise between the maintenance of governance, the safeguarding of quality standards and the appropriate professional development of the personnel concerned. Following this logic, "replacement tables" were drawn up and which, at the end of 2016, helped to plan replacements for many resources, who applied for voluntary redundancy and who exited the Group at the year end: in many cases, they vacated important positions, which have been entrusted to colleagues who have thus been offered a chance to grow and the means of doing so;
- the diagnosis and development of staff skills and potential continues. This is being handled by managers, whose skills were certified upon the completion of dedicated training courses;
- work on the Mobility Centre continues in accordance with the union agreements reached in 2012, 2014 and 2015. The objective continues to be the optimisation and maximisation of the transfer of resources within the Group, in order to satisfy employees' numerous needs, while heavily restricting the level of recruitment. The activity is complex and involves going through a change, both physical and cultural, that helps members of staff understand the logic of geographical mobility.

The Group's headcount at 31 December 2016 came to 11,637 people (in addition to 30 on leave). The phase now underway, which will continue in the second half of the current period of the business plan, sees the Group involved in handling the departure of those who signed up for voluntary redundancy, partially offset by new hires: in addition to the obvious impact on the number of employees, in line with the objectives of the Business Plan, work has already commenced on replacing the resources that have left so as to restore coverage of the positions that are due to fall vacant. The manoeuvre is an opportunity to accelerate the development of the Group's human resources.

Cost control and remuneration policies

During 2016, in addition to the routine activities of monitoring and forecasting the trends in staffing costs, specific activities have been planned and implemented to limit part of these costs and to respect the guidelines set in the present Business Plan.

The Planning Unit, in consultation with other relevant corporate functions, helps the Corporate Bodies to define suitable remuneration policies by performing analyses and by monitoring the Group and the banking system as a whole, ensuring that these policies are consistent with those approved by the Shareholders Meeting. Moreover, it determines and manages the MBO (Management By Objectives) process.

Internal communications

2016 was an important year for the Group's internal communications.

BLink established itself as the sole intranet and as a fundamental tool for business development, for the promotion of internal culture and for the provision of support to senior management for strategic communications. Internal communications handled the editorial plan and the publication of content, as well as having listened and provided support and training to colleagues. Work is currently ongoing on changes to the graphic layout and improvements to certain features that is planned to be completed in the first few months of 2017.

With the Group's monthly magazine “PER NOI”, internal communications has provided ample coverage and details of information on the implementation of the most important projects envisaged by the business plan, in close collaboration with the functions involved, with the objective of informing colleagues, but also to foster awareness, participation and engagement.

Structured communication campaigns have included delayering, Project Quality, the adoption of Footprint within the Group and the dissemination of the 5 Principles of “Essere BPER Banca”. Features that these activities have in common are the coexistence of “direct” communication channels, with events to be attended, “physical” communication channels (with gadgets, posters and customised kit throughout the country) and “online” communication channels via BLink and BLink+ (Intranet areas dedicated to social collaboration).

The campaign for the adoption of the 5 Principles, in particular, represents the result of a complex process that involved listening to and involving colleagues for the identification of the principles, which were then selected in close collaboration with and with the fundamental commitment of senior management. This was an important exercise in the engagement of colleagues that continues and supplements the Brand engagement initiated in 2015.

The dispatch of digital newsletters has made it possible to reach out, individually, to every colleague on the occasion of particularly significant internal and external institutional events.

Training

During 2016, training initiatives aimed at developing managerial, behavioural, regulatory and technical skills, with particular attention to strengthening those required to adequately cover the network roles deriving from service models, involved almost all colleagues.

The key events that occurred during the year includes project “Footprint”, which redesigned the organisational structure of the network by introducing, as far as the branches were concerned, the Hub & Spoke model. The training plan that accompanied the project involved most of the network resources on two separate occasions, the first of which was immediately prior to the introduction of the new structure and which had the aim of explaining the key elements and to engage the staff, while the second was focused on the development of the skills required to perform the new roles.

The profound changes made to the credit and loans area led to the development of a training course named "Executive programme in corporate finance and credit analysis”. The eight day course was designed together with SDA Bocconi and involved in classroom sessions all the resources of Problem Loans and of Performing Loans and key persons from the corporate segment, with a total of 240

participants. Topics covered ranged from the analysis of credit rating to the assessment of turnaround plans coupled with an insight into legislation concerning the handling of corporate crises. SDA Bocconi will issue a skills certification only to those with a 75% pass rate after having sat the tests at the end of each module. The training associated with the maintenance of IVASS certification has been redesigned and delivered following major changes included in the IVASS regulations. Private Banking colleagues not yet registered as financial advisors took a twelve-day course in preparation for the related examination.
These courses highlighted legal and regulatory issues, such as anti-money laundering, the MiFID legislation, transparency, updating the Organisation, Management and Control Model under Legislative Decree 231/01 and the State-Regions Agreement in connection with Law 81/06.
With the advice of CONFORM Consulenza Formazione e Management s.c.a.r.l., an affiliate, various Group banks have requested and obtained grants from Fondo Banche e Assicurazioni and FONDIR for the implementation of numerous training projects.

Labour Relations

In 2016 negotiations continued on trade union procedures related to some of the most important extraordinary projects envisaged by the 2015-2017 business plan (especially the evolution of the "Project Footprint" distribution model and the launch of the delayering exercise) as part of a dialogue between the parties that again made it possible to reach the signing of important agreements, even while recognising the increasing difficulty in the management and governance of the complexity caused by an economic, social and political scenario that has been rendered even more unstable and uncertain by increasing difficulties being experienced by the banking sector.
The following agreements that the Group has entered into with the unions are of particular importance:

- the signing of the verification report on the Personnel Manoeuvre as mentioned in the Framework Agreement entitled "Processes of reorganisation, restructuring and upgrading and consequent employment tensions", through which BPER Banca wants to achieve important objectives foreseen in the Business Plan (optimisation of the work force and structural reduction of labour costs). Overall staff reductions at the end of the 2015-2017 business plan are expected to be 581 persons, as resulting from an estimated 781 resignations and the planned recruitment of around 200 specialised profiles, most of which are already included in this first period of the business plan. The optimisation of resources will help achieve annual savings in 2017 of Euro 56 million compared with the cost forecast for the same period without the Manoeuvre. As a result of the verification, the number of acceptances received makes it possible to confirm the business plan forecast;
- agreements with the Trade Unions on the company *bonus*, designed to reflect the important changes in corporate welfare contained in the 2016 Stability Law;
- a Framework Agreement on video recording and video surveillance;
- the Agreement with the Trade Unions to implement the NPL Project – "To extract value from bad loans";
- the report on "Operations" with regard to the consortium company BPER Services;
- a Memorandum of Understanding concerning "Dinamo and Consumer Finance" by means of which Banca di Sassari sold its entire branch network to Banco di Sardegna structured as the sale of a business unit;
- the execution of a Memorandum of Understanding by means of which BPER Banca, having foreseen a severe employment issue, hired 19 Retail Banking Services employees for the Sassari Contact Centre.

In 2016, significant improvements were made to the Welfare Plan, which, in addition to employees of the Parent Company and the Sardinian banks, is now available to employees of Cassa di Risparmio di Bra, BPER Services, Optima, Sardaleasing and Numera. Legislative changes impacting corporate welfare have made it possible to extend the services to employees and their family members and there has been constant growth in the use of the benefits thereby based on individual, specific needs.

4.9 Corporate Social Responsibility

During 2016, Corporate Social Responsibility, which is handled by the specific, dedicated function, together with the corporate welfare function, where necessary, focused on the following areas:

- Work started on planning and staff training for the preparation of BPER Banca's first sustainability report. The sustainability report will be prepared in accordance with GRI G4 (Global Reporting Initiative) guidelines, it will be audited by PWC and will be subjected to the same approval process as the financial statements. The report will provide a detailed description of BPER Banca's governance concerning social and environmental issues, with ample coverage of the redistribution of wealth. The new reporting requirements have been addressed by the provision of training to colleagues who handle the relevant data.
- The provision of training and advisory services to Banco di Sardegna concerning sustainability and sustainability reporting with a view to the preparation of its first sustainability report.
- Microcredit: an update was made to the internal circular (no. 352 of 21 October 16), which embodies the agreement with PerMicro Spa; in addition to the relationship with PerMicro s.p.a. and MXIT (Microcredito per l'Italia Impresa Sociale s.p.a.), the "Avere credito" project, promoted by Fondazione CR Carpi (Modena) and the "Fides et Labor" initiative of the Diocese of Carpi are also available at local level in the Carpi area (Modena).
- The organisation, in collaboration with Etica Sgr, of a conference entitled “Financial education: the challenge to be won for sustainable growth”, which was held in Matera on 6 October 2016.
- Presentation of the guide to "Pathological gamblers and banking services" (an absolute novelty in Italy), at various national conferences and local initiatives addressing the prevention of pathological gambling.
- The organisation, during the Francescano Festival (September 2016) of a meeting addressing the prevention of pathological gambling in collaboration with the Associazione “Umanamente”, Bologna.
- Organisation of financial education initiatives promoted by the Foundation for Financial Education and Savings, which are directed in particular at middle and high school students; on 6 December 2016, two events were held in Potenza that addressed the following topics: “EconomiAscuola - Lessons in Economic Citizenship and Sustainability” and “PAY 2.0 – The future of money”. A financial education project linked to the "Grande" website for primary schools was also launched. As for the question of financial education for adults, a survey was conducted that made it possible to identify topics of interest to our customers concerning financial education and a first module was tested for "Migrants" in collaboration with "Be Atlas".
- Participation as representatives of the BPER Group in various working groups (ABI, Fondazione per l’educazione finanziaria e al risparmio, Forum per la Finanza Sostenibile, Associazione aziende modenesi per la RSI, Impronta Etica, Centro Servizi per il Volontariato di Modena ecc.) on the theme of Sustainability, Sustainable Finance (decarbonisation of investments), Welfare, financial inclusion and the EU Directive on non-financial reporting currently being transposed into Italian law.
- Participation in ABI working groups on climate change.

- Participation with the project entitled "Sustainable finance and climate change" run by the Forum for Sustainable Finance in collaboration with ANIA e ABI.
- Revision of the sustainability section of the website.
- Coordination of the Ferrara based "Il mantello" solidarity emporium project and the provision of a lecturer for "Ethics in BPER", as well as assistance in the prevention of pathological gambling to volunteers of the Associazione Agire Sociale, the proposer of the project.
- Collaboration with the implementation of the project entitled "The talent factory", proposed and run by the Modena Archbishop's Curia (Project Together).
- The verification of full compliance with Group guidelines governing the network's relations with defence contractors and manufacturers of armaments; the provision of training to foreign commercial staff on relations with armaments companies; the drawing up of a proposal for amendments to the guidelines governing relations with defence contractors and manufacturers of armaments.
- Organisation of and advice on action needed to raise the awareness of BPER Banca Group employees with regard to energy savings by participating in the initiative entitled "Italy in Class A" promoted by the Ministry of Economic Development and implemented by ENEA.
- The organisation on 7 September 2016 of the “Kids in the office” initiative.
- Collaboration with the Industrial Relations and Welfare Office on the organisation of “Bike to work”; the initiative, which was held on 16 September 2016 by the Municipality of Modena, formed part of the European Mobility Week campaign.
- Collaboration with CSI and Autodromo di Modena for the organisation of the event named “Learn, drive and do sport”; the main goal of the event, which involved approximately 300 youngsters between the age of 17 and 19 from senior high schools in Modena, was the prevention of driving under the influence of alcohol and drugs;
- The organisation and the presentation of a graduation award in the memory of Andrea Cavazzoli to students graduating from a university in the Emilia-Romagna Region who had submitted a brilliant thesis for their postgraduate or second level degree course on corporate social responsibility during the 2014/2015 academic year.
- Drafting of a proposal for membership of the Fondazione Global Compact Network Italia.
- Review of the questionnaire sent to the "Carbon Disclosure Project" (CDP), an international independent non-profit organisation, which provides the only global system for measuring, publishing, managing and sharing key environmental information.
- A course on "Ethics in BPER" for the Bank's employees, held on 14 November 2016.

With respect to corporate social responsibility, the Group participated in a project named “Be Atlas”, which was launched to address immigration issues; also of note was the Report on the Arms Industry detailed in chapter 9 of this report, "Other information".

5. Scope of consolidation of the BPER Banca Group

5.1 Composition of the Group as at 31 December 2016

The BPER Banca Group has been registered since 7 August 1992 with code no. 5387.6 in the Register of Banking Groups referred to in art. 64 of Legislative Decree 385 of 1 September 1993.

The following is a list of the banks and companies included in the scope of consolidation at 31 December 2016, distinguishing between banks and companies consolidated line-by-line and banks and companies, whether or not belonging to the Group, measured using the equity method.

The BPER Banca Group has decided to align the consolidation methodology used for accounting purposes with that required for prudential reporting purposes. This is discussed further in Part A of these Explanatory Notes.

Details are also provided of the percentage held by the Group[22], with further specific information provided, where necessary, by means of footnotes.

a) Group companies consolidated on a line-by-line basis:

1) BPER Banca S.p.A., based in Modena (Parent Company);
2) Banca Popolare dell'Emilia Romagna (Europe) International s.a., based in the Grand Duchy of Luxembourg (100%);
3) Banco di Sardegna s.p.a., based in Cagliari, which is held as follows: 51% of ordinary shares, 60.724% of preference shares and 46.683% of savings shares (without Voting rights, listed on the Italian Stock Exchange), representing 50.669% of total capital;
4) Banca di Sassari s.p.a., based in Sassari (98.984%)[23];
5) Cassa di Risparmio di Bra s.p.a., based in Bra (Cuneo) (67%);
6) Cassa di Risparmio di Saluzzo s.p.a., based in Saluzzo (Cuneo) (100%);
7) Nadia s.p.a., based in Modena, property company (100%);
8) Modena Terminal s.r.l., based in Campogalliano (Modena), the activities of which are the storage of goods, the storage and ageing of cheeses and the cold storage of meat and perishable products (100%);
9) BPER Services s.cons.p.a., based in Modena, IT services consortium (100%)[24];
10) Emilia Romagna Factor s.p.a, based in Bologna, a factoring company (94.403%);
11) Optima s.p.a. SIM, based in Modena, investment broker (100%);
12) Sardaleasing s.p.a., based in Sassari, leasing company (98.373%)[25];
13) Numera s.p.a., based in Sassari, IT company and subsidiary of Banco di Sardegna s.p.a. which holds 100% of share capital;
14) Tholos s.p.a., based in Sassari, property company and subsidiary of Banco di Sardegna s.p.a. which holds 100% of share capital;

[22] *unless otherwise specified, the percentage shown refers to the Parent Company.*
[23] *held by: the Parent Company (78.462%) and Banco di Sardegna s.p.a. (20.522%).*
[24] *held by: the Parent Company (92.838%), Banco di Sardegna s.p.a. (4.762%), Banca di Sassari s.p.a. (0.400%), Optima s.p.a. SIM (0.400%), Sardaleasing s.p.a. (0.400%), Cassa di Risparmio di Bra s.p.a. (0.400%), BPER Credit Management s.cons.p.a. (0.400%) and Cassa di Risparmio di Saluzzo s.p.a. (0.400%).*
[25] *held by: the Parent Company (51.440%) and Banco di Sardegna s.p.a. (46.933%).*

15) BPER Credit Management s.cons.p.a., based in Modena, a consortium for the recovery and management of non-performing loans (100%)[26].

b) Other subsidiaries measured using the equity method[27]:

1) Mutina s.r.l., based in Modena, used as a vehicle for the securitisation of receivables (100%);
2) Estense Covered Bond s.r.l. based in Conegliano (Treviso), a vehicle for the issue of Guaranteed Bank Bonds under art. 7 *bis* of Law 130/99 (60%);
3) BPER Trust Company s.p.a., based in Modena, with the role of trustee for trusts established by customers, as well as providing advice on trust matters (100%);
4) Estense CPT Covered Bond s.r.l., based in Conegliano (Treviso), a vehicle for the issue of Guaranteed Bank Bonds under art. 7 *bis* of Law 130/99 (60%).

Following the alignment of the consolidation methodologies described in Part A of these Explanatory notes, the above companies have been measured using the equity method, rather than consolidated on a line-by-line basis, since art. 19 of Regulation (EU) 575/2013 (CRR) requires the exclusion of financial and operating companies, including those belonging to the Banking Group, if their total assets and off-balance sheet amounts fall below the lower of the following amounts:

- Euro 10 million;
- 1% of the total assets and off-balance sheet amounts of the parent company or the company that holds the investment.

In addition to the above companies that belong to the Banking Group, the following direct and indirect subsidiaries are including in this grouping at 31 December 2016, even though they are not members of the Banking Group since they do not contribute to its banking activities[28]:

- Italiana Valorizzazioni Immobiliari s.r.l. (100%);
- Adras s.p.a. (100%);
- Polo Campania s.r.l. (100%);
- Galilei Immobiliare s.r.l. wholly owned by Nadia s.p.a.;
- Costruire Mulino s.r.l., a wholly-owned subsidiary of Italiana Valorizzazioni Immobiliari s.r.l.[29];
- Frara s.r.l. (formerly Sviluppo Formica s.r.l.), a wholly-owned subsidiary of Italiana Valorizzazioni Immobiliari s.r.l.[30];
- SIFA'- Società Italiana Flotte Aziendali s.p.a. (35%), of which the Parent Company has de facto control by virtue of being able to exercise significant influence over the company's strategic financial and operating decisions.

c) Companies measured using the equity method

1) Cassa di Risparmio di Fossano s.p.a., based in Fossano (Cuneo) (23.077%);
2) Cassa di Risparmio di Savigliano s.p.a., based in Savigliano (Cuneo) (31.006%);
3) Banca della Nuova Terra s.p.a., based in Milan (30.369%);
4) Alba Leasing s.p.a., based in Milan (33.498%);

[26] *held by: the Parent Company (67.000%), Banco di Sardegna s.p.a. (20.000%), Sardaleasing s.p.a. (6.000%), Banca di Sassari s.p.a. (3.000%), Cassa di Risparmio di Bra s.p.a. (2.000%), Emilia Romagna Factor s.p.a. (1.000%) and Cassa di Risparmio di Saluzzo s.p.a. (1.000%).*
[27] *following alignment of the consolidation methodology with that used for prudential reporting purposes.*
[28] *following alignment of the consolidation methodology with that used for prudential reporting purposes.*
[29] *company that during 2016 had not yet started operating and is still dormant.*
[30] *company that during 2016 had not yet started operating and is still dormant.*

5) CO.BA.PO. - Consorzio Banche Popolari s.con., based in Bologna (23.587%);
6) Sofipo s.a. in liquidation, based in Lugano, held by Banca Popolare dell'Emilia Romagna (Europe) International s.a. which holds 30% of share capital;
7) CONFORM - Consulenza Formazione e Management s.c.a.r.l., based in Avellino (49.410%)[31];
8) Sintesi 2000 s.r.l., based in Milan (33.333%);
9) CAT Progetto Impresa Modena s.c.r.l., based in Modena (20%);
10) Resiban s.p.a., based in Modena (20%);
11) Unione Fiduciaria s.p.a., based in Milan (24%);
12) Atriké s.p.a., based in Modena (45%);
13) Sarda Factoring s.p.a., based in Cagliari (21.484%)[32];
14) Emil-Ro Service s.r.l., based in Bologna (25%)[33];
15) Lanciano Fiera Polo fieristico d'Abruzzo - consortium based in Lanciano (20%);
16) Arca Holding s.p.a., based in Milan (32.752%).

5.2 Changes in the scope of consolidation

Companies consolidated on a line-by-line basis

The scope of consolidation changed since 31 December 2016 due to the following events:

- since 1 January 2016 the company BPER Credit Management s.cons.p.a. is now operating. The company was formed with deed of 22 December 2015 and has been enrolled in the Group on 24 December 2015. It is held by the Parent Company (67%), Banco di Sardegna (20%), Sardaleasing (6%), Banca di Sassari (3%), Cassa di Risparmio di Bra (2%), Emilia Romagna Factor (1%) and Cassa di Risparmio di Saluzzo (1%);
- with deed of 11 May 2016 Modena Terminal subscribed 100% of the share capital of Frigodocks s.p.a. The merger deed for company's absorption by its parent company Modena Terminal was filed on 30 September 2016, with effect for legal and statutory purposes from the same date and for accounting and tax purposes from 1 January 2016;
- on 13 May 2016 the Extraordinary Meeting of Italiana Valorizzazioni Immobiliari s.r.l. (IVI) was held to discuss on the merger of Melior Valorizzazione Immobili s.r.l. (MVI), both subsidiaries of the sole shareholder BPER Banca. The merger took place on 22 June 2016, effective for accounting and tax purposes as of 1 January 2016;
- on 20 May 2016 the transfer of 59.2% of the share capital of Banca di Sassari s.p.a. from Banco di Sardegna s.p.a. to BPER Banca was completed. Therefore, the Parent Company acquired direct control over Banca di Sassari (77.5%) whereas the share held by Banco di Sardegna fell from 79.7% to 20.5%. Already at 30 June 2016 BPER Banca's stake in Banca Sassari had risen again to 78.459%, after individual shareholders accepted the purchase proposal made to them by the Parent Company (0.948%). In the second half of 2016, the Parent Company saw its interest rise to 78.462% following various purchases from shareholders;
- the merger by absorption of Emro Finance Ireland Ltd into BPER Banca was filed with the Modena Companies Register on 8 August 2016, with legal, accounting and tax effects from 1 August 2016;
- Nettuno Gestione Crediti s.p.a. in liquidation was eliminated from the Modena Companies Register on 14 September 2016 on completion of the liquidation procedure.

[31] *held by: the Parent Company (46.430%) and Banco di Sardegna s.p.a. (2.980%).*
[32] *held by: Banco di Sardegna s.p.a. (13.401%) and the Parent Company (8.083%).*
[33] *held by: the Parent Company (16.667%) and Emilia Romagna Factor s.p.a. (8.333%).*

- on 4 October 2016, the Parent Company acquired control of Cassa di Risparmio di Saluzzo s.p.a., for which a significant investment had previously been recognised at 30 September 2016, thus increasing its interest from 31.02% to 80%. On 23 December 2016, BPER Banca acquired full control thereof, thus taking its interest to 100%. Details of the transaction are provided in the chapter in this report entitled “Significant events and strategic transactions" as well as in Part G of the Explanatory notes, since the transaction constitutes a business combination.

The following changes in the interests also took place during the period:

- Banco di Sardegna s.p.a.: the Parent Company, which already owned 50.603% at 31 December 2015, increased its holding to 50.669% after buying savings shares on the market.

6. The BPER Group's results of operations

6.1 Balance sheet aggregates

The more important consolidated accounting aggregates and captions are presented below on a comparative basis with the figures at 31 December 2015, in thousands of Euro, indicating the changes between periods in absolute and percentage terms.

As already mentioned in the chapter on "Significant events and strategic transactions", on 20 May 2016, Banca di Sassari s.p.a. (BDS) and Banco di Sardegna s.p.a. (BSS) entered into an agreement, effective as of 23 May 2016, for the purchase of a business unit consisting of a group of assets organised to conduct banking activities in BSS's 55 branches. This operation has had an impact on the capital ratios shown below, but note that the comparative figures have not been recalculated pro-forma. The sale value of each balance sheet aggregate is provided under the related table, where significant.

Assets

(in thousands of Euro)

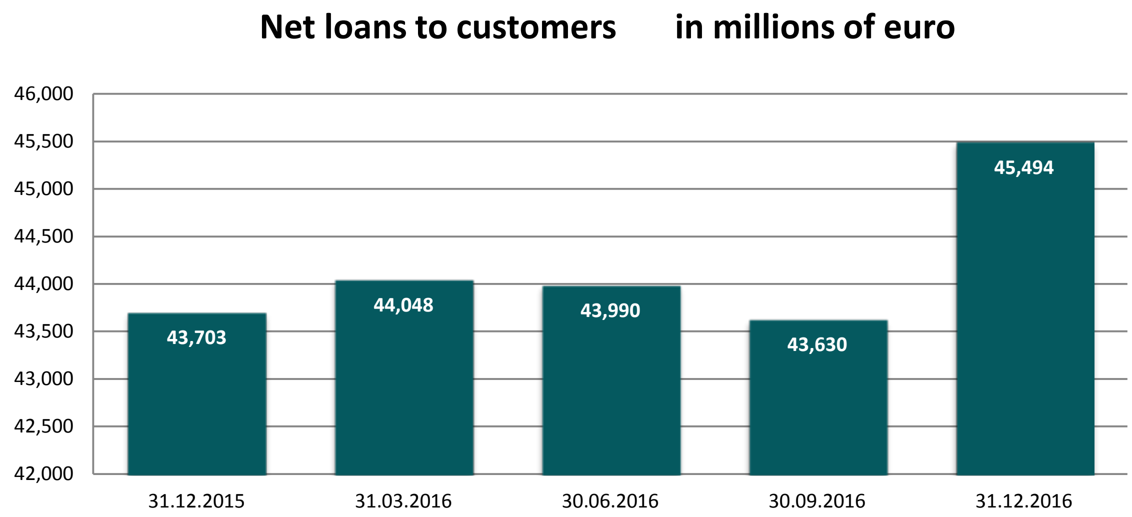
Assets	31.12.2016	31.12.2015	Change	% Change
10. Cash and cash equivalents	364,879	390,371	(25,492)	-6.53
20. Financial assets held for trading	676,844	790,403	(113,559)	-14.37
30. Financial assets designated at fair value through profit and loss	84,307	86,639	(2,332)	-2.69
40. Financial assets available for sale	10,433,222	8,022,164	2,411,058	30.05
50. Financial assets held to maturity	2,515,993	2,663,859	(147,866)	-5.55
60. Due from banks	1,331,811	1,087,313	244,498	22.49
70. Loans to customers	45,494,179	43,702,561	1,791,618	4.10
80. Hedging derivatives	62,365	38,182	24,183	63.34
100. Equity investments	413,923	415,200	(1,277)	-0.31
120. Property, plant and equipment	969,470	941,121	28,349	3.01
130. Intangible assets	517,833	515,164	2,669	0.52
of which: goodwill	361,505	380,395	(18,890)	-4.97
140. Tax assets	1,518,027	1,471,928	46,099	3.13
a) current	221,395	208,238	13,157	6.32
b) deferred	1,296,632	1,263,690	32,942	2.61
b1) of which L. 214/2011	1,073,172	1,072,618	554	0.05
160. Other assets	574,175	1,136,326	(562,151)	-49.47
Total assets	**64,957,028**	**61,261,231**	**3,695,797**	**6.03**

Loans to customers

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Current accounts	5,392,378	5,879,609	(487,231)	-8.29
Mortgage loans	26,487,871	25,082,198	1,405,673	5.60
Leases and factoring	3,372,666	3,352,774	19,892	0.59
Debt securities	322,196	348,521	(26,325)	-7.55
Other transactions	9,919,068	9,039,459	879,609	9.73
Net loans to customers	**45,494,179**	**43,702,561**	**1,791,618**	**4.10**

Loans to customers, net of adjustments, amount to Euro 45,494.2 million (Euro 43,702.6 million as at 31 December 2015), representing an increase in the year of 4.10% of loans to individuals and companies, not only due to the impact of entry into scope of consolidation of Cassa di Risparmio di Saluzzo, but also to an increase in disbursements of mortgages and personal loans.
There have been reductions in current accounts of Euro 487.2 million (-8.29%) and in debt securities of Euro 26.3 million (-7.55%), while there have been increases in mortgage loans of Euro 1,405.7 million (+5.60%), leasing and factoring transactions of Euro 19.9 million (+0.59%) and in other loan transactions of Euro 879.6 million, (+9.73%), comprising bullet loans of Euro 3,406.3 million and advances against notes of Euro 2,145.9 million.



The average interest rate for the year on loans to customers amounted to 2.62%, a decrease of about 43 bps compared with the previous year's average rate.
The spread between lending and deposit rates of banking relationships with customers came to 2.07% (2.25% at 31 December 2015).
The overall gap between the average annual rate of return on interest-bearing assets and the average annual cost of interest-bearing liabilities amounts to 1.86%, down on last year (when it was 2%).

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Gross non-performing exposures	**11,173,562**	**11,394,823**	**(221,261)**	**-1.94**
Bad loans	7,039,097	7,108,668	(69,571)	-0.98
Unlikely to pay loans	3,976,794	4,002,044	(25,250)	-0.63
Past due loans	157,671	284,111	(126,440)	-44.50
Gross performing exposures	**39,480,917**	**37,547,932**	**1,932,985**	**5.15**
Total gross exposure	**50,654,479**	**48,942,755**	**1,711,724**	**3.50**
Adjustments non-performing exposures	**4,976,250**	**5,038,988**	**(62,738)**	**-1.25**
Bad loans	4,029,875	4,134,682	(104,807)	-2.53
Unlikely to pay loans	934,075	875,839	58,236	6.65
Past due loans	12,300	28,467	(16,167)	-56.79
Adjustments to performing exposures	**184,050**	**201,206**	**(17,156)**	**-8.53**
Total adjustments	**5,160,300**	**5,240,194**	**(79,894)**	**-1.52**
Net non-performing exposures	**6,197,312**	**6,355,835**	**(158,523)**	**-2.49**
Bad loans	3,009,222	2,973,986	35,236	1.18
Unlikely to pay loans	3,042,719	3,126,205	(83,486)	-2.67
Past due loans	145,371	255,644	(110,273)	-43.14
Net performing exposures	**39,296,867**	**37,346,726**	**1,950,141**	**5.22**
Total net exposure	**45,494,179**	**43,702,561**	**1,791,618**	**4.10**

The adjustments that relate to performing loans total Euro 184 million (Euro 201.2 million at 31 December 2015; -8.53%), giving a coverage ratio of 0.47% (0.54% at 31 December 2015).
Adjustments to non-performing loans amount to Euro 4,976.2 million (Euro 5,039 million at 31 December 2015; -1.25%) with a coverage ratio of 44.54% (44.22% at 31 December 2015). The total coverage ratio is 10.19% versus 10.71% at 31 December 2015. If we take into account the direct writedowns of bad loans involved in bankruptcy proceedings for Euro 1,066.8 million (Euro 1,244.7 million at 31 December 2015), the coverage ratio increases to 12.04% (12.92% at 31 December 2015). The total actual value of the claim for bad loans comes to Euro 8,105.9 million (Euro 8,353.4 million at 31 December 2015) and the effective coverage ratio comes to 62.88% (64.40% at 31 December 2015). Based on the same considerations, the effective coverage of non-performing loans comes to 49.37% (49.71% at 31 December 2015).

(in thousands of Euro)

Loans to customers	31.12.2016		31.12.2015		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	39,215,734	35,478,258	37,692,717	33,885,273	4.04	4.70	9.53
2. Bper (Europe) International s.a.	257,219	255,059	308,220	308,160	-16.55	-17.23	0.84
3. Banca di Sassari s.p.a.	261,118	252,080	1,420,984	1,289,223	-81.62	-80.45	3.46
4. Banco di Sardegna s.p.a.	8,586,405	7,575,797	7,678,493	6,674,774	11.82	13.50	11.77
5. Cassa di Risparmio di Bra s.p.a.	1,159,539	1,014,579	1,161,440	1,030,203	-0.16	-1.52	12.50
6. Cassa di Risparmio di Saluzzo s.p.a.	678,979	606,189			n.s.	n.s.	10.72
Total banks	**50,158,994**	**45,181,962**	**48,261,854**	**43,187,633**	**3.93**	**4.62**	**9.92**
7. Sardaleasing s.p.a.	3,023,171	2,857,507	2,958,954	2,810,756	2.17	1.66	5.48
8. Emil-Ro Factor s.p.a.	818,293	800,689	743,192	728,552	10.11	9.90	2.15
Other companies and consolidation adjustments	(3,345,979)	(3,345,979)	(3,021,245)	(3,024,380)	10.75	10.63	-
Total	**50,654,479**	**45,494,179**	**48,942,755**	**43,702,561**	**3.50**	**4.10**	**10.19**

As part of the Dinamo project, Banca di Sassari s.p.a. sold to Banco di Sardegna s.p.a., with effect from 23 May 2016, loans and advances to customers for a gross of Euro 1,173,875.6 thousand and a net of Euro 1,051,488.5 thousand.

The non-performing loans (bad loans, unlikely to pay loans and loans past due by more than 90 days) indicated here relate solely to those exposures associated with the *"Loans to customers"* portfolio. Their net amount of Euro 6,197.3 million (-2.49%) is equal to 13.62% of total net loans to customers (14.54% at 31 December 2015), whereas, on a gross basis, it is equal to 22.06% (23.28% at 31 December 2015).
More specifically, net bad loans amount to Euro 3,009.2 million (+1.18%), net unlikely to pay loans total Euro 3,042.7 million (-2.67%) and net past due loans amounts total Euro 145.4 million (-43.14%).
The coverage ratio is suitable for the portfolio's level of risk: the coverage ratio of total non-performing loans comes to 44.54% versus 44.22% at the end of 2015, an increase of 32 bps, notwithstanding sales of bad loan portfolios in the second half of the year with a gross book value (GBV) of approximately Euro 700 million (approximately 10% of the stock at the beginning of the year). Excluding these sales, the coverage ratio would be 2.52% higher.
If we take into account the direct write-offs of bad loans involved in bankruptcy proceedings for Euro 1,066.8 million (Euro 1,244.7 million at 31 December 2015), the effective coverage ratio comes to 49.37% (49.71% at 31 December 2015).

(in thousands of Euro)

Non performing loans	31.12.2016		31.12.2015		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	7,669,831	4,055,628	7,952,978	4,286,724	-3.56	-5.39	47.12
2. Bper (Europe) International s.a.	5,416	3,256	60	-	--	n.s.	39.88
3. Banca di Sassari s.p.a.	10,571	4,192	271,050	147,499	-96.10	-97.16	60.34
4. Banco di Sardegna s.p.a.	2,232,430	1,250,750	2,096,839	1,119,928	6.47	11.68	43.97
5. Cassa di Risparmio di Bra s.p.a.	330,693	191,278	300,846	174,651	9.92	9.52	42.16
6. Cassa di Risparmio di Saluzzo s.p.a.	136,003	68,374			n.s.	n.s.	49.73
Total banks	**10,384,944**	**5,573,478**	**10,621,773**	**5,728,802**	**-2.23**	**-2.71**	**46.33**
7. Sardaleasing s.p.a.	750,149	595,928	690,922	557,009	8.57	6.99	20.56
8. Emil-Ro Factor s.p.a.	38,469	27,906	30,399	21,430	26.55	30.22	27.46
Other companies and consolidation adjustments	-	-	51,729	48,594	-100.00	-100.00	0.00
Total	**11,173,562**	**6,197,312**	**11,394,823**	**6,355,835**	**-1.94**	**-2.49**	**44.54**
Direct write-downs of bad loans	1,066,784	-	1,244,739	-	-14.30	n.s.	100.00
Adjusted total	**12,240,346**	**6,197,312**	**12,639,562**	**6,355,835**	**-3.16**	**-2.49**	**49.37**
Net non-performing exposures/net loans to customers	**22.06%**	**13.62%**	**23.28%**	**14.54%**			

As part of the Dinamo project, Banca di Sassari s.p.a. sold to Banco di Sardegna s.p.a., with effect from 23 May 2016, non-performing loans for a gross of Euro 265,696.9 thousand and a net of Euro 148,774.7 thousand.

The bad loans shown here relate solely to those exposures associated with the *"Loans to customers"* portfolio. Their net amount of Euro 3,009.2 million (+1.18%) comes to 6.61% of total net loans to customers (6.81% at 31 December 2015), whereas, on a gross basis, the ratio of bad loans to total *Loans to customers* comes to 13.90% (14.52% at 31 December 2015).
The coverage of bad loans is 57.25%, down compared with 58.16% in December 2015, entirely due to the sales mentioned above. Excluding these sales, the coverage ratio would be 1.33% higher.
If we take account of the direct write-offs made to bad loans involved in bankruptcy procedures for Euro 1,066.8 million (Euro 1,244.7 million at 31 December 2015), the total actual value of the claim for bad loans comes to Euro 8,105.9 million (Euro 8,353.4 million at 31 December 2015) and the effective coverage ratio is 62.88% (64.40% at 31 December 2015).

(in thousands of Euro)

Bad loans	31.12.2016 Gross	31.12.2016 Net	31.12.2015 Gross	31.12.2015 Net	% Gross change	% Net change	% Coverage ratio
1. BPER Banca S.p.A.	4,727,690	1,879,625	4,813,975	1,884,520	-1.79	-0.26	60.24
2. Bper (Europe) International s.a.	60	-	-	-	n.s.	n.s.	100.00
3. Banca di Sassari s.p.a.	5,956	821	184,253	76,837	-96.77	-98.93	86.22
4. Banco di Sardegna s.p.a.	1,647,205	771,346	1,550,598	666,766	6.23	15.68	53.17
5. Cassa di Risparmio di Bra s.p.a.	164,616	56,837	141,220	47,382	16.57	19.95	65.47
6. Cassa di Risparmio di Saluzzo s.p.a.	85,694	27,421			n.s.	n.s.	68.00
Total banks	**6,631,221**	**2,736,050**	**6,690,046**	**2,675,505**	**-0.88**	**2.26**	**58.74**
7. Sardaleasing s.p.a.	391,119	265,582	401,487	289,693	-2.58	-8.32	32.10
8. Emil-Ro Factor s.p.a.	16,757	7,590	17,135	8,788	-2.21	-13.63	54.71
Total	**7,039,097**	**3,009,222**	**7,108,668**	**2,973,986**	**-0.98**	**1.18**	**57.25**
Direct write-downs of bad loans	1,066,784	-	1,244,739	-	-14.30	n.s.	100.00
Adjusted total	**8,105,881**	**3,009,222**	**8,353,407**	**2,973,986**	**-2.96**	**1.18**	**62.88**
Net bad loans/net loans to customers	**13.90%**	**6.61%**	**14.52%**	**6.81%**			

As part of the Dinamo project, Banca di Sassari s.p.a. sold bad loans to Banco di Sardegna s.p.a., with effect from 23 May 2016, for a gross of Euro 186,130.4 thousand and a net of Euro 82,533.5 thousand.

The "unlikely to pay" loans shown here are all in the *"Loans to customers"* portfolio. The net amount of Euro 3,042.7 million (+2.67%) represents 6.69% of total net loans to customers (7.15% at 31 December 2015), whereas, on a gross basis, the ratio of "unlikely to pay" loans to total *Loans to customers* is 7.85% (8.18% at 31 December 2015).
The coverage of "unlikely to pay" loans has increased to 23.49%, compared with 21.88% at 31 December 2015.

(in thousands of Euro)

Unlikely to pay loans	31.12.2016 Gross	31.12.2016 Net	31.12.2015 Gross	31.12.2015 Net	% Gross change	% Net change	% Coverage ratio
1. BPER Banca S.p.A.	2,860,537	2,102,050	2,940,665	2,226,296	-2.72	-5.58	26.52
2. Bper (Europe) International s.a.	5,356	3,256	60	-	--	n.s.	39.21
3. Banca di Sassari s.p.a.	3,836	2,709	81,513	65,896	-95.29	-95.89	29.38
4. Banco di Sardegna s.p.a.	563,552	460,040	509,436	420,247	10.62	9.47	18.37
5. Cassa di Risparmio di Bra s.p.a.	153,792	123,475	150,130	118,779	2.44	3.95	19.71
6. Cassa di Risparmio di Saluzzo s.p.a.	50,228	40,880			n.s.	n.s.	18.61
Total banks	**3,637,301**	**2,732,410**	**3,681,804**	**2,831,218**	**-1.21**	**-3.49**	**24.88**
7. Sardaleasing s.p.a.	331,673	303,662	266,668	245,121	24.38	23.88	8.45
8. Emil-Ro Factor s.p.a.	7,820	6,647	1,843	1,272	324.31	422.56	15.00
Other companies and consolidation adjustments	-	-	51,729	48,594	-100.00	-100.00	0.00
Total of balance sheet	**3,976,794**	**3,042,719**	**4,002,044**	**3,126,205**	**-0.63**	**-2.67**	**23.49**
Net unlikely to pay loans/net loans to customers	**7.85%**	**6.69%**	**8.18%**	**7.15%**			

As part of the Dinamo project, Banca di Sassari s.p.a. sold "unlikely to pay" loans to Banco di Sardegna s.p.a., with effect from 23 May 2016, for a gross of Euro 75,410.1 thousand and a net of Euro 62,479.4 thousand.

The past due loans shown here relate solely to the exposures associated with the *"Loans to customers"* portfolio. The net amount of Euro 145.4 million (-43.14%) represents 0.32% of total net loans to customers (0.58% at 31 December 2015), whereas, on a gross basis, the ratio of past due loans to total *"Loans to customers"* is 0.31% (0.58% at 31 December 2015). The coverage of past due loans is 7.80% (10.02% at 31 December 2015).

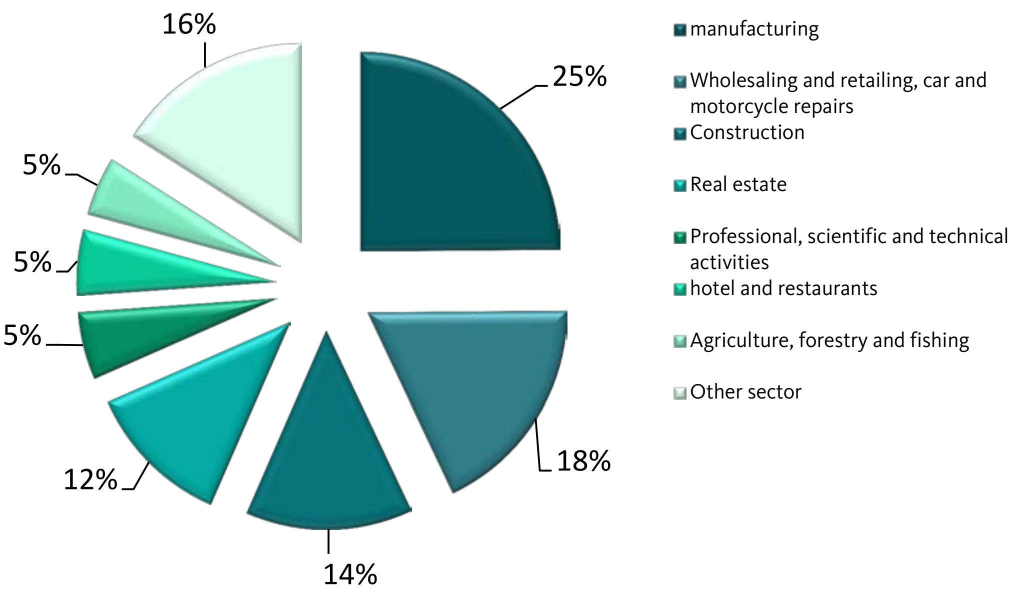
(in thousands of Euro)

Past due loans	31.12.2016		31.12.2015		%	%	%
	Gross	Net	Gross	Net	Gross change	Net change	Coverage ratio
1. BPER Banca S.p.A.	81,604	73,953	198,338	175,908	-58.86	-57.96	9.38
2. Bper (Europe) International s.a.	-	-	-	-	-	-	-
3. Banca di Sassari s.p.a.	779	662	5,284	4,766	-85.26	-86.11	15.02
4. Banco di Sardegna s.p.a.	21,673	19,364	36,805	32,915	-41.11	-41.17	10.65
5. Cassa di Risparmio di Bra s.p.a.	12,285	10,966	9,496	8,490	29.37	29.16	10.74
6. Cassa di Risparmio di Saluzzo s.p.a.	81	73			n.s.	n.s.	9.88
Total bank	**116,422**	**105,018**	**249,923**	**222,079**	**-53.42**	**-52.71**	**9.80**
7. Sardaleasing s.p.a.	27,357	26,684	22,767	22,195	20.16	20.23	2.46
8. Emil-Ro Factor s.p.a.	13,892	13,669	11,421	11,370	21.64	20.22	1.61
Total of balance sheet	**157,671**	**145,371**	**284,111**	**255,644**	**-44.50**	**-43.14**	**7.80**
Net past due loans/net loans to customers	**0.31%**	**0.32%**	**0.58%**	**0.58%**			

As part of the Dinamo project, Banca di Sassari s.p.a. sold past due loans to Banco di Sardegna s.p.a., effective from 23 May 2016, for a gross of Euro 4,156.4 thousand and a net of Euro 3,761.7 thousand.

The table and graph below show the amount of loan disbursements to resident non-financial companies at 31 December 2016, broken down by the debtors' industry sector according to the Bank of Italy's ATECO classification.

Distribution of loans to resident non-financial businesses



(in thousands of Euro)

Distribution of loans to resident non-financial businesses	31.12.2016	%	31.12.2015	% Change
A. Agriculture, forestry and fishing	1,375,793	3.02	1,268,244	8.48
B. Mining and quarrying	48,253	0.11	63,715	-24.27
C. Manufacturing	7,148,314	15.71	6,894,959	3.67
D. Provision of electricity, gas, steam and air-conditioning	801,501	1.76	651,997	22.93
E. Provision of water, sewerage, waste management and rehabilitation	298,115	0.66	290,115	2.76
F. Construction	3,899,711	8.57	4,440,700	-12.18
G. Wholesaling and retailing, car and motorcycle repairs	5,207,630	11.45	5,068,843	2.74
H. Transport and storage	979,991	2.15	913,457	7.28
I. Hotel and restaurants	1,532,248	3.37	1,601,476	-4.32
J. Information and communication	506,287	1.11	325,841	55.38
K. Finance and insurance	306,747	0.67	355,027	-13.60
L. Real estate	3,417,022	7.51	3,287,464	3.94
M. Professional, scientific and technical activities	1,572,001	3.46	950,754	65.34
N. Rentals, travel agencies, business support services	597,112	1.31	569,591	4.83
O. Public administration and defence, compulsory social security	5,203	0.01	10,806	-51.85
P. Education	26,163	0.06	32,478	-19.44
Q. Health and welfare	494,040	1.09	454,461	8.71
R. Arts, sport and entertainment	237,261	0.52	214,445	10.64
S. Other services	212,614	0.47	213,596	-0.46
T. Activities of households as employers for domestic staff, production of undifferentiated goods and services for own use by households	1	-	1	n.s.
U. Extraterritorial organisations and bodies	84,462	0.19	57,931	45.80
Total loans to resident non-financial businesses	**28,750,469**	**63.20**	**27,665,901**	**3.92**
Loans to non-resident, non-financial businesses	141,621	0.31	134,704	5.13
Total loans to non-financial businesses	**28,892,090**	**63.51**	**27,800,605**	**3.93**
Individuals and other not included above	11,518,775	25.32	10,945,800	5.23
Financial businesses	2,664,580	5.86	2,520,879	5.70
Securities	322,196	0.71	348,521	-7.55
Governments and other public entities	2,080,253	4.57	2,072,164	0.39
Insurance companies	16,285	0.04	14,592	11.60
Total loans	**45,494,179**	**100.00**	**43,702,561**	**4.10**

Considering total loans made, the sectors with the largest increases, in terms of absolute value, were professional, scientific and technical activities, up by Euro 621.2 million (+65.34%) and manufacturing, up by Euro 253.4 million (+3.67%), while the sector with the largest reduction was construction, down by Euro 541 million (-12.18%).

Financial assets and equity investments

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Financial assets held for trading	676,844	790,403	(113,559)	-14.37
- of which derivatives	*189,347*	*194,348*	*(5,001)*	*-2.57*
Financial assets designated at fair value through profit and loss	84,307	86,639	(2,332)	-2.69
Financial assets available for sale	10,433,222	8,022,164	2,411,058	30.05
Financial assets held to maturity	2,515,993	2,663,859	(147,866)	-5.55
Total financial assets	**13,710,366**	**11,563,065**	**2,147,301**	**18.57**

Financial assets amount to Euro 13,710.4 million, including Euro 12,755.6 million of debt securities (93.04% of the total): of these, Euro 6,450.5 million relates to sovereign States and central banks (-4.31% compared to the figure at 31 December 2015) and, of these, Euro 5,868.6 million relates to Italian government bonds, which represent 42.8% of the entire portfolio; Euro 4,617.1 million relates to Banks (+45.35%).
There has been a significant increase in "Financial assets available for sale", up by Euro 2,411.1 million (+30.05%), principally due to the purchase of banking debt securities; the increase also includes the subscription of 100 Atlante Fund units amounting to Euro 52.9 million and the intervention by IDGF-VS to support Cassa di Risparmio di Cesena, recorded under securities available for sale and amounting at the year end to Euro 8.4 million.
"Financial assets held for trading" have decreased by Euro 113.6 million (-14.37%) and "Financial assets held to maturity" by Euro 147.9 million (-5.55%).
For their characteristics, most of the securities in portfolio, being highly liquid, are eligible for use as collateral for refinancing transactions on the institutional market or with the European Central Bank.
Equities come to Euro 368.9 million (2.69% of the total), inclusive of Euro 303.5 million of stable equity investments classified in the AFS portfolio.
The impairment testing of securities classified as "Financial assets available for sale", in accordance with the accounting policies adopted by the Group, resulted in write-downs of Euro 51.8 million (Euro 27.3 million at 31 December 2015), of which Euro 18.3 million related to equity instruments (Euro 12.7 million relating to Release s.p.a. and Euro 2.5 million relating to the intervention by IDGF-VS to support Caricesena) and Euro 33.5 million to the UCITS portfolio (Euro 28.3 million relating to Atlante Fund units).
"Financial assets held for trading" include financial derivatives of Euro 189.3 million (-2.57%) made up of Euro 5.9 million (-76.89%) of derivatives linked to debt securities classified in "Financial assets designated at fair value through profit and loss" and in "Financial liabilities designated at fair value through profit and loss" (fair value option) and forward transactions in foreign currencies (traded with customers and/or used in managing the foreign exchange position), interest rate and foreign exchange derivatives intermediated with customers, derivatives related to securitisations and other operational hedging derivatives. At 31 December 2016 the Group has not entered into any of the "long-term structured repo transactions" mentioned in the document issued jointly by the Bank of Italy, CONSOB and IVASS on 8 March 2013.
Against the "Financial assets available for sale" of Euro 10,433.2 million, there are positive net valuation reserves for a total of Euro 108.4 million, net of the related tax effect, as a result of the sum of positive reserves relating to debt securities, equities and UCITS of Euro 155 million and negative reserves of Euro 46.6 million. The net reserve only for government bonds was a positive Euro 37.3 million (-58.69% compared with 31 December 2015).
The portfolio of "Financial assets held to maturity" also includes unrealised gains of Euro 181.9 million (Euro 194.2 million at 31 December 2015, -6.34%), or Euro 121.8 million net of the theoretical tax effect.

(in thousands of Euro)

Financial assets	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	11,832,761	10,261,926	1,570,835	15.31
2. Bper (Europe) International s.a.	146,587	152,646	(6,059)	-3.97
3. Banca di Sassari s.p.a.	5,250	19,160	(13,910)	-72.60
4. Banco di Sardegna s.p.a.	1,162,914	900,849	262,065	29.09
5. Cassa di Risparmio di Bra s.p.a.	156,021	133,364	22,657	16.99
6. Cassa di Risparmio di Saluzzo s.p.a.	299,372		299,372	n.s.
Total banks	**13,602,905**	**11,467,945**	**2,134,960**	**18.62**
Other companies and consolidation adjustments	107,461	95,120	12,341	12.97
Total	**13,710,366**	**11,563,065**	**2,147,301**	**18.57**

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Equity investments	413,923	415,200	(1,277)	-0.31
of which subsidiaries	*13,581*	*7,731*	*5,850*	*75.67*
of which associates	*400,342*	*407,469*	*(7,127)*	*-1.75*

Following the alignment of the consolidation methodologies described in Part A of the Explanatory notes, this caption comprises significant investments (non-Group companies subject to considerable influence being, usually, investments in which the equity interest is greater than or equal to 20%), subsidiaries that are not members of the Banking Group since they do not contribute to its banking activities, and Group companies not meeting the requirements of art. 19 of Regulation no. 575/2013 that are measured using the equity method.
The increase in investments in subsidiaries is mainly due to capital contributions paid to Polo Campania s.r.l. of Euro 9 million, of which Euro 0.9 million was to cover accumulated losses which has been written off to the income statement, whereas the liquidation of Nettuno Gestione Crediti s.p.a. in liquidation has been completed, with its definitive cancellation from the Companies Register, recorded at 31 December 2015 for Euro 2.6 million.
The portion relating to goodwill pertaining to the "Equity investments" portfolio amounted to Euro 115.5 million (Euro 118.7 million as of December 2015), with the amount having decreased due to the impact of the acquisition of control of Cassa di Risparmio di Saluzzo s.p.a.
The impairment testing resulted in writedowns on the "Equity investments" portfolio for Euro 4.4 million, with particular reference to Banca della Nuova Terra s.p.a. (Euro 2.3 million), Polo Campania s.r.l. (Euro 1.3 million), Italiana Valorizzazioni Immobiliari s.r.l. (Euro 0.3 million), SIFA' – Società Italiana Flotte Aziendali s.p.a. (Euro 0.3 million) and Sofipo s.a. in liquidation (Euro 0.2 million).

Fixed assets

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Intangible assets	517,833	515,164	2,669	0.52
of which goodwill	*361,505*	*380,395*	*(18,890)*	*-4.97*

Intangible assets include goodwill amounting to Euro 361.5 million, representing 0.56% of total assets. The details are shown below:

Goodwill	31.12.2016	31.12.2015
1. Group companies	**361,505**	**380,395**
1.1 Banks	**72,844**	**91,734**
- Banco di Sardegna s.p.a.	54,306	82,256
- Banca di Sassari s.p.a.	-	4,904
- Cassa di Risparmio di Bra s.p.a.	4,574	4,574
- Cassa di Risparmio di Saluzzo s.p.a.	13,964	-
1.2 Parent Company BPER	**280,236**	**280,236**
-Purchase of UNICREDIT branches	83,650	83,650
- Meliorbanca s.p.a.	104,685	104,685
- Banca CRV - Cassa di Risparmio di Vignola s.p.a.	2,272	2,272
- Banca Popolare di Lanciano e Sulmona s.p.a.	1,655	1,655
- Banca Popolare di Aprilia s.p.a.	10,151	10,151
- CARISPAQ - Cassa di Risparmio della Provincia dell'Aquila s.p.a.	13,477	13,477
- Banca Popolare di Ravenna s.p.a.	6,876	6,876
- Banca Popolare del Mezzogiorno s.p.a.	6,124	6,124
- Banca della Campania s.p.a.	51,346	51,346
1.3 Other companies	**8,425**	**8,425**
- Sardaleasing s.p.a.	1,657	1,657
- Emilia Romagna Factor s.p.a.	6,768	6,768
Total	**361,505**	**380,395**

The detailed figures relating to the Parent Company BPER Banca represent a purely historical and accounting situation, in any case combined in the only identifiable CGU represented by the Legal Entity BPER Banca.
As part of the Dinamo Project, details of which have been provided above, upon the acquisition of the banking business from Banca di Sassari, it was necessary to write down the goodwill relating thereto as recorded in the Consolidated financial statements of Banco di Sardegna, the sub-holding company, by Euro 3.3 million.
Impairment testing, as required by IAS 36, has shown the need for a writedown of goodwill relating to Banco di Sardegna of Euro 29.6 million.
Goodwill relating to Cassa di Risparmio di Saluzzo was provisionally recognised at an amount of Euro 14 million, until the completion of the PPA (purchase price allocation).

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Property, plant and equipment	969,470	941,121	28,349	3.01
including owned land and properties	*885,282*	*864,460*	*20,822*	*2.41*

Interbank and liquidity position

(in thousands of Euro)

Net interbank position	31.12.2016	31.12.2015	Change	% Change
A. Due from banks	**1,331,811**	**1,087,313**	**244,498**	**22.49**
1. Current accounts and deposits	366,636	425,818	(59,182)	-13.90
2. Reverse repurchase agreements	-	16	(16)	-100.00
3. Debt securities	40,608	44,858	(4,250)	-9.47
4. Other	924,567	616,621	307,946	49.94
B. Due to banks	**9,462,678**	**5,522,992**	**3,939,686**	**71.33**
Total (A-B)	**(8,130,867)**	**(4,435,679)**	**(3,695,188)**	**83.31**

The increase in debt is mainly due to subscriptions to ECB refinancing operations as indicated below.

The following table gives details of such operations with the ECB. The overall increase in the outstanding principal since 31 December 2015, Euro 2,095 million, reflects the following repayments and subscriptions:

- Euro 1,000 million, repayment of the LTRO that matured in February 2016;
- Euro 2,000 million, to the early payment, in June 2016, of the TLTRO I transaction maturing in September 2018;
- Euro 4,095 million, to the subscription, in June 2016, of the TLTRO-II transaction, maturing in June 2020; of this amount, Euro 95 million relates to Cassa di Risparmio di Saluzzo, which entered BPER Banca Group in the latter part of the year;
- Euro 1,000 million, to the subscription, in December 2016, of the TLTRO-II transaction, maturing in December 2020.

(in millions of Euro)

Refinancing transactions with the European Central Bank	Capital	Maturity
1. Targeted Long Term Refinancing Operation (TLTRO-II) -BPER Banca	4,000	Jun-20
2. Targeted Long Term Refinancing Operation (TLTRO-II) - CR Saluzzo	95	Jun-20
3. Targeted Long Term Refinancing Operation (TLTRO-II) - BPER Banca	1,000	Dec-20
Total	**5,095**	

At 31 December 2016, BPER Banca Group had thus subscribed Euro 5,095 million of the TLTRO-II transaction versus a borrowing limit of Euro 9,265 million.
At 31 December 2016, the Central Treasury held significant resources relating to securities eligible for refinancing at the European Central Bank, with an overall amount, net of margin calls, of Euro 13,106 million (Euro 11,861 million at 31 December 2015). The available portion amounts to Euro 4,385 million (Euro 5,174 million at 31 December 2015).

(in millions of Euro)

Counterbalancing Capacity	Nominal value	Guarantee value	Restricted portion	Available portion
Eligible securities and loans		**13,106**	**8,721**	**4,385**
1 Securities as collateral for own and third-party commitments		532	532	
2 Securities subject to funding repurchase agreements		3,094	3,094	
3 Securities and loans not transferred to the Pooling Account		2,118		2,118
4 Securities and loans transferred to the Pooling Account		7,362	5,095	2,267
of which:				
Own debt guaranteed by the Italian Government	*-*	*-*		
Own securitisations	*998*	*850*		
Guaranteed Bank Bonds issued by the Bank	*1,325*	*1,150*		
Collaterized Bank Assets (A.BA.CO.)	*1,908*	*1,028*		

As summarised in the table, at 31 December 2016, the Pooling account of the Central Treasury possessed significant resources relating to securities eligible for refinancing by the European Central Bank, of an overall amount, net of margin call, of Euro 7,362 million, of which Euro 5,095 million has been refinanced (Euro 2,267 million is still available). These include:

- securities from self-securitisations of performing residential mortgage portfolios given to the Bank's own customers (currently Euro 501 million, eligible for refinancing up to Euro 427 million), using the special purpose vehicles Estense Finance s.r.l., Dedalo s.r.l. and Alchera s.r.l.;
- securities from self-securitisations of performing residential mortgage portfolios given to the Bank's own customers in the small and medium-sized businesses segment (currently Euro 497 million, eligible for refinancing up to Euro 423 million), using the special purpose vehicle Multi Lease AS s.r.l.;
- Guaranteed Bank Bonds issue by the Bank with a nominal value of Euro 1,325 million, eligible for refinancing up to Euro 1,150 million, using the special purpose vehicle Estense CPT Covered Bond s.r.l;
- Collateralised Bank Assets (A.BA.CO) for Euro 1,908 million at 31 December 2016, of which Euro 1,028 million eligible for refinancing.

Liabilities and shareholders' equity

(in thousands of Euro)

Liabilities and shareholders' equity	31.12.2016	31.12.2015	Change	% Change
10. Due to banks	9,462,678	5,522,992	3,939,686	71.33
20. Due to customers	38,912,714	35,887,658	3,025,056	8.43
30. Debt securities in issue	8,587,243	10,494,565	(1,907,322)	-18.17
40. Financial liabilities held for trading	226,837	242,149	(15,312)	-6.32
50. Financial liabilities designated at fair value through profit and loss	247,933	873,558	(625,625)	-71.62
60. Hedging derivatives	40,697	23,715	16,982	71.61
80. Tax liabilities	97,996	109,013	(11,017)	-10.11
a) current	1,715	3,911	(2,196)	-56.15
b) deferred	96,281	105,102	(8,821)	-8.39
100.Other liabilities	1,197,062	1,844,715	(647,653)	-35.11
110. Provision for termination indemnities	205,364	200,669	4,695	2.34
120. Provisions for risks and charges	422,791	410,399	12,392	3.02
a) pensions and similar commitments	136,409	124,500	11,909	9.57
b) other provisions	286,382	285,899	483	0.17
140. Valuation reserves	89,951	148,982	(59,031)	-39.62
170. Reserves	2,410,357	2,288,125	122,232	5.34
180. Share premium reserve	930,073	930,073	-	-
190. Share capital	1,443,925	1,443,925	-	-
200. Treasury shares	(7,258)	(7,255)	(3)	0.04
210. Minority interests	674,366	627,287	47,079	7.51
220. Profit (Loss) for the period	14,299	220,661	(206,362)	-93.52
Total liabilities and shareholders' equity	**64,957,028**	**61,261,231**	**3,695,797**	**6.03**

Deposits

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Current accounts and demand deposits	32,330,963	29,018,832	3,312,131	11.41
Restricted deposits	2,219,888	2,423,865	(203,977)	-8.42
Repurchase agreements	1,780,019	1,862,690	(82,671)	-4.44
Other short-term loans	2,581,844	2,582,271	(427)	-0.02
Bonds	6,155,707	7,719,107	(1,563,400)	-20.25
- subscribed by institutional customers	2,688,067	2,737,105	(49,038)	-1.79
- subscribed by ordinary customers	3,467,640	4,982,002	(1,514,362)	-30.40
Certificates	91,897	99,992	(8,095)	-8.10
Certificates of deposit	2,587,572	3,549,024	(961,452)	-27.09
Direct customer deposits	**47,747,890**	**47,255,781**	**492,109**	**1.04**
Indirect deposits (off-balance sheet figure)	32,871,047	30,373,936	2,497,111	8.22
- of which managed	16,286,060	14,725,981	1,560,079	10.59
- of which administered	16,584,987	15,647,955	937,032	5.99
Customer funds under management	**80,618,937**	**77,629,717**	**2,989,220**	**3.85**
Bank borrowing	9,462,678	5,522,992	3,939,686	71.33
Funds under administration or management	**90,081,615**	**83,152,709**	**6,928,906**	**8.33**

Direct customer deposits of Euro 47,747.9 million have increased by 1.04% since 31 December 2015; of the various technical forms, there has been an increase in current accounts of Euro 3,312.1 (+11.41%), while there has been a reduction in restricted deposits of Euro 204 million (-8.42%), in bonds of Euro 1,563.4 million (-20.25%), mainly relating to bonds placed with ordinary customers that decreased by Euro 1,514.4 million, in certificates of deposit of Euro 961.5 million (-27.09%) and in repurchase agreements of Euro 82.7 million (-4.44%).
Indirect customer deposits, marked to market, come to Euro 32,871.0 million, up on 31 December 2015 (+8.22%).
The total nominal value of indirect deposits of Euro 25,037.2 million has increased by 5.24% since 31 December 2015.
Total funds administered or managed by the Group, including deposits from banks (Euro 9,462.7 million) amount to Euro 90,081.6 million, an increase of 8.33% compared with 31 December 2015.

The average cost of funding from customers incurred by Group banks during the year was 0.55%, which is down by about 26 basis points with respect to the previous year (0.81%).
Against total interest-bearing liabilities, the cost incurred came to 0.46%, a decrease of 26 bps compared with 0.72% in the previous year.

(in thousands of Euro)

Direct deposits	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	34,839,862	34,771,735	68,127	0.20
2. Bper (Europe) International s.a.	920,272	776,556	143,716	18.51
3. Banca di Sassari s.p.a.	201,916	1,489,234	(1,287,318)	-86.44
4. Banco di Sardegna s.p.a.	10,486,254	9,715,406	770,848	7.93
5. Cassa di Risparmio di Bra s.p.a.	900,401	1,007,210	(106,809)	-10.60
6. Cassa di Risparmio di Saluzzo s.p.a.	794,688		794,688	n.s.
Total banks	**48,143,393**	**47,760,141**	**383,252**	**0.80**
Other companies and consolidation adjustments	(395,503)	(504,360)	108,857	-21.58
Total	**47,747,890**	**47,255,781**	**492,109**	**1.04**

Direct deposits include subordinated liabilities:

(in thousands of Euro)

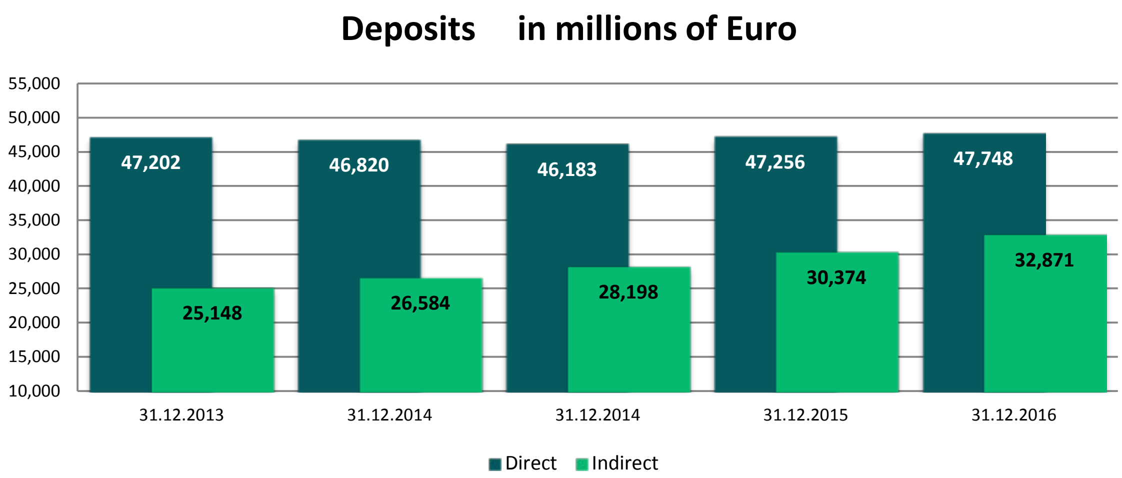
Captions	31.12.2016	31.12.2015	Change	% Change
Non-convertible subordinated liabilities	678,917	903,882	(224,965)	-24.89
Total subordinated liabilities	**678,917**	**903,882**	**(224,965)**	**-24.89**

The decrease relates primarily:
- to the payment of instalments on loans issued by the Parent Company that fell due on 31 December 2015 and which were settled by ICBPI on 4 January 2016;
- to the partial redemption of the BPER 4.75% 2011-2017 bond (nominal value of Euro 140 million);
- to the maturity of the floating rate 3-month Euribor + 100 bps, 2006-2016 bond
There are no convertible subordinated liabilities at 31 December 2016 (as in 2015).

(in thousands of Euro)

Indirect deposits	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	29,067,987	26,817,664	2,250,323	8.39
2. Bper (Europe) International s.a.	477,294	497,037	(19,743)	-3.97
3. Banca di Sassari s.p.a.	-	365,034	(365,034)	-100.00
4. Banco di Sardegna s.p.a.	3,556,371	2,997,486	558,885	18.65
5. Cassa di Risparmio di Bra s.p.a.	428,139	397,441	30,698	7.72
6. Cassa di Risparmio di Saluzzo s.p.a.	365,653		365,653	n.s.
Total banks	**33,895,444**	**31,074,662**	**2,820,782**	**9.08**
Other companies and consolidation adjustments	(1,024,397)	(700,726)	(323,671)	46.19
Total	**32,871,047**	**30,373,936**	**2,497,111**	**8.22**

The graph shows the dynamics of direct and indirect deposits in the last five years:



Indirect deposits do not include the placement of insurance policies, which has increased by 17.75% since 31 December 2015, mainly due to the life insurance business.

(in thousands of Euro)

Bankassurance	31.12.2016	31.12.2015	Change	% Change
Insurance policy portfolio	**4,434,674**	**3,766,334**	**668,340**	**17.75**
- of which life sector	*4,350,080*	*3,686,330*	*663,750*	*18.01*
- of which non-life sector	*84,594*	*80,004*	*4,590*	*5.74*

Life insurance premiums plus the indirect deposits under management total Euro 20,636.1 million, which represents 55.44% of the overall total (Euro 37,221.1 million).

Shareholders' equity

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Consolidated shareholders' equity	**4,881,347**	**5,024,511**	**(143,164)**	**-2.85**
- of which net profit (loss) for the period	*14,299*	*220,661*	*(206,362)*	*-93.52*
- of which shareholders' equity excluding net profit (loss) for the period	*4,867,048*	*4,803,850*	*63,198*	*1.32*

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Minority interests	**674,366**	**627,287**	**47,079**	**7.51**
- of which net profit (loss) pertaining to minority interests	*1,515*	*(1,429)*	*2,944*	*-206.02*
- of which: shareholders' equity pertaining to minority interests excluding their share of net profit (loss) for the period	*672,851*	*628,716*	*44,135*	*7.02*

(in thousands of Euro)

Shareholders' equity	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	4,662,995	4,593,094	69,901	1.52
2. Bper (Europe) International s.a.	52,892	52,155	737	1.41
3. Banca di Sassari s.p.a.	247,014	259,094	(12,080)	-4.66
4. Banco di Sardegna s.p.a.	1,141,253	1,154,543	(13,290)	-1.15
5. Cassa di Risparmio di Bra s.p.a.	63,513	65,567	(2,054)	-3.13
6. Cassa di Risparmio di Saluzzo s.p.a.	63,723		63,723	n.s.
Total banks	**6,231,390**	**6,124,453**	**106,937**	**1.75**
Other companies and consolidation adjustments	(689,976)	(693,316)	3,340	-0.48
Total	**5,541,414**	**5,431,137**	**110,277**	**2.03**
Net profit (loss) for the period	14,299	220,661	(206,362)	-93.52
Total shareholders' equity	**5,555,713**	**5,651,798**	**(96,085)**	**-1.70**

This figure is made up of liability captions 140, 170, 180, 190, 200, 210 and 220.

The total net tangible shareholders' equity (after deduction of intangible assets of Euro 517.8 million) amounted to Euro 5,037.9 million.

6.2 Own Funds and capital ratios

The new harmonised rules for banks and investment companies contained in Regulation (EU) 575/2013 (CRR) and in the 2013/36/UE Directive (CRD IV) approved on 26 June 2013 and published in the Official Journal of the European Union the next day, entered into force on 1 January 2014.
This regulatory framework, which is the only set of rules that seeks to harmonise prudential regulations of the Member States of the European Community, was made applicable in Italy by the Bank of Italy's Circular no. 285, published on 17 December 2013 and subsequent updates.
From 30 June 2015 the accounting scope of consolidation is aligned with that required for prudential reporting purposes: companies excluded are treated in the same way as the banks and companies subject to significant influence and measured using the equity method.

On 24 June 2016 the European Central Bank authorised the BPER Banca Group to adopt internal models (IRB Advanced Approach) for measuring capital requirements for customer credit risk within the activity classes which have exposures to companies and to retail businesses. The first model validation scope includes BPER Banca, Banco di Sardegna and Banca di Sassari, while Cassa di Risparmio di Bra, Sardaleasing and CR Saluzzo are formally included in the roll-out plan and will adopt the IRB approach as scheduled in the plan.
The other BPER Banca Group companies involved and asset classes not included in the roll-out plan will continue to use the Standardised Approach.
The use of internal models since June 2016 has had a significant positive impact on our capital ratios, which can be put at around 3 percentage points of CET1 Ratio and has also given rise to a substantial increase in the capital buffer over and above the ECB's minimum requirement at the time of the 2015 SREP (9.25%) and which was applicable up to 31 December 2016.
As regards the SREP, note that, as previously stated in chapter 3.3 on the European Single Supervisory Mechanism, in December 2016, BPER Banca received notification from the Supervisory Authority of its decision concerning capital requirements (SREP 2016). In this regard, the ECB has indicated as a binding requirement (Pillar 2 Requirement or P2R) as from 1 January 2017, compliance with the following consolidated minimum capital ratios:

- Common Equity Tier 1 Ratio: of 7.25%, consisting of the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 of the European Parliament and the Council on prudential requirements for banks and other financial institutions (4.50%), plus the amount by which CET1 exceeds the minimum requirement in accordance with art. 16 of EU Regulation 1024/2013 (the aforementioned P2R equating to 1.50%) and plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU that has been transposed into national law (1.25%).
- Total Capital Ratio: of 10.75%, consisting of the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 of the European Parliament and the Council on prudential requirements for banks and other financial institutions (8.00%), plus the amount by which CET1 exceeds the minimum requirement in accordance with art. 16 of EU Regulation 1024/2013 (the aforementioned P2R equating to 1.50%) and plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU that has been transposed into national law (1.25%).

As regards the determination of CET1 and Own Funds at 31 December 2016, the amounts were determined by taking account of the impact on capital (a negative amount of Euro 14.6 million, or -7 bps) arising from profit recognised in the period, net of dividends proposed to the Shareholders' Meeting, on account of the fact that, at 30 September 2016, profit attributable to equity (Euro 62.7 million, equating to 17 bps of the CET1 Ratio) had been included, for which BPER Banca had obtained appropriate authorisation from the Supervisory Authority.

The following table shows the BPER Banca Group's capital ratios and the minimum capital adequacy requirements for regulatory purposes as at 31 December 2016, inclusive of amounts calculated under the standardised approach, so as to provide full disclosure of the effects of internal models for the determination of credit risk and a more complete comparison with prior year figures.

(in millions of Euro)

	31.12.2016 AIRB	31.12.2016 standard	31.12.2015 standard	Changes in official data	% Change
Common Equity Tier 1 capital- CET1	4,497,645	4,561,173	4,629,088	(131,443)	-2.84
Additional Tier 1 capital - ATI	28,694	50,901	42,063	(13,369)	-31.78
Tier 1 capital - Tier 1	**4,526,339**	**4,612,074**	**4,671,151**	**(144,812)**	**-3.10**
Tier 2 capital - Tier 2 - T2	431,706	373,795	462,651	(30,945)	-6.69
Total Own Funds	**4,958,045**	**4,985,869**	**5,133,802**	**(175,757)**	**-3.42**
Total Risk-weighted assets (RWA)	**32,593,235**	**41,322,578**	**40,101,688**	**(7,508,453)**	**-18.72**
CET1 Ratio (CET1/RWA)	**13.80%**	**11.04%**	**11.54%**	**226 bps**	
Tier 1 Ratio (Tier 1/RWA)	**13.89%**	**11.16%**	**11.65%**	**224 bps**	
Total Capital Ratio (Total Own Funds/RWA)	**15.21%**	**12.07%**	**12.80%**	**241 bps**	
RWA/Total assets	**50.18%**	**63.62%**	**65.46%**	**-1528 bps**	

The capital ratios at 31 December 2016 are therefore:

- CET 1 Ratio (Phased in) of 13.80% (14.47% at 30 September 2016 and 11.54% at 31 December 2015). This ratio calculated on a fully phased basis comes to 13.27% (14.13% at 30 September 2016 and 11.21% at 31 December 2015).
  The most significant elements that led to a fall of 86 bps in the fully phased CET1 Ratio compared to the figure at 30 September 2016 are:
  - a decrease in self-financing (-16 bps);
  - a decrease in AFS reserves (-35 bps), offset by a restatement of AFS reserves attributable to government bonds, which had been excluded up to 30 September (+10 bps);
  - inclusion in the scope of CR Saluzzo (27 bps, of which 23 relate to the increase attributable to RWA);
  - increase in RWA partly as a consequence of an increase in loans at the year end (-18 bps).
- Phased In Tier 1 Ratio of 13.89% (14.56% at 30 September 2016 and 11.65% at 31 December 2015).
- Total Capital Ratio (Phased In) of 15.21% (15.98% at 30 September 2016 and 12.80% at 31 December 2015).

The capital ratios are all much higher than the minimum levels required by the regulations (at 31 December 2016 equal to 7%, 8.50% and 10.50% respectively).
The CET1 Ratio is also well above the specific obligations for additional Own Funds imposed by the ECB as part of the 2015 SREP process, which set it at 9.25%, and as part of the 2016 SREP process, which set it at 7.25% and which will be effective as of 1 January 2017, even taking account of the fact that this updated limit comprises, as stated, the Pillar 2 component.

Note that the BPER Banca Group uses different methods for calculating risk-weighted assets, which are summarised below:

- credit risk: for Group entities represented by BPER Banca, BDS and BSS, the credit risk measurement is performed using the AIRB method. For banks and other companies that are not in the scope of validation and for other risk assets not included in the validated models, the standardized approach has been maintained;
- credit down-rating risk: the standardized approach (TSA) is used;
- market risk: the standardized approach is used for assessing market risk (general and specific risk on equities, general risk on debt securities and positioning risk for units in investment funds) to determine the related individual and consolidated capital requirement;
- operational risk: operational risk measurement uses TSA.

Own Funds regulations (transitional provisions): Prudential filters for AFS reserves relating to debt securities issued by the Central administrations

With the publication of Circular no. 285 of 17 December 2013 and subsequent amendments, the Bank of Italy implemented the new harmonised framework for banks and investment firms contained in the European Community's CRR 575 and Capital Requirements Directive 36 (CRD IV) of 26 June 2013, which entered into force on 1 January 2014.

Part 2 of the document, which deals with the implementation of CRR, detailed the national discretions exercised in respect of the transitional provisions, including, in the last paragraph of Section 2 of Chapter 14, the fact that banks could not be included in any element of Own Funds, unrealised profits or losses, relating to exposures to the central administrations classified under "Financial assets available for sale" of IAS 39 endorsed by the EU (treatment applicable until the Commission adopts a regulation based on EC Regulation no. 1606/2002 which approves the IFRS 9 that replaces IAS 39).

At the beginning of 2014, the Parent Company BPER Banca had formally opted to exercise the above option for the entire Group, consistent with the decision made previously in accordance with the old regulations. Commencing from the 31 March 2014 reporting date, the reserves arising from the measurement of these securities have not impacted the determination of Own Funds and, at 30 September 2016, the amount thereof on a fully phased basis was Euro 70.5 million.

On account of the fact that, on 29 November 2016, the Official Journal of the European Union published Regulation (EU) 2016/2067 of 22 November 2016, which amended Regulation (EC) 1126/2008, which, in turn, adopted certain International Accounting Standards in compliance with Regulation (EC) 1606/2002 of the European Parliament and Council with regard to IFRS 9, which will entirely replace IAS 39, the option has lapsed and, accordingly, as from 31 December 2016, AFS reserves attributable to government bonds, for the purpose of the quantification of CET1, have been subjected to the same regulatory treatment as other reserves of this kind, with a positive impact of Euro 18.3 million (equating to 6 bps) under the transitional arrangements on a phased in basis and a further Euro 12.2 million (equating to 4 bps) on a fully phased basis.

6.3 Reconciliation of consolidated net profit/shareholders' equity

Consolidated net profit comprises the sum of the Group's interest in the net profits (losses) at 31 December 2016 of the following Group banks and companies included in the scope of line-by-line consolidation.

(in thousands of Euro)

Reconciliation of consolidated net profit	31.12.2016
BPER Banca S.p.A.	**18,699**
Other Group companies:	**49,375**
Bper (Europe) International s.a.	*1,616*
Banco di Sardegna s.p.a., (Consolidated value)	*30,765*
Banca di Sassari s.p.a.	*17,256*
Cassa di Risparmio di Bra s.p.a.	*(579)*
Cassa di Risparmio di Saluzzo s.p.a.	*(3,452)*
Nadia s.p.a.	*(5,020)*
BPER Services s.cons.p.a.	*(21)*
*EMRO Finance Ireland limited**	*388*
Optima s.p.a. SIM	*2,929*
Modena Terminal s.r.l.	*106*
Emilia Romagna Factor s.p.a.	*4,912*
Sardaleasing s.p.a.	*479*
BPER Credit Management s.cons.p.a.	*(4)*
Total Group share	**68,074**
Consolidation adjustments (*)	(53,775)
Consolidated net profit (loss)	**14,299**

(*) Emro Finance Ireland limited contributed to the result for the period up to 31 July 2016 as a result of its merger with BPER Banca, which was effective for tax and accounting purposes from 1 August 2016.

The result for the consortia BPER Services s.cons.p.a. and BPER Credit Management s.cons.p.a. is negative, but only because of the alignment to IAS/IFRS.

As required by current regulations, the following statement is presented with regard to the position at 31 December 2016:

Reconciliation of the shareholders' equity and results of the Parent Company with the related consolidated amounts

	Increase (decrease)	
	Net profit (loss) for the period	Shareholders' equity
AMOUNTS RELATING TO THE PARENT COMPANY	**18,699**	**4,681,694**
	-	-
DIFFERENCES between the shareholders' equity of companies consolidated on a line-by-line basis (net of minority interests) and the book value of the related equity investments held by their parent companies, as follows:	(7,351)	91,418
	-	-
- adjustments to goodwill related to consolidated companies	*(29,600)*	-
- elimination of intercompany profits and losses	*(27,126)*	-
- share of the results of fully consolidated companies, net of tax effect	*49,375*	-
	-	-
DIVIDENDS collected from companies consolidated on a line-by-line basis or stated under the equity method	(10,204)	-
	-	-
DIFFERENCE between book value and the interest in shareholders' equity (including results for the period) of companies carried at equity:	13,155	108,235
	-	-
- share attributable to subsidiaries	*(1,208)*	2,545
- share attributable to associates	*14,363*	105,690
NET PROFIT FOR THE PERIOD AND SHAREHOLDERS' EQUITY OF THE PARENT COMPANY AS AT 31.12.2016	**14,299**	**4,881,347**
NET PROFIT FOR THE PERIOD AND SHAREHOLDERS' EQUITY OF MINORITY INTERESTS	1,515	674,366
TOTAL CONSOLIDATED NET PROFIT FOR THE PERIOD AND SHAREHOLDERS' EQUITY AS AT 31.12.2016	**15,814**	**5,555,713**
TOTAL CONSOLIDATED NET PROFIT FOR THE PERIOD AND SHAREHOLDERS' EQUITY AS AT 31.12.2015	**219,232**	**5,651,798**

6.4 Income statement aggregates

Consolidated income statement

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
10. Interest and similar income	1,483,051	1,648,399	(165,348)	-10.03
20. Interest and similar expense	(312,604)	(420,858)	108,254	-25.72
30. Net interest income	**1,170,447**	**1,227,541**	**(57,094)**	**-4.65**
40. Commission income	745,959	762,474	(16,515)	-2.17
50. Commission expense	(33,237)	(35,781)	2,544	-7.11
60. Net commission income	**712,722**	**726,693**	**(13,971)**	**-1.92**
70. Dividends and similar income	9,872	15,953	(6,081)	-38.12
80. Net trading income	7,944	32,831	(24,887)	-75.80
90. Net hedging gains (losses)	(335)	(889)	554	-62.32
100. Gains/losses on disposal or repurchase of:	107,662	315,466	(207,804)	-65.87
a) loans	(9,748)	4,023	(13,771)	-342.31
b) financial assets available for sale	118,627	313,171	(194,544)	-62.12
c) financial assets held to maturity	-	221	(221)	-100.00
d) financial liabilities	(1,217)	(1,949)	732	-37.56
110. Net results on financial assets and liabilities designated at fair value	4,728	476	4,252	893.28
120. Net interest and other banking income	**2,013,040**	**2,318,071**	**(305,031)**	**-13.16**
130. Net impairment adjustments to:	(659,064)	(737,800)	78,736	-10.67
a) loans	(619,750)	(705,799)	86,049	-12.19
b) financial assets available for sale	(51,811)	(27,343)	(24,468)	89.49
d) other financial assets	12,497	(4,658)	17,155	-368.29
140. Net profit from financial activities	**1,353,976**	**1,580,271**	**(226,295)**	**-14.32**
180. Administrative costs:	(1,383,303)	(1,410,531)	27,228	-1.93
a) payroll	(769,149)	(825,053)	55,904	-6.78
b) other administrative costs	(614,154)	(585,478)	(28,676)	4.90
190. Net provision for risks and charges	(28,668)	(52,137)	23,469	-45.01
200. Net adjustments to property, plant and equipment	(45,709)	(48,336)	2,627	-5.43
210. Net adjustments to intangible assets	(34,886)	(31,913)	(2,973)	9.32
220. Other operating charges/income	173,717	175,804	(2,087)	-1.19
230. Operating costs	**(1,318,849)**	**(1,367,113)**	**48,264**	**-3.53**
240. Profit (Loss) from equity investments	8,491	97	8,394	--
260. Adjustments to goodwill	(32,854)	-	(32,854)	n.s.
270. Gains (Losses) on disposal of investments	(220)	259	(479)	-184.94
280. Profit (Loss) from current operations before tax	**10,544**	**213,514**	**(202,970)**	**-95.06**
290. Income taxes on current operations for the period	5,270	5,718	(448)	-7.83
300. Profit (Loss) from current operations after tax	**15,814**	**219,232**	**(203,418)**	**-92.79**
320. Net profit (loss) for the period	**15,814**	**219,232**	**(203,418)**	**-92.79**
330. Net profit (Loss) pertaining to minority interests	(1,515)	1,429	(2,944)	-206.02
340. Profit (Loss) for the period pertaining to the Parent Company	**14,299**	**220,661**	**(206,362)**	**-93.52**

Consolidated income statement by quarter as at 31 December 2016

(in thousands of Euro)

Captions	1st quarter 2016	2nd quarter 2016	3rd quarter 2016	4th quarter 2016	1st quarter 2015	2nd quarter 2015	3rd quarter 2015	4th quarter 2015
10. Interest and similar income	384,670	373,463	359,459	365,459	431,035	415,453	402,855	399,056
20. Interest and similar expense	(87,870)	(79,887)	(73,731)	(71,116)	(116,940)	(107,083)	(100,819)	(96,016)
30. Net interest income	**296,800**	**293,576**	**285,728**	**294,343**	**314,095**	**308,370**	**302,036**	**303,040**
40. Commission income	185,186	189,189	183,068	188,516	188,020	189,373	187,648	197,433
50. Commission expense	(8,103)	(8,154)	(8,265)	(8,715)	(8,817)	(8,723)	(9,804)	(8,437)
60. Net commission income	**177,083**	**181,035**	**174,803**	**179,801**	**179,203**	**180,650**	**177,844**	**188,996**
70. Dividends and similar income	86	8,732	338	716	249	13,583	457	1,664
80. Net trading income	(25,801)	(3,956)	12,051	25,650	20,413	(6,009)	591	17,836
90. Net hedging gains (losses)	120	(82)	(129)	(244)	355	(520)	(634)	(90)
100. Gains/losses on disposal or repurchase of:	37,346	55,129	11,199	3,988	28,438	15,882	22,809	248,337
a) loans	7	1,027	(4,495)	(6,287)	3,804	601	(200)	(182)
b) financial assets available for sale	38,237	54,210	15,833	10,347	25,092	15,486	23,048	249,545
c) financial assets held to maturity	-	-	-	-	(92)	300	-	13
d) financial liabilities	(898)	(108)	(139)	(72)	(366)	(505)	(39)	(1,039)
110. Net results on financial assets and liabilities designated at fair value	3,997	(2,027)	2,397	361	(3,148)	6,110	(2,405)	(81)
120. Net interest and other banking income	**489,631**	**532,407**	**486,387**	**504,615**	**539,605**	**518,066**	**500,698**	**759,702**
130. Net impairment adjustments to:	(121,511)	(150,571)	(126,429)	(260,553)	(149,972)	(157,786)	(135,067)	(294,975)
a) loans	(114,167)	(161,935)	(124,578)	(219,070)	(147,504)	(150,237)	(127,156)	(280,902)
b) financial assets available for sale	(3,678)	(3,524)	(4,948)	(39,661)	(6,347)	(2,552)	(7,563)	(10,881)
d) other financial assets	(3,666)	14,888	3,097	(1,822)	3,879	(4,997)	(348)	(3,192)
140. Net profit from financial activities	**368,120**	**381,836**	**359,958**	**244,062**	**389,633**	**360,280**	**365,631**	**464,727**
180. Administrative costs:	(343,116)	(344,714)	(329,258)	(366,215)	(323,806)	(332,038)	(358,876)	(395,811)
a) payroll	(196,586)	(201,655)	(176,168)	(194,740)	(199,322)	(196,883)	(232,374)	(196,474)
b) other administrative costs	(146,530)	(143,059)	(153,090)	(171,475)	(124,484)	(135,155)	(126,502)	(199,337)
190. Net provision for risks and charges	(9,621)	(12,504)	(5,791)	(752)	(14,096)	(22,689)	(15,440)	88
200. Net adjustments to property, plant and equipment	(8,983)	(12,104)	(9,150)	(15,472)	(9,944)	(9,171)	(9,295)	(19,926)
210. Net adjustments to intangible assets	(8,101)	(8,339)	(8,793)	(9,653)	(7,386)	(7,916)	(8,200)	(8,411)
220. Other operating charges/income	45,943	45,329	42,990	39,455	46,307	41,032	43,078	45,387
230. Operating costs	**(323,878)**	**(332,332)**	**(310,002)**	**(352,637)**	**(308,925)**	**(330,782)**	**(348,733)**	**(378,673)**
240. Profit (Loss) from equity investments	3,143	(406)	2,344	3,410	(1,886)	7,270	(6,843)	1,556
260. Adjustments to goodwill	-	(3,254)	-	(29,600)	-	-	-	-
270. Gains (Losses) on disposal of investments	50	(417)	118	29	113	(97)	(3)	246
280. Profit (Loss) from current operations before tax	**47,435**	**45,427**	**52,418**	**(134,736)**	**78,935**	**36,671**	**10,052**	**87,856**
290. Income taxes on current operations for the period	(14,104)	(13,689)	(12,838)	45,901	(27,234)	(7,367)	(2,313)	42,632
300. Profit (Loss) from current operations after tax	**33,331**	**31,738**	**39,580**	**(88,835)**	**51,701**	**29,304**	**7,739**	**130,488**
320. Net profit (Loss) for the period	**33,331**	**31,738**	**39,580**	**(88,835)**	**51,701**	**29,304**	**7,739**	**130,488**
330. Net profit (Loss) pertaining to minority interests	(2,356)	2,029	(3,162)	1,974	(6,504)	(1,270)	1,616	7,587
340. Profit (Loss) for the period pertaining to the Parent Company	**30,975**	**33,767**	**36,418**	**(86,861)**	**45,197**	**28,034**	**9,355**	**138,075**

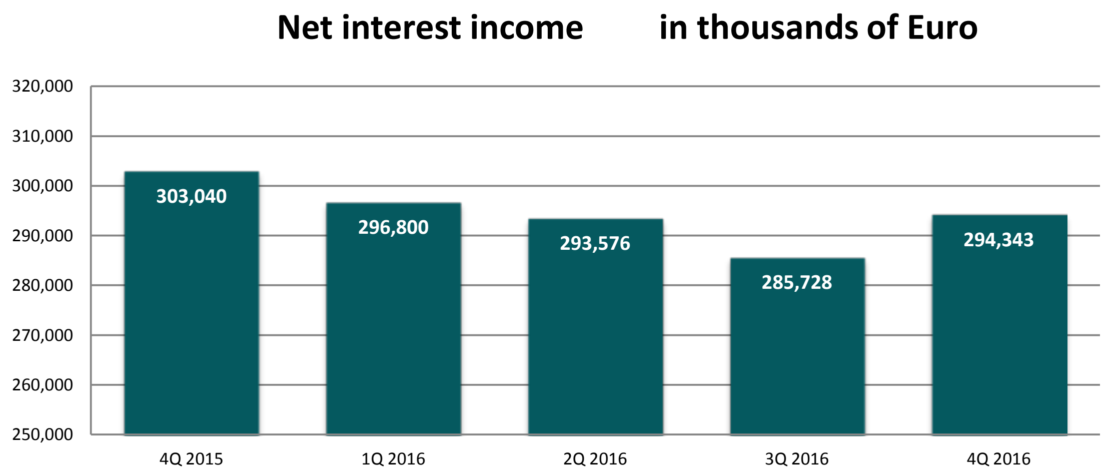
The following are the key figures from the consolidated income statement at 31 December 2016, suitably compared with the figures at 31 December 2015.
As regards the Dinamo project, already mentioned above, the figures of Banca di Sassari s.p.a. and Banco di Sardegna s.p.a. are influenced by the sale of the business unit, effective from 23 May 2016. The comparative figures have not been calculated pro-forma.
Note that the figures relating to CR Saluzzo are only for the last quarter of 2016, given that the latter entered BPER Banca Group on 1 October 2016.

Net interest income

Net interest income comes to Euro 1,170.4 million, down 4.65% (Euro 1,227.5 million at 31 December 2015), mainly due to the level of short-term interest rates, now structurally negative (average of the 3-mth Euribor in the year of -26 bps, compared with an average of -2 bps last year), which negatively affected the trend in the overall spread: in this context, the steady gradual decline in the cost of funding (which includes the benefit for 2016 of participating in emissions of TLTRO II - *Targeted Long-Term Refinancing Operations II* - for Euro 5 billion, calculated as Euro 8.3 million) was not able to offset the decline in asset yields.

(in thousands of Euro)

Net interest income	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	853,310	898,232	(44,922)	-5.00
2. Bper (Europe) International s.a.	4,284	2,727	1,557	57.10
3. Banca di Sassari s.p.a.	28,274	51,506	(23,232)	-45.11
4. Banco di Sardegna s.p.a.	200,753	194,997	5,756	2.95
5. Cassa di Risparmio di Bra s.p.a.	23,342	24,535	(1,193)	-4.86
6. Cassa di Risparmio di Saluzzo s.p.a.	3,160		3,160	n.s.
Total banks	**1,113,123**	**1,171,997**	**(58,874)**	**-5.02**
Other companies and consolidation adjustments	57,324	55,544	1,780	3.20
Total	**1,170,447**	**1,227,541**	**(57,094)**	**-4.65**

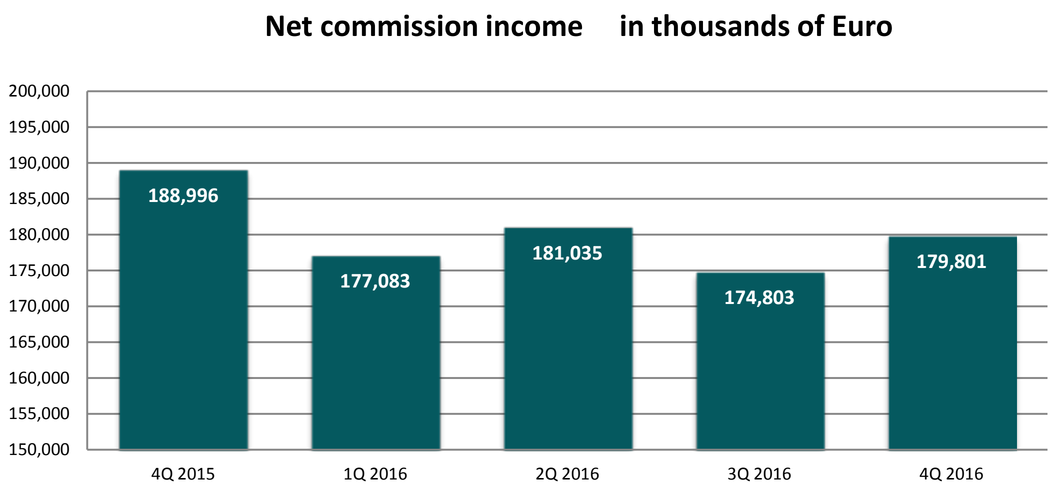


Net commission income

Net commission income, Euro 712.7 million, decreased (-1.92%) on 31 December 2015. There was a decrease in commission from loans and guarantees (-3.00%) and from collections and payment instruments (-6.58%), while commissions on indirect deposits and "bancassurance" remained broadly in line with the previous year's figures (-0.38%).

(in thousands of Euro)

Net commission income	31.12.2016	31.12.2015	Change	% Change
Trading in currency/financial instruments	5,951	6,494	(543)	-8.36
Indirect deposits and insurance policies	197,374	198,130	(756)	-0.38
Credit cards, collections and payments	142,325	152,355	(10,030)	-6.58
Loans and guarantees	329,623	339,812	(10,189)	-3.00
Other commissions	37,449	29,902	7,547	25.24
Total net commission income	**712,722**	**726,693**	**(13,971)**	**-1.92**



Net trading income

The net result from trading activities (including dividends) was income of Euro 129.9 million, which was lower than at 31 December 2015 (Euro 363.8 million); the prior year had been characterised by extraordinary items arising from the sale of equity investments in ICBPI (Euro 174.3 million) and by the purchase of an interest in ARCA SGR that led to its transfer from the "AFS" portfolio to the "Equity investments" portfolio with a positive impact on the income statement of Euro 69 million.

The 2016 result featured various extraordinary items totalling Euro 37.6 million, namely, the sale of the interest in Visa Europe Ltd by Banca di Sassari s.p.a. (Euro 20.8 million) and the earn-out on the sale of ICBPI, received by BPER Banca from CartaSì (Euro 16.8 million).

Net of these items, there was income from the sale or trading of financial assets of Euro 65.5 million and net gains on financial assets of Euro 7.2 million, as well as other positive elements of Euro 9.7 million, including the fair value option on financial liabilities (Euro 1.8 million).

(in thousands of Euro)

Net trading income (including dividends)	31.12.2016	31.12.2015	Change	% Change
Dividends	9,872	15,953	(6,081)	-38.12
Gain of financial assets and loans	103,108	317,735	(214,627)	-67.55
- ordinary component	*65,492*	*74,483*	*(8,991)*	*-12.07*
- extraordinary component	*37,616*	*243,252*	*(205,636)*	*-84.54*
Gains on financial assets	19,661	38,079	(18,418)	-48.37
Losses on financial assets	(12,455)	(11,916)	(539)	4.52
Fair value option	1,753	(3,074)	4,827	-157.03
Other revenues (losses)	7,932	7,060	872	12.35
Total	**129,871**	**363,837**	**(233,966)**	**-64.31**
- ordinary component	*92,255*	*120,585*	*(28,330)*	*-23.49*
- extraordinary component	*37,616*	*243,252*	*(205,636)*	*-84.54*

Net interest and other banking income

Net interest and other banking income amounts to Euro 2,013 million, a fall compared with the previous year (-13.16%).

(in thousands of Euro)

Net interest and other banking income	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	1,501,023	1,717,242	(216,219)	-12.59
2. Bper (Europe) International s.a.	8,167	4,608	3,559	77.24
3. Banca di Sassari s.p.a.	77,399	98,876	(21,477)	-21.72
4. Banco di Sardegna s.p.a.	323,733	328,904	(5,171)	-1.57
5. Cassa di Risparmio di Bra s.p.a.	37,227	41,106	(3,879)	-9.44
6. Cassa di Risparmio di Saluzzo s.p.a.	5,899		5,899	n.s.
Total banks	**1,953,448**	**2,190,736**	**(237,288)**	**-10.83**
Other companies and consolidation adjustments	59,592	127,335	(67,743)	-53.20
Total	**2,013,040**	**2,318,071**	**(305,031)**	**-13.16**

Net adjustments to loans and other financial assets

Net adjustments to loans and other financial assets amounted to Euro 659.1 million, a decrease on 2015 (-10.67%).

Net adjustments to loans, Euro 619.8 million, were lower than in the previous year (-12.19%).

The coverage of non-performing loans has again improved (44.54%) since the end of 2015 (+32 bps), as explained in detail earlier, taking into account the sale of non-performing loans in the second half of the year.

Net adjustments to *"Financial assets available for sale"* amounted to Euro 51.8 million (Euro 27.3 million at 31 December 2015) following the identification of impairment losses in accordance with the Group's accounting policies, comprising Euro 18.3 million recorded in the equities portfolio (in particular, Euro 12.7 million relating to the investment in Release s.p.a. and Euro 2.5 million relating to the writedown of the contribution to the FITD-SV for the intervention in favour of CR Cesena), and net adjustments to the UCITS portfolio of Euro 33.5 million (of which Euro 28.3 million related to the writedown of the Atlante Fund units of 34.83%) to reflect our extremely prudent approach to the measurement of financial assets.

(in thousands of Euro)

Net impairment adjustments to loans caption 130 a)	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	516,606	558,844	(42,238)	-7.56
2. Bper (Europe) International s.a.	2,100	-	2,100	n.s.
3. Banca di Sassari s.p.a.	2,353	11,132	(8,779)	-78.86
4. Banco di Sardegna s.p.a.	53,431	79,599	(26,168)	-32.87
5. Cassa di Risparmio di Bra s.p.a.	14,603	21,083	(6,480)	-30.74
6. Cassa di Risparmio di Saluzzo s.p.a.	2,724		2,724	n.s.
Total banks	**591,817**	**670,658**	**(78,841)**	**-11.76**
Other companies and consolidation adjustments	27,933	35,141	(7,208)	-20.51
Total	**619,750**	**705,799**	**(86,049)**	**-12.19**

The total cost of credit at 31 December 2016 comes to 136 bps (162 bps at 31 December 2015).

Net profit from financial activities

The net profit from financial activities of Euro 1,354 million is down by 14.32% on 31 December 2015.

Operating costs

Operating costs amount to Euro 1,318.8 million, 3.53% down compared with 2015.

The main components of operating costs are as follows.
"Administrative expenses – a) payroll costs", Euro 769.1 million, are down by 6.78% compared with the previous year; The result at 31 December 2015 was negatively affected by the Euro 58.6 million of extraordinary provisions for voluntary redundancies and the "Solidarity Fund"; net of this component, payroll costs were much the same as for the previous year (+0.35%).

"Administrative expenses – b) other administrative expenses" amount to Euro 614.2 million, an increase of 4.90% compared with the previous year; net of tax recoveries allocated to *"Other net operating income"* of Euro 118.7 million (Euro 123.3 million at 31 December 2015), contributions to the Resolution Fund (SRF) of Euro 50 million (Euro 53.3 million at 31 December 2015), to the Deposit Guarantee Scheme (DGS) of Euro 16.9 million (Euro 8.2 million in the previous year) and to the FITD voluntary scheme of Euro 11.3 million for the intervention on behalf of Banca Tercas restated during the year, they amount to Euro 417.2 million (+4.1% on a consistent basis compared with 31 December 2015).

"Net provisions for risks and charges" (Euro 28.7 million) are down by Euro 23.5 million.

"Net impairment losses on tangible and intangible assets" amount to Euro 80.6 million (Euro 80.2 million at 31 December 2015), influenced by writedowns on property owned by Euro 9.4 million (Euro 10.5 million at 31 December 2015).

(in thousands of Euro)

Operating costs	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	931,731	973,532	(41,801)	-4.29
2. Bper (Europe) International s.a.	3,611	4,014	(403)	-10.04
3. Banca di Sassari s.p.a.	52,174	79,171	(26,997)	-34.10
4. Banco di Sardegna s.p.a.	266,918	257,072	9,846	3.83
5. Cassa di Risparmio di Bra s.p.a.	23,991	22,487	1,504	6.69
6. Cassa di Risparmio di Saluzzo s.p.a.	7,000		7,000	n.s.
Total banks	**1,285,425**	**1,336,276**	**(50,851)**	**-3.81**
Other companies and consolidation adjustments	33,424	30,837	2,587	8.39
Total	**1,318,849**	**1,367,113**	**(48,264)**	**-3.53**

Profit (loss) from equity investments

"Profit (loss) from equity investments" amounts to income of Euro 8.5 million, positively influenced by the result from investments measured using the equity method of Euro 11.8 million and by the income deriving from the fair value measurement of shares in Cassa di Risparmio di Saluzzo s.p.a. held before the acquisition of control thereover, in accordance with IFRS 3, of Euro 1.1 million and negatively impacted by a writedown of the investments in Banca della Nuova Terra s.p.a. (Euro 2.3 million), Polo Campania s.r.l. (Euro 1.3 million), SIFA' s.p.a. (Euro 0.3 million), Italiana Valorizzazioni Immobiliari s.r.l. (Euro 0.3 million) and Sofipo s.a. in liquidation (Euro 0.2 million).

Write-up/writedown of goodwill

As part of the Dinamo Project, with the transfer of the banking business from Banca di Sassari s.p.a. to Banco di Sardegna s.p.a., it was necessary to write down the goodwill recorded in the Consolidated financial statements of Banco di Sardegna, the sub-holding company, by Euro 3.3 million.
Impairment testing, as required by IAS 36, has shown the need for a writedown of goodwill relating to Banco di Sardegna of Euro 29.6 million.

Net profit

The profit from current operations before tax amounts to Euro 10.5 million (Euro 213.5 million at 31 December 2015).

Income taxes for the period amount to income of Euro 5.3 million, positively affected, in particular, by reduced taxation (Pex regime) on the gain on sale of equity interests and AFS securities and by the effects of other unrelated elements (in particular the effects of the ACE deduction) only partly offset by the impairment of goodwill and other insignificant charges.

The overall result, net of taxes, was a profit of Euro 15.8 million (Euro 219.2 million at 31 December 2015).

The profit attributable to minority interests amounts to Euro 1.5 million (loss for the year ended 31 December 2015 of Euro 1.4 million).
The net profit attributable to the Parent Company, net of minority interests, is Euro 14.3 million (Euro 220.7 million at 31 December 2015).

(in thousands of Euro)

Net profit	31.12.2016	31.12.2015	Change	% Change
1. BPER Banca S.p.A.	18,699	161,962	(143,263)	-88.45
2. Bper (Europe) International s.a.	1,616	348	1,268	364.37
3. Banca di Sassari s.p.a.	20,701	5,738	14,963	260.77
4. Banco di Sardegna s.p.a.	71,515	(6,233)	77,748	-1247.36
5. Cassa di Risparmio di Bra s.p.a.	(864)	(2,220)	1,356	-61.08
6. Cassa di Risparmio di Saluzzo s.p.a.	(3,452)		(3,452)	n.s.
Total banks	**108,215**	**159,595**	**(51,380)**	**-32.19**
Other companies and consolidation adjustments	(93,916)	61,066	(154,982)	-253.79
Total	**14,299**	**220,661**	**(206,362)**	**-93.52**

6.5 Employees

Employees	31.12.2016	31.12.2015	Change
1. BPER Banca S.p.A.	8,054	8,021	33
2. Bper (Europe) International s.a.	18	17	1
3. Banca di Sassari s.p.a.	138	532	(394)
4. Banco di Sardegna s.p.a.	2,697	2,346	351
5. Cassa di Risparmio di Bra s.p.a.	178	185	(7)
6. Cassa di Risparmio di Saluzzo s.p.a.	198		198
Total banks	**11,283**	**11,101**	**182**
Subsidiaries consolidated line-by-line	352	346	6
Total of balance sheet	**11,635**	**11,447**	**188**
Subsidiaries consolidated under the equity method	2	5	(3)
Total	**11,637**	**11,452**	**185**

The number of employees indicated for each bank takes account of staff seconded to other Group companies.
In particular, the Group companies' employees at 31 March 2016 include 1,420 persons seconded within the Group (1,250 at 31 December 2015), of which 1,042 are with BPER Services s.cons.p.a. (1,053 at 31 December 2015) and 181 are with BPER Credit Management s.cons.p.a, a company that commenced operating on 1 January 2016.
As part of the Dinamo Project, Banca di Sassari s.p.a. transferred from 23 May 2016 342 employees to Banco di Sardegna s.p.a.

6.6 Geographical organisation

Branches	31.12.2016	31.12.2015	Change
1. BPER Banca S.p.A.	779	780	(1)
2. Banca di Sassari s.p.a.	-	55	(55)
3. Banco di Sardegna s.p.a.	366	353	13
4. Cassa di Risparmio di Bra s.p.a.	28	28	-
5. Cassa di Risparmio di Saluzzo s.p.a.	27	-	27
Total commercial banks	**1,200**	**1,216**	**(16)**
6. Bper (Europe) International s.a. - Lussemburgo	1	1	-
Total	**1,201**	**1,217**	**(16)**

The often cited Dinamo Project resulted in the transfer of 55 branches from Banca di Sassari to Banco di Sardegna. This operation has increased the efficiency of Banco di Sardegna's distribution network, which reduced the number of its own branches by 39

7. Principal risks and uncertainties

7.1 Risk management

BPER Banca Group establishes its risk governance, assumption, control and monitoring policies on the basis of guidelines approved by the Parent Company's Board of Directors and that are applicable to all organisational units of the Parent Company and other Group companies; these regulate the management and control process, which is designed to cope with the risks to which they are exposed, as well as the roles of the bodies and functions involved.

To ensure the achievement of strategic and operational objectives, BPER Banca Group considers its Internal Control System (governed by "Group Guidelines - Internal Control System", in line with Bank of Italy Circular 285 of 17 December 2013 – Supervisory instructions for banks) to be a fundamental element of the risk governance system and as a means of ensuring that the business is run in line with its corporate strategies and policies, as well as in compliance with concepts of sound and prudent management.

This system is organised to improve profitability, protect its financial strength, ensure compliance with internal and external regulations and codes of conduct, promote transparency towards the market by managing the risks taken on by the Group and, more in general, to ensure that the business is run in accordance with the Group's strategies and declared risk appetite.

BPER Group's internal control system involves corporate bodies, control functions and line structures and is designed to take account of the business specifics of each Group Company and to comply with the principles established by the Supervisory Authorities, being:

- proportionality in the application of rules according to size and operations;
- graduality in progressively transferring to more advanced methodologies and processes for measuring risk and the capital that is available as a result;
- unity in the definition of the approaches used by the various functions foreseen in the Group's organisational system;
- economy: containment of costs for intermediaries.

The BPER Group identifies the Risk Appetite Framework (RAF) as a tool for overseeing the risk profile that the Group intends to take in the implementation of its business strategies, considering it as an essential element to ensure that the risk governance policy and process by which risks are handled comply with the principles of sound and prudent business management.

The RAF takes on the importance of a management tool that not only permits concrete application of the regulations, but also makes it possible to activate synergistic governance of the planning, control and risk management activities. It is also a key element to:

- strengthen the ability to govern business risks, facilitating the development and dissemination of an integrated risk culture;
- ensure alignment between strategic guidelines and the levels of risk assumed, through the formalisation of consistent objectives and limits;
- develop a quick and effective system of monitoring and reporting the risk profile taken on.

To ensure the implementation of the foregoing, BPER Banca Group, in compliance with prudential supervisory regulations (Bank of Italy Circular 285 of 7 December 2013), performs the identification of major Pillar 1 and Pillar 2 risks to which it is or could be exposed by taking account of its operations and markets, in a current and future perspective.

The risk identification process forms a basis for regular updates to the Group risk map, which establishes the scope of major risks in a current and future perspective, whereby the Group risk map is acknowledged to be of value for the management and governance of risks.
In line with the RAF defined by the Parent Company, for each risk identified as significant, the Board of Directors of BPER Banca sets, with a special "governance policy", the risk objectives, the related risk exposure and operational limits and the "process of risk assumption and management".

In line with the relevant regulations, the Corporate Bodies have a central role in the process of risk governance, providing for certain responsibilities with regard to the design, implementation, evaluation and external communication, as part of the development of the Group's system of internal controls.
The Parent Company's Board of Directors therefore performs the strategic supervision function at Group level, intervening in all phases envisaged by the model and, by issuing strategic directives, involving the Boards of Directors of the individual Group Banks and Companies for the activities that are their responsibility, i.e.:

- It gives the CEO adequate powers and resources to implement the strategic guidelines, the RAF and risk governance policies defined by the Board of Directors of the Parent Company in the design of the internal control system and is responsible for taking all the necessary steps to ensure that the organisation and its internal control system comply with the principles and requirements laid down in regulatory provisions, monitoring compliance on an ongoing basis.
- It receives, either directly or through the CEO, the information flows required to gain a full awareness of the various risk factors and the ability to govern them, as well as to plan and implement interventions to ensure the compliance and adequacy of the Internal Control System.

The various bodies of the Parent Company with delegated powers (i.e. the Executive Committee, Chief Executive Officer and Executive Board, in other words those with appropriate powers to carry on the functions of day-to-day management) perform the management function in all stages of the model. Added to these are the delegated bodies of the individual Companies that ensure implementation of management's strategies and policies at their own level.
The Boards of Statutory Auditors of the Parent Company and of Group companies, each to the extent of its own responsibilities, carry out the assessment of the internal control system foreseen by law and the articles of association and have the responsibility of ensuring the completeness, suitability and functionality of the internal control system and of the RAF. The results of these assessments are brought to the attention of the respective Boards of Directors.
Risk governance is also assisted by the articulated and consolidated system of Group Committees, which meet on a regular basis (also expanded to include the General Management of Group Banks), monitoring of the overall risk profile of the Group and contributing, together with the Parent Company's Board of Directors, to the definition of the risk management policies.
The following tasks are generally assigned to the Committees:

- to communicate and share information on changes in the Group's risk profile;
- to implement the function of guidance and coordination entrusted to the Parent Company;
- to support the competent Corporate Bodies in the area of risk management;
- to identify and propose strategic guidelines and policies for the management of Group risk.

In particular, the Risks Committee, a body with consultative powers, assists the Chief Executive Officer in the determination and implementation of the risk appetite framework, of risk governance policies and of the capital adequacy process for the Group and the companies pertaining thereto, as well as in the preparation of management reporting on risks and development and monitoring of the system of operating limits.

To this effect, the Committee is responsible for examining the following issues:

- risk capacity, risk appetite, risk tolerance, risk profile and risk limits under both normal and stressed conditions;
- consistency of and constant link between and among the business model, the strategic plan, the RAF, ICAAP and ILAAP processes, the budget, business administration and the internal control system;
- the risk management process indicates the series of rules, procedures, methodologies and models, resources (human, technological and organisational) and control activities to identify, measure or assess, monitor, prevent or mitigate and to communicate, by means of a specific reporting process, all risks assumed or assumable by the Group.

The Risks Committee is also responsible for the examination of methodologies, tools, reporting and internal regulations attributable to the Risk Control, Compliance, Anti-Money Laundering and Validation functions and to the Manager responsible for preparing the company's financial reports (hereinafter Manager responsible).

Decentralised at the individual Group companies there are people who act as "Contacts" for all of the second level control functions, in addition to the officer responsible therefor, for the following purposes:

- overseeing operations in line with the Parent Company's duties of guidance and coordination, taking into account specific local aspects and the type of business carried on by individual Group companies;
- ensuring effective operational links between the Parent Company and each Group company;
- all communication flows to corporate bodies.

With respect to reporting, the Group has prepared an organic set of periodic reports to ensure the provision of adequate information to the Corporate Bodies of the Parent Company and the Group Banks about their risk exposure. The analyses contained in these reports are discussed in the various committees and are the basis of the assessment of capital adequacy, subsequently brought to the attention of Parent Company's Board of Directors.

Credit risk

With regard to credit risk, the measurements made by the internal rating system are used for management reporting purposes.

In particular:

- on a quarterly basis we elaborate the Credit Risk Book, which is the basic information support for the Risk Committee and contains detailed reports at a consolidated and individual company level;
- a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit and concentration risk;
- a network reporting tool is prepared, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.

Important activities in 2016 concerning the Basel 2 project included the following:

- start-up of the following projects:
  - adjustment of credit risk models for IFRS9 - Impairment;
  - development of rating models for the Banks and Confidi segments;
  - development of rating models for the Holding companies and Financial businesses segments;
- development of a model for estimating the EAD for Corporate counterparties and updating of the EAD model for Retail counterparties, with an expansion of the historical series;
- evolution of the way in which rating models are developed.

Advanced methodologies (AIRB) based on internal ratings have long been used as part of the process of defining capital adequacy (ICAAP).
For regulatory purposes, the BPER Banca Group continued to apply the standardised approach for the measurement of credit risk with reference to the first quarter 2016 using, for commercial banks, the external ratings provided by ECAIs (external agencies for the assessment of creditworthiness) recognised by the Supervisory Authority; in particular, the Group used the Cerved Rating for "Exposures to companies," the DBRS Rating for "Exposures to central administrations or central banks", the Fitch Rating for "Financial Instruments" lodged in guarantee and "Exposures to UCITS" and Fitch, Standard & Poor's and Moody's ratings for "Exposures to securitisation".

Following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the June 2016 Regulatory Reports, the BPER Banca Group began using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- "Exposures to retail businesses";
- "Exposure to companies".

The other Group companies and asset classes for which Permanent Partial Use (PPU) is not required or which are not included in the roll-out plan, the BPER Banca Group will continue to use the Standardised Approach and the external ratings supplied by the ECAIs mentioned above.

Financial risk

For the management of financial risk, plans are in place for an analytical reporting system. Guidance on management policies for market risk (VaR - Value at Risk), interest rate risk (ALM) and liquidity risk (operational and structural) is provided by the ALCO and Finance Committee and the Liquidity Committee.

Operational risk

As regards the governance of operational risk, starting from the supervisory reports at 31 December 2013, the BPER Banca Group adopted the Traditional Standardised Approach (TSA) to calculate the capital requirement for operational risk.
The model of operational risk governance and management adopted by the BPER Banca Group, designed to identify, assess, monitor, mitigate and report operational risks to the appropriate hierarchical levels, is formalised in specific internal rules. It provides for the centralised management at the Parent Company by the Credit and Operational Risk Department, which has a Contact of the Risk Management Department in place at all Group banks and companies.

The BPER Banca Group has specific criteria for allocating the relevant indicator to the lines of business foreseen in the regulations. The operational risk management and measurement system adopted by the BPER Banca Group is ensured by:

- the Loss Data Collection process: a system for collecting and recording loss events resulting from operational risks;
- control risk self assessment methodology: measurement of exposures subject to operational risk;
- system of reporting and communication to the Board of Directors and Senior Management, together with procedures to undertake appropriate mitigation actions based on the information flows sent.

Integrated analysis of the loss data collection and self assessment make it possible to identify areas of vulnerability in which operating losses are more concentrated, in order to understand the underlying causes and highlight the opportunity for corrective action, also by means of insurance cover (external transfer of risk).

Since 2015, the BPER Banca Group has implemented an analytical framework for IT risk, with the aim of providing a representation of the current situation and the adjustment interventions necessary to avoid exceeding the threshold set for the Group's risk appetite.
Specific analysis is conducted on the security of internet payments.

Reputational risk

At the beginning of 2017, BPER Banca Group implemented a reputational risk management framework, the objective of which is to monitor, manage and mitigate risk, as well as to provide a structured periodic situation report thereon and measures that need to be taken to mitigate any areas of vulnerability that may exist.

The framework includes the management of particularly critical reputational events, by means of a functional escalation process and the determination of short and long term responses and mitigation.

Business Continuity

In 2016, BPER Banca Group made further refinements and improvements to its business continuity model (in compliance with prudential supervision regulations – Bank of Italy Circular 285/13 and subsequent updates) thanks to the constant update of the analysis methodology and the adoption of tools and equipment to support appropriate recovery solutions.

For business continuity management, a unique organisational model with distributed responsibilities is in use, which allows the Parent Company to exercise its responsibilities for governance and control. The model has been formalised as a specific Regulation (updated in November 2016) and as part of the Business Impact Analysis (BIA). The model envisages an annual review of the analysis performed to identify critical processes and resources, in order to take account of organisational changes that have occurred in the period, the status concerning recovery solutions and, in general, all refinements needed to address the outcome of testing performed in the reference period.

In 2016, 13 test sessions took place at Group level that covered the various areas envisaged by applicable regulations: testing of business continuity solutions (comprising the recovery site at the Cesena office), testing of disaster recovery solutions (conducted by BPER Services and Numera) and testing of the chain of command (in BPER Banca, Banco di Sardegna and Cassa di Risparmio di Bra).

Particular attention is always paid to the training of the resources involved in various ways in business continuity management and in testing activities. In addition to primary specific training provided to the Group's Business Continuity Managers and members of staff who oversee the delivery of critical processes and related back up, an eLearning course was commissioned to make it available to all those interested.

Upon completion of the different phases of the annual business continuity management process, the Boards of Directors of individual Group Banks and Companies approved their Business Continuity Plans for 2016.

In the second half of 2016, as a result of the events that occurred in August and October (earthquake in Abruzzo/Marche), the business continuity team constantly monitored the situation. Due to the fact that, fortunately, no significant structural damage had been suffered, there was no impact on the branches' operations. However, emergency operational support (campervan) had to be provided as a result of significant damage to a branch in Bologna (ATM explosion during a robbery) while restoration work was being performed on the property.

As far as 2017 is concerned, various technical and organisational activities have been planned at Group level in order to constantly develop the level of service provided by business continuity management.

7.2 Disclosure of exposures to sovereign debt held by listed companies

Details are provided below of bonds issued by central and local governments and by government entities, as well as loans granted to them as required by CONSOB Communication DEM/11070007 of 5 August 2011.

Debt securities

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	AFS Reserves	%
Governments(*):			**5,845,266**	**6,426,735**	**6,570,494**	**55,288**	**97.77%**
Italy	BBB+		**5,294,317**	**5,868,625**	**6,010,748**	**55,447**	**89.28%**
		HFT	222,499	264,402	264,402	#	
		CFV	10,000	12,147	12,147	#	
		AFS	3,879,318	4,259,070	4,259,070	55,447	
		HTM	1,182,500	1,333,006	1,475,129	#	
		L/R	-	-	-	#	
U.S.A.	AAA		**405,559**	**403,618**	**403,618**	**(1,362)**	**6.14%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	405,559	403,618	403,618	(1,362)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
U.K.	AA		**35,039**	**37,864**	**37,864**	**856**	**0.58%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	35,039	37,864	37,864	856	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
European Stability Fund	AA		**45,000**	**49,836**	**49,836**	**(481)**	**0.76%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	45,000	49,836	49,836	(481)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	AFS Reserves	%
Spain	BBB+		**24,500**	**25,726**	**26,355**	**513**	**0.39%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	19,500	20,705	20,705	513	
		HTM	5,000	5,021	5,650	#	
		L/R	-	-	-	#	
Austria	AA+		**13,022**	**13,204**	**13,204**	**424**	**0.20%**
		HFT	4,022	4,070	4,070	#	
		CFV	-	-	-	#	
		AFS	9,000	9,134	9,134	424	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Portugal	BB+		**10,285**	**10,537**	**11,544**	**-**	**0.16%**
		HFT	285	281	281	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	10,000	10,256	11,263	#	
		L/R	-	-	-	#	
Qatar	AA		**9,487**	**9,302**	**9,302**	**(112)**	**0.14%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	9,487	9,302	9,302	(112)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Netherlands	AAA		**8,000**	**8,003**	**8,003**	**3**	**0.12%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	8,000	8,003	8,003	3	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Other			**57**	**20**	**20**	**-**	**0.00%**
		HFT	57	20	20	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	-	-	-	#	
		L/R	-	-	-	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair Value	AFS Reserves	%
Central Banks:			**23,717**	**23,761**	**23,761**	**(36)**	**0.36%**
U.K.	AA		**23,717**	**23,761**	**23,761**	**(36)**	**0.36%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	23,717	23,761	23,761	(36)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Other public entities:			**123,173**	**122,577**	**123,737**	**(680)**	**1.86%**
Italy	-		**1,843**	**1,842**	**2,138**	**-**	**0.03%**
		HFT	8	8	8	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	-	-	-	#	
		L/R	1,835	1,834	2,130	#	
Canada	-		**18,974**	**19,035**	**19,035**	**18**	**0.29%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	18,974	19,035	19,035	18	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Japan	-		**29,409**	**28,648**	**28,648**	**(849)**	**0.44%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	29,409	28,648	28,648	(849)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
France	-		**72,947**	**73,052**	**73,916**	**151**	**1.11%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	62,947	63,092	63,092	151	
		HTM	10,000	9,960	10,824	#	
		L/R	-	-	-	#	
Total debt securities as at 31.12.2016			**5,992,156**	**6,573,073**	**6,717,992**	**54,572**	**100.00%**

The individual percentages shown in the above table may not agree with the total because of roundings.
The ratings indicated are those of Fitch Rating at 31 December 2016.

Loans and advances

Issuer	*Rating*	Cat	Nominal value	Book value	*Fair value*	AFS Reserves	%
Governments:			**1,720,134**	**1,720,134**	**1,720,134**	**-**	**82.69%**
Italy	BBB+		**1,720,134**	**1,720,134**	**1,720,134**	**-**	**82.69%**
		L/R	1,720,134	1,720,134	1,720,134	#	
Other public entities:			**360,119**	**360,119**	**375,384**	**-**	**17.31%**
Italy	-		**356,592**	**356,592**	**371,857**	**-**	**17.14%**
		L/R	356,592	356,592	371,857	-	
Algeria	-		**3,527**	**3,527**	**3,527**	**-**	**0.17%**
		L/R	3,527	3,527	3,527	#	
Total loans			**2,080,253**	**2,080,253**	**2,095,518**	**-**	**100.00%**

The ratings indicated are those of Fitch Rating at 31 December 2016.

Based on their "Book Value", repayment of these exposures is distributed as follows:

	on demand	until 1 year	1 to 5 years	over 5 years	Total
Debt securities	-	553,248	2,719,443	3,300,382	6,573,073
Loans	200,610	229,392	449,611	1,200,640	2,080,253
Total	**200,610**	**782,640**	**3,169,054**	**4,501,022**	**8,653,326**

The BPER Banca Group has no exposures to Greece.

7.3 Main litigation and legal proceedings pending

At 31 December 2016, the overall risks relating to tax disputes are covered by appropriate "Provisions for risks and charges" totalling Euro 3,477 thousand.
Details are provided below of the status concerning the main disputes that have been disclosed in previous financial statements, to which reference should be made for further information thereon.

a) BPER (formerly Emro Finance Ireland Ltd) tax years 2005-2009

2016 saw completion of the cross-border merger of the Irish subsidiary, with legal, accounting and tax effects from 1 August 2016.
Pursuant to art. 2504 *bis* of the Italian Civil Code, BPER Banca thus took over the dispute for fictitious relocation abroad, pending before the Regional Tax Commission of Emilia-Romagna as a result of the Appeal proposed by the Tax Authorities against the first degree judgements under which the Modena provincial tax commission accepted the appeals presented by Emro Finance Ireland.
The Bank does not believe that this matter is likely to have adverse consequences.

b) BPER (formerly Em.Ro. popolare s.p.a) tax years 2008-2009

The dispute arose following the disallowance of the recognition for tax purposes of changes in exchange rates on financial assets denominated in foreign currency, considered fiscally relevant by the former subsidiary pursuant to art. 110 paragraph 2 of the Consolidated Income Tax Law.
The additional taxable income assessed came to Euro 1,923.3 thousand.
Following a partially favourable first-level court ruling, the dispute has gone to appeal.
No new elements emerged in 2016.
At the reporting date, the related provision amounts to Euro 447 thousand.

c) BPER (former Cassa di Risparmio dell'Aquila and former Banca popolare di Lanciano e Sulmona): subsidised loans relating to the "Abruzzo earthquake" for the 2010-2011-2012 tax years

This is a dispute relating to the three-year period from 2010 to 2012, involving the reclassification for tax purposes of subsidised loans for the reconstruction and purchase of buildings used as principal place of residence damaged by the earthquake of 6 April 2009, provided by Decree Law 39/2009, converted into law with modification of art. 1, paragraph 1 of Law 77/2009 (so-called "earthquake loans").
The unfavourable judgements issued at the hearings of 20 April 2016 and 28 June 2016 have been contested by the Bank through a proposed appeal before the Regional Tax Commission of Abruzzo. At the date of this report, Euro 1,395 thousand have been set aside for prudence sake.

d) BPER Banca (former Meliorbanca): writedown of agricultural loans as per art. 106 of the Consolidated Income Tax Law, tax year 1999

This is a dispute arising from the former Meliorbanca s.p.a. concerning the alleged unlawful deduction for IRPEG and IRAP purposes of writedowns on agricultural loans made pursuant to art. 106 paragraph 3 of the Consolidated Income Tax Law.
After two rounds in the Company's favour, the Supreme Court unexpectedly upheld the arguments of the Tax Authorities, quashing the second instance sentence in the Company's favour and referring the case to another section of the Lombardy Regional Tax Commission.
As a result of the foregoing, the tax risk borne by the Bank in the dispute in question has been recalculated, setting aside the amount corresponding to the tax assessment, namely Euro 868 thousand.

e) BPER Banca: audit by the Tax Authorities

In July 2015, the Emilia-Romagna Regional Tax Authorities - Audit and Collection Sector commenced a general tax inspection of BPER Banca (formerly Banca popolare dell'Emilia Romagna s.c.), principally focused on the 2012 tax year. This inspection was carried out pursuant to the criteria specified in art. 33 of Presidential Decree 600/73 and art. 52 of Presidential Decree 633/72.
On 19 December 2015, a report of audit findings was notified to the Bank following the tax audit carried out by the Regional Tax Directorate of Emilia-Romagna - Audit and Collection Sector on the 2012 tax year and, in the course of 2016, pursuant to art. 12 Law 202/2000, BPER Banca filed its defence briefs.

f) Banco di Sardegna s.p.a.: audits by the Tax Authorities

During the year, no materially significant notices of assessment or dispute were received. With respect to other ongoing tax disputes, no events have occurred that affect their previously disclosed status.

Banco di Sardegna s.p.a. – Litigation concerning Istituto per il Credito Sportivo

There are no changes with respect to the disclosures published in the Consolidated financial statements at 31 December 2016, to which reference is made for further information.

Banco di Sardegna s.p.a. - Investigations by the Guardia di Finanza (Tax Police)

On 2 March 2015, a search and seizure warrant issued by the Public Prosecutor at the Court of Cagliari was served on Banco di Sardegna s.p.a.
The investigation stems from the preliminary findings made on corporate financial statements for the years 2011 and 2012 as a result of the inspection report prepared by the Supervisory Inspectorate of the Bank of Italy - notified on 31 August 2012 - at the end of the inspection carried out at the Bank during the first half of 2012.
The Bank is providing the investigators with its full collaboration.

BPER (former Cassa di Risparmio dell'Aquila) - Investigation into what the media have labelled the "Parioli scam"

As regards the sequence of events that led to certain individuals having been considered as suspects in the investigation into what the media have labelled the "Parioli scam" and who held accounts, also by means of companies held by them, with a Rome branch of CARISPAQ, which was merged into BPER Banca on 27 May 2013, reference should be made to the Consolidated financial statements at 31 December 2015.
These civil proceedings involving the Bank have been entrusted to a legal team assembled specifically for this purpose, coordinated by Prof. Francesco Astone of Rome, with whom an agreement has been executed. These proceedings are at a preliminary phase, although for 11 thereof, rulings have been issued. With the first ruling, in chronological order, BPER Banca was sentenced to pay damages of Euro 16 thousand. With regard to this decision, for which the reasons appear to be absurd and groundless, BPER Banca presented its appeal based on a series of reasons. The subsequent ten rulings, all of which were issued in 2016, saw the plaintiff's claims being rejected, with an offset of the legal costs. The respective plaintiffs have appealed against five of these rulings, which were in favour of BPER Banca, to the civil Court of Appeal of Rome.

Given the above, it is currently believed that there is only a remote possibility that the bank will suffer adverse consequences as a result of this matter; consequently, in accordance with IAS 37, it was decided not to make any provision.

BPER Banca – Judgement and proceedings of the Court of Modena with regard to the Shareholders' Meeting of 16 April 2011

You are reminded that the Court of Modena, in its judgement of 24 February 2012, cancelled the shareholders' resolution of 16 April 2011 for partial renewal of the Board of Directors of BPER, which appointed as Directors for the three-year period 2011-2013 Piero Ferrari, Alberto Marri, Giuseppe Lusignani, Fioravante Montanari, Erminio Spallanzani and Manfredi Luongo.

The Bank appealed against this judgement, serving notice on 19 June 2012 and highlighting the serious argumentative gaps in it, also with reference to key legal questions.

In the appeal proceedings, at the hearing of 16 January 2013, the Bologna Court of Appeal set the date for the next hearing on 21 October 2014 (subsequently postponed to 11 October 2016) for the statement of conclusions. Statements of conclusions were presented at the hearing of 11 October 2016. The judge set the terms (still open) for the statements of conclusions to be lodged, after which the ruling will be issued.

On the criminal front, in accepting the request made by the public prosecutor that the case should be closed, the investigating judge Mr. Romito of Modena, issued on 12 July 2016 an order with which he closed the lawsuit taken against officers and shareholders of BPER Banca accused of conduct envisaged and sanctioned by art. 2636 of the Italian Civil Code.

8. The internal control system

8.1 Introduction

The Board of Directors of the Parent Company[34] has established internal control guidelines for the entire BPER Banca Group by issuing and implementing "Guidelines for the Group internal control system"[35], in line with the new Regulations for the prudential supervision of banks (Bank of Italy Circular 285 of 17 December 2013 – "Supervisory Instructions for Banks" and subsequent updates).
This system is to be understood as a set of activities organised to:

- improve profitability;
- protect its financial strength;
- ensure compliance with internal and external regulations and codes of conduct;
- promote transparency towards the market by managing the risks taken on by the Group and, more in general, to ensure that the business is run in accordance with the Group's strategies and declared risk appetite.

Within the BPER Banca Group, the System of internal controls is established on three levels:

- the "Group internal control system"
- the "Internal control system of the company"
- the "Internal control system of the Group".

"Group internal control system" means the set of rules, functions, structures, resources, processes and procedures that enable the parent company to carry out the strategic, management and technical and operational control.
"Internal control system of the company" (and, therefore, specific to each company of the Group, including the Parent Company) means the set of rules, functions, structures, resources, processes and procedures ("structure of the internal control system") designed to ensure that "behaviour" is aligned with set standards ("functioning of the internal control system").
"Internal control system of the Group" means the combination of the various "Internal control systems of companies" and the "Group internal control system".
The Parent Company provides the Group with an internal control system that permits effective control over the strategic choices of the Group as a whole and balanced management of the individual components thereof.[36]
In particular, the Parent Company is responsible for the governance, design and implementation of the "Group internal control system".
The "Internal control system of the BPER Group" is designed to take account of the business specifics of each Group Company and comply with the principles established by the Supervisory Authorities, being:

- proportionality in the application of rules according to size and operations;
- graduality in progressively transferring to more advanced methodologies and processes for measuring risk and the capital that is available as a result;
- unity in the definition of the approaches used by the various functions foreseen in the Group's organisational system;

[34] *Throughout the chapter, any reference to the Board of Directors or the Chief Executive Officer or any other Corporate Bodies are to be understood as referring to the Parent Company BPER Banca, unless otherwise specified.*
[35] *Last update approved by Board of Directors of the Parent Company on 29 November 2016*
[36] *Supervisory instructions for banks – Circular 285 of the Bank of Italy, Part I, Title IV, Chapter 3, Section 5, paragraph 2*

- economy, defined as containment of costs for intermediaries.

In application of the principles described and as a general rule, the internal control system of the Group envisages outsourcing to the Parent Company the second and third-level control functions of the Italian Group companies; however, as required by the regulations, the latter still remain responsible for their performance.
Group companies are responsible for ensuring that operations are carried out properly, in particular by performing the necessary line controls.
The structure of the internal control system is assessed (structure assessment) by ensuring that the decisions made in terms of rules, procedures and organisational structures are consistent with the requirements of laws and regulations (compliance assessment) and/or industry standards of reference for the goals set and the operations put in place (adequacy assessment).
So the overall evaluation of the internal control system is based on "assessments of the structure" and "functional tests".
The internal control system is designed, implemented and evaluated with reference to the "risk map" that identifies the risks, present and potential, to which the Group is or might be exposed.

8.2 Risk management (RAF)

The Risk Appetite Framework (RAF) forms part of the Group's internal control system and acts as a frame of reference, in terms of methodologies, processes, policies, controls and systems, designed to establish, communicate and monitor the Group's risk appetite, this being understood as the set of values that reflect the Group's risk objectives (or "risk appetite"), tolerance thresholds (or "risk tolerance"), as well as the related operational limits. in both ordinary and stress conditions, which the Group intends to respect in pursuing its strategic guidelines, defining consistency levels and the maximum risk that it is able to take on ("risk capacity").
The BPER Banca Group identifies the Risk Appetite Framework (RAF) as a tool for overseeing the risk profile that the Group intends to take in the implementation of its business strategies, considering it as an essential element to ensure that the risk governance policy and process by which risks are handled comply with the principles of sound and prudent business management.
The RAF takes on the importance of a management tool that not only permits concrete application of the regulations, but also makes it possible to activate synergistic governance of the planning, control and risk management activities. It is also a key element to:

- strengthen the ability to govern business risks, facilitating the development and dissemination of an integrated risk culture;
- ensure alignment between strategic guidelines and the levels of risk assumed, through the formalisation of consistent objectives and limits;
- develop a quick and effective system of monitoring and reporting the risk profile taken on.

The key principles of the RAF are formalised and approved by BPER Banca, which periodically reviews them, ensuring that they are in line with the strategic guidelines, business model and regulatory requirements in force at the time.
Lastly, the Group periodically monitors the overall RAF metrics, in order to control on a timely basis any overruns of the tolerance thresholds and/or risk limits assigned and, if appropriate, handle the necessary communications to the Corporate Bodies and subsequent remedies.
The Group's risk appetite is expressed:

- in specific areas of analysis defined in accordance with the Supervisory Provisions (capital adequacy, liquidity and measures that reflect risk capital or economic capital) and the expectations and interests of other Group stakeholders;
- through summary indicators (RAF metrics) that represent regulatory constraints and the risk profile defined in accordance with the capital adequacy verification process and risk management processes. The RAF metrics are defined at Group level and can be adapted to individual risks of strategic importance for the Bank and other relevant analysis axes identified in the strategic planning process.

More specifically, the RAF management process is split into the following stages:

- set up of the RAF structure: definition of the elements that express the Group's level of risk appetite for measurable and non-measurable risks;
- calibration of measurements for RAF metrics: definition of the calibration rules for RAF metrics and quantification of the levels of risk appetite, risk capacity and risk tolerance, consistent with management's decision in terms of strategic planning and economic/financial forecasting;
- formalisation and approval of the decisions taken within the ambit of the RAF in the Risk Appetite Statement (RAS), which is subject to periodic update;
- declension of the RAF metrics by type of risk or other relevant analysis axes to transfer the levels of risk appetite and risk tolerance to the corporate structures involved in taking on the risk so as to direct operations in a consistent manner;
- monitoring and managing threshold overruns by verifying the trend in the risk profile compared with the risk tolerance, operational limits and risk capacity and consequent activation of measures to reduce any overruns;
- periodic communication and reporting on the evolution of the risk profile compared with the risk appetite, risk tolerance and risk capacity thresholds and on implementation of diversified action plans according to the purpose of the communication and the recipients in terms of the corporate bodies/functions of the Company and the Group.

The process defines the roles and responsibilities of the corporate bodies and functions involved, adopting coordination mechanisms that ensure the effective inclusion of risk appetite within operational activities. In particular, the Group reconciles the RAF, business model, strategic plan, ICAAP and budget in a consistent manner via a complex system of coordination mechanisms.

Consistent with the process for managing the RAF, a review was conducted thereof in 2016 and the 2017 Risk Appetite Statement (RAS) was updated.

8.3 Development of the internal control system

The Parent Company manages the Group's internal control system through a cyclical process that involves the following phases:

- design;
- implementation;
- measurement;
- communicating outside the Group.

The steps involved in the development process and the related responsibilities of the Corporate Bodies are explained below[37].

Design of the internal control system

The Board of Directors of the Parent Company defines and approves:

- the internal control system of the Parent Company and the Group, ensuring that it is consistent with the strategic guidelines and risk appetite established in the RAF and that it is able to reflect the various types of risk as they evolve and interact;
- the risk objectives, the threshold of tolerance (where identified) and the process of risk governance, to ensure that risks are properly governed and effective control maintained over all strategic decisions of the Group as a whole, along with balanced management of the individual components;
- the remedies needed to restore a normal situation after any overrun of the tolerance thresholds;
- the criteria for identifying significant transactions to be submitted to the risk control function;
- system standards for carrying out all activities.

More specifically, the Board of Directors, with the assistance of the Control and Risks Committee and on proposal of BPER Banca's CEO, establishes and approves for the Group as a whole and for its components:

- the business model, being aware of the risks to which this model exposes the Company and understanding the ways in which risks are identified and assessed; in this context it approves the adoption of internal risk measurement for the determination of capital requirements;
- the corporate control functions, specifying their duties and responsibilities within the Group, the procedures for coordination and collaboration and the information flows between these functions and between them and the Corporate Bodies;
- further internal information flow mechanisms to ensure that the corporate bodies and control functions are fully aware of the various risk factors and have the ability to govern them;
- formalised coordination and liaison procedures between Companies and the Parent Company for all areas of operation;
- the ICAAP process, identifying the roles and responsibilities assigned to functions and business structures, ensuring consistency with the RAF and rapid adjustment in relation to significant changes in strategic lines, organisational structure and operational context of reference;
- the Recovery Plan of BPER Banca Group;
- the process for managing anomalies identified by corporate control functions and by control functions, the activation criteria therefor and those to be adopted for the identification of the

[37] Corporate Bodies include all bodies with strategic supervision, management and control functions. The definition of Corporate Body also includes the sub-committees of the Board of Directors ("Board Committees").

priority to be assigned to the analysis, consolidation and implementation of corrective action and the means of doing so, as well as the acceptance – in compliance with the RAF – of the residual risk identified by the control functions;

- policies and processes for the measurement of assets, financial instruments in particular, verifying that they always remain appropriate; it also establishes the Bank's maximum exposure to financial instruments or products that are uncertain or difficult to measure;
- the process for the development and validation of internal risk measurement;
- the process for approving new products and services, the launch of new activities, entering new markets (known collectively as Product Approval);
- Group policy for outsourcing business functions.

Lastly, the Board of Directors ensures that:

- implementation of the RAF is consistent with the approved levels of risk appetite and risk tolerance (where identified);
- the strategic plan, the RAF, the ICAAP, budgets and internal control system are consistent, bearing in mind any developments in the internal and external conditions in which the Group operates;
- the amount and the allocation of capital and liquidity held are consistent with the risk appetite, risk governance policies and risk management process.

The Board of Directors appoints and dismisses the heads of the corporate control functions and the Manager responsible for preparing the company's financial reports, after consultation with the Control and Risk Committee, the Nominations Committee, the Board of Statutory Auditors and the Chief Executive Officer[38].

The Board of Directors of Group companies:

- defines any additions that have to be made to the internal control system of their respective entities, in accordance with the coordination and liaison procedures established by the Parent Company;
- acknowledges and approves the risk appetite of its own company, which has to be consistent with the level of risk of the Group.

Implementation of the internal control system

The Board of Directors gives the CEO adequate powers and resources to implement the strategic guidelines, the RAF and risk governance policies defined by the Board of Directors of the Parent Company in the design of the internal control system and is responsible for taking all the necessary steps to ensure that the organisation and its internal control system comply with the principles and requirements laid down in supervisory regulations, monitoring compliance on an ongoing basis.

For this purpose, the CEO, for the Group as a whole and for its components:

- ensures that the responsibilities and duties of the various corporate structures and functions involved in risk assumption and management processes are clearly assigned and potential conflicts of interest are avoided;
- ensures that the activities carried out by the functions and structures involved in the internal control system are carried out by qualified personnel with an adequate degree of independence of judgement and with adequate experience and knowledge for the tasks to be performed;

[38] *The Chief Executive Officer only intervenes for the appointment of the heads of Internal Audit, Compliance and Risk Control*

- carries out any initiatives and interventions needed to ensure the overall reliability of the internal control system on an ongoing basis;
- takes corrective action or makes adjustments as necessary in the event of weaknesses or anomalies being found, or following the introduction of significant new products, activities, services or processes;
- defines and oversees implementation of the risk management process. In this context, the CEO establishes operating limits for the assumption of various types of risk, in line with the risk appetite, explicitly taking account of the results of stress tests and developments in the economic situation;
- examines the more significant transactions subject to an unfavourable opinion by the risk control function and, if appropriate, authorises them; informs the Board of Directors and the Board of Statutory Auditors about these transactions; implements the ICAAP and ILAAP processes, ensuring they are developed in accordance with the strategic guidelines and the risk profile identified in the RAF; designs and implements the Group's training programmes to raise awareness among employees about the responsibility for risks so as not to limit the process of risk management to specialists or to the control functions;
- defines internal information flow mechanisms to ensure that the Corporate Bodies and control functions are fully aware of the various risk factors and have the ability to govern them and the assessment of compliance with RAF;
- as part of the RAF, where a tolerance threshold is defined, authorises overruns of the risk appetite within the limit represented by the tolerance threshold and gives prompt notice to the Board of Directors, identifying the management actions needed to bring the risk back down to below the set objective;
- ensures that risks deriving from new operations are fully assessed and that these risks are consistent with the risk appetite, and that the Bank is able to manage them;
- ensures that the risk management process is consistent with the risk appetite and risk governance policies, also taking into account the evolution of the internal and external conditions in which the Bank operates;
- issues instructions to ensure that internal risk measurement systems are developed according to the chosen strategies and are integrated into decision-making processes and operational management.

More specifically, for the Group, the CEO issues instructions to define and render operational:

- mechanisms for the integration of information systems and processes of data management, in order to ensure the reliability of consolidated figures;
- regular information flows to permit effective implementation of the various forms of control over all members of the Group;
- procedures to ensure, at a centralised level, an effective standard process of Group risk management, involving a single register, or several registers providing they can be easily linked, for the various companies in the Group;
- systems for monitoring financial flows, credit reports and other relations between members of the Group;
- controls over the achievement of objectives in terms of information security and business continuity as defined for the entire Group and for the individual members of the Group.

The Board of Directors of each Group bank and company gives a mandate to the appropriate internal functions to implement the decisions made by the Parent Company during the design phase.

Assessment of the internal control system

As part of its strategic supervisory function, the Board of Directors:

- receives from the corporate control functions and other control functions the information flows foreseen for a full awareness of the various risk factors and the ability to govern them;
- periodically assesses the adequacy and effectiveness of the RAF and the compatibility between actual risk and the risk objectives;
- periodically assesses, with the assistance of the Control and Risk Committee, the adequacy and compliance of the Group's internal control system[39], identifying possible improvements and defining the steps needed to correct any weaknesses.

In addition, with regard to internal risk measurement systems for the determination of capital requirements, the Board of Directors:

- periodically verifies the choices of model made to ensure that they remain valid over time, approving significant changes to the system and carrying out overall supervision to ensure that it functions properly;
- monitors, with the assistance of the relevant functions, effective use of internal systems for management purposes and their compliance with regulatory requirements;
- reviews at least once a year the results of the validation process and passes a formal resolution, with the approval of the Board of Statutory Auditors, by which it certifies compliance with the requirements for the use of internal measurement systems.

The Board of Directors of each Group company, including the Parent Company, periodically assesses the internal control system[40].

The function responsible for providing support in assessing the effectiveness of the overall internal control system, company-wide, is the Internal Audit Department.

The Boards of Statutory Auditors of the Parent Company and of Group companies, each to the extent of its own responsibilities, carry out the assessment of the internal control system foreseen by law and the articles of association and have the responsibility of ensuring the completeness, suitability and functionality of the internal control system and of the RAF. The results of these assessments are brought to the attention of the respective Boards of Directors.

The Board of Directors receives, either directly or through the CEO, the information flows required to gain a full awareness of the various risk factors and the ability to govern them, as well as to plan and implement interventions to ensure the compliance and adequacy of the Internal Control System.

---

[39] *Supervisory instructions for banks – Circular 285 of the Bank of Italy, Part I, Title IV, Chapter 3, Section II, paragraph 2 "assures that: [...] b) the internal control system and corporate structure are consistently in line with the principles mentioned in Section I and the control functions satisfy the requirements and comply with the provisions of Section III. In the event of weaknesses or anomalies, it promotes timely adoption of appropriate corrective measures and assesses their effectiveness".*

[40] *a) Civil Code – art. 2381 – "The Board of Directors ... omissis ... evaluates the adequacy of the organisational, administrative and accounting structure of the company on the basis of the information received".*

c) Code of Conduct for Listed Companies – Standard 8.P.3. "The Board of Directors assesses the effectiveness of the system of internal control with respect to the characteristics of the business".

External communication on the internal control system

The Board of Directors of each Group company, especially that of the Parent Company as regards the Group internal control system, ensures that information on the internal control and risk management system is given in all cases foreseen by law, guaranteeing the correctness and completeness of the information provided. In this context, it is important to make the disclosures to the general public required by the "Third Pillar". For this, the Board of Directors of the Parent Company assigns control responsibilities and duties to the Corporate Bodies and the various functions involved in the different stages in the handling of such information.

8.4 Levels of control envisaged by the Supervisory Authority

As part of the Group internal control system, the following control functions are identified at the levels provided for in the Supervisory instructions for banks, taking into account of the fact that the second and third level control functions always apply to the entire Group:

- Third-level controls: designed to identify violations of procedures and regulations and to assess periodically the completeness, suitability, functionality (in terms of efficiency and effectiveness) and reliability of the internal control system and information systems (ICT audit), with a set timing in relation to the nature and intensity of the risks involved. They are conducted on an ongoing basis, periodically or at random, by various structures that are independent of production, including spot checks. This activity is entrusted to the Internal Audit Department;
- Second-level controls ("risk and compliance controls"): the second level control functions have been developed and identified with the following objectives:
    - to check on an ongoing basis that company procedures are consistent with the goal of prevention of money laundering and financing of terrorism. This activity is entrusted to the Anti-Money Laundering Unit;
    - to help define the methods of measurement/assessment of the risk of non-compliance, to identify suitable procedures for the prevention of identified risks and to ask for them to be adopted. This activity is entrusted to the Compliance Unit;
    - to collaborate in the definition and implementation of the RAF and the related risk governance policies, through an adequate risk management process, by checking adequacy. To define methodologies, processes and tools to be used for risk management. To ensure consistency of the measurement and risk control systems with processes and methodologies to assess business operations. To ensure correct representation of the risk profile and enhancement of credit positions, perform assessments on monitoring and recovery processes, oversee the process of attribution/monitoring of the official rating and exercise second level controls on the credit chain. These activities are entrusted to various functions of the Risk Management Unit;
    - qualitative and quantitative ratification of internal risk measurement systems adopted by the Parent Company, as used to estimate internal capital and capital requirements, ensuring compliance with the instructions issued by the Supervisory Authority for this process, as well as consistency with the operational needs of the company and the evolution of the market. This activity is entrusted to the Model Ratification Office, which forms part of the Risk Department's Credit Control and Internal Ratification Department. The organisational positioning of this Office guarantees independence from the structures responsible for the development and use of internal risk models subjected to ratification;

- First-level controls ("line controls"): designed to ensure that operations are carried out properly. They are performed by the production structures themselves (e.g. hierarchical, systematic and random controls), also through units dedicated exclusively to control duties that report to the heads of the operating structures or carried out as part of the back office activities; as far as possible, they are incorporated into IT procedures.

8.5 Control roles and duties attributed to BPER Banca Group functions

8.5.1 Internal Audit Department

The primary objective of the Internal Audit Department is to foster continuous improvements in the corporate risk management and internal control system through the evaluation of its functionality, verification of the regularity of operations and the performance of risks in order to bring to the attention of Management, Senior Management and the Corporate Bodies any critical issues related to risk management policies and procedures and the instruments used for monitoring and control, with a view to bringing them up to standard.
Internal Audit's activities are aimed at the creation of value added and the improvement of the Company's business processes.
The Internal Audit Department, which is responsible for third-level controls, operates in the interest of BPER Banca Banking Group within its sphere of competence as outlined in the external regulations and by the Group Guidelines - Internal Control System without any limitations on its scope of intervention.

The mission of the Internal Audit Department is to control - also by means of spot checks - the regular running of operations and the evolution of risks and to evaluate the completeness, suitability, functionality and reliability of the organisational structure, business processes and other components of the internal control system, risk management and other corporate processes. It brings to the attention of the Corporate Bodies any improvements that can be made, especially to the Risk Appetite Framework (RAF) and the risk management process, as well as to the instruments used to measure and control them. It makes recommendations to the Corporate Bodies on the basis of its audit results.
In this context, Management ensures, in accordance with the guidelines and the audit plan approved by the Parent Company's Board of Directors, constant, independent and objective supervision of the internal control system, verifying the smooth running and operational efficiency of processes, in order to test the efficiency and effectiveness of business operations, the protection of the Parent Company and of Group banks and companies, the reliability and integrity of accounting and management information, transaction compliance with the policies established by the governing bodies of the Group and internal and external regulations.
The Internal Audit Department helps the Corporate Bodies, including Supervisory Bodies pursuant to Legislative Decree 231/01, if any, and Organisational Units of Group banks and companies pursue their objectives in the field of internal control, contributing to the development of a corporate culture.

In general terms, the Group's internal control system provides for the centralisation of the second and third level Control Functions of the Italian Group companies at the Parent Company, as provided by the "Group Guidelines - Internal Control System".
However, as regards Group Companies based abroad, this centralised model is partially waived in consideration of the complexity and delicacy of operations run in a different regulatory environment. In

this case, it is possible to activate organisational models that enhance the specific nature of the context in which these companies operate, for each control function required by local regulations, as requested by the Supervisory Authority or by the Parent Company.
The Italian Banks, on the other hand, have all delegated the Internal Audit function to the Parent Company, except for Cassa di risparmio di Saluzzo, which as of 31 December 2016 was awaiting a response from the Supervisory Authorities to its proposed outsourcing of the Internal Audit function to BPER Banca.
Specifically, the Internal Audit Department:

- for companies that have an Internal Audit function that has been outsourced to the Parent Company, it performs the control activities foreseen for BPER Banca, according to the audit plan approved by the Board of Directors, while retaining the right to perform internal audit work in fulfilment of the responsibilities assigned to the Parent Company as part of its Group management and coordination role. For the performance of the outsourced activities, the Internal Audit Department has the support of the contacts of the Internal Audit function identified at Group Companies;
- for companies that do not have an Internal Audit function, the analyses and assessments performed by the Parent Company's control function are carried out to fulfil the responsibilities allocated to the Parent Company as part of its Group guidance and coordination role and not to fulfil the responsibility of individual Group companies;
- for companies that have an Internal Audit function that has not yet been delegated to BPER Banca, internal audit work is performed in fulfilment of the responsibilities assigned to the Parent Company as part of its Group management and coordination role.

As of 1 January 2017, the organisational structure of the Department is made up as follows: 1 office in staff functions for the Head of Department; 4 offices and 1 unit that report directly to the CAE. As regards the head of the aforementioned unit, 4 offices report thereto.

8.5.2 Risk Management Department

The Risk Management Department now reports directly to the Parent Company's Chief Executive Officer and is broken down into the following Organisational Units:

- Rating Office and Risk Governance Office, as staff functions for the Chief Risk Officer;
- Financial Risk Department;
- Credit and Operational Risk Department;
- Credit Control and Internal Ratification Department.

The Risk Management Department, as the Group's risk control function, aims to collaborate in the definition and implementation of the Risk Appetite Framework and the related risk governance policies, through an adequate risk management process.
An integral part of its mission is to ensure adequate reporting to the Corporate Bodies of the Parent Company and Group companies.
The Risk Management Department extends its area of responsibility to all of the Group companies included in the current risk map, given that the “Group Guidelines - Internal Control System” provide for centralised management of the risk control function by the Parent Company.

The Group companies that have this function outsource it to the Parent Company, with the exception of the Luxembourg based company[41].
The mission of the Risk Management Department is carried out as part of the Parent Company's guidance and coordination activity as an outsourcer for Group banks and companies.
The Risk Management Department operates at Group Companies through a Contact (who functionally reports to it) identified at the various Group companies.

The responsibilities of the Risk Management Department are entrusted to the Chief Risk Officer (CRO), who relies on the support of the organisational units, whether staff or line functions, which hierarchically report to them in the exercise of the following responsibilities:

- within the ambit of the Risk Appetite Framework, proposing the quantitative and qualitative parameters necessary for its definition, both in the normal course of business and in situations of stress, ensuring their adequacy over time in relation to changes in the internal and external context;
- proposal of risk governance policies for measurable and non-measurable risks not allocated to other control functions (limited to the sections relating to risk management and exposure/operational limits) and oversight of their implementation, ensuring that the various stages of the risk management process are consistent with the Risk Appetite Framework;
- development of risk management methodologies, processes and tools via the identification, measurement/assessment, monitoring and reporting of risks, ensuring their adequacy over time through the development and application of indicators designed to highlight anomalous situations and inefficiencies. In particular:
  - definition of common metrics of operational risk assessment (including IT risks) that are consistent with the RAF, in coordination with the Compliance Function, the ICT function and the Business Continuity function;
  - definition of methods to evaluate and control reputational risk, in coordination with the Compliance function and the corporate functions that are most exposed to this type of risk;
  - provision of assistance to the Corporate Bodies in the assessment of strategic risk by monitoring significant variables.
- monitoring the actual risk profile assumed in relation to the risk objectives defined in the RAF, collaborating in the definition of operating limits for the assumption of various types of risk and constantly verifying their adequacy and compliance, reporting any overruns to Corporate Bodies;
- provision of support to the Chief Executive Officer in the implementation of the ICAAP, preparation of reports to be submitted to the Supervisory Authority and coordination of the various phases of the process and performance of those assigned thereto;
- provision of support to the Chief Executive Officer in the implementation of the ILAAP, preparation of reports to be submitted to the Supervisory Authority and coordination of the various phases of the process and performance of those assigned thereto;
- coordination of the process for the preparation and update of the BPER Banca Group recovery plan to be submitted to the Supervisory Authority and performance of the phases assigned thereto;

[41] *Circular CSSF 14/597 – Update of circular CSSF 12/552 on the central administration, internal governance and risk management "117. Outsourcing the compliance function and risk control function is not authorised."*

- coordination of activities associated with the internal stress testing programme with the help of the various organisational structures involved, in the various execution areas (operational and regulatory stress test);
- checking the adequacy and effectiveness of the measures taken to correct weaknesses in the risk management process;
- development, ratification[42] and upkeep of the internal systems of risk measurement, ensuring compliance with the instructions issued by the Supervisory Authority, as well as consistency with the operational needs of the company and the evolution of the market;
- provision of preventive advice on the consistency of more significant transactions with the RAF;
- analysis of risks deriving from new products/services and from entry into new business segments;
- involvement in the definition and update of criteria for the classification of outsourcing and the assessment of risk assigned thereto;
- involvement in the definition and management of remuneration and incentive policies;
- performance of second-level controls in relation to the credit chain and verification that: individual credit exposures are monitored correctly (especially non-performing exposures); risk classifications are correct; the adequacy of provisions; and the effectiveness of the recovery process;
- involvement in the definition of policies for and the valuation of properties lodged as collateral, monitoring the implementation thereof, to the extent of his/her sphere of competence, by checking updates to appraisals performed on properties lodged as collateral, the autonomy of those who prepare the valuations and the consistency of the types of appraisals used for the valuation of the collateral.

In addition, the Risk Management Department:

- takes part in the definition of the Group's strategy, assessing the relative impact on risk;
- takes part in deciding on strategic changes to the Group's internal control system.

8.5.3 Anti-Money Laundering Unit

The task of the Anti-Money Laundering Unit is:

- to prevent and combat money laundering and financing of terrorism through the reporting of suspicious transactions and the execution of continuing control activities (Anti-Money Laundering control);
- to check that the IT and organisational procedures adopted by Group companies are consistent with laws and regulations, as well as self-regulation in the field of money laundering and financing of terrorism (Anti-Money Laundering function).

The organisational model adopted by the Group provides for centralised management at the Parent Company of the anti-money laundering function and supervision of the Italian Group banks and non-banking companies subject to money laundering regulations.

As regards the Parent Company's guidance and coordination activities, performed for all Group companies subject to anti-money laundering regulations - for foreign Companies, only with regard to matters of identification and knowledge of customers and monitoring of reports on suspicious transaction - the Anti-Money Laundering Unit has the following responsibilities:

---

[42] *Through the Model Ratification Office*

- it identifies and evaluates the Group's exposure to the risk of money laundering and financing of terrorism;
- it identifies any risk of non-compliance with anti-money laundering legislation to which the Group is exposed, continuously examining the rules applicable to the Group and assessing their impact on Group Companies;
- it carries out an annual assessment of the main risks of non-compliance with anti-money laundering and counter-terrorism laws at Group level, and reports to the Corporate Bodies of the Parent Company, indicating any critical situations and making proposals for the planning of related management measures to counter any weaknesses that may have emerged and to address any new non-compliance risks that have been identified ("Report of the Group on the risk of non-compliance with anti-money laundering and anti-terrorism laws"). For foreign companies, it reports any critical issues arising from the opinions expressed and data provided by the relevant Corporate Functions;
- it proposes the Group's management of the risk of non-compliance with anti-money laundering and anti-terrorism regulations;
- it defines the methods, processes and tools that must be followed in performing the activities of the Anti-Money Laundering function and uses the reports defined in coordination with other control functions (corporate or otherwise);
- for companies that have not outsourced the function to the Parent Company (foreign companies), it establishes the minimum control objectives and checks their application, depending on the risks that have been identified and assessed;
- it ensures adequate reporting on the outcome of its activities to the Corporate Bodies, highlighting the main non-compliance issues and events of particular risk as they emerge;
- it proposes organisational and procedural changes to the guidance and coordination processes aimed at preventing and combating money laundering, in order to ensure adequate control over the non-compliance risks that have been identified and to monitor that it is carried out;
- it supports the Group Delegate in examining and evaluating, from a Group perspective, the reports filed and the transactions reported to the Bank of Italy's Financial Information Office by the consolidated banks and companies that have outsourced AML control to the Parent Company. This type of support is also provided with reference to reports filed and transactions reported to the competent local authorities by the Group's foreign companies; to this end, the Anti-Money Laundering Unit receives adequate information flows from these companies;
- it supports the General Manager of the Parent Company or the person appointed by him in assessing whether Group companies (in Italy and abroad) should open correspondent accounts with the corresponding authorities of "non-equivalent" non-EU countries;
- it checks authorisations to open ongoing relationships with "politically exposed persons" in Group companies (both Italian and foreign).

Among other activities, the Unit also:

- helps the Company Delegate in the assessment and investigation of reports of suspicious transactions pursuant to art. 41 of Legislative Decree 231/07 coming from the network and central offices, sending them to the Financial Intelligence Unit if found to have some basis, otherwise dropping them;
- helps the Company Delegate in identifying suspicious transactions that were not picked up by the structures in charge of day-to-day dealings with customers or not extracted by the automatic detection procedures;

- performs centralised checks on the Branches and Central Offices to detect potentially abnormal situations that merit specific investigation into proper fulfillment of due diligence and risk profiling of customers, detection and reporting of potentially suspicious transactions and limiting the use of cash and bearer securities; performs specific checks to confirm proper input to the Single IT Archive (SITA), as part of compliance with the obligation to keep the SITA properly in accordance with art. 36 et seq. of Legislative Decree 231/07, and to detect any potentially suspicious transactions that could involve money laundering;
- forwards to the Ministry of Economy and Finance the communications on infringements of the rules regarding the use of cash and bearer securities as per art. 49 of Legislative Decree 231/07;
- manages relations with the Financial Information Office, the Investigative Authorities and the Judicial Authorities whenever there is need for in-depth investigation or discussion about the anti-money laundering and anti-terrorism legislation;
- helping to run the staff training activities with the other competent Corporate Functions, in order to promote and strengthen a culture of respect for the rules and fairness in behaviour.

8.5.4 Compliance Unit

The Compliance Unit's task is to ensure the adequacy of internal procedures to prevent the violation of external rules (e.g. laws and regulations) and self-regulation (e.g. codes of conduct) applicable to the Group's companies.
With reference to the procedures adopted under art. 15 of the Regulations of the Bank of Italy and CONSOB pursuant to art. 6, subsection 2-*bis* of Legislative Decree 58 dated 24 February 1998 (the Consolidated Law on Finance), the Unit also carries out regular checks on the effective application ("functioning") of the procedures and the measures taken to resolve any weaknesses.
It assists the Corporate Bodies and Organisational Units of Group Companies in pursuing the objectives of compliance by promoting the spread of a corporate culture based on fairness in behaviour as an essential element for a company to function properly.
It assesses the risk of non-compliance arising from innovative projects that the Group intends to undertake, including the launch of new products or services, and operating in new markets or with new types of customers.
The Compliance Unit, as part of the management of non-compliance risk, works - directly or through Special Units or Support Units - on regulations that concern the entire banking activity, with the exception of those for which there are dedicated corporate functions and other control functions.
In line with its mission, it extends the scope of its guidance, control and coordination activities to all Group companies. Centralised management of the compliance function at the Parent Company for all Italian Group companies that have that function. For Group companies based in foreign countries, the Compliance Unit only provides guidance and coordination.
As part of the guidance and coordination activity exercised by the Parent Company on behalf of the Group Companies, the Compliance Unit has the following responsibilities:

- it identifies non-compliance risks, at Group level, examining the standards applicable to the Group on an ongoing basis and assessing their impact on Group companies;
- it establishes, depending on the risks that have been identified and assessed, the minimum control objectives foreseen for the Companies concerned, and verifies that the planning of Compliance activities of the individual companies that did not outsource this function to the Parent Company applies them;

- it ensures adequate reporting on the outcome of its activities to the Corporate Bodies, promptly highlighting the main non-compliance issues and events of particular risk as they emerge;
- it proposes organisational and procedural changes to the guidance and coordination processes and to the processes of the companies that do not have this function, in order to ensure adequate control over the non-compliance risks that have been identified and to monitor that it is carried out.

8.6 Line controls

Line controls (so-called "first-level controls") are designed to ensure that operations are carried out properly; these controls also include those that contribute to the creation of an internal accounting control system, understood as a set of controls that form part of the individual administrative and accounting procedures in order to have reasonable assurance that the recording and processing of data and the production of information have been performed correctly. They are performed by the same operating structures (e.g. hierarchical controls) or incorporated into procedures, or carried out as part of back-office activities.

8.7 Other control functions

In addition to the levels of control laid down by Supervisory Regulations, the regulations governing self-regulation necessitate the allocation of control duties to specific functions other than corporate control functions - or to board committees, the activities of which are consistent with the internal control system.
Specifically, control functions identified within the Group are:

- the Manager responsible for preparing the Company's financial reports;
- Supervisory Bodies pursuant to Legislative Decree 231/01.

Manager responsible for preparing the company's financial reports

Law 262/2005 (Savings Protection Law) established the role of Manager responsible for preparing the company's financial reports ("Manager Responsible"), with responsibility, among other things, for ensuring the "reliability of the financial reporting process".
The regulations governing the Manager responsible for preparing the company's financial report are contained in Section V *bis* of the Consolidated Finance Act concerning the preparation of accounting documents and by art. 154-*bis* which sets out the general regulations regarding designation, duties and powers of the Manager responsible for preparing the company's financial report, as well as the civil and penal responsibilities associated with the position.

The BPER Banca Group's Manager responsible for preparing the Company's financial reports, who is Emilio Annovi, manager of the Administration and Reporting Department is identified within the Group as a control function and, as laid down in the Guidelines for the Group internal control system, he is responsible for the design, implementation and maintenance of the "Financial reporting control model" to be applied to the Parent Company and, with reference to the procedures for the preparation of Consolidated financial statements, to the Banks and Companies included in the scope of consolidation. With respect to the above scope, the Manager Responsible ensures that administrative and accounting procedures have been prepared.

The financial reporting control model is a set of requirements to be met for proper management and control of the risks of unintentional errors and fraud in financial reports. It is up to the Manager Responsible to ensure that it is adopted.

It follows that in the BPER Banca Group the responsibility for the proper management and control of the risk of unintentional errors and fraud in financial reports, also taking into account the regulatory framework that assigns specific responsibilities to the Manager Responsible, is assigned, not only to the Corporate Bodies, but above all to the Manager Responsible.

The financial reporting control model is represented by a "body of law" made up as follows:

- Group policy for managing the risk of unintentional errors and fraud in financial reports;
- Regulation of the Function of Manager responsible for preparing the Company's financial reports;
- Group function manual of the macro process for the Group financial disclosures control model;
- The Procedure and Manual of the Contact of the Manager Responsible.

In order to perform his duties, the Manager Responsible has at his disposal the Parent Company resources of the Office for the monitoring and control of financial reporting, which reports to him; in relation to the support provided to the Manager In Charge of in managing the risk of intentional errors and fraud in financial disclosures, based on the internal organisation adopted, this Office performs:

- in a "regulatory" environment, activities to ensure adequate supervision of compliance with international accounting standards (art. 154 *bis* of the Consolidated Finance Act, para. 5 letter b), and governance of the Company's documents and communications released to the market and the related financial reports (art. 154 *bis* of the Consolidated Finance Act, para. 2);
- in a "controls" environment, activities aimed at ensuring the proper assessment and verification of the actual application of administrative and accounting procedures (art. 154 *bis* of the Consolidated Finance Act, para. 3 letter a), as well as monitoring financial reporting risk through analyses of indicators and changes in the accounting manual.

In the process for managing the risk of unintentional errors and fraud in financial reports of BPER Banca Group, the Manager responsible for preparing the company's financial reports of the Parent Company is also supported by the Manager responsible for the Sub-Holding Company Banco di Sardegna (this role exists as this is a listed company); the latter reports to the General Manager and is under the Parent Company's Manager responsible for preparing the company's financial reports as regards methods, instruments, reporting and work processes used in carrying out his duties.
Lastly, for the management of the financial reporting control model, within the Group a significant role is also played by the role of the Contact of the Manager responsible for preparing the company's financial reports, appointed in each Bank and Subsidiary, whether or not it forms part of the Banking Group. This person reports functionally to the Manager responsible of the Parent Company and, for the Contacts of the Sub-Holding Company, also to the Manager responsible for the same. Functional dependence relates to the methodologies, tools, reporting system and work processes for performing the Contact's duties; the responsibilities identified relate to three areas: representation, information link and operational support.

Supervisory Body pursuant to Legislative Decree 231/01

The Parent Company, in compliance with arts. 6 and 7 of Legislative Decree 231/01, adopted a Model of Organisation and Management in order to prevent the commission and/or the attempted commission of the types of offence provided for in this Decree. In accordance with this law, the Parent Company has therefore set up its own Supervisory Body (known as the Supervisory Board) with the task of supervising the functioning and observance of the Model of Organisation and Management.
The Board is composed of three members:

- a non-executive and independent Director;
- an employee of the Parent Company, with appropriate specialist skills, especially of a legal/organisational nature, including experience of controls, who does not have operational duties in the Bank;
- an external consultant with the necessary professional skills.

The Supervisory Board carries out its supervision and ensures compliance with the Model of Organisation and Management, by:

- detecting any changes in the "risk map";
- checking compliance with procedures in the area of activities considered to be sensitive to commission of the offences mentioned in Legislative Decree 231/01;
- activating and/or performing internal investigations in coordination with the control functions;
- planning training activities for the staff about legal developments, or about any legislative changes that could affect the nature of the offences mentioned in Legislative Decree 231/01;
- requesting the identification of appropriate procedures to protect new types of activities that could be classified as sensitive;
- requesting updates to existing procedures, if the business could be materially affected by changes in the risks included in the scope;
- reporting proven infringements of the instructions;
- coordinating activities by the Parent Company of the Supervisory Boards of subsidiaries, fostering an exchange of information, knowledge or methodologies;
- adoption by Group Banks and the BPER Services s.cons.p.a. Consortium of the main regulatory documents that constitute the Organisational and Management Model, subject to limited and necessary adjustments.

The Supervisory Board is also the recipient of specific information flows, given that the employees, Statutory Auditors and the Directors are required to inform the Supervisory Board, on the basis specified in the Model of Organisation and Management, about:

- measures or news from the Judicial Police, or any other authority, indicating that they are investigating offences mentioned in Legislative Decree 231/01, possibly by unknown persons, involving the Parent Company, its employees or members of the Corporate Bodies (Board of Directors, Supervisory Board and Board of Statutory Auditors);
- requests for legal assistance by directors, statutory auditors and/or employees in the event of the initiation of proceedings for offences under Legislative Decree 231/01;
- routine reports requested by the Supervisory Board, prepared by the heads of specialised functions (Manager responsible for preparing the company's financial reports, Internal Audit, Anti-Money Laundering, Compliance, Risk Management, Human Resources, Financial Reporting Monitoring Office);

- information relating to the start of disciplinary proceedings and their progress and any penalties imposed, in the event of circumstances considered relevant under Legislative Decree 231/01;
- information about activities identified by the Model as "sensitive" in terms of their frequency and operational significance;
- organisational/procedural changes that have an impact on the Model of Organisation and Management;
- reporting the onset of other types of risk;
- the system of delegation of powers and/or functions adopted by the Parent Company, and any modifications of a structural nature made to it.

Lastly, the Supervisory Board is also informed by reports received in accordance with pre-established procedures from the persons required to comply with the Model and the Code of Ethics (Shareholders, Statutory Auditors, Directors, Employees, Head of the Internal Reporting System, members of the Supervisory Board, Persons who are not employees, but who work and are under the control and direction of BPER Banca, Persons who, even if external to the Bank, work for or with the Parent Company, and any other person or entity who has dealings with the Parent Company for purposes of the report), about events that could give rise to liability under Legislative Decree 231/01.
The Supervisory Board reports immediately in case of necessity to the Board of Directors and reports every six months to it and the Board of Statutory Auditors on its activities and on the situation of the Parent Company with respect to the obligations referred to in Legislative Decree 231/01.

Within this context, the Parent Company has issued specific guidelines and distributed various regulatory documents, as well as instructions for coordinating the adoption of the Model of Organisation and Management as per Legislative Decree 231/01 by the individual Group banks and by BPER Services s.cons.p.a., in compliance with the provisions of Legislative Decree 231/01 and in accordance with its specific responsibilities.

9. Other information

9.1 Treasury shares

No quotas or shares in Group companies are held through trust companies or other third parties; furthermore, such parties were not used during the period to buy or sell shares or quotas in Group companies.

The carrying amount of the Group's interest in the treasury shares held by consolidated companies, classified as a deduction from shareholders' equity caption 200, is Euro 7,258 thousand, of which Euro 7,253 thousand relates to BPER Banca shares held by the Parent Company.

Shares of BPER Banca S.p.A.	Number of shares	Total par value	Group interest
Total as at 31.12.2016	455,458	1,366,374	7,253,180
Total as at 31.12.2015	455,458	1,366,374	7,253,180

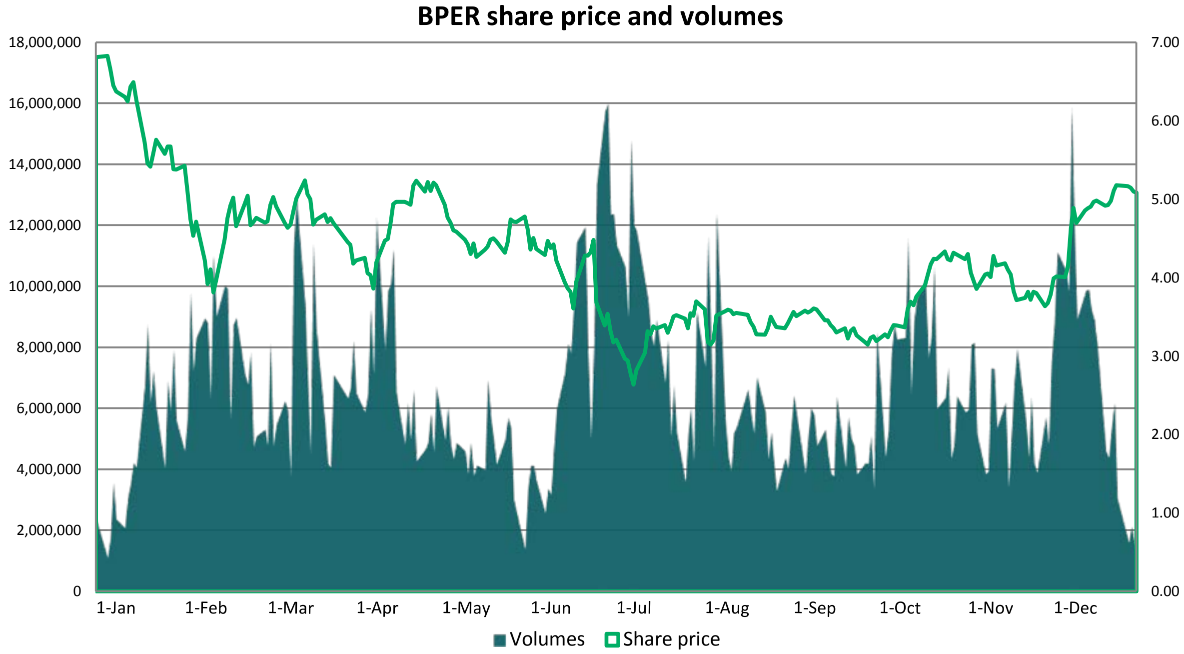
Here are also 55,864 shares relating to Banca di Sassari s.p.a., held by it, for a total of Euro 5 thousand.

9.2 Share price performance

In 2016, equity markets turned in different performances depending on the geographical area, with rises in Great Britain, Germany and the USA and falls in Italy and Spain. In the first few weeks of 2016, equity markets were impacted by fears tied to a slowdown in the Chinese economy and a fall in oil prices. The second half of 2016 was affected by the outcome of the referendum held on 23 June 2016 on the United Kingdom's exit from the European Union and by the election of Trump as President of the United States in November 2016. These unexpected events led to uncertainty and market volatility. In 2016, the UK share index recorded a sharp rise (+13.8%). In Europe, the Eurostoxx 50 index remained broadly stable in 2016 (+0.1%), the German DAX index rose by 6.9% and the French CAC40 index by 4.0%, whereas there were falls in the Spanish share index (-3.0%) and in the Swiss share index (-6.8%). In Japan, the Tokyo exchange fell by 1.9%. In the USA, Wall Street closed 2016 with an increase, with the S&P500 up by 8.5%.

In 2016, the Italian equity market was well down (-10.2%). Within this global scenario, Italy experienced a number of specific negative factors: economic recovery that remained weak, political tensions relating to the constitutional referendum in December 2016 and difficulties encountered by the banking sector.

In this difficult market environment, BPER Banca's share price in 2016 was one of the least penalised, having outperformed the index for the sector by more than 10%. BPER Banca's share price had almost doubled at the year end compared to the minimum reached in 2016 (recorded on 7 July at Euro 2.6339), having recovered from the minimum price by 93% versus a positive performance of the index for the sector of 45.5%. BPER Banca's official share price at 4 January 2016 was Euro 6.8097 and at 30 December 2016 it was Euro 5.0859. Average trading volumes for 2016 were 6.6 million shares, reflecting the share's good liquidity and its visibility to investors.



9.3 Shareholders

A Shareholders' Meeting of BPER Banca, which was held on 26 November 2016, approved the transformation of the legal form of the Bank from a cooperative to a company limited by shares. The latest figure available relating to members of the Bank, which at the time was still a cooperative, is that resulting from the last meeting of the Board of Directors that took place on 10 November 2016, whereby, as a result of the last resolutions passed on admissions and forfeitures, there were 84,074 members, compared to 84,307 members at 30 September 2016.
As from 28 November 2016, the date the transformation into a company limited by shares became effective for legal purposes, the figure has no longer been recorded.

9.4 Ratings as at 31 December 2016

Fitch Ratings

International Rating Agency	Issue date	Short Term	Long Term	Outlook	Viability Rating	Support rating	Support rating floor
Fitch Ratings	16.05.2016	B	BB	Stable	bb	5	No floor

On 16 May 2016, the Rating Agency Fitch confirmed its Long-Term rating as "BB" and its Short-term one as "B". Outlook remained "stable". The Agency also confirmed the viability rating as "bb" and the support rating ("SR") of BPER Banca as "5" and the support rating floor ("SRF") as "No Floor".

Moody's

International Rating Agency	Issue date	Short Term Deposit	Long Term Deposit	Outlook (Long-term Deposit)	Long Term Issuer	Outlook (Long-term Issuer)	Senior Unsecured Medium-Term Note Program	Baseline Credit Assessment ("BCA")
Moody's	27.09.2016	P-3	Baa3	Stable	Ba2	Negative	Ba2	ba3

On 27 September 2016, the international Rating Agency Moody's assigned BPER Banca a Long-term Deposit Rating of "Baa3" and a Short-term Deposit Rating of "P-3", with a "stable" outlook. Moody's also assigned the Bank a "Ba2" for both its Long-term Rating on the Senior Unsecured debt and for its Issuer Rating, with a "negative" outlook.
Moody's has also improved its ratings of the Bank's Covered Bonds Programmes by two notches, taking them to "Aa2" from the previous "A1", the highest level of the Italian banking system.

Standard & Poor's

On 30 September 2016, at the request of BPER Banca, Standard & Poor's withdrew the ratings assigned thereto.
At that date, the ratings were: *short- and long-term* ratings at *BB-* and *B*, respectively, with a "*positive*" outlook.

9.5 Investigations and audits

CONSOB

At the date of this Report, neither investigations nor audits are underway, nor have any requests been received.

European Central bank – ECB

a) During 2015, the ECB carried out a Europe-wide "Risk Management and Risk Appetite Review": BPER Banca was involved in this, either remotely or through scheduled meetings with company officers, with the aim of reviewing the *modus operandi* and effectiveness of BPER Banca's Administrative Body, as well as the Group's Risk Appetite Framework.
The ECB[43] commenced an inspection on 16 June 2015, focusing on governance, risk management, remuneration system and the BPER Banca Group's internal control system. It ended on 18 September 2015, having focused on the effectiveness of the Parent Company's strategic guidance of the Group, with the aim of assessing the compliance of the internal control functions and the remuneration system with current Italian legislation, as well as to assess the solidity of the governance mechanisms and the effectiveness of the organisational structure.
The results of these two investigations were notified at the same time in a follow-up letter sent by the ECB on 16 March 2016. The "Risk Management and Risk Appetite Review" was one of the key inputs to the 2015 Supervisory Review and Evaluation Process (SREP). The ECB emphasised that all of the observations following the inspection were in line with the conclusions of the Review and recommended changes that BPER Banca should make to resolve the various weaknesses and the deadlines by which this was to be done.

[43] *pursuant to Council Regulation (EU) 1024/2013 of 15 October 2013 and Regulation ECB/2014/17 of 16 April 2014*

On 13 April 2016, BPER Banca sent the ECB the Action Plan on the Supervisory Authority's recommendations, some of which had already been implemented during the course of the inspection or immediately afterwards. At the time of preparing this report, a summary of the status of the measures taken, the completion of which had been planned for 31 December 2016, was still being finalised. Progress on the Action Plan has been reported to the ECB on a quarterly basis since 30 June 2016.

b) From 25 January 2016 to 20 April 2016, BPER Banca was visited by the ECB to assess its "System for the management and control of credit and counterparty risk" in order to evaluate the consistency, effectiveness and adequacy of BPER Banca's measurement and management of credit risk from a Group point of view, including the adequacy of the process of classifying and making provisions for loans.
On 18 October 2016, the ECB sent its follow-up letter on the results of the inspection, with an indication of the action to be taken by BPER Banca to address the weaknesses that had been found.
On 15 November 2016 BPER Banca sent the ECB the Action Plan on the Supervisory Authority's recommendations with the planning of corrective actions.
Progress on the Action Plan is reported to the ECB on a quarterly basis. Overall, all of the interventions are scheduled to be completed by 30 September 2017.

c) Since the end of January 2016, BPER Banca Group has been involved in an assessment of the strategy, governance, processes and methodology adopted by the Group concerning non-performing loans. This activity, which was planned as part of the ongoing supervision procedures provided for under the Single Supervisory Mechanism (SSM), has been carried out at European level and also involved other Italian banks. To date, the outcome of this activity has not been communicated, but contact and enquiries continue to be made to this end.

d) Since 15 December 2016, BPER Banca Group has been subjected to an on-site inspection by the ECB on the “Accuracy of the computation of the capital position”. At the time of preparing this report, no further information was available.

e) Since December 2016, BPER Banca Group has been subjected to thematic analysis to assess the potential impact of IFRS 9. This assessment forms part of the ECB's ongoing supervisory activities, it was included in the planned activities for 2016/2017 and, as far as we are aware, is also being conducted for other significant banks. BPER Banca is constantly keeping the Supervisory Authority up to date with developments concerning the project.

9.6 Intercompany and related-party transactions

Relations between the various companies included within the scope of consolidation and with associates and related parties were all of a routine nature and were conducted properly.
For details, as required by art. 2497 *bis* of the Italian Civil Code and by the CONSOB Communication DEM 6064293 dated 28 July 2006, reference should be made to Part H of the Explanatory notes.

In accordance with CONSOB's Regulation 17221/10 and subsequent amendments, issued on the subject of related-party transactions, the BPER Banca Group has adopted specific internal rules to ensure transparency and substantial and procedural correctness of transactions with related parties.
In this context, BPER Banca approved the "Group Regulations for the management of transactions with related parties and associated persons", implemented by all of the Group Banks and other Companies as well. These Regulations also comply with the Bank of Italy's requirements in terms of "Risk activities and conflict of interest versus related parties and associated persons" as contained in the 9th update on 12 December 2011 of Circular 263 dated 27 December 2006.
The document is published on BPER Banca's website (www.bper.it, in the "Related Parties" section) and on the websites of the other Group banks.
In deference to the Bank of Italy's recommendations, the Parent Company also adopted the following documents:

- "Group policy on controls over risk activities and conflicts of interest with related parties and associated persons", approved by the Board of Directors on 11 November 2015;
- "Group Regulations for the monitoring of prudential limits on risk activities – monitoring of prudential limits on risk activities with related parties and associated persons", approved by the Board of Directors on 24 June 2014;
- "Group regulations on the management of transactions with related parties and associated persons", approved by the Board of Directors on 12 November 2013.

Note that on 31 December 2016, the only Group Bank that is listed and therefore required to observe CONSOB Regulation 17221/10, in addition to the Parent Company, is Banco di Sardegna s.p.a.
Without prejudice to the disclosure requirements of the ruling IAS 24, the following is a summary of transactions with related parties at 31 December 2016, for which information is provided under Regulation 17221/10.

a) more significant individual transactions concluded during the reference period

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
1	BPER Banca S.p.A.	Emilia Romagna Factor S.p.A.	Directly controlled subsidiary	Renewal of credit line	900,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
2	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	43 repo transactions concluded in the 1st half of 2016	(*)	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
3	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	Renewal of credit line	400,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
4	BPER Banca S.p.A.	Alba Leasing S.p.A.	Direct associated company	Renewal of credit line	570,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
5	BPER Banca S.p.A.	Sardaleasing s.p.a.	Directly controlled subsidiary	Renewal of credit line	700,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
6	BPER Banca S.p.A.	Sardaleasing s.p.a.	Directly controlled subsidiary	Renewal of credit line	669,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
7	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Renewal of credit line	2,500,000	Information document of 24 November 2016

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
8	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Renewal of credit line	950,000	Information document of 24 November 2016
9	Banco di Sardegna S.p.A.	BPER Banca S.p.A.	Direct parent company	Renewal of credit line	300,000	Information document of 24 November 2016
10	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	16 cash deposits/repo transactions concluded in the 2nd half of 2016	(**)	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

With regard to repurchase agreements/cash deposits concluded bilaterally between the Parent Company and the subsidiary Banco di Sardegna s.p.a., it should be noted that these increased in the second half of 2015, due to changes in operations which permitted a more effective supply of liquidity to the market by recourse to this subsidiary bank.
(*) It should be noted that the 43 transactions mentioned above are included in the range between Euro 274,848 thousand and Euro 324,690 thousand;
(**) It should be noted that the 16 transactions mentioned above are included in the range between Euro 258,600 thousand and Euro 1,822,697 thousand.

b) other individual transactions with related parties as defined under article 2427, second paragraph, of the Italian Civil Code, entered into in the reporting period, that have materially impacted the financial position and results of the company

It is worth noting that on 23 May 2016 BPER Banca acquired direct control on Banca di Sassari s.p.a. previously held by Banco di Sardegna s.p.a. Subsequent to the transaction, BPER Banca held a direct interest of 77.51% in Banca di Sassari s.p.a.'s share capital. At 31 December 2016, the controlling interest had risen to 78.46% as a result of further purchases on the market from non-controlling interest holders.
In addition, there has been the sale by Banca di Sassari s.p.a. to Banco di Sardegna s.p.a. of the business unit with all of the branches of Banca di Sassari s.p.a.
The merger of EMRO Finance Ireland Ltd with BPER Banca was formalised on 21 June 2016 having received authorisation from the Supervisory Authority. The company was already wholly owned by BPER Banca. The merger then took place on 25 July 2016, effective as of 1 August 2016.

As required by CONSOB Regulation 17221/10 with regard to other transactions with related parties, it is confirmed that no transactions have had a significant effect on the balance sheet or results of the company.

c) changes or developments in related-party transactions disclosed in the last Annual report that have had a material effect on the financial position or results of the companies during the period

During the period, there have been no changes or developments in the related-party transactions described in the last annual report that would have an effect on the financial position or results of the Company.

9.7 Information on atypical, unusual or non-recurring transactions

During 2016 there were no atypical or unusual transactions, as defined by CONSOB Communication DEM 6064293 dated 28 July 2006.

Nor were there any non-recurring transactions during the year.

9.8 Information on business continuity, financial risks, impairment tests and uncertainties regarding the use of estimates

Joint document 2 issued by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 6 February 2009 requests directors to include adequate information in their reports on Group's operations on business continuity (going concern), financial risks, impairment tests and uncertainties regarding the use of estimates.

Summary information is provided below, bearing in mind that further discussion is presented in the Explanatory notes and elsewhere in this report.

Going Concern

The assets and liabilities reported in the 2016 Consolidated financial statements have been measured in the context of long-term business continuity. To confirm and strengthen this assessment, it should be noted that, on 11 February 2015, the Parent Company's Board of Directors approved the Business Plan for 2015-2017, which is discussed further in other sections of this Report.

Financial risk

Part E of the Explanatory notes provides qualitative and quantitative information on the principal types of financial risk normally faced by the Group.

With regard to market risks, the quantification of the capital required to cover them shows that the amount is insignificant (Euro 52.4 million, being 2.01% of total capital requirements at 31 December 2016).

The characteristics of the financial instruments held, both in terms of counterparty and type, enable management to state confidently that the portfolio, which does not include complex or innovative derivatives, is not exposed to significant financial risks. As a primary activity, the Parent Company trades on own account.

With regard to liquidity, the composition of assets shows a customer loans/deposits ratio of 95.28% (up on 92.48% on 31 December 2015) and financial investments (represented by the asset captions from 20

to 50, under Financial assets) as a ratio of customer indebtedness (liability caption 20 *"Due to customers"*) is 35.23% (32.22% at 31 December 2015) and as a ratio of direct deposits is 28.71% (24.47% at 31 December 2015).
The net interbank position at 31 December 2015 is a negative balance of Euro 8,130.9 million (Euro 4,435.7 million at the end of 2015).
At the same date, the pooling account of the Central Treasury possessed available resources amounting to Euro 2,267 million, in addition to further securities and loans not transferred to the pooling account of Euro 2,118 million, giving rise to a counterbalancing capacity of Euro 4,385 million.
In view of the amount of securities available for refinancing, the Group's overall operating liquidity is satisfactory overall, steadily improving throughout the year. The quality and size of the refinanceable portfolio, subject to constant refinement, allow any significant risks concerning the liquidity position to be properly addressed. Moreover, these risks are subject to constant monitoring by the relevant functions.

Impairment tests on assets

As regards testing assets for impairment, when preparing the separate and Consolidated financial statements, the Group carries out specific impairment tests on an annual basis as required by the accounting standards, normally at 31 December of each year, unless there have been changes or there are completely new situations that are likely to have had a material impact on the carrying amounts of assets and on the assumptions used the previous time the assets were measured (particularly the assumptions used to calculate the discount rate (KE) and profit forecast (budget and business plans) of the Companies or CGUs whose goodwill is to be tested, i.e. subsidiaries and associates).
Disclosure has already been made of the methodologies and assumptions adopted for the performance of these activities in Parts A and B of the Explanatory notes, which also include the results of stress tests required by law.
This testing for impairment revealed the need to make adjustments to the overall investment portfolio of Euro 4.4 million and goodwill of Euro 32.9 million.
With respect to *"Financial assets available for sale"*, which had negative valuation reserves at the year end, the criteria adopted for the identification of permanent losses, for which ample disclosure is given in Part A of the notes, revealed cases in which impairment adjustments had to be made for a total of Euro 51.8 million.
Impairment testing is also required for the determination of the fair value of property held for whatever purpose. Details of the methods and criteria adopted have been disclosed in Part A of the notes, while details of the specific tests conducted in 2016 and the results thereof have been provided in the chapter in this report on real estate.
The impairment testing highlighted the need to write down the carrying amount of the real estate sector by Euro 9.4 million, compared with the Group's total real estate assets of Euro 621.7 million (net book value of the buildings), in addition to writedowns of "property held for resale" by Group real estate companies for Euro 3.7 million.

Uncertainties in the use of estimates

Given the current, extremely uncertain macroeconomic conditions, any assumptions about the present and future value of assets and liabilities are inevitably exposed to risk. Accordingly, it is impossible to state that currently unforeseeable future events, perhaps arising very soon, will not result in significant adjustments to the carrying amounts of the various items comprising the balance sheet. As always, the Group has taken the greatest possible care when measuring its exposures at 31 December 2016, considering the estimated realisable value of all financial assets with reference to external information

(e.g. market prices for securities) or internal evidence (with regard to loans to customers). This process is discussed in Part A of the Explanatory notes.
The forward-looking estimates used in preparing the Business Plan for the three-year period 2015-2017 were based on assumptions that were considered substantially reliable based on the information available at the time. In this case too, unexpected changes in market conditions could give rise to significant variations in currently estimated values.

9.9 Information to be provided about impairment tests, the contractual clauses that govern borrowing, the restructuring of debt and the fair value hierarchy

Document 4, jointly issued by the Bank of Italy, CONSOB and ISVAP (now IVASS) on 3 March 2010 follows on from that issued in February 2009 by the three Authorities and, with respect to certain aspects covered, confirms their recommendations thereon. This joint document draws "the attention of members of administrative and supervisory bodies and managers responsible for preparing financial reports to the need to ensure adequate disclosures for the purposes of clarity of the impact of the crisis on the capital, financial position and results of operations and of operating decisions and strategies, together with any corrective action taken to adapt business strategy to the changed business environment".
The communication does not have an independent prescriptive content, since it does not introduce any further obligations beyond those envisaged by IAS/IFRS, but identifies certain areas of disclosure of specific interest, in which companies must ensure the highest degree of transparency, namely:

- impairment tests on goodwill, other intangible assets with indefinite useful lives and equity investments;
- the measurement of equities classified as "*Financial assets available for sale*";
- disclosures regarding the so-called "fair value hierarchy", introduced by the amendment to IFRS 7 dated March 2009 and subsequent amended by IFRS 13.

Furthermore, this gives a number of details on the information to be provided on debt restructuring and the classification of financial liabilities when the contractual clauses are not respected, leading to the acceleration clause coming into effect.

Impairment testing of goodwill, other intangible assets with an indefinite useful life and equity investments in subsidiary banks

As previously indicated, the measurement of goodwill, of other intangible assets with indefinite useful lives and of equity investments is detailed further in Part A of the Explanatory notes, in the paragraph "22 - Method for determining the extent of impairment" (which details the method adopted) and in Part B of the Explanatory notes in Assets, Sections 10 and 13. Disclosure is also given on the impact on results of such activities, in the commentary on specific income statement components in Part C.
With respect to business combinations and allocation of the purchase price, further disclosure is given in Part A of the notes, in paragraph "23 - Business combinations: allocation of the purchase cost", as well as in Part G, in the event of any changes or new transactions since the last approved set of financial statements.
The tests were carried out on the basis of an updated discount rate (KE) of 9.99% (a rate of 9.36% was used at 31 December 2015), in line with market conditions and relevant benchmarks.
For 2016 and 2017, reference was also made to the financial projections made on the basis of the budgets approved by the individual banks, especially for the subsidiaries.

For the period 2018-2021, the projections that were taken into account were developed in a context of inertial growth to identify a normalised level of earnings that is considered sustainable in the long term.
The impairment test conducted indicated impairment losses pertaining to goodwill allocated to the Banco di Sardegna CGU of Euro 29.6 million, in addition to a writedown of Euro 3.3 million of goodwill pertaining to Banca di Sassari made by Banco di Sardegna on the acquisition of the business unit consisting of the entire branch network of the bank. Tests have confirmed the carrying amount of goodwill recognised at 31 December 2016 by the other entities.

Measurement of equities classified as "Financial assets available for sale"

With regard to securities classified as "*Financial assets available for sale*", the related methods for determining the extent of impairment are described in Part A of the Explanatory notes.
It is worth mentioning here that the Group has taken steps to identify objective parameters useful for establishing objective evidence of impairment, in accordance with the indications given by IFRIC in its document of July 2009.

Fair value hierarchy

The Bank has classified its financial assets and liabilities into the three fair value levels envisaged by IFRS 13, explaining the methodologies and parameters in its "BPER Banca Group guidelines for the measurement of financial instruments at fair value"; detailed information on these standards is given in Part A paragraph "21 - Methods of determining fair value".

9.10 Remuneration policies

The remuneration policies of the entire BPER Banca Group were established during 2016 in accordance with the regulatory requirements.
In particular, in an increasingly sophisticated regulatory environment, the Group has adjusted its policies to the new rules on staff remuneration.
In confirming and consolidating the pillars of its policy, the Group carried out a review of remuneration systems to ensure alignment with the standards and expectations of stakeholders, also with reference to 2017.
In light of the foregoing and in accordance with the provisions of CONSOB on remuneration policies, we prepared a "Remuneration Report pursuant to art. 123-*ter* of Legislative Decree 58 of 24 February 1998, comprising the remuneration policies for 2017 of the BPER Banca Group and the annual disclosure regarding implementation of the remuneration policies for 2016".
This document, which consists of two complementary sections and is accompanied by the certification pursuant to paragraph 2 of article 154-*bis* of the CFA of the Manager responsible for preparing the company's financial reports, summarises the following information:

I. 2017 Remuneration Policies of the BPER Group: this section defines the model adopted by the Group in relation to policies that will be implemented with reference to 2017.
II. 2016 Annual Remuneration Report: this section contains the main results relating to:
   a) Part 1: the items that make up the remuneration, including the conditions applied in the event of the resignation or termination of employment.
   b) Part 2: with particular regard to members of the boards of directors and statutory auditors, general managers and any other managers with strategic responsibilities, it provides a detailed list of the compensation paid in 2016 for any purpose and in any form by the Company, its subsidiaries and affiliates.

Together with this document, the "Proposed remuneration plan pursuant to art. 114-*bis* of Legislative Decree 58 dated 24 February 1998, implementing the remuneration policies for 2017 of the BPER Banca Group" will also be presented to the Shareholders' Meeting, along with a document to provide information on the proposal to adopt the Phantom Stock Plan pursuant to article 84-*bis* of the Issuers' Regulations and in accordance with the instructions contained in schedule 7 of Appendix 3A.
The Plan provides for a cash *bonus* that is determined on the basis of the quoted market price of BPER's shares, and is defined as a Phantom Stock Plan, as it is not based on physical delivery of the underlying securities, but on the payment in cash of sums of money corresponding to the value of the underlying shares on specified dates that are decided ex-ante.
Please refer to Part I of the notes for further details.

9.11 Report on the Arms Industry

As already mentioned in the chapter on corporate social responsibility (CSR), it is worth noting the preparation of the 2016 Report on the Arms Industry in compliance with the Group Guidelines for the regulation of relations with the Armed Forces and arms manufacturers.
This annual report, which has been approved by the governing bodies of the Parent Company BPER Banca, is the third of its kind to be prepared by the Group. It reports on the following types of activities in 2016:

- the identification of counterparties affected by the Guidelines;
- calculation of the aggregate of transactions by individual Group bank with an indication of the number and total amounts;
- other relevant aspects such as decisions regarding embargos of specific countries, any exceptions to the guidelines, staff training, relations with civil society, businesses and entities for identification purposes.

The report will be published on the websites of the Bank and the Group, together with the Separate financial statements of BPER Banca and the Consolidated financial statements of the Group, in the section dedicated to documentation for the Shareholders' Meeting, as well as in the "sustainability" section.

9.12 Project to adjust to IFRS 9

Details are provided below of the approach followed by BPER Banca Group to analyse the content of IFRS 9 and the consequent implementation, training, organisational and technical aspects associated therewith; the foregoing also took account of the specific indications contained in the ESMA (European Securities and Markets Authority) document 1563/2016 dated 10 November 2016.

The requirements of IFRS 9

IFRS 9, which was approved by the European Commission by means of Regulation 2067/2016, will replace, as from 1 January 2018, IAS 39, the current standard addressing the classification and measurement of financial instruments.
IFRS 9 is divided into three parts:

1) Classification and measurement of financial instruments;
2) Impairment;
3) Hedge accounting.

As far as the first part is concerned, IFRS 9 introduces a model whereby the classification of financial assets is determined based on contractual cash flow characteristics and the purpose for holding the related portfolios (the business model). Based on the results of this model, IFRS 9 replaces the current four accounting classifications (HFT, AFS, HTM and AC) with three new groupings:

- Assets measured at amortised cost. Financial assets are classified as measured at amortised cost or at fair value through other comprehensive income only if the instruments pass the contractual cash flow characteristics test and the business model test (hold to collect or hold to collect and sell).
- Assets measured at fair value through profit or loss. Financial assets held for trading (other business model), and those for which the above two tests were not passed, must be classified as assets measured at fair value through profit or loss.
- Assets measured at fair value through other comprehensive income. Equity instruments held for trading are normally classified as measured at fair value through profit or loss; it is also possible to make an irrevocable election at initial recognition to recognise changes in fair value of such equity instruments in an equity reserve, which will never be transferred to profit or loss, not even in the event of disposal of the equity instrument.

IFRS 9 does not introduce any changes to the current requirements of IAS 39 concerning financial liabilities. The only change concerns the accounting treatment of own credit risk, changes in which are to be presented in other comprehensive income in accordance with IFRS 9, whereas the residual change in liabilities at fair value should be recognised through profit or loss.

The second part of IFRS 9 addresses the classification of credit exposures and the consequent methodology for the determination of impairment, according to which instruments classified as measured at amortised cost or at fair value through other comprehensive income, except for irrevocably elected equity instruments, for which the impairment model is based on the premise of providing for expected losses, rather than incurred losses. The aim is to pre-empt and monitor credit exposures in a timely and continuous manner, given that the current requirements of IAS 39 have led to an understatement and delayed recognition of losses (too little, too late).

Specifically, IFRS 9 requires an estimate to be made of 12-month expected credit losses subsequent to initial recognition and as long as the credit quality continues to be optimal (Stage 1). If financial instruments have had a significant increase in credit risk since initial recognition (Stage 2), an estimate has to be made of expected credit losses over the expected life of the financial instrument. For default positions (Stage 3), impairment rules applied are similar to current rules, whereas certain related aspects have changed, such as the calculation of interest revenue.

The aim of the new hedge accounting model, which is addressed in the third part of IFRS9 and which does not extend to macro hedge accounting, is to provide a better link between an entity's risk management strategy, the rationale for hedging and the impact of hedging on the financial statements, with increased disclosure of the extent to which hedging mitigates risks.

Organisation of the project for implementation within BPER Banca Group

At the beginning of 2016, BPER Banca Group embarked on a project (Project IFRS 9) to analyse the qualitative and quantitative accounting impact arising from the application of the new requirements and to determine the repercussions thereof on the corporate, organisational, process and IT environments.

The project has been organised in three parts, in line with the standard: Classification and Measurement, Impairment and Hedge Accounting. Moreover, with the aim of ensuring our interpretation of the requirements of IFRS 9 was consistent with clarifications provided by national and international regulators, trade associations and national and international best practices, an accounting framework was envisaged that would support the analysis produced by the project teams and which would provide guidelines documenting the operating decisions pertaining to the project.

In general terms, the standard is somewhat pervasive and pulls within its scope a significant part of the business functions. Also, its application depends to a large extent on the business model applied, in terms of the clientele served and the tools utilised. That said, the main functions within BPER Banca Group that will be most involved in the implementation of IFRS 9 are Administration and Reporting, which is heading up the project, Risk Management, for the determination and validation of appropriate new risk measures and Credit and Finance, for the determination of portfoliation, the validation of the business model and the consequent repercussions on operations.
Also involved are the operating divisions, for the analysis of process implications and for the design of IT system interventions, with the aim of envisaging solutions consistent with the current infrastructure and that are capable of identifying and exploiting potential synergies. The Organisation function is actively involved in the project with a coordination role concerning the adoption and validation of implementation decisions.

Project IFRS 9 is scheduled to last for more than 24 months touching three financial years. Partly on account of the foregoing, it has been divided into sequential macro-phases:

- a first phase of assessment and determination of the preliminary decisions,
- a second phase of analysis of the implementation solutions submitted by the project teams and of determination of the preferred option, as well as the design of the target operational models,
- a third phase of development, testing and update to internal policy.

The project, as developed along these lines, envisages a parallel run for the application of the new standard that will be launched in the second half of 2017. Based on the outcome thereof, the expectation is that it will be possible to provide robust details of the real initial impact, both for staging and provisioning purposes.

The project is being supervised by the Parent Company and the implementation interventions will be defined centrally for all subsidiaries, in order to ensure an unequivocal and effective adoption of the standard. As regards IT developments, where Group companies use common IT systems, no intervention will be needed thereby, whereas those companies that use different application systems (mostly product-specific companies) will be required to handle the developments in an autonomous, although coordinated, manner. Similarly, from an organisational point of view, the upgrading of existing operating processes and the design and implementation of new processes are being handled by the Parent Company, although the various companies are being duly involved to share and validate the approach adopted. In particular, areas of attention are interventions linked to Classification and Measurement concerning the identification of prospective business models and new products to be structured, as well as Impairment as regards the determination of processes for the management and monitoring of credit risk.

Status of Project IFRS 9

- Classification and Measurement

In order to examine the requirements of IFRS 9, which introduces a classification model for financial assets that is driven by the contractual cash flow characteristics of the instruments, as well as the purpose for which they are held, the work performed and that awaiting final ratification has the aim of determining the target business model and the means of performing the contractual cash flow characteristics test (so-called SPPI - solely payment of principal and interest - test).
As regards the latter contractual cash flow characteristics test of financial assets, an internal methodology has been finalised and decision flows have been created that will be included in dedicated IT applications, as well as in operations manuals, which will be distributed to the various functions of the Bank, to provide support for the first time adoption (FTA) phase of the new standard as well as in day to day operations.
The analysis of existing portfolios has not indicated a need for any significant reclassifications.
In particular, as regards debt securities, a detailed review was performed of the cash flow characteristics of the instruments currently classified as measured at amortised cost and categorised as financial assets available for sale (AFS) in accordance with IAS 39. From the analysis performed, the findings were that only a marginal percentage of debt securities would not pass the SPPI test. These securities, which will have to be classified and measured at fair value through profit or loss, feature optionality that goes beyond their credit risk and time value of money, or they are tranches of ABS or securitisations that create concentrations of credit risk.
As regards Retail and Corporate loan portfolios, the broad review performed of a sample thereof, which took account of the significance, the uniformity and the business relating thereto, involved an assessment of plain vanilla contracts, which are typical of Retail loans, that was performed separately from the assessment of customised contracts, which essentially relate to large Corporate customers.
Work is still ongoing on the determination of the methodology for the further test (benchmark cash flow test) required for financial assets with a mismatch between the frequency of the instalment and the tenor of the interest rate, as well as that for credit risk assessment as required by the standard, for the purpose of the analysis of instruments that feature tranching of credit risk (such as securitised securities). Both cases, however, relate to absolutely marginal portions of portfolios and, as such, no particularly significant impact is expected to arise.
In general, a hold to collect model is currently used for loans, whereas a hold to collect and sell model is typically used for debt securities.
Furthermore, work is still ongoing at national and international level with regard to equity instruments, especially UCITS units, closed-ended funds and open-ended funds, the correct classification of which under IFRS 9 is not clear. Lastly, note that we do not expect there will be any significant changes with respect to financial liabilities and that there will be no impact on the classification and measurement of trading and hedging derivatives.

- Impairment

- Having analysed operations relating to loans and securities, the most significant issues to be addressed are the following. Triggers for the determination of a significant deterioration in credit risk: ratification is ongoing of the logic and thresholds for the transfer of positions, particularly for the purpose of the correct allocation of performing exposures at stage 1 or stage 2. As regards impaired exposures, the alignment of the accounting and regulatory definitions of default, which is the case, as of today, means the current logic applied to the classification of exposures as non-performing/impaired is identical to the future logic to be applied to the classification of exposures at stage 3. As regards to the potential application under IFRS 9 of the low credit risk exemption[44], the Group is currently assessing whether to adopt this simplification.

- In line with the foregoing, the elements that will constitute the main determinants to be taken into account for the assessment of transfers between different stages are the following:
  - a change in lifetime probability of default subsequent to initial recognition of the financial instrument. This is a measurement performed by adopting a relative criterion, which is deemed to the principal driver;
  - the existence of an overdue balance, which – without prejudice to regulatory materiality thresholds – has been such for at least 30 days; the existence of other conditions (e.g. a renegotiation that qualifies as forbearance measures, or inclusion in a credit monitoring watchlist) that – on a presumptive basis – would give rise to the credit risk of the exposure being deemed to have "significantly increased" subsequent to initial recognition;
- Determination of the expected credit loss models, inclusive of the effect of the forward-looking macro-economic cycle:
  - for staging (with respect to the use of lifetime PD as a deterioration indicator);
  - and for the calculation of the one year expected credit loss (ECL) (to be applied to the exposures in stage 1) and the lifetime expected credit loss (to be applied to the exposures in stage 2 and stage 3).

  Work is still ongoing on the determination of the use, in this context, of various macroeconomic scenarios in which the Bank may find itself. As regards the alternatives considered, that which the Group is currently evaluating for adoption is the credit loss arising from the baseline scenario, which is deemed to be most likely for the conditioning of the macro-economic parameters.

As regards the effects of the new exposure measurement metrics, it would appear that, on a consolidated basis, the impact of the first-time application of the standard - the opposite entry to which will be taken to equity - although considerable, will not be critical in comparison to the current level of the Group's reported and regulatory capital.

- Hedge Accounting:

As regards hedge accounting, the standard provides the Group with an option to implement the new standard, IFRS 9, or to continue with the old standard, IAS 39 (opt-in / opt-out option). Based on the work performed, it has been decided to take advantage of the opt-out option and, thus, hedging derivatives will continue to be recognised in accordance with IAS 39 (carve-out).

- IT systems:

As regards the implementation of IT systems, work is ongoing on the identification and integration of new software applications to facilitate the management of the new classification and measurement process, as well as the calculation of expected credit loss and the inclusion of forward looking factors for staging and impairment purposes. Further analysis is being conducted with respect to updates to the systems for the preparation of adequate disclosures, on account of the fact that this issue is still in a pre-consultation phase with the Bank of Italy, as well as to comply with the new version of FINREP.

[44] *The use of the low credit risk exemption would result in considering, at stage 1, exposures that, at the measurement date, are rated investment grade, which is typical of the bond market, which is subject to rating by external agencies.*

10. Significant subsequent events and outlook for operations

10.1 Significant events subsequent to 31 December 2016

Reform of cooperative banks: Transformation Plan

On 3 January 2017, BPER Banca announced that none of the legitimate holders of the Bank's shares had exercised their right of withdrawal following its transformation into a joint-stock company, as approved by the Shareholders' Meeting, in extraordinary session, of 26 November 2016.
It has not therefore been necessary to implement the liquidation procedure in accordance with art. 2437-*quater* of the Italian Civil Code and explained in the report on the proposed transformation presented to the Shareholders' Meeting, made available to the public on 19 October 2016.

Covered Bonds

On 25 January 2017, Euro 404 million of residential mortgage loans, originated exclusively by BPER Banca, or by other Group banks absorbed by Parent Company in the meantime, were sold as part of the first Covered Bond programme (GBB1).
On 3 February 2017, a seventh issue of Covered Bonds was completed relating to the first programme (GBB1) for an amount of Euro 540 million, at a floating rate, with a tenor of 4 years and which was self-subscribed.
On 24 February 2017, a third issue of Covered Bonds was completed relating to the second programme (GBB2) for an amount of Euro 240 million, at a floating rate, with a tenor of 4 years and which was self-subscribed.

10.2 Outlook for operations

In the Euro-zone, the trend of the economy is expected to improve and in Italy the recovery should continue, albeit gradually, encouraged by the progress taking place in the global economy and by the expansionary approach to monetary policy. The most recent information published in the Bank of Italy's Economic Bulletin estimates a growth in gross domestic product in our country of around 1% on an annual basis, on average, for the next three years (2017-19).
In this context, the still very low level of market interest rates and high competition in the traditional financing business will continue to put pressure on asset yields, even though the intensity will gradually decline; at the same time, the repricing of liabilities and the benefit of the sweetener provided by the ECB's TLTRO II programme will allow a further decline in the cost of deposits, helping to reduce the pressure on the interest margin. A positive contribution to revenue is expected to come from fee income, especially in asset management and bancassurance.
Operating costs are expected to decrease, both as regards personnel costs and for other administrative costs, benefiting from this year from the staff reduction plan and gradual completion of the investments relating to implementation of the various projects in the business plan. The slowdown in flows of new problem loans during the period is expected to get better in 2017, albeit gradually, helping to improve the cost of credit considerably compared with 2016.
All of these factors should bolster the Group's profitability prospects for the current year (before considering any extraordinary items). Lastly, the new Business Plan is expected to be presented by the end of this summer. Preliminary activities are already underway, anticipating by a few months the natural

expiry of the current plan at the end of 2017; this decision is justified by the significant changes that we have seen over the last two years in the macroeconomic, market and interest rate scenario compared to the assumptions underlying the previous plan.

Modena, 28 February 2017

The Board of Directors
The Chairman
Luigi Odorici

Consolidated financial statements

Consolidated balance sheet as at 31 December 2016

(in thousands of Euro)

Assets	31.12.2016	31.12.2015
10. Cash and cash equivalents	364,879	390,371
20. Financial assets held for trading	676,844	790,403
30. Financial assets designated at fair value through profit and loss	84,307	86,639
40. Financial assets available for sale	10,433,222	8,022,164
50. Financial assets held to maturity	2,515,993	2,663,859
60. Due from banks	1,331,811	1,087,313
70. Loans to customers	45,494,179	43,702,561
80. Hedging derivatives	62,365	38,182
100. Equity investments	413,923	415,200
120. Property, plant and equipment	969,470	941,121
130. Intangible assets	517,833	515,164
of which: goodwill	361,505	380,395
140. Tax assets	1,518,027	1,471,928
a) current	221,395	208,238
b) deferred	1,296,632	1,263,690
b1) of which L. 214/2011	1,073,172	1,072,618
160. Other assets	574,175	1,136,326
Total assets	**64,957,028**	**61,261,231**

Liabilities and shareholders' equity	31.12.2016	31.12.2015
10. Due to banks	9,462,678	5,522,992
20. Due to customers	38,912,714	35,887,658
30. Debt securities in issue	8,587,243	10,494,565
40. Financial liabilities held for trading	226,837	242,149
50. Financial liabilities designated at fair value through profit and loss	247,933	873,558
60. Hedging derivatives	40,697	23,715
80. Tax liabilities	97,996	109,013
a) current	1,715	3,911
b) deferred	96,281	105,102
100.Other liabilities	1,197,062	1,844,715
110. Provision for termination indemnities	205,364	200,669
120. Provisions for risks and charges	422,791	410,399
a) pensions and similar commitments	136,409	124,500
b) other provisions	286,382	285,899
140. Valuation reserves	89,951	148,982
170. Reserves	2,410,357	2,288,125
180. Share premium reserve	930,073	930,073
190. Share capital	1,443,925	1,443,925
200. Treasury shares	(7,258)	(7,255)
210. Minority interests	674,366	627,287
220. Profit (Loss) for the period	14,299	220,661
Total liabilities and shareholders' equity	**64,957,028**	**61,261,231**

Consolidated income statement as at 31 December 2016

(in thousands of Euro)

Captions	31.12.2016	31.12.2015
10. Interest and similar income	1,483,051	1,648,399
20. Interest and similar expense	(312,604)	(420,858)
30. Net interest income	**1,170,447**	**1,227,541**
40. Commission income	745,959	762,474
50. Commission expense	(33,237)	(35,781)
60. Net commission income	**712,722**	**726,693**
70. Dividends and similar income	9,872	15,953
80. Net trading income	7,944	32,831
90. Net hedging gains (losses)	(335)	(889)
100. Gains/losses on disposal or repurchase of:	107,662	315,466
a) loans	(9,748)	4,023
b) financial assets available for sale	118,627	313,171
c) financial assets held to maturity	-	221
d) financial liabilities	(1,217)	(1,949)
110. Net results on financial assets and liabilities designated at fair value	4,728	476
120. Net interest and other banking income	**2,013,040**	**2,318,071**
130. Net impairment adjustments to:	(659,064)	(737,800)
a) loans	(619,750)	(705,799)
b) financial assets available for sale	(51,811)	(27,343)
d) other financial assets	12,497	(4,658)
140. Net profit from financial activities	**1,353,976**	**1,580,271**
180. Administrative costs:	(1,383,303)	(1,410,531)
a) payroll	(769,149)	(825,053)
b) other administrative costs	(614,154)	(585,478)
190. Net provision for risks and charges	(28,668)	(52,137)
200. Net adjustments to property, plant and equipment	(45,709)	(48,336)
210. Net adjustments to intangible assets	(34,886)	(31,913)
220. Other operating charges/income	173,717	175,804
230. Operating costs	**(1,318,849)**	**(1,367,113)**
240. Profit (Loss) from equity investments	8,491	97
260. Adjustments to goodwill	(32,854)	-
270. Gains (Losses) on disposal of investments	(220)	259
280. Profit (Loss) from current operations before tax	**10,544**	**213,514**
290. Income taxes on current operations for the period	5,270	5,718
300. Profit (Loss) from current operations after tax	**15,814**	**219,232**
320. Net profit (loss) for the period	**15,814**	**219,232**
330. Net profit (Loss) pertaining to minority interests	(1,515)	1,429
340. Profit (Loss) for the period pertaining to the Parent Company	**14,299**	**220,661**

	Earnings per share (Euro) 31.12.2016	Earnings per share (Euro) 31.12.2015
Basic EPS	0.030	0.459
Diluted EPS	0.030	0.459

Statement of consolidated comprehensive income

(in thousands of Euro)

Statement of consolidated comprehensive income	31.12.2016	31.12.2015
10. Profit (loss) for the period	**15,814**	**219,232**
Other income items, net of income taxes, without release to the income statement	**-**	**-**
40. Defined benefit plans	(15,693)	21,018
60. Portion of the valuation reservesx of equity instruments carried at equity	(1,080)	(4,448)
Other income items, net of income taxes, with release to the income statement:	-	-
90. Cash-flow hedges	(2,844)	(1,744)
100. Financial assets available for sale	(56,961)	(49,518)
130. Total other element of income (net of income taxes)	**(76,578)**	**(34,692)**
140. Total comprehensive income (Captions 10+130)	**(60,764)**	**184,540**
150. Total comprehensive income pertaining to minority interests	(5,309)	939
160. Consolidated comprehensive income attributable to the Parent Company	**(55,455)**	**183,601**

Statement of changes in consolidated shareholders' equity

(in thousands of Euro)

	Balance as at 31.12.15	Changes in opening balances	Balance as at 1.1.16	Allocation of prior year results		Changes during the year									Shareholders' equity as at 31.12.2016	
						Changes in reserves	Transactions on shareholders' equity							Comprehensive income as at 31.12.2016		
				Reserves	Dividends and other allocations		Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Changes in equity instruments	Derivatives on treasury shares	Stock options	Changes in participatory interests		Group	Minority
Share capital:	**1,541,639**	**-**	**1,541,639**	**-**	**-**	**44,509**	**-**	**-**	**-**	**-**	**-**	**-**	**(22,601)**	**-**	**1,443,925**	**119,622**
a) ordinary shares	1,541,639	-	1,541,639	-	-	44,509	-	-	-	-	-	-	(22,601)	-	1,443,925	119,622
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**972,953**	**-**	**972,953**	**-**	**-**	**82,952**		**-**	**-**	**-**	**-**	**-**	**(42,095)**	**-**	**930,073**	**83,737**
Reserves:	**2,724,674**	**-**	**2,724,674**	**171,147**	**-**	**(56,965)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,410,357**	**428,499**
a) from profits	2,139,608	-	2,139,608	171,147	-	(72,398)	-	-	-	-	-	-	-	-	1,854,182	384,175
b) other	585,066	-	585,066	-	-	15,433	-	-	-	-	-	-	-	-	556,175	44,324
Valuation reserves:	**200,557**	**-**	**200,557**	**-**	**-**	**6,966**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(76,578)**	**89,951**	**40,994**
Equity instruments	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Treasury shares	**(7,257)**	**-**	**(7,257)**	**-**	**-**	**(2)**			**-**	**-**	**-**	**-**	**-**	**-**	**(7,258)**	**(1)**
Net profit (loss) for the period	**219,232**	**-**	**219,232**	**(171,147)**	**(48,085)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**15,814**	**14,299**	**1,515**
Group shareholders' equity	**5,024,511**	**-**	**5,024,511**	**-**	**(48,085)**	**(28,872)**	**-**	**-**	**-**	**-**	**-**	**-**	**(10,752)**	**(55,455)**	**4,881,347**	**-**
Minority interests	**627,287**	**-**	**627,287**	**-**	**-**	**106,332**	**-**	**-**	**-**	**-**	**-**	**-**	**(53,944)**	**(5,309)**	**-**	**674,366**

	Balance as at 31.12.14	Changes in opening balances	Balance as at 1.1.15	Allocation of prior year results		Changes during the year									Shareholders' equity as at 31.12.2015	
						Changes in reserves	Transactions on shareholders' equity							Comprehensive income as at 31.12.2015		
				Reserves	Dividends and other allocations		Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Changes in equity instruments	Derivatives on treasury shares	Stock options	Changes in participatory interests		Group	Minority
Share capital:	**1,544,887**	**-**	**1,544,887**	**-**	**-**	**(4)**	**-**	**-**	**-**	**-**	**-**	**-**	**(3,244)**	**-**	**1,443,925**	**97,714**
a) ordinary shares	1,544,887	-	1,544,887	-	-	(4)	-	-	-	-	-	-	(3,244)	-	1,443,925	97,714
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**974,014**	**-**	**974,014**	**-**	**-**	**(1)**	**(4)**	**-**	**-**	**-**	**-**	**-**	**(1,056)**	**-**	**930,073**	**42,880**
Reserves:	**2,732,815**	**-**	**2,732,815**	**20,024**	**-**	**(28,165)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,288,125**	**436,549**
a) from profits	1,982,956	-	1,982,956	20,024	-	136,628	-	-	-	-	-	-	-	-	1,744,978	394,630
b) other	749,859	-	749,859	-	-	(164,793)	-	-	-	-	-	-	-	-	543,147	41,919
Valuation reserves:	**235,895**	**-**	**235,895**	**-**	**-**	**(646)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(34,692)**	**148,982**	**51,575**
Equity instruments	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Treasury shares	**(7,261)**	**-**	**(7,261)**	**-**	**-**	**-**	**8**	**(4)**	**-**	**-**	**-**	**-**	**-**	**-**	**(7,255)**	**(2)**
Net profit (loss) for the period	**29,781**	**-**	**29,781**	**(20,024)**	**(9,757)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**219,232**	**220,661**	**(1,429)**
Group shareholders' equity	**4,870,140**	**-**	**4,870,140**	**-**	**(9,757)**	**(22,943)**	**4**	**(4)**	**-**	**-**	**-**	**-**	**3,470**	**183,601**	**5,024,511**	**-**
Minority interests	**639,991**	**-**	**639,991**	**-**	**-**	**(5,873)**	**-**	**-**	**-**	**-**	**-**	**-**	**(7,770)**	**939**	**-**	**627,287**

Consolidated cash flow statement

Indirect method

(in thousands of Euro)

A. Operating activities	31.12.2016	31.12.2015
1. Cash generated from operations	**888,475**	**1,201,862**
net profit (loss) for the period	14,299	220,661
net gains/losses from financial assets held for trading and financial assets/liabilities designated at fair value through profit and loss	7,007	(23,001)
gains (losses) from hedging activities	335	889
net adjustments for impairment	691,918	737,800
impairment/write-backs to property, plant and equipment and intangible assets	80,595	80,249
net provisions for risks and charges and other costs/income	107,862	191,338
unsettled taxes	(5,270)	(5,718)
other adjustments	(8,271)	(356)
2. Cash generated/absorbed by financial assets	**(4,559,928)**	**(945,035)**
financial assets held for trading	106,240	271,552
financial assets designated at fair value through profit and loss	(2,239)	6,884
financial assets available for sale	(2,505,533)	(1,155,163)
loans to customers	(2,411,252)	(478,451)
due from banks: on demand	121,303	525,168
due from banks: other receivables	(365,917)	86,589
other assets	497,470	(201,614)
3. Cash generated/absorbed by financial liabilities	**3,678,571**	**279,843**
due to banks: on demand	(238,071)	38,621
due to banks: other debts	4,177,757	(995,187)
due to customers	3,025,056	1,923,399
debt securities in issue	(1,907,322)	(23,697)
financial liabilities held for trading	(15,312)	(1,061)
financial liabilities designated at fair value through profit and loss	(620,846)	(815,266)
other liabilities	(742,691)	153,034
Net cash generated/absorbed by operating activities	**7,118**	**536,670**

B. Investing activities	31.12.2016	31.12.2015
1. Cash generated by	**164,769**	**164,459**
sale of equity investments	23,336	-
sale of financial assets held to maturity	138,408	158,105
sale of property, plant and equipment	3,025	6,354
2. Cash absorbed by	**(149,398)**	**(751,035)**
purchase of equity investments	-	(61,341)
purchase of financial assets held to maturity	(6,908)	(621,162)
purchase of property, plant and equipment	(72,028)	(19,183)
purchase of intangible assets	(70,462)	(49,349)
Net cash generated/absorbed by investing activities	**15,371**	**(586,576)**

C. Financing activities	31.12.2016	31.12.2015
dividend distribution and other	(48,085)	(9,757)
Net cash generated/absorbed by financing activities	**(48,085)**	**(9,757)**
Net cash generated/absorbed in the period	**(25,596)**	**(59,663)**

Reconciliation

Captions	31.12.2016	31.12.2015
Cash and cash equivalents at beginning of the period	390,371	450,766
Net cash generated/absorbed in the period	(25,596)	(59,663)
Cash and cash equivalents: effect of exchange rate variations	104	(732)
Cash and cash equivalents at end of the period	**364,879**	**390,371**

Consolidated Explanatory notes

Key to abbreviations in tables:

FV: Fair value
FV: Fair value excluding variations due to changes in the credit worthiness of the issuer since the issue date*
NV: Nominal or notional value
BV: Book value
L_1: Fair value hierarchy – Level 1
L_2: Fair value hierarchy – Level 2
L_3: Fair value hierarchy – Level 3
#: not applicable

Part A - Accounting policies

A.1 – General information

Section 1 - Declaration of compliance with International Financial Reporting Standards

The Consolidated financial statements for the year ended 31 December 2016 have been prepared in accordance with the International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB), endorsed by the European Commission, as provided by EU Regulation 1606 dated 19 July 2002, and currently in force, including the related interpretations of the International Financial Reporting Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC).

Reference was also made, where necessary, to the "Framework for the preparation and presentation of financial statements" and to the documents prepared by the Italian Accounting Body (OIC) and the Italian Banking Association (ABI).
In the absence of a standard or interpretation specifically applicable to a particular transaction, the Parent Company makes use of the professional opinion of its own staff, in particular the Administration and Reporting Department, to develop a rule for accounting recognition that makes it possible to provide reliable financial information and to ensure that the financial statements give a true and fair view of the financial position, result of operations and cash flows of the Group, reflecting the economic substance of the transaction and its key aspects.
In formulating these accounting rules, reference has been made as far as possible to International Accounting Standards and interpretations dealing with similar or comparable matters.
As part of its guidance and coordination activity, the Parent Company requires the other Group Banks and Companies to apply the Group's own accounting recognition rules, in the right circumstances.

Section 2 - Basis of preparation

In terms of technical format and layout, the Consolidated financial statements have been prepared in accordance with Circular no. 262/2005 and subsequent amendments, and with CONSOB resolution 11971 dated 14 May 1999 and subsequent amendments.
The financial statements also reflect the requirements of the Italian Civil Code, as amended following the reform of company law (Legislative Decrees no. 5 and 6 dated 17 January 2003, and subsequent amendments, including Decree 310 dated 28 December 2004), and the enabling instructions issued for art. 9 of Legislative Decree no. 38/2005.
The financial statements consist of the consolidated balance sheet, the consolidated income statement, the statement of consolidated comprehensive income, the statement of changes in consolidated shareholders' equity, the consolidated cash flow statement and these Explanatory notes. Figures are expressed in thousands of Euro. They are accompanied by the Directors' report on operations.

The general criteria underlying the preparation of the financial statements are presented below in accordance with IAS 1:

- Going Concern: assets, liabilities and off-balance sheet transactions are measured in the context of continuity over time.
- Accrual Basis of Accounting: costs and revenues are recognised in accordance with the matching principle, regardless of when they are settled.
- Materiality and Aggregation: each material class of similar items is presented separately in the financial statements. Items that are dissimilar in terms of their nature or use are only aggregated if they are individually immaterial.
- Offsetting: assets and liabilities, income and expenses are not offset unless required or permitted by a standard or an interpretation, or by the Bank of Italy's regulations for the preparation of financial statements.
- Frequency of disclosures: information must be prepared annually or more frequently; if an entity changes its accounting reference date, the reason must be indicated together with the fact that the information provided is not comparable.
- Comparative Information: comparative information is disclosed in respect of the previous period for all amounts reported in the financial statements, unless required otherwise by a standard or an interpretation.
- Consistency of Presentation: the presentation and classification of items is maintained over time to ensure that information is comparable, unless specified otherwise in new accounting standards or their interpretations, or unless a change is required to improve the meaningfulness and reliability of the amounts reported. The nature of changes in account presentation or classification is described, together with the related reasons; where possible, the new criterion is applied on a retroactive basis.

The description of the accounting policies adopted in relation to the principal financial statement aggregates is presented in sufficient detail to identify the principal assumptions and assessments made for the preparation of the financial statements.

The notes and attachments provide additional information to help to provide a complete, true and fair view of the company's situation, even if such information is not expressly required by the regulations.
Even when required by the regulations, the notes does not distinguish between information on the Group and that relating to Other businesses, given that the amounts relating to the latter are immaterial.

The scope of consolidation does not include insurance companies.

Uncertainties in the use of estimates

The preparation of financial statements requires recourse to estimates and assumptions that may affect the amounts recorded in the balance sheet and the income statement, as well as the information about contingent assets and liabilities disclosed in the financial statements. The development of such estimates involves the use of available information and the adoption of subjective assessments, partly based on historical experience, in order to make reasonable assumptions for the recognition of operating events. By their nature, the estimates and assumptions used may change from period to period and, accordingly,

it may be that the actual amounts recorded in the financial statements in subsequent periods are significantly different as a consequence of changes in the subjective assessments made.
The principal situations in which management is required to make subjective assessments include:

- quantification of the losses arising from the impairment of loans and, in general, other financial assets;
- determination of the fair value of financial instruments for disclosure purposes; in particular, the use of measurement models to determine the fair value of financial instruments that are not listed in active markets;
- quantification of the provisions for employee benefits and the provisions for risks and charges;
- estimates and assumptions about the recoverability of deferred tax assets;
- measurement of goodwill/intangible assets.

Current income taxes are calculated using an estimate of current taxable income. Current tax receivables and payables are recognised at the amount that is expected to be recoverable from/payable to the tax authorities applying current fiscal regulations, or those substantially approved, at the accounting reference date and the estimated tax rates for the year.
Deferred tax liabilities and assets are measured at the tax rates that are expected to be applied in the period in which the liability is settled or the asset realised, based on tax laws that have been enacted or substantively enacted by the end of the reporting period and only if deemed to be recoverable.

Section 3 - Scope of consolidation and methodology

The international accounting standards referred to when preparing the Consolidated financial statements, when the circumstances arise, are IFRS 3 "Business Combinations" (issued with EC Regulation 495/2009 and subsequent updates), IFRS 10 "Consolidated Financial Statements", IFRS 11 "Joint agreements", IAS 27 "Separate Financial Statements", IAS 28 "Investments in associates and joint ventures" (all issued with EC Regulation 1254/2012 and in force since 1 January 2014 and subsequent updates).

Consolidation principles

The BPER Banca Group’s Consolidated financial statements include the balance sheet and income statement of the Parent Company and of its direct and indirect subsidiaries; they include subsidiaries operating in sectors dissimilar from that of the Parent Company and vehicle companies (special purpose vehicles or SPVs)[45], when they fulfil the requirements for effective control, whether or not there is an equity interest.
The new concept of control (IFRS 10 § 6) is based on the simultaneous presence of three elements:

- the power to direct the relevant activities, i.e. the activities of the investee that significantly affect its returns;
- exposure to variable returns arising from the activity of the investee;
- the exercise of power to influence the returns.

[45] The consolidation of SPVs has the same effects as consolidation on a line-by-line basis.

Subsidiaries are companies in which the Parent Company, directly or indirectly, owns more than half of the Voting rights. However, the concept of control is considered to exist when at the same time the investor has power over the investee. There has to be a correlation between the powers and returns, which occurs when the investor holds valid rights that give it the ability to direct the relevant activities of the investee or have a significant effect on its returns.
Structured entities are also consolidated, when effective control requirements are met, regardless of whether there is an equity interest. Please refer to Part E, Section D "Information on structured entities (other than securitisation companies)" of these Explanatory notes.

Jointly controlled companies are those in which the Voting rights and control of economic activities are shared equally by the Parent Company, directly and indirectly, and by another external entity. An equity investment is also considered as subject to joint control when, in the absence of an equal share of Voting rights, control over the company's economic activities and strategies are shared with other parties under contractual agreements. The BPER Banca Group does not include any jointly controlled entities at 31 December 2016.

Associates are companies subject to significant influence, in which the Parent Company, directly or indirectly, holds at least a fifth of the Voting rights (including "potential" rights to vote) and which has the power to take part in deciding the financial and operating policies. Associated companies are also those in which – despite a lower share of Voting rights – the Parent Company has the power to take part in deciding the financial and operating policies under a particular legal relationship, such as, for example, participation in shareholder agreements.

Consolidation methodology

As a rule, subsidiaries are consolidated on a line-by-line basis, while jointly controlled entities and non-controlling interests in which the Group exercises significant influence are accounted for using the equity method.

The methods adopted for consolidation on a line-by-line basis are as follows:

- assets, liabilities and equity and income statement items are combined on a line-by-line basis;
- debit and credit balances, off-balance sheet transactions and income and costs arising from transactions between consolidated companies are eliminated;
- the shareholders' equity and net profit attributable to minority interests in the consolidated companies are classified separately in the balance sheet (as a liability) and the income statement;
- on first-time consolidation, the carrying value of the equity investments in companies consolidated on a line-by-line or proportional basis is eliminated against the shareholders' equity in these companies (or the portion of shareholders' equity that the equity investments concerned represent). The acquisition of interests in companies is recorded using the "purchase method" defined in IFRS 3, with the recognition of the assets, liabilities and contingent liabilities of purchased companies at their fair value at the time of acquisition, i.e. at the time that effective control over them is obtained. Accordingly, the results of a subsidiary purchased during the year are consolidated from the date of acquisition. Similarly, the results of a subsidiary that is sold are consolidated until the date that control is lost;

- any excess of the carrying value of the equity investments referred to above with respect to the interest held in their shareholders' equity, as adjusted to reflect the fair value of assets and liabilities, is classified as goodwill among *"Intangible assets"*, while any shortfall is credited to the income statement;
- any changes in the interest held in equity investments are booked as transactions on capital. Any difference between the value of equity investments to be adjusted and the fair value of the consideration paid (or received) has to be booked directly as a change in shareholders' equity and suitably allocated to minority interests;
- the fairness of the value recorded for goodwill is tested at least once a year (or whenever there is evidence of impairment), as required by IAS 36. To meet regulatory requirements, the cash-generating unit to which goodwill is allocated has to be identified. Write-downs reflect the difference between the book value of goodwill and its recoverable value, if lower, as represented by the fair value of the cash generating unit, less costs to sell, or, if higher, its value in use. Any adjustments are recorded in the income statement.

Under the equity method:

- the book value of significant equity investments held by the parent bank or by other group companies is compared with the related interest in the shareholders' equity of these associated companies carried at equity. Any excess book value - identified on initial consolidation - is included in the carrying value of the investment. Changes in shareholders' equity subsequent to first-time consolidation are classified in caption 240 of the consolidated income statement as "*Losses (income) from investments*", to the extent that they relate to their net profit or losses, while other changes are recognised as a direct adjustment of shareholders' equity;
- if there is evidence that a significant investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment. If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement.

Current regulations require the scope of consolidation to be managed on two levels:

- the accounting scope of consolidation governed by IFRS 10[46] "Consolidated financial statements", IAS 27 "Separate financial statements", IAS 28 "Investments in Associates and Joint Ventures" and, if required by the circumstances, IFRS 11 "Joint Agreements" (all adopted by Regulation (EU) 1254/2012 and effective from 1 January 2014 and subsequent amendments) and IFRS 3 "Business Combinations" (adopted by Regulation (EU) 495/2009 and subsequent amendments).
- the prudential scope of consolidation governed by Regulation (EU) 575/2013, in which art. 19 indicates the entities to be excluded from the prudential consolidation.

The above regulations contribute to determining the scope of consolidation at each level, as well as the methodologies to be used for each consolidation.
International accounting standards require subsidiaries to be consolidated on a line-by-line basis, while jointly controlled entities and non-controlling interests in which the Group exercises significant influence are accounted for using the equity method. Art. 19 of the CRR excludes from the scope of line-by-line consolidation all financial entities and operating companies, including members of the Banking Group, whose total assets and off-balance sheet amounts are less than the lower of the following two amounts:

---

[46] *IFRS 10 §B86 in relation to consolidation procedures.*

- Euro 10 million;
- 1% of the total assets and off-balance sheet amounts of the parent company or the entity that holds the equity investment.

From 30 June 2015 the BPER Banca Group has decided to adopt the consolidation methodology envisaged for prudential supervisory purposes. This approach was also applied when determining the financial disclosures to be made, thus aligning the two levels of consolidation.

This decision was necessary in order to rationalise, simplify and streamline the production of consolidated information for supervisory and financial reporting purposes. Its effects on the latter are negligible. In terms of the areas affected, the marginal dynamics previously indicated in the income statement on a line-by-line basis are now summarised in the "*Profit (loss) from equity investments*" line item; while the limited intercompany balances have not been eliminated from the assets and liabilities reported in the balance sheet. Shareholders' equity, on the other hand, is unaffected.
The following companies are members of the Banking Group but, at 31 December 2016, do not satisfy the requirements of art. 19 of the CRR:

- Mutina s.r.l.;
- Estense Covered Bond s.r.l.;
- BPER Trust Company s.p.a.;
- Estense CPT Covered Bond s.r.l.;

other subsidiaries that are not formally members of the Group, since their activities do not contribute to its banking operations, excluding those that have not yet commenced operations and are still dormant are:

- Italiana Valorizzazioni Immobiliari s.r.l.;
- Adras s.p.a.;
- Polo Campania s.r.l.;
- Galilei Immobiliare s.r.l.;
- SIFA' - Società Italiana Flotte Aziendali s.p.a.

At 31 December 2016, all of these companies have been consolidated under the equity method.

1.Investments in subsidiaries

1.1 Equity investments of the Group consolidated line-by-line

	Name	Operational head office	Registered head office	Type of relationship (1)	Share capital in Euro	Nature of holding		% Voting rights (2)
						Parent company	% held	
1.	Banco di Sardegna s.p.a.	Sassari	Cagliari	1	155,247,762	BPER Banca	50.669	51.000
2.	Banca di Sassari s.p.a.	Sassari	Sassari	1	74,458,607	BPER Banca	78.462	
						B. Sard.	20.522	
3.	Cassa di Risparmio di Bra s.p.a.	Bra	Bra	1	27,300,000	BPER Banca	67.000	
4.	Cassa di Risparmio di Saluzzo s.p.a.	Saluzzo	Saluzzo	1	33,280,000	BPER Banca	100.000	
5.	Bper (Europe) International s.a.	Luxembourg	Luxembourg	1	30,667,500	BPER Banca	100.000	
6.	Nadia s.p.a.	Modena	Modena	1	87,000,000	BPER Banca	100.000	
7.	BPER Services s.cons.p.a.	Modena	Modena	1	10,920,000	BPER Banca	92.838	
						B. Sard.	4.762	
						Optima	0.400	
						B.S.S.	0.400	
						Sardaleasing	0.400	
						CR Bra	0.400	
						BCM	0.400	
						CR Saluzzo	0.400	
8.	Sardaleasing s.p.a.	Milan	Sassari	1	93,951,350	BPER Banca	51.440	
						B. Sard.	46.933	
9.	Optima s.p.a. S.I.M.	Modena	Modena	1	13,000,000	BPER Banca	100.000	
10.	Tholos s.p.a.	Sassari	Sassari	1	52,015,811	B. Sard.	100.000	
11.	Numera s.p.a.	Sassari	Sassari	1	2,065,840	B. Sard.	100.000	
12.	Modena Terminal s.r.l.	Campogalliano	Campogalliano	1	8,000,000	BPER Banca	100.000	
13.	Emilia Romagna Factor s.p.a.	Bologna	Bologna	1	36,393,940	BPER Banca	94.403	
14.	BPER Credit Management s.cons.p.a.	Modena	Modena	1	1,000,000	BPER Banca	67.000	
						B. Sard.	20.000	
						B.S.S.	3.000	
						CR Bra	2.000	
						CR Saluzzo	1.000	
						EmilRo Factor	1.000	
						Sardaleasing	6.000	

The "% Voting rights" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.

Key:

(1) Type of relationship:
1 Majority of votes at the Ordinary Shareholders' Meeting.
(2) Voting rights at Ordinary Shareholders' Meeting, distinguishing between actual and potential.

1.2 Equity investments belonging to the Group or just controlled consolidated under the equity method

	Name	Operational head office	Registered head office	Type of relationship (1)	Share capital in Euro	Nature of holding		% Voting rights (2)
						Parent company	% held	
A. Companies that are not members of the Banking Group								
1.	Galilei Immobiliare s.r.l.	Modena	Modena	1	100,000	Nadia	100.000	
2.	Polo Campania s.r.l.	Avellino	Avellino	1	110,000	BPER Banca	100.000	
3.	Adras s.p.a.	Milan	Milan	1	1,954,535	BPER Banca	100.000	
4.	Italiana Valorizzazioni Immobiliari s.r.l.	Milan	Milan	1	2,000,000	BPER Banca	100.000	
5.	SIFA' - Società Italiana Flotte Aziendali s.p.a.	Milan/Reggio Emilia	Trento	4	92,308	BPER Banca	35.000	
B. Companies that are members of the Banking Group but do not satisfy the requirements of art. 19 of the CRR								
6.	Mutina s.r.l.	Modena	Modena	1	10,000	BPER Banca	100.000	
7.	Estense Covered Bond s.r.l.	Conegliano	Conegliano	1	10,000	BPER Banca	60.000	
8.	BPER Trust Company s.p.a.	Modena	Modena	1	500,000	BPER Banca	100.000	
9.	Estense CPT Covered Bond s.r.l.	Conegliano	Conegliano	1	10,000	BPER Banca	60.000	

The "% Voting rights" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.
Costruire Mulino s.r.l. and Frara s.r.l. (formerly Sviluppo Formica s.r.l.) have not been included in the list as they are not yet operational at 31 December 2016.

Key:

(1) Type of relationship:
1 Majority of votes at the Ordinary Shareholders' Meeting.
4 Other forms of control.
(2) Voting rights at Ordinary Shareholders' Meeting, distinguishing between actual and potential.

2. Significant assessments and assumptions made when determining the scope of Consolidation

As regards the companies included in the scope of consolidation, no facts and circumstances, as foreseen in IFRS 10, took place during 2016 that might change our assessment of possession of control, joint control or significant influence.
Note that, despite its holding of 35% in Sifà s.p.a., the Parent Company has de facto control thereover, by virtue of its ability to exercise significant influence over the company's strategic financial and operating decisions.
For further details about changes in the scope of consolidation in 2016, please refer to the Directors' Report on Group Operations under "Scope of consolidation of the BPER Banca Group".

3. Investments in subsidiaries with significant minority interests

Minority interests are considered significant based on the materiality of total equity compared with the equivalent consolidated figure.

3.1 Minority interests, Voting rights of third parties and dividends distributed to third parties

Name	% Minority interests	% Voting rights of third parties (1)	Dividends distributed to third parties
1. Banco di Sardegna s.p.a.	49.331	49.000	-
2. Cassa di Risparmio di Bra s.p.a.	33.000	33.000	-
3. Banca di Sassari s.p.a.	1.016	1.016	41
4. Emilia Romagna Factor s.p.a.	5.597	5.597	143
5. Sardaleasing s.p.a.	1.627	1.627	-

For consolidation purposes, we used the consolidation of the sub-holding company Banco di Sardegna and its subsidiaries. The dividends relate to profit for 2015 that was distributed in the first half of 2016.

Key:

(1) Voting rights at Ordinary Shareholders' Meeting.

3.2 Investments with significant minority interests: accounting information

Name	Total	Cash a equ	Finar	Propert equir int	Finar	Share	Net i	Net int ban
1. Banco di Sardegna s.p.a.	12,459,480	93,654	11,829,302	240,861	10,922,580	1,212,768	200,753	323,733
2. Cassa di Risparmio di Bra s.p.a.	1,269,431	6,719	1,210,211	13,640	1,187,754	62,649	23,342	37,227
3. Banca di Sassari s.p.a.	537,166	2	456,102	16,541	220,443	266,433	28,274	77,399
4. Emilia Romagna Factor s.p.a.	815,628	1	803,302	6,655	699,229	86,809	11,951	19,316
5. Sardaleasing s.p.a.	3,060,117	6	2,966,402	36,903	2,876,115	145,311	44,533	45,129

(cont.)

Name	Operating costs	Profit (Loss) from current operations before tax	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Net profit (loss) for the period(1)	Other elements of income, net of income taxes (2)	Compre-hensive income (3)= (1)+(2)
1. Banco di Sardegna s.p.a.	(266,918)	76,617	71,515	-	71,515	(7,056)	64,459
2. Cassa di Risparmio di Bra s.p.a.	(23,991)	(1,303)	864	-	(864)	166	(698)
3. Banca di Sassari s.p.a.	(52,174)	22,974	20,701	-	20,701	(18,540)	2,161
4. Emilia Romagna Factor s.p.a.	(9,103)	7,612	5,203	-	5,203	(53)	5,150
5. Sardaleasing s.p.a.	(15,516)	1,636	636	-	636	(982)	(346)

The amounts provided are before intercompany eliminations.
The economic and financial information refers to the situation at 31 December 2016.

4. Significant restrictions

At the banks and companies that make up the BPER Banca Group's scope of consolidation, there are no significant restrictions as foreseen by IFRS 12 § 13.

5. Other information

The line-by-line consolidation was carried out using the approved financial statements prepared at 31 December 2016 by the subsidiaries concerned. These financial statements have been prepared in accordance with IAS/IFRS by the individual banks and financial companies subject to Bank of Italy supervision, as well as by EMRO Finance Ireland ltd. All the other Group companies and BPER (Europe) International s.a. included within the new scope of consolidation normally prepare their financial statements under Italian accounting standards. These companies therefore prepared separate accounting schedules and data under the international accounting standards used for consolidation purposes.
The value of Group subsidiaries carried at equity was measured with reference to their accounting information prepared and approved at 31 December 2016.
Where available, the book figures at 31 December 2016 have been used to consolidate the other investments consolidated at net equity.

Section 4 – Subsequent events

These draft Consolidated financial statements were approved on 28 February 2017 by the Board of Directors of BPER Banca.
Reference is made to the detailed information provided in the "Significant subsequent events and outlook for operations" section of the Directors’ report on operations.

Section 5 – Other aspects

Amendments to accounting standards endorsed by the European Commission

As required by IAS 8, the following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 2016.

EC Approval Regulation	Title	In force from years beginning
28/2015	Improvements to IFRS - 2010-2012 Cycle The purpose of the annual improvements is to deal with necessary topics relating to inconsistencies in IFRSs or clarifications in terminology that are not particularly urgent, but that have been discussed by the IASB during the project cycle that began in 2011. In some cases, the changes are clarifications or corrections to these principles (IFRS 8, IAS 16, IAS 24 and IAS 38), in others, the changes involve amendments to existing regulations or provide additional information on how they are to be applied (IFRS 2 and 3).	1 January 2016
29/2015	EU Commission Regulation 2015/29 of 17 December 2014, published in the Official Journal L 5 of 9 January, adopts Amendments to IAS 19 - Defined Benefit Plans: Employee Contributions. The amendment to IAS 19 was necessary to facilitate, under certain conditions, the accounting for defined benefit plans that provide for contributions to be made by employees or third parties. If certain conditions are not complied with, recognition of these contributions is more complex, because they have to be allocated to each period of the plan by an actuarial calculation of the liability involved.	1 January 2016
2113/2015	EU Commission Regulation 2015/2113 of 23 November 2015, published in the Official Journal L 306 of 24 November 2015 adopts Amendments to IAS 16 - Property, Plant and Equipment and IAS 41 - Agriculture The amendment to IAS 16 was necessary because the IASB decided that plants that are used exclusively for the cultivation of agricultural products for various years, known as fruiting plants, should be subject to the same accounting treatment as property, plant and equipment.	1 January 2016
2173/2015	EU Commission Regulation 2015/2173 of 24 November 2015, published in the Official Journal L 307 of 25 November 2015 adopts Amendments to IFRS 11 - Joint Agreements. The amendment provides new guidance on accounting for acquisitions of interests in joint ventures that constitute a business.	1 January 2016
2231/2015	EU Commission Regulation 2015/2231 of 2 December 2015, published in the Official Journal L 317 of 3 December 2015 adopts Amendments to IAS 16 - Property, Plant and Equipment and IAS 38 - Intangible Assets The amendment was necessary to clarify which depreciation/amortisation methods should be used to calculate the asset's depreciation/amortisation.	1 January 2016

EC Approval Regulation	Title	In force from years beginning
2343/2015	EU Commission Regulation 2015/2343 of 15 December 2015, published in the Official Journal L 330 of 16 December 2015 adopts amendments on certain international accounting standards (Improvements to IFRSs 2012-2014) The amendments to IFRS 5, IFRS 7 and IFRS 1 form part of the normal rationalisation and clarification of international accounting standards.	1 January 2016
2406/2015	EU Commission Regulation 2015/2406 of 18 December 2015, published in the Official Journal L 333 of 19 December 2015 adopts Amendments to IAS 1 - Presentation of Financial Statements The amendments, entitled "Disclosure initiative", aim to submit to the professional judgement of the company the relevant and explanatory information to be provided to the market.	1 January 2016
2441/2015	EU Commission Regulation 2015/2406 of 18 December 2015, published in the Official Journal L 336 of 23 December 2015 adopts amendments to IAS 27 - Separate financial statements The amendments allow entities to apply the equity method, as described in IAS 28, to include investments in subsidiaries, associates and joint ventures in their Separate financial statements.	1 January 2016
1703/2016	EU Commission Regulation 2016/1703 of 22 September 2016, published in the Official Journal L 257 of 23 September 2016, adopts Amendments to IAS 28 - Investments in Associates and Joint Ventures, IFRS 10 - Consolidated financial statements and IFRS 12 - Disclosure of interests in other entities. The changes are intended to clarify the requirements for accounting for investment entities and to provide for exemptions in certain situations.	1 January 2016

None of these updates has produced particular effects on the Group financial statements.
The following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 1 January 2017 or later date (if the financial statements do not coincide with the calendar year). The Group has decided not to take advantage of the possibility of early implementation.

EC Approval Regulation	Title	In force from years beginning
1905/2016	EU Commission Regulation 2016/1905 of 22 September 2016, published in the Official Journal L 295 of 29 October 2016, endorsed IFRS 15 Revenue from contracts with customers, the objective of which is to improve financial reporting about revenue and, thus, the comparability of reported revenue.	1 January 2018
2067/2016	EU Commission Regulation 2016/2067 of 22 November 2016, published in the Official Journal L 323 of 29 November 2016, endorsed IFRS 9 Financial instruments, the objective of which is to improve financial reporting about financial instruments by addressing relevant issues that arose during the financial crisis. In particular, IFRS 9 responds to the G20's call to move to a more forward-looking model for the recognition of expected losses on financial assets.	1 January 2018

Please refer to the Directors' Report on Group operations for information on IFRS 9.

Documents of the Supervisory Authority

Bank of Italy

The Supervisory Authority did not issue any new rules or instructions regarding the financial statements.

The Bank of Italy issued instructions concerning:

- setting the ratio for the Countercyclical Capital Buffer (CCyB) equal to 0% (updated on a quarterly basis).
- communication with guidance on accounting recognition methods and supervisory regulatory reporting of contributions paid to the Single Resolution Fund, already adopted at the time of preparing the 2015 financial statements.
- various updates to circulars on supervisory regulations:
  - Circular 272 "Accounts Matrix" (8th update): in particular, the structure of the information requested in section III, under EU Regulation 2015/534 of 17/3/2015, was revised;
  - Circular 285 "Supervisory Instructions for Banks" (16th, 17th and 18th updates): the first two updates referred to security systems for internet payments and the System of internal controls. The 18th update referred to the change in the capital conservation buffer requirement (CCB), for which transitional arrangements are adopted, revising the original decision to bring forward full application of the CCB.
  - Circular 286 "Instructions for prudential reporting by supervised entities" (8th update): in particular, the information required with the new disclosure schemes enrich the information framework available to the Supervisory Authorities for a more thorough evaluation of the various components of the leverage ratio;
  - Circular 154 "Supervisory reports by banks and financial institutions - data collection schemes and submission of information flows" (63rd update): this update involved, among other things, a change in Volume II of the circular in question, concerning "Data collection schemes and coding system";
  - Circular 262 “Banks' financial statements: layout and preparation" (draft of 5th update): this update incorporates changes introduced by standards that will take effect as of 1 January 2018;
- TLTRO II: dissemination of operational procedures and reporting instructions.
- new reporting of non-performing loans: in the market environment in which intermediaries currently have to work, it has become a priority to improve the management of anomalous items. The availability of detailed data on non-performing loans has therefore gained great importance, particularly those considered bad loans, as well as on the guarantees that secure them and the status of pending recovery procedures. a view of the limited availability of such data at a computerised level, particularly marked for exposures managed by legal departments, the Bank of Italy has introduced a specific statistical survey on non-performing loans, through which it intends to collect detailed information on these exposures, any secured collateral or other types of guarantees that lower credit risk and the status of recovery procedures. The new survey was produced for the first time by 25 September 2016 with 31 December 2015 as the reference date.

With reference to the CRR Regulation, the following were issued during 2016:

- Implementing regulations by the European Commission (2016/200/EU, 2016/428/EU, 2016/892/EU) concerning the prudential supervisory reports of banks, with particular reference to the information on the leverage ratio of institutions and the extension of the transitional periods relating to the Own Funds requirements for exposures to central counterparties.

- EU Regulation 2016/445 of the European Central Bank (ECB) of 14 March 2016 on the exercise of the options and discretion powers foreseen for in EU regulations (ECB/2016/4).
- EU Implementing Regulation 2016/1702 of 18 August 2016. The Regulation lays down the obligations in relation to reports that entities are required to make for the purposes of compliance with CRR and provides additional explanations of the models, instructions and definitions used by the entities for the purpose of regulatory reporting, in addition to updating and replacing the various forms in the attachments to the legislative measure.

Document issued jointly by the Bank of Italy, CONSOB and IVASS on the recognition of default interest pursuant to Legislative Decree 231/2002 concerning performing loans purchased outright.

The document, which was issued on 9 November 2016, was needed to address the above topic, which is not expressly covered by IAS 39.

A reliable estimation of the portion of the interest deemed to be recoverable at the time of purchase of the loans should be immediately included in expected cash flows and should be recognised on an accrual basis (based on its maturity).

In the absence of a reliable estimate, the default interest should be recognised on a cash basis (based on actual receipts).

Domestic tax group election

Commencing from 2007, BPER Banca has elected to establish a domestic tax group, which was introduced by Legislative Decree 344/2003 and subsequent amendments and is governed by arts. 117-129 of the Consolidated Income Tax Law.

Under this optional arrangement, which is binding for three years, the subordinate members transfer their results to the parent, for fiscal purposes only, which then calculates the consolidated taxable income or tax loss.

The effects of the tax consolidation are reported in the "*Other assets - due from members of the tax group*" caption, as the matching entry for the IRES provisions classified as "*Current tax liabilities*" by the above group companies, gross of withholdings and the advances paid.

The "*Other liabilities - due to members of the tax group*" caption represents the matching entry for the IRES advances withheld from and paid by the above group companies, which are classified as "*Current tax assets*" following their transfer to the consolidating company.

The option exercised by Banco di Sardegna, Optima SIM and BPER Trust Company was due to expire at the end of the 2016 tax year, but was duly renewed by 30 September 2016 upon filing their tax returns.

Consolidated companies	2014	2015	2016	2017	2018
Banca di Sassari s.p.a.		X	X	X	
Banco di Sardegna s.p.a.			X	X	X
Cassa di Risparmio di Bra s.p.a.	X	X	X		
Optima s.p.a. SIM			X	X	X
Emilia Romagna Factor s.p.a.	X	X	X		
Sardaleasing s.p.a.		X	X	X	
BPER Trust Company s.p.a.			X	X	X

Audit

The Consolidated financial statements are audited, as required by Legislative Decree 58 dated 24 February 1998, by PricewaterhouseCoopers s.p.a. which was appointed for the period 2008-2016 at the Shareholders' Meeting held on 10 May 2008.
Due to the fact that the above audit appointment was coming to an end, the Parent Company BPER Banca initiated the process required by EU regulations that became effective as from mid-2016 and, on 26 November 2016, the Ordinary Shareholders' Meeting approved the appointment of Deloitte & Touche s.p.a. as auditors for the period 2017-2025, as well as their remuneration.

A.2 - Main captions in the financial statements

1 - Financial assets held for trading

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while derivative contracts are recognised on the date of signature.

In particular, any changes in the fair value of the asset to be received between the settlement date and the earlier arrangement date are recognised at the time of settlement, in the same way in which the asset acquired is recorded.

After initial recognition, financial assets held for trading are measured at their fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, without considering any related costs or income attributable to them, which are recorded directly in the income statement.

Embedded derivatives (instruments whose characteristics satisfy the definition of a "derivative") embedded in but not closely correlated with hybrid financial instruments, and classified in financial asset or liability categories other than assets or liabilities measured at fair value, are separated from the host contract, reclassified to this category and measured at fair value. The related host contract is measured on the basis applicable to the category in which it is classified.

Classification

The Group classifies as "*Financial assets held for trading*" those financial instruments that are held with a view to generating short-term profits deriving from variations in their prices. This category includes the derivative instruments that are not held for hedging purposes.

Measurement

After initial recognition, financial assets held for trading are measured at their fair value. If the fair value of a financial asset becomes negative, it is accounted for as a financial liability.

The VaR techniques used to determine fair value are described in point 21 within this part of the Explanatory notes.

As an exception, if the fair value of equity instruments and the related derivatives cannot be reliably determined using the above guidelines, they are valued at cost.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

If the Group sells a financial asset classified in its own trading portfolio, it derecognises the asset on the date it is transferred (the settlement date).

Securities received as part of a transaction that contractually provides for their subsequent sale and securities delivered as part of a transaction that contractually provides for their repurchase are not recorded or eliminated from the financial statements.

Recognition of components affecting the income statement

The positive elements of income comprising interest on securities and similar revenues, as well as the differentials and margins from derivative contracts classified as financial assets held for trading, but operationally linked with the financial assets and liabilities measured at fair value (under the fair value option), are recorded in the interest captions of the income statement on an accruals basis.

The differentials and margins from other derivative contracts classified in the trading portfolio are recorded as "*Net trading income*".

Gains and losses realized on sale or redemption and unrealised gains and losses deriving from changes in the fair value of the trading portfolio are classified as *"Net trading income"*, except for amounts relating to derivative contracts that are operationally linked to assets or liabilities measured at fair value, which are classified as *"Net results on financial assets and liabilities designated at fair value"*.

2 - Financial assets available for sale

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while loans are recognised on the payout date.

Financial assets available for sale are initially recorded at fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, including any directly-attributable transaction costs or income. Assets reclassified from *"Financial assets held to maturity"* are recognised at their fair value at the time of transfer.

Classification

This category comprises the financial assets, other than derivatives, that have not been classified in the other categories envisaged by IAS 39 and do not represent interests in subsidiaries, joint ventures or associates.

Measurement

Subsequent to initial recognition, assets available for sale continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the Explanatory notes.

As an exception, if the fair value of equity instruments cannot be determined reliably, they are valued at cost.

An impairment test is performed at each reporting date to check if there is any objective evidence of a reduction in value.

If subsequently the reasons for impairment cease to apply, the amounts concerned are written back without causing the value of the asset to exceed the amortised cost that would have been reported in the absence of earlier adjustments.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

Recognition of components affecting the income statement

The return on financial instruments, determined using the effective interest method ("amortised cost" basis), is recognised as income on an accruals basis, while gains or losses deriving from changes in fair value are recorded in a specific "equity reserve" until the financial asset is derecognised or a loss in value is recorded. The corresponding amount is included in the statement of comprehensive income.

Dividends are recognised when the right to collect them is established.

On derecognition or when a loss in value is recorded, the accumulated gains or losses are released from the related reserves to the income statement as, respectively, "*Gains/losses on disposal or repurchase*" or

"*Net impairment adjustments*". If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back to the income statement, if they relate to loans or debt securities, and to shareholders' equity if equity instruments are concerned.

3 - Financial assets held to maturity

Recognition

Financial assets are initially recognised on the settlement date. At the time of initial recognition, the financial assets classified in this category are recorded at their fair value, including any directly-attributable costs and revenues.
If transferred to this category from "*Assets available for sale*", the fair value of the financial assets at the time of transfer is taken to be their new amortised cost.

Classification

This category is used to record the debt instruments with payments that are fixed or determinable at fixed intervals which the Bank intends and is able to retain until they mature.
Investments are reclassified as "*Financial assets held for sale*" if the intention or ability to retain them changes and it is no longer appropriate to classify them in this category. In the case of not-insignificant sales or reclassifications of investments held to maturity (part of a portfolio of financial assets held to maturity) that do not meet any of the conditions set out in paragraph 9 of IAS 39, any residual investment held to maturity is reclassified as a "*Financial asset available for sale*".

Measurement

Subsequent to initial recognition, "*Financial assets held to maturity*" are measured at amortised cost.
An impairment test is performed at each reporting date to check if there is any objective evidence of a reduction in value. In the event of impairment, the amount of the loss is measured as the difference between the book value of the assets and the present value of the estimated recoverable cash flows, discounted using the original effective interest rate.
If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back. The carrying amount after the writeback does not exceed the amortised cost that would have been recognised had the impairment losses not been recorded.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows, or when they are sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

The positive elements of income comprising interest and similar income are recorded in the interest captions of the income statement, on an accruals basis, using the effective interest method.
Gains and losses on assets held to maturity are recorded in the income statement when the assets are derecognised or suffer a loss in value.
Any write-downs in value are charged to the *"Net impairment adjustments"* caption of the income statement. If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back to the income statement.

4 - Loans

Recognition

Loans are initially recognised on the payout date or, in the case of debt securities, on the settlement date, with reference to the fair value of the financial instrument concerned. This is represented by the amount paid out, or the subscription price, including costs/revenues that are both directly attributable to the individual loans and identifiable from the start of the transaction, even if they are settled at a later time. Costs with the above characteristics are excluded if they are reimbursable by the borrower or represent routine internal administrative costs.

Agreements involving the forward repurchase or resale of securities are recorded in the financial statements as funding or lending transactions. In particular, spot sales with forward repurchases are recorded as a payable for the spot amount collected, while spot purchases with forward resales are recorded as a loan for the spot amount paid.

Classification

Loans form part of the broadest category of financial instruments and consist of relationships under which the Bank has a right to the cash flows deriving from the loan.

This caption includes loans to customers and deposits with banks, either made directly or acquired from third parties and not listed on active markets, which involve payments that are either fixed or determinable.

The loans caption also includes loans, repurchase agreements and finance leases (which are accounted for under the "financial method", in accordance with IAS 17). The amount shown on the assets side of the lessor's balance sheet reflects the value of the loan granted, net of the principal portions of the lease instalments that have fallen due and been paid by the lessee. The income statement includes the interest income and the securities subscribed for at the time of issue or private placement and not listed on active markets, with payments that are fixed or determinable.

Measurement

After initial recognition, loans are valued at their amortised cost, corresponding to the initially recognised amount less principal repayments, net impairment adjustments and amortisation - calculated using the effective interest method – of the difference between the amount paid out and the amount repayable on maturity, which is generally attributable to the costs/income directly allocated to the individual loans.

The effective interest rate is the rate that discounts the flow of estimated payments over the expected duration of the loan back to its initial net book value, inclusive of directly-related costs and revenues. In financial terms, this method of recognition distributes the economic effect of these costs and revenues over the expected residual life of the loan.

The amortised cost method is not used in relation to short-term loans (up to 12 months), since the effect of discounting would be negligible. These loans are stated at historical cost.

Costs and revenues relating to loans without a fixed term or repayable on demand are recorded directly in the income statement.

Loans are assessed at the end of each accounting period to identify any objective evidence, arising from events subsequent to initial recognition, that their value may be impaired. This includes positions classified as non-performing, "unlikely to pay" and past due loans in compliance with current Bank of Italy regulations, which are consistent with IAS/IFRS.

The amount of the adjustment of each balance is equal to the difference between its carrying value at the time of measurement (amortised cost) and the present value of expected future cash flows.
The estimate of expected cash flows comes from assessing analytically the position of bad loans for "unlikely to pay" loans with exposures above the thresholds set by internal procedures. For "unlikely to pay" loans with exposures above the thresholds set by in internal procedures and past due loans, expected cash flows are calculated using a forfeit approach, based on the operational version of LGD.
The adjustments are recorded in the income statement.
The original value of loans is reinstated in subsequent periods, to the extent that the reasons for the adjustments made cease to apply, on condition that this assessment is objectively linked with events that took place subsequent such adjustments.
The reversal of the impairment loss may not exceed the amortised cost of the loan had the impairment not been recognised in the past.
Loans and advances, for which no impairment was identified on an individual basis, have been subjected to measurement as a whole, to estimate the implicit risk component.
This assessment is made on a case-by-case basis with reference to the risk parameters (Probability of Default – PD, and Loss Given Default – LGD) generated by the internal models. Any additional write-downs or write-backs are determined separately at the end of each reporting period, with reference to the entire portfolio of performing loans as of that date.

Derecognition

Loans sold are only derecognised if the disposal involved the transfer of essentially all the risks and benefits associated with the loan. Conversely, if the risks and benefits relating to loans that have been sold are retained, these continue to be reported as assets in the balance sheet, even if legal ownership of the loans has been effectively transferred.
Even if the transfer of essentially all the risks and benefits cannot be demonstrated, loans are derecognised if no form of control over them has been retained. By contrast, the partial or total retention of such control means that the related loans are reported in the balance sheet to the extent of the residual involvement, as measured by the exposure to changes in the value of the loans sold and to changes in their cash flows.
Lastly, loans sold are derecognised, despite retention of the contractual rights to collect the related cash flows, if there is a parallel commitment to pay all such flows and only these to third parties.

Recognition of components affecting the income statement

The positive elements of income comprising interest and similar income are recorded in the interest captions of the income statement, on an accruals basis, using the effective interest method. Default interest, which may be provided by contract, is recognised in the income statement only when actually collected.
The costs/revenues attributable to short-term loans, as defined above, are recorded directly in the income statement.
Write-downs and any write-backs are recorded in the *"Net impairment adjustments to loans"* caption of the income statement.
Profits and losses from the sale of loans are classified in the "*Gains/losses on disposal or repurchase* " caption.

Securitised loans

In accordance with the applicable product breakdown, loans also include securitisation loans (after 1 January 2004) that do not satisfy the IAS 39 requirements for derecognition (see paragraph 24 – Derecognition of financial assets).

The corresponding amounts received for the sale of securitised loans, net of the securities issued and other forms of credit support that may be held in portfolio (retained risk), are recognised in liability caption *"Due to banks"* and *"Due to customers"*.

Both assets and liabilities are measured at amortised cost and the interest is recorded in the income statement. In the event of losses due to impairment of securitised assets that have not been subject to derecognition from the financial statements, such losses are recorded in income statement caption *"Net impairment adjustments to loans"*.

5 - Financial assets designated at fair value through profit and loss

Recognition

These financial assets are initially recognised on the settlement date.

On initial recognition, these financial assets are recorded at their fair value, as represented - unless specified differently - by the consideration paid for the transaction without considering the costs or revenues attributable to the instrument, which are recorded directly in the income statement.

Classification

"Financial assets designated at fair value through profit and loss" include the financial assets, not held for trading, that meet at least one of the following criteria:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of assets managed together whose performance is measured at fair value, as part of a documented risk-management strategy;
- they contain separable embedded derivatives.

Measurement

Subsequent to initial recognition, financial assets continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the Explanatory notes.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

If the Group sells a financial asset at fair value, it derecognises the asset on the date it is transferred (the settlement date).

Securities received as part of a transaction that contractually provides for their subsequent sale and securities delivered as part of a transaction that contractually provides for their repurchase are not recorded or eliminated from the financial statements.

Recognition of components affecting the income statement

The positive elements of income represented by interest income are recorded in the interest captions of the income statement on an accruals basis.

Gains and losses realized on sale or redemption and unrealized gains and losses deriving from changes in the fair value of the portfolio are classified in the *"Net results on financial assets and liabilities at designated at fair value through profit and loss"* caption.

6 - Hedging derivatives

Recognition

Hedges are arranged to neutralise losses that may be incurred in relation to a given element or group of elements, as a consequence of a given risk, via profits that would be earned on another element or group of elements should that particular risk crystallise. There are two types of hedge:

- fair value hedges: arranged to hedge the exposure to changes in the fair value of a balance sheet caption;
- cash flow hedges: arranged to hedge the exposure to changes in future cash flows attributable to specific balance sheet captions.

Classification

Financial instruments are designated as hedges when the relationship between the hedged and the hedging instrument is adequately documented and formalised, if the hedge is effective both at the start and prospectively throughout its life.

Measurement

Hedging derivatives are measured at their fair value.
Specific tests are performed to verify the effectiveness of hedging transactions. The effectiveness of a hedge depends on the extent to which changes in the fair value of the hedged instrument, caused by changes in the risk factor addressed by the hedge, are offset by changes in the value of the hedging instrument. In order to be effective, the hedge must be made with a counterparty outside the Group.
The method of accounting for the gains and losses deriving from changes in fair value depends on the type of hedge:

- fair value hedge: the change in the fair value of the hedged element representing the hedged risk is recognised in the income statement, together with the change in the fair value of the derivative instrument; any difference, which represents the ineffective portion of the hedge, determines the consequent net economic effect.
- cash-flow hedge: to the extent that the hedge is effective, changes in the fair value of the derivative are recognised in shareholders' equity; they are only recognised in the income statement when changes in the cash flows from the hedged item need to be offset, or when the hedge becomes ineffective.

Effectiveness is established when changes in the fair value of (or cash flows from) the hedging instrument, caused by the hedged risk factor, almost entirely offset those of the hedged instrument (the percentage limits fall in the range from 80% to 125%).
Effectiveness is checked each month for operational purposes and on every official reporting date for accounting purposes, using:

- prospective tests that justify the application of hedge accounting, by demonstrating the expected effectiveness of the hedge;
- retrospective tests that show the effectiveness of the hedge during the period under review. In other words, they measure by how the actual results differ from the "perfect" hedge.

Derecognition

If transactions do not meet the effectiveness test, hedge accounting - as described above - is terminated and the derivative contract is reclassified as an instrument held for trading, with recognition of the related impacts in the income statement. Hedge accounting is also terminated in the following situations:

- the hedged item is sold and redeemed;
- the hedging transaction is revoked prior to the expiry date;
- the hedging instrument expires, is sold, terminated or exercised.

Recognition of components affecting the income statement

Income elements are allocated to the relevant income statement captions on the following basis:

- differentials earned on derivatives that hedge interest-rate risk (and the interest on the hedged positions) are allocated to the "*Interest and similar income*" or "*Interest and similar expense*" captions;
- capital gains and losses deriving from the measurement of hedging instruments and the positions covered by fair value hedges are allocated to the *"Net hedging gains (losses)"* caption;
- capital gains and losses deriving from measurement of the effective part of "cash flow hedges" are allocated to a special *equity reserve "Cash flow hedges",* net of the related deferred tax effect. Gains and losses relating to the ineffective part of such hedges are recorded in the "*Net hedging gains (losses)*" caption of the income statement.

7 - Equity investments

Recognition

Equity investments are recognised on the settlement date. Equity investments are recorded at cost on initial recognition, including any costs and revenues directly attributable to the transaction.

Classification

This caption includes:

- associates carried under the equity method, adjusting the initial cost of recognition for changes in net equity, including gains and losses realised by the associated company; companies in which at least 20% of the Voting rights are held and those where the size of the investment guarantees influence over governance are considered associates;
- jointly controlled companies, which are also accounted for under the equity method;
- other investments with a low value, which are carried at cost.

Measurement

Under IAS 28 and IFRS 11, equity investments in subsidiaries, joint ventures and associated companies can be carried at cost in the Separate financial statements, or at fair value pursuant to IAS 39. The Group has measured them at cost; on consolidation, they are valued under the equity method. Any difference between the cost incurred and the share of interest in the fair value of the net identifiable assets of the investment is recorded in a way similar to the provisions of IFRS 3 "Business Combinations".

If there is evidence that an investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment.

If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement.
If the reasons for making the impairment adjustment cease to apply as a result of an event subsequent to the write-down, the related write-back is credited to the income statement without exceeding the amount of the write-down previously recorded.
The Parent Company's share of any losses of the investee, exceeding the book value of the investment, is recorded in a specific reserve to the extent that the company is required to fulfil legal or implicit obligations of the investee, or, in any case, to cover its losses.

Derecognition

Equity investments are derecognised on expiry of the contractual rights over the related cash flows or when the investment is sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

Dividends are recorded in the *"Dividends and similar income"* caption when the right to collection is established; dividends received are recognised in the Consolidated financial statements by deducting them from the carrying amount of the relevant investment.
Any write-downs/write-backs relating to the impairment of equity investments and gains or losses on the disposal of equity investments are recorded in the *"Profit (loss) from equity investments"* caption.

8 - Property, plant and equipment

Recognition

Property, plant and equipment are initially recorded at purchase price, including all directly statements attributable costs of purchasing and bringing the asset to working condition.
Expenditure on improvements that will generate future economic benefits is added to the value of the assets concerned, while routine maintenance costs are charged to the income statement.

Classification

Property, plant and equipment comprise land, property used for operating purposes, installations, furniture, furnishings and all types of equipment.
These are tangible assets that will be used for more than one accounting period and which are held for use in the production of business or the supply of goods and services, for rental to third parties or for administrative purposes.
This caption also includes assets held under finance lease contracts, even though the lessor remains the legal owner.

Measurement

Property, plant and equipment, including investment property, are carried at cost less accumulated depreciation and any accumulated impairment losses.

Property, plant and equipment are systematically depreciated over their useful lives[47], on a straight-line basis, except for:

- land acquired separately or included in the value of property, since it has an indefinite useful life. The value of land included in property is deemed to be separable from the value of buildings; the allocation of value between land and buildings is based on independent appraisals carried out solely in relating to free-standing buildings;
- works of art, since the useful life of a work of art cannot be estimated and its value normally appreciates over time.

If there is any evidence at a reporting date that the value of an asset may be impaired, its carrying value is compared with its recoverable value, being its fair value net of any selling costs or its value in use, as represented by the present value of the cash flows generated by the asset, whichever is greater.
Any adjustments are recorded in the income statement.
If the reasons for recognising an impairment loss cease to apply, the loss can be written back but without exceeding the carrying value that the asset would have had (net of depreciation) if no impairment losses had been recognised in prior years.

Derecognition

Property, plant and equipment are derecognised on disposal, or when the assets concerned are permanently taken out of use and no further economic benefits are expected from their disposal.

Recognition of components affecting the income statement

Both the depreciation determined on a straight-line basis and any net impairment adjustments are recorded in the "*Net adjustments to property, plant and equipment*" caption of the income statement.
Disposal gains and losses are however recorded in the "*Gains (losses) on disposal of investments*" caption.

9 - Intangible assets

Recognition

Intangible assets other than goodwill are initially recognised at cost, as represented by the purchase price paid plus any directly-related costs incurred to obtain use of the assets concerned.
Goodwill may be recognised as an intangible asset when the positive difference between the acquisition cost of an equity interest (including related charges) and the fair value of the net assets acquired, including those identified as part of the Purchase Price Allocation (PPA), is representative of the investee's ability to generate income in the future (goodwill).
If the difference is negative (badwill) or the goodwill is not justified by the investee's ability to generate income in the future, the difference is recognised in the income statement.

Classification

Intangible assets are identifiable, non-monetary assets without physical form that are expected to generate economic benefits.

[47] *The relevant section of the Explanatory notes, Part B, includes a table with the useful life of the main fixed asset categories.*

The qualifying characteristics of intangible assets are:

- identifiability;
- control over the resources concerned;
- expectation of economic benefits.

In the absence of any one of the above characteristics, the acquisition or internal production costs are expensed in the year incurred.
Goodwill is represented by the difference between the acquisition cost of an equity investment and the fair value, at the acquisition date, of the assets and other balance sheet items acquired.
Other intangible assets are recognised if they are identifiable and reflect legal or contractual rights.

Measurement

An intangible asset with an indefinite useful life, such as goodwill, is not amortised, but is tested periodically for impairment. An impairment test is performed annually, or whenever there is an indication of impairment. In the case of goodwill, the cash generating unit (CGU) to which it has been allocated is tested for impairment. If the carrying amount of the CGU, inclusive of goodwill, exceeds its recoverable amount, an impairment loss is recognised up to the amount of the goodwill recorded. The recoverable amount is the higher of the cash-generating unit's fair value, net of any selling costs, or its related value in use. Any resulting impairment loss is recognised in the income statement and the reversal thereof is prohibited.
In contrast to the treatment of goodwill, the cost of intangible assets with a finite useful life is amortised on a straight-line basis or by use of the reducing balance method based on the flow of economic benefits expected from the asset. If there is any evidence of impairment, it is envisaged that an asset would be assessed for impairment by comparing its fair value to its carrying amount.
An estimate of recoverable value is made if there is any evidence of asset impairment at the reporting date. The impairment loss, expensed to income, is the difference between the carrying value of an asset and its recoverable amount, if the latter is lower.

Derecognition

Intangible assets are derecognised on retirement and when no further economic benefits are expected.

Recognition of components affecting the income statement

Both the amortisation charge and any net impairment adjustments to intangible assets other than goodwill are recorded in the "*Net adjustments to intangible assets*" caption of the income statement.
Disposal gains and losses are however recorded in the "*Gains (losses) on disposal of investments*" caption.
Adjustments to the value of goodwill are recorded in the "*Goodwill impairment*" caption.

10 - Non-current assets and disposal groups held for sale

Recognition and classification

Non-current assets and groups of assets/liabilities subject to a disposal process are classified in asset caption 150 "*Non-current assets and disposal groups held for sale*" and liability caption 90 "*Liabilities associated with non-current assets held for sale*", when such sale is deemed to be highly likely.

Measurement

These assets and liabilities are measured at the lower of their carrying value, determined in accordance with IFRS, or their fair value, less costs to sell.

Recognition of components affecting the income statement

Income and charges (net of tax effect) relating to discontinued operations are classified in the "*Net profit/loss from non-current assets and disposal groups held for sale*" caption of the income statement.

11 - Current and deferred taxation

Recognition and classification

Current taxation comprises the net balance of income tax payable for the year and the current tax receivable due from the tax authorities consisting of advances and other withholding tax credits or other tax credits recoverable by future offset.

Current tax assets also include tax credits for which a request for reimbursement has been made to the tax authorities.

Deferred tax assets and liabilities are calculated on temporary differences between the carrying amounts and the corresponding amounts recognised for tax purposes, applying the tax rate in force on the date on which the temporary difference will reverse, determined on the basis of the tax rates that are foreseeable under current rules at the reporting date.

Measurement

Deferred tax assets, representing the future tax benefit deriving from deductible temporary differences and tax losses carried forward, are recognised to the extent that their recovery is highly likely.

Deferred tax assets not recognised in the financial statements are re-analysed at each balance sheet date and recognised to the extent that it is now probable that there will be sufficient taxable income in the future to recover the deferred tax asset.

The Group recognises the effects of current and deferred taxation by applying, respectively, the current tax rates and the theoretical tax rates in force when the related temporary differences "reverse".

The provision for tax liabilities also takes account any charges that might derive from assessments received or outstanding disputes with the tax authorities.

Recognition of components affecting the income statement

Changes in tax assets and liabilities are normally recorded in the *"Income taxes on current operations"* caption.

As an exception, those deriving from transactions recognised directly in equity are treated in the same way, and those deriving from business combinations are included in the calculation of goodwill.

12 - Provisions for risks and charges

Recognition

The provisions for risks and charges cover liabilities whose timing and extent are uncertain, when all the following conditions are met:

- a current obligation exists at the balance sheet date, deriving from a past event. The origin of the obligation must either be legal (deriving from a contract, regulation or the provisions of law) or implicit (arising when the business causes third parties to expect that commitments will be met, even if these do not fall into the category of legal obligations);
- a financial outflow is likely;
- the extent of the obligation can be estimated reliably.

For liabilities that are merely potential and not likely, no provision has been made, but information is provided in the Directors' report on Group Operations in the section "*Principal risks and uncertainties*".

Classification

This caption includes the provisions relating to long-term benefits and post-employment benefits governed by IAS 19, discussed in point 17 below, and the "*Provisions for risks and charges"* governed by IAS 37.

Measurement

Where the time element is significant, the provisions are discounted using current market rates. Provisions are charged to the income statement.

Recognition of components affecting the income statement

Provisions for risks and charges and the related write-backs, including the effects of the passage of time, are classified in the *"Net provisions for risks and charges"* caption.
Provisions are made on the basis of the best estimate of the amount that the company would reasonably pay to settle the obligation or to transfer it to third parties at the balance sheet date. When the financial effect of time is significant and the payment dates of obligations can be reliably estimated, the provision is calculated by discounting the expected future cash flows taking into account the risks associated with the obligation; the increase in the provision due to the passage of time is recognised in the income statement.

13 - Debts and debt securities in issue

Recognition

The initial recognition of these financial liabilities takes place on receipt of the amounts collected or on issue of the debt securities.
These liabilities are initially recognised at their fair value, usually corresponding to the amount collected or the issue price, plus any additional costs/proceeds directly attributable to the individual funding transaction or issue that are not reimbursed by the creditor. This does not include internal administrative costs.
Structured instruments are considered to include compound debt instruments linked to equities, foreign currencies, credit instruments or indices. If such instruments are not classified as Financial Liabilities designated at fair value through profit and loss, the embedded derivative is separated from the primary contract and represents a "derivative" in its own right, if the separation criteria are satisfied. The embedded derivative is recorded at its fair value, while the value of the primary contract represents the difference between the total amount collected and the fair value of the embedded derivative.

The instruments convertible into shares in the Bank involves the recognition, on the issue date, of both a financial liability and an equity element. In particular, the value of a financial liability with the same cash flows but without conversion rights is deducted from the overall value of the instrument. The residual value is then attributed to the equity element of the convertible bond.

Classification

"Due to banks", *"Due to customers"* and *"Debt securities in issue"* comprise the various forms of interbank and customer funding. These captions also include liabilities recognised by the lessee under finance leases, as well as funding through certificates of deposit and debt securities in issue, net of any repurchases, not classified as *"Financial liabilities designated at fair value through profit and loss"*.

Measurement

Following initial recognition, financial liabilities are valued at amortised cost.
As an exception, short-term liabilities (up to 12 months) are measured at the amount collected and any costs are charged to the income statement, since the effect of the time factor is insignificant.
Any separated embedded derivatives are measured at fair value and the related changes are recorded in the income statement.

Derecognition

Financial liabilities are derecognised when they expire or are settled.
The repurchase of debt securities in issue in prior periods results in their derecognition.
The difference between the carrying amount of the liability and the amount paid to repurchase it is recorded in the income statement.
The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest and similar expense are recorded in the interest captions of the income statement on an accruals basis, using the effective interest method.
Costs/revenues relating to short-term payables are recorded directly in the income statement.
The difference between the book value of a liability and the amount paid to settle it is recorded in the "*Gains/losses on disposal/repurchase*".

14 - Financial liabilities held for trading

Recognition

The criteria applied for the recognition of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Classification

This caption includes the negative fair value adjustment of trading derivatives and the fair value of the liabilities deriving from "technical shorts" generated by trading in securities.

Measurement

The criteria applied for the measurement of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Derecognition

The criteria applied for the derecognition of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Recognition of components affecting the income statement

The criteria applied for the recognition of income components of financial assets held for trading (see Section 1 above) are adopted with suitable modifications.

15 - Financial liabilities designated at fair value through profit and loss

Recognition

These liabilities are initially recognised at fair value, net of transaction costs or revenues.

Classification

This caption includes the financial liabilities to be measured at fair value through the income statement, if one of the following conditions are met:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of liabilities managed together whose performance is measured at fair value, as part of a documented risk-management strategy;
- they contain separable embedded derivatives.

Measurement

Subsequent to initial recognition, financial liabilities continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in these Explanatory notes.

Derecognition

Financial liabilities designated at fair value through profit and loss are derecognised when they expire or are settled.

The repurchase of debt securities in issue in prior periods results in their derecognition.

The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest are recorded in the interest captions of the income statement on an accruals basis.

The results of measurement are recorded in the "*Net result on financial assets and liabilities designated at fair value*" caption, together with the profits and losses arising on settlement.

16 - Currency transactions

Recognition

On initial recognition, foreign currency transactions are recorded in the reporting currency, by translating the foreign currency amounts using the exchange rates prevailing on the transaction dates.

Measurement

At each reporting date, the amounts originally denominated in a foreign currency are measured as follows:

- monetary items are translated using the closing rate for the period;
- non-monetary items carried at historical cost are translated using the exchange rate on the date of the transaction;
- non-monetary items carried at fair value are translated using the closing rate for the period.

Classification

These comprise all assets and liabilities not denominated in euro.

Derecognition

The criteria applying to the balance sheet captions concerned are used. The exchange rate applying on the settlement date is used.

Recognition of components affecting the income statement

Exchange differences deriving from the settlement of monetary items or from the translation of monetary items using rates other than the initial translation rate, or the closing rate at the end of prior periods, are recorded in the income statement for the period in which they arise.

When gains or losses relating to a non-monetary item are recorded in shareholders' equity, the related exchange differences are also recorded in shareholders' equity. Conversely, when gains or losses are recorded in the income statement, the related exchange differences are also recorded in the income statement.

17 - Employee benefits

Classification

Employee benefits, excluding short-term amounts such as wages and salaries, comprise:

- post - employment benefits;
- other long-term benefits.

Post-employment benefits are, in turn, sub-divided into defined-contribution plans and defined benefit plans, depending on the nature of the benefits envisaged:

- under defined contribution plans, the employer makes fixed contributions and has no legal or constructive obligation to make further contributions if the fund does not hold sufficient assets to pay all employee benefits;
- defined benefit plans are all post-employment benefit plans other than defined contribution plans.

Pursuant to Law 296 dated 27 December 2006 (2007 Finance Law):

- the TFR earned from 1 January 2007 by is deemed to be a defined contributions plan for which no actuarial calculations are required;
- the TFR already earned at the dates indicated above, on the other hand, continues to be treated as a defined benefits plan, although such benefits have already been fully earned. As a consequence, the actuarial value of the liability must be redetermined at every accounting date subsequent to 31 December 2006.

Other long-term benefits comprise employee benefits that are not due entirely within twelve months of the end of the year in which employees accumulated their right to them.

Recognition and measurement

The value of a defined-benefit obligation is represented by the present value of the future payments necessary to settle the obligations deriving from work performed by employees in the current and prior years.

This present value is determined using the "Projected Unit Credit Method".

The employee benefits included as other long-term benefits, such as long-service bonuses that are paid on reaching a pre-determined level of seniority, are recorded for an amount determined at the reporting date using the "Projected Unit Credit Method".

The provision for termination indemnities is recorded as a separate liability, while the other post-employment benefits and long-term benefits are recorded among the provisions for risks and charges.

Recognition of components affecting the income statement

Service costs are recorded as payroll costs, together with the related accrued interest.

Actuarial gains and losses (remeasurements) relating to post-employment, defined benefit plans are recorded in shareholders' equity in the year they are identified. These actuarial gains and losses are reported in the "Statement of comprehensive income", as required by IAS 1.

The actuarial gains and losses (remeasurements) relating to other long-term benefits are recognised in full as part of payroll costs in the year in which they arise. On this last point, the BPER Banca Group has standardised the orientation expressed by the National Institute of Actuaries in Circular 35 dated 21 December 2012, valid with effect from the measurements carried out at 31 December 2012. This document confirmed the guidelines already issued with the previous Circular dated 22 May 2012, in which it was expected that the component represented by interest cost had to be calculated using the rate of the curve corresponding to the duration of the liability, instead of the 1-year rate of the same curve used up to 31 December 2011.

The information not specifically detailed here, is provided in the Remuneration Report and in the Remuneration Policies referred to in Part I of these notes.

18 – Income statement: Revenues

Revenues are the gross inflow of economic benefits arising in the course of ordinary activities of a business, when those inflows result in increases in equity, other than increases relating to contributions from shareholders (IAS 18).

Revenues are recognised at the fair value of the consideration received or receivable, when it can be reliably estimated.

When the result of a rendering of services can be estimated reliably, the revenues associated with the transaction are recognised using the percentage of completion at the balance sheet date.
The outcome of a transaction can be estimated reliably when all of the following conditions are met:

- the amount of the revenues can be reliably measured;
- it is probable that the economic benefits associated with the transaction will flow to the business;
- the stage of completion of the transaction at the balance sheet date can be reliably measured;
- the costs incurred for the transaction and the costs to complete it can be reliably calculated.

Revenues are recognised in the accounting period in which the services are provided and when it is probable that the economic benefits associated with the transaction will flow to the company.
However, when there is uncertainty about the collectability of an amount already included in revenue, the uncollectible amount, or the amount whose recovery is no longer probable, is recognised as an expense, rather than as an adjustment to the original revenue.
Revenues arising from third-party use of the entity's assets yielding interest and dividends are recognised on the basis of the following criteria:

a) interest is recognised using the effective interest method;
b) dividends are recognised when the shareholders' right to receive payment is determined.
c) commission income on services is recorded in the period when the services are rendered, based on contractual agreements. Commissions considered in amortised cost for the purpose of determining the effective interest rate are recognised as interest.

19 – Income statement: Costs

Costs are recognised at the same time as the related revenues according to the principle of matching revenues and costs. If the correlation between costs and revenues is only generic and indirect, the costs are recorded over several years according to a systematic method of distribution in accordance with the accrual principle. Costs that by nature are not associated with revenues are recognised immediately in the income statement.

Marginal costs and revenues directly attributable to the acquisition of an asset or issue of a financial liability measured at amortised cost are recognised in the income statement together with the interest on the financial asset or liability using the effective interest method.

20 - Other information

– Treasury shares

Any treasury shares held following repurchase are stated at purchase cost and shown in "Treasury shares" caption with a negative sign. Profits or losses deriving from their subsequent sale are recorded as changes in shareholders' equity in the "Share premium" caption.

– Leasehold improvements

These costs have been classified as "*Other assets*", since they cannot be recorded as part of "*Property, plant and equipment*", as required by Bank of Italy instructions.

The related amortisation is recorded in the "*Other operating charges/income*" caption.

– Offsetting financial assets and financial liabilities

Financial assets and liabilities have to be offset when the criteria laid down in IAS 32 § 42 are satisfied. IFRS 7 requires specific disclosures about any financial instruments that are governed by "master netting or similar agreements" that do not meet all of the criteria laid down in IAS 32 § 42. Please refer to Part B of these Explanatory notes, in the section entitled "Other information".

- Internal recognition rules

As stated in the paragraph entitled “Declaration of compliance with International Financial Reporting Standards”, in the absence of a standard or interpretation specifically applicable to a particular transaction, an appropriate internal rule for accounting recognition should be developed and formalised.
No need arose to introduce any new rules in 2016.

- Negative interest

As regards interest, results from 2015 onwards have been significantly influenced by negative interest rates, accentuating certain effects that began to be seen at the end of 2014, especially as regards repurchase agreements, with income statement entries being made with opposite signs to the related balance sheet entries (interest income on various types of deposits or interest expense arising from lending activities).
At the end of 2015, the Bank of Italy issued a statement on the question of interest resulting from the application of negative rates, even if not specifically with reference to financial statements, reiterating the recommendations made during the year by the EBA with regard to the supervisory regulations for the FINREP (Q&A no. 2015_1940). The matter was treated as of 31 December 2015, as part of the update of the unified technical documentation for banks (Puma2), containing the changes relating to implementation of the 4th update of the Bank of Italy's Circular 262/2005.
This documentation envisages that negative returns on financial assets should be represented as "interest expense on other liabilities" and that positive returns on financial liabilities should be represented as "interest income on other assets".
In this context, as from 31 December 2015, BPER Banca Group has deemed it appropriate to change its accounting approach to bring it into line with these guidelines and has also aligned its financial reporting to comply with the supervisory requirements. Interest generated by the application of negative rates has been recorded in net interest income, as mentioned previously, giving appropriate disclosures in the footnotes to the tables in Part C of the notes.

– Single Resolution Fund (SRF), Deposit Guarantee Scheme (DGS), Interbank Deposit Guarantee Fund – Voluntary Scheme (IDGF-VS): accounting aspects

On 19 January 2016, the Bank of Italy issued a communication to provide guidance on the correct approach to be used for the recognition of contributions to the Single Resolution Fund (SRF), the Deposit Guarantee Scheme (DGS) and the IDGF Voluntary Scheme (VS).
The Bank of Italy recalls IAS 37 "Provisions, contingent liabilities and contingent assets" and IFRIC 21 "Levies" (approved and effective from 2015). The latter, in fact, "*deals with the recognition of a liability for the payment of a tax in the case where the liability falls within the scope of IAS 37*". Under IFRIC 21, "*a tax represents a use of resources that includes economic benefits imposed by government entities in accordance with legislation*".

The communication of the Bank of Italy then notes that the contra-entry of the liability (or cash outflow) connected with the contributions foreseen in the decrees implementing the BRRD and DGSD Directives, is represented by a charge to be recorded in the income statement.
The mandatory contributions to the Single Resolution Fund, both in the "ordinary" and "extraordinary" form, derive from legislative provisions and therefore fall within the definition of "Levies" as provided by IFRIC 21. The same conclusions can also be drawn with respect to contributions to the DGS. As regards the income statement caption that includes such contributions, the communication of the Bank of Italy noted that, since these are forms of contributions similar to taxes for accounting purposes, they have to be reported by banks in the income statement under *"Administrative expenses - Other administrative expenses"*, which should also include, among other things, indirect taxes (paid or not yet paid) for the year (see Circular no. 262/2005 "Banks' financial statements: layout and preparation").

21 - Techniques for the determination of fair value

Paragraph 9 of IFRS 13 defines fair value as *"the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date".*
When determining whether the fair value at initial recognition equals the transaction price, it is necessary to take into account factors specific to the transaction and to the asset and liability. It follows that, if the transaction price (consideration) differs from fair value, the difference should be recognised in the income statement.
It is also established that fair value includes transport costs, but excludes transaction costs.
In addition to the measurement of stand-alone financial instruments at fair value, the Group may also measure groups of similar assets and liabilities at fair value, where it is permitted to do so.
Measurement at fair value assumes that the transaction to sell an asset or transfer a liability takes place in a principal market, defined as the market with the greatest volume and level of trading for the asset or liability to be measured. In the absence of a principal market, reference should be made to the most advantageous market, which is the market that maximises the amount that would be received to sell an asset or minimises the amount that would be paid to transfer a liability, after taking into account transaction costs.

Identification of active markets

The process for measurement of fair value starts with determining whether there is an active market with regularly available quoted prices.

In order to consider a market as active, the BPER Banca Group takes account of the following factors:

- number of participants;
- frequency of price quotations and updates thereto;
- presence of a bid-ask spread;
- width of the bid-ask spread;
- trading volume.

Whether a financial instrument qualifies as traded on an active market can only be determined through extensive research of all the existing markets in order to identify the principal or most advantageous market, taking into account "*all information that is reasonably available*" (IFRS 13 § 17). This needs to be done for each financial instrument for which the fair value has to be determined.

To determine whether, based on the information that is available, a market can be considered to be active, the Group assesses the importance and relevance of factors that include the following:

a) low level of recent trading activity;
b) available prices are not current;
c) available prices vary significantly over time or between market-makers;
d) it can be demonstrated that indices that previously had a close correlation with the fair value of an asset or a liability no longer have this correlation based on recent indications of fair value of that asset or liability;
e) presence of a significant increase in the embedded risk premiums, or default rates, of the transactions being considered or in quoted prices;
f) presence of a wide bid-ask spread or of a significant increase therein;
g) significant decline in the level of trading activity;
h) lack of publicly available information.

If compliance with the necessary requirements is verified periodically, a financial instrument can be considered to be traded on an active market. Within the possible markets, a search is undertaken to identify the principal market or, in the absence of a principal market, the most advantageous market.

Fair value is determined with reference to:

- the closing bid price for assets held or liabilities to be issued;
- the closing ask price for liabilities already issued or assets to be purchased.

Closing bid and ask prices are the bid and ask prices referred to by the entity that regulates the market on which an instrument is traded.
In the absence of reference bid and ask prices, the last price set by the entity which regulates the market could be taken, provided that this price has the following features: advertised, liquidity, prompt adaptation to changing conditions and availability as envisaged by the standards.
For assets and liabilities with offsetting positions in market risks, the average of the bid and ask price can be used, provided that this is commonly used by market participants and is consistent with the objective of measuring fair value in accordance with IFRS 13.

In the case of open-end mutual funds, the Net Asset Value (NAV) is considered to be the most representative of the fair value of the instrument. No adjustments are made to the NAV to take into account the interval between the date redemption is requested and the actual redemption date.
In the case of listed closed-end funds, the fair value is derived from the market quotation.
With regard to foreign shares, if these are listed on regulated stock exchanges, then they are considered to be traded in an active market. The price provided for this type of share, if the bid-ask spread is not available, is the last price. On the contrary, equity trading in OTC markets is not considered to take place in an active market.
Listed derivatives are measured using the last prices supplied by the clearing house.
Financial instruments listed in inactive markets are reported as "unlisted" for the purpose of preparing the tables in the Explanatory notes.
With regard to bonds not listed on regulated markets, in view of the role played by the Bank in the institutional market for financial instruments, the Bloomberg Professional system has been identified as an active market for front office operations, if the prices recorded therein have the appropriate features mentioned above.

Identification of the fair value of financial instruments not listed on active markets

If the market for a financial instrument does not meet the conditions required to qualify as an active market, the fair value of the instrument is determined through the use of valuation techniques.
Valuation techniques indicated by international accounting standards are:

- market approach: this uses prices and other relevant information generated by market transactions involving comparable assets;
- cost approach: this reflects the amount that would be required currently to replace the service capacity of an asset ("current replacement cost");
- income approach: this converts future cash flows or income and expenses to a single current amount.

For Group purposes, the following valuation techniques are valid:

- market approach for identical or comparable assets and liabilities;
- use of matrix pricing;
- present value techniques;
- option pricing models;
- the multi-period excess earnings method.

These techniques may be used if:

- they maximise the use of market data, while minimising the use of Bank estimates and assumptions;
- they reasonably reflect how the market expects the price to be determined;
- the fair value measurement is determined on the basis of the value indicated by current market expectations and the risk and yield of the instrument being valued;
- they reflect the assumptions that market participants would use when pricing an asset or liability;
- they are consistent with commonly accepted methodologies;
- they are periodically subjected to verification and calibration to verify their capability to determine a fair value in line with actual trading prices for the instrument being valued.

In summary, the Group's preference is to adopt a market approach for the determination of fair value, even if an active market does not exist. Only in the event that it is not possible to apply the above valuation techniques, quantitative valuation methods may be used.

It is apparent that regulations governing valuation techniques do not authorise a neutral and objective use of quantitative methods. However, their use should be understood to be the development by the Bank of an internal process that matches the fair value measurement with a price at which an instrument could be exchanged in a market transaction at current conditions.
As part of this process, it would thus appear necessary to give priority to the use of recent transaction prices (prices on non-active markets, prices provided by third-party participants), or the prices of similar instruments. In this context, quantitative methods can provide a benchmark to supplement, or correct, any differences between the instrument being valued and that observed in the market, or to reflect the impact of changes in the economic environment on market transactions.

Valuation techniques used to measure fair value are applied consistently. A change in a valuation technique or its application is appropriate if the change results in a measurement that is equally or more representative of fair value in the circumstances. That might be the case if any of the following events take place:

- new markets develop;
- new information becomes available;
- information previously used is no longer available;
- valuation techniques improve;
- market conditions change.

Valuation techniques

Specific techniques are applied in relation to particular types of financial instrument, in order to correctly identify their characteristics.

Equities

For all unlisted shares, the valuation rules set out above apply. Failing this, they are measured at cost.

For unlisted shares, other than equity investments, the methods used the most for fair value measurement fall into the following categories:

- discounted cash flow;
- the use of multiples.

These methods require the availability of a significant amount of data to estimate future cash flows generated by a company or to identify the correct market multiples. They use uncertain estimates of various parameters (cash flows, dividends, beta, risk premium, cost of capital, asset values, etc.), the measurement of which is subjective and which do not always reflect market conditions. This leads to a valuation of a distribution of theoretical fair values. Where it is not possible to reliably determine the fair value with the above methods, securities and instruments are measured at cost.
As an alternative to the valuation techniques above, the value of the share may be based on book value, computed as the ratio between equity and the number of issued ordinary shares.

Plain vanilla debt securities

With regard to plain vanilla debt securities, the valuation technique applied is discounted cash flow analysis. There are three steps:

- mapping of cash flows: recognition of the cash flows expected from the instrument and their distribution of the duration of the contract;
- selection of the discounting curve, having regard for the risk factors affecting the cash flows;
- calculation of the present value of the instrument at the measurement date.

Having identified the cash flows, the appropriate discounting curve is calculated using the discount rate adjustment approach, which takes account of both rate risk and credit risk. This information is used to calculate the instrument's fair value, as the sum of the present values of its cash flows.

Structured debt securities

Given the non-determinant nature of the future cash flows from structured securities, their fair value is calculated by breaking them down into a portfolio of elementary instruments using the replica portfolio technique. The fair value of the structured product is obtained by summing the individual values obtained for elementary instruments comprising the product.
As from 2013, the Group started issuing protection certificates. They combine two financial instruments:

- a zero coupon bond;
- an option which seeks to replicate the performance of an underlying asset and to protect, partially or completely, the amount invested.

The methods used for the calculation of fair value are similar to those described above for structured debt securities.

Derivatives

The fair value of derivatives is determined using quantitative models that differ depending on the type of instrument concerned. In particular, a distinction is made between:

- Over-The-Counter (OTC) options represented by either stand-alone options or options embedded in complex financial instruments. Pricing techniques include:
  - options with payoff that can be calculated precisely, priced using models generally accepted by the market (e.g. Black & Scholes and variants);
  - options with payoff that cannot be calculated precisely, usually priced using "Montecarlo" simulation techniques;
- Interest Rate Swaps (IRS): the fair value of IRS is determined using net discounted cash flow analysis. In the case of a structured IRS, the instrument is decomposed into a "plain" component and an optional component ("building blocks"), so that their separate values can be determined and summed.

Forward currency transactions

These transactions are measured with reference to the forward rates at period end for maturities corresponding to those of the contracts to be priced.

Balance sheet items measured at amortised cost

Loans and receivables (Classfied in "*Loans & Receivables*" portfolio) and held to maturity investments are measured at amortised cost and their fair value is determined for disclosure purposes only.
The fair value of loans with a contractual duration of less than twelve months is estimated to be their book value; the fair value of other loans is obtained by discounting the contract cash flows, net of the expected losses determined with reference to the credit rating of the borrower, using the corresponding rate curve for their maturities.

Credit Valuation Adjustment (CVA) and Debit Valuation Adjustment (DVA)

Current regulations state that the pricing of a derivative, in addition to being based on market factors, should also reflect the credit risk of the counterparty determined by a Credit Valuation Adjustment (CVA) and a Debit Valuation Adjustment (DVA).
To assess the credit risk of the counterparty, the BPER Banca S.p.A. Group adopts the following methodology.
The term Credit Valuation Adjustment (CVA) refers to an adjustment in order to properly reflect the credit risk of the derivative counterparty made on the valuation of an OTC derivative (with a positive current exposure) transaction entered into by the Bank with an external counterparty and may be considered to be the market value of a potential loss amount derived from changes in market prices, due to a worsening of the credit or default risk of the counterparty.

Conversely, the term Debit Valuation Adjustment (DVA) refers to an adjustment in order to properly reflect the own default risk of the Bank made on the valuation of an OTC derivative (with a negative current exposure) entered into by the Bank with an external counterparty, that is, the market value of a potential gain derived from changes in market prices, due to a worsening of the credit or default risk of the Bank.

For the quantification of a CVA and a DVA, under certain conditions, IFRS 13 refers to a calculation that must be made by netting set or by counterparty and, thus, based on net exposure and not at individual contract level. In addition, it is necessary to consider whether any collateral has been provided or if there are any netting agreements.

The BPER Banca Group currently makes use of bilateral agreements for the netting of derivative contracts, in accordance with which the reciprocal mark to market receivable and payable positions are offset automatically on a daily basis, leading to a single net balance, without any novation: this results in margin settlement being made solely by the net creditor. The foregoing has led to a considerable reduction in exposure to credit risk and, consequently, the impact of CVAs and DVAs on fair value.

In particular, for the BPER Banca Group, there are two factors that mitigate the impact on fair value of credit risk:

- the signing of ISDA (International Swaps and Derivatives Association, the international industry standard on OTC derivatives) agreements with the main corporate and all the institutional counterparties to OTC derivatives. In respect of the institutional counterparties (with the exception of the subsidiary EMRO Finance Ireland) the related CSA (Credit Support Annex) was also executed in order to cover the provision of collateral and to further reduce current exposure and consequent risks;
- the entry into force of the new EMIR (European Market Infrastructure Regulation) platform, in respect of the exclusion from the scope of CVAs and DVAs of derivatives entered into on that platform/market. On the basis of assessments made, it is likely that most derivative transactions will go through the new system as they mainly consist of derivatives that are eligible for that purpose.

IFRS 13 does not indicate a specific methodology for the calculation of CVAs and DVAs, but it requires the use of valuation techniques that, on the one hand, must be appropriate for the data available and, on the other hand, maximise the use of observable market data.

With reference to the above, in order to align with best market practices, it was decided to use bilateral CVA methodology that considers the presence of two components to the calculation, with the aim of including the potential loss/gain arising from changes in the credit risk of the counterparty/Bank, but taking into account the joint probability of default by counterparties.

Market parameters

The following types of yield curve are used:

- par swap curves;
- bond curves derived from baskets of bonds;
- corporate curves by issuer, rating, and sector.

The following are derived from the par curves:

- zero coupon curves;
- forward rate curves;
- discount factor curves.

The zero coupon rate curves are obtained using the bootstrapping technique. These are used to extrapolate the discount factors used to determine the present value of the cash flows generated by the

financial instruments to be priced. The forward rates are implicit in the zero coupon curve are determined with reference to the non-arbitrage theory.
The issuer curves are obtained by adding to the par swap rates the spreads that reflect the credit rating of the instrument's issuer. These are used to price unlisted bonds.
Bond curves are calculated based on baskets of government bonds. Prices of the basket bonds, as well as the curves generated by them, are updated in real-time.
The credit rating curve of the BPER Banca Group is obtained by creating a basket of issues by banking issuers that have similar characteristics and ratings. This is used to price all issued bonds.
The prices thus obtained are applied daily to organised systems of trading for the bonds issued by the Group Banks (MELT-HIMTF) that are reflected in the fair value valuation in the financial statements.

Volatility and other parameters
Volatilities and correlations are used principally to price unlisted derivatives. The volatilities are classified as follows:

- historical volatilities, estimated as the standard deviation of a time series of daily observations of the logarithm of the yields of the underlying concerned;
- contributed volatilities, obtained from information providers;
- implicit volatilities, obtained from the market prices of listed options.

With regard to the correlations, multi-variant derivatives are priced using historical correlations.

Additional information
IFRS 13 requires an entity to disclose *"information that helps users of its financial statements assess both of the following*:

a) for assets and liabilities that are measured at fair value on a recurring or non-recurring basis in the statement of financial position after initial recognition, the valuation techniques and inputs used to develop those measurements;
b) for recurring fair value measurements using significant unobservable inputs (Level 3), the effect of the measurements on profit or loss or other comprehensive income for the period".

The BPER Banca Group has a procedure in place to:

- identify transfers between levels;
- analyse and document the reasons for such transfers;
- monitor and control the reliability of the fair value of financial instruments.

In particular, for assets and liabilities measured at fair value on a recurring and non-recurring basis, adequate disclosure is made of:

- the fair value measurement at the end of the reporting period, and for non-recurring fair value measurements, the reasons for the measurement;
- the level of the fair value hierarchy within which the fair value measurements are categorised in their entirety (Level 1, 2 or 3);
- for assets and liabilities categorised within Level 2 or 3, a description of the valuation techniques and inputs used and the reasons for any changes in valuation techniques used.

The Group provides, for assets and liabilities held at the end of the reporting period that are measured at fair value on a recurring basis, the amounts of any transfers between Level 1 and Level 2 of the fair value hierarchy, the reasons for those transfers and the policy for determining when transfers between levels

are deemed to have occurred, while, for those categorised on a recurring basis within Level 3 of the fair value hierarchy, a reconciliation is provided from the opening balances to the closing balances.
Information is also provided on the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred.

For assets or liabilities categorised within Level 3 of the fair value hierarchy, the following disclosures are provided:

- quantitative information about the significant unobservable inputs used in the fair value measurement;
- for recurring fair value measurements, the amount of the total gains or losses for the period included in profit or loss that is attributable to the change in unrealised gains or losses relating to those assets and liabilities held at the end of the reporting period, and the line item(s) in profit or loss in which those unrealised gains or losses are recognised;
- a description of the valuation processes used for recurring and non-recurring fair value measurements;
- a narrative description of the sensitivity of the fair value measurement to changes in unobservable inputs if a change in those inputs to a different amount might result in a significantly higher or lower fair value measurement.

For financial assets and liabilities measured at amortised cost (not thus measured at fair value, but with fair value disclosure obligations) the following information is provided:

- the fair value hierarchy level;
- a description of the valuation techniques adopted for Levels 2 and 3, as well as the inputs used;
- if there has been any change in the valuation technique, a description of the change and the reason for it.

For own financial liabilities measured at fair value with credit enhancement (e.g. inseparable guarantees), information is provided on the existence of credit enhancement and the impact thereof on the determination of the fair value of the liability.

The application of the fair value option to loans and receivables and financial liabilities requires disclosure of the change in fair value attributable solely to changes in the credit risk associated with the instrument.
As mentioned, the risk factors are included in the discount curve using the discount rate adjustment approach.
This approach involves making separate and independent estimates of the various risk components (rate risk and credit risk), so that the partial fair value can be determined considering the changes in just one risk factor.
The following factors are considered in relation to credit risk:

- the risk-free market rate observed at the valuation date;
- the credit spread observed at the initial recording date or the previous valuation date;
- the credit spread observed at the valuation date.

The market fair value at the measurement date is compared with the fair value calculated using the credit risk observed at the initial recording date (or, alternatively, at the previous valuation date). This makes it possible to determine the changes in fair value due solely to changes in credit risk on a cumulative or periodic basis.

Fair value hierarchy

The Group classifies its financial assets and liabilities by decreasing degree of fair value quality on the basis of the following principles:

- Fair value Level 1. Measurement is based on the price of the financial instrument concerned, being a quoted price in an active market.
- Fair value Level 2. Measurement is not based on quoted prices in active markets for the financial instrument concerned, but on meaningful prices obtained from non-active markets or reliable infoproviders, or on prices determined using an appropriate valuation technique largely based on observable market parameters, including credit spreads, derived from quotations of instruments that are substantially similar in terms of risk factors considered. The objective of the use of valuation techniques is to reaffirm the aim of obtaining a closing price at the valuation date from the point of view of a market participant that holds the financial instrument.
- Fair value Level 3. Measurement is based on various inputs that include subjective parameters, that is, parameters whose value cannot be derived from quoted prices observable in active markets. Since the parameters are not observable directly in the market, it follows that the value is required to make estimates and assumptions.

In some cases, the inputs used to measure the fair value of an asset or a liability might be categorised within different levels of the fair value hierarchy. In those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group has set out:

- the analyses to be performed in the event of changes in valuation techniques used to measure fair value;
- the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred and which is constantly adhered to.

As a general principle, to be allocated to Level 1 of the fair value hierarchy, if there is a quoted price in an active market for an asset or a liability, that price should be used without adjustment when measuring fair value. In fact, the fair value hierarchy gives the highest priority to quoted prices (unadjusted) in active markets for identical assets or liabilities and the lowest priority to unobservable inputs.
An allocation to Levels 2 and 3 depends on how the inputs used for the fair value measurement of an asset or liability are categorised within different levels of the fair value hierarchy: in those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Assessing the significance of a particular input to the entire measurement requires judgement, taking into account factors specific to the asset or liability.

The availability of relevant inputs and their relative subjectivity might affect the selection of appropriate valuation techniques.

22 - Method for determining the extent of impairment

Financial assets

At each reporting date, financial assets not classified as at fair value through profit or loss are subjected to an impairment test to verify if there is any objective evidence for believing that their carrying amount may not be fully recoverable.

Value is impaired if there is objective evidence that future cash flows will be lower than the originally estimated contractual amounts; the related loss must be quantified in a reliable manner and associated with actual events rather than just expected events.

Impairment is measured in detail for those financial assets for which there is specific evidence of an impairment adjustment, and on an overall basis for other financial assets.

Pursuant to IAS 39, whenever the fair value of equities classified as available for sale is significantly lower than their purchase cost, or remains lower for an extended period, the Bank recognises an impairment loss with allocation of the negative valuation reserve to the income statement.

In particular, the BPER Banca Group recognises as objective evidence of impairment situations in which fair value is less than 50% of purchase cost or remains below purchase cost for 24 consecutive months.

If fair value is impaired, detailed analysis is performed to determine the reasons for the loss and identify any difficulties faced by the issuer, such as:

- significant financial problems or possibility of court-supervised arrangements;
- announcement/implementation of financial restructuring plans;
- significant changes with an adverse effect on the technological, economic or regulatory environment in which the issuer operates.

If the above analysis causes the Group to believe that impairment exists, the related fair value equity reserve is posted to the income statement.

See paragraph "4 - Loans" for detailed information about the treatment of loans.

Equity investments

The equity investments are also subjected to impairment testing. In particular, the impairment test is performed on an annual basis and involves the determination of recoverable value, being the greater of fair value less selling costs or value in use.

The measurement methodology used to calculate fair value less costs to sell was described in an earlier section of this report.

Value in use represents the present value of the cash flows expected to derive from the assets subject to impairment testing; this involves estimating the cash flows expected from the asset, possible changes in the timing and/or extent of such flows, the time value of money, and the price that remunerates the specific risks associated with the asset, together with such other factors as the size of the market for the asset, which might affect operators' assessments of the quality of the expected cash flows.

The estimate of value in use, being the present value of the cash flows expected to derive from the asset determined using a Discounted Cash Flow (DCF) method such as the DDM configured for banks, Excess Capital Method, identifies the value of a business in relation to its ability to generate cash flow and thus its financial solidity.

Value in use is therefore determined by discounting the cash flows identified in the Business Plan, the time horizon for which must be sufficiently long for "fair" forecasts to be made; in financial practice, the time period covered by the forecast flows is at least three years. Where Business Plans are not prepared directly by the investees, long-term inertia-based plans are developed based on the companies' results and financial position, as well as market projections.

Property, plant and equipment and intangible assets

Property, plant and equipment and intangible assets with a finite useful life are subjected to impairment testing if there is evidence that their carrying amounts may no longer be recoverable. Recoverable value is determined with reference to the fair value of the property, plant and equipment or intangible asset, net of disposal costs, or to its value in use if this can be determined and exceeds fair value.
The fair value of property is usually determined by appraisal. Impairment is only recognised if fair value less costs to sell, or value in use, is lower than the related carrying amount for an extended period.

23 - Business combinations: allocation of purchase cost

Introduction

The process of allocation of the purchase price for business combinations is described below, while details of such transactions are provided in Part G of the Explanatory notes.

Fair value of the assets and liabilities acquired

When accounting for a business combination, the Group determines the fair value of the assets, liabilities and contingent liabilities acquired. Such amount is only identified separately if, at the acquisition date, the following criteria are met:

- in the case of assets other than intangible assets, it is likely that the purchaser will obtain any future economic benefits;
- in the case of liabilities other than contingent liabilities, it is likely that their settlement will require the use of resources capable of producing economic benefits;
- in the case of an intangible asset (IAS 38) or a contingent liability (IAS 37), the related fair value can be measured in a reliable manner.

Identification of intangible assets

Depending on the characteristics of the business acquired, an analysis is performed to identify any unrecorded assets that should be recognised separately, for example customer-related (client relationship) intangibles, or marketing-related (brand name) intangibles.

Customer-related intangible assets: these are recognised as intangible assets when they are separable and can be measured reliably, even though they may not always derive from contractual rights such as marketing-related intangibles.
This category includes:
client lists: these comprise all the information held about clients (database containing: names, addresses, transaction history, demographic information etc.) that has a recognised market value, on condition that it can be rented or exchanged; such information cannot be treated as an intangible asset if it is

considered so confidential that the combination agreement forbids its sale, rental or exchange in other forms;
contracts with clients and the client relationships established as a consequence: contracts with clients satisfy the contractual/legal requirement for the recognition of an intangible asset, even if the combination contract forbids their sale or transfer separately from the business acquired; this category also includes long-established contacts with clients, even if there is no formal contract, and all other non-contractual relationships that can be separated and measured on their own;
non-contractual relations with clients: this category includes all intangible assets that, being separable and transferable independently of the business acquired, may be valued individually and recognised as intangibles.

Marketing-related intangible assets: trademarks, commercial names, service brands, collective names and quality marks that derive from contractual rights or which are usually separable. Such assets reflect the collection of productive conditions that are economically correlated with the commercial name, the relationship with the market, and the reach of distribution.
An intangible asset must be measured initially at cost. If acquired as part of a business combination, its cost is its fair value at the time control is obtained.
Fair value, in this context, reflects market expectations about the likelihood that the owner will obtain the future economic benefits deriving from the asset. The entity must assess the probability of obtaining future economic benefits using reasonable and justifiable assumptions that reflect management's best estimate of the economic conditions that will apply over the useful life of the asset.
The accounting standards do not specify the methodology to be used to measure the fair value of such assets but, among the possible alternatives, preference is given to those making reference to observable market prices. Failing this, the accounting standards allow the use of valuation models that include assumptions which are generally used and recognised by the market.
The fair value of customer-related intangible assets is determined by discounting the profit flows generated by deposits over the expected residual period of the relationships outstanding at the time of acquisition.
In general, brands are valued using market methods and well as methods based on the flows deriving from their management or a royalty recognised by the market.

Determination of goodwill

Goodwill represents the unallocated amount of purchase cost, being the excess of the cost of the business combination over the net fair value of the identifiable assets, liabilities and contingent liabilities acquired (including those intangibles and contingent liabilities that satisfy the requirements for recognition in the financial statements).
This represents the consideration recognised by the purchaser in exchange for the future economic benefits deriving from assets that cannot be identified individually and recognised separately. In substance, this includes the value of the expected synergies, the corporate image of the company acquired, its know how, its professionalism, its procedures and other non-specific factors.
The goodwill acquired as a result of a business combination must not be amortised. The Group verifies each year, or whenever there is evidence of possible impairment, that the recorded value of goodwill has not been impaired (impairment test).

24 - Derecognition of financial assets

Derecognition involves the elimination of a previously recognised financial asset from the balance sheet.
Before assessing whether the conditions for derecognition of financial assets exist, according to IAS 39, one has to ascertain whether these conditions are to be applied to such assets in their entirety or whether they can refer to only part of them.
The essential condition for full derecognition of a financial asset is the extinction of its contractual rights, either because they expire naturally or because the rights to the cash flows resulting from such assets are transferred to a third party outside the Group.
The elimination of a financial asset is subject to verification that all of the risks and rewards of ownership of the rights have actually been transferred. In the case of transfer of substantially all of the risks and rewards, the transferred asset (or group of assets) can be derecognised and the rights and obligations relating to the transfer have to be recognised separately as assets or liabilities.
Conversely, in the event that the risks and rewards are retained, the asset (or group of assets) transferred has to continue being recognised. In this case, one has to recognise a liability equal to the amount received as consideration for the transfer and subsequently recognise all revenues and expenses accruing on the liability.
The main types of transactions that, under these rules, do not permit the derecognition of a financial asset are securitisations of receivables, repurchase agreements and securities lending.

A.3 – Information on transfers of financial assets between portfolios

A.3.1 Financial assets reclassified: book value, fair value and effects on overall profitability

Type of financial instrument	Source portfolio	Destination portfolio	Book value as at	Fair value as at	Income elements without transfer (before tax)		Income elements recorded for the period (before tax)	
			31.12.2016	31.12.2016	measured	other	measured	other
Debt securities	Financial assets held for trading	Due from banks	2,493	2,462	197	15	-	79
Debt securities	Financial assets held for trading	Loans to customers	-	-	-	-	-	-
Debt securities	Financial assets available for sale	Due from banks	-	-	356	-	-	21
Debt securities	Financial assets available for sale	Loans to customers	33,434	33,192	(2,024)	1,017	(1,860)	958
Debt securities	Financial assets held for trading	Financial assets available for sale	-	-	-	-	-	-
UCITS units	Financial assets held for trading	Financial assets available for sale	2,686	2,686	452	-	452	-

A.3.2 Financial assets reclassified: effect on overall profitability before transfer

No financial assets were reclassified during the period.

A.3.3 Transfer of financial assets held for trading

No financial assets were reclassified during the period.

A.3.4 Effective interest rate and cash flows expected from reclassified assets

No financial assets were reclassified during the period.

A.4 – Information on fair value

Qualitative information

A.4.1 Fair value levels 2 and 3: valuation techniques and inputs used

A description of the valuation techniques and inputs used has been disclosed in Chapter 21 of Part A.2 of these Explanatory notes "Techniques for the determination of fair value".

A.4.2 Measurement process and sensitivity

Assets and liabilities categorised within Level 3 of the fair value hierarchy mainly consist of:

- connected derivatives, in that they offset each other and which originate from securitisations, classified as "*Financial assets held for trading*" and "*Financial liabilities held for trading*";
- a limited number of equity investments measured at cost or under the equity method and in UCITS units measured at NAV classified as *"Financial assets designated at fair value through profit and loss"*;
- minority equity investments, often held to preserve links with the territory or for the development of commercial relationships (measured mainly on the basis of the book value of shareholders' equity of the companies in question or at cost), as well as UCITS units (usually at NAV), with both classified as *"Financial assets available for sale"*;
- investments in asset-backed securities primarily held by the subsidiary Bper (Europe) International s.a., classified as *"Due from banks"* and *"Loans to customers"* following reclassification in 2008 from *"Financial assets available for sale"*.

For the latter, the related sensitivity is provided below:

Financial asset/liability	Non-observable parameter	Change in parameter	Sensitivity (in thousands)
Investimenti in Asset Backed Securities	Credit Spread	+25 bps	(498)

For the other positions which have just been illustrated, given the use of valuation techniques involving the use of estimates, the measurement thereof is incapable of being significantly impacted by changes in inputs.

A.4.3 Fair value hierarchy

A description of the fair value hierarchy has been disclosed in Part A.2 of these Explanatory notes in Chapter 21 "Techniques for the determination of fair value".

A.4.4 Other information

Reference should be made to Chapter 21 of Part A.2 of the Explanatory notes "Techniques for the determination of fair value" for further information on fair value.

Quantitative information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value levels

Financial assets/Liabilities designated at fair value	31.12.2016			31.12.2015		
	L1	L2	L3	L1	L2	L3
1. Financial assets held for trading	334,749	315,913	26,182	393,053	369,984	27,366
2. Financial assets designated at fair value through profit and loss	62,745	16,320	5,242	65,441	17,516	3,682
3. Financial assets available for sale	9,037,893	854,484	540,845	7,194,180	381,388	446,596
4. Hedging derivatives	-	62,365	-	-	38,182	-
5. Property, plant and equipment	-	-	-	-	-	-
6. Intangible assets	-	-	-	-	-	-
Total	**9,435,387**	**1,249,082**	**572,269**	**7,652,674**	**807,070**	**477,644**
1. Financial liabilities held for trading	3,291	203,010	20,536	22,868	192,188	27,093
2. Financial liabilities designated at fair value through profit and loss	-	247,933	-	-	873,558	-
3. Hedging derivatives	-	40,697	-	-	23,715	-
Total	**3,291**	**491,640**	**20,536**	**22,868**	**1,089,461**	**27,093**

Transfers of assets from Level 1 to Level 2 of the fair value hierarchy during the year amounted to € 254,896 thousand and those from Level 2 to Level 1 amounted to € 9,527 thousand.
The former are due to a loss of significance of the prices quoted in the principal market, while, for the latter, the dealer market showed an improvement in the negotiability of the instruments in terms of volumes and in the breadth and depth of the prices quoted.

Key:

L1 = Level 1
L2 = Level 2
L3 = Level 3

A.4.5.2 Period changes in assets measured at fair value on a recurring basis (level 3)

	Financial assets held for trading	Financial assets designated at fair value through profit and loss	Financial assets available for sale	Hedging derivatives	Property, plant and equipment	Intangible assets
1. Opening balance	**27,366**	**3,682**	**446,596**	**-**	**-**	**-**
2. Increases	**3,222**	**2,753**	**177,793**	**-**	**-**	**-**
2.1 Purchases	61	2,498	148,910	-	-	-
2.2 Profits posted to:	3,161	252	24,245	-	-	-
2.2.1 Income Statement	3,161	252	3,102	-	-	-
- of which: gains	3,159	249	-	-	-	-
2.2.2 Shareholders' equity	#	#	21,143	-	-	-
2.3 Transfers from other levels	-	-	-	-	-	-
2.4 Other increase	-	3	4,638	-	-	-
3. Decreases	**4,406**	**1,193**	**83,544**	**-**	**-**	**-**
3.1 Sales	64	125	27,414	-	-	-
3.2 Redemptions	-	636	5,165	-	-	-
3.3 Losses posted to:	4,252	389	49,700	-	-	-
3.3.1 Income Statement	4,252	389	44,924	-	-	-
- of which: losses	4,244	7	21	-	-	-
3.3.2 Shareholders' equity	#	#	4,776	-	-	-
3.4 Transfers to other levels	-	-	-	-	-	-
3.5 Other decreases	90	43	1,265	-	-	-
4. Closing balance	**26,182**	**5,242**	**540,845**	**-**	**-**	**-**

There were no transfers during the year to or from other levels of the fair value hierarchy.

A.4.5.3 Period changes in liabilities measured at fair value on a recurring basis (level 3)

	Financial liabilities held for trading	Financial liabilities designated at fair value through profit and loss	Hedging derivatives
1. Opening balance	**27,093**	**-**	**-**
2. Increases	**-**	**-**	**-**
2.1 Issues	-	-	-
2.2 Losses posted to:	-	-	-
2.2.1 Income Statement	-	-	-
- of which: losses	-	-	-
2.2.2 Shareholders' equity	#	#	-
2.3 Transfers from other levels	-	-	-
2.4 Other increase	-	-	-
3. Decreases	**6,557**	**-**	**-**
3.1 Redemptions	-	-	-
3.2 Buybacks	-	-	-
3.3 Profits posted to:	6,473	-	-
3.3.1 Income Statement	6,473	-	-
- of which: gains	6,473	-	-
3.3.2 Shareholders' equity	#	#	-
3.4 Transfers to other levels	-	-	-
3.5 Other decreases	84	-	-
4. Closing balance	**20,536**	**-**	**-**

There were no transfers during the year to or from other levels of the fair value hierarchy.

A.4.5.4 Assets and liabilities not measured at fair value or at fair value on a non-recurring basis: breakdown by fair value levels

Assets/Liabilities not measured at fair value or at fair value on a non-recurring basis	31.12.2016				31.12.2015			
	BV	L1	L2	L3	BV	L1	L2	L3
1. Financial assets held to maturity	2,515,993	2,492,106	205,820	-	2,663,859	2,732,671	125,432	-
2. Due from banks	1,331,811	-	41,800	1,291,203	1,087,313	-	46,234	1,042,455
3. Loans to customers	45,494,179	-	137,436	46,036,866	43,702,561	-	165,763	45,006,034
4. Investment property, plant and equipment	258,122	-	-	281,039	217,399	-	-	239,871
5. Non-current assets and disposal groups held for sale	-	-	-	-	-	-	-	-
Total	**49,600,105**	**2,492,106**	**385,056**	**47,609,108**	**47,671,132**	**2,732,671**	**337,429**	**46,288,360**
1. Due to banks	9,462,678	-	-	9,462,678	5,522,992	-	-	5,522,992
2. Due to customers	38,912,714	-	-	38,912,714	35,887,658	-	-	35,887,658
3. Debt securities in issue	8,587,243	2,611,580	3,488,831	2,587,572	10,494,565	2,606,780	4,471,513	3,549,024
4. Liabilities associated with non-current assets held for sale	-	-	-	-	-	-	-	-
Total	**56,962,635**	**2,611,580**	**3,488,831**	**50,962,964**	**51,905,215**	**2,606,780**	**4,471,513**	**44,959,674**

Key:

BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

A.5 – Information on *"day one profit/loss"*

In the case of Level 3 transactions, the fair value according to the model may differ from the transaction price: in the case of a positive difference (day one profit), this is amortised over the residual life of the instrument; in case of a negative difference (day-one loss), it is charged to the income statement for prudence sake.

There were no differences at 31 December 2016 between the value of transactions and their corresponding fair values.

Part B - Information on the consolidated balance sheet

Assets

Section 1- Cash and cash equivalents
Caption 10

1.1 Cash and cash equivalents: breakdown

	31.12.2016	31.12.2015
a) Cash	364,879	390,371
b) Demand deposits with Central Banks	-	-
Total	**364,879**	**390,371**

Section 2 – Financial assets held for trading Caption 20

2.1 Financial assets held for trading: breakdown by sector

Description/Amounts	31.12.2016			31.12.2015		
	L1	L2	L3	L1	L2	L3
A. Cash assets						
1. Debt securities	199,958	153,108	1	259,322	202,940	16
1.1 Structured securities	22,215	1,393	-	19,236	1,349	-
1.2 Other debt securities	177,743	151,715	1	240,086	201,591	16
2. Equities	64,950	48	1	67,682	48	7
3. UCITS units	69,431	-	-	66,040	-	-
4. Loans	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-
4.2 Other	-	-	-	-	-	-
Total A	**334,339**	**153,156**	**2**	**393,044**	**202,988**	**23**
B. Derivatives						
1. Financial derivatives	410	162,757	26,180	9	166,996	27,343
1.1 Trading	410	156,902	26,180	9	141,656	27,343
1.2 Connected with the fair value option	-	5,855	-	-	25,340	-
1.3 Other	-	-	-	-	-	-
2. Credit derivatives	-	-	-	-	-	-
2.1 Trading	-	-	-	-	-	-
2.2 Connected with the fair value option	-	-	-	-	-	-
2.3 Other	-	-	-	-	-	-
Total B	**410**	**162,757**	**26,180**	**9**	**166,996**	**27,343**
Total A+B	**334,749**	**315,913**	**26,182**	**393,053**	**369,984**	**27,366**

The financial derivatives connected with the fair value option are mainly associated with debt securities classified as "Financial liabilities designated at fair value through profit and loss" (liability caption 50).

2.2 Financial assets held for trading: breakdown by issuer/borrower

Description/Amounts	31.12.2016	31.12.2015
A. Cash assets		
1. Debt securities	353,067	462,278
a) Governments and Central Banks	268,773	340,262
b) Other public entities	8	13
c) Banks	39,940	88,650
d) Other issuers	44,346	33,353
2. Equity instruments	64,999	67,737
a) Banks	15,382	13,632
b) Other issuers	49,617	54,105
- insurance companies	4,121	4,063
- financial companies	2,754	578
- non-financial companies	42,742	49,464
- other	-	-
3. UCITS units	69,431	66,040
4. Loans	-	-
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total A	487,497	596,055
B. Derivative instruments		
a) Banks	116,513	119,408
- fair value	116,513	119,408
b) Customers	72,834	74,940
- fair value	72,834	74,940
Total B	189,347	194,348
Total (A+B)	676,844	790,403

Section 3 – Financial assets designated at fair value through profit and loss
Caption 30

3.1 Financial assets designated at fair value through profit and loss: breakdown by sector

Description/Amounts	31.12.2016			31.12.2015		
	L1	L2	L3	L1	L2	L3
1. Debt securities	15,301	15,958	286	15,502	17,040	325
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	15,301	15,958	286	15,502	17,040	325
2. Equity instruments	3	362	-	3	476	-
3. UCITS units	47,441	-	4,956	49,936	-	3,357
4. Loans	-	-	-	-	-	-
4.1 Structured	-	-	-	-	-	-
4.2 Other	-	-	-	-	-	-
Total	**62,745**	**16,320**	**5,242**	**65,441**	**17,516**	**3,682**
Cost	**57,397**	**17,797**	**5,369**	**60,571**	**17,812**	**2,413**

Financial assets designated at fair value through profit and loss: use of the fair value option

Description	31.12.2016	31.12.2015
a) Natural hedges using derivatives	12,147	12,213
b) Natural hedges using other financial instruments	-	-
c) Other cases of accounting mismatches	-	-
d) Financial instruments managed and measured at fair value	72,160	74,426
e) Structured products with embedded derivatives	-	-
Total	**84,307**	**86,639**

3.2 Financial assets designated at fair value through profit and loss: breakdown by borrower/issuer

Description/Amounts	31.12.2016	31.12.2015
1. Debt securities	**31,545**	**32,867**
a) Governments and Central Banks	12,147	12,213
b) Other public entities	-	-
c) Banks	7,282	7,274
d) Other issuers	12,116	13,380
2. Equity instruments	**365**	**479**
a) Banks	-	-
b) Other issuers:	365	479
- insurance companies	-	-
- financial companies	-	-
- non-financial companies	365	479
- other	-	-
3. UCITS units	**52,397**	**53,293**
4. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total	**84,307**	**86,639**

Analysis of UCITS units

Description	31.12.2016	31.12.2015
1. Equities	-	-
2. Property - closed end	7,452	8,079
3. Equities - open end	8,500	7,855
4. Balanced - open end	-	-
5. Bonds - open end	2,131	2,008
6. Equities closed end	2,190	2,464
7. Speculative securities	543	4,191
8. Bonds - short term	-	-
9. Bonds - long term	-	-
10. Other	31,581	28,696
Total	**52,397**	**53,293**

Section 4 – Financial assets available for sale Caption 40

4.1 Financial assets available for sale: breakdown by sector

Description/Amounts	31.12.2016			31.12.2015		
	L1	L2	L3	L1	L2	L3
1. Debt securities	**8,991,376**	**854,484**	**9,101**	**7,149,796**	**381,388**	**10,134**
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	8,991,376	854,484	9,101	7,149,796	381,388	10,134
2. Equity instruments	**3,590**	**-**	**299,918**	**4,783**	**-**	**276,855**
2.1 Valued at fair value	3,590	-	270,875	4,783	-	244,296
2.2 Valued at cost	-	-	29,043	-	-	32,559
3. UCITS units	**42,927**	**-**	**228,592**	**39,601**	**-**	**159,607**
4. Loans	**-**	**-**	**3,234**	**-**	**-**	**-**
Total	**9,037,893**	**854,484**	**540,845**	**7,194,180**	**381,388**	**446,596**

"Financial Assets available for sale" are measured at fair value on the basis described in Part A of these Explanatory notes.
"Debt securities" mainly relate to investments made in government bonds with the aim of returning to a more balanced asset sensitivity structure.
"Equity instruments" are represented by stable equity investments.
The "UCITS units" mainly relate to closed-end investment funds.

4.2 Financial assets available for sale: breakdown by borrower/issuer

Description/Amounts	31.12.2016	31.12.2015
1. Debt securities	**9,854,961**	**7,541,318**
a) Government and Central Banks	4,821,293	4,965,348
b) Other public entities	110,775	18,364
c) Banks	3,636,121	2,105,334
d) Other issuers	1,286,772	452,272
2.Equity instruments	**303,508**	**281,638**
a) Banks	119,523	119,475
b) Other issuers:	183,985	162,163
- insurance companies	63,777	54,462
- financial companies	73,970	66,872
- non-financial companies	46,193	40,726
- other	45	103
3. UCITS units	**271,519**	**199,208**
4. Loans	**3,234**	**-**
a) Government and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	3,234	-
Total	**10,433,222**	**8,022,164**

4.3 Micro-hedged financial assets available for sale

	31.12.2016	31.12.2015
1. Financial assets covered by specific fair value hedges	**2,167,059**	**893,382**
a) Interest rate risk	2,167,059	893,382
b) Price risk	-	-
c) Foreign exchange risk	-	-
d) Credit risk	-	-
e) Multiple risks	-	-
2. Financial assets covered by specific cash flow hedges	**282,371**	**284,181**
a) Interest rate risk	282,371	284,181
b) Foreign exchange risk	-	-
c) Other	-	-
Total	**2,449,430**	**1,177,563**

Section 5 – Financial assets held to maturity Caption 50

5.1 Financial assets held to maturity: breakdown by sector

	31.12.2016				31.12.2015			
	BV	FV			BV	FV		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Debt securities	2,515,993	2,492,106	205,820	-	2,663,859	2,732,671	125,432	-
- Structured securities	-	-	-	-	-	-	-	-
- Other	2,515,993	2,492,106	205,820	-	2,663,859	2,732,671	125,432	-
2. Loans	-	-	-	-	-	-	-	-

More than half of the portfolio comprises government debt securities, in order to support net interest income and reduce its exposure to interest rate fluctuations, given a foreseeable scenario of exceptionally low risk-free rates for a long time to come.

Key:

FV = fair value
BV = book value

5.2 Financial assets held to maturity: breakdown by issuer/borrower

Type of transaction/Amounts	31.12.2016	31.12.2015
1. Debt securities	**2,515,993**	**2,663,859**
a) Governments and Central Banks	1,348,283	1,423,156
b) Other public entities	9,960	9,954
c) Banks	933,791	975,305
d) Other issuers	223,959	255,444
2. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other entities	-	-
Total	**2,515,993**	**2,663,859**
Total fair value	**2,697,926**	**2,858,103**

Section 6 – Due from banks
Caption 60

6.1 Due from banks: breakdown by sector

Type of transaction/Amounts	Total 31.12.2016				Total 31.12.2015			
	BV	FV			BV	FV		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
A. Due from Central Banks	**589,386**	**-**	**-**	**589,386**	**254,597**	**-**	**-**	**254,597**
1. Restricted deposits	-	#	#	#	-	#	#	#
2. Reserve requirement	589,386	#	#	#	254,597	#	#	#
3. Repurchase agreements	-	#	#	#	-	#	#	#
4. Other	-	#	#	#	-	#	#	#
B. Due from banks	**742,425**	**-**	**41,800**	**701,817**	**832,716**	**-**	**46,234**	**787,858**
1. Loans	701,817	-	-	701,817	787,858	-	-	787,858
1.1. Current accounts and demand deposits	87,358	#	#	#	208,661	#	#	#
1.2. Restricted deposits	279,278	#	#	#	217,157	#	#	#
1.3. Other loans	335,181	#	#	#	362,040	#	#	#
- Repurchase agreements	-	#	#	#	16	#	#	#
- Finance leases	-	#	#	#	18	#	#	#
- Other	335,181	#	#	#	362,006	#	#	#
2. Debt securities	40,608	-	41,800	-	44,858	-	46,234	-
2.1 Structured securities	-	#	#	#	-	#	#	#
2.2 Other debt securities	40,608	#	#	#	44,858	#	#	#
Total	**1,331,811**	**-**	**41,800**	**1,291,203**	**1,087,313**	**-**	**46,234**	**1,042,455**

Key:

FV = fair value
BV = book value

6.3 Finance leases

Finance lease instalments due: timing of instalments

Time bands	Present value 31.12.2016	Present value 31.12.2015
up to 3 months	-	5
between 3 months and 1 year	-	13
between 1 year and 5 years	-	-
beyond 5 years	-	-
Total	**-**	**18**

Section 7 – Loans to customers Caption 70

7.1 Loans to customers: breakdown by sector

Type of transaction/Values	31.12.2016					
	Book value			Fair value		
	Performing exposures	Non-performing exposures - Purchased	Non-performing exposures - Other	L1	L2	L3
Loans	**38,975,604**	**-**	**6,196,379**	**-**	**-**	**45,841,840**
1. Current accounts	4,455,986	-	936,392	#	#	#
2. Repurchase agreements	-	-	-	#	#	#
3. Mortgage loans	23,102,878	-	3,384,993	#	#	#
4. Credit cards, personal loans and assignments of one-fifth of salary	1,628,188	-	52,030	#	#	#
5. Finance leases	2,004,155	-	585,912	#	#	#
6. Factoring	763,564	-	19,035	#	#	#
7. Other loans	7,020,833	-	1,218,017	#	#	#
Debt securities	**321,263**	**-**	**933**	**-**	**137,436**	**195,026**
8. Structured securities	-	-	-	#	#	#
9. Other debt securities	321,263	-	933	#	#	#
Total	**39,296,867**	**-**	**6,197,312**	**-**	**137,436**	**46,036,866**

Type of transaction/Values	31.12.2015					
	Book value			Fair value		
	Performing exposures	Non-performing exposures - Purchased	Non-performing exposures - Other	L1	L2	L3
Loans	**36,999,115**	**-**	**6,354,925**	**-**	**-**	**44,807,650**
1. Current accounts	4,888,282	-	991,327	#	#	#
2. Repurchase agreements	-	-	-	#	#	#
3. Mortgage loans	21,706,144	-	3,376,054	#	#	#
4. Credit cards, personal loans and assignments of one-fifth of salary	1,505,464	-	57,839	#	#	#
5. Finance leases	2,097,269	-	550,137	#	#	#
6. Factoring	691,147	-	14,221	#	#	#
7. Other loans	6,110,809	-	1,365,347	#	#	#
Debt securities	**347,611**	**-**	**910**	**-**	**165,763**	**198,384**
8. Structured securities	-	-	-	#	#	#
9. Other debt securities	347,611	-	910	#	#	#
Total	**37,346,726**	**-**	**6,355,835**	**-**	**165,763**	**45,006,034**

The sub-caption "Other loans" of performing loans includes: € 3,406 million of bullet loans (+48.93%), € 2,146 million of advances on invoices subject to collection (-2.81%), € 730 million of import/export advances (-12.68%), € 50 million of credit assignment (-12.28%) and € 689 million of other miscellaneous entries (-4.70%).

7.2 Loans to customers: breakdown by issuer/borrower

Type of transaction/Values	31.12.2016			31.12.2015		
	Performing exposures	Non-performing exposures		Performing exposures	Non-performing exposures	
		Purchased	Other		Purchased	Other
1. Debt securities	**321,263**	**-**	**933**	**347,611**	**-**	**910**
a) Governments	-	-	-	-	-	-
b) Other public entities	1,834	-	-	2,107	-	-
c) Other issuers	319,429	-	933	345,504	-	910
- non-financial companies	9,820	-	933	9,854	-	910
- financial companies	206,022	-	-	232,080	-	-
- insurance companies	103,587	-	-	103,570	-	-
- other	-	-	-	-	-	-
2. Loans to	**38,975,604**	**-**	**6,196,379**	**36,999,115**	**-**	**6,354,925**
a) Governments	1,720,133	-	1	1,713,376	-	1
b) Other public entities	354,684	-	5,435	350,542	-	8,245
c) Other parties	36,900,787	-	6,190,943	34,935,197	-	6,346,679
- non-financial companies	23,551,414	-	5,340,676	22,347,748	-	5,452,857
- financial companies	2,521,808	-	142,772	2,315,893	-	204,986
- Insurance companies	16,285	-	-	14,592	-	-
- other	10,811,280	-	707,495	10,256,964	-	688,836
Total	**39,296,867**	**-**	**6,197,312**	**37,346,726**	**-**	**6,355,835**

7.3 Loans to customers: hedged assets

	31.12.2016	31.12.2015
1. Loans subject to micro-hedging of fair value	**14,960**	**15,261**
a) Interest rate risk	14,960	15,261
b) Price risk	-	-
c) Foreign exchange risk	-	-
d) Credit risk	-	-
e) Other risks	-	-
2. Loans subject to micro-hedging of cash flow	**-**	**-**
a) Interest rate risk	-	-
b) Foreign exchange risk	-	-
c) Other	-	-
Total	**14,960**	**15,261**

7.4 Finance leases

Finance lease instalments due: timing of instalments

Time bands	Present value 31.12.2016	Present value 31.12.2015
up to 3 months	129,043	74,412
between 3 months and 1 year	146,598	874,461
between 1 year and 5 years	489,545	532,359
beyond 5 years	1,824,881	1,166,174
Total	**2,590,067**	**2,647,406**

Section 8 – Hedging derivatives Caption 80

8.1 Hedging derivatives: breakdown by type and level

	FV 31.12.2016			NV	FV 31.12.2015			NV
	L1	L2	L3		L1	L2	L3	
A. Financial derivatives	**-**	**62,365**	**-**	**2,634,095**	**-**	**38,182**	**-**	**2,013,208**
1) Fair value	-	62,365	-	2,634,095	-	38,182	-	2,013,208
2) Cash flows	-	-	-	-	-	-	-	-
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**62,365**	**-**	**2,634,095**	**-**	**38,182**	**-**	**2,013,208**

Key:

FV = fair value
NV = notional value

8.2 Hedging derivatives: breakdown by hedged portfolio and type of hedge (book value)

Operation/Type of hedge	Fair value						Cash flows		Foreign investments
	Specific					General	Specific	General	
	Interest rate risk	Exchange risk	Credit risk	Price risk	Multiple risks				
1. Financial assets available for sale	12,942	-	-	-	-	-	-	-	-
2. Loans	-	-	-	-	-	-	-	-	-
3. Financial assets held to maturity	-	-	-	-	-	-	-	-	-
4. Portfolio	-	-	-	-	-	-	-	-	-
5. Other operations	-	-	-	-	-	-	-	-	-
Total assets	**12,942**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Financial liabilities	49,423	-	-	-	-	-	-	-	-
2. Portfolio	-	-	-	-	-	-	-	-	-
Total liabilities	**49,423**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	-	-	-	-	-	-	-	-	-
2. Portfolio of financial assets and liabilities	-	-	-	-	-	-	-	-	-

Section 9 – Remeasurement of financial assets backed by general hedges
Caption 90

There are no amounts in this section.

Section 10 – Equity investments Caption 100

10.1 Equity investments: disclosure of holding

Name	Registered head office	Operational head office	Type of rela-tionship	Currency	Share capital	Nature of holding		% Voting rights
						Parent company	% held	
A. Investments in companies under joint control								
B. Companies subject to significant influence								
1 Alba Leasing s.p.a.	Milan	Milan	8	eur	357,953,058	BPER Banca	33.498	
2 Arca Holding s.p.a.	Milan	Milan	8	eur	50,000,000	BPER Banca	32.752	
3 Atriké s.p.a.	Modena	Modena	8	eur	120,000	BPER Banca	45.000	
4 Banca della Nuova Terra s.p.a.	Milan	Milan	8	eur	31,315,321	BPER Banca	30.369	
5 Cassa di Risparmio di Fossano s.p.a.	Fossano	Fossano	8	eur	31,200,000	BPER Banca	23.077	
6 Cassa di Risparmio di Savigliano s.p.a.	Savigliano	Savigliano	8	eur	33,085,179	BPER Banca	31.006	
7 CAT Progetto Impresa Modena s.c.r.l.	Modena	Modena	8	eur	90,000	BPER Banca	20.000	
8 CO.BA.PO Consorzio Banche Popolari dell'Emilia Romagna	Bologna	Bologna	8	eur	29,258	BPER Banca	23.587	
9 CONFORM Consulenza Formazione e Management s.cons.a r.l.	Avellino	Avellino	8	eur	200,000	BPER Banca	46.430	
			8			B. Sard.	2.980	
10 Emil-Ro Service s.r.l.	Bologna	Bologna	8	eur	93,600	BPER Banca	16.667	
			8			Emil-Ro Factor	8.333	
11 Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	Lanciano	Lanciano	8	eur	250,000	BPER Banca	20.000	
12 Resiban s.p.a.	Modena	Modena	8	eur	165,000	BPER Banca	20.000	
13 Sarda Factoring s.p.a.	Cagliari	Cagliari	8	eur	9,027,079	B. Sard.	13.401	
			8			BPER Banca	8.083	
14 Sintesi 2000 s.r.l.	Milan	Milan	8	eur	75,000	BPER Banca	33.333	
15 Sofipo s.a. in liquidazione	Lugano	Lugano	8	chf	2,000,000	B.P.E.R. Europe	30.000	
16 Unione Fiduciaria s.p.a.	Milan	Milan	8	eur	5,940,000	BPER Banca	24.000	

The figure for share capital is provided as extra information as required by CONSOB Communication DEM/6064293 dated 28 July 2006.
The "% Voting rights" column is only used if the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the interest held in the company's share capital.

Key:

Type of relationship
8 = associated company

10.2 Significant equity investments: book value, fair value and dividends received

Name	Book value	Fair value	Dividends received
A. Investments in companies under joint control			
B. Companies subject to significant influence			
1. Alba Leasing s.p.a.	135,859	-	-
2. Arca Holding s.p.a.	175,501	-	3,275
3. Banca della Nuova Terra s.p.a.	7,653	-	-
4. Cassa di Risparmio di Fossano s.p.a.	41,488	-	692
5. Cassa di Risparmio di Savigliano s.p.a.	29,661	-	316
6. Sarda Factoring s.p.a.	2,051	-	-
7. Unione Fiduciaria s.p.a.	7,198	-	415
Total	**399,411**	**-**	**4,698**

See Part A of the Explanatory notes for an explanation of how these figures were calculated.

Equity investments are considered significant based on the materiality of total assets compared with the equivalent consolidated figure. Other investments, which are not considered significant, are reported in table 10.4; the controlling interests measured using the equity method are reported in table 10.10.

10.3 Significant equity investments: accounting information

Name	Cash and cash equivalents	Financial assets	Non-financial assets	Financial liabilities	Non-financial liabilities	Total revenues	Net interest income
A. Investments in companies under joint control							
B. Companies subject to significant influence							
1 Alba Leasing s.p.a.	#	4,944,542	162,476	4,666,003	33,910	132,206	#
2 Arca Holding s.p.a.	#	125,100	200,605	89,800	29,309	289,065	#
3 Banca della Nuova Terra s.p.a.	#	22,089	10,708	72	1,373	709	#
4 Cassa di Risparmio di Fossano s.p.a.	#	1,896,014	126,623	1,818,186	93,996	61,204	#
5 Cassa di Risparmio di Savigliano s.p.a.	#	1,234,349	48,768	1,282,067	30,651	45,886	#
6 Sarda Factoring s.p.a.	#	69,870	1,518	61,604	499	2,766	#
7 Unione Fiduciaria s.p.a.	#	49,842	18,490	31,589	9,955	35,896	#

(cont.)

Name	Net adjustments to property, plant and equipment and intangible assets	Profit (Loss) from current operations before tax	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Net profit (loss) (1)	Other elements of income, net of income taxes (2)	Compre-hensive income (3)= (1)+(2)
A. Investments in companies under joint control							
B. Companies subject to significant influence							
1 Alba Leasing s.p.a.	#	6,128	3,914	-	3,914	(9)	3,905
2 Arca Holding s.p.a.	#	42,228	27,727	-	27,727	(697)	27,030
3 Banca della Nuova Terra s.p.a.	#	(4,854)	(4,855)	-	(4,855)	32	(4,823)
4 Cassa di Risparmio di Fossano s.p.a.	#	10,244	6,409	-	6,409	(6,582)	(443)
5 Cassa di Risparmio di Savigliano s.p.a.	#	4,810	3,207	-	3,207	(2,802)	405
6 Sarda Factoring s.p.a.	#	112	58	-	58	-	58
7 Unione Fiduciaria s.p.a.	#	5,219	3,477	-	3,477	-	3,477

The economic and financial information was taken from the latest approved financial statements.

Reconciliation of accounting information with the book value of significant equity investments as required by paragraph B14 b) IFRS 12

Name	Shareholders' equity	Attributable share	Goodwill (formerly positive/negative differences in shareholders' equity)	Other changes	Book value
A. Investments in companies under joint control					
B. Companies subject to significant influence					
1 Alba Leasing s.p.a.	405,578	135,859	-	-	135,859
2 Arca Holding s.p.a.	235,042	76,981	98,520	-	175,501
3 Banca della Nuova Terra s.p.a.	29,503	8,960	-	(1,307)	7,653
4 Cassa di Risparmio di Fossano s.p.a.	122,902	28,363	13,125	-	41,488
5 Cassa di Risparmio di Savigliano s.p.a.	80,224	24,874	4,787	-	29,661
6 Sarda Factoring s.p.a.	9,286	1,995	56	-	2,051
7 Unione Fiduciaria s.p.a.	35,530	8,527	(1,329)	-	7,198

For the values and parameters, see Part A.1 of these Explanatory notes.
The goodwill relating to and included in the value of significant equity investments (formerly positive/negative differences in shareholders' equity) amounts to € 115,306 thousand. The residual amount, € 147 thousand, relates to Resiban s.p.a., not attributable to significant investments.

Alba Leasing s.p.a. was founded in 2010 on the initiative of some of the major Italian cooperative banks and is the fifth largest leasing company in Italy with more than 23,000 active customers all over the country. It is a company that specialises in finance leases, which are distributed by the BPER Banca Group through its branch network.

Arca SGR s.p.a. has transferred its asset management, portfolio management and investment advisory business to Arca Funds SGR s.p.a. Subsequent to the transfer, it assumed the role of a holding company and will be responsible for Arca Funds SGR s.p.a.'s general market positioning and business development.

Banca della Nuova Terra s.p.a. is the reference bank for the agro-industrial sector. Its activity focuses on medium-long term agricultural loans for the purchase, expansion or restructuring of companies. Its products are distributed through a network of member banks, including branches of the BPER Banca Group.

Cassa di Risparmio di Fossano s.p.a. is a Piedmontese credit institution that offers a wide range of banking services.

Cassa di Risparmio di Savigliano s.p.a., active in Piedmont, aims to increase the spread of credit among small entrepreneurs, artisans and farmers.

Sarda Factoring s.p.a. provides financing services and hedging of business risk to companies in Sardinia.

Unione Fiduciaria s.p.a. was founded by a group of cooperative banks and offers trust services, consultancy, organisational and IT services for financial intermediaries.

10.4 Equity investments not considered significant: accounting information

Name	Book value of equity investments	Total assets	Total liabilities	Total revenues	Profit (Loss) from current operations after tax	Profit (Loss) after tax on non-current assets held for sale	Net profit (loss) (1)	Other elements of income, net of income taxes (2)	Comprehensive income (3)= (1)+(2)
Investments in companies under joint control									
Companies subject to significant influence	931	4,426	3,513	2,934	(57)	-	(57)	-	(57)

10.5 Equity investments: changes in the period

	31.12.2016	31.12.2015
A. Opening balance	**415,200**	**257,660**
B. Increases	**32,580**	**177,426**
B.1 Purchases	-	61,341
B.2 Write-backs	-	-
B.3 Revaluation	-	-
B.4 Other changes	32,580	116,085
C. Decreases	**33,857**	**19,886**
C.1 Sales	23,336	-
of which: business combinations	23,336	-
C.2 Adjustments	4,350	5,373
C.3 Other changes	6,171	14,513
D. Closing balance	**413,923**	**415,200**
E. Total revaluations	-	-
F. Total adjustments	**164,033**	**159,683**

“Sales” relate to a business combination for the acquisition of a controlling interest in Cassa di Risparmio di Saluzzo s.p.a.
"Adjustments" refer to the impairment test performed on the following companies subject to significant influence: Banca della Nuova Terra s.p.a. (€ 2,275 thousand), Sofipo s.a. in liquidation (€ 184 thousand); and on the following subsidiaries measured using the equity method: Polo Campania s.r.l. (€ 1,294 thousand), SIFA’ – Società Italiana Flotte Aziendali s.p.a. (€ 337 thousand) and Italiana Valorizzazioni Immobiliari s.r.l. (€ 260 thousand).
"Other changes" mainly include the Group's portions of the positive or negative results of affiliates and the consolidation entries under the equity method.

10.9 Significant restrictions

At the banks and companies that make up the BPER Banca Group's scope of consolidation, there are no significant restrictions as foreseen by IFRS 12 § 13.

10.10 Other information

Controlling interests measured using the equity method

Name	Book value of equity investments	Total assets	Total liabilities	Total revenues	Profit (loss) from current operations after tax	Profit (loss) after tax on non-current assets held for sale	Net profit (loss) (1)	Other elements of income, net of income taxes (2)	Comprehensive income (3)= (1)+(2)
Controlling interests measured using the equity method	13,581	106,354	92,731	8,521	(1,791)	-	(1,791)	-	(1,791)

Section 11 – Technical reserves carried by reinsurers Caption 110

There are no amounts in this section.

Section 12 – Property, plant and equipment Caption 120

12.1 Property, plant and equipment used for business purposes: breakdown of assets valued at cost

Description/Amounts	31.12.2016	31.12.2015
1. Assets owned	**707,924**	**720,186**
a) land	170,909	169,138
b) buildings	456,251	477,923
c) furniture	30,372	31,714
d) electronic systems	26,166	20,024
e) other	24,226	21,387
2. Assets purchased under finance leases	**3,424**	**3,536**
a) land	-	-
b) buildings	3,424	3,536
c) furniture	-	-
d) electronic systems	-	-
e) other	-	-
Total	**711,348**	**723,722**

12.2 Investment property: breakdown of assets valued at cost

Description/Amounts	31.12.2016				31.12.2015			
	Book value	Fair value			Book value	Fair value		
		L1	L2	L3		L1	L2	L3
1 Assets owned	**258,122**	**-**	**-**	**281,039**	**217,399**	**-**	**-**	**239,871**
a) land	92,677	-	-	96,525	90,423	-	-	102,214
b) buildings	165,445	-	-	184,514	126,976	-	-	137,657
2. Assets purchased under finance leases	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) land	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
Total	**258,122**	**-**	**-**	**281,039**	**217,399**	**-**	**-**	**239,871**

The Group has opted to measure both assets used in the business and investment property at cost.

12.5 Property, plant and equipment used in business: changes in the period

	Land	Buildings	Furniture	Electronic systems	Other	31.12.2016
A. Opening gross amount	**169,138**	**708,586**	**190,504**	**178,695**	**197,716**	**1,444,639**
A.1 Total net write-downs	-	227,127	158,790	158,671	176,329	720,917
A.2 Opening net amount	**169,138**	**481,459**	**31,714**	**20,024**	**21,387**	**723,722**
B. Increases	**7,248**	**20,826**	**3,643**	**12,951**	**11,463**	**56,131**
B.1 Purchases	4,585	8,863	3,503	11,272	7,664	35,887
- of which business combinations	3,149	7,952	80	7	995	12,183
B.2 Capitalised improvement expenditure	-	8,127	-	-	-	8,127
B.3 Write-backs	-	-	-	-	-	-
B.4 Positive changes in fair value posted to:	-	-	-	-	-	-
a) shareholders’ equity	-	-	-	-	-	-
b) income statement	-	-	-	-	-	-
B.5 Positive exchange rate adjustments	-	-	-	-	-	-
B.6 Transfer from properties held for investment	1,840	1,914	-	-	-	3,754
B.7 Other changes	823	1,922	140	1,679	3,799	8,363
C. Decreases	**5,477**	**42,610**	**4,985**	**6,809**	**8,624**	**68,505**
C.1 Sales	284	139	61	461	88	1,033
C.2 Depreciation	-	15,045	4,808	6,346	6,798	32,997
C.3 Impairment charges posted to:	1,516	929	-	-	-	2,445
a) shareholders’ equity	-	-	-	-	-	-
b) income statement	1,516	929	-	-	-	2,445
C.4 Negative changes in fair value posted to:	-	-	-	-	-	-
a) shareholders’ equity	-	-	-	-	-	-
b) income statement	-	-	-	-	-	-
C.5 Negative exchange rate adjustments	-	-	-	-	-	-
C.6 Transfer to:	3,062	25,926	-	-	-	28,988
a) property, plant and equipment held for investment	3,062	25,926	-	-	-	28,988
b) non-current assets held for sale	-	-	-	-	-	-
C.7 Other changes	615	571	116	2	1,738	3,042
D. Closing net balance	**170,909**	**459,675**	**30,372**	**26,166**	**24,226**	**711,348**
D.1 Total net write-downs	1,636	237,075	155,813	152,989	179,472	726,985
D.2 Closing gross amount	**172,545**	**696,750**	**186,185**	**179,155**	**203,698**	**1,438,333**

The determination of the fair value of property, held for whatever purpose, which is also useful to highlight any need for impairment, is usually done based on generally accepted valuation methods and principles. At 31 December 2016, the valuation of the Group's entire property portfolio was subjected to review by an independent expert, an exercise considered useful for better compliance with the guidance provided by IAS 40. Based on the valuation submitted to us on completion of the above review, it was deemed appropriate to write down the carrying amount of the various properties with the recognition of an impairment loss of € 2,445 thousand.

12.6 Investment property: changes in the period

	31.12.2016	
	Land	Buildings
A. Opening gross amount	**90,423**	**157,203**
A.1 Total net write-downs	-	30,227
A.2 Opening net amount	**90,423**	**126,976**
B. Increases	**5,078**	**52,284**
B.1 Purchases	1,849	25,939
B.2 Capitalised improvement expenditure	-	226
B.3 Positive changes in fair value	-	-
B.4 Write-backs	-	-
B.5 Exchange gains	-	-
B.6 Transfers from assets used in business	3,062	25,926
B.7 Other changes	167	193
C. Decreases	**2,824**	**13,815**
C.1 Sales	322	1,992
C.2 Depreciation	-	3,312
C.3 Negative changes in fair value	-	-
C.4 Impairment changes	564	6,391
C.5 Exchange losses	-	-
C.6 Transfers to other asset portfolios:	1,840	1,914
a) property used in business	1,840	1,914
b) non-current assets held for sale	-	-
C.7 Other changes	98	206
D. Closing net balance	**92,677**	**165,445**
D.1 Total net write-downs	-	59,258
D.2 Closing gross amount	**92,677**	**224,703**
E. Measured at fair value	**96,525**	**184,514**

As a result of the updated valuation of the property portfolio at fair value, as mentioned previously, it was found necessary, in accordance with IAS 36, to write down the carrying amount of some properties, recording an impairment loss of € 6,955 thousand.

Useful life of the main fixed asset categories

Category	Useful life
Land	not depreciated
Property	based on the useful lives identified from specific appraisals
Office furniture and machines	100 months
Furnishings	80 months
Lifting equipment	160 months
Motor vehicles	48 months
Alarm systems	40 months
IT hardware	60 months

Depreciation is calculated with reference to the estimated useful lives of the assets concerned, commencing from when they enter into service.

Section 13 – Intangible assets
Caption 130

13.1 Intangible assets: breakdown by type

Description/Amounts	31.12.2016		31.12.2015	
	Limited duration	Unlimited duration	Limited duration	Unlimited duration
A.1 Goodwill	**#**	**361,505**	**#**	**380,395**
A.1.1 attributable to the group	#	361,505	#	380,395
A.1.2 attributable to minority interests	#	-	#	-
A.2 Other intangible assets	**156,328**	**-**	**134,769**	**-**
A.2.1 Carried at cost:	156,328	-	134,769	-
a) Intangible assets generated internally	-	-	-	-
b) Other assets	156,328	-	134,769	-
A.2.2 Carried at fair value:	-	-	-	-
a) Intangible assets generated internally	-	-	-	-
b) Other assets	-	-	-	-
Total	**156,328**	**361,505**	**134,769**	**380,395**

"Other intangible assets" mainly comprise applications software measured at cost and amortised on a straight-line basis over a period, not exceeding five years, that depends on the degree of obsolescence involved.
Details of the goodwill recorded in the Consolidated financial statements is provided in table 13.3.1.
The residual "Other intangible assets" include € 13,333 thousand relating to client relationships identified on allocation of the purchase price paid for the former Unicredit branches in 2008, the useful life of which has been estimated to be 18 years and € 4,711 thousand relating to core deposits identified on allocation of the purchase price for the acquisition of Cassa di Risparmio di Bra in 2013.

13.2 Intangible assets: changes in the period

	Goodwill	Other intangible assets: generated internally		Other intangible assets: other		Total
		Lim.	Unilm.	Lim.	Unilm.	
A. Opening balance	**464,031**	**51**	**-**	**322,851**	**-**	**786,933**
A.1 Total net write-downs	83,636	51	-	188,082	-	271,769
A.2 Opening net amount	**380,395**	**-**	**-**	**134,769**	**-**	**515,164**
B. Increases	**13,964**	**-**	**-**	**56,498**	**-**	**70,462**
B.1 Purchases	13,964	-	-	56,498	-	70,462
- of which business combinations	13,964	-	-	32	-	13,996
B.2 Increases in intangible assets generated internally	#	-	-	-	-	-
B.3 Write-backs	#	-	-	-	-	-
B.4 Positive changes in fair value	-	-	-	-	-	-
- posted to shareholders' equity	#	-	-	-	-	-
- posted to income statement	#	-	-	-	-	-
B.5 Exchange gains	-	-	-	-	-	-
B.6 Other changes	-	-	-	-	-	-
C. Decreases	**32,854**	**-**	**-**	**34,939**	**-**	**67,793**
C.1 Sales	-	-	-	-	-	-
C.2 Adjustments	32,854	-	-	34,886	-	67,740
- Amortisation	#	-	-	34,886	-	34,886
- Write-downs	32,854	-	-	-	-	32,854
+ posted to shareholders' equity	#	-	-	-	-	-
+ posted to income statement	32,854	-	-	-	-	32,854
C.3 Negative changes in fair value	-	-	-	-	-	-
- posted to shareholders' equity	#	-	-	-	-	-
- posted to income statement	#	-	-	-	-	-
C.4 Transfer to non-current assets held for sale	-	-	-	-	-	-
C.5 Exchange losses	-	-	-	-	-	-
C.6 Other changes	-	-	-	53	-	53
D. Closing net balance	**361,505**	**-**	**-**	**156,328**	**-**	**517,833**
D.1 Total net value adjustments	116,489	51	-	203,645	-	320,185
E. Closing gross amount	**477,994**	**51**	**-**	**359,973**	**-**	**838,018**

All intangible assets are stated at cost.

Key:

Fin.: finite duration
Indef.: indefinite duration

13.3 Other information

13.3.1 Goodwill

The goodwill reported in the Consolidated financial statements is summarised in the following table:

Goodwill	31.12.2016	31.12.2015
1. Group companies	**361,505**	**380,395**
1.1 Banks	**72,844**	**91,734**
- Banco di Sardegna s.p.a.	54,306	82,256
- Banca di Sassari s.p.a.	-	4,904
- Cassa di Risparmio di Bra s.p.a.	4,574	4,574
- Cassa di Risparmio di Saluzzo s.p.a.	13,964	-
1.2 Parent Company BPER	**280,236**	**280,236**
-Purchase of UNICREDIT branches	83,650	83,650
- Meliorbanca s.p.a.	104,685	104,685
- Banca CRV - Cassa di Risparmio di Vignola s.p.a.	2,272	2,272
- Banca Popolare di Lanciano e Sulmona s.p.a.	1,655	1,655
- Banca Popolare di Aprilia s.p.a.	10,151	10,151
- CARISPAQ - Cassa di Risparmio della Provincia dell'Aquila s.p.a.	13,477	13,477
- Banca Popolare di Ravenna s.p.a.	6,876	6,876
- Banca Popolare del Mezzogiorno s.p.a.	6,124	6,124
- Banca della Campania s.p.a.	51,346	51,346
1.3 Other companies	**8,425**	**8,425**
- Sardaleasing s.p.a.	1,657	1,657
- Emilia Romagna Factor s.p.a.	6,768	6,768
Total	**361,505**	**380,395**

The detailed figures relating to the Parent Company BPER Banca represent a purely historical and accounting situation, in any case combined in the only identifiable CGU represented by the Legal Entity BPER Banca.
As part of Project Dinamo, details of which have been provided above, upon the acquisition of the banking business from Banca di Sassari, it was necessary to write down the goodwill relating thereto as recorded in the Consolidated financial statements of Banco di Sardegna, the sub-holding company, by € 3.3 million.
Impairment testing, as required by IAS 36, has shown the need for a writedown of goodwill relating to Banco di Sardegna of € 29.6 million.
Goodwill relating to Cassa di Risparmio di Saluzzo was provisionally recognised at an amount of € 14 million, until the completion of the PPA (purchase price allocation).

Goodwill impairment test

With respect to business combinations, accounting standard IFRS 3 requires the recognition of new intangible assets and goodwill arising from a transaction; goodwill is measured as the difference between the value of the consideration transferred and the acquisition-date fair value of the assets acquired and the liabilities assumed.
In accordance with IAS 36, assets with an indefinite useful life acquired in a business combination, including goodwill, are required to be subjected annually (or when there is any indication that an asset may be impaired) to an impairment test to verify the recoverability of their carrying amount.
Impairment testing requires the preliminary identification of the cash generating unit (CGU) to which the goodwill should be allocated. A CGU is the smallest group of assets that generates cash inflows in an autonomous manner. When the recoverable amount of an individual asset cannot be measured, the recoverable amount of the cash generating unit to which the asset belongs should be estimated. Since goodwill is not an asset that generates cash inflows autonomously, the CGUs benefiting from the goodwill arising from a business combination should be identified for the purposes of impairment testing and the goodwill should be allocated to these CGUs.
Impairment testing has to be performed by comparing the carrying amount of the CGU with its recoverable value, where the recoverable amount is the higher of its fair value less costs to sell and its related value in use. Any adjustments are recorded in the income statement.

Determination of Cash Generating Unit

According to IAS 36, there is a need to correlate the level at which goodwill is tested with the internal reporting level at which management controls movements in this value. In this regard, the definition of this level is closely dependent on the organisational models and the attribution of management responsibilities for the definition of operating activities and subsequent monitoring. Organisational models can be related to the articulation of legal entities through which operations are developed or to the definition of the business's operating sectors that are the basis of segment reporting as envisaged by IFRS 8.
Due to the characteristics of the individual entities, BPER Banca Group’s federal model (organised by geographical area) is gradually being superseded, though in the meantime it still governs the segment reporting system (based on individual legal entities), with each Bank being identified as a separate CGU.
The goodwill recorded in the consolidated balance sheet at 31 December 2016 and which refers to individual subsidiary banks, was tested with reference to the cash flows potentially distributable by each entity to which the goodwill has been allocated, i.e.:

- BPER Banca;
- CR Bra;
- Banco di Sardegna.

Carrying amount of the CGUs

The carrying amount of the CGUs is determined in a manner consistent with the criterion used to estimate the recoverable amount thereof.
The table below sets out the carrying amount of the CGUs, together with the portion of goodwill allocated thereto and to core deposits.

(in millions of Euro)

CGU	Carrying amount attributable to Group	of which: goodwill attributable to Group	of which: core deposits attributable to Group
BPER	4,781.0	*280.2*	-
CR Bra	49.8	*4.6*	*2.0*
Banco di Sardegna	703.2	*83.9*	-

Criteria for estimation of value in use of CGUs

For the purpose of impairment testing, reference was made to value in use, estimated using the discounted cash flow valuation method. This method estimates the value in use of an asset by discounting expected cash flows, determined by management on the basis of financial projections for the asset being valued.

Cash flow beyond the last year of the planning period is projected into perpetuity by using an appropriate long-term growth rate “g” to estimate the terminal value.

In the case of banks and financial institutions in general, free cash flow means distributable cash flow taking account of capital restrictions imposed by the Regulatory Authorities or considered reasonable for the coverage of risk that is typical for the asset in question. Accordingly, future cash flows are identifiable as flows that could potentially be distributed after meeting the minimum constraints for allocation of capital.

Future cash flows are discounted using a discount rate that reflects the present value of the time value of money and the specific risks associated with an asset. Specifically, discount rates used incorporate current market rates with reference to the risk free rate and risk premium associated with the equity component observed over a sufficiently long time period that reflects different market conditions and economic cycles and the use of an appropriate beta coefficient for each CGU that takes account of relevant operating environment risks.

In the specific case of financial institutions, the relevant valuation method is the Dividend Discount Model or Excess Capital Method, represented by the following formula:

$$W = \sum_{i=0}^{n} CF_i(1 + k_e)^{-i} + TV(1 + k_e)^{-n}$$

Key:
W = value in use;
CF_i = cash flow available for distribution over time i;
i = reference year of cash flow;
n = period of time covered by the financial projections;
k_e = discount rate;
TV = Terminal Value; this corresponds to the present value of a perpetuity calculated on the basis of a cash flow sustainable in the long-term with a constant growth rate of "g".

Estimation of prospective cash flows

The value in use of each CGU was estimated by discounting future cash flows relating to an explicit forecast period of five years, from 2017 to 2021. The forecasts were drawn up based on the preliminary financial position and results of each entity as at and for the year ended 31 December 2016 and was done in two stages:

- for 2017, budget figures were used;
- for the period 2018-2021, in order to determine sustainable long-term normalised income, financial projections were developed in a context of inertial growth and which took account of expected developments in the macroeconomic scenario and the trend in actual income recorded by each CGU without taking account of the impact of any future reorganisation or restructuring.

The table below sets out the main underlying assumptions for the financial projections used to estimate value in use and, in particular, the compound annual growth rate (CAGR) for deposits and profitability ratios in the last year of the forecast (2021).

CGU	CAGR 2016-2021			Profitability indicators at 2021		
	Loans	Direct deposits	Indirect deposits	Net interest and other banking income/VH	Net impairment loans	Operating costs/WH
BPER	1.3%	-0.4%	3.2%	1.49%	0.55%	0.87%
CR Bra	1.7%	-2.0%	6.6%	1.84%	0.55%	0.96%
Banco di Sardegna	0.4%	-0.5%	4.4%	1.76%	0.55%	1.22%

Key:
VH = Volumes handled (Loans+Total Deposits)

Briefly, in the explicit forecast period we expect:

- a growth in loans helped by a recovery, albeit weak, in the economy that will affect all components of demand (mortgages, loans, etc.);
- a fall in direct deposits that reflects a situation of positive, but limited, economic growth, which impacts household savings;
- a significant increase in indirect deposits due to the fact that more attention was given to assets under management/insurance;
- a gradual upturn in customer spread over the medium term;
- higher net commission income driven by a slight increase in commission percentage and, in particular, a rise in indirect deposits;
- cost of credit falling gradually from 2016, favoured by an improvement in the economic environment and more selective lending;
- a fall in operating costs in 2017 because of reorganisation policies that have already been implemented by Bank management and a slight increase in subsequent years attributable to payroll costs and other administrative expenses.

The prospective financial information used in the inertial period are characterised by amounts for which interest rates have been decreasing in recent years; however, it should be noted that the forecasts are sensitive to changes in the macroeconomic scenario which is significantly impacted by the situation of uncertainty on the timing and strength of the Italian economy's recovery. For this reason, sensitivity analyses of the value in use of the CGU to changes in certain significant parameters used for valuation purposes have been carried out.

The Terminal Value, being the value for the period beyond that covered by the explicit projections, has been estimated by considering a normalised cash flow generated by income in the last year of the projections, net of physiological capital absorption, and by applying a nominal long-term growth rate ("g") of 1.5%; this "g" rate is substantially in line with expected long-term inflation, thus assuming average real growth of zero.

Distributable cash flows have been calculated assuming the Common Equity Tier I ratio target will rise from 7.25% in 2017 to 8.5% from 2019 onwards, in line with supervisory provisions and which will be capable of maintaining a satisfactory level of capitalisation in line with the expected business outlook.

Discount rate

Value in use is estimated by discounting cash flows at a rate that considers the current market rates relating to both the element of time value and country risk, as well as specific risks related to the asset in question.

The discount rate was estimated using the Capital Asset Pricing Model, using the following formula:

$$k_e = R_f + \beta \times (R_m - R_f)$$

Key:
R_f = Risk free rate;
$(R_m - R_f)$ = Market Risk Premium;
β = Beta.

The CAPM expresses a linear relationship in terms of market balance between the return on an investment and its systematic risk. In detail, the return on an investment is calculated as the sum of the risk-free rate (expression of the time value of money) and the risk premium, which corresponds to the product of beta times the equity risk premium.

The discount rate was estimated as 9.99%, considering the following parameters:

- The Risk Free Rate represents the time value of money corresponding to the return on a risk-free investment usually represented by government bonds. The general structure of the CAPM refers to a risk-free rate, but makes no reference to the period of time to be considered. The approach that prevailed for the valuation process was to select a rate of return on long-term government bonds (generally 10-year bonds). On account of the volatility of returns on Italian government bonds, use was made of the 3-month average yield on 10-year BTPs, calculated with reference to a 3-month observation period, of 1.75%.
- The Market Risk Premium is the difference between the return on a diversified portfolio of risky investments available on the market and the yield on a risk-free bond. It should be borne in mind that the risk premium is generally associated with the long-term. Since this represents, in fact, the additional return over the risk free rate that an investor requires to invest in a portfolio of risky assets, it should not be linked to short-term market fluctuations. Specifically, we used a market risk premium based on the national context of 5.50%, as used in valuations by various operators.
- Beta, specific investment risk. A beta expresses the correlation between the return on a single risky investment and the return on a market portfolio. A coefficient equal to one indicates that the investment being considered follows the exact trend of the market portfolio, while a beta

greater than one identifies an "aggressive" investment, the yield of which may vary to a greater extent than that on the market return. A beta lower than one corresponds to a "defensive" investment; in this case variations in the investment yield are less sensitive. The beta was estimated to be 1.50, equating to the beta for BPER Group calculated with reference to a 3-year observation period, which eliminates or at least limits any particular fluctuations.

Results of impairment tests

An impairment tests requires a comparison between the recoverable amount of the CGU to which goodwill has been allocated and its carrying amount.
More specifically, the carrying amount was calculated as the sum of the portion of shareholders' equity estimated at 31 December 2016 in proportion to the investment held and the value of goodwill recorded in the Consolidated financial statements attributable to the individual CGU.
In accordance with applicable accounting standards, goodwill must be adjusted when the carrying amount of the CGU to which it has been allocated exceeds the recoverable amount, which in this case is assumed to be equal to the value in use.
Based on the above assumptions, the values in use of each CGUs were estimated and compared with their respective carrying amounts. Impairment testing conducted as at the reference date of these Consolidated financial statements indicated impairment losses pertaining to goodwill allocated to the Banco di Sardegna CGU of Euro 29.6 million, while that allocated to other CGUs was confirmed. Lastly, the differential margin for CR Bra also makes it possible to confirm the value of specific intangible assets with a finite life, represented by the "Core Deposits" identified after the Purchase Price Allocation.

Sensitivity analysis

It should be noted that the principal parameters utilised in the measurement model, such as cash flow and discount rate, can be influenced, even significantly, by developments in the general economic environment, especially with the current difficult market conditions and uncertainty as to future economic prospects. The effect that these changes could have on cash flow projections and on the main financial assumptions applied could therefore render future results substantially different from those presented in these financial statements.
For this reason, it was considered useful to perform sensitivity analysis to assess the impact on the estimates of value in use and therefore on the results of the impairment test, of changes in the key parameters on which the valuation model was based. In particular, we verified the impact on value in use of a change of:

- +25 bps and +50 bps in base cost of capital (equating to 9.99%) and in the CET 1 Ratio target;
- -25 bps and -50 bps in the long-term base growth rate “g” (equating to 1.5%);
- +5 bps and +10 bps in net adjustments to loans in the last year of the base forecast.

The following table shows the change in percentage terms of the value in use of the CGU compared with that obtained using the "base" parameters.

CGU	Change in value in use of CGU							
	Interest rate ke		CET 1 Ratio target		Growth rate "g"		Adjustments	
	+25 bps	+50 bps	+25 bps	+50 bps	-25 bps	-50 bps	+5 bps	+10 bps
BPER	-1.6%	-3.2%	-1.2%	-2.3%	-0.6%	-1.1%	-1.8%	-3.6%
CR Bra	-3.1%	-6.1%	-1.8%	-3.7%	-1.3%	-2.6%	-2.9%	-5.8%
Banco di Sardegna	-1.1%	-2.2%	-0.7%	-1.4%	-0.5%	-0.9%	-1.6%	-3.1%

Based on the simulations developed by varying certain key parameters, there was a decrease in value in use of between 0.5% and 6.1%.
Except for the Banco di Sardegna CGU, in none of these cases was value in use of the CGU lower than the carrying amount thereof. The following table shows the excess/(shortfall) in percentage terms of the value in use of the CGU versus its carrying amount.

CGU	Value in use of CGU versus book value of CGU							
	Interest rate ke		CET 1 Ratio target		Growth rate "g"		Adjustments	
	+25 bps	+50 bps	+25 bps	+50 bps	-25 bps	-50 bps	+5 bps	+10 bps
BPER	+13.6%	+11.8%	+14.1%	+12.8%	+14.8%	+14.2%	+13.4%	+11.3%
CR Bra	+33.5%	+29.4%	+35.2%	+32.7%	+35.9%	+34.2%	+33.7%	+29.7%
Banco di Sardegna	-5.3%	-6.3%	-4.9%	-5.5%	-4.7%	-5.1%	-5.7%	-7.2%

Again from a stress test point of view, alternative changes were considered in the discount rate and in the normalised cash flow for the last period of the projections (used to estimate the terminal value) until the changes resulted in the CGU's value in use equalling its carrying amount, or, in other words, the threshold value of the main inputs, beyond which impairment testing of the CGU would result in a loss.

CGU	Ke limit rate	Limit redaction normalised cash flow
BPER	12.60%	-34.3%
CR Bra	12.85%	-36.9%
Banco di Sardegna	0.0%	0.0%

The results of these analyses show that there is a satisfactory gap between the amounts used for the impairment test and the upper limits, indicating, as a consequence, that there is sufficient headroom (the amount by which the recoverable amount exceeds the carrying amount) even with an adverse change in the current market scenario.

Second level impairment test

When the market capitalisation is lower than the carrying amount of equity, it is useful to perform a second level impairment test, even if there are costs not allocated to the individual CGUs and corporate assets; this is done to support the reasonableness of the results achieved with the impairment test carried out on the individual CGUs to which goodwill has been allocated.

The second level impairment test makes it possible to compare the estimated value in use at a consolidated level with the Group's equity resulting from the preliminary figures at 31 December 2016.
In line with the first level impairment test, the valuation method used is the Dividend Discount Model, assessing the Group as a single CGU. This approach is preferable when there are consolidated economic projections and in the presence of a Group with various lines of business that are reasonably similar in nature.
The estimates of potentially distributable cash flows were based on consolidated financial projections, calculated on the basis of the assumptions already discussed above with reference to each CGU; the excess/deficit with respect to the Basel 3 capital requirements was then added/subtracted and applied to the specific case on the basis of the indications received from the Supervisory Authority; specifically, a target CET 1 Ratio of 9.30% was considered.
The estimated cash flows were discounted at a rate of 9.99%, which corresponds to that used in the impairment test of the individual CGUs, so reference should be made to them for further details on the inputs used.
On the basis of these assumptions, the value in use of the entire BPER Group confirms that there has been no impairment of the overall goodwill of Euro 390 million recorded in the Consolidated financial statements.

As for the impairment tests of the individual CGUs, a sensitivity analysis was also performed in this case to assess the impact on the estimates of value in use, and therefore on the results of the test, of changes in the key parameters on which the valuation model is based. In particular, we verified the impact on value in use of a change of:

- +25 bps and +50 bps in base cost of capital (equating to 9.99%) and in the CET 1 Ratio target;
- -25 bps and -50 bps in the long-term base growth rate "g" (equating to 1.5%);
- +5 bps and +10 bps in net adjustments to loans in the last year of the base forecast.

The following table shows the change in percentage terms of value in use compared with that obtained using the "base" parameters.

CGU	Change in value in use of CGU							
	Interest rate ke		CET 1 Ratio target		Growth rate "g"		Adjustments	
	+25 bps	+50 bps	+25 bps	+50 bps	-25 bps	-50 bps	+5 bps	+10 bps
Gruppo BPER Banca	-2.0%	-4.0%	-1.7%	-3.4%	-0.5%	-0.9%	-2.5%	-5.0%

Based on the simulations performed by varying certain key parameters, there was a decrease in value in use of between 0.5% and 5.0%.
On the occurrence of certain conditions, the value in use of the Group would be lower than the carrying amount thereof, indicating, as a consequence, impairment losses pertaining to goodwill. The following table shows the excess/(shortfall) in percentage terms of the value in use of the CGU versus its carrying amount.

CGU	Value in use of CGU versus book value of CGU							
	Interest rate ke		CET 1 Ratio target		Growth rate "g"		Adjustments	
	+25 bps	+50 bps	+25 bps	+50 bps	-25 bps	-50 bps	+5 bps	+10 bps
Gruppo BPER Banca	+1.7%	-0.3%	+2.1%	+0.3%	+3.4%	+2.9%	+1.2%	-1.4%

Again from a stress test point of view, alternative changes were considered in the discount rate and in the normalised cash flow for the last period of the projections (used to estimate the Terminal Value) until the changes resulted in BPER Banca Group's value in use equalling its carrying amount, or, in other words, the threshold value of the main inputs, beyond which impairment testing would result in a loss.

CGU	Ke limit rate	Limit redaction normalised cash flow
Gruppo BPER Banca	10.5%	-7.7%

Section 14 – Tax assets and liabilities Asset caption 140 and liability caption 80

14.1 Deferred tax assets: breakdown

	IRES	IRAP	Total
Adjustments to loans to customers	792,440	69,934	862,374
Write-downs of equity investments and securities	33,840	12,552	46,392
Goodwill	139,952	28,340	168,292
Personnel provisions	65,941	6,333	72,274
Endorsement credits, revocatory action during bankruptcy proceedings and outstanding lawsuits	61,265	3,647	64,912
Depreciation of property, plant and equipment and amortisation of intangible assets	12,796	715	13,511
Tax losses	38,222	4,329	42,551
Other deferred tax assets	25,664	662	26,326
Total	**1,170,120**	**126,512**	**1,296,632**

14.2 Deferred tax liabilities: breakdown

	IRES	IRAP	Total
Gains from the sale of shares and bonds	42,855	10,999	53,854
Equity investments	980	379	1,359
Payroll costs	1,651	-	1,651
Gains from the sale of property, plant and equipment	3,424	405	3,829
Depreciation of property, plant and equipment and amortisation of intangible assets	4,305	414	4,719
Goodwill	11,698	2,369	14,067
Other deferred tax liabilities	14,574	2,228	16,802
Total	**79,487**	**16,794**	**96,281**

"Deferred tax assets" and "Deferred tax liabilities" are determined on the basis of IRES and IRAP tax rates which are expected to be in force at the time of their recovery.
The recognition of deferred tax assets is made after checking the probability that there will be sufficient future taxable income to recover them.

14.3 Changes in deferred tax assets (with contra-entry to income statement)

	31.12.2016	31.12.2015
1. Opening balance	**1,222,520**	**1,123,567**
2. Increases	**105,770**	**132,787**
2.1 Deferred tax assets recognised during the year	93,603	116,237
a) relating to prior years	12	56
b) due to changes in accounting policies	-	-
c) write-backs	-	-
d) other	93,591	116,181
2.2 New taxes or increases in tax rates	-	3,262
2.3 Other increases	12,167	13,288
of which: business combinations	10,164	-
3. Decreases	**89,900**	**33,834**
3.1 Deferred tax assets derecognised during the year	85,444	29,532
a) reversals	84,172	28,733
b) written down as no longer recoverable	-	-
c) due to changes in accounting policies	-	-
d) other	1,272	799
3.2 Reduction in tax rates	59	22
3.3 Other decreases	4,397	4,280
a) transformation of tax credits referred as per L. 214/2011	1,433	2,785
b) other	2,964	1,495
4. Closing balance	**1,238,390**	**1,222,520**

14.3.1 Changes in deferred tax assets as per Law 214/2011 (with contra-entry to income statement)

	31.12.2016	31.12.2015
1. Opening balance	**1,072,618**	**1,018,156**
2. Increases	**49,872**	**62,529**
3. Decreases	**51,406**	**8,067**
3.1 Reversals	49,938	4,513
3.2 Transformations into tax credits	1,433	2,785
a) arising from losses	1,433	2,785
b) arising from tax losses	-	-
3.3 Other decreases	35	769
4. Closing balance	**1,071,084**	**1,072,618**

The transformation mentioned in point 3.2.a) was made in light of the provisions of Decree Law 225/2010, converted with amendments into Law 10/2011. In particular, article 2, paragraphs 55-56, provides that in the event of a loss for the year, deferred tax assets recorded in the financial statements relating to adjustments to loans as well as those relating to goodwill and other intangible assets (DTA) are transformed into a tax credit. The transformation runs from the date of approval of the financial statements and takes place for an amount equal to the loss for the year multiplied by the ratio between the DTA and net equity before the loss for the year. With effect from the tax period of transformation, negative components corresponding to the DTA transformed into tax credits are not deductible.
Law 214/2011 also introduced the possibility to transform into tax credits any DTAs recognised in the financial statements for the part of IRES tax losses arising from deduction of temporary differences relating to adjustments to loans and goodwill.
Subsequently, Law 214/2013 (Stability Law 2014) extended the conversion of IRAP DTAs relating to the impairment of loans and the value of goodwill and other intangible assets, also in the case of "negative net value of production".
The increases referred to in paragraph 2 above relate to deferred tax assets on tax losses convertible into tax credits in accordance with the rules mentioned above.
These rules therefore ensure the recovery of the DTAs in the case of a loss in the statutory accounts, even if a tax loss is recorded, explaining the reasons that justify full recognition in assets of € 1,071.1 million of deferred tax assets.
The residual DTAs, of € 225.5 million, represent assets whose recovery is linked to the presence of future taxable income. They have been recognised in the light of various elements:
- option for tax consolidation exercised by BPER Banca: tax consolidation extends the probability of making taxable income for IRES purposes that can absorb the recoveries that gave rise to the deferred tax assets;
- the 2015-2017 Business Plan confirmed the forecasts of future taxable income at consolidated level.

The details of DTAs for IRES and IRAP purposes are shown below:

	31.12.2016			31.12.2015		
	IRES	IRAP	Total	IRES	IRAP	Total
Net impairment adjustments to loans	792,440	69,934	862,374	824,320	72,257	896,577
Goodwill	139,908	28,340	168,248	146,391	29,650	176,041
Tax losses	36,241	4,221	40,462	-	-	-
Total	**968,589**	**102,495**	**1,071,084**	**970,711**	**101,907**	**1,072,618**

In addition to the above, there are DTAs convertible under Law 214/2011 relating to tax losses and IRAP losses recognised through other comprehensive income. The details are shown below:

	31.12.2016			31.12.2015		
	IRES	IRAP	Total	IRES	IRAP	Total
Tax losses	1,981	108	2,089	-	-	-

14.4 Changes in deferred tax liabilities (with contra-entry to income statement)

	31.12.2016	31.12.2015
1. Opening balance	**22,231**	**25,854**
2. Increases	**7,374**	**2,762**
2.1 Deferred tax liabilities recognised during the year	5,004	2,383
a) relating to prior years	-	22
b) due to change in accounting policies	-	-
c) other	5,004	2,361
2.2 New taxes or increases in tax rates	-	9
2.3 Other increases	2,370	370
of which: business combinations	2,358	-
3. Decreases	**3,473**	**6,385**
3.1 Deferred tax liabilities derecognised during the year	2,360	3,359
a) reversals	2,250	2,159
b) due to change in accounting policies	-	-
c) other	110	1,200
3.2 Reduction in tax rates	298	1,030
3.3 Other decreases	815	1,996
4. Closing balance	**26,132**	**22,231**

14.5 Changes in deferred tax assets (with contra-entry to shareholders' equity)

	31.12.2016	31.12.2015
1. Opening balance	**41,170**	**55,766**
2. Increases	**27,334**	**7,935**
2.1 Deferred tax assets recognised during the year	26,825	7,385
a) relating to prior years	-	-
b) due to changes in accounting policies	-	-
c) other	26,825	7,385
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	509	550
of wich: business combinations	487	-
3. Decreases	**10,262**	**22,531**
3.1 Deferred tax assets cancelled during the year	8,451	10,550
a) reversals	8,451	10,526
b) written down as no longer recoverable	-	-
c) due to changes in accounting policies	-	-
d) other	-	24
3.2 Reduction in tax rates	69	5
3.3 Other decreases	1,742	11,976
4. Closing balance	**58,242**	**41,170**

The amount shown under "Deferred tax liabilities recognised during the year - other" (2.1 - c)) comprises an amount of € 2,089 thousand related to deferred tax assets convertible into tax credits in accordance with Law 214/2011.

14.6 Changes in deferred tax liabilities (with contra-entry to shareholders' equity)

	31.12.2016	31.12.2015
1. Opening balance	**82,871**	**87,677**
2. Increases	**19,745**	**30,696**
2.1 Deferred tax liabilities recognised during the year	17,173	30,323
a) relating to prior years	3	-
b) due to change in accounting policies	-	-
c) other	17,170	30,323
2.2 New taxes or increase in tax rates	-	204
2.3 Other increases	2,572	169
- of wich buisiness combinations	2,195	-
3. Decreases	**32,467**	**35,502**
3.1 Deferred tax liabilities cancelled during the year	31,971	35,117
a) reversals	31,836	34,944
b) due to change in accounting policies	-	-
c) other	135	173
3.2 Reduction in tax rates	211	17
3.3 Other decreases	285	368
4. Closing balance	**70,149**	**82,871**

Section 15 – Non-current assets and disposal groups held for sale and associated liabilities
Asset caption 150 and liability caption 90

There are no amounts in this section.

Section 16 – Other assets
Caption 160

16.1 Other assets: breakdown

	31.12.2016	31.12.2015
Taxes withheld on interest, withholdings and tax credits on dividends, advance taxation	142,681	131,859
Amounts recoverable from the tax authorities for higher taxes paid for previous years and related accrued interest	3,101	2,328
Sundry amounts to be charged to customers	104,092	576,057
Bank charges to be debited to customers or banks	56,643	57,669
Cheques being processed	6,697	5,290
Cheques drawn on other banks	95,042	114,615
Items relating to securities transactions	7,479	89,108
Items in transit with branches	84	66
Leasehold improvement expenditure	8,648	10,808
Gold, silver and precious metals	234	234
Accrued income and prepaid expenses	45,932	44,774
Other items for sundry purposes	103,542	103,518
Total	**574,175**	**1,136,326**

This caption does not include any positions classed as contingent assets as defined by applicable legislation. Positions classed as such are sufficiently covered by allocations to provisions for risks and charges

Liabilities and shareholders' equity

Section 1 – Due to banks
Caption 10

1.1 Due to banks: breakdown by type

Type of transaction/Members of the group	31.12.2016	31.12.2015
1. Due to Central Banks	**5,086,667**	**3,003,907**
2. Due to banks	**4,376,011**	**2,519,085**
2.1 Current accounts and demand deposits	540,393	302,322
2.2 Restricted deposits	212,383	52,780
2.3 Loans	3,621,733	2,161,978
2.3.1 Repurchase agreements	3,106,113	1,499,914
2.3.2 Other	515,620	662,064
2.4 Payables for commitments to repurchase own equity instruments	-	-
2.5 Other payables	1,502	2,005
Total	**9,462,678**	**5,522,992**
Fair value - level 1	-	-
Fair value - level 2	-	-
Fair value - level 3	9,462,678	5,522,992
Total fair value	**9,462,678**	**5,522,992**

The net interbank position is negative for € 8,131 million. The Directors' Report on Group operations provides further details on this.

Section 2 – Due to customers Caption 20

2.1 Due to customers: breakdown by sector

Type of transaction/Members of the group		31.12.2016	31.12.2015
1. Current accounts and demand deposits		32,330,963	29,018,832
2. Restricted deposits		2,219,888	2,423,865
3. Loans		3,663,635	3,694,678
3.1 repurchase agreements		1,780,019	1,862,690
3.2 other		1,883,616	1,831,988
4. Payables for commitments to repurchase own equity instruments		-	-
5. Other payables		698,228	750,283
	Total	**38,912,714**	**35,887,658**
	Fair value - level 1	-	-
	Fair value - level 2	-	-
	Fair value - level 3	38,912,714	35,887,658
	Total fair value	**38,912,714**	**35,887,658**

2.5 Finance lease payables

Total minimum future payments for lease transactions

Time bands	Present value 31.12.2016	Present value 31.12.2015
Up to 3 months	37	36
Between 3 months and 12 months	114	109
Between 1 and 5 years	679	649
Beyond 5 years	23	204
Total	**853**	**998**

Section 3 – Debt securities in issue
Caption 30

3.1 Debt securities in issue: breakdown by sector

Type of security/Amounts	31.12.2016				31.12.2015			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
A. Securities								
1. Bonds	5,907,774	2,611,580	3,395,756	-	6,845,549	2,606,780	4,372,082	-
1.1 structured	-	-	-	-	-	-	-	-
1.2 other	5,907,774	2,611,580	3,395,756	-	6,845,549	2,606,780	4,372,082	-
2. Other securities	2,679,469	-	93,075	2,587,572	3,649,016	-	99,431	3,549,024
2.1 structured	91,897	-	93,075	-	99,992	-	99,431	-
2.2 other	2,587,572	-	-	2,587,572	3,549,024	-	-	3,549,024
Total	**8,587,243**	**2,611,580**	**3,488,831**	**2,587,572**	**10,494,565**	**2,606,780**	**4,471,513**	**3,549,024**

Bonds include subordinated bonds issued by the Group totalling € 508,378 thousand, as analysed in table 3.2 below.
The "Level 3" column of point 2.2 reports the nominal value of certificates of deposit, the fair value of which has not been disclosed since these are short-term transactions.
Embedded derivatives that satisfy the conditions laid down in IAS 39 at the issue date for separation from the host contract at 31 December 2016 show a net negative fair value of € 6,034 thousand, recorded in liability caption 40.
The caption "2.2 Other securities – structured securities" includes the value of certificates after unbundling the embedded option, previously classified under caption "1.1 Bonds – structured bonds"; the figures at 31 December 2015 have been restated for comparative purposes.

3.2 Analysis of caption 30 "Debt securities in issue": subordinated securities

	Book value 31.12.2016	Nominal value 31.12.2016	Book value 31.12.2015	Nominal value 31.12.2015
EMTN B.P.E.R. subordinated non-convertible bond floating rate 3-month Euribor +100 bps, 2006-2016	-	-	61,823	61,816
EMTN B.P.E.R. subordinated non-convertible bond floating rate 3-month Euribor +95 bps, 2007-2017	153,163	153,043	153,192	153,043
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	47,162	47,179	71,041	71,100
Lower Tier II B.P.E.R. subordinated non-convertible bond 5.81%, 2013-2020	10,052	9,556	12,564	11,945
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	225,293	224,855	224,806	224,383
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	12,024	12,000	-	-
Cassa di Risparmio di Bra s.p.a. fixed-rate Lower Tier II subordinated bond 2010-2017 amortising 4%	2,030	2,000	4,063	4,000
Cassa di Risparmio di Bra s.p.a. fixed-rate Lower Tier II subordinated bond 2011-2021 amortising nom. 7,000,000	7,091	7,000	7,095	7,000
Cassa di Risparmio di Bra s.p.a. subordinated bond 2012-2020 amortising 5.25%	4,085	4,000	5,110	5,000
Lower Tier II CARISPAQ subordinated non-convertible bond floating rate, 2010-2020	4,269	4,250	4,272	4,250
Cassa di Risparmio di Saluzzo s.p.a. subordinated Lower Tier II bond 5.25% with periodic amortisation, 2011-2018	7,972	7,927	-	-
Cassa di Risparmio di Saluzzo s.p.a. subordinated Tier II bond 2.50%, 2014-2019	9,967	9,961	-	-
Total non-convertible bonds	**483,108**	**481,771**	**543,966**	**542,537**
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	25,270	23,589	26,046	23,786
Total expired non convertible bonds (*)	**25,270**	**23,589**	**26,046**	**23,786**
Total bonds	**508,378**	**505,360**	**570,012**	**566,323**

(*) Tranches of loans maturing 31 December 2016 for which accounting confirmation from ICBPI (Istituto Centrale delle Banche Popolari Italiane s.p.a.) was received on 2 January 2017.

There are no convertible subordinated loans outstanding at 31 December 2016.

3.3 Analysis on caption 30 "Debt securities in issue": micro-hedged securities

	31.12.2016	31.12.2015
1. Payables with fair value micro-hedge	**1,967,297**	**2,036,344**
a) interest rate risk	1,967,297	2,036,344
b) foreign exchange risk	-	-
c) multiple risks	-	-
2. Payables with cash flow micro-hedge	**-**	**-**
a) interest rate risk	-	-
b) foreign exchange risk	-	-
c) multiple risks	-	-
Total	**1,967,297**	**2,036,344**

Section 4 – Financial liabilities held for trading Caption 40

4.1 Financial liabilities held for trading: breakdown by sector

Type of transaction/ Members of the group	31.12.2016					31.12.2015				
	NV	FV			FV*	NV	FV			FV*
		L1	L2	L3			L1	L2	L3	
A. Cash liabilities										
1. Due to banks	-	-	-	-	-	1,930	2,124	-	-	2,124
2. Due to customers	1,600	1,785	-	-	1,785	20,007	20,068	-	-	20,068
3. Debt securities	-	-	-	-	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	#	-	-	-	-	#
3.1.2 Other bonds	-	-	-	-	#	-	-	-	-	#
3.2 Other securities	-	-	-	-	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	#	-	-	-	-	#
3.2.2 Other	-	-	-	-	#	-	-	-	-	#
Total A	**1,600**	**1,785**	**-**	**-**	**1,785**	**21,937**	**22,192**	**-**	**-**	**22,192**
B. Derivatives										
1. Financial derivatives	-	1,506	203,010	20,536	-	-	676	192,188	27,093	-
1.1 For trading	#	1,506	194,955	20,536	#	#	676	184,521	27,093	#
1.2 Connected with the fair value option	#	-	2,021	-	#	#	-	2,000	-	#
1.3 Other	#	-	6,034	-	#	#	-	5,667	-	#
2. Credit derivatives	-	-	-	-	-	-	-	-	-	-
2.1 For trading	#	-	-	-	#	#	-	-	-	#
2.2 Connected with the fair value option	#	-	-	-	#	#	-	-	-	#
2.3 Other	#	-	-	-	#	#	-	-	-	#
Total B	**#**	**1,506**	**203,010**	**20,536**	**#**	**#**	**676**	**192,188**	**27,093**	**#**
Total (A+B)	**#**	**3,291**	**203,010**	**20,536**	**#**	**#**	**22,868**	**192,188**	**27,093**	**#**

The caption "cash liabilities" concerns the balance of "technical shorts" generated by capital market transactions. The financial derivatives connected with the fair value option are mainly associated with debt securities classified as financial liabilities designated at fair value through profit and loss (liability caption 50).

Key:

FV = fair value
FV = fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date*
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

Section 5 – Financial liabilities designated at fair value through profit and loss
Caption 50

5.1 Financial liabilities designated at fair value through profit and loss: breakdown by sector

Type of security/Amounts	31.12.2016					31.12.2015				
		FV					FV			
	NV	L1	L2	L3	FV*	NV	L1	L2	L3	FV*
1. Due to banks	-	-	-	-	-	-	-	-	-	-
1.1 Structured	-	-	-	-	#	-	-	-	-	#
1.2 Other	-	-	-	-	#	-	-	-	-	#
2. Due to customers	-	-	-	-	-	-	-	-	-	-
2.1 Structured	-	-	-	-	#	-	-	-	-	#
2.2 Other	-	-	-	-	#	-	-	-	-	#
3. Debt securities	**245,240**	-	**247,933**	-	**251,130**	**845,157**	-	**873,558**	-	**874,971**
3.1 Structured	-	-	-	-	#	-	-	-	-	#
3.2 Other	245,240	-	247,933	-	#	845,157	-	873,558	-	#
Total	**245,240**	-	**247,933**	-	**251,130**	**845,157**	-	**873,558**	-	**874,971**

"Debt securities" include subordinated bonds for a total of € 170,539 thousand, none of which are convertible into shares. The cumulative change in fair value attributable to the change in credit risk amounts to € 3,196 thousand; this change had a negative effect during the year of € 2,025 thousand.

Key:

FV = fair value
FV = fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date.*
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

Financial liabilities designated at fair value through profit and loss: use of the fair value option

Description/Amounts	31.12.2016		
	Due to banks	Due to customers	Debt securities
a) Natural hedges using derivatives	-	-	247,933
b) Natural hedges using other financial instruments	-	-	-
c) Other cases of accounting mismatches	-	-	-
d) Financial instruments managed and measured at fair value	-	-	-
e) Structured products with embedded derivatives	-	-	-
Total	**-**	**-**	**247,933**

5.2 Analysis of caption 50 "Financial liabilities designated at fair value through profit and loss": subordinated securities

	Book value 31.12.2016	Nominal value 31.12.2016	Book value 31.12.2015	Nominal value 31.12.2015
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	3,708	3,600	7,507	7,200
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	10,514	10,200	21,297	20,400
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2011-2017	141,196	139,104	289,284	277,927
Total non-convertible bonds	**155,418**	**152,904**	**318,088**	**305,527**
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	3,913	3,600	4,070	3,600
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	11,208	10,200	11,712	10,200
Total expired non convertible bonds (*)	**15,121**	**13,800**	**15,782**	**13,800**
Total bonds	**170,539**	**166,704**	**333,870**	**319,327**

(*) Tranches of loans maturing 31 December 2016 for which accounting confirmation from ICBPI (Istituto Centrale delle Banche Popolari Italiane s.p.a.) was received on 2 January 2017.
There are no convertible subordinated loans outstanding at 31 December 2016.

Section 6 – Hedging derivatives Caption 60

6.1 Hedging derivatives: breakdown by type and by levels

	Fair value 31.12.2016			NV	Fair value 31.12.2015			NV
	L1	L2	L3		L1	L2	L3	
A. Financial derivatives	-	**40,697**	-	**1,757,528**	-	**23,715**	-	**1,132,756**
1) Fair value	-	17,242	-	1,527,528	-	8,006	-	902,756
2) Cash flows	-	23,455	-	230,000	-	15,709	-	230,000
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-	-	-	-
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	-	**40,697**	-	**1,757,528**	-	**23,715**	-	**1,132,756**

The cash flow hedge agreements have the following expiry dates: notional value of € 115 million in 2017, € 50 million in 2021, € 15 million in 2022 and € 50 million in 2023.
The related cash flows will impact the income statement up to the relevant expiration dates.

Key:

NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

6.2 Hedging derivatives: analysis by hedged portfolio and type of hedge

Operation/Type of hedge	Fair Value						Cash flows		Foreign investments
	Specific					General	Specific	General	
	Interest rate risk	Exchange risk	Credit risk	Price risk	Multiple risks				
1. Financial assets available for sale	13,406	-	-	-	-	#	23,455	#	#
2. Loans	3,766	-	-	#	-	#	-	#	#
3. Financial assets held to maturity	#	-	-	#	-	#	-	#	#
4. Portfolio	#	#	#	#	#	-	#	-	#
5. Other operations	-	-	-	-	-	#	-	#	-
Total assets	**17,172**	**-**	**-**	**-**	**-**	**-**	**23,455**	**-**	**-**
1. Financial liabilities	70	-	-	#	-	#	-	#	#
2. Portfolio	#	#	#	#	#	-	#	-	#
Total liabilities	**70**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	#	#	#	#	#	#	-	#	#
2. Portfolio of financial assets and liabilities	#	#	#	#	#	-	#	-	-

Section 7 – Remeasurement of financial liabilities backed by general hedges
Caption 70

There are no amounts in this section.

Section 8 – Tax liabilities
Caption 80

See asset section 14.

Section 9 – Liabilities associated with non-current assets held for sale
Caption 90

See asset section 15.

Section 10 – Other liabilities
Caption 100

10.1 Other liabilities: breakdown

	31.12.2016	31.12.2015
Amounts due to banks	18,481	12,134
Amounts due to customers	575,069	923,952
Net adjustments on collection of receivables for third parties	15,235	331,709
Staff emoluments and related social contributions	26,443	30,249
Amounts due to third parties for coupons, securities and dividends to be collected	54,708	35,445
Amounts due to the tax authorities on behalf of customers and personnel	100,748	119,747
Bank transfers for clearance	7,971	22,337
Advances for the purchase of securities	92	219
Due to suppliers	143,218	100,437
Third-part payments as surety for loans	332	106
Repayment to be made to INPS	173	186
Provisions for guarantees given	56,923	54,973
Items in transit	18,910	10,854
Accrued expenses and deferred income	25,553	24,139
Other liabilities to third parties	153,206	178,228
Total	**1,197,062**	**1,844,715**

Consistent with the Bank of Italy Communication dated 19 January 2016 – Contributions to the Single Resolution Fund – an amount of € 34,932 thousand has been reclassified to the caption "Other liabilities to third parties", relating to extraordinary contributions recognised in profit or loss in the year ended 31 December 2016, for which no cash outlay had yet occurred.

Section 11 – Provision for termination indemnities Caption 110

11.1 Provision for termination indemnities: change in the year

	31.12.2016	31.12.2015
A. Opening balance	**200,669**	**221,919**
B. Increases	**13,387**	**2,166**
B.1 Provisions	2,339	2,159
B.2 Other increases	11,048	7
of which: business combinations	4,238	-
C. Decreases	**8,692**	**23,416**
C.1 Payments made	7,206	12,476
C.2 Other decreases	1,486	10,940
D. Closing balance	**205,364**	**200,669**
Total	**205,364**	**200,669**

11.2 Other information

The following tables detail the changes in the provision for termination indemnities, as well as the principal demographic and financial assumptions made in order to quantify the provision using the Projected Unit Credit Method (pursuant to IAS 19R, § 65-67); lastly, table 11.2.3 presents the comparative information required by law.

11.2.1 Changes in termination indemnities during the year

Description/Amounts	31.12.2016	31.12.2015
A. Opening balance	**200,669**	**221,919**
B. Increases	**13,387**	**2,166**
1. Pension cost relating to current work	3	85
2. Financial charges	2,336	2,074
3. Contribution to the plan by employees	-	-
4. Actuarial losses	5,310	-
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	5,738	7
C. Decreases	**8,692**	**23,416**
1. Benefits paid	7,206	12,476
2. Pension cost of prior work	-	-
3. Actuarial gains	-	9,829
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	1,486	1,111
D. Closing balance	**205,364**	**200,669**

11.2.2.Description of the principal actuarial assumptions

Principal actuarial assumptions/%	31.12.2016	31.12.2015
Discount rates	0.38%	1.01%
Expected increase in remuneration	n/a	n/a
Turnover	5.74%	6.31%
Inflation rate	1.40%	1.50%
Interest rate adopted for the calculation of interest cost	0.99%	0.83%

In addition to the average data included in the table, the approach taken to identify the principal actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Turnover: time series analysis for the period 2011-2014 of the phenomena giving rise to the terminations and adjustments to take account of any "anomalies" that occurred in the past. The assumptions made about turnover took account of grade, seniority, age and gender.
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2016", by adopting an IPCA index of 1.0% for 2017, 1.2% for 2018 and 1.4% for subsequent years;
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

Demographic assumptions.

With reference to the technical demographic bases, the analyses performed on the time series of the Company's staff focused on monitoring the trend in the following reasons for elimination between 2011 and 2014:

- rate of employee mortality: except for the Section B pension fund, for which, as requested by the Parent Company, use was made of table RG48 (with age shifting), the ISTAT life table of resident population was used, broken down by age and gender, updated as of 2015;
- rate of employee disability: the tables used for the INPS model to generate "Initial prospects for 2010" were used;
- frequency and amount of advances on termination indemnities: in order to take into account the effects that these advances have on the timing of severance payments and, consequently on the discounting of the Company's liability, a probability table for the release of part of the accrued volumes was created. The frequency of advance payments and the average percentage of termination indemnities requested as an advance were taken from corporate data;
- probability of retirement, resignation, dismissal: this was taken from corporate data; in particular, a table showing the propensity of departure from the Company was created, based on age and gender.

11.2.3 Comparative information: history of the plan

Description/Amounts	31.12.2016	31.12.2015
1. Present value of provisions (+)	205,364	200,669
2. Fair value of assets servicing the plan (-)	-	-
3. Plan (surplus) deficit (±)	205,364	200,669
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	5,310	(9,829)
5. Adjustments to plan assets based on historical experience	-	-

The sensitivity analysis was carried out on the individual legal entities. Reference should be made to the Parent Company's Separate financial statements

Section 12 – Provisions for risks and charges Caption 120

12.1 Provisions for risks and charges: breakdown

Item/Components	31.12.2016	31.12.2015
1. Pensions and similar commitments	136,409	124,500
2. Other provisions for risks and charges	286,382	285,899
2.1 Legal disputes	148,444	138,499
2.2 Personnel expenses	118,834	126,372
2.3 Other	19,104	21,028
Total	**422,791**	**410,399**

12.2 Provisions for risks and charges: change in the year

Items/Components	31.12.2016	
	Pensions and similar	Other provisions
A. Opening balance	**124,500**	**285,899**
B. Increases	**17,595**	**88,713**
B.1 Provisions	8	80,951
B.2 Changes due to the passage of time	1,933	408
B.3 Changes due to variations in the discount rate	14,251	20
B.4 Other changes	1,403	7,334
of which: business combinations	1,386	2,261
C. Decreases	**5,686**	**88,230**
C.1 Utilisations during the year	5,556	69,714
C.2 Changes due to variations in the discount rate	-	-
C.3 Other changes	130	18,516
D. Closing balance	**136,409**	**286,382**

The changes due to variations in the discount rate also include actuarial gains and losses, considering not just interest rate movements, but also other demographic and financial factors, where applicable.
With regard to disputes relating to Group Banks and Companies, please refer to the explanations in paragraph 7.3 "Main litigation and legal proceedings pending" in the Directors' Report on Group operations.

12.3 Defined-benefit pension plans

12.3.1 Features of the pension plans and related risks

The pension plans cover BPER Banca, as referred to in the individual financial statements, Cassa di Risparmio di Bra s.p.a. and Cassa di Risparmio di Saluzzo s.p.a., as detailed below.

Cassa di Risparmio di Bra s.p.a.

The latter's is an in-house defined-benefit plan, it is not a separate legal entity and its assets are held together with those of the Bank.

Its purpose is to provide a supplementary pension to the state pension paid by INPS, but solely to employees that had already retired as of 1 October 1998, given that the actuarial liability payable to "active" members at that date had been paid out.

At the measurement date, the related headcount consisted of no. 7 persons, of whom no. 3 are direct beneficiaries and no. 4 are indirect.

Cassa di Risparmio di Saluzzo s.p.a.

This fund is not a separate legal entity, its purpose is to provide a supplementary pension to the state pension paid by INPS, for employees that had already retired as of 31 August 1998, and its assets are held together with those of the Bank.

At the measurement date, the related headcount consisted of no. 20 persons, of whom no. 7 are direct beneficiaries and no. 13 are indirect.

12.3.2 Changes in the plans during the year

Description/Amount	31.12.2016	31.12.2015
Opening balance	**479**	**470**
A. Increases	**1,418**	**37**
1. Pension cost relating to current work	-	-
2. Financial charges	10	6
3. Contribution to the plan by employees	-	-
4. Actuarial losses	22	31
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	1,386	-
B. Decreases	**(179)**	**(28)**
1. Benefits paid	(72)	(28)
2. Pension cost of prior work	-	-
3. Actuarial gains	(24)	-
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	(83)	-
Closing balance	**1,718**	**479**

12.3.3. Information on fair value of assets servicing the plan

As already reported, the staff pension funds of the two Group Banks are in-house defined-benefit plans and their assets are held together with those of the Bank.

12.3.4 Description of the principal actuarial assumptions

Cassa di Risparmio di Bra s.p.a.

The demographic assumptions made for the measurement were based on RG48 tables to arrive at the probability of death of retired staff by gender.
The financial assumptions adopted were:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used;
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2016", by adopting an IPCA index of 1.0% for 2017, 1.2% for 2018 and 1.4% for subsequent years;
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

Cassa di Risparmio di Saluzzo s.p.a.

The financial assumptions adopted were:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used;
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2016", by adopting an IPCA index of 1.80% for 2017, 1.7% for 2018, 1.60% for 2019 and 2% for subsequent years.

12.3.5 Information on the amount, timing and uncertainty of cash flows

Cassa di Risparmio di Bra s.p.a.

Fondi	31.12.2016		+50 bps inflation rate		-50 bps inflation rate	
	DBO	*Service Cost*	*DBO*	*Service Cost*	*DBO*	*Service Cost*
Fund Section A	481	-	467	-	517	-

Cassa di Risparmio di Saluzzo s.p.a.

Fondi	31.12.2016		+25 bps inflation rate		-25 bps inflation rate	
	DBO	*Service Cost*	*DBO*	*Service Cost*	*DBO*	*Service Cost*
Fund Section A	1,237	-	1,216	-	1,259	-

12.3.5 Cash Flows futuri

Fondo sezione A	1st year	2nd year	3rd year	4th year	over 4 year
Cassa di Risparmio di Bra s.p.a.	28,738	28,637	27,907	27,539	437,794
Cassa di Risparmio di Saluzzo s.p.a.	140	129	119	109	99

12.3.6 Multi-employer plans

At 31 December 2016 there were no multi-employer plans in place.

12.3.7 Defined benefit plans that share risks between entities under common control

At 31 December 2016 there were no plans of this type.

12.3.8. Cassa di Risparmio di Bra s.p.a. - Comparative information: history of the plan

Description/Amounts	Defined-benefit pension plans 31.12.2016	Defined-benefit pension plans 31.12.2015
1. Present value of provisions (+)	1,718	479
2. Fair value of assets servicing the plan (-)		-
3. Plan (surplus) deficit (±)	1,718	479
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	(1)	31
5. Adjustments to plan assets based on historical experience	-	-

The amounts shown in the table relate to Cassa di Risparmio di Bra s.p.a. and Cassa di Risparmio di Saluzzo s.p.a.
The adjustments based on historical experience solely comprise actuarial gains and losses.

12.4 Provisions for risks and charges - other provisions

12.4.1 Legal disputes

	31.12.2016	31.12.2015
A. Opening balance	**138,499**	**116,550**
B. Increases	40,744	53,803
Charge for the year	38,924	49,781
Other increases	1,820	4,022
C. Decreases	(30,799)	(31,854)
Other decreases	(14,504)	(21,799)
Utilisation during the year	(16,295)	(10,055)
D. Closing balace	**148,444**	**138,499**

There are no contingent liabilities for which it was not possible to record appropriate risk-related provisions.

Personnel charges relate to specific benefits granted to employees based on their length of service, the provisions for which are governed by IAS 19.
"Personnel charges" are analysed in the following table as an aid to understanding the phenomenon.

12.4.2 Personnel charges

Description/Amounts	Other personnel provisions	
	31.12.2016	31.12.2015
Opening balance	**126,372**	**78,460**
A. Increases	**42,132**	**100,212**
1. Pension cost relating to current work	26,372	65,779
2. Financial charges	4,487	232
3. Contribution to the plan by employees	-	-
4. Actuarial losses	2,056	55
5. Translation differences	-	-
6. Pension cost of prior work	3	-
7. Other changes	9,214	34,146
B. Decreases	**49,670**	**52,300**
1. Benefits paid	48,268	38,456
2. Pension cost of prior work	-	-
3. Actuarial gains	231	3,574
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	295
7. Other changes	1,171	9,975
Closing balance	**118,834**	**126,372**

The prior year figure for "Pension cost relating to current work" (A.1) includes extraordinary provisions for redundancy incentives and the Solidarity Fund of € 58,624 thousand, following the agreement with the trade unions and as foreseen in the 2015-2017 Business Plan.
"Personnel charges" relate to specific benefits granted to employees based on their length of service, the provisions for which are governed by IAS 19.

The provision for charitable donations is classified together with the provisions for other risks and charges.

The changes are shown in the following table as an aid to understanding the trend.

12.4.3 Other provisions

Captions	31.12.2016		31.12.2015	
	Other provisions	Provision for charitable	Other provisions	Provision for charitable
A. Opening balance	**20,157**	**871**	**14,622**	**1,065**
B. Allocation net profit	-	-	-	131
C. Provisions	5,915	-	10,357	-
D. Uses	(7,526)	(313)	(4,822)	(325)
E. Residual balance	**18,546**	**558**	**20,157**	**871**

Section 13 – Technical reserves Caption 130

There are no amounts in this section.

Section 14 – Redeemable shares Caption 150

There are no amounts in this section.

Section 15 – Shareholders' equity Caption 140, 160, 170, 180, 190, 200 e 220

15.1 "Share capital" and "Treasury shares": breakdown

"Share capital" relates solely to the Parent Company. Share capital is represented solely by ordinary shares as quantified as follows:

Treasury shares: breakdown Company	Number shares	Nominal value
BPER Banca S.p.A.	455,458	1,366,374
Total	455,458	1,366,374

There are also no. 55,864 shares relating to Banca di Sassari s.p.a., held by it, for a total of Euro 5 thousand.

15.2 Share capital - number of shares of the Parent Company: change in the year

Caption/Types	Ordinary	Others
A.Outstanding shares: at the beginning of the year	**481,308,435**	**-**
- fully paid	481,308,435	-
- not fully paid	-	-
A.1 Treasury shares (-)	(455,458)	-
A.2 Shares in issue: opening balance	**480,852,977**	**-**
B. Increases	**-**	**-**
B.1 New share issues	-	-
- for payment:	-	-
- on business combinations	-	-
- on conversion of bonds	-	-
- exercise of warrants	-	-
- other	-	-
- *bonus* issues:	-	-
- to employees	-	-
- to directors	-	-
- other	-	-
B.2 Sale of treasury shares	-	-
B.3 Other changes	-	-
C. Decreases	**-**	**-**
C.1 Cancellation	-	-
C.2 Purchase of treasury shares	-	-
C.3 Disposal of businesses	-	-
C.4 Other changes	-	-
D. Outstanding shares: closing balance	**480,852,977**	**-**
D.1 Treasury Shares (+)	455,458	-
D.2 Outstanding shares at the end of the year	481,308,435	-
- fully paid	481,308,435	-
- not fully paid	-	-

15.4 Profit reserves: other information

Revenue reserves are generally established when the net profit resulting from the financial statements is allocated through a specific reserve.

The Italian Civil Code obliges companies to set aside at least 5% of net profit in a special reserve until it reaches one-fifth of share capital. If , for whatever reason, the amount of the legal reserve falls below this limit of one-fifth of share capital, it has to be reinstated by setting aside at least one-twentieth of the net profit until the shortfall is covered.

Statutory reserves include all types of reserves envisaged in the company's articles of association. The conditions, constraints and methods of formation and management of these reserves are governed by the articles of association.

This caption also includes the consolidation reserves generated following the elimination of the book value of equity investments against the corresponding portion of equity of each of them.

This caption also includes the effects generated by the transition to international accounting standards.

The reserves can be used for different operations, depending on their constraints and nature; for the disclosures envisaged in art. 2427 paragraph 7 *bis* of the Italian Civil Code, please refer to the information provided in the Separate financial statements.

Section 16– Minority interests
Caption 210

16.1 Analysis of caption 210 "Minority interests"

Name	31.12.2016	31.12.2015
Equity investments in consolidated companies with significant minority interests	**673,711**	**626,738**
1. Banco di Sardegna (*)	581,308	564,879
2. Banca di Sassari s.p.a.	30,760	-
3. Cassa di Risparmio di Bra s.p.a.	21,840	22,071
4. Sardaleasing s.p.a.	34,943	35,074
5. Emilia Romagna Factor s.p.a.	4,860	4,714
Other equity investments	**655**	**549**
Total	**674,366**	**627,287**

(*) consolidation of the sub-holding company Banco di Sardegna and its subsidiaries.
The transfer of 59.200% of the shares in Banca di Sassari from Banco di Sardegna to BPER Banca was completed on 23 May 2016. After this purchase, the Parent Company increased its investment in Banca di Sassari and acquired direct control over it.

To determine the relevance of minority interests, see Part A of these Explanatory notes.
Minority interests not considered significant have been recognised under "Other investments".

Other information

1. Guarantees given and commitments

Operations	31.12.2016	31.12.2015
1) Financial guarantees	530,666	761,282
a) Banks	2,535	13,766
b) Customers	528,131	747,516
2) Commercial guarantees	2,226,344	2,342,730
a) Banks	130,374	115,717
b) Customers	2,095,970	2,227,013
3) Irrevocable commitments to disburse loans	792,117	871,517
a) Banks:	2,595	6,883
i) certain to be called on	2,483	6,771
ii) not certain to be called on	112	112
b) Customers:	789,522	864,634
i) certain to be called on	26,640	19,398
ii) not certain to be called on	762,882	845,236
4) Commitments underlying credit derivatives: protection sale	-	-
5) Assets used to guarantee the commitments of third parties	10,000	11,620
6) Other commitments	54,535	291,330
Total	**3,613,662**	**4,278,479**

2. Assets used to guarantee own liabilities and commitments

Portfolios	31.12.2016	31.12.2015
1. Financial assets held for trading	253,605	227,848
2. Financial assets designated at fair value through profit and loss	7,282	7,274
3. Financial assets available for sale	7,276,388	4,634,410
4. Financial assets held to maturity	1,852,778	1,480,789
5. Due from banks	235,429	181,881
6. Loans to customers	9,698,828	8,259,258
7. Property, plant and equipment	-	-

Type of assets used to guarantee own liabilities and commitments

	31.12.2016	31.12.2015
1. Assets sold as part of Covered Bonds	3,248,980	3,025,338
2. Securities and deposits acting as collateral for derivative transactions	253,239	200,503
3. Securities guaranteeing securitisations	44,594	39,223
4. Securities guaranteeing treasury transactions	4,074,713	2,550,662
5. Loans guaranteeing treasury transactions	6,027,183	4,770,259
6. Securities guaranteeing the issue of bankers' drafts	11,704	9,551
7. Securities guaranteeing repurchase agreements	4,773,223	3,238,488
8. Loans sold guaranteeing the related funding	404,854	445,116
9. Securities guaranteeing the funding of subsidised loans	485,820	512,320

The amounts indicated at point 5 include:
- € 2,437,025 thousand relating to mortgage loans sold as part of Covered Bond issues,
- € 697,896 thousand relating to mortgage loans sold as part of the Estense Finance self-securitisation transaction (BPER Banca),
- € 163,062 thousand relating to mortgage loans sold as part of the Dedalo Finance (CR Bra) and Alchera (CR Saluzzo) self-securitisation transactions;
- € 821,926 thousand relating to leases sold as part of the Multi Lease self-securitisation transaction (Sardaleasing).
Operationally, the instruments provided as a guarantee are represented by the Senior Notes originated by the transactions.
No securities pertaining to reverse repurchase agreements have been provided as collateral for guaranteed funding transactions (repurchase agreements).

5. Administration and trading on behalf of third parties

Type of services	31.12.2016
1. Trading in financial instruments on behalf of third parties	**-**
a) purchases	-
1. settled	-
2. unsettled	-
b) sales	-
1. settled	-
2. unsettled	-
2. Asset management	**2,912,672**
a) individual	2,912,672
b) collective	-
3. Custody and administration of securities	**51,419,478**
a) third-party securities on deposit: associated with activities as a custodian bank (excluding portfolio management)	-
1. securities issued by consolidated companies	-
2. other securities	-
b) third party securities held in deposits (excluding segregated accounts): other	34,342,313
1. securities issued by consolidated companies	6,713,118
2. other securities	27,629,195
c) third-party securities in custody with others	32,131,920
d) own securities in custody with others	17,077,165
4. Other transactions	**9,097,299**

6. Financial assets subject to offsetting in the financial statements, or subject to framework agreements for offsetting or similar arrangements

Technical forms	Gross amount of financial assets (a)	Amount of the financial liabilities offset in the financial statements (b)	Net amount of financial assets shown in the financial statements (c = a-b)	Related amounts not subject to offsetting in the financial statements		Net amount (f=c-d-e) 31.12.2016	Net amount (f=c-d-e) 31.12.2015
				Financial instruments (d)	Cash deposits received as collateral (e)		
1. Derivatives	192,183	-	192,183	125,628	41,659	24,896	12,294
2. Repurchase agreements	-	-	-	-	-	-	-
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31.12.2016	**192,183**	**-**	**192,183**	**125,628**	**41,659**	**24,896**	**#**
Total 31.12.2015	**174,271**	**-**	**174,271**	**124,430**	**37,547**	**#**	**12,294**

The amounts shown in the table relate to standard master agreements such as ISDA (International Swaps and Derivatives Association) and CSA (Credit Support Annex) agreements for Derivatives and GMRA (Global Master Repurchase Agreement) for Repurchase Agreement Transactions.
Under the agreements executed using the ISDA standard, offsetting of OTC derivative contracts is permitted in the event of default of either party to the agreement and, for almost all institutional counterparties, the terms of the CSA provide for cash collateral that is revised regularly based on the contracts' underlying value.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of IAS 32 § 42.
The gross amounts (a) shown in the table relate to € 129,818 thousand of derivatives recorded under caption 20 "Financial assets held for trading" and € 62,365 thousand recorded under caption 80 "Hedging derivatives"; related financial instruments (d) consist of derivatives recorded under caption 40 "Financial liabilities held for trading" and under caption 60 "Hedging derivatives", whereas cash deposits received (e) are recorded under caption 10 "Due to banks" and in the caption 20 "Due to customers".

7. Financial liabilities subject to offsetting in the financial statements, or subject to framework agreements for offsetting or similar arrangements

Technical forms	Gross amount of financial liabilities (a)	Amount of financial assets offset in the financial statements (b)	Net amount of financial liabilities shown in the financial statements (c = a-b)	Related amounts not subject to offsetting in the financial statements		Net amount (f=c-d-e) 31.12.2016	Net amount (f=c-d-e) 31.12.2015
				Financial instruments (d)	Cash deposits used as collateral (e)		
1. Derivatives	248,747	-	248,747	125,628	120,538	2,581	1,504
2. Repurchase agreements	4,854,899	-	4,854,899	4,851,339	3,560	-	2,633
3. Securities lending	-	-	-	-	-	-	-
4. Other operations	-	-	-	-	-	-	-
Total 31.12.2016	**5,103,646**	**-**	**5,103,646**	**4,976,967**	**124,098**	**2,581**	**#**
Total 31.12.2015	**3,567,663**	**-**	**3,567,663**	**3,457,457**	**106,069**	**#**	**4,137**

With regard to the types of agreements, the points made in respect of the previous table apply here as well.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of IAS 32 § 42.
The gross amounts (a) shown in the table relate to € 208,051 thousand of derivatives recorded under caption 40 "Financial liabilities held for trading" and € 40,697 thousand recorded under caption 60 "Hedging derivatives"; related financial instruments (d) consist of derivatives recorded under caption 20 "Financial assets held for trading" and under caption 80 "Hedging derivatives", whereas cash deposits made (e) are recorded under caption 60 "Due from banks" and under caption 70 "Loans to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 10 "Due to banks" at an amount of € 3,106,113 thousand and under caption 20 "Due to customers" at an amount of € 1,748,786 thousand; related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits made (e) are recorded under caption 60 "Due from banks".

8. Securities lending

Type of lender/use	To guarantee own financing operations	Sold	Subject to repurchase agreements	Other	31.12.2016
a) Banks	-	-	-	-	-
b) Public entities	-	-	70,469	-	70,469
c) Non-financial businesses	-	-	-	-	-
d) Financial businesses	-	-	-	-	-
e) Insurance companies	-	-	-	-	-
f) Other	-	-	1,781	-	1,781
Total	**-**	**-**	**72,250**	**-**	**72,250**

Part C - Information on the consolidated income statement

Section 1 - Interests
Captions 10 and 20

1.1 Interest and similar income: breakdown

Captions/Technical forms	Debt securities	Loans	Other transactions	31.12.2016	31.12.2015
1. Financial assets held for trading	9,274	-	8,374	17,648	31,041
2. Financial assets designated at fair value through profit and loss	860	-	-	860	955
3. Financial assets available for sale	121,808	19	-	121,827	113,145
4. Financial assets held to maturity	58,251	-	-	58,251	60,283
5. Due from banks	1,154	3,437	-	4,591	6,423
6. Loans to customers	11,955	1,231,373	-	1,243,328	1,417,343
7. Hedging derivatives	#	#	15,073	15,073	15,083
8. Other assets	#	#	21,473	21,473	4,126
Total	**203,302**	**1,234,829**	**44,920**	**1,483,051**	**1,648,399**

Interest on loan exposures, classified as impaired, amounts to € 159,148 thousand, being the amounts shown in the "Loans" column relating to "Loans to customers", plus € 24 thousand shown in the "Debt securities" column.
"Other transactions" in point 8 include € 21,440 thousand of interest income on financial liabilities as explained in Part A.2 of these notes; this amount includes € 8,333 thousand relating to the benefit arising from the application of a negative interest rate of 0.40% to the amount taken up from ECB in 2016 as part of the TLTRO II programme (€ 4 billion with a settlement date of 29 June 2016 and € 1 billion on 21 December 2016) in accordance with IAS 39, having taken account of the fact that, at 31 December 2016, BPER Banca had already met the target set for 31 January 2018 and that it had prepared a structured plan to maintain that result.
Default interest accrued during the period of € 30,721 thousand was not recognised in application of IAS 18. Default interest relating to prior years was collected on positions classified as bad loans for a total of € 3,238 thousand.

1.2. Interest and similar income: differentials on hedging transactions

Captions/Amounts	31.12.2016	31.12.2015
A. Positive differentials on hedging transactions	53,365	51,502
B. Negative differentials on hedging transactions	(38,292)	(36,419)
C. Balance (A-B)	**15,073**	**15,083**

1.3 Interest and similar income: other information

1.3.1 Interest income on foreign currency assets

Captions	31.12.2016	31.12.2015
Interest income on foreign currency assets	33,711	21,815

1.3.2 Interest income on finance lease transactions

Captions	31.12.2016	31.12.2015
Interest income on finance lease transactions	64,014	70,514

1.4 Interest and similar expense: breakdown

Captions/Technical forms	Debts	Securities	Other transactions	31.12.2016	31.12.2015
1. Due to Central Banks	1,635	#	-	1,635	3,581
2. Due to banks	15,039	#	-	15,039	9,561
3. Due to customers	107,745	#	-	107,745	149,668
4. Debt securities in issue	#	163,052	-	163,052	216,894
5. Financial liabilities held for trading	175	-	-	175	303
6. Financial liabilities designated at fair value through profit and loss	-	20,015	-	20,015	39,611
7. Other liabilities and provisions	#	#	4,943	4,943	1,240
8. Hedging derivatives	#	#	-	-	-
Total	**124,594**	**183,067**	**4,943**	**312,604**	**420,858**

"Other transactions" in point 7 include € 4,188 thousand of interest expense on financial assets as explained in Part A.2 of these notes.

1.6 Interest and similar expense: other information

1.6.1 Interest expense on foreign currency liabilities

Captions	31.12.2016	31.12.2015
Interest expense on foreign currency liabilities	12,668	3,896

1.6.2 Interest expense on finance lease obligations

Captions	31.12.2016	31.12.2015
Interest expense on finance leases	7	10

Section 2 - Commissions
Captions 40 and 50

2.1 Commission income: breakdown

Type of service/Amounts	31.12.2016	31.12.2015
a) guarantees given	31,155	33,093
b) credit derivatives	-	-
c) management, brokerage and consulting services:	241,006	238,926
1. trading in financial instruments	1,071	1,612
2. trading in foreign exchange	5,373	5,628
3. asset management	23,457	22,369
3.1. individual	22,322	21,852
3.2. collective	1,135	517
4. custody and administration of securities	4,480	4,646
5. custodian bank	-	-
6. placement of securities	120,868	122,547
7. order taking	12,464	15,349
8. advisory services	5,990	4,501
8.1 regarding investments	-	-
8.2 regarding financial structuring	5,990	4,501
9. distribution of third-party services	67,303	62,274
9.1 asset management	1,516	1,793
9.1.1. individual	5	204
9.1.2. collective	1,511	1,589
9.2 insurance products	36,077	32,973
9.3 other products	29,710	27,508
d) collection and payment services	121,742	131,158
e) servicing related to securitisation	422	329
f) services for factoring transactions	8,873	8,751
g) tax collection services	-	-
h) management of multilateral trading systems	-	-
i) maintenance and management of current accounts	149,398	156,020
j) other services	193,363	194,197
- commission income on other loans to customers	141,430	143,680
- commission income on cash card services	25,290	25,932
- other commission income	26,643	24,585
Total	**745,959**	**762,474**

2.2 Commission expense: breakdown

Type of service/Amounts	31.12.2016	31.12.2015
a) guarantees received	1,233	1,732
b) credit derivatives	-	-
c) management and brokerage services	1,981	2,293
1. trading in financial instruments	490	742
2. trading in foreign exchange	-	-
3. asset management:	4	-
3.1. own portfolio	4	-
3.2. third-party portfolio	-	-
4. custody and administration of securities	1,484	1,547
5. placement of financial instruments	3	4
6. offer of securities, financial products and services through financial promoters	-	-
d) Collection and payment services	4,707	4,735
e) Other services	25,316	27,021
Total	**33,237**	**35,781**

Section 3 – Dividends and similar income Caption 70

3.1 Dividends and similar income: breakdown

Caption/Income	31.12.2016		31.12.2015	
	Dividends	Income from UCITS units	Dividends	Income from UCITS units
A. Financial assets held for trading	2,316	242	1,819	133
B. Financial assets available for sale	7,140	108	13,665	317
C. Financial assets designated at fair value through profit and loss	32	34	-	19
D. Equity investments	-	#	-	#
Total	**9,488**	**384**	**15,484**	**469**

Section 4 – Net trading income Caption 80

4.1 Net trading income: breakdown

Transactions/Income items	Capital gains (A)	Trading profits (B)	Capital losses (C)	Trading losses (D)	Net result 31.12.2016 [(A+B)-(C+D)]
1. Financial assets held for trading	**10,376**	**6,403**	**(11,063)**	**(5,455)**	**261**
1.1 Debt securities	2,226	4,068	(4,890)	(2,070)	(666)
1.2 Equity instruments	4,114	1,730	(5,153)	(3,342)	(2,651)
1.3 UCITS units	4,036	521	(1,020)	(43)	3,494
1.4 Loans	-	-	-	-	-
1.5 Other	-	84	-	-	84
2. Financial liabilities held for trading	**-**	**-**	**-**	**-**	**-**
2.1 Debt securities	-	-	-	-	-
2.2 Debts	-	-	-	-	-
2.3 Other	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	**#**	**#**	**#**	**#**	**(7,539)**
4. Derivatives	**70,935**	**128,174**	**(65,360)**	**(135,443)**	**15,222**
4.1 Financial derivatives:	70,935	128,174	(65,360)	(135,443)	15,222
- On debt securities and interest rates	65,390	119,207	(59,739)	(130,823)	(5,965)
- On equities and equity indices	5,545	4,364	(5,621)	(2,824)	1,464
- On currency and gold	#	#	#	#	16,916
- Other	-	4,603	-	(1,796)	2,807
4.2 Credit derivatives	-	-	-	-	-
Total	**81,311**	**134,577**	**(76,423)**	**(140,898)**	**7,944**

Section 5 – Net hedging gains (losses) Caption 90

5.1 Net hedging gains (losses): breakdown

Income items/Amounts	31.12.2016	31.12.2015
A. Income relating to:		
A.1. Fair value hedges	28,894	1,793
A.2. Hedged financial assets (fair value)	8,038	3,907
A.3. Hedged financial liabilities (fair value)	6,528	2,835
A.4. Cash flow hedges	-	-
A.5. Foreign currency assets and liabilities	-	-
Total income from hedging activity (A)	**43,460**	**8,535**
B. Charges relating to:		
B.1. Fair value hedges	15,407	7,216
B.2. Hedged financial assets (fair value)	12,075	554
B.3. Hedged financial liabilities (fair value)	16,313	1,654
B.4. Cash flow hedges	-	-
B.5. Foreign currency assets and liabilities	-	-
Total charges from hedging activity (B)	**43,795**	**9,424**
C. Net hedging gains (losses) (A-B)	**(335)**	**(889)**

Section 6 – Gains (losses) on disposal or repurchase Caption 100

6.1 Gains (losses) on disposal or repurchase: breakdown

Caption/Income items	31.12.2016			31.12.2015		
	Gains	Losses	Net Profit	Gains	Losses	Net Profit
Financial assets						
1. Due from banks	7	(2)	5	2	-	2
2. Loans to customers	5,052	(14,805)	(9,753)	6,286	(2,265)	4,021
3. Financial assets available for sale:	119,227	(600)	118,627	326,581	(13,410)	313,171
3.1 Debt securities	79,454	(350)	79,104	75,699	(11,261)	64,438
3.2 Equity instruments	37,740	(26)	37,714	249,174	(2,141)	247,033
3.3 UCITS units	2,033	(224)	1,809	1,708	(8)	1,700
3.4 Loans	-	-	-	-	-	-
4. Financial assets held to maturity	-	-	-	221	-	221
Total assets	**124,286**	**(15,407)**	**108,879**	**333,090**	**(15,675)**	**317,415**
Financial liabilities						
1. Due to banks	-	-	-	-	-	-
2. Due to customers	-	-	-	-	-	-
3. Debt securities in issue	1,085	(2,302)	(1,217)	750	(2,699)	(1,949)
Total liabilities	**1,085**	**(2,302)**	**(1,217)**	**750**	**(2,699)**	**(1,949)**

Gains relating to equity instruments classified as "Financial assets available for sale" include the gain realised on the sale of an equity interest in Visa Europe by Banca di Sassari (€ 20.8 million) and the receipt under the earn-out clause relating to the sale of an equity interest in Istituto Centrale delle Banche Popolari Italiane s.p.a. (€ 16.8 million).
This caption at 31 December 2015 included a gain on sale of an equity interest in Istituto Centrale delle Banche Popolari Italiane s.p.a. of € 174.3 million and the acquisition of a significant equity interest in Arca SGR s.p.a. which led to its transfer from the "AFS" portfolio to the "Equity investments" portfolio, with a positive impact on profit and loss due to the reversal of the existing valuation reserve (€ 69 million).

Section 7- Net result on financial assets and liabilities designated at fair value
Caption 110

7.1 Net result on financial assets and liabilities designated at fair value: breakdown

Transactions/Income components	Capital gains	Gains on disposal	Capital losses	Losses on disposal	Net result
	(A)	(B)	(C)	(D)	31.12.2016 [(A+B)-(C+D)]
1. Financial assets	**3,710**	**574**	**(1,392)**	**(24)**	**2,868**
1.1 Debt securities	51	1	(547)	(20)	(515)
1.2 Equity securities	-	-	(114)	-	(114)
1.3 UCITS units	3,659	573	(731)	(4)	3,497
1.4 Loans	-	-	-	-	-
2. Financial liabilities	**5,012**	**9,619**	**(233)**	**-**	**14,398**
2.1 Debt securities	5,012	9,619	(233)	-	14,398
2.2 Due to banks	-	-	-	-	-
2.3 Due to customers	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	#	#	#	#	116
4. Derivatives	-	-	(7,005)	(5,649)	(12,654)
Total	8,722	10,193	(8,630)	(5,673)	4,728

The net result of measurement of financial liabilities and operationally connected derivatives at fair value (under the fair value option for financial liabilities) is negative for € 1,753 thousand.

Section 8 – Net impairment adjustments Caption 130

8.1 Net impairment adjustments to loans and advances: breakdown

Transactions/Income items	Adjustments			Write-backs				31.12.2016	31.12.2015
	Specific			Specific		Portfolio			
	Write offs	Other	Portfc	Inter	Other backs	Inter	Other backs		
A. Due from banks	**-**	**(117)**	**-**	**-**	**-**	**-**	**1**	**(116)**	**(10,228)**
- Loans	-	-	-	-	-	-	1	1	-
- Debt securities	-	(117)	-	-	-	-	-	(117)	(10,228)
B. Loans to customers	**(29,484)**	**(1,161,572)**	**(10,418)**	**114,497**	**448,044**	**-**	**19,299**	**(619,634)**	**(695,571)**
Non-performing exposures acquired	-	-		-	-			-	-
- Loans	-	-	#	-	-	#	#	-	-
- Debt securities	-	-	#	-	-	#	#	-	-
Other receivables	(29,484)	(1,161,572)	(10,418)	114,497	448,044	-	19,299	(619,634)	(695,571)
- Loans	(29,484)	(1,161,572)	-	114,497	448,044	-	19,299	(609,216)	(688,704)
- Debt securities	-	-	(10,418)	-	-	-	-	(10,418)	(6,867)
C. Total	**(29,484)**	**(1,161,689)**	**(10,418)**	**114,497**	**448,044**	**-**	**19,300**	**(619,750)**	**(705,799)**

8.2 Net impairment adjustments to financial assets available for sale: breakdown

Transactions/Income items	Adjustments		Write-backs		31.12.2016	31.12.2015
	Specific		Specific			
	Write-Offs	Other	Interest	Other write-backs		
A. Debt securities	-	-	-	-	-	-
B. Equity instruments	-	(18,353)	#	#	(18,353)	(20,608)
C. UCITS units	-	(33,458)	#	-	(33,458)	(6,735)
D. Due from banks	-	-	-	-	-	-
E. Loans to customers	-	-	-	-	-	-
F. Total	**-**	**(51,811)**	**-**	**-**	**(51,811)**	**(27,343)**

The adjustments to "Equity instruments" mainly consist of writedowns of the interest held in Release s.p.a. of € 12,686 thousand and of the amount relating to the intervention by IDGF-VS to support Caricesena of € 2,568 thousand. As regards the UCITS, the main writedown relates to units in Fondo Atlante of € 28,262 thousand.

8.4 Impairment losses on other financial assets: breakdown

Transactions / Income items	Adjustments			Write-backs				31.12.2016	31.12.2015
	Specific		Portfolio	Specific		Portfolio			
	Write-offs	Other		Interest	Other write-backs	Interest	Other write-backs		
A. Guarantees given	-	(15,809)	(5,009)	-	33,292	-	-	12,474	(4,658)
B. Credit derivatives	-	-	-	-	-	-	-	-	-
C. Commitments to disburse funds	-	-	-	-	23	-	-	23	-
D. Other transactions	-	-	-	-	-	-	-	-	-
E. Total	**-**	**(15,809)**	**(5,009)**	**-**	**33,315**	**-**	**-**	**12,497**	**(4,658)**

Write-backs include the amount received from the Interbank Deposit Guarantee Fund for reimbursement of the BPER Banca Group's share paid in 2014; this was followed by payment of the amount recovered (€ 11,298 thousand) as part of the Voluntary Scheme joined by the Group and recorded under "Other administrative costs".

Section 9 - Net premiums
Caption 150

There are no amounts in this section.

Section 10 - Net other insurance income/expense
Caption 160

There are no amounts in this section.

Section 11 – Administrative expenses Caption 180

11.1 Payroll: breakdown

Type of expense/amounts	31.12.2016	31.12.2015
1) Employees	**744,525**	**800,478**
a) wages and salaries	539,337	537,144
b) social security charges	141,654	142,402
c) termination indemnities	31,796	31,378
d) pension expenses	-	-
e) provision for termination indemnities	2,339	2,159
f) provision for post-retirement benefits and similar commitments:	812	689
- defined contribution	-	-
- defined benefit	812	689
g) payments to external supplementary pension funds:	16,096	15,999
- defined contribution	16,096	15,999
- defined benefit	-	-
h) costs deriving from payment agreements based on own capital instruments	(53)	27
i) other personnel benefits	12,544	70,680
2) Other active employees	**15,066**	**15,536**
3) Directors and auditors	**8,378**	**8,123**
4) Retired personnel	**1,180**	**916**
Total	769,149	825,053

The 2015 amount of "Other personnel benefits" includes € 58,624 thousand relating to provisions made in respect of applications for redundancy incentives or access to the solidarity fund.

11.2 Average number of employees, by level

	31.12.2016	31.12.2015
Employees:	**11,170**	**11,083**
a) Managers	235	226
b) Middle managers	3,543	3,477
c) Other employees	7,392	7,380
Other personnel	**265**	**285**

11.2.1 Number of employees, by level: banking group

	31.12.2016	31.12.2015
Employees:	**11,635**	**11,447**
a) Managers	241	236
b) Total 3rd and 4th level middle managers	1,501	1,460
c) Total 1st and 2nd level middle managers	2,117	2,074
d) Other employees	7,776	7,677
Other personnel	**223**	**261**

11.3 Post-retirement defined benefit plans: total costs

Captions	31.12.2016	31.12.2015
Defined-benefit pension plans	812	689

11.4 Other personnel benefits

Captions	31.12.2016	31.12.2015
Other personnel benefits	12,544	70,680

11.5 Other administrative expenses: breakdown

	31.12.2016	31.12.2015
Taxation	**136,080**	**140,127**
Stamp duty	112,392	117,525
Other indirect taxes with right of recourse	7,547	6,490
Municipal property tax	9,725	9,472
Other	6,416	6,640
Other costs	**478,074**	**445,351**
Maintenance and repairs	41,874	39,694
Rental expense	60,006	60,499
Post office, telephone and telegraph	15,947	16,527
Data transmission fees and use of databases	29,573	31,519
Advertising	21,441	13,853
Consulting and other professional services	76,865	65,294
Lease of IT hardware and software	27,355	23,803
Insurance	13,301	10,288
Cleaning of office premises	8,592	8,584
Printing and stationery	6,586	9,818
Energy and fuel	16,038	17,754
Transport	13,590	13,853
Staff training and expense refunds	12,609	14,227
Information and surveys	11,763	11,345
Security	9,049	9,421
Use of external data gathering and processing services	6,678	7,198
Condominium expenses	2,740	2,943
Membership fees	6,434	6,782
Contribution to SRF, DGS, FITD-SV	78,233	61,544
Sundry other	19,400	20,405
Total	**614,154**	**585,478**

The amount relating to "Consulting and other professional services" of € 76.9 million is attributable to sundry administrative expenses for legal services and for other professional advisors for advice on specific regulations and for the provision of support and advice on matters concerning changes in legislation, the internal control system and the 2015-2017 Business Plan.
Details are as follows:
- services provided by various legal advisors, particularly in respect of litigation, for € 26.9 million (€ 27.2 million at 31 December 2015);
- professional services provided by various firms, regarding the execution of a number of funding transactions completed in the period (issue of Covered Bonds, update and issues pertaining to the Euro Medium Term Notes programme, etc.), for the audit of the financial statements, to obtain ratings from different agencies, for specific valuation work performed for financial statement purposes (specific appraisals) for € 4.4 million (€ 3.2 million at 31 December 2015);
- other sundry professional services (for example, appraisals and other technical support) for € 15.2 million (€ 10 million at 31 December 2015);
- sundry advice in respect of continuous changes in legislation, improvements to the system of internal control and projects foreseen by the 2015-2017 Business Plan.
These are in fact genuine investments for the future, as can be seen from the work performed for the overall development of operations, related above all to the adoption of internal models for the measurement of credit risk and the new Regulations for the prudential supervision of banks referred to in Circular no. 263 of the Bank of Italy. The total of this type of expense came to € 30.4 million (€ 24.9 million at 31 December 2015).

The amount shown as "Contributions to SRF, DGS, IDGF-VS" includes contributions paid to the SRF (European Single Resolution Fund) of € 50 million (ordinary contributions of € 15.1 million and extraordinary contributions of € 34.9 million), to the Interbank Deposit Guarantee Fund (voluntary scheme) for the intervention on behalf of Bank Tercas (€ 11.3 million) and to the DGS (Deposit Guarantee Scheme) of € 16.9 million.

Section 12 – Net provisions for risks and charges Caption 190

12.1 Net provisions for risks and charges: breakdown

Type of risks and charges	31.12.2016	31.12.2015
A. Provisions	**(43,318)**	**(63,162)**
1. for legal disputes	(40,184)	(53,914)
2. other	(3,134)	(9,248)
B. Write-backs	**14,650**	**11,025**
1. for legal disputes	9,955	10,749
2. other	4,695	276
Total	**(28,668)**	**(52,137)**

Section 13 - Net adjustments to property, plant and equipment Caption 200

13.1 Net adjustments to property, plant and equipment: breakdown

Assets/Income items	Depreciation	Impairment adjustments	Write-backs	Net result
	(a)	(b)	(c)	31.12.2016 (a+b-c)
A. Property, plant and equipment				
A.1 Owned	(36,193)	(9,400)	-	(45,593)
- For business purposes	(32,881)	(2,445)	-	(35,326)
- For investment purposes	(3,312)	(6,955)	-	(10,267)
A.2 Held under finance leases	(116)	-	-	(116)
- For business purposes	(116)	-	-	(116)
- For investment purposes	-	-	-	-
Total	**(36,309)**	**(9,400)**	**-**	**(45,709)**

As already mentioned in Part B, Section 12, Assets, the amount recorded under "Impairment adjustments" refers to the impairment test carried out in compliance with IAS 36 on a number of property units.

Section 14 – Net adjustmets to intangible assets Caption 210

14.1 Net adjustments to intangible assets: breakdown

Assets/Income items	Amortisation	Impairment adjustments	Write-backs	Net result
	(a)	(b)	(c)	31.12.2016 (a+b-c)
A. Intangible assets				
A.1 Owned	(34,886)	-	-	(34,886)
- generated internally by the company	-	-	-	-
- other	(34,886)	-	-	(34,886)
A.2 Held under finance leases	-	-	-	-
Total	**(34,886)**	**-**	**-**	**(34,886)**

Section 15 – Other operating charges/income Caption 220

15.1 Other operating charges: breakdown

Description/Amounts	31.12.2016	31.12.2015
Amortisation of leasehold improvement expenditure	4,137	5,683
Out-of-period expense	4,956	3,380
Other	24,557	32,340
Total	**33,650**	**41,403**

15.2 Other operating income: breakdown

Description/Amounts	31.12.2016	31.12.2015
Rental income	6,791	7,292
Recovery of taxes	118,704	123,302
Gains on disposal of fixed assets given under finance leases	-	46
Other income	81,872	86,567
Total	**207,367**	**217,207**

Section 16 – Profit (Loss) from equity investments Caption 240

16.1 Profit (loss) from equity investments: breakdown

Items/Amounts	31.12.2016	31.12.2015
1) Companies under joint control		
A. Income	-	-
1. Revaluations	-	-
2. Gain from disposals	-	-
3. Write-backs	-	-
4. Other income	-	-
B. Charges	-	-
1. Write-downs	-	-
2. Impairment write-downs	-	-
3. Loss from disposals	-	-
4. Other charges	-	-
Net result	**-**	**-**
2) Companies subject to significant influence		
A. Income	15,698	13,911
1. Revaluations	14,575	11,171
2. Gains on disposals	1,123	2,740
3. Write-backs	-	-
4. Other gains	-	-
B. Charges	(7,207)	(13,814)
1. Write-downs	(2,857)	(8,441)
2. Impairment write-downs	(4,350)	(5,373)
3. Loss from disposals	-	-
4. Other charges	-	-
Net result	**8,491**	**97**
Total	**8,491**	**97**

As already mentioned in Part B, Section 10, Assets, the amount of sub-caption "Impairment adjustments" relates to impairment tests on the following companies subject to significant influence: Banca della Nuova Terra s.p.a. (€ 2,275 thousand), Sofipo s.a. in liquidation (€ 184 thousand) and on the following subsidiaries measured using the equity method: Polo Campania s.r.l. (€ 1,294 thousand), SIFA' s.p.a. (€ 337 thousand) and Italiana Valorizzazioni Immobiliari s.r.l. (€ 260 thousand).
The amount relating to "Gains on disposal" includes the fair value measurement of shares in Cassa di Risparmio di Saluzzo held before the acquisition of control thereover, in accordance with IFRS 3.
The "Revaluations" and "Writedowns" reflect the results of the companies measured using the equity method.

Section 17 – Net Gains (Losses) arising on fair value adjustments to property, plant and equipment and intangible assets. Caption 250

There are no amounts in this section.

Section 18 – Adjustments to goodwill Caption 260

Of the amount of € 32,854 thousand, € 29,600 thousand is attributable to the impairment of goodwill recorded in the Consolidated financial statements of BPER Banca relating to Banco di Sardegna. The residual € 3,254 thousand relates to the writedown of the goodwill pertaining to Banca di Sassari recognised in the Consolidated financial statements of the sub-holding company Banco di Sardegna upon the sale of the banking business.

Section 19 – Gains (Losses) on disposal of investments Caption 270

19.1 Gain (loss) on disposal of investments: breakdown

Items/Amounts	31.12.2016	31.12.2015
A. Buildings	**162**	**280**
- Gains on disposal	237	359
- Losses on disposal	(75)	(79)
B. Other assets	**(382)**	**(21)**
- Gains on disposal	166	80
- Losses on disposal	(548)	(101)
Net result	**(220)**	**259**

Section 20 – Income taxes for the year on current operations
Caption 290

20.1 Income taxes for the period on current operations: breakdown

Items/Segments	31.12.2016	31.12.2015
1. Current taxes (-)	(5,595)	(86,791)
2. Change in prior period income taxes (+/-)	3,195	(21)
3. Reduction in current taxes (+)	2,074	-
3. *bis* Reduction in current taxes for tax credits under L. 214/2011 (+)	1,433	2,785
4. Change in deferred tax assets (+/-)	5,706	86,122
5. Change in deferred tax liabilities (+/-)	(1,543)	3,623
6. Income taxes for the year on current operations (-) (-1+/-2+3+3 *bis*+/-4+/-5)	**5,270**	**5,718**

IRES		31.12.2016
Result of current operations before income taxes		**10,377**
Negative components of the gross result definitively considered not relevant (+)		**94,589**
Non-deductible interest expense	11,081	
Losses on disposal/remeasurement of AFS securities and equity investments	24,139	
Non-deductible taxes (other than on income)	8,058	
Administrative costs of limited deductibility	5,555	
Other non-deductible costs	2,356	
Allocations to provisions for sundry disputes	4,104	
Recovery of IRES deducted from IRAP in prior years	1,650	
Impairment of property	4,792	
Goodwill impairment	32,854	
Positive components of the gross result definitively considered not relevant (-)		**(48,189)**
Non-relevant portion of gains on disposal/remeasurement of AFS securities and equity investments	(36,157)	
Non-relevant portion of dividends	(9,378)	
Other	(2,654)	
Definitive increases not linked to elements of the gross result (+)		**3,498**
Tax losses	3,316	
Other	182	
Definitive decreases not linked to elements of the gross result (-)		**(66,787)**
Recovery of intercompany interest expense deductibility for tax consolidation	(1,442)	
Standard deduction 10% IRAP	(225)	
Deduction of payroll cost for IRAP	(180)	
A.C.E. (aid for economic growth) deduction	(62,227)	
Other	(2,713)	
Basis of calculation of IRES shown in the income statement		**(6,512)**
IRES tax rate	*27.50%*	
Effective IRES		**(1,791)**
Effective IRES tax rate		*-17.26%*

IRAP		31.12.2016
Result of current operations before income taxes		**10,377**
Negative components of the gross result definitively considered not relevant (+)		**189,156**
Non-deductible interest expense	12,343	
Non-deductible portion of depreciation/amortisation on assets used in business	4,812	
Other non-deductible administrative costs	73,103	
Payroll, net of permitted deductions	8,925	
Other net impairment adjustments (caption 130 of the income statement)	2,724	
Net provisions for risks and charges	28,833	
IMU	8,884	
Loss from equity investments	10,045	
Goodwill impairment	32,854	
Other	6,633	
Positive components of the gross result definitively considered not relevant (-)		**(79,630)**
Non-relevant portion of dividends	(604)	
Profit from equity investments	(14,005)	
Other write-backs (caption 130 of the income statement)	(4,426)	
Other operating income	(60,595)	
Definitive increases not linked to elements of the gross result (+)		**47,073**
Negative value of production	44,128	
Other	2,945	
Definitive decreases not linked to elements of the gross result (-)		**(131,742)**
Recovery of non-relevant charges of prior periods	(131,742)	
Basis of calculation of IRAP shown in the income statement		**35,234**
Weighted average nominal rate of IRAP		*5.57%*
Effective IRAP		**1,963**
Effective IRAP tax rate		18.91%

Out-of-period IRES and IRAP and other taxes		31.12.2016
Total impact		**(5,442)**
IRES - Changes in current out-of-period IRES	(1,795)	
IRES - Tax credit on energy savings	0	
IRAP - Changes in current out-of-period IRAP	(1,294)	
Prior year deferred tax adjustment	(1,322)	
Adjustment of tax rates used for deferred tax	(186)	
Other	(845)	
Effective out-of-period IRES and IRAP and other taxes		*-52.44%*

Total tax on gross result	31.12.2016
IRES + IRAP + other taxes	**(5,270)**
Overall effective tax rate	*-50.79%*

Section 21 – Profit (Loss) after tax on non-current assets held for sale
Caption 310

There are no amounts in this section.

Section 22 – Net profit (loss) pertaining to minority interest
Caption 330

22.1 Analysis of caption 330 "Net profit (loss) pertaining to minority interest"

Name	31.12.2016	31.12.2015
Consolidated equity investments with significant minority interests	**1,517**	**(1,429)**
1. Banco di Sardegna (*)	(575)	(1,350)
2. Banca di Sassari s.p.a.	1,928	-
3. Cassa di Risparmio di Bra s.p.a.	(285)	(814)
4. Sardaleasing s.p.a.	158	480
5. Emilia Romagna Factor s.p.a.	291	255
Other equity investments	**(2)**	-
Total	**1,515**	**(1,429)**

(*) consolidation of the sub-holding company Banco di Sardegna and its subsidiaries.
The transfer of 59.200% of the shares in Banca di Sassari from Banco di Sardegna to BPER Banca was completed on 23 May 2016. After this purchase, the Parent Company increased its investment in Banca di Sassari and acquired direct control over it.

To determine the relevance of minority interests, see Part A of these Explanatory notes.
Minority interests not considered significant have been recognised under "Other investments".

Section 23 – Other Information

The information contained in the above sections is deemed to be detailed and completed, thus providing a full picture of the consolidated results.

Section 24 – Earnings per share

IAS 33 requires disclosure of basic and diluted earnings per share (EPS), specifying how each is calculated.
Basic earnings per share reflect the relationship between:

- the earnings attributable to ordinary shareholders,
- and the weighted average number of shares outstanding during the period.

Diluted earnings per share reflect the relationship between:

- the earnings used to calculate Basic EPS, as adjusted by the economic effects of converting all outstanding convertible bonds into shares at period end;
- and the number of shares used to calculate Basic EPS, as adjusted by the weighted average of the potential ordinary shares with a diluting effect deriving from the conversion of bonds outstanding at period end.

	31.12.2016			31.12.2015		
	Attributable earnings	Weighted average ordinary shares	Earnings per shares (Euro)	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)
Basic EPS	14,299	480,852,977	0.030	220,661	480,852,977	0.459
Diluted EPS	14,299	480,852,977	0.030	220,661	480,852,977	0.459

The following tables reconcile the weighted average number of ordinary shares outstanding used to calculate basic earnings per share with the number of ordinary shares used to calculate diluted earnings per share; they also reconcile net profit for the year with the net income used to determine basic and diluted earnings per share.

24.1 Average number of ordinary shares (fully diluted)

	31.12.2016	31.12.2015
Weighted average number of outstanding ordinary shares for Basic EPS calculation	480,852,977	480,852,977
Weighted dilutive effect of the potential conversion of convertible bonds	-	-
Weighted average number of outstanding ordinary shares for diluted EPS calculation	**480,852,977**	**480,852,977**

24.2 Other information

	31.12.2016	31.12.2015
Net profit for the period	14,299	220,661
Allocations not attributable to the shareholders	-	-
Net profit for Basic EPS calculation	14,299	220,661
Change in income and charges deriving from conversion	-	-
Net profit for diluted EPS calculation	**14,299**	**220,661**

Part D - Consolidated comprehensive income

Analytical statement of consolidated comprehensive income

(in thousands of Euro)

Captions	Gross amount	Income taxes	Net amount
10. Profit (loss) for the period	**10,544**	**5,270**	**15,814**
Other income items, net of income taxes, without release to the income statement			
40. Defined benefit plans	(20,863)	5,170	(15,693)
60. Portion of the valuation reserves of the equity investments carried at equity	(1,080)	-	(1,080)
Other income items, net of income taxes, with release to the income statement			
90. Cash-flows hedges:	**(4,250)**	**1,406**	**(2,844)**
a) changes in fair value	(4,250)	1,406	(2,844)
b) release to the income statement	-	-	-
c) other changes	-	-	-
100. Financial assets available for sale:	**(83,697)**	**26,736**	**(56,961)**
a) changes in fair value	**(57,508)**	**6,615**	**(50,893)**
b) reclassification through profit or loss	(26,189)	20,121	(6,068)
- impairment write-downs	51,812	(660)	51,152
- gains/losses on disposals	(78,001)	20,781	(57,220)
c) other changes	-	-	-
130. Total other elements of income	**(109,890)**	**33,312**	**(76,578)**
140. Total consolidated comprehensive income (Captions 10+130)	**(99,346)**	**38,582**	**(60,764)**
150. Total comprehensive income pertaining to minorities interests			(5,309)
160. Consolidated comprehensive income attributable to the Parent Company			**(55,455)**

Part E - Information on risks and related hedging policy

Section 1 – Risks faced by the Banking Group

In compliance with the prudential regulations intended to strengthen the ability of banks to absorb shocks deriving from economic and financial tensions, the Group monitors capital adequacy, the exposure to risks and the general characteristics of the related management and control systems, in order to facilitate market discipline.
This document has been prepared pursuant to the requirements of Circular 285 of 17 December 2013 and subsequent updates issued by the Bank of Italy, Regulation (EU) 575/2013 of the European Parliament and of the Council of 26 June 2013 (CRR) and the EBA Guidelines dated 23 December 2014 that came into force on 1 January 2015.

Entitled "Public Disclosures as at 31 December 2016 – Pillar 3 ", this document has been published together with the financial statements on the websites of both the Parent Company – www.bper.it – and the Group - www.gruppobper.it.

Introduction

With regard to a summary of the Group's risk governance organisation, of the related processes and key functions, reference should be made to the details provided in the section on "Principal risks and uncertainties" in the Group interim report on operations.

1.1 Credit risk

The Group's organisation provides for centralisation of the credit risk control function at the Parent Company; consequently, the qualitative information set out below reflects the individual position of BPER Banca.

Qualitative information

1. General aspects

2016 saw the Italian economy show signs of recovery, closing with growth in gross domestic product (GDP), broadly in line with the previous year. The modest growth was attributable to a rise in domestic demand countered by a further weakening of foreign demand; these signs are distinctive compared to the trend seen in recent years. There has also been growth in capital investment, with a positive impact on employment.

In this context, credit policies were aimed at the development of lending activity with a view to optimising the risk-yield profile of loan portfolios.
The use of internal models for credit risk measurement has focused lending activity on the Retail segment, with the objective of achieving growth in certain economic sectors with development potential

or which are likely to excel, taking advantage of the typicality of the Italian economic fabric, which is characterised by many industrial districts.
Credit policy guidelines have been completed with the identification of a number of macro geographical areas on which there should be increased focus on lending activity, as well as with indications of the maximum penetration rates for certain customer clusters.

Particular attention was given to Group product-specific companies, which handle leasing, factoring and consumer credit, with the objective of providing customers high value added products with a limited level of risk.

Again in 2016, initiatives continued in support of private and corporate customers in difficulty, based on ABI agreements entered into in prior years and in accordance with many initiatives provided for by law for areas hit by natural disasters (earthquakes, floods, etc.), as well as with the bank's own initiatives.

2. Credit risk management policies

The lending policy of the Group pursues the aim of carefully selecting counterparties through an analysis of their creditworthiness, including the use of well-established tools such as the rating system, having regard for the achievement of commercial and support objectives.
In view of the Group’s strategic objectives and operations, the general risk management strategy is to accept a moderate level of risk involving:

- the assessment of the current and prospective creditworthiness of counterparties;
- the diversification of the portfolio, limiting the concentration of exposures towards individual counterparties and sectors of economic activity.

2.1 Organisational aspects

The Group’s credit risk management model has the following objectives:

- apply the instructions issued by the Supervisory Authorities, while taking account of the Group’s specific operating characteristics;
- ensure that credit risk is managed appropriately by each bank and at a consolidated level.

These objectives are achieved via the segregation of responsibilities and duties between the bodies that manage credit risk and those with a control function.
The following elements underpin work to manage and control the exposure to credit risk:

- independence of the function responsible for the measurement of credit risk with respect to the various business functions;
- clear definition of delegated powers and the resulting structure of limits imposed by the Board of Directors of the Parent Company;
- coordination by the Parent Company of credit risk management processes, while leaving individual companies with operational autonomy for the management of credit risk;
- consistent application of measurement models throughout the Group, in line with international best practice;
- transparent methodology and measurement criteria to facilitate understanding of the risk measures adopted;

- performance of periodic stress tests which use endogenous and exogenous shock scenarios to provide deterministic and/or probability-based indicators of risk.

2.2 Systems for managing, measuring and monitoring

Systems for managing, measuring and monitoring

The management of risk involves applying a system of methodologies and approaches for the ongoing measurement and/or assessment of risk. This system helps to guide operational decisions and quantify the level of capital required by the Group in order to cover the risks that have been accepted. Each Bank analyses the various components of credit risk and identifies the exposure associated with the loan portfolio using suitable measurement methodologies. In particular, the Bank uses many tools to measure and monitor credit risk in relation to both performing and non-performing loans.
The characteristics of the rating models developed by the Parent Company for the calculation of PD (Probability of default: i.e. the probability that the borrower will not be able to meet their commitments) depend on the risk segment to which the counterparty belongs, the amount of the exposure and the stage in the lending process at which they are applied (initial payout or monitoring). The classifications are represented by 13 classes of merit differentiated by risk segment.
All of the Parent Company's systems share a number of common characteristics:

- the rating is determined with reference to the specific counterparty;
- the rating systems are established with reference to the loan portfolio of the BPER Banca group (the rating is unique for each counterparty, even if shared by several banks in the Group);
- the models process internal performance information derived from reports issued by the central risk database, as well as financial information in the case of businesses;
- the models for Corporate SMEs, Long-term Property SMEs, Holding and Large Corporates add a qualitative element to the purely statistical side. The rating allocation process for these segments also allows the account manager to activate an override process i.e. to request an exception to the quantitative rating based on true and documented information not processed by the model. The requested exception is evaluated by a central function that operates at Group level;
- to support risk analysis in the Large Corporate segment, another component was added to the model to take into account whether counterparties belong to a group;
- the Probability of Default is calibrated with reference to regulatory anomalies, which include past due amounts;
- the time series used to develop and calibrate the models cover a broad time horizon and reflect internal reality on a forward-looking basis;
- the ratings are analysed and reviewed at least once each year; the Bank has also defined a process for the monitoring of each rating, causing the rating to lapse if it no longer represents the true risk profile of the counterparty and there are signs of deterioration in the quality of the related lending;
- use is made of a rating calculation model for counterparties acting as guarantors for individuals, aimed at the quantification and measurement of credit risk attributable to private counterparties that provide personal guarantees to BPER Banca Group's customers.

Determination of the final rating depends on the type of counterparty. In particular, the rating allocation process involves a level of investigation that is proportional to the complexity/scale of the counterparty under review: a more complex and sophisticated structure is foreseen for medium-large businesses (Corporate SMEs, Long-term Property SMEs, Holding and Large Corporates), which are fewer but with larger average exposures, while there is a simpler structure for Retail customers (Retail SMEs, Individuals and Small Businesses), which are more numerous, but with lower exposures.

The estimation of LGD (Loss Given Default: representing the extent of the loss expected to occur on default of the borrower, dependent on type of exposure to the counterparty) is based on information on the borrower (segment, geographical area, internal administrative status), the product (technical form, size of exposure), and the presence, type and coverage of guarantees.
LGD estimation includes the impact of the recession (downturn LGD).

Key activities in 2016 concerning Project Basel 2 included the start-up of the following projects:

- adjustment of credit risk models for IFRS9 - impairment;
- development of rating models for the Banks and Confidi segments;
- development of rating models for the Holding companies and Financial businesses segments.

Moreover, the following were completed:

- development of a model for estimating the EAD for Corporate counterparties and updating of the EAD model for Retail counterparties, with an expansion of the historical series;
- evolution of the way in which rating models are developed.

In addition to indicating the principles of governance, assumption and management of credit risk, the Group Credit Risk Governance Policy defines the BPER Group's credit risk appetite. For this purpose, the policy provides for a new system of credit risk exposure limits, establishing supervisory thresholds that have to be monitored periodically. The document also explains the principles for calculating analytical and collective loan loss provisions and for the classification of loans by status.

In order to manage credit risk, the Group has developed a system of credit limits designed to regulate the lending process, together with a system for authorisations that takes account of the riskiness of the customer and/or the transaction, consistent with the risk evaluation systems adopted. This system ensures compliance with the principle that the level of authorisation be consistent with the riskiness of the transaction, envisaging that the limits on decision making are established with reference to one or more aspects of the specific counterparty and transaction risk (in particular counterparty rating, expected loss, amount of the facility).

The internal rating system’s risk measures are used for management reporting purposes; in particular, a Credit Risk Book is prepared on a quarterly basis and is an essential tool for the Risk Committee. This is the basic information support for the Risk Committee and contains detailed reports on credit risk at consolidated and individual level (distribution of the portfolio by type and rating classes, dynamics of risk parameters and expected loss, transition matrices, dynamics of general and analytical provisions and decay rates), with differentiated analyses for risk and management segments and geographical area.
In addition, a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit risk.
A network reporting tool is also available, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.

Lastly, following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the 30 June 2016 regulatory reports, BPER Banca Group began using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- retail businesses;
- exposure to companies.

2.3 Credit risk mitigation techniques

Mitigation techniques are an important tool for reducing or transferring part of the credit risk associated with the portfolio of exposure. Consistent with the low propensity to accept risk that characterises operations, the Group seeks to mitigate credit risk, in particular, by obtaining and managing secured and unsecured guarantees. For this purpose, the Group has prepared suitable IT procedures and systems for managing mortgages and financial guarantees in compliance with prudent supervisory requirements, as well as appropriate internal regulations for managing the life-cycles of the other tangible security obtained.

The secured guarantees obtained by the Group generally comprise mortgages on residential and non-residential property, as part of retail lending and, to a lesser extent, loans to Corporate customers, as well as pledges on securities, receivables and cash. An internal procedure developed over a number of years gathers information in an organised fashion on the property assets of borrowers and on the properties given in guarantee. The value of property is periodically remeasured and updated with reference to the statistical databases maintained by a leading operator in the sector, and steps are taken to renew the related appraisals; an internal function covering the entire banking group has been established to supervise this process and monitor constantly the value obtained to cover exposures, as required by the new regulations. Likewise, the collateral represented by financial instruments is managed within a procedure that updates the fair value on the basis of market trends.

The principal types of unsecured guarantees consist of "specific guarantees" and "restricted omnibus guarantees", mainly given by entrepreneurs in favour of their companies and by parent companies in favour of their subsidiaries in the form of binding letters of patronage. Guarantees given by various guarantee consortiums in favour of their members firms are becoming more significant, as well as guarantees given by third party institutions, such as SACE; MCC (Guarantee Fund for SMEs); EIF (European Investment Fund); Guarantee Fund for the First Home, also subject to periodic monitoring.

2.4 Impaired financial assets

Impaired financial assets are managed by the classification thereof within risk categories established by supervisory regulations based on the risk profile attributed thereto.

The classification of each anomalous position is decided both automatically and by means of an analysis described in an internal regulation that governs in detail the transfer of a counterparty to a certain administrative position when a certain deterioration of its credit quality has occurred.
The classifications of the positions within problem items, when not automatic, takes place on the basis of subjective performance assessments based on monitoring of the credit chain. The tools that we have

available make it possible to identify on a timely basis any signs of deterioration in risk relationships, allowing punctual analysis of the credit worthiness and classification of the position to the correct category of risk.
The consistency of the classification of a position in the right risk category, with respect to internal rules and Bank of Italy regulations, is also ensured by second-level checks that, by applying a suitable method, verify not only that classifications are correct, but also the adequacy of provisions, the presence of first-level controls and the effectiveness of recovery processes, so as to ensure strong supervision throughout the entire credit chain. The improvement in the risk profile of counterparties leads to a transfer to better internal classifications; after the completion of subjective and analytical assessments; this may result, in the final analysis, a return to "performing" status.

In order to optimise the process of monitoring customers, the Parent Company made some refinements to an early warning model, which is capable of analysing performing loans by level of risk, with a view to suggesting timely action to be taken by the responsible functions.
The model was developed using methodology that responds to two key needs in the process of managing performing counterparties:

- the need to identify as a first step those counterparties that, for the sake of prudence, should be monitored actively in order to avoid a deterioration in their position, or to implement actions that will improve the counterparty's risk profile or contain possible future losses;
- the need to define processes for observing these positions, determining the priorities and the rules for monitoring them, in order to optimise the organisational effort of the account managers and the results of such action.

2.5 Forborne exposures

On 9 January 2015 the European Commission approved the Implementing Regulation 227/2015, published in the Official Journal of the European Union on 20 February 2015, which transposed the "Implementing Technical Standards" that the EBA issued in 2013 containing the definition of non-performing exposures and forbearance.
Forbearance measures (or "concessions") are the modification of the terms and conditions of a contract or its refinancing, granted to a counterparty in financial difficulties that could have negative effects on its ability to meet its originally assumed contractual commitments and that would not have been granted to another borrower with a similar risk profile not in financial difficulties.

Quantitative information

A. Credit Quality

A.1 Non-performing and performing exposures: amounts, adjustments, trends, economic and territorial distribution

A.1.1 Distribution of credit exposure by portfolio and quality of lending (book values)

Portfolio/quality		Bad loans	Unlikely to pay loans	Impaired past due loans	Past due loans not impaired	Performing loans	Total
1. Financial assets available for sale		-	-	-	-	9,858,195	9,858,195
2. Financial assets held to maturity		-	-	-	-	2,515,993	2,515,993
3. Due from banks		-	1	4	62,116	1,269,690	1,331,811
4. Loans to customers		3,009,222	3,042,719	145,371	856,814	38,440,053	45,494,179
5. Financial assets designated at fair value through profit and loss		-	-	-	-	31,545	31,545
6. Financial assets being sold		-	-	-	-	-	-
Total	**31.12.2016**	**3,009,222**	**3,042,720**	**145,375**	**918,930**	**52,115,476**	**59,231,723**
Total	**31.12.2015**	**2,973,986**	**3,126,205**	**255,645**	**1,183,427**	**47,488,655**	**55,027,918**

The following table analyses, portfolio by portfolio, the maturities of loans that are past due but not impaired, as required by IFRS 7, paragraph 37.

Portfolio/Quality	Other assets not overdue	Past due unimpaired loans			
		Past due up to 3 months	Past due from 3 to 6 months	Past due from 6 to 12 months	Past due for over 1 year
3. Due from banks	1,269,690	61,882	234	-	-
4. Loans to customers	38,440,053	654,268	114,171	64,946	23,429
Total	**39,709,743**	**918,930**			

A.1.2 Distribution of credit exposures by portfolio and quality of lending (gross and net values)

Portfolio/quality		Non-performing loans			Performing loans			Total
		Gross exposure	Specific provisions	Net exposure	Gross exposure	General portfolio provisions	Net exposure	(Net exposure)
1. Financial assets available for sale		-	-	-	9,858,195	-	9,858,195	9,858,195
2. Financial assets held to maturity		-	-	-	2,515,993	-	2,515,993	2,515,993
3. Due from banks		5	-	5	1,331,806	-	1,331,806	1,331,811
4. Loans to customers		11,173,562	4,976,250	6,197,312	39,480,917	184,050	39,296,867	45,494,179
5. Financial assets designated at fair value through profit and loss		-	-	-	31,545	#	31,545	31,545
6. Financial assets being sold		-	-	-	-	-	-	-
Total	**31.12.2016**	**11,173,567**	**4,976,250**	**6,197,317**	**53,218,456**	**184,050**	**53,034,406**	**59,231,723**
Total	**31.12.2015**	**11,407,205**	**5,051,369**	**6,355,836**	**48,873,289**	**201,207**	**48,672,082**	**55,027,918**

Derecognised non-performing loans to customers involved in insolvency proceedings amount to € 1,066,784 thousand. As also indicated in paragraph 6.1 of the directors' report on Group operations, for the purpose of determining the actual level of coverage of non-performing loans the above mentioned derecognised loans need to be taken into account.

Portfolio/quality		Low credit quality assets		Other activities
		Cumulated losses	Net exposures	Net exposure
1. Financial assets held for trading		1,110	2,515	539,899
2. Hedging derivatives		-	-	62,365
Total	**31.12.2016**	**1,110**	**2,515**	**602,264**
Total	**31.12.2015**	**1,339**	**4,838**	**689,970**

A.1.3 Banking group - Cash and off-balance sheet exposures to banks: gross and net values and past-due buckets

Type of exposure/Amounts	Gross exposure					Specific provisions	General portfolio provisions	Net exposure
	Non performing loans				Performing loans			
	up to 3 months	from 3 to 6 months	from 6 to 12 months	over 1 year				
A. Cash exposures								
a) Bad loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
b) Unlikely to pay loans	1	-	-	-	#	-	#	1
- of which: forborne exposures	-	-	-	-	#	-	#	-
c) Impaired past due loans	4	-	-	-	#	-	#	4
- of which: forborne exposures	-	-	-	-	#	-	#	-
d) Not impaired past due loans	#	#	#	#	62,118	#	-	62,118
- of which: forborne exposures	#	#	#	#	-	#	-	-
e) Other performing assets	#	#	#	#	5,910,583	#	-	5,910,583
- of which: forborne exposures	#	#	#	#	-	#	-	-
Total A	**5**	**-**	**-**	**-**	**5,972,701**	**-**	**-**	**5,972,706**
B. Off-balance sheet exposures								
a) Non-performing exposures	-	-	-	-	#	-	#	-
b) Performing exposures	#	#	#	#	543,560	#	-	543,560
Total B	**-**	**-**	**-**	**-**	**543,560**	**-**	**-**	**543,560**
Total (A+B)	**5**	**-**	**-**	**-**	**6,516,261**	**-**	**-**	**6,516,266**

A.1.4 Banking Group - On-Balance Sheet credit exposures to banks: gross change in non-performing exposures

Description/categories	Bad loans	Unlikely to pay loans	Impaired past due loans
A. Opening balance - gross exposure	**12,381**	**-**	**1**
- of which: assets sold but not derecognised	-	-	-
B. Increases	**21**	**1**	**4**
B.1 transfers from performing exposures	-	-	4
B.2 transfer from other impaired exposure categories	-	1	-
B.3 other increases	21	-	-
C. Reductions	**12,402**	**-**	**1**
C.1 transfers to performing exposures	-	-	-
C.2 derecognised items	12,402	-	-
C.3 recoveries	-	-	-
C.4 sales proceeds	-	-	-
C.5 *bis* losses from disposal	-	-	-
C.6 transfer to other impaired exposure categories	-	-	1
C.7 other reductions	-	-	-
D. Gross exposure closing balance	**-**	**1**	**4**
- of which: assets sold but not derecognised	-	-	-

A.1.5 Banking Group - Non performing balance sheet credit exposures to banks: change in overall impairments

Description/categories	Bad loans		Unlikely to pay loans		Impaired past due loans	
	Total	of wich: forborne exposures	Total	of wich: forborne exposures	Total	of wich: forborne exposures
A. Opening gross write-downs	**12,381**	**-**	**-**	**-**	**-**	**-**
- of which: assets sold but not derecognised	-	-	-	-	-	-
B. Increases	**117**	**-**	**-**	**-**	**-**	**-**
B.1 write-downs	117	-	-	-	-	-
B.2 lost from disposals	-	-	-	-	-	-
B.3 transfer from other impaired exposure categories	-	-	-	-	-	-
B.4 other increases	-	-	-	-	-	-
C. Reductions	**12,498**	**-**	**-**	**-**	**-**	**-**
C.1 write-backs from assessments	-	-	-	-	-	-
C.2 write-backs from recoveries	-	-	-	-	-	-
C.3 profit from disposals	-	-	-	-	-	-
C.4 write-offs	12,402	-	-	-	-	-
C.5 transfer to other impaired exposure categories	-	-	-	-	-	-
C.6 other reductions	96	-	-	-	-	-
D. Final gross write-downs	**-**	**-**	**-**	**-**	**-**	**-**
- of which: assets sold but not derecognised	-	-	-	-	-	-

A.1.6 Banking group - Cash and off-balance sheet credit exposures to customers: gross and net values and past-due buckets

Type of exposure/Amounts	Gross exposure					Specific provisions	General Portfolio provisions	Net exposure
	Non performing loans				Performing loans			
	up to 3 months	from 3 to 6 months	from 6 to 12 months	over 1 year				
A. Cash exposures								
a) Bad loans	7,928	486	-	7,030,683	#	4,029,875	#	3,009,222
- of which: forborne exposures	335	-	-	721,366	#	313,932	#	407,769
b) Unlikely to pay loans	1,735,281	185,778	476,706	1,579,029	#	934,075	#	3,042,719
- of which: forborne exposures	1,125,634	86,118	195,467	561,474	#	400,339	#	1,568,354
c) Impaired past due loans	24,455	45,510	68,334	19,372	#	12,300	#	145,371
- of which: forborne exposures	511	1,663	936	56	#	214	#	2,952
d) Not impaired past due loans	#	#	#	#	871,821	#	15,009	856,812
- of which: forborne exposures	#	#	#	#	82,972	#	2,412	80,560
e) Other assets	#	#	#	#	46,727,001	#	169,041	46,557,960
- of which: forborne exposures	#	#	#	#	828,979	#	12,609	816,370
Total A	**1,767,664**	**231,774**	**545,040**	**8,629,084**	**47,598,822**	**4,976,250**	**184,050**	**53,612,084**
B. Off-Balance Sheet exposure								
a) Non-performing exposures	163,296	-	-	-	#	43,376	#	119,920
b) Others	#	#	#	#	3,357,875	#	13,547	3,344,328
Total B	**163,296**	**-**	**-**	**-**	**3,357,875**	**43,376**	**13,547**	**3,464,248**
Total (A+B)	**1,930,960**	**231,774**	**545,040**	**8,629,084**	**50,956,697**	**5,019,626**	**197,597**	**57,076,332**

A.1.7 Banking group - Cash credit exposures to customers: dynamics of gross impaired loans

Description/categories	Bad loans	Unlikely to pay loans	Impaired past due loans
A. Opening gross exposure	**7,108,668**	**4,002,044**	**284,111**
- of which: sold but not derecognised	1,402	-	-
B. Increases	**1,128,602**	**1,858,326**	**192,928**
B.1 transfers from performing loans	203,872	1,197,901	161,262
B.2 transfers from other categories of impaired exposures	755,567	170,004	6,188
B.3 other increases	169,163	490,421	25,478
- of which business combinations	84,147	54,583	117
C. Decreases	**1,198,173**	**1,883,576**	**319,368**
C.1 transfers to performing loans	4,093	304,088	53,802
C.2 write-offs	185,453	8,129	735
C.3 collections	240,718	802,265	36,334
C.4 proceeds from disposals	167,751	997	701
C.5 losses from disposals	592,348	-	-
C.6 transfers to other categories of impaired exposures	229	705,075	226,455
C.7 other decreases	7,581	63,022	1,341
D. Closing gross exposure	**7,039,097**	**3,976,794**	**157,671**
- of which: assets sold but not derecognised	-	-	-

A.1.7 *bis* Banking Group - On-Balance Sheet credit exposures to banks: gross change in non-performing exposures

Description/categories	Non-performing forborne exposures	Performing forborne exposures
A. Opening balance - gross exposure	**2,603,809**	**1,045,862**
- of which: assets sold but not derecognised	-	-
B. Increases	**1,405,174**	**862,471**
B.1 transfers from performing not forborne	326,999	505,144
B.2 transfers from performing forborne	256,682	#
B.3 transfers from non-performing forborne	#	118,093
B.4 other increases	821,493	239,234
C. Reductions	**1,315,423**	**996,382**
C.1 transfers to performing not forborne	#	341,036
C.2 transfers to performing forborne	118,093	#
C.3 transfers from non-performing forborne	#	256,682
C.4 write-offs	5,054	-
C.5 collections	674,552	364,516
C.6 proceeds from disposals	11,824	-
C.7 losses from disposals	28,708	-
C.8 transfers to other categories of impaired exposures	477,192	34,148
D. Gross exposure closing balance	**2,693,560**	**911,951**
- of which: assets sold but not derecognised	-	-

A.1.8 Banking group - Non performing cash credit exposures to customers: dynamics of total write-downs

Description/categories	Bad loans		Unlikely to pay loans		Impaired past due loans	
	Total	of which: forborne exposures	Total	of which: forborne exposures	Total	of which: forborne exposures
A. Total opening adjustments	**4,134,682**	**242,643**	**875,839**	**379,228**	**28,467**	**1,479**
- of which: sold but not derecognised	1,402	-	-	-	-	-
B. Increases	**1,063,711**	**154,398**	**464,705**	**174,214**	**12,753**	**308**
B.1 adjustments	776,339	86,609	433,818	165,715	11,617	171
B.2 loss from disposals	14,791	8,994	-	-	-	-
B.3 transfer from other categories of impaired exposures	206,955	54,542	15,598	1,517	481	136
B.4 other increases	65,626	4,253	15,289	6,982	655	1
C. Reductions	**1,168,518**	**83,109**	**406,469**	**153,103**	**28,920**	**1,573**
C.1 write-backs on valuation	283,963	30,364	103,724	56,363	5,047	2
C.2 write-backs due to collections	81,654	2,121	90,570	34,153	820	8
C.3 profit from disposals	3,657	412	-	-	-	-
C.4 write-offs	185,453	4,057	8,129	997	735	-
C.5 transfer to other categories of impaired exposures	79	79	200,651	54,678	22,304	1,438
C.6 other decreases	613,712	46,076	3,395	6,912	14	125
D. Total closing adjustments	**4,029,875**	**313,932**	**934,075**	**400,339**	**12,300**	**214**
- of which: sold but not derecognised	-	-	-	-	-	-

The adjustments (B.1) include default interest accrued in the period (€ 30,721 thousand), but which has not been recognised in the income statement in accordance with IAS 18.
Writebacks also take into account prior year default interest that has been collected for an amount of € 3,238 thousand.

Determination of impairment of performing loans ("collective" method)

Banks that are aligned to the Group's IT system

The methods used for the determination of collective impairment have been determined by the Parent Company and provide for the calculation of collective impairment at the level of individual exposure by applying this formula:

IMPAIRMENT=EXP*PD*LGD

- EXP = gross book value in the case of cash exposures; nominal value multiplied by the regulatory credit equivalent (standard method) in the case of off-balance sheet exposures;
- PD = a figure that estimates the probability of default at 1 year. The PDs associated with internal official ratings are used;
- LGD = Rate of loss in case of default. The LGD estimated by the internal models developed as part of the Basel 2 project is applied, less the downturn component and indirect costs (LGD for management purposes).

Banks and non-banking companies that are not aligned to the Group's IT system

The method used for determining collective impairment is managed by each Group company not aligned to the IT system on the basis of its own internal estimates.

A.2 Classification of exposures based on external and internal ratings

A.2.1 Banking group - Distribution of cash and “off-balance sheet” exposures by external rating class

Exposures	External rating class						Total
	AAA/AA-	A+/A-	BBB+/BBB-	BB+/BB-	B+/B-	Below B-	
A. Cash exposures	638,907	8,422,648	2,859,826	1,162,651	281,620	97,683	13,463,335
B. Derivatives	64	4,714	16,773	16,271	5,455	-	43,277
B.1 Financial derivatives	64	4,714	16,773	16,271	5,455	-	43,277
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	69,823	438,670	452,366	167,063	80,691	33,512	1,242,125
D. Commitments to make loans	-	36,926	157,095	18,409	9,515	284	222,229
E. Other	-	-	-	-	-	-	-
Total	**708,794**	**8,902,958**	**3,486,060**	**1,364,394**	**377,281**	**131,479**	**14,970,966**

	With external rating	Unrated	Total
A. Cash exposures	13,463,335	46,121,455	59,584,790
B+C+D. Off-balance sheet exposures	1,507,631	2,500,177	4,007,808
Total	**14,970,966**	**48,621,632**	**63,592,598**

The following rating agencies are used: DBRS for exposures to central administrations, CERVED GROUP for exposures to businesses, FITCH, MOODY’S and S&P's for exposures deriving from securitisations. The rating classes used in the table are those of Standard&Poor’s. S&P’s rating classes and those of the other ECAI used by the BPER Banca Group have been interpreted with reference to the Bank of Italy’s classes of merit.

The ratings issued by Standard & Poor's for exposures to businesses and other parties are mapped below.

Long-term rating for exposures to businesses and other parties:

Class of credit merit	Risk weighting coefficients	ECAI Standard & Poor's
1	20%	from AAA to AA-
2	50%	from A+ to A-
3	100%	from BBB+ to BBB-
4	100%	from BB+ to BB-
5	150%	from B+ to B-
6	150%	CCC+ and below

Long-term rating for exposures to securitisations:

Class of credit merit	Risk weighting coefficients	ECAI Standard & Poor's
1	20%	from AAA to AA-
2	50%	from A+ to A-
3	100%	from BBB+ to BBB-
4	350%	from BB+ to BB-
5	1250%	from B+ and below

A.2.2 Banking group - Distribution of cash and "off-balance sheet" exposures by internal rating class

Exposure to individuals:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	1,656,051	1,195,617	1,265,275	1,430,759	2,161,815	812,216	670,257
B. Derivatives	27	32	-	34	71	36	-
B.1 Financial derivatives	27	32	-	34	71	36	-
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	7,217	12,907	5,430	2,525	8,598	4,111	7,498
D. Commitments to make loans	11,723	16,460	6,105	8,105	28,737	2,736	3,009
E. Other	-	-	-	-	-	-	-
Total	**1,675,018**	**1,225,016**	**1,276,810**	**1,441,423**	**2,199,221**	**819,099**	**680,764**

Exposures	Internal rating class						
	8	9	10	11	12	13	Total
A. Cash exposures	448,293	259,405	197,238	146,400	63,512	142,927	10,449,765
B. Derivatives	-	-	23	-	-	-	223
B.1 Financial derivatives	-	-	23	-	-	-	223
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	3,111	3,822	759	352	(276)	3,916	59,970
D. Commitments to make loans	743	717	514	138	48	143	79,178
E. Other	-	-	-	-	-	-	-
Total	**452,147**	**263,944**	**198,534**	**146,890**	**63,284**	**146,986**	**10,589,136**

Exposure to companies:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	1,334,177	1,419,925	2,260,958	2,707,114	2,000,393	1,173,910	809,570
B. Derivatives	1,849	1,508	1,932	9,347	16,797	5,257	5,952
B.1 Financial derivatives	1,849	1,508	1,932	9,347	16,797	5,257	5,952
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	197,218	181,430	242,871	215,078	91,534	63,056	55,974
D. Commitments to make loans	7,848	12,091	60,268	21,821	24,782	61,071	24,849
E. Other	-	-	-	-	-	-	-
Total	**1,541,092**	**1,614,954**	**2,566,029**	**2,953,360**	**2,133,506**	**1,303,294**	**896,345**

Exposures	Internal rating class						
	8	9	10	11	12	13	Total
A. Cash exposures	460,508	245,934	149,286	85,760	54,354	136,508	12,838,397
B. Derivatives	236	1	243	-	-	540	43,662
B.1 Financial derivatives	236	1	243	-	-	540	43,662
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	16,904	8,912	4,136	2,104	7,980	10,988	1,098,185
D. Commitments to make loans	5,592	2,009	2,075	147	-	1,327	223,880
E. Other	-	-	-	-	-	-	-
Total	**483,240**	**256,856**	**155,740**	**88,011**	**62,334**	**149,363**	**14,204,124**

Exposure to large businesses:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	35,506	320,413	452,896	933,604	908,162	559,097	207,454
B. Derivatives	269	366	2,001	1,239	850	85	88
B.1 Financial derivatives	269	366	2,001	1,239	850	85	88
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	10,418	92,240	196,478	184,015	195,211	107,190	41,683
D. Commitments to make loans	-	927	5,224	50,330	4,164	90,884	563
E. Other	-	-	-	-	-	-	-
Total	**46,193**	**413,946**	**656,599**	**1,169,188**	**1,108,387**	**757,256**	**249,788**

Exposures	Internal rating class						
	8	9	10	11	12	13	Total
A. Cash exposures	139,680	75,735	56,650	29,941	202	-	3,719,340
B. Derivatives	418	361	-	-	-	-	5,677
B.1 Financial derivatives	418	361	-	-	-	-	5,677
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	29,709	3,624	6,245	11,113	525	49,349	927,800
D. Commitments to make loans	409	-	-	-	-	-	152,501
E. Other							-
Total	**170,216**	**79,720**	**62,895**	**41,054**	**727**	**49,349**	**4,805,318**

A.3 Distribution of guaranteed exposures by type of guarantee

A.3.1 Banking group - Guaranteed credit exposures to banks

	Amount of net exposure	Real guarantees (1)			
		Property - mortgages	Properties under finance leases	Securities	Other secured guarantees
1. Guaranteed cash exposures:	**12,441**	**-**	**-**	**-**	**-**
1.1. fully guaranteed	12,441	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
1.2. partially guaranteed	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**44,084**	**-**	**-**	**-**	**-**
2.1. fully guaranteed	44,084	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
2.2. partially guaranteed	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-

(cont.)

	Personal guarantees (2)									Total (1)+(2)
	Credit derivatives					Endorsement credits				
	CLN	Other derivatives								
		Governments and central banks	Other public entities	Banks	Other parties	Governments and central banks	Other public entities	Banks	Other parties	
1. Guaranteed cash exposures:	**-**	**-**	**-**	**-**	**-**	**12,441**	**-**	**-**	**-**	**12,441**
1.1. fully guaranteed	-	-	-	-	-	12,441	-	-	-	12,441
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
1.2. partially guaranteed	-	-	-	-	-	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**-**	**-**	**42,795**	**-**	**730**	**559**	**44,084**
2.1. fully guaranteed	-	-	-	-	-	42,795	-	730	559	44,084
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
2.2. partially guaranteed	-	-	-	-	-	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-

A.3.2 Banking group - Guaranteed credit exposures to customers

	Amount of net exposure	Real guarantees (1)			
		Property - mortgages	Properties under finance leases	Securities	Other secured guarantees
1. Guaranteed cash exposures:	**30,448,461**	**18,801,882**	**2,061,955**	**648,286**	**1,455,393**
1.1. fully guaranteed	27,804,651	18,435,457	2,061,955	512,478	1,422,790
- of which: non-performing exposures	4,855,923	3,435,228	489,620	20,246	125,276
1.2. partially guaranteed	2,643,810	366,425	-	135,808	32,603
- of which: non-performing exposures	626,025	247,065	-	6,312	954
2. Guaranteed off-balance sheet credit exposures:	**1,109,350**	**8,706**	**-**	**82,826**	**64,305**
2.1. fully guaranteed	803,878	4,615	-	57,128	61,604
- of which: non-performing exposures	33,131	552	-	1,358	5,125
2.2. partially guaranteed	305,472	4,091	-	25,698	2,701
- of which: non-performing exposures	13,437	414	-	320	20

(cont.)

	Personal guarantees (2)									Total (1)+(2)
	Credit derivatives					Endorsement credits				
		Other derivatives								
	CLN	Governments and central banks	Other public entities	Banks	Other parties	Governments and central banks	Other public entities	Banks	Other parties	
1. Guaranteed cash exposures:	**-**	**-**	**-**	**-**	**-**	**48,937**	**591,539**	**54,280**	**5,845,090**	**29,507,362**
1.1. fully guaranteed	-	-	-	-	-	12,334	283,837	38,074	5,016,274	27,783,199
- of which: non-performing exposures	-	-	-	-	-	1,318	25,371	32,975	719,945	4,849,979
1.2. partially guaranteed	-	-	-	-	-	36,603	307,702	16,206	828,816	1,724,163
- of which: non-performing exposures	-	-	-	-	-	1,052	9,206	544	213,985	479,118
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**-**	**-**	**1,016**	**962**	**10,911**	**875,739**	**1,044,465**
2.1. fully guaranteed	-	-	-	-	-	408	-	7,429	663,393	794,577
- of which: non-performing exposures	-	-	-	-	-	-	-	135	25,937	33,107
2.2. partially guaranteed	-	-	-	-	-	608	962	3,482	212,346	249,888
- of which: non-performing exposures	-	-	-	-	-	-	-	-	10,439	11,193

B. Distribution and concentration of credit exposures

B.1 Banking Group - Distribution by sector of cash and "off-balance sheet" exposures to customers (book value)

Exposures/Counterparts	Governments			Other Pubblic Entities			Financial businesses		
	Net exposure	Specific provisions	General portfolio provisions	Net exposure	Specific provisions	General portfolio provisions	Net exposure	Specific provisions	General portfolio provisions
A. Cash exposure									
A.1 Bad loans	-	-	#	26	77	#	35,328	133,960	#
- of which: forborne exposures	-	-	#	-	-	#	4,567	11,583	#
A.2 Unlikelyt to pay loans	-	-	#	5,325	857	#	105,428	66,395	#
- of which: forborne exposures	-	-	#	4,281	571	#	78,014	26,517	#
A.3 Impaired past due loans	-	#	-	84	7	-	2,016	326	-
- of which: forborne exposures	-	#	-	-	#	-	245	6	-
A.5 Performing exposures	8,143,342	#	-	477,261	#	5,100	3,821,169	#	5,336
- of which: forborne exposures	-	#	-	6,750	#	35	14,007	#	197
Total A	**8,143,342**	**-**	**-**	**482,696**	**941**	**5,100**	**3,963,941**	**200,681**	**5,336**
B. Off-Balance Sheet exposures									
B.1Bad loans	-	-	#	-	-	#	-	-	#
B.2 Unlikely to pay loans	-	-	#	26	-	#	4,846	4	#
B.3 Other impaired loans	-	-	#	57	2	#	52	-	#
B.4 Performing exposures	1,709	#	-	31,700	#	7	296,076	#	238
Total B	**1,709**	**-**	**-**	**31,783**	**2**	**7**	**300,974**	**4**	**238**
Total (A+B) 31.12.2016	**8,145,051**	**-**	**-**	**514,479**	**943**	**5,107**	**4,264,915**	**200,685**	**5,574**
Total (A+B) 31.12.2015	**8,617,227**	**1**	**-**	**421,600**	**931**	**5,098**	**3,828,358**	**220,544**	**5,516**

(cont.)

Exposures/Counterparts	Insurance companies			Non-financial companies			Other entities		
	Net exposure	Specific provisions	General portfolio provisions	Net exposure	Specific provisions	General portfolio provisions	Net exposure	Specific provisions	General portfolio provisions
A. Cash exposure									
A.1 Bad loans	-	-	#	2,639,374	3,440,081	#	334,494	455,757	#
- of which: forborne exposures	-	-	#	356,167	244,136	#	47,035	58,213	#
A.2 Unlikelyt to pay loans	-	-	#	2,584,664	792,274	#	347,302	74,549	#
- of which: forborne exposures	-	-	#	1,322,592	341,035	#	163,467	32,216	#
A.3 Impaired past due loans	-	-	#	117,803	9,537	#	25,468	2,430	#
- of which: forborne exposures	-	-	#	2,067	167	#	640	41	#
A.5 Performing exposures	191,013	#	2	23,970,708	#	152,437	10,811,279	#	21,175
- of which: forborne exposures	-	#	-	707,641	#	13,441	168,532	#	1,348
Total A	**191,013**	**-**	**2**	**29,312,549**	**4,241,892**	**152,437**	**11,518,543**	**532,736**	**21,175**
B. Off-Balance Sheet exposures									
B.1Bad loans	-	-	#	18,518	22,404	#	206	90	#
B.2 Unlikely to pay loans	-	-	#	86,881	20,389	#	3,788	139	#
B.3 Other impaired loans	-	-	#	5,392	343	#	154	5	#
B.4 Performing exposures	14,302	#	3	2,823,348	#	5,505	124,632	#	7,794
Total B	**14,302**	**-**	**3**	**2,934,139**	**43,136**	**5,505**	**128,780**	**234**	**7,794**
Total (A+B) 31.12.2016	**205,315**	**-**	**5**	**32,246,688**	**4,285,028**	**157,942**	**11,647,323**	**532,970**	**28,969**
Total (A+B) 31.12.2015	**138,940**	**-**	**7**	**31,118,411**	**4,309,396**	**175,070**	**11,074,897**	**554,271**	**23,944**

B.2 Banking Group - Territorial distribution of the cash and "off-balance sheet" exposure to customers (book value)

Exposures/Geographical area	Italy		Other european countries		America		Asia		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Cash exposure										
A.1 Bad loans	3,006,575	4,017,063	2,612	12,394	35	391	-	9	-	18
A.2 Unlikely to pay loans	2,953,098	858,410	87,307	73,381	2,310	2,280	-	1	4	3
A.3 Impaired past due loans	143,527	12,227	1,842	69	-	2	2	1	-	1
A.5 Performing exposures	44,972,538	182,858	1,324,075	979	963,865	94	98,356	88	55,938	31
Total	**51,075,738**	**5,070,558**	**1,415,836**	**86,823**	**966,210**	**2,767**	**98,358**	**99**	**55,942**	**53**
B. Off-Balance Sheet exposures										
B.1 Bad Loans	18,724	22,493	-	1	-	-	-	-	-	-
B.2 Unlikely to pay loans	95,361	20,462	180	70	-	-	-	-	-	-
B.3 Other impaired loans	5,655	350	-	-	-	-	-	-	-	-
B.4 Performing exposures	3,120,274	13,421	164,984	126	416	-	937	-	5,156	-
Total	**3,240,014**	**56,726**	**165,164**	**197**	**416**	**-**	**937**	**-**	**5,156**	**-**
Total 31.12.2016	**54,315,752**	**5,127,284**	**1,581,000**	**87,020**	**966,626**	**2,767**	**99,295**	**99**	**61,098**	**53**
Total 31.12.2015	**53,389,416**	**5,229,608**	**1,235,092**	**63,088**	**553,088**	**2,000**	**4,046**	**45**	**17,791**	**37**

B.2.1 Banking Group - Territorial distribution of the cash and "off-balance sheet" exposure to customers (book value)

Exposures/Geographical area	North-West Italy		North-East Italy		Central Italy		South of Italy and islands		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Cash exposure										
A.1 Bad loans	322,165	514,984	828,624	1,166,095	333,679	582,575	1,522,107	1,753,409	2,647	12,812
A.2 Unlikely to pay loans	285,651	86,797	1,113,444	405,334	400,644	115,501	1,153,359	250,778	89,621	75,665
A.3 Impaired past due loans	16,801	1,817	46,102	3,892	19,784	1,159	60,840	5,359	1,844	73
A.4 Performing exposures	6,371,701	34,048	14,969,884	58,717	11,767,313	27,062	11,863,640	63,031	2,442,234	1,192
Total	**6,996,318**	**637,646**	**16,958,054**	**1,634,038**	**12,521,420**	**726,297**	**14,599,946**	**2,072,577**	**2,536,346**	**89,742**
B. Off-Balance Sheet exposures										
B.1 Bad loans	655	750	9,807	15,354	4,549	2,697	3,713	3,692	-	1
B.2 Unlikely to pay loans	8,006	1,958	58,895	14,833	10,847	2,192	17,613	1,479	180	70
B.3 Other impaired loans	202	9	468	15	3,384	305	1,601	21	-	-
B.4 Performing exposures	650,969	764	1,691,417	11,269	288,444	368	489,444	1,020	171,493	126
Total	**659,832**	**3,481**	**1,760,587**	**41,471**	**307,224**	**5,562**	**512,371**	**6,212**	**171,673**	**197**
Total 31.12.2016	**7,656,150**	**641,127**	**18,718,641**	**1,675,509**	**12,828,644**	**731,859**	**15,112,317**	**2,078,789**	**2,708,019**	**89,939**
Total 31.12.2015	**6,423,967**	**632,875**	**18,894,520**	**1,617,078**	**12,769,931**	**731,887**	**15,300,998**	**2,247,768**	**1,810,017**	**65,170**

B.3 Banking Group - Territorial distribution of the cash and "off-balance sheet" exposure to banks (book value)

Exposures/Geographic Area	Italy		Other EU countries		America		Asia		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Balance Sheet exposures										
A.1 Bad loans	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	1	-	-	-	-	-	-	-	-	-
A.3 Impaired past due loans	4	-	-	-	-	-	-	-	-	-
A.4 Performing exposures	1,781,121	-	2,851,238	-	344,359	-	87,254	-	908,729	-
Total	**1,781,126**	**-**	**2,851,238**	**-**	**344,359**	**-**	**87,254**	**-**	**908,729**	**-**
B. Off-Balance Sheet exposures										
B.1 Bad loans	-	-	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
B.3 Other impaired loans	-	-	-	-	-	-	-	-	-	-
B.4 Performing exposures	31,186	-	203,555	-	19,890	-	44,086	-	11,454	-
Total	**31,186**	**-**	**203,555**	**-**	**19,890**	**-**	**44,086**	**-**	**11,454**	**-**
Total 31.12.2016	**1,812,312**	**-**	**3,054,793**	**-**	**364,249**	**-**	**131,340**	**-**	**920,183**	**-**
Total 31.12.2015	**2,687,917**	**10,033**	**2,500,347**	**2,349**	**214,652**	**-**	**86,110**	**-**	**550,711**	**-**

B.3.1 Banking Group - Territorial distribution of the cash and "off-balance sheet" exposure to banks (book value)

Exposures/Geographic area		North-West Italy		North-East Italy		Central Italy		South of Italy and islands		Rest of the world	
		Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Balance Sheet exposures											
A.1 Bad loans		-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans		-	-	-	-	1	-	-	-	-	-
A.3 Impaired past due loans		4	-	-	-	-	-	-	-	-	-
A.Performing exposures		839,960	-	181,404	-	759,514	-	243	-	4,191,580	-
Total A		**839,964**	**-**	**181,404**	**-**	**759,515**	**-**	**243**	**-**	**4,191,580**	**-**
B. Off-Balance Sheet exposures											
B.1 Bad loans		-	-	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans		-	-	-	-	-	-	-	-	-	-
B.3 Other impaired loans		-	-	-	-	-	-	-	-	-	-
B.4 Performing exposures		26,313	-	1,960	-	2,471	-	442	-	278,985	-
Total B		**26,313**	**-**	**1,960**	**-**	**2,471**	**-**	**442**	**-**	**278,985**	**-**
Total	**31.12.2016**	**866,277**	**-**	**183,364**	**-**	**761,986**	**-**	**685**	**-**	**4,470,565**	**-**
Total	**31.12.2015**	**637,365**	**-**	**1,541,132**	**-**	**504,894**	**10,033**	**4,526**	**-**	**3,351,820**	**2,349**

B.4 Large exposures

	31.12.2016	31.12.2015
a) Book value	14,164,496	12,980,918
b) Weighted value	2,839,214	2,509,057
c) Number	7	5

This measurement was made on the basis of the updates to Circular 285 which regulate "large exposures".
The law define as a "large exposure" the amount of cash assets at risk and off-balance sheet transactions of a single customer or group of related customers that come to 10% or more of admissible capital.
Note that repurchase agreements are included in the amount of risk activities. These transactions contribute to the value of the counterparty exposure for the amount of "securities to be received", while they contribute to the exposure after CRM and exemptions under art. 400 CRR only for the difference between the amount of "securities to be received" and the cash deposit received.
At the end of the year, there are seven "large exposures" for an overall amount of € 14,164 million, corresponding to € 2,839 million after CRM and exemptions under art. 400 CRR. Of these, repurchase agreements account for € 3,521 million and € 144 million respectively.
For an amount in excess of 70% of the total, the positions shown include the Treasury Ministry, the Ministry of Economy and Finance and the Cassa di Compensazione e Garanzia for a total exposure of € 10,689 million, € 1,165 million after CRM and exemptions. This amount includes a DTA (deferred tax asset) of € 1,165 million (same amount after CRM and exemptions)
The residual risk relates to two leading European banking groups, one of the largest global banking groups (€ 2,432 million - € 750 million after CRM and exemptions) and an associated company.

To facilitate an understanding of the degree of concentration of loans, the nominal value of major exposures has been provided.

Concentration of risks:

Reference date: 31.12.2016	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	12,769,943	2,235,650
First 10 exposures	15,545,897	3,762,063
First 20 exposures	19,350,067	5,392,856

Reference date: 31.12.2015	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	12,980,918	2,509,057
First 10 exposures	14,945,589	3,124,449
First 20 exposures	17,017,306	4,597,893

C. Securitisation transactions

Qualitative information

The primary objectives of the securitisation transactions arranged by the Group in relation to non-performing loans are:

- to improve the asset structure of the banks concerned;
- to facilitate loan recovery strategies and make them more efficient (by centralising work with one group of lawyers);
- to exercise rigorous, direct control over higher risk loans, without modifying the overall risk profile.

Transactions involving performing contracts are, on the other hand, arranged in order to optimise sources of funding.

The following BPER Banca Group transactions, other than self-securitisation transactions described in the subsequent Section 3, are outstanding at 31 December 2016:

- Sardegna no. 1;
- Mutina;
- Diesis.

Sardegna no. 1

The special purpose vehicle has issued three types of bonds, equalling the amount of the assets sold:

Disposal date:	31 December 1997
Seller:	Banco di Sardegna s.p.a.
Special purpose vehicle:	"Sardegna No. 1 Limited", with registered offices in Jersey.
Servicer:	Banco di Sardegna s.p.a.
Issue date of securities	31 December 1997
Type of transaction	Standard
Organisation	The responsible central offices provide a detailed quarterly report on the collections made during the period to Senior Management and the Group secretariat. In addition, the financial statements of the SPV are prepared each quarter by the external accountants and reviewed by management.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects, managed by ABN Amro Bank, are summarised below:

Assets sold	Mortgage loans, Government securities
Quality of assets securitised	Non-performing
Amount of securitised assets	Mortgage loans of Euro 79,400 thousand and government securities of Euro 309,900 thousand, together totalling Euro 389,300 thousand.
Disposal price of securitised assets	The mortgage loans had a carrying amount of Euro 90.2 million; the difference (Euro 10.8 million) with respect to the disposal price (Euro 79.4 million) was charged to the income statement in the year of disposal.
Guarantees and credit lines granted by the bank	Non-performing loans are guaranteed by voluntary or judgement mortgages and represent a group of similar assets, as required by Art. 58 of the Consolidated Banking Law.
Guarantees and credit lines granted by third parties	-
Related financial transactions	-
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	Italy. Coincides with the originator bank that sold the loans, since the operations of the bank are regional.

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2016	Moody's rating	S&P's rating
-	*Senior*	Dec-02	233,600	-	Aa1	AA
XS0083054394	*Mezzanine*	Dec-03	136,200	-	n.r.	n.r.
XS0083054550	*Junior*	Dec-20	19,500	-	n.r.	n.r.
Total			**389,300**	**-**		

The Senior securities (tranche A – matured and repaid in full), denominated in US Dollars, were subscribed for by Abn Amro Bank for placement in the international markets.
The mezzanine securities (tranche B – matured and repaid in full) were subordinate to tranche A and guaranteed by Banco di Sardegna s.p.a.
The initial maturity date of the transaction was 30 December 2004, and after having been extended three times to 2008, 2012 and then to 2016, it was again postponed to 30 December 2020, as approved at a meeting of the holders of the Junior securities held on 28 December 2016.
For aspects relating to the assessment of the class C subordinated bond (which at 31 December 2016 has a theoretical value of about Euro 35.7 million, including interest accrued to that date), it should be noted that the security was fully written down. This is because the cash flows of the underlying assets ("non-

performing" mortgage loans) will not be sufficient to repay these securities on maturity, as they will be used to pay the loan granted by the Bank to reimburse the Mezzanine securities.

Mutina (transaction structured pursuant to Law no. 130 dated 30 April 1999)

Disposal date:	27/06/02
Seller:	"Multi-originator" transaction arranged by the following Group banks: - Banca del Monte di Foggia s.p.a. (2); - Banca Popolare di Aprilia s.p.a. (4); - Banca Popolare dell'Irpinia s.p.a. (1); - Banca Popolare di Lanciano e Sulmona s.p.a.(4); - Banca Popolare del Materano s.p.a. (3); - Banca Popolare di Salerno s.p.a. (1); - Cassa di Risparmio della Provincia dell'Aquila s.p.a. (4); - Banca Popolare di Crotone s.p.a (3); - Banca di Sassari s.p.a. (5) (1) merged with Banca della Campania s.p.a. on 23/06/03 (2) merged with Banca della Campania s.p.a. on 28/12/06 (3) merged with Banca popolare del Mezzogiorno on 03/11/08. (4) now part of BPER as a result of the merger on 27/05/13. (1)(2)(3) Banca della Campania and Banca Popolare del Mezzogiorno are now part of BPER as a result of the merger on 24/11/2014. (5) On 23 May 2016 Banco di Sardegna acquired a business unit of Banca di Sassari, that include this type.
Special purpose vehicle:	Mutina s.r.l., with registered offices in Modena. Held 100% by BPER Banca (as a result of the merger of Em.Ro. popolare s.p.a. and Meliorbanca s.p.a. in 2012).
Servicer:	Nettuno Gestione Crediti s.p.a. as Master Servicer; the originator banks are used as sub-servicers. Until 31 December 2015, the Parent Company BPER was the back-up servicer. The new "Master Servicing Agreement" was signed on 15 December 2015, providing for the appointment of BPER (former back-up servicer) as a new Master Servicer in place of Nettuno Gestione Crediti s.p.a., with effect from 1 January 2016.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The carrying amount of the loans portfolio was Euro 840,160,206.
Disposal price of securitised assets	The disposal price was Euro 412,514,712.
Guarantees and credit lines granted by the bank	Liquidity line equal to 20% of the amount of the Senior securities issued.
Guarantees and credit lines granted by third parties	None.
Related financial transactions	Limited recourse loan in the form of government securities representing 120% of the amount of the Senior securities issued.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following no. 10 bonds in two categories, Senior and Junior.

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2016	Moody's rating	S&P's rating
IT0003444327	*Senior*	Aug-09	228,000	-	AA-	A+
IT0003444350	*Junior*	Feb-19	12,069	2,054	n.r.	n.r.
IT0003444376	*Junior*	Feb-19	12,143	7,517	n.r.	n.r.
IT0003444392	*Junior*	Feb-19	24,001	13,745	n.r.	n.r.
IT0003444459	*Junior*	Feb-19	61,830	38,917	n.r.	n.r.
IT0003444509	*Junior*	Feb-19	9,987	198	n.r.	n.r.
IT0003444517	*Junior*	Feb-19	10,487	10,487	n.r.	n.r.
IT0003444525	*Junior*	Feb-19	3,432	1,052	n.r.	n.r.
IT0003444558	*Junior*	Feb-19	31,094	23,607	n.r.	n.r.
IT0003444566	*Junior*	Feb-19	19,466	8,086	n.r.	n.r.
Total			**412,509**	**105,663**		

The Senior securities bore interest at Euribor plus a spread of 22 bps. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. They were placed with institutional investors and listed on the Luxembourg stock exchange.

The Junior securities, all subscribed for on a proportional basis by the originator banks, bear interest at 0.10%, with a "without memory" clause, and their redemption is subordinate to full satisfaction of the rights of bearers of the Senior Securities.

The remaining outstanding Senior securities matured on 10 August 2009 and were repaid in full on that date. Payment was made using available cash totalling Euro 5,922 thousand, plus Euro 29,350 thousand deriving from the redemption on 1 August of the CCTs previously used to guarantee the securities.
This utilisation, essentially representing an advance of liquidity, has given rise to a liability for Mutina s.r.l. towards the guarantors drawn against. Such liability has the same maturity as the Class C securities and is subordinated to their repayment.
A "Change Agreement" was signed on 12 September 2012, which extended the maturity of the Junior security from August 2013 to February 2019.
The current residual amount of Junior Securities is Euro 105,663 thousand:

- Euro 23,607 thousand held by Banco di Sardegna s.p.a., originating from Banca di Sassari's sale of the business unit in 2016 at a book value of Euro 3,622 thousand;
- Euro 82,056 thousand in portfolio at the Parent Company BPER Banca, following the mergers in 2013 and 2014. The book value is Euro 21,116 thousand.

Diesis (transaction structured pursuant to Law no. 130 dated 30 April 1999)

Disposal date:	13 July 2016
Seller:	"Multi-originator" transaction arranged by the following Group banks: - BPER Banca s.p.a.; - Banco di Sardegna s.p.a. ;
Special purpose vehicle:	Diesis SPV s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent; Cerved Credit Management s.p.a. acted as Special Servicer.
Issue date of securities	22 December 2016
Type of transaction	Standard
Organisation	The Master Servicer prepares six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. The master servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 259 million.
Disposal price of securitised assets	The disposal price was Euro 55 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

ISIN Code	Seniority	Maturity	Issue amount	Residual balance at 31.12.2016	Moody's rating	S&P's rating
IT0005224925	Senior	July-26	31,000,000	310	n.r.	n.r.
IT0005224933	Junior	July-28	20,600,000	206	n.r.	n.r.
Total			**51,600,000**	**516**		

The Senior securities bear interest at the 6-month Euribor interest rate plus a spread of 3%. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. They were placed with institutional investors.

The Junior securities, all subscribed for by the originator banks, bear interest at the 6-month Euribor interest rate and the payment thereof is subordinate to the full satisfaction of the rights of the bearers of the senior securities.

Quantitative information

C.1 Banking group - Exposures deriving from principal “own” securisations, analysed by type of asset securitised and by type of exposure

Type of underlying assets/Exposure	Cash exposure					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
A. Derecognised in full	**33,790**	**-**	**1,058**	**-**	**25,926**	**2,272**
- performing residential mortgages	2,790	-	1,058	-	88	-
- non-performing residential mortgages	3,863	-	-	-	2,290	1,768
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	15,812	-	-	-	13,517	289
- other non-performing loans	11,325	-	-	-	10,031	215
B. Derecognised in part	**-**	**-**	**-**	**-**	**-**	**-**
C. Not derecognised	-	-	-	-	-	-

(cont.)

Type of underlying assets/Exposure	Guarantees given					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
A. Derecognised in full	**4,062**	**-**	**-**	**-**	**-**	**-**
- performing residential mortgages	4,062	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
B. Derecognised in part	**-**	**-**	**-**	**-**	**-**	**-**
C. Not derecognised	-	-	-	-	-	-

The table shows the cash exposures assumed by the Group in connection with its own securitisations Mutina, Sestante and Diesis.
"Adjustments/writebacks" show the annual flow of writedowns and writebacks as required by the Bank of Italy's Circular 262/2005.
The parts of the table relating to credit lines have not been shown as there is nothing to report.

C.2 Banking group - Exposures deriving from principal “third party” securitisations, analysed by type of asset securitised and by type of exposure

Type of underlying asset/Exposures	Cash exposure					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
- performing residential mortgages	9,101	-	-	-	-	-
- performing no residential mortgages	4,476	-	8,592	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	-	-	-	-	-	-
- other performing loans	101,001	6,790	-	-	-	-
- performing securities	3,753	-	3,075	-	-	-

(cont.)

Type of underlying asset/Exposures	Credit lines					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs	Book value	Adjustments/ write-backs
- performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non performing	-	-	-	-	-	-
- other performing loans	2,100	-	-	-	-	-
- performing securities	-	-	-	-	-	-

The parts of the table relating to guarantees given have not been shown as there is nothing to report.

C.3 Banking group - Interests in special purpose vehicles (SPVs) for securitisation

Name of the securitisation/SPV	Head office	Consolidation	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Mutina s.r.l.	Modena	PN (art. 19 CRR)	29,273	-	965	-	-	28,034

The Mutina SPV is wholly-owned by the Parent Company but it has not been consolidated line-by-line as reported in Part A.1 of these Explanatory notes.

C.4 Banking group - Unconsolidated SPVs for securitisation

Name of the securitisation/SPV	Head office	% Interest	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Estense Finance s.r.l.	Conegliano (TV)	9.9%	610,586	-	97,927	467,484	-	132,632
Estense S.M.E. s.r.l. in liquidazione	Conegliano (TV)	9.9%	-	-	68	-	-	

C.5 Banking Group - Servicer activities - collection of securitised loans and reimbursement of securities issued by the SPV for securitisation

Servicer	Special purpose vehicle	Securitised assets (at year end)		Loan collections during the		Percentage of securities redeemed (at year end)					
						Senior		Mezzanine		Junior	
		Non-performing loans	Performing loans	Non-performing loans	Performing loans	Impaired	Performing	Impaired	Performing	Impaired	Performing
BPER Banca	Mutina s.r.l.	29,273	-	4,073	-	100.00%	-	-	-	42.73%	-
Banco di Sardegna s.p.a.	Sardegna N.1	5,859	-	227	-	-	100.00%	56.00%	44.00%	-	0,00%

D. Information on structured entities (other than securitisation companies)

From 1 January 2014, application of IFRS 12 "Disclosure of Interests in Other Entities", approved by EU Regulation 1254/2012, became mandatory. The purpose of this standard is to require the disclosure of information that enables users of financial statements to assess:

- the nature and risks arising from the investment of the entity that prepares financial statements in subsidiaries, joint arrangements and unconsolidated structured entities;
- the effects of these investments on its balance sheet/financial position, results and cash flows.

As a rule, a company's investment in another entity takes the form of a holding of equities or debt securities. There are also entities set up in such a way that the Voting rights or similar rights are not the dominant factor to determine who controls the entity; there may a situation in which the Voting rights only make reference to administrative tasks, while the relevant activities are governed by various contractual agreements. In this hypothesis, according to IFRS 12, we are in the presence of structured entities.

Structured entities often have all or some of the following features or characteristics:

- they have a limited activity;
- they have a limited and well-defined objective;
- they have insufficient net equity to enable the structured entity to finance its activities without subordinated financial support;
- they receive funding, in the form of contractually bound multiple instruments from investors that create concentrations of credit risk or other risk (tranches).

These types of entities can be recognised in:

- special purpose vehicles (for securitisations);
- companies formed to obtain financing secured by assets (for issuing Covered Bonds);
- certain types of investment funds.

D.1 Consolidated structured entities

At 31 December 2016, the companies that have been consolidated do not include structured entities, as defined in IFRS 12, but only companies controlled by holding Voting rights that ensure governance of the relevant activities.

D.2 Structured entities not consolidated from an accounting point of view

D.2.1 Consolidated structured entities for supervisory purposes

At 31 December 2016, the BPER Banca Group does not have any structured entities that are not consolidated from an accounting point of view, but consolidated for supervisory purposes.

D.2.2 Other structured entities

Qualitative information

At 31 December 2016, the BPER Banca Group holds investments in mutual funds of more than 20% which have not been consolidated because:

- there is no quantitative and qualitative correlation between the loan granted and the investment policies of the fund;
- the fund constitutes independent equity distinct from that of each participant;
- the percentage interest is transitory, structurally destined to fall over time.

Along with these types of transactions, the portfolio includes entities that, on the basis of the interest held, would fall within the scope of application of IFRS 10 or IAS 28, but the percentage held in the nominal share capital is limited to situations that do not make it possible to exercise a significant influence.
These are investments of marginal value, for which it is not considered necessary to provide additional information to help give a complete and accurate representation of the economic and financial situation of the Group.
For completeness of information, it should be noted that at 31 December 2016 unconsolidated SPVs are those provided in this Part E of the Explanatory Notes, Section C "Securitisation Transactions" in Table C.4 "Banking Group - Unconsolidated SPVs for securitisation".
As of the same date, the BPER Banca Group has not issued any Covered Bonds through unconsolidated structured entities.

Quantitative information

Captions/type of structured entity	Asset accounting portfolios	Total assets (A)	Liability accounting portfolios	Total liabilities (B)	Net book value (C=A - B)	Maximum exposure to the risk of loss (D)	Difference between exposure to risk of loss and book value (E=D-C)
1. Special purpose vehicle		-		-	-	-	-
2. UCITS		**96,369**		**-**	**96,369**	**96,369**	**-**
	AFS	96,369		-			
3. Other companies		**69**		**168**	**(99)**	**(99)**	**-**
	AFS	69	Debts to customers	168			
	loans to customers			-			

E. Disposals

A. Financial assets sold but not derecognised in full

Qualitative information

The Group did not make any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

Quantitative information

E.1 Banking group - Financial assets sold but not derecognised: book value and full value

Technical forms/Portfolio	Financial assets held for trading			Financial assets designated at fair value through profit		
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)
A. Cash assets	**55,502**	**-**	**-**	**-**	**-**	**-**
1. Debt securities	55,502	-	-	-	-	-
2. Equity instruments	-	-	-	-	-	-
3. UCITS units	-	-	-	-	-	-
4. Loans	-	-	-	-	-	-
B. Derivatives	**-**	**-**	**-**	**#**	**#**	**#**
Total 31.12.2016	**55,502**	**-**	**-**	**-**	**-**	**-**
- of which: impaired	-	-	-	-	-	-
Total 31.12.2015	**6,521**	**-**	**-**	**-**	**-**	**-**
- of which: impaired	-	-	-	-	-	-

(cont.)

Technical forms/Portfolio	Financial assets available for sale			Financial assets held to maturity		
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)
A. Cash assets	**3,663,646**	**-**	**-**	**1,054,075**	**-**	**-**
1. Debt securities	3,663,646	-	-	1,054,075	-	-
2. Equity instruments	-	-	-	#	#	#
3. UCITS units	-	-	-	#	#	#
4. Loans	-	-	-	-	-	-
B. Derivatives	**#**	**#**	**#**	**#**	**#**	**#**
Total 31.12.2016	**3,663,646**	**-**	**-**	**1,054,075**	**-**	**-**
- of which: impaired	-	-	-	-	-	-
Total 31.12.2015	**2,439,333**	**-**	**-**	**786,641**	**-**	**-**
- of which: impaired	-	-	-	-	-	-

(cont.)

Technical forms/Portfolio	Due from banks			Loans to customers			Total	
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in full (full value)	2016	2015
A. Cash assets	-	-	-	-	-	-	**4,773,223**	**3,232,495**
1. Debt securities	-	-	-	-	-	-	4,773,223	3,232,495
2. Equity instruments	#	#	#	#	#	#	-	-
3. UCITS units	#	#	#	#	#	#	-	-
4. Loans	-	-	-	-	-	-	-	-
B. Derivatives	#	#	#	#	#	#	-	-
Total 31.12.2016	-	-	-	-	-	-	**4,773,223**	#
- of which: impaired	-	-	-	-	-	-	-	#
Total 31.12.2015	-	-	-	-	-	-	#	**3,232,495**
- of which: impaired	-	-	-	-	-	-	#	-

E.2 Banking Group - Financial liabilities for financial assets sold but not derecognised: book value

Liabilities/Portfolio assets	Financial assets held for trading	Financial assets designated at fair value through profit and loss	Financial assets available for sale	Financial assets held to maturity	Due from banks	Loans to customers	Total
1. Due to customers	**55,466**	**-**	**966,319**	**685,905**	**-**	**-**	**1,707,690**
a) for assets recorded in full	55,466	-	966,319	685,905	-	-	1,707,690
b) for assets recorded in part	-	-	-	-	-	-	-
2. Due to banks	**-**	**-**	**2,636,061**	**470,052**	**-**	**-**	**3,106,113**
a) for assets recorded in full	-	-	2,636,061	470,052	-	-	3,106,113
b) for assets recorded in part	-	-	-	-	-	-	-
3. Debt securities in issue	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) for assets recorded in full	-	-	-	-	-	-	-
b) for assets recorded in part	-	-	-	-	-	-	-
Total 31.12.2016	**55,466**	**-**	**3,602,380**	**1,155,957**	**-**	**-**	**4,813,803**
Total 31.12.2015	**6,509**	**-**	**2,439,791**	**849,449**	**-**	**-**	**3,295,749**

B. Financial assets sold and not derecognised in full with recognition of continuing involvement

The Group did not make any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

E.4 Banking Group - Covered Bond transactions

Introduction

GBB issues are foreseen by BPER Banca Group's strategic plan as a means of diversification of funding sources, of reduction of related costs and of lengthening of maturities of liabilities. In particular, guaranteed bank bond issues are extremely appealing at a time when market yields are very low, also thanks to the institutional intervention of the ECB through its programmes of GBB purchases (CBPP3).

On 8 February 2011, the Board of Directors launched the structuring of a first programme for the issue of guaranteed bank bonds ("GBB1"), based on a collateralised portfolio of residential mortgage loans pursuant to art. 7-*bis* of Law no. 130 of 30 April 1999 ("Law no. 130/99"), the Ministry of Economy and Finance's Decree no. 310 of 14 December 2006 (the "MEF Decree") and the regulatory provisions of the Bank of Italy of 24 March 2010 (the "Rules" and, together with Law 130 and the MEF Decree and each subsequent amendment, the "Regulations").

On 3 March 2015 the Board of Directors launched the structuring of a second programme for the issue of guaranteed bank bonds ("GBB2"), based on a collateralised portfolio of residential and commercial mortgage loans, as already mentioned in the Directors' report on Group operations.

The basic structure of a guaranteed bank bonds issue

"Guaranteed Bank Bonds", also known as "Covered Bonds", may be issued under a scheme which envisages:

- the sale by a bank, which may differ from the bond issuer, to a special purpose vehicle of high credit quality assets and which constitute segregated assets pursuant to the applicable provisions of Law no. 130/99;
- the selling bank or another bank granting a subordinated loan to the assignee company to provide the assignee with the funding required to purchase the assets;
- the issue of a guarantee by the assignee company in favour of the bondholders, up to the amount of the segregated assets.

High credit quality assets are intended to mean loans that meet the selection criteria defined by the Regulations and related contracts (the "Eligible Assets").

Key elements of the BPER Banca Group's Programmes for the issue of Covered Bonds

The BPER Banca's Covered Bond Programmes (the "Programmes") have been structured as follows:

- the sale without recourse to Estense Covered Bond s.r.l. (the "SPV" or "Estense Covered Bond") for GBB1, and to Estense CPT Covered Bond s.r.l. (the "SPV" or "Estense CPT Covered Bond") for GBB2, initially just by BPER Banca and then, during the Programmes, also by other Group Banks, of assets with a high credit quality, which constitute segregated assets pursuant to Law no. 130/99;
- the provision to the assignee SPVs, by BPER Banca and other Group Banks that will eventually join the programmes as selling banks, of subordinated loans to provide the assignees with the funding required to purchase the assets sold;
- the issue by the SPVs, up to the amount of the segregated assets, of guarantees in favour of the holders of the Guaranteed Bank Bonds issued by BPER Banca.

Although they are presented as Group programmes, the initial and subsequent transactions only involved BPER Banca as the selling bank, the understanding being that BPER Banca will always take on the role of issuing bank. Only at a later stage, after an expert assessment of the risks and opportunities, is it

expected that other Group Banks will join the Programmes as selling banks to sell additional Eligible Assets.
The portfolios of Eligible Assets involved in the initial sales are composed of loans originating from residential mortgage loans for GBB1 and of residential and commercial mortgage loans for GBB2, which meet the requirements of the Regulations. These portfolios were identified based on general and specific criteria indicated in the sale agreements. Additional portfolios of Eligible Assets may include mortgage loans that meet the requirements of the Rules and any subsequent additional eligible assets referred to in Article 2, paragraph 3, points 2 and 3 of the MEF Decree.
The sale prices of the portfolios is determined, as laid down in the Provisions, with reference to their book values in the latest financial statements approved by BPER Banca with a view to specific sale dates or by having the sale price certified by the Independent Auditors. The sale prices so determined are subject to adjustment to take account of movements on the loans between the financial year end and the date of sale. More specifically, the sale prices shall be adjusted to take account of the collection of the capital element of the loans in the intervening period and the payment of contractually agreed interest in the same period.

The sale of the portfolios - without recourse and under the combined provisions of articles 1 and 4 of Law no. 130/99 and art. 58 of the CFA - is communicated to the mortgage holders by publishing a notice of sale by the seller with the above selection criteria in the Official Journal and by filing the same notice of sale with the Registrar of Companies. Further formalities are also carried out for privacy legislation purposes (Legislative Decree no. 196/2003).
The mortgage holders maintain a direct operational relationship with BPER Banca - or, in the case of sale of Eligible Assets by other selling banks that will join the Programmes, with the other Group Banks that the mortgage holders originally obtained the loans from - since the two SPVs have given BPER Banca responsibility for managing and administering the loans sold and the related collection and payment services (servicing activities), with BPER Banca having the power to grant a sub-proxy to the pertinent selling banks to perform servicing activities for the portfolios sold.
This, in accordance with the Regulations, is in order to minimise the commercial impact with the mortgage holders and, at the same time, to optimise the operational management of each portfolio which, in fact, remains in the hands of the assignors.
At predetermined dates and based on specific operational and market situations, BPER Banca, in the role of Calculation Agent, will perform assessment tests to compare the portfolios sold with the bonds issued, aimed at verifying the adequacy of the guarantees issued with reference to specific legal parameters and the parameters set by the Programmes' documentation based on indications provided by rating agencies, on which the credit rating assigned to the Guaranteed Bank Bonds depends.
In the case of non-compliance with one or more of the required parameters, it will be necessary to add to the portfolios sold by selling further Eligible Assets. The portfolios can be added to by using the SPVs' liquid funds or by further drawdowns of the subordinated loans granted by BPER Banca (or by the other selling banks) to the two SPVs.
Other initiatives are required in the case of violation of contractual conditions, up to the extreme consequences of enforcement of the guarantees provided by the SPVs in the case of an Event of Default by the Issuer (for example, default in repayment of principal or non-payment of interest on the Covered Bonds).
Moreover, on predetermined dates, the functions responsible for supervising the Bank's risk management verify the quality and integrity of the assets provided as collateral for Covered Bonds issued.

The structure of the Programmes, as outlined, permits the creation of segregated assets (consisting of the Eligible Assets assigned from time to time to the SPVs), to serve as a preferred guarantee for the Covered Bond holders, for the counterparties to derivative contracts entered into under the Programmes to hedge the risks inherent in the portfolio of transferred Eligible Assets and for the payment of other transaction costs.
Normally, the charges for payment and redemption of the Covered Bonds remain with the Issuer and, only when there is an Event of Default by the Issuer will automatic protection mechanisms be activated to protect the investors.
In further support of the financial structure, provision has been made for swaps with one or more external counterparties selected on the market and with an appropriate credit standing in line with the eligibility criteria required by rating agencies. The purpose of these contracts is to transform the interest flow produced by the loan portfolios sold so as to make them consistent with that incurred on the bonds issued.
In particular, among the various options available, it is normally envisaged that two separate swap derivative contracts will be entered into:

- asset swap: under this contract, the SPV will pay the swap counterparty the flow received as interest on a notional amount represented by a portion of segregated assets and determined by taking into account the outstanding amount of the liability represented by the Guaranteed Bank Bonds issued and will collect from it a flow corresponding to Euribor for the period plus or minus a Spread applied to the same notional amount for the reference period;
- liability swap: under this derivative the SPV will receive from the swap counterparty a fixed rate equal to the coupon of the related series of Guaranteed Bank Bonds and will pay thereto a flow corresponding to Euribor plus or minus (as appropriate) a Spread applied to an amount equal to the nominal value of the corresponding series of Guaranteed Bank Bonds.

These contracts can be linked to back-to-back swap agreements between the swap counterparties and BPER Banca, a situation that currently exists in the case of the third, fourth and fifth issue of the GBB1 Programme.
In this respect, it should be noted that the first issue of the GBB1 Programme was redeemed on 22 January 2014, whereas the second issue, redemption of which should have taken place in April 2015, was redeemed early on 12 January 2015. For the third, fourth and fifth issue, which bear a fixed interest rate, it was necessary to execute liability swap agreements. Lastly, the sixth issue bears a floating interest rate and, thus, has no associated liability swap.
The financial mechanism allows, on the one hand, BPER Banca, as selling bank, to maintain a financial position as desired and consistent with its Asset & Liability Management strategies and, on the other hand, the SPV, as guarantor, in the Event of the occurrence of an Event of Default of the Issuer, to cover the costs of the Guaranteed Bank Bonds by trading them for the expected return on portfolio of loans sold.
The first and second issue of the GBB2 Programme also envisage a floating rate and did not therefore need any hedging by derivatives.

The GBB1 Programme

The GBB1 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to be carried out in a number of issues over time, by 31 December 2018 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).

The first series of Guaranteed Bank Bonds with par value of Euro 750 million was issued on 1 December 2011 and was redeemed on 22 January 2014, after the sale on 2 November 2011 by BPER Banca to Estense Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the Regulations for a nominal value of Euro 1.1 billion, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential mortgage loans provided in accordance with mortgage lending legislation;
- concluded by 31 December 2010;
- final instalment due after 31 December 2012;
- ratio of outstanding debt to the value of secured property, estimated at the payment date, lower than 80%.

Based on these general assumptions, a second issue of Guaranteed Bank Bonds was completed on 25 June 2012 for a total of Euro 300 million, with a maturity of three years at a floating rate. This was after another Euro 546 million of residential mortgage loans, again originated exclusively by BPER Banca, were transferred to the vehicle company Estense Covered Bond s.r.l. on 4 May 2012, essentially attributable to the "production" of 2011. The new issue has been carefully sized to take into account the possible implications of the earthquake in May 2012 on the value of the collateral.
Based on these same general assumptions, on 10 July 2013, a further Euro 680 million of residential mortgage loans was sold, with these originating solely from BPER Banca or from other Group banks merged into the Parent Company. On 12 January 2015 the second series of GBB was all repaid early.

On 15 October 2013, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market. This issue was then reopened on 24 February 2014 for a further Euro 250 million.
On 23 July 2014, another Euro 501 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 22 January 2015, a fourth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 7 years, all of which was placed on the market.
On 28 April 2015, another Euro 1,074 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 29 January 2015, a fifth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market.
On 28 January 2016, another Euro 1,086 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 31 May 2016, a sixth issue of Guaranteed Bank Bonds was completed for an amount of Euro 500 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 27 July 2016, another Euro 310 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
The subordinated loan granted by BPER Banca to Estense Covered Bond s.r.l., under the form of a credit facility to finance the purchase of the assigned portfolios currently amounts to Euro 5 billion.

Notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purpose of adding to segregated assets) and with a remuneration that guarantees a return to the transferor of the yield on the segregated mortgage loans, albeit residual with respect to payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in October 2014 drawdowns of the subordinated loan had been reduced to Euro 250 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2015 and again in January, April and July 2016, an additional Euro 250 million, Euro 120 million, Euro 250 million and Euro 250 million respectively, were reimbursed, again drawing on the resources of the principal generated by the loan portfolio sold.
The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated from the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with BNP Paribas Securitisation Services, either in Italy or the UK, since this is a third party with appropriate rating.

Counterparties involved in the GBB1 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Principal Paying Agent and Calculation Agent: BPER Banca.
Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.

Arranger: The Royal Bank of Scotland plc (RBS).
Joint Lead Manager of the Third series of bonds issued: RBS, Citibank, Mediobanca, Société Générale, UBS.
Joint Lead Manager of re-opening of the Third series of bonds issued: Citibank, Raiffeisen Bank International.
Joint Lead Manager of the Fourth series of bonds issued: RBS, BNP Paribas, Natixis, Nomura International plc., UNICREDIT Bank AG.
Joint Lead Manager of the Fifth series of bonds issued: RBS, Banca IMI, Credit Suisse International, Raiffeisen Bank International, Société Générale.
Lead Manager of the Sixth series of bonds issued: RBS
Guarantor: Estense Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Italian Paying Agent, Cash Manager and Account Bank: BNP Paribas Securities Services (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Liability Swap counterparty: for the third and fourth issue, RBS; for the fifth issue, Credit Suisse International.

Legal advisor to BPER Banca: Studio Legale Linklaters.
Asset Monitor and Pool Auditor: Deloitte & Touche s.p.a.
Independent Auditors of the special purpose vehicle: PricewaterhouseCoopers s.p.a.
Rating agencies: Moody's Investor Services.

In 2012, the role of Back Up Servicer (BUS) was added to the structure of this transaction and is being performed by Italfondiario s.p.a.; the aim was to make the transaction more robust, also based on the indications received to that effect from the counterparty to the asset swap and from the Rating Agency.

The GBB2 Programme

The GBB2 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to take place in a number of issues over time, by 31 December 2025 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).
The first series of Guaranteed Bank Bonds with par value of Euro 625 million was issued on 16 December 2015, after the sale on 17 September 2015 by BPER Banca to Estense CPT Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the regulations for a nominal value of Euro 870 million, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential and commercial mortgage loans;
- granted by 31 December 2014;
- final instalment due after 31 December 2015;
- ratio of outstanding debt to the value of secured property, revalued close to the date of sale, up to a maximum of 80% for residential mortgage loans and up to a maximum of 60% for commercial mortgage loans.

The first bond issue of Euro 625 million was fully subscribed by BPER Banca in order to increase the collateral for refinancing operations with the European Central Bank.
On 23 June 2016, another Euro 478 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 1 August 2016, a second issue of Guaranteed Bank Bonds was completed for an amount of Euro 200 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
Lastly, on 21 November 2016, another Euro 411 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
The subordinated loan granted by BPER Banca to Estense CPT Covered Bond s.r.l., under the form of a credit facility, to finance the purchase of the assigned portfolios, amounted to Euro 2 billion, notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purposes of adding to segregated assets) and with a yield that guarantees a return to the transferor of the yield on the segregated mortgage loans within segregated assets, albeit residual with respect to the payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby.

The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated by the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with Citibank N.A., either in Italy or the UK, since this is a third party with an appropriate rating.

The specific financial feature of the GBB2 Programme is a different structural technique which, in the event of the Parent Company's default and under other circumstances foreseen in the GBB2 Programme, makes it possible to transform the repayment plan of the Covered Bonds according to the loan portfolio amortisation schedule given in guarantee. This eliminates the financial risk associated with a forced and peremptory liquidation of this portfolio, thereby transforming the outstanding Covered Bonds into securities similar to pass-through securities issued as part of securitisation transactions. In this way, the risk profile of a default on the Covered Bonds is clearly attenuated, making it possible to obtain a higher rating.

Counterparties involved in the GBB2 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Primary Paying Agent and Calculation Agent: BPER Banca.

Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.

Arranger: Finanziaria Internazionale Securitisation Group s.p.a.
Initial Dealer of the first series of bonds issued: Banca Finanziaria Internazionale s.p.a..
Lead Manager of the Second series of bonds issued: RBS
Guarantor: Estense CPT Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Subsequent Paying Agent, Cash Manager and Account Bank: Citibank N.A. (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Legal advisor to BPER Banca: Jones Day Studio Legale.
Asset Monitor and Pool Auditor: Deloitte & Touche s.p.a.
Independent Auditors of the special purpose vehicle: PricewaterhouseCoopers s.p.a.
Rating agencies: Moody’s Investor Services.

The requirements for Issuers

According to the Rules, Guaranteed Bank Bonds may be issued by banks belonging to banking groups that have:

- Own Funds not lower than Euro 250 million;
- Total Capital Ratio at consolidated level not lower than 9%.

These requirements must be satisfied, on a consolidated basis, even by selling banks, where the latter, as provided for by the Programmes' structure, differ from the bank issuing the Guaranteed Bank Bonds. In the case of banks belonging to the same group, reference should be made to consolidated figures.

With reference to the figures at 31 December 2016, the Own Funds of the BPER Banca Group, calculated under the transitional arrangements ("Phased in"), amount to Euro 4,958 million and the Total Capital Ratio is equal to 15.21%.

Limits on the sale of Eligible Assets

The Provisions set limits to the possibility for banks to sell Eligible Assets, which are based on the level of their Tier 1 (T1) and Common Equity Tier 1 (CET1) ratio.

Sale restrictions refer to total transactions of this kind made by a banking group. Banking groups are classified into three categories, with corresponding specific limits as shown below:

- "a" band: for banking groups with T1 Ratio equal to or higher than 9% and CET1 Ratio equal to or higher than 8%, for which there are no sale limits;
- "b" band: for banking groups with T1 Ratio equal to or higher than 8% and CET1 Ratio equal to or higher than 7%, for which there is a sale limit of 60% of appropriate assets;
- "c" band: for banking groups with T1 Ratio equal to or higher than 7% and CET1 Ratio equal to or higher than 6%, for which there is a sale limit of 25% of appropriate assets.

At 31 December 2016, the Tier 1 Ratio was 13.89% and the Common Equity Tier 1 Ratio 13.80% (Phased in).

Organisational structure and procedures

The structuring process for the GBB Issue Programmes meant organising a team to coordinate the activities of all the departments involved. In this regard, a specific structure was set up, the Structured Finance Management Office, which acts as coordinator of the interfunctional team, taking care to involve all the structures involved in the management process of the Covered Bonds. To supervise the structuring process and management of the Programmes, including when it is fully operational, a specific Group Regulation has been prepared followed by a Group Organisational Procedure.

Accounting, capital and tax impact

With the issue of the GBB, BPER Banca, as initial selling bank and any subsequent selling banks will retain substantially all the risks and benefits of the transferred assets as:

- they are required to reinstate, in line with several alternatives, the collateral should the value of assets sold deteriorate and their value fall below the thresholds set by contract;
- the repayment of the subordinated loan granted to the special purpose vehicle is linked to the performance of the secured assets.

The primary objective of creating a special purpose vehicle and the sale of eligible assets thereto is, in fact, to legally segregate, by means of a without recourse sale contract, the selling bank's assets within a separate legal entity. These assets, segregated in this manner, are subject to a restriction as to their use pursuant to Law no. 130/99 for the protection, among others, of the holders. Thus, the holders of Covered Bonds benefit, on the one hand, from the general guarantee represented by the issuer's capital and on the other, from the guarantee issued by the SPV in respect of the segregated portfolio for which they have priority creditor rights. This structure of "dual protection" facilitates the creation of conditions for a potential reduction in funding costs.

The overall risk profile of BPER Banca as initial selling bank and that of any further selling banks is not altered in any way.

The same regulatory provisions stipulate that the selling banks retain the same capital requirement that they are already required to comply with, in respect of the assets sold, prior to the sale. The transactions,

therefore, do not qualify for derecognition: the selling banks must continue to recognise the transferred assets in their entirety in the balance sheet and the considerations received from the sale must be accounted for as opposite entries to the financial liabilities due to the SPVs (IAS 39, § 29).
In turn, these liabilities must be shown net of the subordinated loans granted to the vehicles, due to the principle of substance over form: it is as if the purchase of loans by the SPVs had never taken place.
The subordinated loans are not taken into consideration for the purposes of counterparty risk; these loans must not, in fact, be considered, as the credit risk is already reflected in the valuation of the mortgage loans being sold.
As regards the impact at consolidation level, it should be noted that both the SPVs are BPER Banca Group's entities, as the Parent Company has a 60% holding; they are therefore subject to consolidation, although limited to their own results and financial position.
Finally, regarding the tax implications, consistent with the dictates of art. 7 *bis*, Law no. 130/99, all taxes and dues are payable as though the sales of the loans had never taken place.
Again, to ensure that the operation was neutral for tax purposes, it was established, as foreseen in art. 7 *bis*, paragraph 7 of Law no. 130/99, that the sale price would be equal *"to the latest carrying amount of the loans"*, or as certified by the Independent Auditors of the selling Bank.

More specifically, the book value is adjusted for "endogenous variables", that is, cash collected from the loans in the intervening period and contractual interest accruing in the same period. This is also consistent with the regulatory provisions laid down by the Rules as described previously.
As for the other components that could affect the configuration of the carrying amount, i.e. amortised cost and collective impairments (given that they are performing loans), it has been considered in line with the principles of relevance, pertinence and materiality to assume that their value is equal to the one shown in the latest approved and audited financial statements, or the sale price specifically certified by the auditors of the selling Bank.

The risks associated with the transaction

The GBB1 and GBB2 Programmes involve some financial and other risks, subject to analysis and monitoring by the Group's Risk Management and Compliance functions and, specifically with regard to the risks of fraud and unintentional errors in financial reporting, by the Manager responsible for preparing the company's financial reports. In summary the main risk profiles can be summarised as follows:

- Interest rate risk. In the structure of a Covered Bond, the interest rate risk originates from the different characteristics of interest rates on Guaranteed Bank Bonds and on the portfolio of secured assets. These risks are mitigated by hedging derivatives put in place from time to time with market counterparties.
- Credit risk. In the structure of a Covered Bond, credit risk is attributable to the quality of loans sold by each Selling Bank in the cover pool. Given this risk, the rating agencies, in order to attribute to the Covered Bonds the maximum rating possible, require a level of over-collateralisation which is also linked to the quality of the cover pool.
- Counterparty risk. The counterparty risk is the possibility that the creditworthiness of counterparties involved in the transaction, in other words, the swap counterparties and the non Group bank, with which the SPV has its accounts, may worsen to the point of creating a liquidity problem, with the result that the cover pool funds that flow into the accounts of the SPV or payments made in connection with the swaps are retained by the same counterparties. This risk is mitigated by the involvement of high rated counterparties and the existence of clauses, in the

relevant ISDA and CSA contracts as well as in the "Cash Management and Agency Agreement", according to which, in the case of downgrading of the counterparties, they will be immediately replaced.

- Liquidity risk. An issue of "bullet" Covered Bonds with a cover pool relating to mortgage loans with a given repayment plan entails the need for dynamic management of the cover pool itself. The funds received from the collection of capital instalments on the mortgage loans relating to the cover pool may have to be, in fact, reinvested in new mortgage loans with similar characteristics. If the Group does not have eligible mortgages available to be sold to supplement the cover pool (or to replace non-performing mortgages), it would be forced to pay cash or eligible securities, impacting negatively on Counterbalancy Capacity (the limit set by the Rules for these assets is 15%).
- Compliance risk. The articulate and accurate external legislation regulating Guaranteed Bank Bonds, together with management and internal operating rules, require a precise and formal structuring of activities under the Programmes, both during the up front and on going phases. The analysis of compliance requirements has been performed by the Compliance function.
- Reputational risk. Reputational risk is the possibility that the failure by BPER Banca to fulfil certain obligations arising from its role in the Programmes adversely affects the credibility and image of the Group on the market, resulting in a significant economic and financial impact. In addition to the risks outlined above, already existing at the inaugural issue, there are aspects associated with the multioriginator characteristic of the Programmes, which will be formally integrated into the body of the contract and management processes, as and when other Group Banks join the Programmes as originators.
- Risk of financial inadequacy. The regulatory provisions, in the discipline of Guaranteed Bank Bonds, in relation to the complexity of the contractual profiles and the possible impact on the technical structure of these transactions, require, among other things, a careful assessment of the impact on the financial stability of the bank. The analysis of the projects by the Board of Directors, highlighted:
    - regarding the impact on results, the transactions would have led to, with reference to available market data, a lower cost of funding compared with equivalent senior transactions and this would have allowed start-up costs to be fully covered, already in the first year, as well as to cover ongoing costs for the period. Under current market conditions, this original estimate may be considered highly conservative;
    - regarding the impact on the financial position, having valued the portfolio of eligible residential or commercial mortgage loans, at Group level, there was an assumed plan for 7 and 10 year issues respectively, for the first and second Programme, so as to have appropriate margins for restoration of the cover pool, if necessary, without this having an impact on the Group's financial position or commercial practices.

These findings have allowed the Board to determine that the transactions do not negatively affect the financial stability of the bank and of the Group as a whole.

Organisational and management aspects of special purpose vehicles

With regard to organisational and management aspects of special purpose vehicles (in order to assess their adequacy in relation to the role assigned them) and the contracts entered into as part of the Programmes, "Reports on the transferee company" have been prepared by external legal consultants, in order to ensure that the contracts entered into as part of the Programmes contain clauses that ensure the regular and efficient performance of functions by the assignees, as required by the Regulations.

Assessment of legal aspects of the Programmes for Issue of Guaranteed Bank Bonds

Studio Legale Linklaters and Studio Legale Allen & Overy, for the GBB1 and GBB2 Programme respectively, also issued reports to assess the legal aspects of the activities involved in the Programmes in accordance with the Rules. The reports contain a thorough assessment of legal structures and contractual arrangements used, with particular attention to the characteristics of the guarantees given by the assignee companies and the overall relationships between and among the participants in the Programmes.

Annual assessment of the Programmes for Issue of Guaranteed Bank Bonds by Asset Monitor

Note that, in accordance with the terms of relevant regulations, the asset monitor – in this case Deloitte & Touche s.p.a. – performs annual reviews of the Programmes' status and issues a report to the Board of Directors, the Board of Statutory Auditors and the Bank's Internal Audit Function.

As of to date, reviews have been performed for 2011, 2012, 2013, 2014 and 2015 without any significant findings emerging.

1.2 Banking Group – Market risk

1.2.1 Interest rate risk and price risk - Trading portfolio reported for supervisory purposes

The Group's organisation provides for centralisation of the market risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

Qualitative information

A. General aspects

As a primary activity, the Group trades on own account.
The portfolio comprises all of the financial instruments acquired for trading purposes or for hedging a risk factor inherent to the portfolio.
"For trading purposes" is understood as being the purchase of financial instruments with the following features:

- exposure to managed risk factors (interest rate risk and price risk, exchange rate risk, issuer risk, counterparty risk and liquidity risk);
- trading done prevalently on active markets;
- securities issued by operators of prime standing.

The trading portfolio is managed according to exposure to the interest rate risk deriving from the overall asset-liability structure and, as a rule, does not include complex or innovative derivatives.
The trading portfolio comprises all those financial instruments not purchased with the aim of achieving equilibrium of the asset-liability structure, but with a view to contributing to the results of the year, optimising the overall risk-yield profile.
The size of the trading portfolio is closely linked to the liquidity position.
Arbitrage and short-term speculative activity with regard to listed derivatives are marginal with respect to routine trading on own account. The objective of the investment strategy underlying trading in these financial instruments is to maximise the overall risk/yield profile via appropriate diversification.
The Parent Company makes medium-term speculative investments in stock markets, in commodity derivatives, in mutual funds and, to a marginal extent, in hedge funds. This activity is however just a small part of the transactions carried out in the bond markets.
The trading portfolio governance process is centralised in BPER Banca to respond to the needs of central oversight of market risk and greater efficiency of Group investment processes.
This process implies that the individual Group banks remain responsible for optimisation of the yield from liquidity through treasury transactions with BPER Banca or, alternatively, by investing in floating rate or fixed rate bonds issued by the Bank.
In this way, the governance of market risk has been centralised by the Parent Company on the basis of decisions taken by the ALCO and Finance Committee, which is chaired by the Chief Executive Officer.

B. Management and measurement of interest rate risk and price risk

The Group's system of daily checking is consistent with market standards. Value at Risk (VaR) techniques are used to measure market risk.
VaR represents the estimated maximum potential loss, determined based on probabilities, that may be suffered by the aggregate concerned over a given time horizon (depending on the degree of liquidity of the portfolio) at a pre-determined level of probability (consistent with the investor's degree of risk aversion).
The methodology used to calculate the VaR belongs to the "variance-covariance" class of models (which approximates well the level of risk inherent in the aggregates analysed, as long as the transactions with a non-linear pay-off comprise only a minimal part of the portfolio), whereby the overall risk depends on the sensitivity of each position to changes in market factors, the volatility of their yields and the degree of correlation between them. The methodologies used to monitor market risks also include a sensitivity analysis based on parallel shifts in the market rate curves.
Currently, the daily calculation of VaR makes reference to two distinct time horizons, in order to meet both regulatory and operational requirements. An analysis is performed with a 10-day time horizon and a 99% confidence interval in order to satisfy the Bank of Italy's requirements (see Bank of Italy's Circular no. 285 dated 17 December 2013 and subsequent amendments) for models that are used to calculate capital adequacy in relation to market risk. This is supported by a further analysis with the same confidence interval, but with a daily time horizon, both to monitor the dynamics of market risk in relation to the Bank's portfolio and to provide a consistent dataset for the recognition of profits and losses for this aggregate. This model is only used for internal management purposes and is not involved in the calculation of the capital adequacy requirements regarding market risk.
The interest rate and price risk control process is centralised at BPER Banca and is carried out by the Risk Management Unit. Periodic information is assured by the distribution of specific daily and monthly reports.
The monitoring and control of interest rate risk of the trading portfolio aims to mitigate the risk in question, by defining certain limits (sensitivity, stop loss and position), in respect of the various risks borne, for portfolios managed by the appropriate Group structure. Limits are checked on a daily basis by the Financial Risk Department.
The daily monitoring and control of the price risk associated with the trading portfolio for supervisory purposes is performed via Value-at-Risk (VaR) analyses. Specifically, the risk related to shares is estimated for each position with respect to a global or sector benchmark index, while the estimate for individual funds is made with reference to a set of risk factors that reflect the management strategy adopted. The overall risk is then determined with reference to the volatility and the correlation between the various risk factors.
The Group's Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

Quantitative information

3. Interest rate risk - Trading portfolio reported for supervisory purposes: internal models and methodologies for the analysis of sensitivity

The VaR readings determined over time horizons of ten days and one day are set out below, in relation to the rate risk associated with the trading portfolio reported for supervisory purposes at 31 December 2016.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
BOT	-	-	0.00%	-	0.00%
BTP	54,624	131	0.24%	42	0.08%
CCT	-	-	0.00%	-	0.00%
Other government securities	15,276	143	0.94%	45	0.30%
Bonds	269,461	3,392	1.26%	1,073	0.40%
Mutual funds and Sicavs	45,449	66	0.15%	21	0.05%
Derivatives/Transactions to be settled	(192)	7,547	-3930.73%	2,387	-1243.23%
Effect of diversification		(4,720)		(1,493)	
Total portfolio 2016	**384,618**	**6,559**	**1.71%**	**2,075**	**0.54%**
Total portfolio 2015	**503,382**	**7,064**	**1.40%**	**2,234**	**0.44%**

The value of the trading portfolio at 31 December 2016 given a parallel shift of +/- 100 basis points (sensitivity analysis) is set out below.

	+100 *bps*	-100 *bps*
31 Dec 2015	21,958	(16,699)
31 Dec 2014	17,886	(20,602)

3. Price risk - Trading portfolio for supervisory purposes: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the trading portfolio reported for supervisory purposes at 31 December 2016.

Descriptive data		VaR Time horizon: 10 days		VaR Time horizon: 1 day	
		Confidence interval: 99%		Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
Equities	81,677	5,206	6.37%	1,646	2.02%
Mutual funds and Sicavs	45,449	1,653	3.64%	523	1.15%
Derivatives/Transactions to be settled	21,830	-	0.00%	-	0.00%
Effect of diversification		(335)		(106)	
Total portfolio 2016	**148,956**	**6,524**	**4.38%**	**2,063**	**1.39%**
Total portfolio 2015	**115,010**	**7,848**	**6.82%**	**2,482**	**2.16%**

1.2.2 Interest rate risk and price risk - Banking book

Qualitative information

A. General aspects, management and measurement of interest rate risk and price risk

Interest rate risk represents the potential impact of unexpected changes in market rates on current profits and the equity value of the Parent Company. This risk typically affects the positions included in the banking book.
The exposure to interest rate risk can be further analysed into:

- income risk;
- investment risk.

Income risk derives from the possibility that an unexpected change in interest rates may reduce net interest income, being the difference between interest received and interest paid. This risk is measured by maturity gap models and depends on:

- the mismatch in the maturity structures of lending and funding, in cases where the related assets and liabilities are remunerated at fixed rates until final maturity;
- the mismatch of the review periods for rate conditions, in the case of floating-rate assets and liabilities.

The timing mismatches mentioned above expose BPER Banca to:

- refinancing risk: the risk arising when the average maturity period (period until the next rate review) is shorter for funding than for lending. In this case, the Bank is exposed to possible increases in interest rates (the Bank is Liability Sensitive);
- reinvestment risk: the risk arising when the average maturity period (period until the next rate review) is shorter for lending than for funding. In this case, the Bank's net interest income will decline if interest rates fall (the Bank is Asset Sensitive).

Investment risk derives from the possibility that adverse changes in the value of all assets, liabilities and off-balance sheet instruments held by the Bank, following changes in interest rates, may destabilise the equilibrium of the balance sheet. This risk is measured by duration gap and sensitivity analysis techniques.
The following types of interest rate risk are identified:

- *Repricing Risk:* risk associated with differences in the maturities (fixed rate) and the repricing dates (floating rate) of the assets and liabilities held in the portfolio.
- *Yield Curve Risk:* risk associated with changes in the gradient and shape of the yield curve.
- *Refixing Risk:* risk associated with the timing of changes in market parameters, for floating rate positions. More specifically, this is the risk that rate of rise in interest rates is more marked in the refixing periods for funding than in those for lending.
- *Basis Risk:* risk arising from the imperfect correlation between the indexation parameters for lending and funding, or from unfavourable changes in the gradient of the curve.
- *Optionality Risk:* risk associated with "explicit" or "embedded" options embedded in the banking book's assets and liabilities (e.g. cap/floor/collar, loan prepayment options).

BPER Banca monitors at both consolidated and legal entity level the impact that unexpected changes in market interest rates might have on the positions in the banking book, considering both current profits (sensitivity of net interest income) and the economic value of shareholders' equity:

- standpoint of current profits: the purchase of considering the impact on current profits is to evaluate interest risk with reference to the sensitivity of net interest income to rate changes over a given period of time. Adverse changes in net interest income potentially affect the financial stability of a bank by weakening its capital adequacy. The change in net interest income depends on the various types of risk;
- standpoint of economic value: changes in interest rates may affect the economic value of the Parent Company's assets and liabilities. The economic value of a bank is represented by the present value of its expected cash flows, defined as the sum of the present value of the cash flows to be generated by its assets, liabilities and positions in derivatives. By contrast with the standpoint of current profits, that of economic value identifies the risk generated by the repricing or maturity gap over a long time horizon.

The objectives to be pursued in support of the proper management of interest rate risk are:

- reduce the adverse effects of the volatility of net interest income (standpoint of current profits). The stability of net interest income is principally influenced by the yield curve risk, repricing risk, basis risk and optionality risk;
- immunise the economic value, being the sum of the present values of all the expected cash flows, generated by both sides of the balance sheet. By contrast with the standpoint of current

profits, the standpoint of economic value takes a medium/long-term view and is principally associated with the repricing risk;

- ensure compliance with the related organisational requirements envisaged by the domestic and international supervisory bodies.

The model for the governance of rate risk is based on the following principles:

- consistency with BPER Banca's current business model in terms of autonomy and the coordination of the commercial and lending policies of Group companies;
- allocation to BPER Banca of powers to manage and coordinate, in order to ensure consistency in the overall governance of rate risk and compliance with regulatory requirements;
- segregation between governance processes and the management of rate risk.

The model for the management of interest rate risk focuses on the following measures of risk:

- sensitivity of net interest income;
- sensitivity of economic value.

Analysis of the sensitivity of net interest income identifies the impact of changes in interest rates as a result of parallel and other shocks.
The Bank calculates the sensitivity of net interest income holding rates and volumes constant. According to this model amounts maturing are reinvested on the assumption of constant volumes, rates and maturities.
The following shocks are considered:

- parallel shock of + 100 bps;
- parallel shock of +/- 50 bps;
- parallel shock of - 25 bps.

The indicator is calculated at both Group and Legal Entity levels.

Analysis of the sensitivity of economic value identifies the impact on the value of shareholders' equity of parallel and other shocks to the yield curve. This change is calculated by discounting all the cash flows using two different yield curves: the current curve at the analysis date and that following the shock, and comparing the two values.

$$\Delta VA = VA_{(Curve1)} - VA_{(Curve2)}$$

In order to incorporate the phenomenon known as prepayment of loans[48], in measuring the sensitivity of economic value, a model was adopted according to which the amount of capital prepaid on a loan is estimated through a percentage of early repayment on the capital outstanding during the reference period. The percentage of prepayment defined in this way is maintained constant for the whole duration of the loan.
For the calculation of sensitivity, demand balances outstanding with customers are simulated using an econometric model which identifies a portfolio that replicates them, by allocating demand funding (lending) to a portfolio of liabilities (assets) with an identified effective repricing profile.

In addition to the risk measures mentioned above, the capital absorbed in relation to interest rate risk is also calculated. Sensitivity analysis is applied in order to estimate the capital absorbed, consistent with

[48] *Prepayment can be defined as a total or partial early repayment of the residual loan by the borrower.*

the standardised approach envisaged by the Supervisory Authorities. Under this approach, the capital absorbed in relation to the banking book's interest rate risk is the change in the economic value (defined as the present value of expected cash flows) caused by a rate shock of 200 bps.

With regard to price risk, the banking book mainly comprises shares, mutual funds and SICAVs classified as available for sale or measured using the Fair Value Option.
The portfolio is monitored using the VaR methodology described in the section entitled "Interest-rate risk and price risk – trading portfolio for supervisory purposes".
The Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

B. Fair value hedges

As mentioned earlier, the Bank arranges operational hedges against changes in fair value, which are recognised for accounting purposes using the Fair Value Option.
In this regard, the decisions made by the Parent Company concerning the scope of application of the fair value option, included in the "Guidelines for the application of the fair value option by the BPER Group", envisage that - when deemed appropriate with reference to the results of interest risk monitoring - certain issues of debt instruments will be hedged via plain vanilla OTC derivative contracts.
The designation of these bonds as *"Financial liabilities at fair value"*, consistent with the requirements of IAS 39, simplifies the management and accounting process.

C. Cash flow hedges

In compliance with the law, the Bank decided to take advantage of the Hedge Accounting approach, when deemed appropriate.
In this regard, the decisions concerning the scope of application of cash flow hedges, included in the "Guidelines for the application of the fair value to financial instruments by the BPER Group", identify the area of application to the Group's assets and liabilities and provide that, when considered opportune based on the results of interest risk monitoring, certain floating-rate positions are to be hedged by means of plain vanilla OTC derivative contracts.
In the application of the fair value option, income statement recognition is given solely to the change in fair value attributable to the risk being hedged.

Quantitative information

2. Interest rate risk - Banking book: internal models and other methodologies for the analysis of sensitivity

Year end (31 December 2016) and trend data (minimum, average, maximum) for the year is provided below in relation to the change in the interest margin on the banking book following the application of a parallel shift of +/-50 basis points to the relevant interest rate curve.

	+50 *bps*	-50 *bps*
31 December 2016	**17,119**	**8,297**
maximum change	17,119	8,446
minimum change	3,784	2,383
average change	11,170	5,501
31 December 2015	**2,677**	**2,346**

Year end (31 December 2016) and trend data (minimum, average, maximum) for the year is provided below in relation to the change in the economic value of equity following the application of a parallel shift of +/-100 basis points to the relevant interest rate curve.

	+100 bps	-100 bps
31 December 2016	**(53,156)**	**(167,875)**
maximum change	(225,777)	(211,092)
minimum change	(53,156)	(149,124)
average change	(130,567)	(183,468)
31 December 2015	**(124,052)**	**(74,922)**

3. Price risk - Banking book: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the banking book at 31 December 2016.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of transaction	Present value	VaR	Var/Present Value	VaR	Var/Present Value
Equities Instruments	306,952	23,307	7.59%	7,370	2.40%
Mutual funds and SICAVs	223,382	12,369	5.54%	3,912	1.75%
Derivatives/Transactions to be settled	-	-	-	-	-
Effect of diversification		(886)		(280)	
Total portfolio 2016	**530,334**	**34,790**	**6.56%**	**11,002**	**2.08%**
Total portfolio 2015	**434,274**	**32,126**	**7.40%**	**10,159**	**2.34%**

1.2.3 Exchange risk

Qualitative information

A. General aspects, management and measurement of exchange risk

The Group is exposed to exchange risk as a consequence of routine funding and lending activities and, to a marginal extent, in relation to speculative activities.
The Parent Company's Risk Management Department determines the exposure to exchange rate risk each day and summarises it monthly in a specific VaR report.

B. Hedging of exchange risk

The Group uses plain vanilla instruments for the operational hedging of exchange risk.

Quantitative information

1. Foreign currency assets, liabilities and derivatives

Captions	Currency					
	US Dollars	Sterling	Yen	Canadian Dollars	Swiss Francs	Other currency
A. Financial assets	**2,255,353**	**310,600**	**2,745**	**2,248**	**14,670**	**7,198**
A.1 Debt securities	2,021,303	282,010	-	-	-	-
A.2 Equity instruments	21,615	-	-	379	253	-
A.3 Loans to banks	32,004	10,345	974	1,359	829	6,503
A.4 Loans to customers	180,431	18,245	1,771	510	13,588	695
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	**3,981**	**1,684**	**69**	**418**	**1,557**	**1,184**
C. Financial liabilities	**2,149,346**	**270,144**	**4,088**	**4,599**	**5,387**	**15,778**
C.1 Due to banks	1,854,154	242,947	-	1	1,263	869
C.2 Due to customers	295,192	27,197	4,088	4,598	4,124	14,909
C.3 Debt securities	-	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	**1,678**	**35**	**-**	**-**	**17**	**10**
E. Financial derivatives						
- Options						
+ long positions	49,240	2,704	6,562	841	-	-
+ short positions	81,230	330	6,678	-	-	3,184
- Other derivatives						
+ long positions	312,167	4,893	8,760	1,550	839	26,846
+ short positions	380,458	57,269	12,407	105	11,597	15,525
Total assets	**2,620,741**	**319,881**	**18,136**	**5,057**	**17,066**	**35,228**
Total liabilities	**2,612,712**	**327,778**	**23,173**	**4,704**	**17,001**	**34,497**
Net balance (+/-)	**8,029**	**(7,897)**	**(5,037)**	**353**	**65**	**731**

2. Internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the risk faced by the BPER Banca Group at 31 December 2016.

	VaR Time horizon: 10 days Confidence interval: 99%	VaR Time horizon: 1 day Confidence interval: 99%
2016 figures	94,085	29,752
2015 figures	46,955	14,848

1.2.4 Derivatives

A. Financial Derivatives

A.1 Trading portfolio for supervisory purposes: period-end values

Underlying assets/Type of derivative	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rates	**4,167,063**	**1,022,954**	**4,944,772**	**1,144,474**
a) Options	990,420	106,921	1,284,873	150,926
b) Swaps	2,735,184	-	3,659,899	-
c) Forwards	-	-	-	-
d) Futures	-	916,033	-	993,548
e) Other	441,459	-	-	-
2. Equities and stock indices	**554**	**22,368**	**554**	**6,133**
a) Options	554	21,888	554	4,844
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	480	-	1,289
e) Other	-	-	-	-
3. Currency and gold	**796,519**	**4,743**	**1,117,748**	**11,482**
a) Options	303,994	4,743	401,609	11,482
b) Swaps	-	-	-	-
c) Forwards	492,525	-	716,139	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**14,048**	**-**	**4,913**
5. Other underlyings	**3**	**-**	**-**	**-**
Total	**4,964,139**	**1,064,113**	**6,063,074**	**1,167,002**

A.2 Banking portfolio: period-end values

A.2.1 For hedging

Underlying assets/Type of derivative	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rates	**4,391,623**	**-**	**3,145,964**	**-**
a) Options	-	-	-	-
b) Swaps	4,391,623	-	3,145,964	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
2. Equities and stock indices	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
3. Currency and gold	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**-**	**-**	**-**
5. Other underlyings	**-**	**-**	**-**	**-**
Total	**4,391,623**	**-**	**3,145,964**	**-**

A.2.2 Other derivatives

Underlying assets/Type of derivative	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rates	**6,592,593**	**-**	**7,549,699**	**-**
a) Options	5,101	-	5,799	-
b) Swaps	6,587,492	-	7,543,900	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
2. Equities and stock indices	**265,110**	**-**	**265,412**	**-**
a) Options	265,110	-	265,412	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
3. Currency and gold	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**-**	**-**	**-**
5. Other underlyings	**-**	**-**	**-**	**-**
Total	**6,857,703**	**-**	**7,815,111**	**-**

A.3 Financial derivatives: positive gross fair value - allocation by product

Portfolio/Type of derivative	Positive fair value			
	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
A. Trading portfolio for supervisory purposes	**102,373**	**398**	**100,252**	**-**
a) Options	10,351	398	12,202	-
b) Interest rate swaps	72,449	-	76,574	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	12,577	-	11,476	-
f) Futures	-	-	-	-
g) Other	6,996	-	-	-
B. Banking portfolio - for hedging	**62,365**	**-**	**38,182**	**-**
a) Options	-	-	-	-
b) Interest rate swaps	62,365	-	38,182	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
C. Banking portfolio - other derivatives	**94,534**	**-**	**103,398**	**-**
a) Options	9,297	-	9,497	-
b) Interest rate swaps	85,237	-	93,901	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
Total	**259,272**	**398**	**241,832**	**-**

A.4 Financial derivatives: gross negative fair value - breakdown by product

Portfolio/Type of derivative	Negative fair value			
	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
A. Trading portfolio for supervisory purposes	**138,204**	**1,506**	**145,354**	**676**
a) Options	13,019	1,506	19,195	676
b) Interest rate swaps	111,585	-	120,512	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	8,277	-	5,647	-
f) Futures	-	-	-	-
g) Other	5,323	-	-	-
B. Banking portfolio - for hedging	**40,697**	**-**	**23,715**	**-**
a) Options	-	-	-	-
b) Interest rate swaps	40,697	-	23,715	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
C. Banking portfolio - other derivatives	**93,300**	**-**	**83,229**	**-**
a) Options	8,922	-	9,332	-
b) Interest rate swaps	84,378	-	73,897	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
Total	**272,201**	**1,506**	**252,298**	**676**

A.5 OTC financial derivatives - Trading Portfolio for supervisory purposes: notional amounts, positive and negative gross fair values by counterparty - contracts not included in offset agreements

Contracts not included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	25	29,722	-	1,269,821	10,234
- positive fair value	-	-	1	578	-	56,034	173
- negative fair value	-	-	-	31	-	2,996	-
- future exposure	-	-	-	141	-	5,449	27
2) Equities and stock indicess							
- notional value	-	-	1	-	-	553	-
- positive fair value	-	-	-	-	-	22	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	44	-
3) Currency and gold							
- notional value	-	-	4,126	1,831	-	397,836	6,931
- positive fair value	-	-	52	7	-	6,345	105
- negative fair value	-	-	4	108	-	10,468	55
- future exposure	-	-	41	18	-	4,104	69
4) Other instruments							
- notional value	-	3	-	-	-	-	-
- positive fair value	-	3	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-

A.6 OTC financial derivatives: Trading Portfolio for supervisory purposes: notional amounts, positive and negative gross fair value by counterparty - contracts included in offset agreements

Contracts included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	2,505,981	254,578	-	96,702	-
- positive fair value	-	-	17,280	59	-	10,148	-
- negative fair value	-	-	102,211	17,630	-	-	-
2) Equities and stock indices							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
3) Currency and gold							
- notional value	-	-	313,212	72,583	-	-	-
- positive fair value	-	-	9,123	2,443	-	-	-
- negative fair value	-	-	4,355	346	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-

A.7 OTC financial derivatives agreements - Banking book: notional amounts, positive and negative gross fair value by counterparty - contracts not included in offset agreements

Contracts not included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
2) Equities and stock indices							
- notional value	-	-	-	564	-	35,075	94,820
- positive fair value	-	-	-	12	-	1	-
- negative fair value	-	-	-	1	-	-	6,034
- future exposure	-	-	-	19	-	1,605	-
3) Currency and gold							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-

A.8 OTC financial derivatives - Banking book: notional amounts, positive and negative gross fair value by counterparty - contracts included in offset agreements

Contracts included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	10,236,940	747,276	-	-	-
- positive fair value	-	-	144,013	3,590	-	-	-
- negative fair value	-	-	121,696	3,515	-	-	-
2) Equities and stock indices							
- notional value	-	-	131,901	2,750	-	-	-
- positive fair value	-	-	9,283	-	-	-	-
- negative fair value	-	-	2,213	538	-	-	-
3) Currency and gold							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-

A.9 Residual life of OTC financial derivatives: notional values

Underlyings/Residual value	Within 1 year	Beyond 1 year up to 5 years	Over 5 years	Total
A. Trading portfolio for supervisory purposes	**1,352,118**	**1,675,388**	**1,936,633**	**4,964,139**
A.1 Financial derivatives on debt securities and interest rates	622,213	1,612,015	1,932,835	4,167,063
A.2 Financial derivatives on equities and stock indices	1	553	-	554
A.3 Financial derivatives on exchange rates and gold	729,904	62,820	3,795	796,519
A.4 Financial derivatives on other	-	-	3	3
B. Banking portfolio	**508,515**	**5,871,248**	**4,869,563**	**11,249,326**
B.1 Financial derivatives on debt securities and interest rates	495,286	5,651,431	4,837,499	10,984,216
B.2 Financial derivative contracts on equity securities and stock indexes	13,229	219,817	32,064	265,110
B.3 Financial derivatives on exchange rates and gold	-	-	-	-
B.4 Financial derivatives on other instruments	-	-	-	-
Total 31.12.2016	**1,860,633**	**7,546,636**	**6,806,196**	**16,213,465**
Total 31.12.2015	**3,463,614**	**7,340,063**	**6,220,472**	**17,024,149**

C. Credit and financial derivatives

C.1 OTC financial and credit derivatives: net fair value and future exposure by counterparty

	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Bilateral financial derivative agreements							
- positive fair value	-	-	48,334	1,206	-	10,148	-
- negative fair value	-	-	99,110	17,143	-	-	-
- future exposure	-	-	94,760	4,727	-	759	-
- net counterparty risk	-	-	102,060	4,891	-	10,907	-
2) Bilateral credit derivative agreements							
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
- net counterparty risk	-	-	-	-	-	-	-
3) Cross product agreements							
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
- net counterparty risk	-	-	-	-	-	-	-

1.3 Banking Group - Liquidity risk

Qualitative information

A. General aspects, management and measurement of liquidity risk

The BPER Banca Group has a specific policy for the management of liquidity risk (Liquidity Policy Handbook), as well as the plan for emergencies covering the objectives, processes and strategies for action (Contingency Funding Plan).

1. Liquidity Policy Handbook

This document establishes the Group's policy for the efficient governance of liquidity under normal conditions, formalising:

- the governance model in terms of the parties involved in the risk governance process and their roles and responsibilities;
- limits and mitigating actions aimed at risk containment;
- risk management methods, through the establishment of rules, procedures and metrics for the measurement and monitoring of liquidity and funding risk;
- the stress test model adopted to evaluate the exposure to liquidity risk under stress scenarios;
- the funding plan process for the optimisation of the governance of long term liquidity.

Liquidity risk typically crystallises in the form of failure to meet payment obligations; it may take various forms, depending on the circumstances in which the risk arises. With reference to the definitions adopted at international level, a distinction is made between funding liquidity risk and market liquidity risk.
Funding liquidity risk is the risk that the Parent Company will not be able to make, in an efficient manner, expected and unexpected cash payments, both current and future, nor will it be able to meet collateral obligations, without an adverse effect on current operations or its financial position.
Market liquidity risk, on the other hand, is the risk that the Parent Company is not able to sell a financial asset without incurring a capital loss due to poor liquidity or disorder in the reference market.
These two forms of liquidity risk are often highly correlated, and may crystallise as a result of the same underlying factors. Market liquidity risk is usually considered to be a type of market risk (price risk); accordingly, the processes and rules for measuring, controlling and mitigating liquidity risk focus on the funding risk aspect, consistent with the related regulatory requirements[49].
In the context of funding risk, a distinction is made between:

- mismatch liquidity risk, being the liquidity risk implicit in the structure of the Parent Company's assets and liabilities due to the transformation of maturities typical of financial intermediaries, when the profile of cash outflows is not perfectly matched by the profile of cash inflows (with reference to contractual maturities and routine behaviour);
- contingency liquidity risk, being the risk that future events may require access to significantly more liquidity than previously planned by the Parent Company; in other words, this is the risk of

[49] *Basel Committee: "Principles for Sound Liquidity Risk Management and Supervision" (Sept. 2008), EBA: "Guidelines on Liquidity buffer & Survival Periods" (Dec. 2009), EBA: "Guidelines on Liquidity Cost Benefit Allocation" (Oct. 2010).*

not being able to settle sudden and unexpected payment commitments in the short or very short term.

The sources of liquidity risk fall into two macrocategories:

- endogenous: sources that originate from specific adverse events resulting in the market losing confidence in the Bank. Such specific adverse events might include a rating downgrade or other events that cause the market to lose confidence. A downgrade might result in:
  - reduced access to the market for unsecured funds (e.g. commercial paper) by institutional investors;
  - a reduction in or cancellation of interbank lines of credit, or even the withdrawal of deposits by retail customers.

  The downgrade or the widespread market perception of a deterioration in the solidity of banks (which may arise from other risks, such as major losses on the trading book or on the portfolio of loans) might also result in a higher liquidity requirement; for example, an increase in the margin calls and guarantees required, or the need to finance assets that can no longer be sold or converted into securities via securitisations;
- exogenous: sources that originate from adverse events caused by market shocks that are not directly controllable; these sources of risk depend directly on the ability of the market to allocate the available resources in accordance with the specific circumstances. Exogenous sources might include such systemic events as political and financial crises, catastrophic events etc. that cause a liquidity crisis in the market.

BPER Banca Group's liquidity risk governance model has the following objectives:

- to enable the Parent Company to remain solvent both in the ordinary course of business and under crisis conditions;
- to follow the guidance provided by the Supervisory Authorities, while taking account of the Parent Company's specific operating characteristics;
- to ensure a level of liquidity that enables the Parent Company to meet its contractual commitments at any time, while also optimising the cost of funding in relation to current and expected market conditions.

The BPER Banca Group's governance model is based on centralised governance of liquidity and the related risk. In particular, the Parent Company BPER Banca:

- is responsible for liquidity policy;
- governs both short-term and medium/long-term liquidity;
- defines and governs the funding plan;
- monitors and manages liquidity risk.

The above governance model is based on the following principles:

- segregation between the processes of Liquidity Management and Liquidity Risk Controlling;
- development of processes for the management and control of liquidity risk that are consistent with the Group's reporting structure and by using the governance model formalised by the policy;
- communication of decisions and clear division of responsibilities between management, control and operational bodies;
- compliance of the processes for the management and monitoring of liquidity risk with guidance provided on prudential supervision.

The updates of the Liquidity Policy Handbook are approved by the Board of Directors of the Parent Company following examination thereof by the Risk Committee. The Handbook is then adopted by the Board of each Bank/Group Company covered by the policy.
Pursuit of the above objectives takes account of the following aspects:

- segregation of responsibilities and roles between the internal functions responsible for managing liquidity and those responsible for managing liquidity risk;
- measurement of the exposure to liquidity risk, according to the Liquidity Risk Mismatch Model;
- definition of a Group Contingency Funding Plan that establishes the liquidity policy to be followed in a crisis scenario caused by endogenous and/or exogenous factors.

The Liquidity Policy Mismatch Model is based on the liquidity policy and on the metrics and tools aimed at managing liquidity risk, split into short-term liquidity and medium/long-term liquidity. In particular:

- the purpose of managing short-term (operational) liquidity risk is to manage the events affecting the Group's liquidity position over time horizons from 1 day to 1 year, with the paramount objective of maintaining the Group's ability to meet routine and special payment commitments, while minimising the related costs;
- the purpose of managing medium/long-term (structural) liquidity risk, deriving from events that affect the Group's liquidity position over a time horizon in excess of one year, is to maintain a suitable dynamic between medium/long-term assets and liabilities, while avoiding pressure on the current and future sources of short-term liquidity and, at the same time, optimising the cost of funding.

The metrics for monitoring short-term liquidity risk include:

- calculation of the liquidity mismatch having regard for the assets that can be promptly converted to cash, comprising the portfolio of eligible and marketable securities, as well as any reserves under the form of working capital;
- maintaining the lending-funding maturing in the various time bands within a cumulative limit expressed in absolute terms; daily checking for internal operational purposes and weekly checks using the methodologies defined by the Supervisory Authorities.

The metrics for the monitoring of structural liquidity risk include calculation of the liquidity mismatch which, operationally, involves:

- calculating the gap ratio between assets and liabilities in the time bands that exceed one year;
- the use of statistical/quantitative behavioural models for items without contractual maturities or which are subject to options;
- the performance of periodic stress tests which, based on the application of endogenous and exogenous shock scenarios, generate deterministic and/or probability-based indicators of risk.

The Group's liquidity position is monitored both under normal conditions and at times of stress: scenario analysis is carried out once a month by the Risk Management Department.
When carrying out stress analyses, the scenarios are constructed with reference both to systemic events (Market Stress Scenario) and to events specific to BPER (Name Crisis Stress Scenario), as well as a combination of the two (Composite Scenario). In view of the macroeconomic context, commercial policies and possible changes in customer behaviour.

2. Contingency Funding Plan

The Contingency Funding Plan formalises the process of liquidity management under stress or crisis scenarios. The business functions responsible for monitoring and managing liquidity risk must be able to carry out their activities both under normal conditions and at times of stress and/or liquidity crises that are unlikely to occur, but which would have a significant impact.
BPER Banca Group's governance model, which is defined in the Liquidity Policy Handbook, envisages the centralised governance of liquidity. In view of this, BPER Banca - as the lender of last resort for all Group subsidiaries - guarantees their short, medium and long-term solvency and is responsible for activating the Contingency Funding Plan, regardless of where in the Group the liquidity crisis arises.
The purpose of the document is to safeguard the net assets of the Bank at the early stages of liquidity stress and to guarantee the Group's continuity in the event of a serious and/or prolonged liquidity crisis, by:

- defining a process for the identification and monitoring of risk indicators that signal and measure the stages in a liquidity crisis;
- identifying ex ante a system of predetermined but flexible actions to be implemented in the early stages of a crisis;
- determining the roles and responsibilities of each business function involved in activating the Group's Contingency Funding Plan;
- identifying the internal regulations that may be invoked to justify the actions of the BPER Banca Group's management, which at a time of crisis must be authorised to modify on a timely and perhaps radical basis the structure of the assets and liabilities in the balance sheet.

A state of liquidity crisis is defined as a situation in which a Group finds it difficult or impossible to settle the cash payments falling due, except by activating procedures and/or using tools with an intensity or in a manner not envisaged as part of ordinary administration.
Liquidity crises fall into two broad categories:

- systemic or "market driven" liquidity crises generated by market, political or macroeconomic crises;
- specific liquidity crises or "name crises" limited to the Group or to one or more Group companies/banks.

Considering the types of liquidity crisis and their scale, three operational scenarios have been identified:

- ordinary course of business;
- state of stress;
- state of crisis.

Depending on the scenario, the actions required and the functions involved in its management can be identified.
The operational scenario faced by the Group is identified by monitoring the system of early warnings, which comprises a series of indicators that flag the scenario with reference to progressive levels of stress/crisis associated with one or more drivers. Depending on the level of stress/crisis identified, monitoring and/or communications procedures are activated in preparation for implementing procedures designed to manage the state of stress or state of crisis concerned.

The Contingency Funding Plan and its revisions must be approved by the Board of Directors of the Parent Company.

3. Liquidity indicators

The new harmonised rules for banks and investment companies contained in EU Regulation 575/2013 (CRR), as currently updated, also introduced new liquidity indicators:

- Liquidity Coverage Ratio (LCR): this is an indicator of coverage of short-term liquidity whose purpose is to force banks to accumulate sufficient high-quality assets that are readily convertible into cash, in order to deal with a scenario of high stress on the funding side over a period of thirty days. At 31 December 2016 it comes to 102.0%.
- Net Stable Funding Ratio (NSFR): a structural long-term indicator that is measured with a view to reporting any mismatches between liquid assets and liabilities. At 31 December 2016 it comes to 104.3%.

The liquidity requirements are therefore well over 100%, so above the minimum requirements of Basel 3.
Moreover, in its 14th update of Circular 285 dated 24 November 2015, the Bank of Italy established a transitional limit for the Liquidity Coverage Ratio (LCR) of 70% at 31 December 2016 (80% for 2017 and 100% from 1 January 2018).

The new rules also place the leverage ratio alongside these indicators. Further details are given in Part F of these Explanatory notes in the section on capital adequacy.

Quantitative information

1.1. Distribution of financial assets and liabilities by residual maturity - Currency: Euro

Items/Time period	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	
Cash assets	**6,085,948**	**747,720**	**961,049**	**1,845,736**	**3,004,255**	**2,400,055**	**5,179,615**	**17,404,831**	**15,506,534**	**581,705**
A.1 Government securities	-	-	188	12,653	40,255	229,330	399,909	2,029,792	2,795,886	-
A.2 Other debt securities	30	55	13,598	24,012	189,610	90,187	108,894	2,287,316	2,079,246	-
A.3 UCITS units	379,541	-	-	-	-	-	-	-	-	-
A.4 Loans	5,706,377	747,665	947,263	1,809,071	2,774,390	2,080,538	4,670,812	13,087,723	10,631,402	581,705
- Banks	339,078	1,874	1,003	37,541	175,141	58,056	17,576	18,705	678	581,705
- Customers	5,367,299	745,791	946,260	1,771,530	2,599,249	2,022,482	4,653,236	13,069,018	10,630,724	-
Cash liabilities	**33,663,832**	**2,680,308**	**386,311**	**334,373**	**1,515,594**	**1,545,094**	**2,014,599**	**10,306,843**	**2,547,674**	**-**
B.1 Deposits and current accounts	32,940,718	270,303	87,017	167,603	444,190	561,992	504,251	127,796	67,847	-
- Banks	513,855	210,005	-	560	1,977	14,011	1,478	120,156	67,844	-
- Customers	32,426,863	60,298	87,017	167,043	442,213	547,981	502,773	7,640	3	-
B.2 Debt securities	52,171	57,616	83,286	146,618	694,005	832,633	1,344,328	4,372,318	1,249,952	-
B.3 Other liabilities	670,943	2,352,389	216,008	20,152	377,399	150,469	166,020	5,806,729	1,229,875	-
Off-balance sheet transactions										
C.1 Financial derivatives with exchange of capital										
- Long positions	-	230,697	14,677	36,072	83,154	61,648	54,376	25,359	2,043	-
- Short positions	-	86,528	5,733	30,129	91,384	64,606	49,207	13,638	1,957	-
C.2 Financial derivatives without exchange of capital										
- Long positions	84,972	27	89	-	39	-	168	-	-	-
- Short positions	128,419	-	-	-	-	-	-	-	-	-
C.3 Deposit and loans to be received										
- Long positions	-	125,012	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	125,012	-	-	-	-	-
C.4 Irrevocable commitments to make loans										
- Long positions	25,517	720	1,487	12,381	6,912	20,168	8,073	332,159	358,244	442
- Short positions	208,569	850	-	-	221,083	50,906	169,885	90,000	-	-
C.5 Financial guarantees given	2,082	-	-	-	-	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-

As required by the regulations, liquidity risk includes the self-securitisations carried out within the BPER Banca Group and outstanding in 2016, as shown below.

Estense Finance self-securitisation

During 2009, BPER Banca completed a securitisation of performing residential mortgages pursuant to Law 130 dated 30 April 1999, with a view to strengthening the funding available to tackle liquidity risks.
This operation involved the without-recourse sale of a block of 20,198 performing loans, comprising residential mortgages granted to developers and residential mortgages granted to home owners, totalling Euro 1,922,631,856, to Estense Finance s.r.l., a company formed pursuant to Law 130 that is 9.9% owned by the Bank.
The vehicle company financed the operation via issue of the asset-backed bonds described in the following table, all of which were taken up by BPER Banca.
In order to hedge the interest-rate risk associated with the issue of these bonds, the SPV has arranged an IRS contract with a leading financial institution. The originator has entered into an equal but opposite contract with this institution, in order to internalise the returns from the operation.
The objective of this operation, not involving the market, was to create a reserve of liquidity via the issue of securities eligible for refinancing with the ECB and for use as a guarantee for other funding transactions. It represents one aspect of the liquidity management activities arranged by BPER Banca.
The securities, which initially had a rating only from Standard & Poor's, have since been rated by a second agency, Fitch Ratings, as required by the subsequent changes in European regulations.
As structured, the sale does not transfer to third parties, with respect to the originator bank, the real credit risk associated with the underlying loans. Accordingly, pursuant to the provisions of IAS 39 on the subject of derecognition, the securitised loans remain classified as an asset in BPER Banca's balance sheet and are described in the Explanatory notes.

Classes	A	B	C
Issue amount	1,750,000,000	40,000,000	132,632,000
Currency	Euro	Euro	Euro
Maturity	24-ago-48	24-ago-48	24-ago-48
Listing	Luxembourg Stock Exchange	Luxembourg Stock Exchange	Unlisted
ISIN Code	IT0004513542	IT0004513559	IT0004513567
Amortisation	Pass Through	Pass Through	Pass Through
Indexation	3-month Euribor	3-month Euribor	Not indexed
Spread	0.60%	2.50%	Residual
S&P's issue rating	AAA	A	Unrated
Fitch issue rating	Unrated	Unrated	Unrated
Current S&P's rating	AA-sf	Asf	Unrated
Current Fitch rating	AA+sf	Asf	Unrated

Multi Lease AS self-securitisation

A new securitisation transaction called Multi Lease2, worth over Euro 1,014 million, was launched towards the end of 2015 by Sardaleasing s.p.a.; The portfolio is made up of part of the loans already sold in the Multi Lease transaction (closed early in January 2016, but effective for income statement recognition purposes as of 31 December 2015) including the 2013 and 2014 production and the contracts that were not eligible in 2012 for lack of "seniority".

As always, the self-securitisation transaction responds to the need to transform the Group's assets into securities eligible for repo transactions with the ECB; as a direct result, this made it possible to access sources of intercompany funding for 2016 at lower costs with respect to traditional funding.

On 26 January 2016, the sale of a pool of performing loans to the SPV Multilease AS was formalised, with effect from 1 January 2016, while the securities were issued on 18 February 2016; due to the positive performance of the previous deal in 2013, a volume of Senior Notes of Euro 658 million (with an "A-" rating) was confirmed by the rating agencies to be superior to those in the past (64.95% versus 61.5%).

Furthermore, the retention structure of the transaction has been confirmed, that is, the securities have been subscribed for by the Originator (Sardaleasing) and subsequently loaned to the Parent Company and used as collateral for repo transactions with ECB.

The total amount of these notes after the repayment on the payment date (20 January 2017) – repayment of principal € 56,712,362.00 and interest € 556,226.14 - is € 796,117,909.80 made up as follows:

Class A Senior Notes – € 440,213,909.80

Class B Junior Notes – € 355,904,000.00

The residual balance of the portfolio at 31 December 2016 amounted to € 822,009,863.31 for a total of 3,916 contracts, including € 614,891.15 of unpaid principal instalments.

Based on the servicing contract, credit monitoring and loan recovery remain with the Servicer, which takes all steps possible to collect any loan instalments that have not been repaid or defaulted loans included in the securitised portfolio, using the same recovery policies applied to the non-securitised part of the loans.

Dedalo Finance self-securitisation

In 2011, before it was acquired by BPER Banca, Cassa di Risparmio di Bra s.p.a. completed a self-securitisation under Law 130/99, which allowed the sale of loans by transforming them into securities eligible for refinancing at the European Central Bank. The operation was a multioriginator and through joint use of the portfolios of Cassa di Risparmio di Bra s.p.a., Banca Alpi Marittime s.c. and Bcc di Pianfei and Rocca de Baldi s.c.p.a., made it possible to combine the advantages in terms of lower costs without any penalisation compared with the situation of the individual bank's portfolio. The sale involved the portfolios of performing residential mortgage loans granted to households, which were sold to a company called Dedalo Finance S.r.l., that financed the purchase by issuing bonds.

Each of the loan portfolios sold was rated by two rating agencies to determine the overall quality and structure of the bond issue. Each bank continues to manage its credit position, in terms of both risk management and control, and the business relationship with the customer by virtue of a servicing agreement signed with the SPV.

The structure of the operation involved issuing two tranches of senior securities with two AAA ratings, used for refinancing with the ECB, and one tranche of junior securities. Both tranches of securities were subscribed by each bank in proportion to the loans sold.

The securities issued during the operation are as follows:

- Senior Securities (class A) issued for a total of Euro 166,800 thousand, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 77,000 thousand (at 31 December 2016 the securities show a nominal value of Euro 33,525 thousand).
- Junior Securities (class B) issued for a total of Euro 33,837 thousand, subscribed by Cassa di Risparmio di Bra s.p.a. for Euro 15,625 thousand (at 31 December 2016 the securities show a nominal value of Euro 15,625 thousand).

The securities have gained eligibility at the European Central Bank.

Alchera self-securitisation

In 2013, Cassa di Risparmio di Saluzzo s.p.a.[50] completed a self-securitisation under Law 130/99, by transferring for valuable consideration part of its loans to a special purpose vehicle called Alchera s.r.l., which financed the purchase via the issue of class A securities that had been rated and which were listed on the Irish Stock Exchange, as well as via the issue of class B securities, which were subordinated to the class A securities and were unlisted. The class A securities were used for refinancing with the European Central Bank. The multi-originator transaction took place by combining the loan portfolios of Cassa di Risparmio di Saluzzo s.p.a., Banca Mediocredito del Friuli Venezia Giulia s.p.a. and Banca Cassa di Risparmio di Savigliano s.p.a. with the aim of obtaining a mass of liquidity at a lower cost than traditional means and, as a result, of improving margin money management or of meeting future financing needs. The sale involved portfolios of performing loans that had been granted to small and medium-sized enterprises.
Each of the loan portfolios sold was rated by two rating agencies (Standard & Poor's and DBRS) to determine the quality and structure of the bond issue. Based on the servicing agreement entered into with the special purpose vehicle, each bank continues to manage the loans sold in terms of both risk management and control.
The issue of securities was structured in a manner whereby the level of collateral of the Junior securities would come to 34.80% of the loan portfolio sold, as established by the rating agencies, while the remainder would consist of higher quality loans that were associated with the class A securities so they would meet European Central Bank eligibility criteria, as of July 2013, for use as collateral for two long-term refinancing operations.

The transaction was completed with the an issue in two tranches, one consisting of Senior securities with A+ and A ratings and the other of Junior securities, both of which were subscribed by each bank in proportion to the loans sold.

The securities issued as part of the self-securitisation were as follows:

- Senior securities (class A) issued for Euro 419 million, of which Euro 150.7 million was subscribed to by Cassa di Risparmio di Saluzzo s.p.a. (their nominal value at 31 December 2016 amounted to Euro 40.337 million, taking account of the pool factor);

[50] *Entered into the Group at the beginning of October 2016.*

- Junior securities (class B) issued for Euro 240.45 million, of which Euro 86.49 million was subscribed to by Cassa di Risparmio di Saluzzo s.p.a. (their nominal value at 31 December 2016 amounted to Euro 86.49 million).

1.5. Distribution of financial assets and liabilities by residual maturity - Currency: Other currencies

Items/Time period	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 to 12 months	1 to 5 years	Over 5 years	Unspecified maturity
Cash assets	**86,681**	**4,570**	**6,862**	**23,736**	**95,483**	**33,019**	**171,350**	**1,887,222**	**378,774**	**-**
A.1 Government securities	-	-	-	-	300	3,210	3,509	437,500	30,300	-
A.2 Other debt securities	51	70	758	1,066	7,397	10,379	146,085	1,430,944	326,820	-
A.3 UCITS units	13,806	-	-	-	-	-	-	-	-	-
A.4 Loans	72,824	4,500	6,104	22,670	87,786	19,430	21,756	18,778	21,654	-
- Banks	36,767	1,447	488	1,211	2,548	3,447	7,788	-	-	-
- Customers	36,057	3,053	5,616	21,459	85,238	15,983	13,968	18,778	21,654	-
Cash liabilities	**350,761**	**177,584**	**156,756**	**309,715**	**1,450,064**	**413**	**1,532**	**19**	**-**	**-**
B.1 Deposits and current accounts	349,204	-	-	2,217	1,635	413	1,532	-	-	-
- Banks	14,629	-	-	1,840	-	-	-	-	-	-
- Customers	334,575	-	-	377	1,635	413	1,532	-	-	-
B.2 Debt securities	-	-	-	-	-	-	-	-	-	-
B.3 Other liabilities	1,557	177,584	156,756	307,498	1,448,429	-	-	19	-	-
Off-balance sheet transactions										
C.1 Financial derivatives with exchange of capital										
- Long positions	-	111,729	29,354	42,174	95,541	67,668	50,835	13,439	2,393	-
- Short positions	-	254,075	37,579	41,821	87,018	63,859	56,276	26,356	2,638	-
C.2 Financial derivatives without exchange of capital										
- Long positions	1,247	-	-	-	-	-	-	-	-	-
- Short positions	1,253	-	-	-	-	-	-	-	-	-
C.3 Deposit and loans to be received										
- Long positions	-	23,327	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	9,391	13,936	-	-	-	-
C.4 Irrevocable commitments to disburse funds										
- Long positions	464	346	92	99	417	247	-	-	-	-
- Short positions	366	346	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	-	-	-	-	-	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-

1.4 Banking Group – Operational risk

Qualitative information

A. General aspects, management and measurement of operational risk

Operational risk is "the risk of losses due to inadequate or dysfunctional procedures, human resources or internal systems, or to exogenous events, including the legal risk[51]".
The BPER Banca Group adopts the Traditional Standardised Approach (TSA) to calculate the individual capital requirement for operational risk. The Own Funds requirement is calculated using the standardised approach by determining the three-year average of the sum of the annual Own Funds requirement for the lines of business in which the relevant indicator was classified[52].

Note that, on the basis of the principles of organisational separation and independence of functions exercising second and third level control activities, it is envisaged that there is:

- a first level control of operational risk;
- a function that performs second level controls of operational risk within the Risk Management Department, part of the Credit and Operational Risk Management Unit;
- a function for third level controls that is attributed to the Internal Audit Department, in accordance with the Group's internal control system.

Operational risk management is based on the following principles:

- identification: operational risks are identified, highlighted and reported to senior management;
- measurement and assessment: the risk is quantified by determining the impact on business processes, inclusive of the financial impact thereon;
- monitoring: monitoring of operational risk and of exposure to significant losses is ensured, generating information flows that favour active risk management;
- mitigation: appropriate measures have been taken to mitigate operational risk;
- reporting: a reporting system has been set up to report on operational risk management.

The collection and storage of data relating to loss events is done by means of the Group's Loss Data Collection process.
The process of Loss Data Collection is supported by special IT tools, which are under constant development, to ensure the integrity and quality of data.
The assessment of operational risk exposure, which is performed by means of risk self assessment methodology, is aimed at determining, with an annual time horizon and for significant operating segments:

- the extent of exposure to operational risk;
- an assessment of the adequacy of line processes and controls.

---

[51] *See (EU) Regulation 575/2013 of the European Parliament and the Council of 26 June 2013 on prudential requirements for credit institutions and investment companies (CRR) – Part one, Title I, art. 4. Legal risk is the risk of losses resulting from violations of laws or regulations, from contractual or extra-contractual liability or from other disputes.*
[52] *See CRR – Part three, Title III, Chapter 3, art.317.*

In 2015, the Group implemented an analytical framework for IT risk, in compliance with Circular 285 of 17 December 2013, with the aim of providing an overview of the current risk situation and the remedy plan needed to avoid exceeding the threshold set for the Group's risk appetite.

In 2017, the Group implemented a reputational risk management framework in accordance with applicable regulations and best practice to continuously oversee and monitor the risk and to mitigate any abnormal situations. With this purpose in mind, objectives and risk exposure and operational limits were established, given that there is no requirement to quantify internal capital in relation to reputational risk.
The Parent Company prepares detailed reports for senior management and the heads of central organisational units concerning the operational losses that occurred during the period and mitigating actions planned for their resolution and a report to the operational structures to make them aware of the losses incurred and of the anomalies to be mitigated.
Specific reporting requirements have also been established by the IT and reputational risk management framework.

Membership by the BPER Banca Group of the DIPO consortium[53] allows the Bank to obtain feedback about the operational losses reported by the other Italian banks that are members. The Parent Company uses these feedback to analyse positioning in comparison to that indicated by the system and as support for specific assessments of processes in order to implement any corrective measures that may be needed.
Operational risk management includes the various steps involved in the process of Business Continuity Management. This process is designed to maintain an appropriate level of attention regarding operational continuity and to avoid the progressive obsolescence of organisational measures (rules, impact assessment, scenarios, emergency measures, operating plans etc.) taken to ensure the continuity of critical business processes.

Quantitative information

The following is the distribution of the number of events and operating losses recorded in 2016, divided into the following risk categories:

- internal fraud: losses due to fraud, embezzlement or circumvention of regulations, laws or company policies, excluding incidents of discrimination or failure to apply equal treatment, which involves at least one internal resource of the entity;
- external fraud: losses due to fraud, embezzlement or violation/circumvention laws, by a third party;
- employment and safety at work: losses arising from acts not in compliance with laws or agreements in respect of employment, health and safety at work, from the payment of compensation for personal injuries or incidents of discrimination or failure to apply equal treatment;
- customers, products and business practices: losses arising from unintentional or negligent non-performance relating to professional obligations to specific clients (including fiduciary and suitability requirements), or from the nature or characteristics of the product;

[53] *Database Italiano Perdite Operative (Italian Database of Operational Losses) which the BPER Banca Group has participated in since 2003. The DIPO observatory is a service provided by the Italian Banking Association designed to support the development of Operational Risk Management and to create a methodology for gathering and exchanging information on operational losses suffered by members.*

- damage to fixed assets: losses resulting from loss or damage to assets from natural disasters or other events;
- business interruption and system failures: losses arising from business interruption or system failures;
- performance, delivery and management of processes: losses due to weaknesses in the handling of transactions or management of processes, as well as losses due to relations with business partners and suppliers.

Figure 1 – Breakdown by Frequency

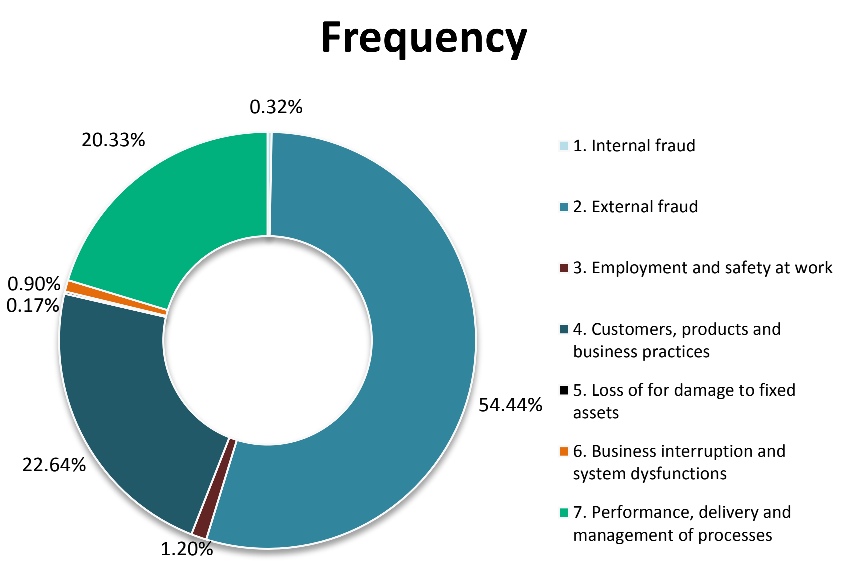
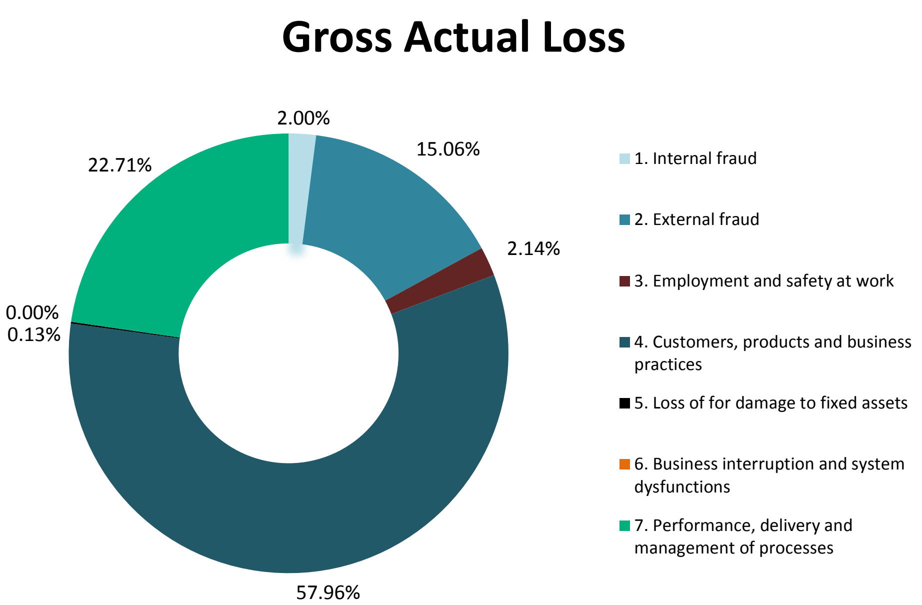


Figure 2 – Breakdown by Gross Actual Loss



An analysis of the graphs shows that the most relevant type of event in terms of frequency is:

- "External fraud" with 55% of the total frequency;
- "Customers, products and business practices", with 23% of the total frequency.

In terms of economic impact the most significant events related to:

- "Customers, products and business practices", with 58% of the total gross loss;
- "Performance, delivery and management of processes", with 23% of the total gross loss.

Part F - Information on consolidated shareholders' equity

Section 1 - Consolidated shareholders' equity

Qualitative information

Equity management and its continuous monitoring in terms of size and quality compared with the risks assumed is one of the challenges that all major Italian banking groups have had to face as a result of the financial crisis and the revision of the prudential rules. A suitable combination of the various capitalisation instruments and continual monitoring and adjustment to regulatory changes have enabled the BPER Banca Group to achieve one of the best capital profiles in the national financial landscape.

By means of an active style of capital management, the Parent Company has succeeded in combining development projects and the best possible use of its capital; the size of the Group's consolidated capital resources and those of the individual Group companies are verified periodically and brought to the attention of management and of the Board of Directors and Board of Statutory Auditors. The capital position is monitored as part of the RAF (Risk Appetite Framework) process, by the Risk Committees, in periodic reports relating to the financial statements and in the impact simulations relating to extraordinary transactions and regulatory changes. As Parent Company, BPER Banca performs the role of coordination and guidance of Group companies, coordinating the management of capital in each company and providing appropriate guidelines.

The Parent Company is subject to the capital adequacy requirements established by the Basel Committee, in accordance with the rules defined by EU Regulation 575/2013 (CRR). In regulatory terms, BPER Banca, Banco di Sardegna s.p.a. and Banca di Sassari s.p.a. were authorised from 30 June 2016 to use the AIRB approach for measuring credit risk for corporate and retail segments, while all other entities of the BPER Banca Group continue to use the "Standardized Approach" (SA).

Capital management, planning and allocation activities are intended to govern the current and future financial strength of the Group with the use of levers linked to the level of capital, such as conservative pay-out policies, strategic finance transactions (capital increases, convertible bonds, subordinated bonds) and levers linked to the limiting of risk, such as insurance, managing lending policy on the basis of counterparty risk, type of exposure and the guarantees provided.

Quantitative information

B.1 Consolidated shareholders' equity: breakdown by business type

Captions	Banking Group	Insurance companies	Other businesses	Consolidation adjustments and eliminations	31.12.2016
Share capital	2,134,766	-	-	(571,219)	1,563,547
Share premium	1,322,996	-	-	(309,186)	1,013,810
Reserves	3,715,641	-	-	(876,785)	2,838,856
Interim dividends	-	-	-	-	-
Equity instruments	-	-	-	-	-
(Treasury shares)	(7,258)	-	-	(1)	(7,259)
Valuation reserves	135,284	-	-	(4,339)	130,945
- Financial assets available for sale	109,283	-	-	(887)	108,396
- Property, plant and equipment	-	-	-	-	-
- Intangible assets	-	-	-	-	-
- Foreign investments hedges	-	-	-	-	-
- Cash-flow hedges	(67)	-	-	-	(67)
- Exchange differences	-	-	-	-	-
- Non-current assets and disposal groups held for sale	-	-	-	-	-
- Actuarial gains (losses) on defined-benefit pension plans	(122,033)	-	-	-	(122,033)
- Portion of valuation reserves relating to investments carried at equity	-	-	-	2,257	2,257
- Special revaluation laws	148,101	-	-	-	148,101
- Other	-	-	-	(5,709)	(5,709)
Profit (loss) of the period pertaining to the Group and minority interests	100,351	-	-	(84,537)	15,814
Consolidated shareholders' equity	**7,401,780**	**-**	**-**	**(1,846,067)**	**5,555,713**

B.2 Valuation reserves for financial assets available for sale: breakdown

Assets/Amount	Banking Group		Insurance companies		Other businesses		Consolidation adjustments and eliminations		31.12.2016	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	96,577	41,286	-	-	-	-	1,221	9	97,798	41,295
2. Equity instruments	53,342	1,109	-	-	-	-	(31)	-	53,311	1,109
3. UCITS units	3,808	2,049	-	-	-	-	66	2,134	3,874	4,183
4. Loans	-	-	-	-	-	-	-	-	-	-
Total 2016	**153,727**	**44,444**	**-**	**-**	**-**	**-**	**1,256**	**2,143**	**154,983**	**46,587**
Total 2015	**180,489**	**18,680**	**-**	**-**	**-**	**-**	**2,152**	**2,151**	**182,641**	**20,831**

The valuation reserve for financial assets available for sale at 31 December 2016 has a positive net balance of € 108,396 thousand (at 31 December 2015 it had a positive balance of € 161,810 thousand).
The net reserve for government debt securities amounts to € 37,270 thousand.

B.3 Valuation reserves for financial assets available for sale: change in year

Captions/Amounts	Debt securities	Equity instruments	UCITS units	Loans
1. Opening balance	**109,513**	**53,423**	**(1,126)**	**-**
2. Positive changes	**116,373**	**39,556**	**46,057**	**-**
2.1 Increases in fair value	62,524	19,701	3,728	-
2.2 Release to the income statement of negative reserves:	1,369	18,353	33,593	-
- from impairment	-	18,353	33,459	-
- from disposal	1,369	-	134	-
2.3 Other changes	52,480	1,502	8,736	-
- of which business combinations	3,547	-	-	-
3. Negative changes	**169,383**	**40,777**	**45,240**	**-**
3.1 Reductions in fair value	88,147	20,087	35,227	-
3.2 Impairment write-downs	-	-	-	-
3.3 Releases to the income statement of positive reserves:				
- from disposal	60,163	19,016	325	-
3.4 Other changes	21,073	1,674	9,688	-
4. Closing balance	**56,503**	**52,202**	**(309)**	**-**

B.4 Valuation reserves about actuarial gains (losses) on defined-benefit pension plans

Captions/Amounts	31.12.2016	31.12.2015
1. Opening balance	**(105,113)**	**(126,722)**
2. Positive changes	**6,335**	**29,642**
2.1 Actuarial gains	757	29,075
2.2 Other changes	5,578	567
3. Negative changes	**23,255**	**8,033**
3.1 Actuarial losses	20,566	31
3.2 Other changes	2,689	8,002
4. Closing balance	**(122,033)**	**(105,113)**

Section 2 - Own Funds and capital adequacy ratios

2.1 Scope of application and regulations

The harmonised rules for banks and investment companies contained in Regulation (EU) 575/2013 (CRR) and in the 2013/36/EU Directive (CRD IV) approved on 26 June 2013 and published in the Official Journal of the European Union the next day, entered into force on 1 January 2014. The regulatory framework, which is the only set of rules that seeks to harmonise prudential regulations of the Member States of the European Community, was made applicable in Italy by the Bank of Italy's Circular no. 285, published on 17 December 2013 and subsequent amendments. This new Circular brings together provisions that were contained in Circular no. 263 of 27 December 2006 and Circular no. 229 of 21 April 1999.

This legislation outlines the substance of a new complete and organic prudential framework that is divided into three main parts, each developing specific sections in an analytical manner:

- Part 1: it lays down the rules for implementing the provisions contained in CRD IV to be transposed into national law; more specifically, it details the provisions on authorisation to do business, cross-border operations and capital reserves.
- Part 2: on the one hand, it contains information on the European standards to be applied immediately, defining the guidelines for application, and, on the other hand, it identifies and explains the so-called "national discretions" and how they are to be applied (it is worth noting in this regard the decisions taken by the national Supervisory Authority about the so-called "transitional arrangements").
- Part 3: it governs the topics and types of risk that are not subject to EU legislation, but which are considered essential to keep the domestic regulatory system in line with the standards established by international bodies.

2.2 The Bank's Own Funds

In accordance with the instructions contained in Circular no. 285/2013 (and subsequent updates) and Regulation (EU) 575/2013, the Group also provides information on Own Funds in the document "Public Disclosures as at 31 December 2016 - Pillar 3" available, as provided by law, on the website of the Parent Company - www.bper.it - and on that of the Group - www.gruppobper.it.

A. Qualitative information

The elements of Own Funds are:

- Common Equity Tier 1 - CET1;
- Additional Tier 1 - AT1;
- Tier 2 - T2.

CET1 and AT1 constitute Tier 1 Capital, which added to Tier 2 Capital leads to the determination of Own Funds.

1. Common Equity Tier 1 - CET1

Common Equity Tier 1 capital (CET1) is made up of positive and negative elements:

- Share capital and related share premiums;
- Revenue reserves;
- Positive and negative valuation reserves (from OCI);
- Other reserves;
- CET1 instruments subject to transitional provisions ("grandfathering");
- Minority interests;
- Prudential filters;
- Deductions.

Prudential filters are positive or negative adjustments of CET1, their purpose being to stabilise the balance sheet aggregate of reference as much as possible, reducing the potential volatility. The prudential filters exclude from CET1 the valuation reserve generated by cash flow hedges and gains/losses arising from changes in own creditworthiness (liabilities under the fair value option and derivative liabilities).

Deductions are negative elements of CET1 such as goodwill, intangible assets and other accounting items that directly reduce the Tier 1 capital component.

On a Fully Phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 28 CRR):

- they must be classified as equities for accounting purposes;
- they must have a perpetual duration, i.e. not have any maturity;
- they must not be subject to obligations in terms of remuneration;
- they must not be subject to distribution caps;
- any cancellation of distributions must not result in any kind of restriction on the issuer;
- they must be the first to absorb business losses as soon as they occur;
- they are the most subordinated instruments in the event of bankruptcy or liquidation of the entity in question;
- they must not enjoy any form of guarantee or contractual clause that can raise their level of seniority.

2. Additional Tier 1 - ATI

"Additional Tier 1 Capital" (AT1) consists of the following positive and negative elements:

- Equity instruments and related share premiums;
- AT1 instruments subject to transitional provisions ("grandfathering");
- Instruments issued by affiliates and included in AT1;
- Deductions.

On a Fully Phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 52 CRR):

- the instruments must be issued or the loans granted and fully paid up;
- the purchase of instruments or the assignment of subordinated loans cannot be paid for by the entity, neither directly nor indirectly;
- the capital receivable for these instruments or subordinated loans is fully subordinated to the receivables of all unsubordinated creditors;

- the instruments or subordinated loans are not hedged or covered by a guarantee that allows the receivable's ranking to be increased by the entity or its subsidiaries, parent company and any company that has close links with the entity;
- the instruments or subordinated loans are not subject to any provision that allows the receivable's ranking to be increased in any other way;
- the instruments or subordinated loans must have an original maturity of at least five years;
- the provisions governing the instruments or subordinated loans must not contain any incentive that encourages the entity to reimburse or repay the principal amount prior to maturity;
- if the instruments or subordinated loans include one or more call or early repayment options, these may be exercised at the sole discretion of the issuer or obligor;
- the instruments or subordinated loans cannot be repaid or repurchased or repaid in advance earlier than five years from the date of issue or assignment;
- the provisions governing the instruments or subordinated loans must not indicate, expressly or implicitly, that they shall or may be redeemed, repurchased or repaid in advance by the entity in cases other than those of insolvency or liquidation;
- the provisions governing the instruments or subordinated loans must not give the holder the right to accelerate future scheduled payments of interest or principal, except in the event of insolvency or liquidation;
- the level of payments of interest or dividends due on these instruments or subordinated loans cannot be changed on the basis of the creditworthiness of the entity or its parent company.

At 31 December 2016 the instruments included in this category relate to investments that involve minority interests, which are subject to transitional arrangements: specifically, they comprise the preferred and savings shares issued by Banco di Sardegna s.p.a.

3. Tier 2 - T2

Tier 2 capital (T2) consists of the following positive and negative elements:

- Equity instruments, subordinated loans and related share premiums;
- T2 instruments subject to transitional provisions ("grandfathering");
- Instruments issued by affiliates and included in T2;
- General adjustments;
- Deductions.

On a fully phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 63 CRR):

- the instruments must be issued/assigned and fully paid up;
- the assignment of the instrument cannot be financed by the entity, neither directly nor indirectly;
- the capital receivable for these instruments has to be fully subordinated to the receivables of all unsubordinated creditors;
- the instruments cannot be hedged, nor subject to any form of guarantee;
- these instruments should not be subject to any provision that increases their credit ranking;
- the instruments must have an original maturity of at least five years;
- the provisions governing these instruments must not contain any kind of incentives that encourage the entity to reimburse or repay the principal prior to maturity;

- in the event that the instruments include in their rules one or more call or early repayment options, they can only be exercised at the discretion of the issuer or obligor;
- the provisions do not give the holder the right to accelerate future scheduled payments, except in the event of the entity's insolvency or liquidation;
- these instruments can be reimbursed, also in advance, but only in that the event that the entity asks for prior authorisation from the competent authority, and not earlier than five years from the date of issue, except in the following cases: a) the entity of reference replaces the above instruments with other instruments of Own Funds of equal or higher quality, at conditions that are sustainable considering its earning capacity, b) the entity can demonstrate that it complies with the minimum capital requirements imposed by the regulations to the satisfaction of the competent authority.

At 31 December 2016 the T2 instruments included the Group's subordinated loans covered by the grandfathering rules, since they were issued prior to the deadline of 31 December 2011 identified by the regulations, together with the "Banca popolare dell'Emilia Romagna Subordinated Tier II 4.25% 15/06/2016-15/06/2025 Callable" and "BPER Banca Tier II 4.60% 15/12/2016-15/12/2026 Callable" bonds.

Transitional arrangements

The new regulations also provide for transitional arrangements ("Phased in"), during which the provisions contained in Circular 285/2013 Section II are gradually introduced. Their applicability to the capital requirements and grandfathering rules develops over a period of about 4 years (2014-2017), during which partial inclusion is replaced by the gradual exclusion of equity instruments that do not meet all the requirements of the CRR.

Specific regulatory requirements

The Supervisory rules introduced by Circular 285/13 require Italian banks belonging to banking groups to fully comply with the following minimum ratios for 2016:

- CET1 Ratio of 4.5%;
- Tier 1 Ratio of 6%;
- Total Capital Ratio of 8%.

In addition to the mandatory requirements prescribed in the Regulations, the following requirements have also been added:

- Capital Conservation Buffer (CCB): this consists of Common Equity Tier 1 capital, for an additional requirement of 2.5%;
- Countercyclical Capital Reserve: this is also made up of Tier 1 capital and must be accumulated in periods of economic growth against possible future losses on the basis of a specific coefficient established on a national basis. On 23 September 2016, the Bank of Italy, in its capacity as the designated authority for the adoption of macroprudential measures for the banking sector, published a document with which it set the Countercyclical Capital Buffer (CCyB) for the fourth quarter of 2016 (on exposures to Italian counterparts) as 0%, confirming what had been done up to September 2016;
- Additional Reserves for so-called Global & Other Systemically Important Institutions (G-SII & O-SII): both consist of Tier 1 capital and make direct reference to entities of particular importance at a global or national level. The buffer for G-SII can vary between a minimum level of 1% and a

maximum of 3.5%, whereas the one for O-SII only provides for a non-binding maximum threshold of 2%;

- Capital reserve for systemic risk: it is at least 1% of the related risk exposures and is established by each Member State; it is essentially used to mitigate the risk of non-cyclical macro-prudential long-term risk, i.e. to deal with the negative effects related to unexpected crises in the banking system.

The sum of regulatory requirements and additional reserves determine the minimum level of capital conservation required for banking groups at a consolidated level; for 2016, that level is as follows:

- CET1 Ratio of 7%;
- Tier 1 Ratio of 8.5%;
- Total Capital Ratio of 10.5%.

As part of the SREP (Supervisory Review and Evaluation Process), in November 2015, the European Central Bank had notified the Parent Company BPER Banca of its decision concerning additional Own Funds (2015 SREP), requiring compliance with a minimum Common Equity Tier1 (CET1) Ratio of 9.25%, which was to remain in force until 31 December 2016, in light of the communication of the new decisions made by ECB as part of the 2016 SREP.

In fact, at the beginning of December 2016, the ECB established that BPER Banca Group had to maintain, as from 1 January 2017, the following minimum capital ratios:

- Common Equity Tier 1 Ratio: of 7.25%, consisting of the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 of the European Parliament and the Council on prudential requirements for banks and other financial institutions (4.50%), plus the amount by which CET1 exceeds the minimum requirement in accordance with art. 16 of EU Regulation 1024/2013 (the aforementioned P2R equating to 1.50%) and plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU that has been transposed into national law (1.25%);
- Total Capital Ratio: of 10.75%, consisting of the sum of the minimum requirement pursuant to art. 92 of EU Regulation 575/2013 of the European Parliament and the Council on prudential requirements for banks and other financial institutions (8.00%), plus the amount by which CET1 exceeds the minimum requirement in accordance with art. 16 of EU Regulation 1024/2013 (the aforementioned P2R equating to 1.50%) and plus the capital conservation buffer in accordance with art. 129 of Directive 2013/36/EU that has been transposed into national law (1.25%).

As can be seen from the figures below, BPER Banca amply complies with all of the regulatory and additional limits.

Conditions for the inclusion of interim or year-end earnings

With reference to EU Regulation 575/2013 (CRR), on 4 February 2015 the ECB issued a "Decision" published in the Official Journal of the European Union on 25 April 2015, that laid down the procedures to be followed by banks under its direct supervision (EU Regulation 468/2014) with regard to the inclusion in CET1 Capital of interim or year-end earnings before a formal decision is taken confirming the result.

They can only be included (art. 26 CRR) with the prior approval of the Competent Authority, which in this case is the ECB, and it will only give approval if the following conditions are met:

- earnings must be checked and certified by the Independent Auditors;
- the Bank must provide a specific declaration about the earnings with particular reference to the accounting standards applied and the inclusion of foreseeable charges and dividends. The latter have to be calculated according to specific methodologies as indicated.

The "Decision" also provides a standard letter and certification form that the Banks have to use when asking for approval.

At 31 December 2016, the value of capital was calculated taking into account the impact thereon (minus Euro 14.6 million, equating to -7 bps) of the profit for the year, net of dividends proposed to the Shareholders' Meeting, taking into account that, at 30 September 2016, profit allocable to equity (Euro 62.7 million, equating to 17 bps of the CET1 Ratio) had been included, for which BPER Banca had obtained appropriate authorisation from the Supervisory Authority.

Subordinated loans included in Tier 2 capital

Characteristics of subordinated instruments	Interest rate	Step up	Maturity date	Currency	Original amount (in Euro)	Contribution to Own Funds (in thousands of Euro)
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	4.35%	NO	31-12-2017	Eur	18,000,000	2,159
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	4.94%	NO	31-12-2017	Eur	51,000,000	6,117
Lower Tier II B.P.E.R. subordinated non convertible bond 4.75%, 2011-2017	4.75%	NO	15-03-2017	Eur	700,000,000	16,997
Lower Tier II CARISPAQ subordinated non convertible bond floating rate, 2010-2020	TV	NO	30-09-2020	Eur	25,000,000	1,910
Total bonds included in the scope of grandfathering					**794,000,000**	**27,183**
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	4.25%	NO	15-06-2025	Eur	224,855,200	224,855
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	4.60%	NO	15-12-2026	Eur	12,000,000	12,000
Total bonds not included in the scope of grandfathering					**236,855,200**	**236,855**
Total bonds					**1,030,855,200**	**264,038**

B. Quantitative information

	31.12.2016	31.12.2015
A. Common Equity Tier 1 capital (Common Equity Tier 1 - CET1) before the application of prudential filters	**5,056,027**	**5,087,258**
of which CET1 instruments subject to transitional provisions	-	-
B. Prudential filters for CET1 (+/-)	(13,712)	(17,300)
C. CET1 gross of items to be deducted and of transitional arrangements (A+/-B)	**5,042,315**	**5,069,958**
D. Items to be deducted from CET1	717,349	698,403
E. Transitional arrangements - Impact on CET1 (+/-), including minority interests subject to transitional provisions	**172,679**	**135,336**
F. Total Common Equity Tier 1 - CET1 (C-D+/-E)	**4,497,645**	**4,506,891**
G. Additional Tier 1 capital (AT1) gross of items to be deducted and of transitional arrangements	**36,588**	**51,687**
of which AT1 instruments subject to transitional provisions	-	-
H. Items to be deducted from AT1	-	13,748
I. Transitional arrangements - Impact on AT1 (+/-), including instruments issued by affiliates and included in AT1 following transitional provisions	**(7,894)**	**4,124**
L. Total additional Tier 1 - AT1 (G-H+/-I)	**28,694**	**42,063**
M. Tier 2 capital (T2) gross of items to be deducted and of transitional arrangements	**425,753**	**447,921**
of which T2 instruments subject to transitional provisions	*27,183*	*151,487*
N. Items to be deducted from T2	-	-
O. Transitional arrangements - Impact on T2 (+/-), including instruments issued by affiliates and included in T2 following transitional provisions	**5,953**	**14,730**
P. Total Tier 2 (T2) (M-N+/-O)	**431,706**	**462,651**
Q. Total Own Funds (F+L+P)	**4,958,045**	**5,011,605**

2.3 Capital adequacy

A. Qualitative information

Particular importance is given to checking compliance with capital adequacy requirements, both at CET1 level and in total. The responsible functions at the Parent Company perform this task on an ongoing basis, with the various departments involved (Finance and Planning Department, Risk Department and Administration and Financial Reporting Department) issuing regular reports as part of the broader process of verifying consolidated capital adequacy. The guidelines for this activity are stated in BPER Banca Group's annual report on the verification of capital adequacy (ICAAP). This report identifies the functions, methodology and approach for measuring and assessing accepted risk on an ongoing basis, with a view to guiding operations and quantifying the capital required by the Group to cover the various risks accepted.

Provisions have also introduced an indicator for leverage. The Leverage Ratio (LR) measures the ratio between the volume of assets, including off balance sheet exposures, and the company's capital; the primary intent is to monitor the volumes being intermediated and the sustainability versus the balance sheet aggregate.

On 24 June 2016 the European Central Bank authorised the BPER Banca Group to adopt internal models (IRB Advanced Approach) for measuring capital requirements for customer credit risk within the activity classes which have exposures to companies and to retail businesses. The first model validation scope includes BPER Banca, Banco di Sardegna and Banca di Sassari; Cassa di Risparmio di Bra, Sardaleasing and Cassa di Risparmio di Saluzzo are formally included in the roll-out plan and will adopt the IRB Approach as scheduled in the plan.
The other Group companies and asset classes not included in the roll-out plan will continue to use the Standardised Approach.
For further details, please refer to the document entitled "Public disclosure as at 31 December 2016 – Pillar 3".

B. Quantitative information

Description/Amounts	Unweighted amounts		Weighted amounts/Requirements	
	31.12.2016	31.12.2015	31.12.2016	31.12.2015
A. Assets at risk				
A.1 Credit and counterparty risk	70,704,571	61,095,748	27,226,084	35,571,923
1. Standardised methodology	29,641,800	60,900,783	12,721,998	35,197,330
2. Methodology based on internal ratings	40,866,907	-	14,130,336	-
2.1 Basic	-	-	-	-
2.2 Advanced	40,866,907	-	14,130,336	-
3. Securitisations	195,864	194,965	373,750	374,594
B. Capital adequacy requirements				
B.1 Credit and counterparty risk			2,178,087	2,845,754
B.2 Credit down-rating risk			23,755	23,504
B.3 Settlement risk			-	-
B.4 Market risk			52,350	51,327
1. Standard methodology			52,350	51,327
2. Internal models			-	-
3. Concentration risk			-	-
B.5 Operational risk			275,559	280,050
1. Basic method			-	-
2. Standardised method			275,559	280,050
3. Advanced method			-	-
B.6 Other elements for the calculation			77,708	7,500
B.7 Total precautionary requirements			2,607,459	3,208,135
C. Risk assets and capital ratios				
C.1 Risk-weighted assets			32,593,235	40,101,688
C.2 Common Equity Tier 1 capital/Risk-weighted assets (CET1 Capital ratio)			13.80%	11.24%
C.3 Tier 1 Capital/Risk-weighted assets (Tier 1 Capital ratio)			13.89%	11.34%
C.4 Total Own Funds/Risk-weighted assets (Total capital ratio)			15.21%	12.50%

The amount indicated in caption B.6 consists of the Bank of Italy's capital requirements for assets at risk, specifically relating to Banca di Sassari s.p.a. and determined on the basis of an additional 10% of risk-weighted assets on loans (€ 1,763 thousand); the additional capital requirement was removed by the ECB as of 1 January 2017 as part of the decision regarding the 2016 SREP. To the above have to be added the ECB's specific capital requirements for the first-time application of methodology based on internal ratings, corresponding to 3% of total risk-weighted assets (€ 75,945 thousand).
As part of the SREP process, the ECB assigned BPER Banca a minimum capital ratio in terms of Common Equity Tier 1 Ratio of 9.25%, which the Bank exceeds by an ample margin. The excess buffer is equal to 455 bps (Phased In) and 402 bps (Fully Phased).
It should also be noted that, as mentioned previously, in December 2016, BPER Banca received notification from the Supervisory Authority of its decision concerning capital requirements (2016 SREP). In this regard, the ECB has indicated as a binding requirement (Pillar 2 Requirement or P2R), as from 1 January 2017, compliance with a consolidated minimum CET1 Ratio of 7.25% and TC Ratio of 10.75%.

At 31 December 2016, the CET1 Ratio on a "fully phased" basis is estimated to be approximately 13.27% (10.90% at 31 December 2015).

Leverage Ratio (LR)

The leverage ratios are very positive:

- transitional arrangements (Phased in) of 6.7% (7.1% at 31 December 2015);
- under full application (Fully Phased), of 6.5% (6.9% at 31 December 2015).

Part G - Business combinations

Section 1 – Transactions carried out during 2016

1.1 Business combinations: Acquisition of Cassa di Risparmio di Saluzzo s.p.a.

Description of the transaction

On 4 October 2016, BPER Banca completed – after having obtained the necessary approvals from the competent authorities – the acquisition from Fondazione Cassa di Risparmio di Saluzzo (hereinafter the "Fondazione") of a controlling interest in Cassa di Risparmio di Saluzzo s.p.a. of 68.98% for a price of Euro 1.18 per share.

The transaction, which was a multi-step acquisition as envisaged by the sale and purchase agreement executed by the parties on 13 April 2016, foresaw the acquisition of an equity interest of 48.98% in the Cassa and a put option, with a fixed consideration, exercisable by the Fondazione for the sale of the remaining 20.0% on 23 December 2016.

The total consideration paid for the acquisition of a 68.98% interest was Euro 51,893 thousand.

The following table shows the key figures relating to the business combination (in thousands of Euro).

Company name	Date of the transaction (a)	Cost of the transaction	Interest acquired (b)	Total revenues (c)	Net profit (loss) of the Company (d)
Cassa di Risparmio di Saluzzo s.p.a.	04/10/2016 (*)	51,893	68.98%	27,284	(11,485)

(*) 4 October 2016 is shown as the sole acquisition date, even though it was a multi-step transaction as stated in "Description of the transaction".

Key:
(a) Date of acquisition of control.
(b) Percentage interest acquired with Voting rights at Ordinary Shareholders' Meeting.
(c) Net interest and other banking income (caption 120 of the income statement) at 31 December 2015
(d) Net profit (loss) recorded by the subsidiary at 31 December 2015.

The equity interest acquired, combined with the interest previously held by BPER Banca Group in the Cassa of 31.02%, has brought its holding to 100%.

Accounting treatment of the transaction

The accounting treatment applied for the recognition of the acquisition of CR Saluzzo in BPER Banca Group's Consolidated financial statements was in accordance with IFRS 3 - Business Combinations. This standard defines a business combination as a transaction or other event in which a purchaser obtains control of one or more businesses and provides for the consolidation of the assets, liabilities and contingent liabilities of the acquired company at their fair value at the date of acquisition, including any identifiable intangible assets not recognised in the acquiree's financial statements.

In accordance with this standard, business combinations are accounted for using the acquisition method, which requires:

- identification of the acquirer;
- determination of the acquisition date;

- recognition and measurement of the assets acquired, the liabilities assumed and any non-controlling interest;
- recognition and measurement of goodwill or a gain from a bargain purchase.

In accordance with IFRS 3, at the acquisition date, the acquirer is required to identify, separately from goodwill, the assets acquired, the liabilities assumed and any non-controlling interest.

In accordance with International Accounting Standards, an acquisition has to be accounted for at the date on which the acquirer obtains control of the acquiree. In this case, although this was a multi-step acquisition, the steps had been predetermined to form part of a sole acquisition of a controlling interest as governed by the share sale and purchase agreement and the effective date thereof was 4 October 2016, being the date on which the necessary approvals were obtained from the competent authorities that satisfied the conditions precedent set out in the agreement; accordingly, this date has been determined to be the acquisition date.

The acquirer has to measure goodwill at that date as the difference between the total as per point (a) below and the amount indicated at point (b):

a) the aggregate of:
   - the value of the consideration transferred at fair value;
   - the amount of any non-controlling interest;
   - in a business combination achieved in stages, the fair value of the acquirer's previously-held equity interest in the acquiree;
b) the fair value of the net assets acquired.

As previously indicated, the recognition of the business combination requires measurement at fair value of the identifiable assets acquired and liabilities assumed, inclusive of any contingent liabilities and identifiable intangible assets not recognised in the financial statements of the acquired company. What remains after this allocation must be recorded as goodwill, which represents a payment made by the acquirer in anticipation of future economic benefits arising from assets that cannot be individually identified and recognised separately.

Having identified 4 October 2016 as the acquisition date, the fair value of the net assets acquired was estimated to equate to the equity of the subsidiary at 30 September 2016, being the accounting reference date of the latest available financial statements and the closest to the transaction date.

The table below sets out details of the calculation of the goodwill arising from the acquisition of CR Saluzzo in accordance with IFRS 3.

Identification of goodwill	
Equity interest acquired	68.98%
Purchase price	51,893
Fair value of previously-held equity interest	23,336
Fair value of net assets acquired	(61,264)
Goodwill	**13,965**

IFRS 3 allows for the final recognition of a business combination to be made within twelve months of the acquisition date. Specifically, paragraph 45 of IFRS 3 states "*If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the acquirer shall report in its financial statements provisional amounts for the items for which the accounting is incomplete. During the measurement period, the acquirer shall retrospectively adjust the provisional amounts recognised at the acquisition date … During the measurement period, the acquirer shall also recognise additional assets or liabilities … However, the measurement period shall not exceed one year from the acquisition date*".

The BPER Banca Group has applied the recognition criteria permitted by IFRS 3 by making a provisional allocation of the cost of the business combination, with a requirement to carry out final allocation of the purchase price within a maximum of 12 months from the date of acquisition.

The difference between the purchase price paid for the acquisition of the controlling interest in CR Saluzzo, the fair value of the previously-held equity interest and the fair value of net assets acquired was provisionally determined to be goodwill amounting to Euro 13,965 thousand.

1.2 Combinations under common control

As already mentioned in the Directors' report on Group operations, there have been certain business combinations between entities under common control, which are outwith the scope of IFRS 3 and have therefore been recorded without any change in their carrying value.

These transactions formed part of the process to rationalise the BPER Banca Group with a view to improving its competitive profile.

The transactions in question relate to:

- the absorption of Melior Valorizzazioni s.r.l. by Italiana Valorizzazioni Immobili s.r.l.;
- the acquisition of direct control over Banca Sassari s.p.a. by BPER Banca following its acquisition of the controlling interest from Banco di Sardegna s.p.a.[54];
- cross-border merger of EMRO Finance Ireland Ltd with BPER Banca;
- absorption of Frigodocks s.p.a. by Modena Terminal s.r.l.

Section 2 – Transactions subsequent to the year end

No business combinations have been carried out after 31 December 2016.

[54] *In the BPER Banca consolidation only, this transaction appears as BC ("between entities under common control"). In the consolidated financial statements of Banco di Sardegna, it was treated as a transaction with the third party.*

Part H - Related-party transactions

1. Information on the remuneration of Managers with strategic responsibilities

	Description	31.12.2016	31.12.2015
	Directors		
-	short-term benefits (as shown in the Parent Company's annual report)	2,940	2,903
-	other long-term benefits (as shown in the Parent Company's annual report)	-	177
-	directors' emoluments received from other banks and companies within the scope of consolidation on a line-by-line basis	422	561
	Statutory Auditors		
-	short-term benefits (as shown in the Parent Company's annual report)	522	522
-	Statutory Auditors' emoluments received from other banks and companies within the scope of consolidation on a line-by-line basis	16	45
	Other managers with strategic resposibilities (General Manager, Deputy General Managers, Manager responsible for preparing the company's financial reports and Heads of Group Departments):		
1	- short-term benefits (as shown in the Parent Company's annual report) includes salaries, social security contributions, indemnities in lieu of untaken vacation, paid leave of absence and any fringe benefits, such as insurance, housing and car.	4,213	4,831
	- other short-term benefits - contributions for social contributions (as shown in the Parent Company's annual report)	1,100	1,342
	- Directors' emoluments received from other Banks and Companies withit the scope of consolidation on a line-by-line basis	296	264
2	post-employment benefits includes payments to supplementary pension funds and provisions for termination indemnities	461	489
3	other long-term benefits	-	271
4	indemnities for termination of employment	86	-
5	share-based payments	-	-

The information provided is consistent with that required by IAS 24 § 16.
The amounts shown for the Directors, including the emoluments of the Chief Executive Officer, the Statutory Auditors and other Managers with strategic responsibilities represent their emoluments for the period, regardless of when paid. These amounts are classified in the income statement caption 180-a) "Payroll".
As regards the Directors, note that the amount shown (€ 2,940 thousand) consists of their emoluments for the period in accordance with art. 11 of the Articles of Association (formerly art. 24); more specifically:
- € 1,542 thousand (€ 1,520 thousand at 31 December 2015), being the amount of remuneration payable to Directors in accordance with art. 11 of the Articles of Association and which is below that fixed by the Shareholders' Meeting of 16 April 2015 (€ 1,600 thousand), consisting of fees payable to the members of the Board of Directors (€ 861 thousand), supplementary fees payable to members of the Executive Committee (€ 170 thousand) and of all subcommittees (€ 359 thousand), as well as for attendance fees payable to Directors for their participation at meetings of the Board, of the Executive Committee and of subcommittees (€ 152 thousand);
- € 548 thousand (€ 489 thousand at 31 December 2015) of additional emoluments payable to Directors appointed to particular positions in compliance with the Articles of Association (specifically Chairman and Deputy Chairmen); in fact, in accordance with art. 11 of the Articles of Association, this remuneration has to be set by the Board of Directors, after having sought the opinion of the Board of Statutory Auditors;
- € 850 thousand (unchanged from the previous year) of additional emoluments payable to the Chief Executive Officer, again in compliance with the Articles of Association.
The amounts shown for other Managers with strategic responsibility (the General Manager, 4 Deputy General Managers, the Manager responsible for preparing the company's financial reports and 11 other Group Senior Managers in the Parent Company BPER Banca) belong to the types of costs detailed above. They are disclosed in the Report on Remuneration (art. 123-ter of Legislative Decree 58/1998) in accordance with CONSOB requirements. The amounts at 31 December 2015 referred to a total of 19 Senior Managers.
Other long-term benefits relating to Directors (specifically, the Chief Executive Officer) and to other managers with strategic responsibilities for 2015 relate entirely to the valuation of the Phantom Stocks assigned, which no longer existed in 2016.

2. Related-party disclosures

Other related parties comprise parties controlled or significantly influenced by Directors, Statutory Auditors or Managers, or parties that may exercise significant influence over these individuals, as defined in IAS 24.

	Assets	Liabilities	Guarantees given	Revenues	Costs
Subsidiary	86,828	9,129	-	1,390	667
Associates	796,764	6,361	61,622	6,271	2,132
Directors, Statutory Auditors and Managers	1,349	2,662	6	123	18
Other related parties	8,735	9,482	1,127	333	2,075
Total 31.12.2016	**893,676**	**27,634**	**62,755**	**8,117**	**4,892**
Subsidiary	81,195	8,370	-	2,791	408
Associates	711,852	22,532	83,446	9,392	3,317
Directors, Statutory Auditors and Managers	1,448	3,275	-	88	67
Other related parties	12,992	14,754	1,936	382	1,677
Total 31.12.2015	**807,487**	**48,931**	**85,382**	**12,653**	**5,469**

There are no critical outstanding balances or transactions with related parties. They all relate to routine banking and other services and arose normally during the year, as a consequence of needs and requirements in the common interests of the parties or, where applicable, of the Group. The conditions applied to individual balances and transactions with these companies are in line with those currently applied in the market.
The total amount of cash and endorsement loans due from Directors, Statutory Auditors, Managers and their related parties comes to € 11.2 million (€ 16.4 million at 31 December 2015). The above amount represents 0.02% of total cash and endorsement loans.
With reference to the entry into force with effect from 2012 of the regulations relating to "Risk activities and Conflicts of Interest in respect of Related Parties" issued by the Bank of Italy as part of the 9th update of Circular no. 263/2006, the BPER Banca Group adopted a set of rules, as detailed in a specific chapter of the Directors' report on Group Operations, together with the significant transactions completed during the year. This includes, among other things, "Group Regulations for the monitoring of prudential limits to risk activities with related parties", which describes the following processes: definition of prudential limits to risk activities with related parties; continuous monitoring of the limits; managing situations where the limits have been exceeded, also governing the roles, responsibilities, tasks and coordination mechanisms of the Corporate Bodies and Top Management of the various functions at the Parent Company and at Group banks and companies.
The Group Regulations include an "internal threshold of attention" which makes reference to a weighted consolidated individual exposure limit that is lower than the regulatory threshold. This threshold is set at such a level as to constitute an adequate precaution against accepting particularly significant exposures to related parties and persons associated with them.
There are no non-performing loans and provisions were not needed in 2016 for non-performing loans relating to parties which, on 31 December 2015, qualified as related parties.

	Assets	Liabilities	Guarantees given	Revenues	Costs
Total reference amounts - 31.12.2016	64,957,028	59,401,315	2,767,010	2,436,377	1,762,794
Total reference amounts - 31.12.2015	61,261,231	55,609,433	3,115,632	2,628,080	1,908,573

The total reference amounts for revenues include interest income (caption 10), commission income (caption 40) and other operating income (detail of caption 220); costs include interest expense (caption 20), commission expense (caption 50), other operating expenses (detail of caption 220) and administrative expenses (caption 180).

Related party transactions stated as a percentage of reference amounts (financial position and results)

	Assets	Liabilities	Guarantees given	Revenues	Costs
Subsidiary	0.13%	0.02%	0.00%	0.06%	0.04%
Associates	1.23%	0.01%	2.23%	0.26%	0.12%
Directors, Statutory Auditors and Managers	0.00%	0.00%	0.00%	0.01%	0.00%
Other related parties	0.01%	0.02%	0.04%	0.01%	0.12%
Total 31.12.2016	**1.37%**	**0.05%**	**2.27%**	**0.34%**	**0.28%**
Subsidiary	0.13%	0.02%	0.00%	0.11%	0.02%
Associates	1.16%	0.04%	2.68%	0.36%	0.17%
Directors, Statutory Auditors and Managers	0.00%	0.01%	0.00%	0.00%	0.00%
Other related parties	0.02%	0.03%	0.06%	0.01%	0.09%
Total 31.12.2015	**1.31%**	**0.10%**	**2.74%**	**0.48%**	**0.28%**

Part I - Equity-based payments

A. Qualitative information

1. Description of equity-based payments

On 1 March 2016 the Parent Company's Board of Directors approved:

- the Remuneration Report pursuant to art. 123-*ter* of Legislative Decree no. 58 dated 24 February 1998, relating to the remuneration policies for 2016 of the BPER Banca Group;
- the remuneration plan pursuant to art. 114-*bis* of Legislative Decree no. 58 dated 24 February 1998, implementing the remuneration policies for 2016 of the BPER Banca Group. The Plan covers those employees of the BPER Banca Group identified as "key personnel" in accordance with the 7th update of 18 November 2014 of Circular no. 285 "Supervisory Provisions for banks", Title IV, Chapter 2 "Remuneration and incentive policies and practices" and in Delegated EU Regulation 604 of 4 March 2014.

Both documents were approved by the Shareholders' Meeting held on 16 April 2016 at second calling.

The remuneration of key personnel is composed of a fixed element and a variable element that is lower than the maximum of 60% of the fixed component, though there are certain exceptional situations[55] in which it is possible to raise this percentage to 100%, and it is governed by particularly stringent rules (Bank of Italy's Circular no. 285, 7th update of 18 November 2014, Section III, paragraphs 1.2, 2.1 points 3 and 4, 2.2.1 and 2.2.2). With particular regard to risk alignment before the event, this is based on actual and lasting results, it also takes qualitative objectives into account, it is parameterised to performance indicators, it is measured net of risks and takes into account the level of capital resources.
The sustainability of the overall maximum amount of variable remuneration allocated to key personnel (those most responsible for running the company), is assessed in relation to the economic and financial stability of the Group as a whole.
The payment of *bonuses* is in fact dependent on achieving basic economic and financial objectives (the so-called "entry gates") that have to be achieved at the same time.

The entry gates that have been identified are based on the following parameters:

- Common Equity Tier 1 Ratio on a consolidated bases (CET 1 Ratio);
- Return on Risk Adjusted share Capital (RoRAC)[56];
- Liquidity Coverage Ratio (LCR).

If the entry gates are exceeded, gross profit acts as an indicator to which the *bonus* pool is linked:

- only the consolidated profit parameter applies to personnel of the Parent Company with Group functions[57];
- for the others, the parameter of consolidated and separate gross profit applies.

After it has been verified that the entry gates have been exceeded and the *bonus* pool has been calculated, the actual allocation of the *bonus* and the related amount, within the maximum limits[58] of the

[55] Entry bonus or incentive packages designed to facilitate the acquisition of resources that the company deems necessary for the achievement of important objectives.
[56] if, during the year, the RoRAC included in the RAF were to be replaced with a different indicator and therefore the gate of the risk-adjusted profitability should be changed, the consistency of the gate threshold level would still be ensured.
[57] In light of the specific nature of the business carried on by the consortium companies, similar rules also apply to these companies' top managers.

variable remuneration, are defined through a process of individual performance evaluation that includes an analysis of various qualitative and quantitative indicators.

If the *Bonus* exceeds a specific amount established by the Board of Directors, the Plan envisages an allocation (which can also be deferred) of part of the total *bonus* through an assignment of "phantom stock"[59].

In particular, this Plan provides for: (apart from as provided by the stricter regulations foreseen for the CEO of the Parent Company):

- in the case of a *bonus* of more than Euro 100 thousand:
  - 60% is attributed at the date the *bonus* is granted ("upfront portion");
  - the remainder of 40% is attributed in equal portions on a deferred basis: for *bonuses* lower than Euro 120 thousand, it is attributed over the subsequent three years; for *bonus* amounting to between Euro 120 thousand and Euro 150 thousand, the deferral period is increased to 4 years; for *bonuses* higher than Euro 150 thousand, there is a 5 year deferral period.

  The allocation of 50% of the up-front and deferred portions takes place through phantom stock, the other 50% in cash;

- for *bonuses* amounting to between Euro 60 thousand and Euro 100 thousand:
  - 50% of the *bonus* is attributed at the grant date in cash;
  - the remainder of 50% is allocated through phantom stock, attributed in equal portions in the three years subsequent to the grant year;

- for *bonuses* amounting to between Euro 30 thousand and Euro 60 thousand:[60]
  - the first Euro 30 thousand is attributed at the grant date in cash;
  - the allocation of the portion of the *bonus* exceeding Euro 30 thousand[61] takes place through Phantom Stock entirely attributed in equal portions in the three years subsequent to the grant year;

- for *bonuses* of less than Euro 30 thousand and less than 30% of the fixed remuneration:
  - the amount in question is attributed at the grant date in cash.

- in the case of the Bank's Chief Executive Officer, assignment of 50% of the *bonus* in the form of phantom stock; 40% of the portion represented by phantom stock is allocated at the time the *Bonus* is granted (up-front subject to a 2-year retention period), whereas the other 60% is allocated in equal portions over the next three, four or five[62] years, providing adequate earnings and capital standards are maintained (subject to a 1 year retention period from the vesting date of each deferred portion).

---

[58] *The theoretical maximum amount of the bonus payable is the sum of the maximum bonuses obtainable at an individual level.*

[59] *Phantom Stock: these are "virtual" financial instruments (free, personal and not transferable inter vivos) that assign to each recipient the right to demand on maturity an amount of money corresponding to the value of the BPER Banca stock, calculated as per paragraph 3.8 of the information document on the remuneration plan based on financial instruments - Phantom Stock 2015, at the payment date.*

[60] *Or 30% of the fixed remuneration, if lower.*

[61] *Or 30% of the fixed remuneration, if lower. In exceptional and unlikely circumstances where the bonus is more than 60% of the fixed remuneration, but less than 60 thousand euro, 50% of the bonus is paid in cash upfront and 50% in phantom stock deferred over three years.*

[62] *The time period varies according to the amount of the bonus awarded.*

The deferred instalments are subject to malus rules that can reduce the instalment to zero in the event of failure to achieve the access thresholds ("entry gates") for the financial year preceding the year of payment of each deferred instalment.
There are also clawback clauses on the *bonuses* paid, applicable in cases of fraudulent behaviour or gross negligence on the part of the staff, without which the results would not have been achieved, behaviour that caused a significant loss to the Bank or Company, breach of the obligations under art. 26 of the Consolidated Banking Act or, when the subject is an interested party, art. 53, paragraphs 4 et seq. of the Consolidated Banking Act or of the obligations relating to incentives and remuneration.
The malus mechanism, which can block payment of the deferred portions of the *bonus*, also acts on activation of the clawback clauses.

Note that there are compensation plans still outstanding for the years 2013, 2014 and 2015

B. Quantitative information

In in accordance with the instructions contained in Circular no. 285/2013 (and subsequent updates) and Regulation (EU) 575/2013, the Group provides information on Remuneration Policies also in the document "Public Dislosures as at 31 December 2016 - Pillar 3" available, as provided by law, on the website of the Parent Company - www.bper.it - and on that of the Group - www.gruppobper.it.

2. Other information

In light of the results achieved at Group level, no phantom stock was assigned under the 2016 compensation plan. Please also note that the same results affect the 2015 Plan allowing the vesting of 32,543 Phantom Stocks, for a consideration of Euro 180 thousand, the 2014 Plan allowing the vesting of 1,416 Phantom Stocks for a consideration of Euro 8 thousand and the 2013 Plan allowing the vesting of 511 Phantom Stocks for a consideration of Euro 3 thousand.

Part L - Segment reporting

Segment reporting is prepared on the basis of IFRS 8 "Operating Segments" adopted by EC Regulation no. 1358/2007, commencing from the first annual financial statements for periods ending after 1 January 2009. IFRS 8 establishes that, for reporting purposes, these operating segments must be identified with reference to internal reporting prepared for Senior Management in order to assess the performance of the various sectors and allocate resources among them.

The criteria used to allocate the various captions are based on qualitative and quantitative parameters consistent with the operational segmentation of customers adopted by the Bank for the determination of its commercial policies, which also provides the basis for operational reporting to management; each operating segment identified has similar economic characteristics and is internally consistent in terms of:

- nature of products and services offered and distribution processes;
- type of customers;
- marketing approach;
- nature of regulatory environment.

Given their strategic importance, the segments identified are covered in the disclosures made, even if their results are quantitatively lower than the thresholds envisaged, since this is deemed helpful to users of the financial statements.

Operating segments

Economic and financial information is presented for the following operating segments:

Retail

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- individuals and joint accounts not regulated by the "BPER Private Banking" service;
- sole traders;
- partnerships or limited companies with sales of less than Euro 2.5 million and agreed facilities with the banking totalling less than Euro 1 million.

This segment also includes the results and financial position of Optima s.p.a. SIM, a Group company, that, by its nature, offers products and services to retail customers.

Private

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- individuals and joint accounts regulated by the "BPER Private Banking" service.

Corporate

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- public administration;
- non financial and non resident companies;
- non-financial partnerships and companies with turnover equal to or greater than Euro 2.5 million but less than 250 million.

- non-financial partnerships and companies with turnover greater than Euro 250 million or belonging to a corporate group (as reported in the General Register) with reported consolidated turnover equal to or greater than Euro 250 million;
- financial companies.

This segment also includes the results and financial position of Group companies that, by their nature, offer products and services to Corporate customers (Sardaleasing s.p.a. and Emil-Ro Factor s.p.a.).

Large Corporate

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- partnerships and companies, which on their own or as part of a group, ought to be considered in the Corporate macrosegment, but which are considered as Large Corporate to ensure maximum supervision. (Assignment to this segment is performed solely in expert mode and not automatically).

Finance

This segment includes the results and financial position deriving from treasury activities, management of the Group's investment portfolio, access to financial markets and specialist operational support for the commercial network.

Corporate centre

Included herein are income statement and balance sheet captions arising from activities related to the governance of the Group, to strategic decisions and results thereof (shareholders' equity, equity investments, etc.) or from activities not directly connected to other areas of the business.

Other activities

This segment also includes the results and financial position of those non-banking Group companies that are not allocated to the other operating segments.

A.1 Distribution by operating segment: income statement

Based on the requirements established in IFRS 8, the income statement by operating segment contains the following information:

Captions	Retail	Private	Corporate	Large Corporate	Finance	Corporate centre	Other activities	Total
Net interest income	448,585	5,584	430,050	33,916	219,985	27,173	5,154	1,170,447
Net commission income	469,714	58,063	170,894	12,477	-	-	1,574	712,722
Net interest and other banking income	914,360	63,600	596,647	44,946	357,945	27,172	8,370	2,013,040
Net profit from financial activities 31.12.2016	**735,512**	**62,876**	**170,794**	**32,256**	**308,243**	**38,142**	**6,153**	**1,353,976**
Net profit from financial activities 31.12.2015	**740,887**	**59,304**	**196,970**	**34,139**	**514,189**	**27,987**	**6,795**	**1,580,271**
Operating costs	(633,117)	(25,926)	(179,976)	(29,451)	(4,814)	(324,958)	(120,607)	(1,318,849)
Profit (Loss) from current operations before tax 31.12.2016	**102,395**	**36,950**	**(9,182)**	**2,805**	**303,429**	**(311,214)**	**(114,639)**	**10,544**
Profit (Loss) from current operations before tax 31.12.2015	**53,809**	**33,494**	**18,539**	**(1,912)**	**509,766**	**(300,854)**	**(99,328)**	**213,514**

The above captions have been allocated to the operating segments using the information held on the management information system, which has been reconciled with the accounting system.

A.2 Distribution by operating segment: balance sheet

Based on the requirements established in IFRS 8, the balance sheet by operating segment contains the following information:

Captions	Retail	Private	Corporate	Large Corporate	Finance	Corporate centre	Other activities	Total
Financial assets	43,442	-	106,351	-	13,414,171	-	146,402	13,710,366
Due from banks	-	-	-	-	1,290,072	-	41,739	1,331,811
Loans to customers	18,411,436	204,256	23,013,722	3,446,682	163,024	-	255,059	45,494,179
Other assets	601,732	16,108	233,422	30,396	81,947	3,063,094	393,973	4,420,672
Total assets 31.12.2016	**19,056,610**	**220,364**	**23,353,495**	**3,477,078**	**14,949,214**	**3,063,094**	**837,173**	**64,957,028**
Total assets 31.12.2015	**18,591,926**	**178,220**	**22,873,606**	**2,567,425**	**12,527,729**	**3,594,339**	**927,986**	**61,261,231**
Due to banks	-	-	-	-	9,461,651	-	1,027	9,462,678
Due to customers	26,837,577	1,336,855	6,816,630	1,369,188	1,652,645	-	899,819	38,912,714
Debt securities in issue	7,816,030	558,008	172,412	40,793	-	-	-	8,587,243
Financial liabilities designated at fair value through profit and loss	226,758	15,798	3,904	1,473	-	-	-	247,933
Other liabilities and equity	33,318	-	192,518	-	267,426	7,114,606	138,592	7,746,460
Total liabilities and shareholders' equity 31.12.2016	**34,913,683**	**1,910,661**	**7,185,464**	**1,411,454**	**11,381,722**	**7,114,606**	**1,039,438**	**64,957,028**
Total liabilities and shareholders' equity 31.12.2015	**35,313,298**	**2,242,290**	**6,473,636**	**1,101,292**	**7,383,625**	**7,841,445**	**905,645**	**61,261,231**

Balance sheet information has been allocated to the operating segments using the criteria adopted for the allocation of the income statement.

Financial information by geographical area

The geographical areas are defined with reference to the residence of the individual operating units of the Banks and Group companies. Each Group Bank and company has been allocated in full to a single geographical area, as follows:

- Bper (Europe) International s.a. and EMRO Finance Ireland ltd (only the results up to 31 July 2016) have been allocated to the "Foreign" geographical area;
- other Group Companies and Banks have been allocated to the geographical area "Italy".

Based on the requirements of IAS 8, the income statement and the balance sheet for BPER Banca Group’s geographical areas are as follows:

B.1 Distribution by geographical area: income statement

Captions	Italy	Abroad	Total
Net interest and other banking income	2,005,302	7,738	2,013,040
Segment revenues 31.12.2016	**1,347,803**	**6,173**	**1,353,976**
Segment revenues 31.12.2015	**1,573,454**	**6,817**	**1,580,271**

B.2 Distribution by geographical area: balance sheet

Captions	Italy	Abroad	Total
Total assets 31.12.2016	**64,512,522**	**444,506**	**64,957,028**
Total assets 31.12.2015	**60,706,409**	**554,822**	**61,261,231**

Attachments

Fees for audit and non-audit services

Information pursuant to art. 149-duodecies of CONSOB's Issuers' Regulations

This schedule, prepared pursuant to art. 149-duodecies of CONSOB's Issuers' Regulations (Resolution 11971 of 14 May 1999 and subsequent amendments), reports the 2016 fees for audit and non-audit services provided by the Independent Auditors and member firms of the same network. These fees represent the costs incurred and recorded in the Consolidated financial statements, including expenses, unrecoverable VAT and the CONSOB contribution.

(in thousands of Euro)

Type of services	Party providing the service	Recipient		Fees
Audit	PricewaterhouseCoopers s.p.a.	Parent Company BPER Banca		1,084
	PricewaterhouseCoopers s.p.a.	Subsidiaries		705
	Rete PricewaterhouseCoopers s.p.a.	Subsidiaries		103
Certification services:	PricewaterhouseCoopers s.p.a.	Parent Company BPER Banca	(1a)	169
	PricewaterhouseCoopers s.p.a.	Subsidiaries	(1b)	27
	Rete PricewaterhouseCoopers	Subsidiaries	(1c)	5
Tax advisory services	TLS-Associazione Professionale di Avvocati e Commercialisti	Parent Company BPER Banca	(2a)	78
Other services	PricewaterhouseCoopers s.p.a.	Parent Company BPER Banca	(3a)	140
	PricewaterhouseCoopers Advisory s.p.a.	Parent Company BPER Banca	(3b)	424
	PricewaterhouseCoopers Advisory s.p.a.	Subsidiaries	(3c)	866
Total				**3,601**

Certification services
(1a) Certification services provided to the Parent Company:
- *activities performed in relation to the translation into English of the auditors' reports on the separate and Consolidated financial statements for the year ended 31 December 2015 and of the condensed consolidated half-year report for the period ended 30 June 2016 for € 30 thousand;*
- *activities performed for the issue of comfort letters for the update and implementation of the Covered Bond issue programme for € 25 thousand;*
- *activities performed for the issue of certification required by Bank of Italy Circular no. 285 relating to asset sales in connection with programmes for the issue of Covered Bonds of € 72 thousand;*
- *activities performed for the issue of comfort letters as part of the "Euro Medium Term Notes" issue Programme for € 35 thousand;*
- *activities involved in signing off the consolidated national and international tax return for the year 2015 for the purpose of offsetting a tax credit worth € 7 thousand.*

(1b) Activities involved in signing off Nadia s.p.a.'s tax returns (IRAP, VAT, Individuals) relating to the 2014 tax year for the purpose of offsetting a tax credit of € 9 thousand; activities involved in signing off Nadia s.p.a.'s 2016 IRAP tax return (2015 income) of € 2 thousand; activities involved in signing off BPER Services s.cons.p.a.'s 2016 IRAP tax return (2015 income) for the purpose of offsetting a tax credit of € 5 thousand; verification of the aggregates of reference for the calculation of the contribution payable to the National Guarantee Fund by Banco di Sardegna s.p.a. for € 3 thousand and Banca di Sassari s.p.a. for € 3 thousand; activities performed in relation to the translation into English of the financial statements of Emil-Ro Factor for € 5 thousand.

(1c) Activities involved in signing off the tax returns of foreign companies by local correspondents of the PricewaterhouseCoopers network on behalf of Banca Popolare dell'Emilia Romagna (Europe) International s.a. in Luxembourg.

(2a) Tax advisory services rendered by TLS-Associazione Professionale di Avvocati e Commercialisti, a member firm of PricewaterhouseCoopers s.p.a.'s network, relating to the second module of project Patent Box of € 50 thousand, to project Transfer Pricing of € 18 thousand and to the identification of criteria for the allocation of costs among consortium members in accordance with VAT law of € 10 thousand.

Other services:
(3a) Other services rendered to the Parent Company by PricewaterhouseCoopers s.p.a.: due diligence services performed in relation to the proposed acquisition of a further interest in Cassa di Risparmio di Saluzzo s.p.a. of € 140 thousand.

(3b) Other services rendered to the Parent Company by PricewaterhouseCoopers Advisory s.p.a., a company that belongs to the network of PricewaterhouseCoopers s.p.a.:
- Methodological support as part of the project for implementation of the model for handling outsourcing arrangements of € 35 thousand and subsequent contractual amendments of € 126 thousand;
- Methodological support in the analysis of the impact arising from the adoption of MiFID II and the MiFIR Regulation of € 55 thousand;
- Methodological support for the monitoring of arrangements pertaining to outsourced functions of € 100 thousand;
- Methodological support for the improvement of the analysis of information concerning loans to customers for funding purposes of € 108 thousand.

(3c) Other services rendered to Group companies by PricewaterhouseCooopers Advisory s.p.a.:
- Methodological support as part of the project for implementation of the model for handling outsourcing arrangements, rendered to Banca di Sassari s.p.a. of € 1 thousand and Banco di Sardegna s.p.a. of € 8 thousand and subsequent contractual amendments, rendered to Banco di Sardegna S.p.A. of € 30 thousand, Banca di Sassari s.p.a. of € 5 thousand and BPER Services s.cons.p.a. of € 166 thousand;
- Methodological support in the analysis of the impact arising from the adoption of MiFID II and the MiFIR Regulation rendered to Banco di Sardegna S.p.A. of € 11 thousand and Cassa di Risparmio di Bra s.p.a. of € 1 thousand.
- Technical methodological support for the implementation of the roadmap for IT system governance with reference to Bank of Italy Circular no. 285 rendered to BPER Services s.cons.p.a. of € 644 thousand.

Public disclosure - Country by country reporting as at 31 December 2016

Information pursuant to Circular no. 285/2013 of the Bank of Italy

This information is disclosed following the introduction into Italian law, with the 4th update of the Bank of Italy's Circular no. 285 of 17 December 2013, of the rules laid down in article 89 of EU Directive 2013/36/EU (CRD IV) on Country by Country Reporting.

Name	Head office	Nature of the activity	Turnover (a)	Number of employees	Profit (Loss) before tax (b)	Income taxes (c)	Government grants received
BPER Banca s.p.a.	Italy	Banking	1,487,536	7,202	7,465	17,449	52
Banco di Sardegna s.p.a.	Italy	Banking	296,592	2,305	(27,708)	(4,834)	58
Banca di Sassari s.p.a.	Italy	Banking	88,029	269	22,072	(2,273)	-
Cassa di Risparmio di Bra s.p.a.	Italy	Banking	38,261	163	(1,617)	542	
Cassa di Risparmio di Saluzzo s.p.a.	Italy	Banking	5,797	157	(1,144)	410	-
Sardaleasing s.p.a.	Italy	Leasing	66,105	69	1,636	(999)	-
Emilia Romagna Factor s.p.a.	Italy	Factoring	21,990	46	7,615	(2,409)	-
Optima s.p.a. S.I.M.	Italy	Asset management	1,528	17	4,454	(1,525)	-
Bper Services s.cons.p.a.	Italy	IT services consortium	(1)	108	359	(385)	
Bper Credit Management s.cons.p.a.	Italy	Debt collection consortium	-	2	12	(17)	-
Numera s.p.a.	Italy	IT services	(1)	46	941	(220)	-
Nadia s.p.a.	Italy	Real estate	(4)	-	(4,825)	(230)	22
Tholos s.p.a.	Italy	Real estate	(1)	-	(946)	450	-
Modena Terminal s.r.l	Italy	Storage and safekeeping warehouse	(13)	27	165	(59)	-
Total Italy			**2,005,818**	**10,410**	**8,479**	**5,900**	**132**

Name	Head office	Nature of the activity	Turnover (a)	Number of employees	Profit (Loss) before tax (b)	Income taxes (c)	Government grants received
Bper (Europe) International s.a.	Luxembourg	Banking	7,222	17	2,065	(630)	39
Total Luxembourg			**7,222**	**17**	**2,065**	**(630)**	**39**
Total			**2,013,040**	**10,427**	**10,544**	**5,270**	**171**

Key:

(a) net interest and other banking income, in thousands of euro, net of eliminations where necessary.

(b) profit (loss) from current operations added to profit (loss) before tax on non-current assets held for sale, in thousands of euro, net of eliminations where necessary.

(c) income taxes for the period on current operations and on assets held for sale, in thousands of euro, net of eliminations where necessary.

Certificates and other reports

Certification of the consolidated financial statements for 2016 pursuant to art. 81-ter of Consob Regulation no. 11971 dated 14 May 1999 and subsequent additions and amendments

➢ The undersigned

- Alessandro Vandelli, as Chief Executive Officer,
- Emilio Annovi, as the Manager responsible for preparing the Company's financial report,

of BPER Banca S.p.A., having considered the requirements of paras. 3 and 4 of art. 154-bis of Decree no. 58 dated 24 February 1998, confirm:

- the adequacy in relation to the characteristics of the Bank and
- the proper application

during 2016, of the administrative and accounting procedures adopted for the preparation of the consolidated financial statements .

➢ This assessment of the adequacy of the administrative and accounting procedures adopted for the preparation of the consolidated financial statements at 31 December 2016 is based on a model developed by BPER Banca S.p.A., consistent with the Internal Control - Integrated Framework issued by the Committee of Sponsoring Organizations of the Tradeway Commission. These framework represent reference standards for systems of internal control that are generally accepted at an international level.

➢ It is also certified that

- the consolidated financial statements at 31 December 2016:
  a) have been prepared in accordance with the applicable international accounting standards recognised within the European Union pursuant to European Parliament and Council Regulation (EC) no. 1606/2002 dated 19 July 2002, Decree 38/2005 and the enabling regulations for art. 9 of this Decree;
  b) agree with the underlying accounting records and entries;
  c) present a true and fair view of the financial position and results of operations of the Bank and the companies included within the scope of consolidation.
- The report on operations includes a reliable analysis of performance and the results of operations, as well as of the position of the Bank and the companies included within the scope of consolidation, together with a description of the principal risks and uncertainties to which they are exposed.

Modena, 28 February 2017

Chief executive officer

Alessandro Vandelli

Manager responsible for preparing the company's financial report

Emilio Annovi

INDEPENDENT AUDITORS' REPORT IN ACCORDANCE WITH ARTICLES 14 AND 16 OF LEGISLATIVE DECREE No. 39 OF 27 JANUARY 2010

To the shareholders of
BPER Banca SpA (formerly Banca popolare dell'Emilia Romagna S.C.)

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of the BPER Banca Group, which comprise the balance sheet as of 31 December 2016, the income statement, statement of comprehensive income, statement of changes in shareholders' equity, cash flow statement for the year then ended and related explanatory notes.

Directors' responsibility for the consolidated financial statements

The directors of BPER Banca SpA are responsible for the preparation of consolidated financial statements that give a true and fair view in compliance with International Financial Reporting Standards as adopted by the European Union, as well as with the regulations issued to implement article 9 of Legislative Decree no. 38/2005 and article 43 of Legislative Decree no. 136/15.

Auditors' responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing (ISA Italia) drawn up pursuant to article 11 of Legislative Decree no. 39 of 27 January 2010. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing audit procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The audit procedures selected depend on the auditor's professional judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of consolidated financial statements that give a true and fair view, in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

PricewaterhouseCoopers SpA

Sede legale e amministrativa: Milano 20149 Via Monte Rosa 91 Tel. 0277851 Fax 027785240 Cap. Soc. Euro 6.890.000,00 i.v., C .F. e P.IVA e Reg. Imp. Milano 12979880155 Iscritta al n° 119644 del Registro dei Revisori Legali - Altri Uffici: **Ancona** 60131 Via Sandro Totti 1 Tel. 0712132311 - **Bari** 70122 Via Abate Gimma 72 Tel. 0805640211 - **Bologna** 40126 Via Angelo Finelli 8 Tel. 0516186211 - **Brescia** 25123 Via Borgo Pietro Wuhrer 23 Tel. 0303697501 - **Catania** 95129 Corso Italia 302 Tel. 0957532311 - **Firenze** 50121 Viale Gramsci 15 Tel. 0552482811 - **Genova** 16121 Piazza Piccapietra 9 Tel. 01029041 - **Napoli** 80121 Via dei Mille 16 Tel. 08136181 - **Padova** 35138 Via Vicenza 4 Tel. 049873481 - **Palermo** 90141 Via Marchese Ugo 60 Tel. 091349737 - **Parma** 43121 Viale Tanara 20/A Tel. 0521275911 - **Pescara** 65127 Piazza Ettore Troilo 8 Tel. 0854545711 - **Roma** 00154 Largo Fochetti 29 Tel. 06570251 - **Torino** 10122 Corso Palestro 10 Tel. 011556771 - **Trento** 38122 Viale della Costituzione 33 Tel. 0461237004 - **Treviso** 31100 Viale Felissent 90 Tel. 0422696911 - **Trieste** 34125 Via Cesare Battisti 18 Tel. 0403480781 - **Udine** 33100 Via Poscolle 43 Tel. 043225789 - **Varese** 21100 Via Albuzzi 43 Tel. 0332285039 - **Verona** 37135 Via Francia 21/C Tel. 0458263001 - **Vicenza** 36100 Piazza Pontelandolfo 9 Tel. 0444393311

www.pwc.com/it

Directors' report on operations

Contents

8. Significant subsequent events and outlook for operations

8.1 Significant events subsequent to 31 December 2016
8.2 Outlook for operations

9. Acknowledgements

10. Resolutions

11. Reappointment of Directors and Officers

1. The Bank in 2016

1.1 Competitive positioning

Market positioning

BPER's share of the market for direct deposits in October 2016 had remained stable over the previous twelve months. There was a substantial decrease in deposits from family businesses, whose share went from 4.08% to 3.86% y/y. In terms of loans, there has been an increase in the domestic market share (to 2% from 1.92% in October 2015) mainly relating to companies whose share went from 2.53% to 2.65% y/y and to family businesses whose share went from 2.74% to 2.84% y/y. The trend in the overall market shares held by the Bank in the areas in which it operates are shown in the following tables.

Market shares - Direct borrowing

Period	Total Customers	Households	Companies	Family businesses
31-Oct-16	1.81%	1.57%	3.02%	3.86%
30-sept-16	1.81%	1.56%	3.04%	3.88%
31-Aug-16	1.80%	1.57%	3.08%	3.89%
31-Jul-16	1.82%	1.57%	3.09%	3.89%
30-Jun-16	1.78%	1.58%	2.92%	3.87%
31-May-16	1.81%	1.62%	2.93%	3.89%
30-Apr-16	1.82%	1.63%	3.04%	3.91%
31-mar-16	1.79%	1.61%	2.99%	3.98%
29-Feb-16	1.78%	1.61%	2.94%	4.01%
31-Jan-16	1.81%	1.63%	3.04%	4.06%
31-Dec-15	1.91%	1.70%	3.09%	4.11%
30-Nov-15	1.80%	1.63%	2.92%	4.06%
31-Oct-15	1.81%	1.64%	2.95%	4.08%

Market shares - Lending

Period	Total Customers	Households	Companies	Family businesses
31-Oct-16	2.00%	1.62%	2.65%	2.84%
30-sept-16	1.98%	1.61%	2.60%	2.81%
31-Aug-16	1.96%	1.61%	2.58%	2.81%
31-Jul-16	1.96%	1.61%	2.57%	2.80%
30-Jun-16	1.97%	1.60%	2.59%	2.78%
31-May-16	1.99%	1.59%	2.64%	2.78%
30-Apr-16	1.99%	1.59%	2.68%	2.78%
31-mar-16	1.95%	1.58%	2.63%	2.75%
29-Feb-16	1.92%	1.58%	2.56%	2.76%
31-Jan-16	1.94%	1.58%	2.58%	2.76%
31-Dec-15	1.94%	1.58%	2.59%	2.75%
30-Nov-15	1.92%	1.57%	2.54%	2.74%
31-Oct-15	1.92%	1.56%	2.53%	2.74%

Source: Market shares - Planus Corp. analysis of Regulatory Reports

Branch network

The total number of branches decreased slightly compared with 2015 following the closure of 1 branch: at 31 December 2016, there were in fact no. 779 full-service branches and small branches compared with no. 780 in 2015.

The Bank has a widespread presence of branches in no. 15 of Italy's 20 regions (Emilia-Romagna (297), Abruzzo (97), Campania (95), Lazio (58), Calabria (42), Lombardy (40), Apulia (35), Veneto (34), Basilicata (34), Sicily (17), Molise (10), Marche (9), Tuscany (6), Trentino-Alto Adige (3) and Umbria (2)).

During the year, the Viterbo, Rome Succursale P, Palomonte and Capestrano branches were transferred; project Footprint, with its creation of Hub & Spoke branches, gave rise to changes affecting many jobs and the lay-out of approximately one hundred branches.

During 2016, new Contact Centres were set up in Avellino and Sassari.

1.2 Relations with customers

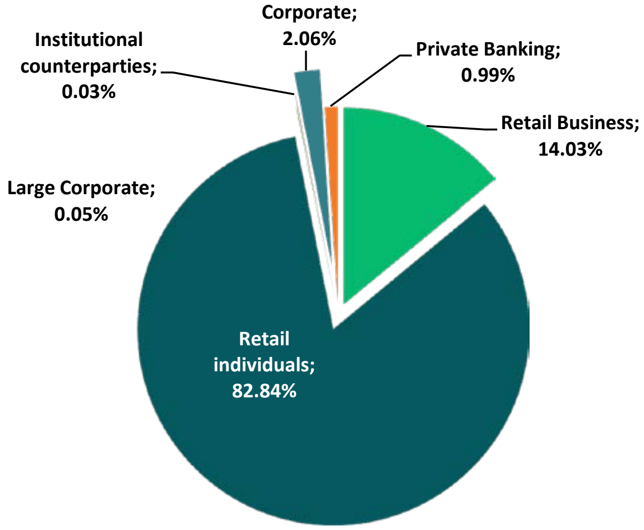
Introduction

Detailed information about the brand, communications, Customer Satisfaction, monetics, ATMs and POS, interbank corporate banking (ICB) service and contact centres is provided in the Directors' Report on Group Operations, which is also the case for commercial and service policies.

Composition of the customer base

BPER Banca confirms itself as a bank dedicated to households and small and medium-sized businesses, consistent with the aim of active support and proximity to the needs and plans expressed by the social and economic fabric of the territories served.

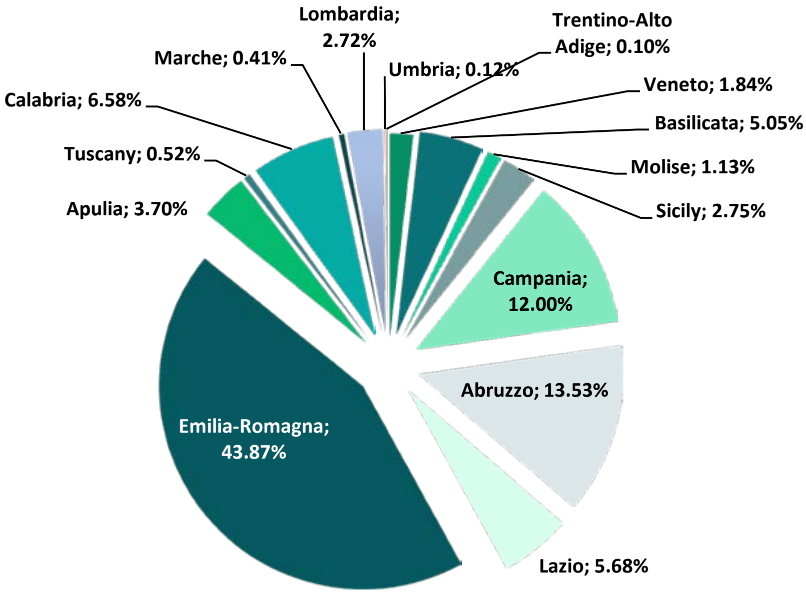
Customer base for 2016 by macrosegment



Key:

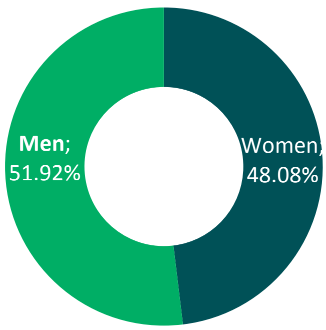
Retail Individuals: individual customers;
Private Banking: private banking customers with assets of more than Euro 500,000.00 who sign up for a specific service model;
Retail Business: businesses and entities with turnover of up to Euro 2.5 million;
Corporate: companies and groups with turnover of more than Euro 2.5 million;
Large Corporate: companies and groups with a turnover of more than Euro 250 million selected by experts for their more complex management;
Institutional Counterparties: banks and financial sector companies.

Customer base for 2016 by region

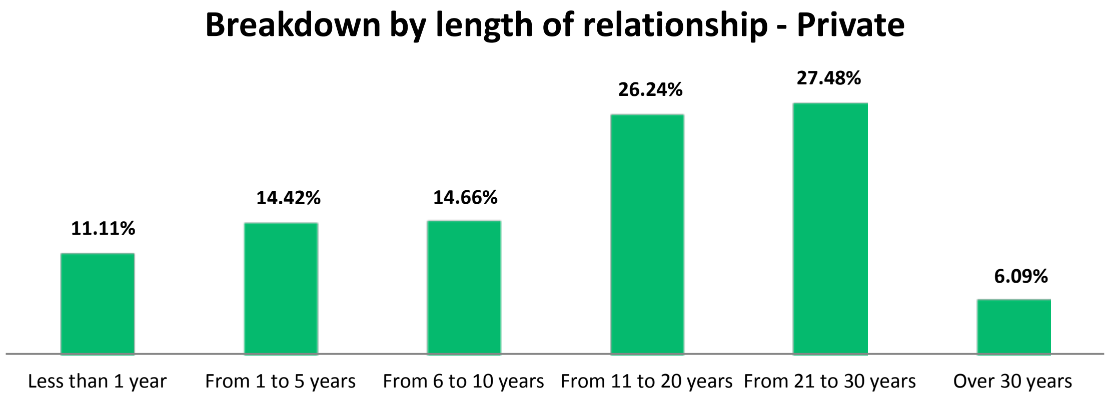


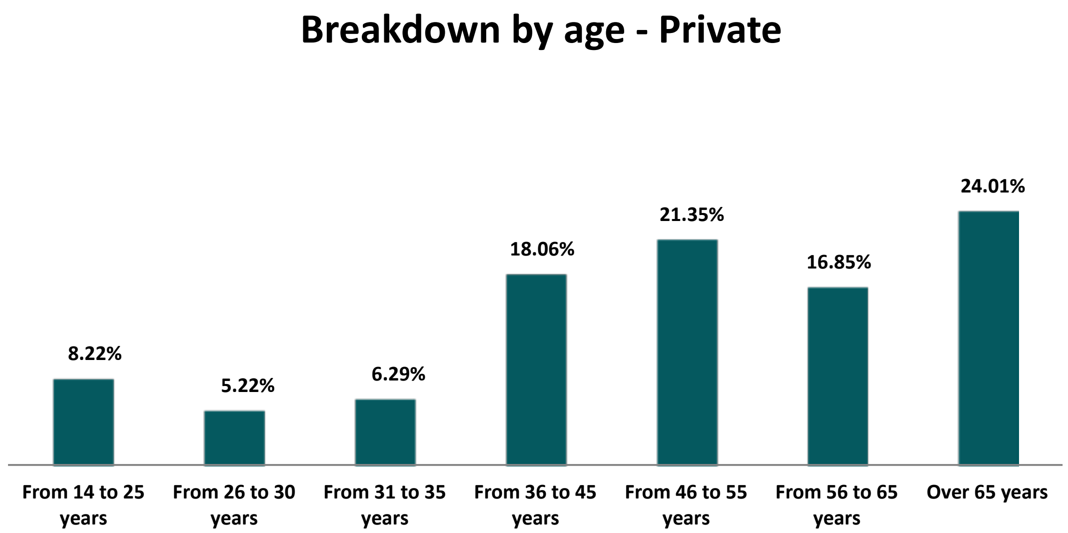
An analysis of Retail customers shows that there is an even distribution between male and female. The average age of our customers is in line with previous years and with the traditional banking system. Customers of a certain age represent a significant share of the customer composition, even though the percentage of young people under 30 years is slightly up.

Breakdown by gender - Private



The distribution of customers by length of relationship remains substantially the same and there is a predominant share of customers who have a long relationship with BPER Banca.

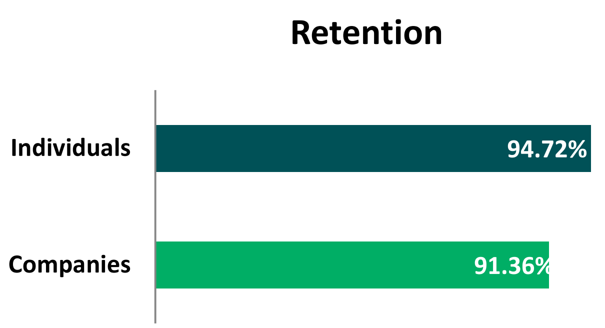




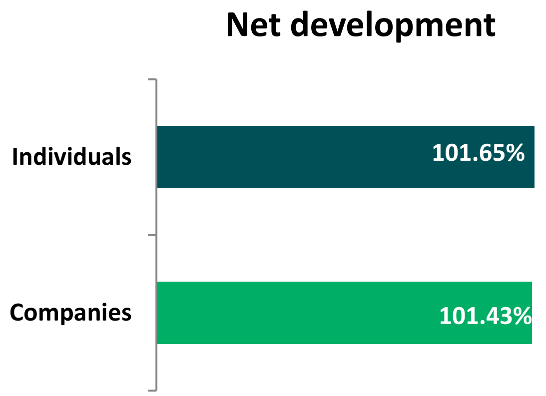
The main trends in the customer base

Metrics on customer trends, which are an essential tool for guiding and monitoring corporate strategies, are showing an improvement in BPER Banca's performance.

There was a constant development of Retail customers compared to 2015.



The net growth (net development) indicator shows an increase in Companies capable of maintaining a firm relationship with its customers (companies retention rate +1.3%).



1.3 Human resources

Key data

During 2016, no. 114 new employees were hired, including no. 10 apprentices, but excluding no. 13 resources originating from Group Banks and Companies.
Agreements for contract staff (to meet temporary needs) were in place for no. 200 persons at the end of 2016 (with an average of no. 211 during the year).
In 2016, internships involved no. 15 undergraduates and graduates from three-year degree courses and longer specialist courses.
During the course of 2016, no. 89 people terminated their employment with the Bank[1]. The number of employees in active service at the end of 2016 was no. 8,054 (excluding no. 21 who were on leave). The number of secondments to other Group businesses increased by no. 104 persons compared with the prior year, reaching a total of no. 968 persons, of which no. 785 are with the Group consortium, BPER Services s.cons.p.a.; 136 people from other Group banks are on secondment with BPER Banca.

Industrial relations

As in previous years, in 2016, the appropriateness of the labour relations system was confirmed by the manner in which discussions were held and negotiations took place with the trade unions, based on constructive dialogue between the parties, despite increasing difficulties caused by different factors, including a difficult environment due to various elements of instability in the political, economic and social scene and complex issues regarding the banking sector, as well as increased complexity arising from extraordinary operations envisaged by the current Business Plan.
In this difficult scenario outlined above, also of note was the signing of the verification report on the personnel manoeuvre as outlined in the framework agreement entitled "Processes for reorganisation, restructuring and upgrading and consequent employment tensions", through which BPER Banca wants to achieve important objectives set out in the Business Plan (optimisation of the work force and structural reduction of labour costs) and the commencement of various projects, which had repercussions on the staff of both the Parent Company and the rest of the Group.
Of the main agreements reached, worth mentioning in terms of their importance are those relating to the rules governing the variable portion of employees' remuneration (starting with the corporate social *bonus* and the special donation for social purposes), the renewal of the three-year health coverage for

1 Including those that ran from 1 January 2016, i.e. those for whom 31 December 2015 was their last working day.

employees, working hours, access to FBA contributions to finance most of our corporate training and profit sharing.

Protected categories pursuant to Law 68/1999

With regard to the Bank's obligations under Law 68/1999, a certificate of nationwide compliance with the regulations was obtained during 2016. The Bank has no. 589 differently-able or other protected categories employees at 31 December 2016.

Report on the application of Decree 81/08 "Health and safety in the workplace" and subsequent amendments

-Risk assessment

The following table shows the number of accidents registered in 2016, split between those "in transit" and those due to traumas and bruising in the workplace. It also gives comparative figures for the previous two years:

	Year		
	2014	2015	2016
Total number of accidents	**69**	**88**	**83**
of which: "in transit"	80 %	68 %	67 %
traumas and bruising	20 %	32 %	33 %

The slight decrease in the number of accidents (which are largely "in transit", i.e. not in the workplace) may be considered to be a satisfactory result achieved by the policies in place for the prevention of and protection from risk in the workplace, as promoted by the Bank. The corporate data, in comparison to the banking system, is indicative of the good positioning of BPER Banca, with an accident rate that is lower than the national average.
The Bank currently complies with INAIL statistics for the credit/insurance sector and ranks at the lowest level possible in terms of absolute hazard, frequency and severity of accidents.
As regards the risk of robbery, it appears that the prevention and protection policies are producing good results, based on numerical data that indicates a sharp decline in criminal events. Worth noting is that the decline vastly exceeds the national average for banks.
With strong commitment shown by the relevant structures, we are continuing to provide the branches with technology designed to reduce the presence of ready cash as a main way of deterring robberies (cash-in cash-out, sophisticated safe systems, integrated time locks, etc.).
Statistics for the number of robberies in the last five years are shown below. In 2017, further initiatives will be implemented to continue the reduction in robberies, by means of measures to be shared between the security and safety functions.

	Year				
	2012	2013	2014	2015	2016
Attempted robberies	8	5	4	2	4
Robberies that took place	17	15	14	17	6
Number of branches	376	515	816	780	779

The Bank has, for some time, activated a protocol of psychological assistance for cases of post-traumatic stress disorder, which could take place as a result of a criminal events. The protocol envisages an initial meeting with the Head of the Prevention and Protection Unit (PPU) at the branch that was robbed. During the meeting, the Head of the PPU reiterates that the Bank is willing to provide specialist psychological care for those who declare (on a voluntary basis) that they have suffered such a trauma. The second step is a meeting between the company doctor and the employee who has requested assistance, while the third and last step (if the meeting with the company doctor verifies the presence of a trauma) is the beginning of a path of recovery followed by a specialist (psychotherapist) under the supervision of the company doctor.

-Emergency planning and management of the earthquake

In 2016, evacuation drills took place at building complexes in accordance with emergency management plans. The drills will continue in 2017.

-Health surveillance

Health surveillance has been pursued, in compliance with current law, through increasingly close collaboration between the safety and prevention service and the company doctors. In January 2016, BPER Banca started collaborating with a healthcare service network, which has made it possible to optimise access to healthcare, both mandatory and at the request of workers, throughout the country, arising in a significant economic benefit due to cost savings.

-Training and information

During 2016, the Bank continued its training activity and the provision of information to employees on safety matters aimed at eliminating information gaps.

A list of courses on safety at work is given below:

Course	Duration	Number of Participants	Hours
Theoretical and practical training for operators of self-propelled forklift trucks with drivers on board (external course)	12	9	108
Forklift truck training and update	4	4	16
Mobbing, organisational health and damage prevention by individuals and the company (update for RSPP and ASPP) - (external course)	8	1	8
Safe driving course (external course)	4	3	12
First Aid Staff	12	200	2,400
First Aid Staff: maintenance of certification	4	224	896
Update for RLS	8	20	160
Health and safety at the Bank	8	599	4,792
Training for Security Officers (State-Regions Agreement)	8	519	4,152
Fire-Fighting Training	8	367	2,936
Fire-fighting training - periodic update	5	249	1,245
Total in classroom		**2,195**	**16,725**

1.4 Real estate sector

In a property market, which is considered by industry experts to be mature, the management and the consequent value enhancement of the real estate portfolio has become, more so than in prior years, a general priority. For the effective management and value enhancement of the Group's real estate portfolio, BPER Banca relies on the Group Real Estate Department, which is made up of two business units, the Group Technical and Property Unit and the Group Real Estate Asset Management Unit.

In 2016, the Group Technical and Property Unit was involved in planning maintenance and capital investment as envisaged by the budget allocated to the department. The budget is broken down by:

- other administrative expenses (ordinary maintenance);
- interventions that add to the value of the property (capital expenditure).

Ordinary maintenance interventions are assigned an order of priority as follows:

- safety measures for those properties for which defects or deterioration could cause injury to persons and / or property;
- to render currently non-income generating properties capable of being leased or sold.

The main interventions, in terms of costs, were made in Basilicata, Emilia Romagna and Abruzzo, following the replacement of key heating and air conditioning system components in a number of properties and for the maintenance of external structures of buildings located in Stigliano and Ferrandina (Matera).

Extraordinary maintenance interventions (capital expenditure), for which significant amounts were incurred, were carried out throughout the country, a description of which is provided as follows:

- fitting out of new Contact Centres in Avellino – Collina Liguorini and Sassari – Predda Niedda;
- refurbishment of properties in Marconia (MT) and Foggia;
- replacement of air conditioning systems in Atripalda (AV), Pollutri (CH), Cervia, Foggia, Avellino, Forlimpopoli (FC) and Modena Service Centre;
- construction of Private Banking office premises in Verona;
- complete refurbishment of Bologna Office;
- revamp of all toilet facilities in Modena Service Centre (Palazzo A);
- replacement of uninterruptible power supplies in Modena Service Centre.

In 2016, work was performed on the implementation of project areas envisaged by the Business Plan for the new "BPER: Banca" Brand, with the replacement of signages, branch design in accordance with the new concept and the completion of project "Hub and Spoke".

Praxi S.p.A. was again engaged in 2016 to update the market value of the Banking Group's real estate portfolio.

During the year, the Group Real Estate Asset Management Unit, the mission of which is the enhancement of the Group's own real estate portfolio, entered into new lease agreements as lessor for an annual amount of Euro 534.4 thousand (of which Euro 421 thousand is intragroup and Euro 113.5 thousand is with third parties).

Furthermore, it completed 4 sales on behalf of the Parent Company (including Villa Solimene, Avellino and the Rocca di Mezzo property) for a total amount of Euro 1,255 thousand, giving rise to a gain equating to 18% of their book value.

As regards the renegotiation of lease instalments, we hereby confirm the positive outcome of the estimated saving that was to be achieved from the activities carried out in 2015.

Furthermore, part of the real estate portfolio was subjected to due diligence that focused on the verification of compliance with urban planning and construction regulations and the adequacy of building plant.

With regard to the main property transactions completed by the Unit, details are set out below of the most significant thereof:

- L'Aquila (head office): the building was hit by an earthquake in 2009 and, following the receipt of government grants for reconstruction (published on 26 October 2015), reconstruction work started on the property on 30 March 2016 that is expected to be completed by June 2018;

- Cavezzo: the building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained in January 2017), reconstruction work started on the property in December 2016 that is expected to be completed by mid-2018;
- Concordia (Modena): the building was hit by an earthquake in 2012 and, following the receipt of government grants for reconstruction (obtained on 20 October 2015), reconstruction work started on the property in October 2016 that is expected to be completed by the end of 2017.

1.5 Environment

Charitable donations

Numerous charitable donations have been made to scientific, welfare and solidarity initiatives. Of these, the donations that deserve particular mention are those to:

- Fondazione il Bene di Bologna, for the purchase of an electromyograph to be used for the diagnosis of rare diseases, especially motor neuron disease;
- The University of Modena and Reggio Emilia Faculty of Life Sciences for the purchase of a spectrophotometer for research projects focusing on anticancer drugs and anti-infectives.

In 2016, a total of Euro 1,176 thousand was disbursed, of which Euro 863 thousand charged to the income statement, whereas Euro 313 thousand was paid out of the reserve for charitable donations and payments for the public benefit, which still contains Euro 665 thousand, though this amount is already fully committed.

Overall, these payments have been made with particular attention to the most diverse needs expressed in the territories where the Bank operated during the year, with reference to schools, colleges, universities, sports associations, hospitals and health associations, cultural, artistic and tourist associations, ecclesiastical institutions and parishes, municipalities and local authorities, and more.

Activities performed for the benefit of employees

-Welfare project

The welfare plan offered to employees has been expanded to provide more opportunities for the use of goods and services from which utility is derived that takes account of individual family needs of employees.

As a result of amendments introduced by the Stability Law, services already provided concerning education, supplementary pension schemes and supplementary healthcare have been extended to include services related to leisure, cultural and recreational activities.

The constant increase in membership of the welfare plan (currently around 26% of employees) confirms the growing interest therein, thanks to an extension of the manner in which the related benefits can be taken advantage of.

As regards initiatives of a social nature, the following are of note:

- "Kids in the office with mum and dad", an initiative that has reached its twentieth year and which is promoted by "la Stampa" and "Corriere della Sera", by means of which approximately 150 children under the age of ten of employees who work in the via Aristotele Service Centre have the opportunity to discover where their mums and dads are and what they do when they are at work. The children have also taken part in leisure and entertainment events organised by volunteers on behalf of the non-profit association "VIP- Viviamo in Positivo";

- "Bike to Work", a national initiative, which BPER Banca participates in, promoted by the non-profit association "Federazione Italiana Amici della Bicicletta – FIAB" and by "Rete Città Sane OMS" to promote sustainable mobility and a healthy lifestyle. Numerous employees participated by biking to work despite bad weather and they have acknowledged the benefits that this habit brings to their health and the environment.

-BPER Infant Centre

In 2016 the BPER Infant Centre continued its activities, consisting of a nursery, which opened in 2008 and a kindergarten, which was inaugurated in 2009. The two structures work together to maximise the well-being of their little guests.

The teaching and educational side of the project is decided in close collaboration with the families concerned.

The structure consists of spacious and bright rooms, with play areas and "soft" furnishings designed specifically for children's safety in the nursery, whereas the kindergarten has separate environments equipped for independence, exploration and research.

The Centre is surrounded by a large garden where the children can play, explore and be involved in outdoor physical activities.

-Protection and management of the environment

Staff Awareness continued in 2016 by issuing Circulars on the differentiated collection of waste products in company premises, thereby pro-actively and effectively contributing to their correct disposal in accordance with the law, while protecting the environment.

Efforts and resources continue to be applied to environmental issues with a view to making energy savings, making more and more plant and structural adjustments to improve the energy class of company buildings.

2. Results of banking activities

2.1 Introduction

The Bank closed 2016 with a profit of Euro 18.7 million (Euro 162 million for the year ended 31 December 2015, albeit influenced by significant extraordinary items).

More specifically, the results compared with the figures at 31 December 2015 are summarised below:

- Net interest income, which amounts to Euro 853.3 million, shows a drop of 5.00% up to the end of 2015 (Euro 898.2 million), as was also the case for net commission income, which amounts to Euro 536.2 million (-1.73% up to the end of prior year);
- the result from financial activities including dividends (Euro 111.5 million) is down on the prior year figure (Euro 273.4 million, -59.20%); the result for 2015 was influenced by the sale of an interest in Istituto Centrale delle Banche Popolari Italiane s.p.a., which generated a gain of Euro 174.3 million;
- total net adjustments (Euro 557.6 million) have declined by Euro 27.5 million (-4.71%): net adjustments to cash loans are down (516.6 million; -7.56%) with a coverage of non-performing loans of 47.12% (+102 bps), while adjustments to assets available for sale (AFS) amounted to Euro 49 million, particularly as a result of the recognition of impairment of Atlante Fund units (Euro 28.3 million), of equity instruments relating to Release s.p.a. (Euro 12.7 million) and of the intervention by IDGF-VS to support Cassa di Risparmio di Cesena (Euro 2 million);
- operating costs (Euro 931.7 million) decreased compared with 31 December 2015 (-4.29%), mainly due to allocations made last year to provisions for redundancy incentives and the Solidarity Fund (Euro 34.3 million), whereas ordinary and extraordinary contributions paid to resolution funds (SRF, DGS and IDGF-VS) amount to Euro 62.6 million (Euro 52 million for the year ended 31 December 2015);
- the net operating result, which is positive for Euro 11.7 million, has to be added to the non-operating loss of Euro 10.3 million stemming primarily from impairment adjustments to equity investments;
- the pre-tax result for the year comes to Euro 1.4 million; taxes have a positive effect on the result for Euro 17.3 million, resulting in a net profit for the year of Euro 18.7 million (Euro 162 million at 31 December 2015).

In terms of the balance sheet, the results at 31 December 2016 can be summarised as follows:

- direct deposits of Euro 34,839.9 million (+0.20%);
- indirect deposits of Euro 29,068 million (+8.39%);
- net loans to customers of Euro 35,478.3 million (+4.70%), with an impact on net bad loans (Euro 1,879.6 million) of 5.30%; the coverage ratio comes to 9.53%, a decrease of 57 bps, due entirely to the disposal of bad loans in the second half of the year with a GBV (gross book value) of Euro 670 million;
- shareholders' equity, including the net profit for the year, amounts to Euro 4,681.7 million (-1.54%).

2.2 Balance sheet aggregates

The balance sheet figures of BPER Banca are compared with those reported in the 2015 financial statements.

Assets

(in thousands of Euro)

	Assets	31.12.2016	31.12.2015	Change	% Change
10.	Cash and cash equivalents	255,934	276,777	(20,843)	-7.53
20.	Financial assets held for trading	702,293	815,114	(112,821)	-13.84
30.	Financial assets designated at fair value through profit and loss	38,643	36,899	1,744	4.73
40.	Financial assets available for sale	8,575,832	6,746,054	1,829,778	27.12
50.	Financial assets held to maturity	2,515,993	2,663,859	(147,866)	-5.55
60.	Due from banks	2,155,637	1,737,029	418,608	24.10
70.	Loans to customers	35,478,258	33,885,273	1,592,985	4.70
80.	Hedging derivatives	59,767	35,715	24,052	67.34
100.	Equity investments	1,619,457	1,471,789	147,668	10.03
110.	Property, plant and equipment	426,715	438,260	(11,545)	-2.63
120.	Intangible assets	296,923	298,292	(1,369)	-0.46
	of which: goodwill	280,236	280,236	-	-
130.	Tax assets:	1,233,837	1,187,605	46,232	3.89
	a) current	202,317	188,100	14,217	7.56
	b) deferred	1,031,520	999,505	32,015	3.20
	b1) of which L. 214/2011	862,068	862,146	(78)	-0.01
150.	Other assets	375,787	803,659	(427,872)	-53.24
	Total assets	**53,735,076**	**50,396,325**	**3,338,751**	**6.62**

Loans to customers

(in thousands of Euro)

Loans to customers	31.12.2016	31.12.2015	% Change	Composition %	
				31.12.2016	31.12.2015
Performing loans to customers	**31,162,700**	**29,326,881**	**6.26**	**87.84**	**86.55**
Current accounts	4,876,520	5,349,289	-8.84	13.75	15.79
Repurchase agreements	-	-	n.s.	-	-
Mortgage loans	18,584,278	17,628,982	5.42	52.38	52.03
Credit cards, personal loans and assignments of one-fifth of salary	945,701	886,941	6.63	2.67	2.62
Other transactions	6,756,201	5,461,669	23.70	19.04	16.11
Assets represented by securities	**259,930**	**271,668**	**-4.32**	**0.73**	**0.80**
Non-performing loans	**4,055,628**	**4,286,724**	**-5.39**	**11.43**	**12.65**
Total loans to customers	**35,478,258**	**33,885,273**	**4.70**	**100.00**	**100.00**

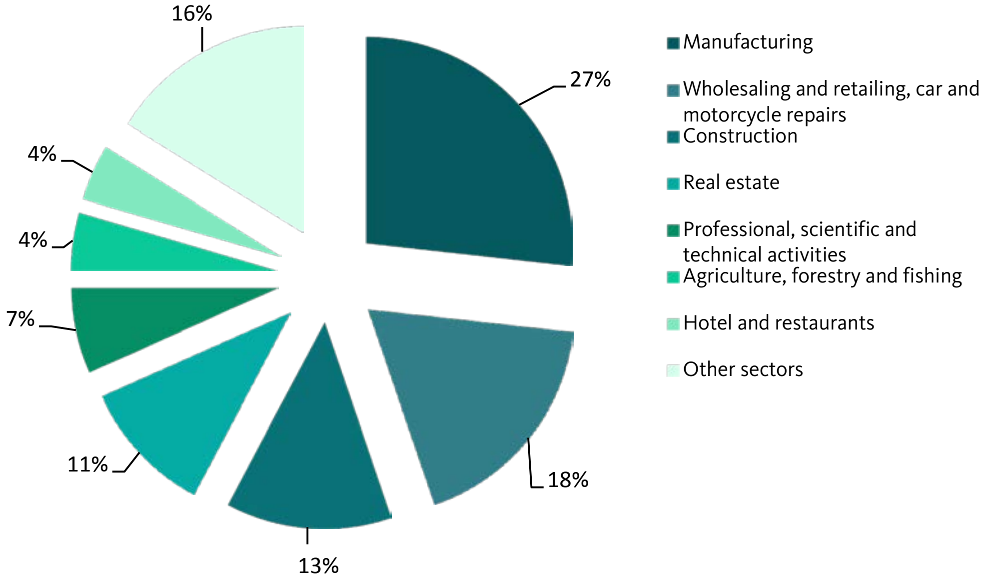
Net loans to customers at 31 December 2016 amount to Euro 35,478.3 million, an increase of Euro 1,593 million (+4.70%) compared with the figure at the end of 2015. These represent 66.02% of total assets and are stated net of writedowns for potential losses of Euro 3,737.5 million (Euro 3,807.4 million at 31 December 2015), a decrease of 1.84%. The provision includes a specific provision of Euro 3,614.2 million determined on a detailed analytical basis with respect to non-performing loans, as well as a general provision of Euro 123.3 million against performing loans.
Assets represented by securities, which are a minimal component of total loans and advances (0.73%), amount to Euro 259.9 million, lower than at 31 December 2015 (-4.32%). As regards the main types of loans, there has been an increase in mortgage loans (Euro 955.3 million, +5.42%) and a decrease in current accounts (Euro 472.8 million, -8.84%). On an average liquid basis, loans come to Euro 36,685.7 million, up on the end of last year (+2.09%).

The table and chart below show the amount of loans to resident non-financial companies at the end of the year, broken down by industry according to the Bank of Italy ATECO classification of debtors, which shows that almost 40% of disbursements were granted to manufacturing companies (15.63%), construction companies (7.59%), in activities related to the wholesaling and retailing of cars and motorcycles (10.53%) and real estate companies (6.18%). Compared with the previous year, the main decreases concern construction companies (- Euro 460.1 million), while loans granted to professional, scientific and technical activities increased (+ Euro 617.3 million).

(in thousands of Euro)

Distribution of loans to resident non-financial businesses	31.12.2016	%	31.12.2015	% Change
A. Agriculture, forestry and fishing	930,794	2.62	896,577	3.82
B. Mining and quarrying	37,767	0.11	52,915	-28.63
C. Manufacturing	5,544,790	15.63	5,374,101	3.18
D. Provision of electricity, gas, steam and air-conditioning	622,733	1.76	547,665	13.71
E. Provision of water, sewerage, waste management and rehabilitation	221,031	0.62	204,927	7.86
F. Construction	2,691,273	7.59	3,151,384	-14.60
G. Wholesaling and retailing, car and motorcycle repairs	3,734,726	10.53	3,636,431	2.70
H. Transport and storage	670,931	1.89	595,947	12.58
I. Hotel and restaurants	903,385	2.55	965,473	-6.43
J. Information and communication	491,664	1.39	300,412	63.66
K. Finance and insurance	240,213	0.68	250,381	-4.06
L. Real estate	2,193,148	6.18	2,170,402	1.05
M. Professional, scientific and technical activities	1,381,040	3.89	763,782	80.82
N. Rentals, travel agencies, business support services	435,043	1.23	383,287	13.50
O. Public administration and defence, compulsory social security	4,491	0.01	10,398	-56.81
P. Education	19,138	0.05	26,585	-28.01
Q. Health and welfare	349,594	0.99	320,635	9.03
R. Arts, sport and entertainment	122,882	0.34	139,152	-11.69
S. Other services	133,684	0.37	139,072	-3.87
T. Activities of households as employers for domestic staff, production of undifferentiated goods and services for own use by households	1	-	-	0.00
Total loans to resident non-financial businesses	**20,728,328**	**58.43**	**19,929,526**	**4.01**
Loans to non-resident, non-financial businesses	109,275	0.30	110,926	-1.49
Total loans to non-financial businesses	**20,837,603**	**58.73**	**20,040,452**	**3.98**
Individuals and other not included above	8,309,302	23.43	7,958,689	4.41
Financial businesses	4,187,878	11.80	3,801,122	10.17
Securities	260,864	0.74	272,578	-4.30
Governments and other public entities	1,867,103	5.26	1,798,246	3.83
Insurance companies	15,508	0.04	14,186	9.32
Total loans	**35,478,258**	**100.00**	**33,885,273**	**4.70**

Distributions of loans to resident non-financial businesses



(in thousands of Euro)

Loans to customers		31.12.2016	31.12.2015	Change %
Non performing loans	Gross exposure	7,669,831	7,952,978	-3.56
	Adjustments	*3,614,203*	*3,666,254*	*-1.42*
	Net exposure	**4,055,628**	**4,286,724**	**-5.39**
- Bad loans	Gross exposure	4,727,690	4,813,975	-1.79
	Adjustments	*2,848,065*	*2,929,455*	*-2.78*
	Net exposure	**1,879,625**	**1,884,520**	**-0.26**
- Unlikely to pay loans	Gross exposure	2,860,537	2,940,665	-2.72
	Adjustments	*758,487*	*714,369*	*6.18*
	Net exposure	**2,102,050**	**2,226,296**	**-5.58**
- Past due loans	Gross exposure	81,604	198,338	-58.86
	Adjustments	*7,651*	*22,430*	*-65.89*
	Net exposure	**73,953**	**175,908**	**-57.96**
Performing loans	Gross exposure	31,545,903	29,739,739	6.07
	Adjustments	*123,273*	*141,190*	*-12.69*
	Net exposure	**31,422,630**	**29,598,549**	**6.16**
Total loans to customers	Gross exposure	39,215,734	37,692,717	4.04
	Adjustments	*3,737,476*	*3,807,444*	*-1.84*
	Net exposure	**35,478,258**	**33,885,273**	**4.70**

(in percentage)

Indicators of Asset Quality	31.12.2016	31.12.2015
Gross non-performing loans/Gross lending	19.56	21.10
Net non-performing loans/Net lending	11.43	12.65
Gross bad loans/Gross lending	12.06	12.77
Net bad loans/Net lending	5.30	5.56
Gross unlikely to pay loans/Gross lending	7.29	7.80
Net unlikely to pay loans/Net lending	5.93	6.57
Gross past due loans/Gross lending	0.21	0.53
Net past due loans/Net lending	0.21	0.52
Coverage of bad loans	60.24	60.85
Coverage of unlikely to pay loans	26.52	24.29
Coverage of past due loans	9.38	11.31
Coverage of non-performing loans	47.12	46.10
Coverage of performing loans	0.39	0.47
Coverage of loans to customers	9.53	10.10

Total non-performing loans (bad loans, unlikely to pay loans and loans past due by more than 90 days), net of specific adjustments, total Euro 4,055.6 million, down by 5.39% on the figure to 31 December 2015, primarily due to sales of bad loan portfolios in the second half of the year with a book value of approximately Euro 670 million.

Non-performing loans represent 11.43% of total loans to customers (12.65% at the end of 2015). The coverage ratio has increased by about 102 bps. The related writedowns, down by 1.42% to Euro 3,614.2 million (Euro 3,666.3 million at the end of 2015) represent 47.12% of the gross amount of these loans of Euro 7,669.8 million (-3.56%).

Bad loans, gross of writedowns, amount to Euro 4,727.7 million (-1.79%). These represent 12.06% of loans before writedowns (12.77% at 31 December 2015). Net of writedowns (Euro 2,848.1 million), they come to Euro 1,879.6 million, or 5.30% of total net loans (5.56% at 31 December 2015). The coverage ratio has decreased by 61 bps due to the sales of the above mentioned bad loans.

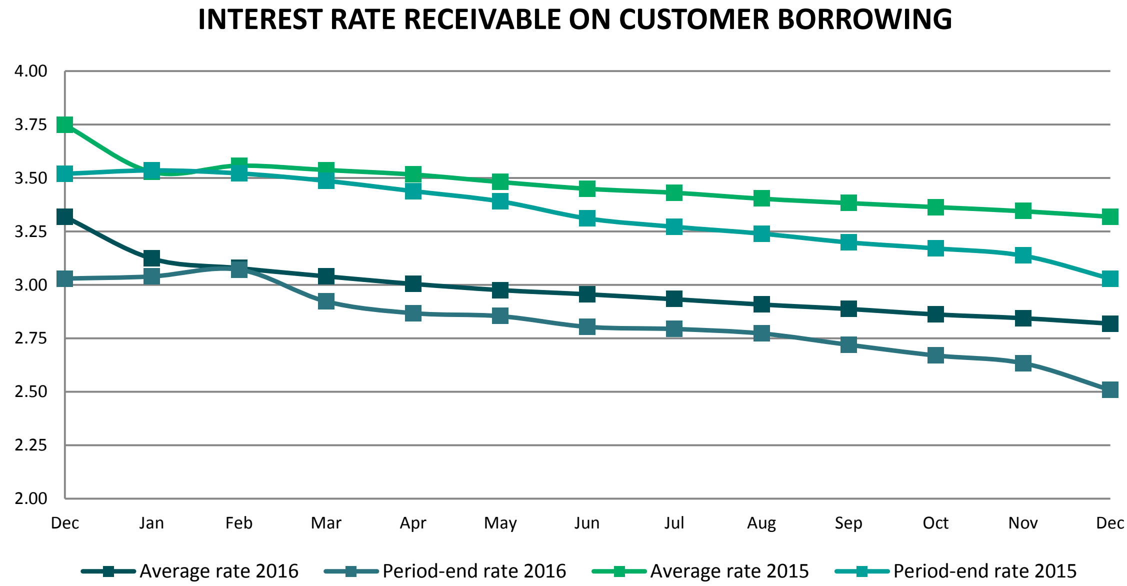
Taking into account the direct write-downs made to bad loans, on outstanding positions, of Euro 711.8 million, giving overall claims of Euro 5,439.5 million, the level of coverage comes to 65.44%.

Unlikely to pay loans, gross of writedowns, are Euro 2,860.5 million, down by 2.72% (Euro 2,940.7 million at the end of 2015). These represent 7.29% of loans before writedowns (7.80% at 31 December 2015). After writedowns (Euro 758.5 million) they amount to Euro 2,102 million (-5.58% since the end of 2015).

Past due loans before writedowns are Euro 81.6 million, down by 58.86% (Euro 198.3 million at the end of 2015). These represent 0.21% of loans before writedowns (0.53% at 31 December 2015). After writedowns (Euro 7.7 million) they amount to Euro 74 million (-57.96% since the end of 2015).
The allowance for performing loans, Euro 123.3 million, represents 0.39% of the gross amount of performing loans (0.47% at the end of the previous year).
The losses and provisions made to the allowance for doubtful accounts resulted in a cost of credit of 146 bps, on 165 bps recorded at the end of last year.

Interest income

Interest rates on loans fell steadily during the year; the average interest rate for the year on loans to customers amounted to 2.45%, a decrease of about 45 bps compared with the previous year's average rate.
The total remuneration of interest-bearing assets came to 2.19%, a decrease of about 42 bps on the figure reported in 2015.



Financial assets and equity investments

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Financial assets held for trading	702,293	815,114	(112,821)	-13.84
- of which: derivatives	*197,737*	*202,867*	*(5,130)*	*-2.53*
Financial assets designated at fair value	38,643	36,899	1,744	4.73
Financial assets available for sale	8,575,832	6,746,054	1,829,778	27.12
Financial assets held to maturity	2,515,993	2,663,859	(147,866)	-5.55
Total financial assets	**11,832,761**	**10,261,926**	**1,570,835**	**15.31**

Total financial assets, Euro 11,832.8 million, are 15.31% higher than the end of 2015. The increase relates in particular to "*Financial assets available for sale*" (Euro 1,829.8 million) and is represented mainly by purchases of banks' debt securities.
The shares held in the banking book amount to Euro 349.3 million (-9.15%) and represent 2.95% of financial assets. These mainly consist of stable equity investments classified as *"Financial assets available for sale"*.
"Financial assets held for trading" include financial derivatives of Euro 197.7 million (-2.53%) made up of Euro 5.9 million (-76.89%) of derivatives linked to debt securities classified in *"Financial liabilities designated at fair value through profit and loss"* (fair value option) and forward transactions in foreign currencies (traded with customers and/or used in managing the foreign exchange position), interest rate

and foreign exchange derivatives intermediated with customers, derivatives related to securitisations and other operational hedging derivatives. At 31 December 2016 the Bank has not entered into any of the "long-term structured repo transactions" mentioned in the document issued jointly by the Bank of Italy, CONSOB and IVASS on 8 March 2013.

(in thousands of Euro)

Captions	31.12.2016	31.12.2015	Change	% Change
Equity investments	1,619,457	1,471,789	147,668	10.03

"*Equity investments*", which comprise holdings in banks, subsidiaries and companies over which the Bank has significant influence, amount to Euro 1,619.5 million, up on 31 December 2015 (+10.03%).
The main increases relate to:

- acquisition of full control of Cassa di Risparmio di Saluzzo s.p.a. for Euro 51.9 million;
- acquisition of direct control of Banca di Sassari s.p.a. from Banco di Sardegna s.p.a. as part of Project Dinamo, representing 36,732,913 shares for a consideration of Euro 213.1 million, plus the acquisition of no. 593,237 shares from non-controlling interest holders for Euro 3.4 million;
- payments to the subsidiary Polo Campania s.r.l. of Euro 9 million to cover accumulated losses and to recapitalise the company.

The main decreases relate to:

- the merger by absorption by BPER Banca of its subsidiary Emro Finance Ireland Ltd, the carrying amount of which at the end of 2015 was Euro 118.2 million;
- completion of the liquidation and subsequent removal from the Companies Register of the subsidiary Nettuno Gestione Crediti s.p.a. in liquidation, the carrying amount of which at the end of 2015 was Euro 1.5 million;
- recognition of impairment of investments in Nadia s.p.a. (Euro 3.5 million), Banca della Nuova Terra s.p.a. (Euro 2.3 million), Polo Campania s.r.l. (Euro 1.3 million), SIFA' – Società Italiana Flotte Aziendali s.p.a. (Euro 0.3 million) and Italiana Valorizzazioni Immobiliari s.r.l. (Euro 0.3 million).

(in thousands of Euro)

Net interbank position	31.12.2016	31.12.2015	Change	% Change
Due from banks	2,155,637	1,737,029	418,608	24.10
Due to banks	12,539,337	8,655,264	3,884,073	44.88
Net interbank position	**(10,383,700)**	**(6,918,235)**	**(3,465,465)**	**50.09**

Funding from banks, Euro 10,383.7 million greater than amounts due from banks, includes centralised management of the liquidity of Group banks; funds are managed in an astute and dynamic manner, paying particular attention to the overall liquidity ratio, which is managed at Group level. In addition, important refinancing operations were carried out with the European Central Bank of Euro 5,000 million as part of TLTRO II, of which Euro 4,000 million matures in June 2020 and Euro 1,000 million matures in December 2020.

Liabilities

(in thousands of Euro)

	Liabilities and shareholders' equity	31.12.2016	31.12.2015	Change	% Change
10.	Due to banks	12,539,337	8,655,264	3,884,073	44.88
20.	Due to customers	27,383,757	25,198,115	2,185,642	8.67
30.	Debt securities in issue	7,208,172	8,700,062	(1,491,890)	-17.15
40.	Financial liabilities held for trading	232,098	247,408	(15,310)	-6.19
50.	Financial liabilities designated at fair value through profit and loss	247,933	873,558	(625,625)	-71.62
60.	Hedging derivatives	36,860	20,359	16,501	81.05
80.	Tax liabilities:	63,233	70,792	(7,559)	-10.68
	b) deferred	63,233	70,792	(7,559)	-10.68
100.	Other liabilities	891,096	1,435,114	(544,018)	-37.91
110.	Provision for termination indemnities	122,008	120,872	1,136	0.94
120.	Provisions for risks and charges:	328,888	319,725	9,163	2.87
	a) pensions and similar commitments	134,691	124,021	10,670	8.60
	b) other provisions	194,197	195,704	(1,507)	-0.77
130.	Valuation reserves	(11,747)	33,640	(45,387)	-134.92
160.	Reserves	2,307,997	2,192,709	115,288	5.26
170.	Share premium reserve	930,073	930,073	-	-
180.	Share capital	1,443,925	1,443,925	-	-
190.	Treasury shares	(7,253)	(7,253)	-	-
200.	Net profit (loss)	18,699	161,962	(143,263)	-88.45
	Total liabilities and shareholders' equity	53,735,076	50,396,325	3,338,751	6.62

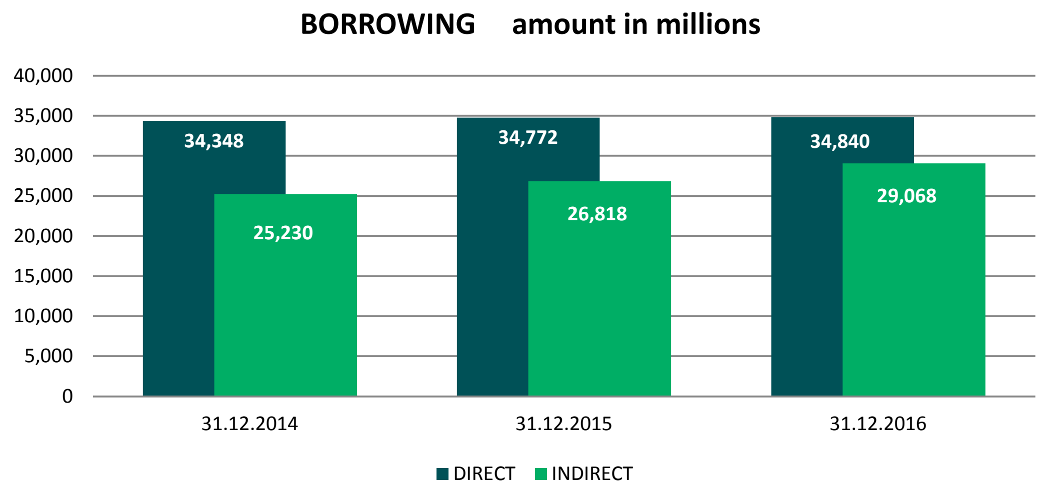
Funding

(in thousands of Euro)

Analysis of funds under administration, as reported in the financial statements	31.12.2016	31.12.2015	Change	% Change
Due to customers	27,383,757	25,198,115	2,185,642	8.67
Debt securities in issue	7,208,172	8,700,062	(1,491,890)	-17.15
Financial liabilities designated at fair value through profit and loss - debt securities	247,933	873,558	(625,625)	-71.62
Indirect deposits	29,067,987	26,817,664	2,250,323	8.39
Total customer funds under administration	**63,907,849**	**61,589,399**	**2,318,450**	**3.76**
Due to banks	12,539,337	8,655,264	3,884,073	44.88
Grand total	**76,447,186**	**70,244,663**	**6,202,523**	**8.83**

At 31 December 2016, the total amount of funds under administration or management, including interbank deposits, was Euro 76,447.2 million, around Euro 6,202.5 million higher than the figures at 31 December 2015 (+8.83%).

The portion relating to customers amounts to Euro 63,907.8 million and increases compared with the previous year (+3.76%), as did bank borrowing (+44.88%).



(in thousands of Euro)

Direct deposits	31.12.2016	31.12.2015	Change %	Composition %	
				31.12.2016	31.12.2015
Due to customers	**27,383,757**	**25,198,115**	**8.67**	**78.60**	**72.47**
Current accounts and demand deposits	23,311,562	20,776,490	12.20	66.91	59.75
Restricted deposits	1,634,948	2,035,904	-19.69	4.69	5.86
Loans obtained	1,865,899	1,828,849	2.03	5.36	5.26
Repurchase agreements	110,577	24,810	345.70	0.32	0.07
Other payables	460,771	532,062	-13.40	1.32	1.53
Debt securities in issue	**7,456,105**	**9,573,620**	**-22.12**	**21.40**	**27.53**
Certificates of deposit	2,208,145	3,123,036	-29.29	6.34	8.98
Certificates	91,897	99,992	-8.10	0.26	0.29
Bonds	4,502,436	5,456,712	-17.49	12.92	15.69
Subordinated loans	653,627	893,880	-26.88	1.88	2.57
Total direct borrowing	**34,839,862**	**34,771,735**	**0.20**	**100.00**	**100.00**

At the period end, total fiduciary deposits and other forms of funding amount to Euro 34,839.9 million, an increase of Euro 68.1 million (+0.20%) compared with 31 December 2015.

In terms of amounts due to customers, there has been an increase in current accounts and demand deposits (+Euro 2,535.1 thousand, +12.20%) and repurchase agreements (+Euro 85.8 million, +345.70%), while other forms of deposits, such as restricted deposits (-Euro 401 million, -19.69%) decreased.

Debt securities in issue include certificates of deposit which are down on the end of last year (-29.29%), as well as the subordinated component relating to funding bonds (down by Euro 240.3 million, -26.88%) and the ordinary component thereof (-Euro 954.3 million, -17.49%).

Outstanding loans with a subordination clause, with a carrying amount of Euro 653.6 million, are down by Euro 240.3 million, due to repayments according to the amortisation plan of various outstanding loans and the maturity of the BPER floating rate 3-month Euribor+ 42 bps, 2006-2016 bond.

These loans have a nominal value of Euro 609.6 million, of which:

- Euro 158.9 million has been placed on the Euromarket and is still outstanding as part of the *Euro Medium Term Note* programme of Euro 6 billion;
- Euro 411.1 million relates to bonds placed with customers;
- Euro 27.6 million relates to bonds taken up by Fondazione Banco di Sardegna (Euro 10.2 million), Fondazione Siniscalco Ceci - Banca del Monte di Foggia (Euro 3.6 million), Fondazione Cassa di Risparmio di Bra (Euro 9.5 million) and Fondazione Cassa di Risparmio dell'Aquila (Euro 4.3 million);
- Euro 12 million has been placed with institutional investors.

There are no convertible subordinated loans outstanding at 31 December 2016.

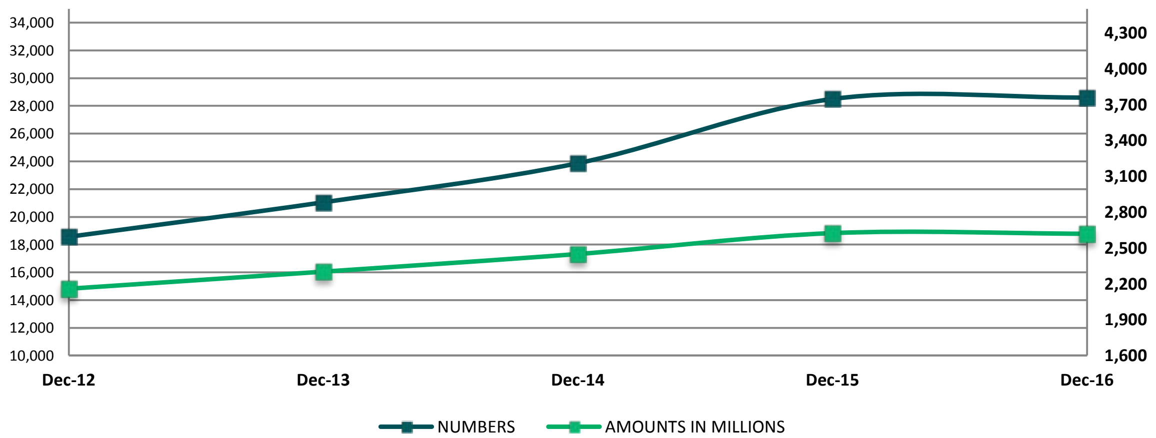
Customer deposits averaged Euro 33,492.3 million during the year: it is higher (+0.42%) than the average liquid stock in the previous year (Euro 33,352.8 million).

(in thousands of Euro)

Indirect deposits	31.12.2016	31.12.2015	Change	% Change
Assets under management	**2,496,963**	**2,566,827**	**(69,864)**	**-2.72**
- of which: in funds and SICAVs	*832,461*	*884,796*	*(52,335)*	*-5.91*
Assets under administration	**26,571,024**	**24,250,837**	**2,320,187**	**9.57**
- of which: in funds and SICAVs	*11,058,928*	*9,966,100*	*1,092,828*	*10.97*
Total indirect deposits	**29,067,987**	**26,817,664**	**2,250,323**	**8.39**
of which: overall management	13,555,891	12,532,927	1,022,964	8.16
administered	15,512,096	14,284,737	1,227,359	8.59

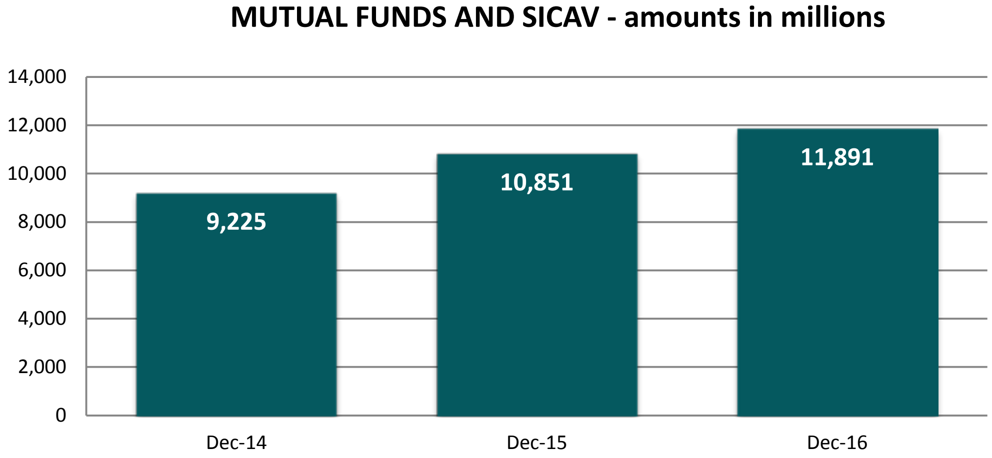
Indirect deposits, comprising securities held for administration and assets under management, at 31 December 2016 total Euro 29,068 million, with a rise of 8.39%; assets under management come to Euro 2,497 million, down on the previous year (-2.72%), while assets under administration amount to Euro 26,571 million (+9.57%). The nominal value of securities corresponds to a total of Euro 22,030 million, increase on the previous year (+6.83%).

ASSET MANAGEMENT



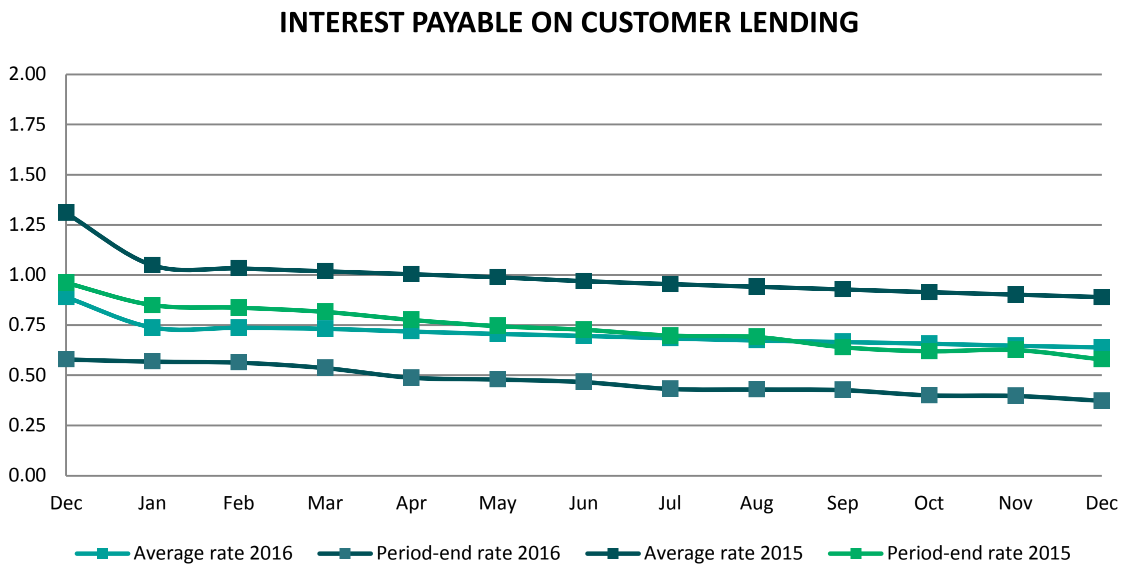
Mutual funds and SICAVs under administration total Euro 11,058.9 million (+10.97%), while those under management amount to Euro 832.5 million (-5.91%); the grand total is Euro 11,891.4 million (+9.59%). Of these, the majority is represented by units in the funds run by ARCA SGR, as well as units in BPER International SICAV, for a total of Euro 7,638.7 million.

The total amount under management therefore comes to Euro 13,555.9 million.



Borrowing rates

The average cost of borrowing from the Bank's customers was 0.64%, which is down on 2015 (0.88%), a decrease of around 24 bps. The average cost of all "interest-bearing liabilities" also shows a decrease of around 26 bps compared with last year. The graph shows the trend for the year, which shows a slight decline in rates, constant for all twelve months.



Bancassurance

(in thousands of Euro)

Bancassurance	31.12.2016	31.12.2015	Change	% Change
Insurance policy portfolio	**3,380,305**	**3,004,611**	**375,694**	**12.50**
- of which: life sector	*3,319,636*	*2,945,277*	*374,359*	*12.71*
- of which: non-life sector	*60,669*	*59,334*	*1,335*	*2.25*

The placement of insurance policies, which are not included in indirect deposits, showed a significant increase in the life sector (+12.71%), while the non-life sector posted more limited growth on last year (+2.25%).

The portfolio of premiums paid by customers amounts to Euro 3,380.3 million at the end of the year (+12.50% on 31 December 2015). A total of no. 23,589 life policies were written during the year, involving premiums of Euro 629.6 million, and no. 46,887 non-life policies were written with premiums of Euro 15 million. These policies were issued by Arca Vita s.p.a. and Arca Assicurazioni s.p.a.

2.3 Income statement aggregates

The following are the income statement figures of BPER Banca compared with those of the financial statements at 31 December 2015.

(in thousands of Euro)

	Captions	31.12.2016	31.12.2015	Change	% Change
10.	Interest and similar income	1,124,288	1,256,241	(131,953)	-10.50
20.	Interest and similar expense	(270,978)	(358,009)	87,031	-24.31
30.	**Net interest income**	**853,310**	**898,232**	**(44,922)**	**-5.00**
40.	Commission income	565,223	575,352	(10,129)	-1.76
50.	Commission expense	(29,053)	(29,745)	692	-2.33
60.	**Net commission income**	**536,170**	**545,607**	**(9,437)**	**-1.73**
70.	Dividends and similar income	19,961	33,349	(13,388)	-40.15
80.	Net trading income	6,867	30,959	(24,092)	-77.82
90.	Net hedging gains (losses)	(297)	(689)	392	-56.89
100.	Gains (losses) on disposal or repurchase of:	80,874	209,355	(128,481)	-61.37
	a) loans	(9,130)	3,624	(12,754)	-351.93
	b) financial assets available for sale	90,001	206,439	(116,438)	-56.40
	c) financial assets held to maturity	-	222	(222)	-100.00
	d) financial liabilities	3	(930)	933	-100.32
110.	Net results on financial assets and liabilities designated at fair value	4,138	429	3,709	864.57
120.	**Net interest and other banking income**	**1,501,023**	**1,717,242**	**(216,219)**	**-12.59**
130.	Net impairment adjustments to:	(557,594)	(585,135)	27,541	-4.71
	a) loans	(516,606)	(558,844)	42,238	-7.56
	b) financial assets available for sale	(48,988)	(23,369)	(25,619)	109.63
	d) other financial assets	8,000	(2,922)	10,922	-373.79
140.	**Net profit from financial activities**	**943,429**	**1,132,107**	**(188,678)**	**-16.67**
150.	Administrative costs:	(1,027,400)	(1,041,374)	13,974	-1.34
	a) payroll costs	(481,800)	(523,844)	42,044	-8.03
	b) other administrative costs	(545,600)	(517,530)	(28,070)	5.42
160.	Net provisions for risks and charges	(20,832)	(40,704)	19,872	-48.82
170.	Net adjustments to property, plant and equipment	(22,684)	(28,105)	5,421	-19.29
180.	Net adjustments to intangible assets	(2,509)	(2,473)	(36)	1.46
190.	Other operating charges/income	141,694	139,124	2,570	1.85
200.	**Operating costs**	**(931,731)**	**(973,532)**	**41,801**	**-4.29**
210.	Profit (loss) from equity investments	(10,045)	(5,179)	(4,866)	93.96
240.	Gains (losses) on disposal of investments	(212)	351	(563)	-160.40
250.	**Profit (loss) from current operations before tax**	**1,441**	**153,747**	**(152,306)**	**-99.06**
260.	Income taxes on current operations	17,258	8,215	9,043	110.08
270.	**Profit (loss) from current operations after tax**	**18,699**	**161,962**	**(143,263)**	**-88.45**
290.	**Net profit (loss) for the period**	**18,699**	**161,962**	**(143,263)**	**-88.45**

Income statement by quarter for the year ended 31 December 2016

	Captions	1st quarter 2016	2nd quarter 2016	3rd quarter 2016	4th quarter 2016	1st quarter 2015	2nd quarter 2015	3rd quarter 2015	4th quarter 2015
10.	Interest and similar income	291,941	282,675	272,941	276,731	330,339	315,039	306,576	304,287
20.	Interest and similar expense	(75,405)	(68,903)	(64,873)	(61,797)	(98,884)	(90,702)	(86,452)	(81,971)
30.	**Net interest income**	**216,536**	**213,772**	**208,068**	**214,934**	**231,455**	**224,337**	**220,124**	**222,316**
40.	Commission income	141,354	142,927	137,272	143,670	143,325	142,894	140,625	148,508
50.	Commission expense	(6,856)	(7,045)	(7,660)	(7,492)	(7,269)	(7,532)	(7,814)	(7,130)
60.	**Net commission income**	**134,498**	**135,882**	**129,612**	**136,178**	**136,056**	**135,362**	**132,811**	**141,378**
70.	Dividends and similar income	86	18,870	313	692	249	27,013	437	5,650
80.	Net trading income	(25,279)	(3,901)	11,496	24,551	19,295	(6,276)	586	17,354
90.	Net hedging gains (losses)	110	16	(180)	(243)	265	(416)	(627)	89
100.	Gains (losses) on disposal or repurchase of:	33,540	33,354	10,556	3,424	8,304	13,704	9,254	178,093
	a) loans	-	1,468	(4,743)	(5,855)	3,800	17	(203)	10
	b) financial assets available for sale	33,665	31,919	15,243	9,174	4,805	13,825	9,413	178,396
	c) financial assets held to maturity	-	-	-	-	(92)	300	-	14
	d) financial liabilities	(125)	(33)	56	105	(209)	(438)	44	(327)
110.	Net results on financial assets and liabilities designated at fair value	3,900	(2,315)	2,065	488	(4,018)	6,656	(2,181)	(28)
120.	**Net interest and other banking income**	**363,391**	**395,678**	**361,930**	**380,024**	**391,606**	**400,380**	**360,404**	**564,852**
130.	Net impairment adjustments to:	(99,046)	(129,118)	(100,019)	(229,411)	(116,094)	(127,014)	(97,284)	(244,743)
	a) loans	(95,220)	(133,376)	(104,516)	(183,494)	(120,332)	(114,019)	(97,256)	(227,237)
	b) financial assets available for sale	-	(6,021)	(177)	(42,790)	-	(8,579)	-	(14,790)
	d) other financial assets	(3,826)	10,279	4,674	(3,127)	4,238	(4,416)	(28)	(2,716)
140.	**Net profit from financial activities**	**264,345**	**266,560**	**261,911**	**150,613**	**275,512**	**273,366**	**263,120**	**320,109**
150.	Administrative costs:	(242,141)	(264,610)	(245,679)	(274,970)	(237,254)	(246,248)	(257,641)	(300,231)
	a) payroll costs	(123,824)	(127,041)	(110,932)	(120,003)	(126,598)	(126,879)	(147,092)	(123,275)
	b) other administrative costs	(118,317)	(137,569)	(134,747)	(154,967)	(110,656)	(119,369)	(110,549)	(176,956)
160.	Net provisions for risks and charges	(7,799)	(10,244)	(5,164)	2,375	(10,445)	(19,308)	(9,574)	(1,377)
170.	Net adjustments to property, plant and equipment	(5,330)	(5,227)	(5,233)	(6,894)	(5,629)	(5,610)	(5,493)	(11,373)
180.	Net adjustments to intangible assets	(620)	(622)	(635)	(632)	(607)	(615)	(623)	(628)
190.	Other operating charges/income	37,983	35,442	35,659	32,610	36,794	31,957	34,059	36,314
200.	**Operating costs**	**(217,907)**	**(245,261)**	**(221,052)**	**(247,511)**	**(217,141)**	**(239,824)**	**(239,272)**	**(277,295)**
210.	Profit (loss) from equity investments	(924)	(406)	546	(9,261)	(2,192)	4,396	(4,001)	(3,382)
240.	Gains (losses) on disposal of investments	43	(415)	118	42	120	(17)	1	247
250.	**Profit (loss) from current operations before tax**	**45,557**	**20,478**	**41,523**	**(106,117)**	**56,299**	**37,921**	**19,848**	**39,679**
260.	Income taxes on current operations	(13,090)	1,154	(10,099)	39,293	(17,682)	(4,896)	(3,109)	33,902
270.	**Profit (loss) from current operations after tax**	**32,467**	**21,632**	**31,424**	**(66,824)**	**38,617**	**33,025**	**16,739**	**73,581**
290.	Net profit (loss) for the period	32,467	21,632	31,424	(66,824)	38,617	33,025	16,739	73,581

The comments below describe in order the most significant income statement captions:

- Net interest income, Euro 853.3 million, has gone down by 5.00% compared with December 2015 (Euro 898.2 million) mainly due to the "rate spread" effect, only partly offset by the volume component. The benefit attributable to 2016 arising from participation in TLTRO II - Targeted Longer Term Refinancing Operations II of Euro 8.3 million.

- Net commission income, which amounts to Euro 536.2 million (-1.73% compared with December 2015), shows a decline in commission income on current accounts, on collection and payment services and on the placement of securities, while there was an increase in commission income on the distribution of third-party services.

- Dividends, which are accounted for on a cash basis, amount to Euro 20.0 million, compared with 2015 (Euro 33.3 million) due to lower dividends collected from subsidiaries.

- The net profit from financial activities (captions 80, 90, 100 and 110) comes to Euro 91.6 million (Euro 240.1 million at 31 December 2015). The result for the year was influenced by the earn-out on the sale of Istituto Centrale della Banche Popolari Italiane s.p.a received from CartaSì of Euro 16.8 million, while last year's result benefited from a gain on the sale of an interest in ICBPI (Euro 174.3 million). Excluding these non-recurring items, the net profit from trading in securities comes to Euro 57.8 million (Euro 94.1 million in December 2015); in addition, net gains were recognised on financial assets of Euro 7.5 million (Euro 25.9 million in the year ended 31 December 2015).
  There is also a positive net result of Euro 1.8 million from the measurement of financial liabilities under the fair value option, compared with a negative amount recorded in 2015 of Euro 3.1 million.

- Net interest and other banking income comes to Euro 1,501 million, a decrease of Euro 216.2 million on December 2015 (-12.59%).

- Net adjustments to loans and other financial transactions after write-backs amount to Euro 557.6 million and have decreased (-4.71%) compared with the previous year (Euro 585.1 million). More specifically:
  - adjustments to cash loans amount to Euro 947.9 million (Euro 881.7 million at 31 December 2015), including a component of Euro 130.1 million due to the impact of discounting future cash flows;
  - write-backs on loans and advances amount to Euro 431.3 million (Euro 322.9 million at 31 December 2015), with a discounting element of Euro 133.8 million;
  - net write-backs of endorsement credits amount to Euro 8 million (there were net adjustments of Euro 2.9 million at the year ended 31 December 2015); the result includes a write-back of Euro 7.9 million for a recovery received from the IDGF following the recalculation of the intervention in Banca Tercas.
  - net impairment adjustments to securities available for sale came to Euro 49 million (Euro 23.4 million in the year ended 31 December 2015), mainly due to the recognition of impairment of Atlante Fund units of Euro 28.2 million, of equity instruments relating

to Release s.p.a. of Euro 12.9 million and of the intervention by IDGF-VS to support Cassa di Risparmio di Cesena of Euro 2 million.

- The net profit from financial activities comes to Euro 943.4 million, down by 16.67% compared with December 2015 (Euro 1,132.1 million).

- Net operating costs amounted to Euro 931.7 million, a decrease of 4.29% compared with 2015 (Euro 973.5 million).
  In detail:
  - payroll costs of Euro 481.8 million, down by 8.03% on December 2015 (Euro 523.8 million); last year's result was influenced by provisions for redundancy incentives and the Solidarity Fund (Euro 34.3 million);
  - other administrative costs amount to Euro 545.6 million, an increase of 28.1 million (+5.42%); this result was negatively affected by ordinary and extraordinary contributions to the Single Resolution Fund of Euro 12.6 million (in addition to Euro 2.2 million as collateral for the IPC – Irrevocable Payment Commitment – not expensed) and Euro 29.6 million, respectively (Euro 11.5 million and Euro 34.6 million in 2015) and to the Deposit Guarantee Scheme (DGS) of Euro 12.3 million (Euro 6 million in 2015), as well as by the payment of Euro 8.1 million requested by the IDGF-VS for the intervention in Banca Tercas; of these, Euro 98.3 million relates to direct and indirect taxes (-3.81% on 2015), whose recovery of Euro 90.1 million is recorded under "Other operating income", while other expenses, net of taxes, amounted to Euro 447.3 million, an increase of Euro 31.9 million (+7.69%);
  - net provisions for risks and charges of Euro 20.8 million (Euro 40.7 million in December 2015, -48.82%): the decrease is mainly due to lower provisioning for legal disputes and to the reversal of the Solidarity Fund (2016 Stability Law) provision made in 2015 of Euro 2.9 million.
  - net adjustments to property, plant and equipment and to intangible assets of Euro 25.2 million, down compared with December 2015 (Euro 30.6 million), affected by writedowns on property owned by Euro 1.6 million (Euro 5.7 million at 31 December 2015).
  - operating income, net of related charges, amounts to Euro 141.7 million (Euro 139.1 million in the year ended 31 December 2015).

- Dividing operating costs by net interest and other banking income gives us a "cost/income" ratio of 62.07% (it was 56.69% at December 2015).

- The non-operating result, a loss of Euro 10.3 million, is mainly attributable to the recognition of the impairment of investments in Nadia s.p.a. (Euro 3.5 million), Banca della Nuova Terra s.p.a. (Euro 2.3 million), Polo Campania s.r.l. (Euro 1.3 million), SIFA' – Società Italiana Flotte Aziendali s.p.a. (Euro 0.3 million) and Italiana Valorizzazioni Immobiliari (Euro 0.3 million), of a loss arising from the fair value measurement of the equity interest held in Cassa di Risparmio di Saluzzo s.p.a. prior to the acquisition of control, in accordance with IFRS 3 (Euro 2.9 million) and to the positive result arising from the liquidation of Nettuno Gestione Crediti (Euro 0.5 million).

- The result of current operations, gross of income taxes, was Euro 1.4 million (Euro 153.7 million as at 31 December 2015).

- Income taxes, which positively impact the result by an amount of Euro 17.3 million (Euro 8.2 million in the year ended 31 December 2015) mainly due to the ACE benefit.

- The result from continuing operations, net of income taxes, comes to Euro 18.7 million (Euro 162 million in the year ended 31 December 2015).

Services provided and work statistics

Considering the difficult economic situation that has persisted since the previous year, the Bank continued to make an extraordinary effort to manage customer relations in the most effective and appropriate manner possible.
The main work statistics for 2016 are shown below, together with comparative figures for 2015:

- current accounts no. 1,155,550 (+0.62%); no. 106,615 new accounts were opened in 2016, while no. 99,443 were closed;
- a total of 180.7 million current account transactions were carried out (+2.86% compared with last year);
- no. 17.2 million bills and notes were presented for collection, totalling Euro 25.4 billion (-0.37% compared with last year);
- self-liquidating advances against Italian invoices amounted to Euro 31.7 billion (-3.27%);
- no. 5,961,579 bills and notes were paid at branches, for a total of Euro 15.7 billion (respectively +0.21% and +2.26%);
- endorsement credits and financial and commercial guarantees amounted to Euro 2.8 billion (-14.10%);
- no. 24,496 mortgages were granted (+0.14%), for a total of Euro 5.2 billion (+13.01%);
- loans granted (personal, business and assignments of one-fifth of salary) numbered 40,931, for a total of Euro 1.2 billion (+4.59% and +24.79% respectively);
- Consumer Finance granted consisted of no. 3,040 transactions amounting to Euro 27.5 million;
- over no. 12.1 million standing order instructions were carried out on behalf of customers, for a total of Euro 3.3 billion (+9.33% and -0.66% respectively);
- bank transfers made totalled Euro 129.6 billion (+7.98%), while those received from third parties amounted to Euro 88.3 billion (+4.56%);
- no. 913 Bancomat ATMs were operational at the end of 2016 (no. 936 in 2015) and they were used to make 21.8 million withdrawals (+1.32%) for a total of Euro 3.3 billion (+0.08%);
- commercial foreign exchange transactions outside the SEPA totalled Euro 11.2 billion (-2.71%);
- there are now no. 47,870 POS units installed in shops or public service locations (no. 6 more than in 2015, a growth of 0.01%) and they were used for 57.5 million transactions (+3.13%) for a total of Euro 3.91 billion (+2.93%);
- the number of remote banking connections has risen to no. 82,187 (no. 6,838 more than 2015, up to 9.08%);
- a total of 470,890 Internet banking contracts (+10.87%) have been signed for the provision of information and/or the placement of instructions;
- the number of BPER Cards issued to customers of the Bank now comes to 393,523 (+1.76%).

3. Shareholders' equity and capital ratios

3.1 Shareholders' equity

At the start of the year, the Bank's shareholders' equity amounted to Euro 4,593.1 million. In 2016, it increased by Euro 69.9 million.

As regards the profits from unrealized capital gains of 2015 (net of tax) as per art. 6 of Legislative Decree no. 38/2005, which amounted to Euro 4,072.7 thousand, they have been covered by assigning them to the "Non-distributable reserve pursuant to art. 6, paragraph 1, letter a) of Legislative Decree no. 38/2005", using the distributable revenue reserve that is fed from time to time through the "liberations" made during the allocation process in previous years. This non-distributable reserve at 31 December 2016 comes to Euro 8,146.4 thousand.

Positive changes:

- Euro 113.8 million on the allocation of 2015 net profit;
- Euro 1.3 million relating to the EMRO Finance Ireland limited merger surplus reserve;
- Euro 0.1 million for recognition of the tax effects of the various movements that had taken place.

Negative changes:

- Euro 29.3 million, for the net changes in the valuation reserve set up for financial assets available for sale;
- Euro 13.2 million to adjust the reserve for actuarial gains/losses, net of the tax effect;
- Euro 2.8 million for the net changes in the valuation reserve, net of the tax effect, created in connection with hedging transactions.

Shareholders' equity now amounts to Euro 4,663 million, up by 1.52% compared with 31 December 2015. Taking into account the net result for the year (Euro 18.7 million), shareholders' equity comes to Euro 4,681.7 million (-1.54% on the shareholders' equity at 31 December 2015).

At 31 December 2016, the share capital was Euro 1,443,925,305, consisting of no. 481,308,435 shares; of these, no. 455,458 are treasury shares, the same as in December 2015.

3.2 Own Funds and capital ratios

(in thousands of Euro)

	31.12.2016	31.12.2015	Change	% Change
Common Equity Tier 1 capital - CET1	4,252,835	4,167,712	85,123	2.04
Additional Tier 1 capital - AT1	-	-	-	n.s.
Tier 1 capital - Tier 1	**4,252,835**	**4,167,712**	**85,123**	**2.04**
Tier 2 capital - T2	341,468	386,944	(45,476)	-11.75
Total Own Funds	**4,594,303**	**4,554,656**	**39,647**	**0.87**
Total Risk-weighted assets (RWA)	**24,042,033**	**31,301,600**	**(7,259,567)**	**-23.19**
CET1 Ratio (CET1/RWA)	17.69%	13.31%	438 bps	
Tier 1 Ratio (Tier 1/RWA)	17.69%	13.31%	438 bps	
Total Capital Ratio (Total Own Funds/RWA)	19.11%	14.55%	456 bps	
RWA/Total assets	44.74%	62.11%	- 1,737 bps	

Own Funds and capital ratios were calculated at 31 December 2016 via the use of internal models (IRB Advanced Approach) for the measurement of capital requirements for credit risk, after authorisation had been granted by the ECB on 24 June 2016.

Own Funds regulations (transitional provisions): Prudential filters for AFS reserves relating to debt securities issued by the Central administrations

With the publication of Circular no. 285 of 17 December 2013 and subsequent amendments, the Bank of Italy implemented the new harmonised framework for banks and investment firms contained in the European Community's CRR no. 575 and Capital Requirements Directive no. 36 (CRD IV) of 26 June 2013, which entered into force on 1 January 2014.

Part 2 of the document, which deals with the implementation of CRR, detailed the national discretions exercised in respect of the transitional provisions, including, in the last paragraph of Section 2 of Chapter 14, the fact that banks could not be included in any element of Own Funds, unrealised profits or losses, relating to exposures to the central administrations classified under "Financial assets available for sale" of IAS 39 endorsed by the EU (treatment applicable until the Commission adopts a regulation based on EC Regulation no. 1606/2002 which approves the IFRS 9 that replaces IAS 39).

At the beginning of 2014, the Parent Company BPER Banca had formally opted to exercise the above option for the entire Group, consistent with the decision made previously in accordance with the old regulations. Commencing from the 31 March 2014 reporting date, the reserves arising from the measurement of these securities have not impacted the determination of Own Funds and, at 30 September 2016, the amount thereof on a Fully Phased basis was Euro 51.9 million.

On account of the fact that, on 29 November 2016, the Official Journal of the European Union published Regulation (EU) 2016/2067 of 22 November 2016, which amended Regulation (EC) no. 1126/2008, which, in turn, adopted certain International Accounting Standards in compliance with Regulation (EC) no. 1606/2002 of the European Parliament and Council with regard to IFRS 9, which will entirely replace IAS 39, the option has lapsed and, accordingly, as from 31 December 2016, AFS reserves attributable to government bonds, for the purpose of the quantification of CET1, have been subjected to the same regulatory treatment as other reserves of this kind, with a positive impact of Euro 11.6 million (equating to 5 bps) under the transitional arrangements on a Phased in basis and a further Euro 7.7 million (equating to 3 bps) on a Fully Phased basis.

4. Principal risks and uncertainties

4.1 Risk management

Please refer to the Consolidated financial statements for information on risk management, because, being an activity that is coordinated at Group level, the same considerations made in the relevant section of the Directors' Report on Group Operations are also valid for the Bank.

4.2 Disclosure of exposures to sovereign debt held by listed companies

Details are provided below of bonds issued by central and local governments and by government entities, as well as loans granted to them as required by CONSOB Communication DEM/11070007 of 5 August 2011.

Debt securities

Issuer	Rating	Cat	Nominal value	Book value	Fair value	AFS Reserves	%
***Governments:**			**4,435,640**	**4,829,634**	**4,973,393**	**29,843**	**97.09%**
Italy	BBB+		**3,904,218**	**4,292,229**	**4,434,352**	**30,515**	**86.29%**
		HFT	222,383	264,282	264,282	#	
		CFV	-	-	-	#	
		AFS	2,499,335	2,694,941	2,694,941	30,515	
		HTM	1,182,500	1,333,006	1,475,129	#	
		L/R	-	-	-	#	
UK	AA		**35,039**	**37,864**	**37,864**	**856**	**0.76%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	35,039	37,864	37,864	856	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
U.S.A.	AAA		**405,559**	**403,618**	**403,618**	**(1,362)**	**8.11%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	405,559	403,618	403,618	(1,362)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Spain	BBB+		**5,000**	**5,021**	**5,650**	**-**	**0.10%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	5,000	5,021	5,650	#	
		L/R	-	-	-	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair value	AFS Reserves	%
Austria	AA+		**13,022**	**13,204**	**13,204**	**424**	**0.27%**
		HFT	4,022	4,070	4,070	#	
		CFV	-	-	-	#	
		AFS	9,000	9,134	9,134	424	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Qatar	AA		**9,487**	**9,302**	**9,302**	**(112)**	**0.19%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	9,487	9,302	9,302	(112)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Netherlands	AAA		**8,000**	**8,003**	**8,003**	**3**	**0.16%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	8,000	8,003	8,003	3	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
European Stability Fund	AA		**45,000**	**49,836**	**49,836**	**(481)**	**1.00%**
		HFT	-	-	-	-	
		CFV	-	-	-	-	
		AFS	45,000	49,836	49,836	(481)	
		HTM	-	-	-	-	
		L/R	-	-	-	-	
Portugal	BB+		**10,285**	**10,537**	**11,544**	**-**	**0.21%**
		HFT	285	281	281	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	10,000	10,256	11,263	#	
		L/R	-	-	-	#	
Other	_		**30**	**20**	**20**	**-**	**0.00%**
		HFT	30	20	20	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	-	-	-	#	
		L/R	-	-	-	#	

Issuer	Rating	Cat	Nominal value	Book value	Fair value	AFS Reserves	%
Central Banks:			**23,717**	**23,761**	**23,761**	**(36)**	**0.48%**
UK	AA		**23,717**	**23,761**	**23,761**	**(36)**	**0.48%**
		HFT	-	-	-	-	
		CFV	-	-	-	-	
		AFS	23,717	23,761	23,761	(36)	
		HTM	-	-	-	-	
		L/R	-	-	-	-	
Other public entities:			**121,479**	**120,884**	**121,748**	**(680)**	**2.43%**
Italy	-		**149**	**149**	**149**	**-**	**0.00%**
		HFT	8	8	8	#	
		CFV	-	-	-	#	
		AFS	-	-	-	-	
		HTM	-	-	-	#	
		L/R	141	141	141	#	
Japan	-		**29,409**	**28,648**	**28,648**	**(849)**	**0.58%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	29,409	28,648	28,648	(849)	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
Canada	-		**18,974**	**19,035**	**19,035**	**18**	**0.38%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	18,974	19,035	19,035	18	
		HTM	-	-	-	#	
		L/R	-	-	-	#	
France	-		**72,947**	**73,052**	**73,916**	**151**	**1.47%**
		HFT	-	-	-	#	
		CFV	-	-	-	#	
		AFS	62,947	63,092	63,092	151	
		HTM	10,000	9,960	10,824	#	
		L/R	-	-	-	#	
Total debt securities			**4,580,836**	**4,974,279**	**5,118,902**	**29,127**	**100.00%**

** The individual percentages shown in the above table may not agree with the total because of roundings.*
The ratings indicated are those of Fitch Rating at 31 December 2016.

Loans

Issuer	Rating	Cat	Nominal value	Book value	Fair value	AFS Reserves	%
***Governments:**			**1,712,351**	**1,712,351**	**1,712,351**	**-**	**91.71%**
Italy	BBB+		**1,712,351**	**1,712,351**	**1,712,351**	**-**	**91.71%**
		HFT				#	
		CFV				#	
		AFS				-	
		HTM				#	
		L/R	1,712,351	1,712,351	1,712,351	#	
Other public entities:			**154,752**	**154,752**	**157,419**	**-**	**8.29%**
Italy	-		**154,752**	**154,752**	**157,419**	**-**	**8.29%**
		HFT				#	
		CFV				#	
		AFS				-	
		HTM				#	
		L/R	154,752	154,752	**157,419**	#	
Total loans			**1,867,103**	**1,867,103**	**1,869,770**	**-**	**100.00%**

** The individual percentages shown in the above table may not agree with the total because of roundings.*
The ratings indicated are those of Fitch Rating at 31 December 2016.

Based on their "Book value", repayment of these positions is distributed as follows:

	on demand	until 1 year	from 1 to 5 years	over 5 years	Total
Debt securities	-	271,250	2,357,609	2,345,420	4,974,279
Loans	129,837	196,098	395,628	1,145,540	1,867,103
Total	**129,837**	**467,348**	**2,753,237**	**3,490,960**	**6,841,382**

5. Other information

5.1 Management of the Bank

- *New appointments*

The following Directors were appointed at the Shareholders' Meeting held on 16 April 2016: Luigi Odorici, Pietro Ferrari, Costanzo Jannotti Pecci (independent), Valeria Venturelli (independent) – all drawn from list no. 1 - and Margherita Perretti - drawn from List no. 2 - as "Minority Director".

Following the approval of the amendments to the articles of association as per paragraph 1) of extraordinary part of the meeting and, in particular, of the transitional provision contained in art. 57 paragraph 4, the mandate of these Directors will last for one year.

During the meeting held on 19 April 2016 the Board of Directors confirmed Luigi Odorici as Deputy Chairman. The Deputy Chairmen in office at that date were thus: Alberto Marri, Luigi Odorici and Giosuè Boldrini.

- *Resignation of a Director*

On 24 May 2016 the independent Director Giulio Cicognani resigned from the position of Director of BPER Banca for personal reasons, effective immediately.

Mr Cicognani is not a member of any of the Board committees.

The Board of Directors took note of his decision and expressed gratitude and appreciation to Mr Cicognani for his constant contribution and reserved the right to decide later on what to do about the vacant directorship.

- *Co-option of a Director*

On 21 June 2016 the Board of Directors co-opted Pietro Cassani as a Director to replace Giulio Cicognani.

Mr Cassani - born in Imola (Bologna), graduated with honours in Mechanical Engineering from the University of Bologna and a master's degree in Business Administration from SDA Bocconi of Milan - was confirmed by the Shareholders' Meeting held on 26 November 2016.

- *New Chairman of the Bank*

On 20 December 2016, following the resignation of Ettore Caselli from his position as Chairman, the Board of Directors appointed Luigi Odorici as his replacement.

5.2 Intercompany and related-party transactions

Relations between the various companies included within the scope of consolidation and with associates and related parties were all of a routine nature and were conducted properly.
For details, as required by art. 2497 *bis* of the Italian Civil Code and by the CONSOB Communication DEM 6064293 dated 28 July 2006, reference should be made to Part H of the Explanatory notes.
In accordance with Regulation 17221/10 and subsequent amendments issued by CONSOB on related-party transactions, the Bank adopted the specific internal procedures, valid for the whole Group, designed to ensure transparency and substantial and procedural correctness of transactions with related parties.
In this context, BPER Banca adopted the "Group Regulations for the management of transactions with related parties and associated persons", subsequently implemented by other Group banks and companies. The Regulations, last updated on 12 November 2013, also comply with the Bank of Italy's requirements in terms of "Risk activities and conflict of interest versus related parties and associated persons" as contained in the 9th update of 12 December 2011 of Circular no. 263 dated 27 December 2006.
The document is published on the Bank's website (www.bper.it, in the "Related Parties" section) and on the websites of the other Group banks.
In deference to the Bank of Italy's recommendations, the Bank also adopted the following documents:

- "Group policy on controls over risk activities and conflicts of interest with associated persons", approved by the Board of Directors on 11 November 2015;
- "Group Regulations for the monitoring of prudential limits on risk activities – monitoring of prudential limits on risk activities with related parties and associated persons", approved by the Board of Directors on 24 June 2014;
- "Group regulations on the management of transactions with related parties and associated persons", approved by the Board of Directors on 12 November 2013.

Without prejudice to the disclosure requirements of IAS 24, the following is a summary of transactions with related parties, for which information is provided under Regulation 17221/10.

a) More significant individual transactions concluded during the reference period:

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
1	BPER Banca S.p.A.	Emilia Romagna Factor S.p.A.	Directly controlled subsidiary	Renewal of credit line	900,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
2	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	no. 43 repo transactions concluded in the 1st half of 2016	(*)	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
3	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	Renewal of credit line	400,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
4	BPER Banca S.p.A.	Alba Leasing S.p.A.	Direct associated company	Renewal of credit line	570,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
5	BPER Banca S.p.A.	Sardaleasing s.p.a.	Directly controlled subsidiary	Renewal of credit line	700,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

No.	Company that initiated the transaction	Name of the transaction counterparty	Nature of the relationship with the counterparty	Object of the transaction	Consideration for each transaction completed (Euro/000)	Other information
6	BPER Banca S.p.A.	Sardaleasing s.p.a.	Directly controlled subsidiary	Renewal of credit line	669,000	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221
7	BPER Banca S.p.A.	Banco di Sardegna S.p.A.	Directly controlled subsidiary	16 cash deposits/repo transactions concluded in the 2nd half of 2016	(**)	Transaction exempt from market disclosure pursuant to art. 14 paragraph 2 of Regulation 17221

With regard to repurchase agreements/cash deposits concluded bilaterally between the Parent Company and the subsidiary Banco di Sardegna s.p.a., it should be noted that these increased in the second half of 2015, due to changes in operations which permitted a more effective supply of liquidity to the market by recourse to this subsidiary bank.
(*) It should be noted that the no. 43 transactions mentioned above are included in the range between Euro 274,848 thousand and Euro 324,690 thousand;
(**) It should be noted that the no. 16 transactions mentioned above are included in the range between Euro 258,600 thousand and Euro 1,822,697 thousand.

b) other individual transactions with related parties as defined under article 2427, second paragraph, of the Italian Civil Code, entered into in the reporting period, that have materially impacted the financial position and results of the company

It is worth noting that on 23 May 2016 BPER Banca acquired direct control on Banca di Sassari s.p.a. previously held by Banco di Sardegna s.p.a. Subsequent to the transaction, BPER Banca held a direct interest of 77.51% in Banca di Sassari s.p.a.'s share capital. At 31 December 2016, the controlling interest had risen to 78.46% as a result of further purchases on the market from non-controlling interest holders.
In addition, there has been the sale by Banca di Sassari s.p.a. to Banco di Sardegna s.p.a. of the business unit with all of the branches of Banca di Sassari s.p.a.
The merger of EMRO Finance Ireland Ltd with BPER Banca was formalised on 21 June having received authorisation from the Supervisory Authority and pursuant to the decisions taken by the High Court of Ireland. The company was already wholly owned by BPER Banca.
As required by CONSOB Regulation 17221/10 with regard to other transactions with related parties, it is confirmed that no transactions have had a significant effect on the balance sheet or results of the company.

c) changes or developments in related-party transactions disclosed in the last annual report that have had a material effect on the financial position or results of the companies during the period

During the year, there have been no changes or developments in the related-party transactions described in the last annual report that would have an effect on the financial position or results of the Company.

5.3 Information on atypical, unusual or non-recurring transactions

During 2016 there were no atypical or unusual transactions, as defined by CONSOB Communication DEM 6064293 dated 28 July 2006.
Nor were there any non-recurring transactions during the year.

5.4 Information on the ownership structure - (art. 123-*bis* of Legislative Decree no. 58/1998)

The information required by the above article is detailed in a specific report issued by the Board of Directors ("Report on corporate governance and ownership structure"). This report, pursuant to the said art. 123-*bis*, paragraph 3, is made available to the public on the Bank's website www.bper.it in the Governance-Documents section as well as on the website www.borsaitaliana.it.

5.5 Information on decisions taken with regard to the admission of new members - art. 2528 of the Civil Code

The following table is a summary of the outcomes of applications for admission to membership and of exclusions/cessations that took place during 2015-2016:

	2016	2015
Shareholders admitted	959	1,714
Admissions deferred	-	1
Members excluded	-	-
Members ceasing	2,395	6,208

Note that, in accordance with legislation applicable to the Bank that operated as a cooperative up to 28 November 2016 (date of registration of the resolution transforming it into a company limited by shares, approved by the Shareholders' Meeting held on 26 November 2016), shareholders were excluded from membership not only in the cases provided by law, but also when they found themselves in one of the situations specified in art. 11 of the articles of association in force until 28 November 2016, i.e. if they had forced the Company to take legal action for breach of their contractual obligations, or if they had been guilty of acts harmful to the interests or prestige of the Bank (art. 28 of the articles of association in force until 28 November 2016).
Note, too, that no longer having the minimum holding for admission to membership, as determined by the Board of Directors pursuant to art. 8, paragraph 3, of the articles of association in force until 28 November 2016 (no. 100 shares at the time) resulted in forfeiture of membership in accordance with art.

30, paragraph 5-*bis* of Legislative Decree no. 385/1993, as introduced by art. 23-quater, letter a.3, of Decree Law no. 179 of 18 October 2012, converted into Law 221/2012.
The text of the articles of association adopted following the transformation into a company limited by shares reflected the cancellation of the above provisions and all those concerning the same issue, thus adapting the articles of association to the principles and rules governing companies limited by shares, where similar limits were not envisaged.

5.6 Application of MiFID

Due to the deadline that falls every three years for the MiFID questionnaire (cod. 91000), on 7 November 2016, BPER Banca introduced the new version of the customer profiling questionnaire (cod. 92000). Within the new questionnaire, in the section relating to knowledge of financial instruments, some new questions have been added to verify customers' real knowledge of "complex instruments" (as defined by CONSOB Communication 0097966) and of risks relating to investments in subordinated bonds (inclusive of for bail-ins).

Moreover, in view of the entry into force of the new MiFID 2 legislation – expected to be 3 January 2018 – the Bank has commenced an assessment thereof and is being advised on the matter by PricewaterhouseCoopers Advisory S.p.A. On completion of the assessment, the Bank will take steps in 2017 to perform all the activities that will be needed for the governance and control of the correct rendering of investment services.

5.7 Information on business continuity, financial risks, impairment tests and uncertainties regarding the use of estimates

Please refer to the Directors' Report on Group Operations.

5.8 Information to be provided about impairment tests, the contractual clauses that govern borrowing, the restructuring of debt and the fair value hierarchy

Please refer to the Directors' Report on Group operations.

6. Remuneration of the Board of Directors

We bring to your attention the issue of the determination of the amount of Directors' emoluments, as provided for by art. 11 of the articles of association (art. 24 of the previous version).
The Shareholders' Meeting held on 16 April 2016 established that the amount of fees payable to Directors, in accordance with art. 24 of the articles of association in force at the time, for the 2016 financial year was a total of Euro 1,600,000 and that this amount was for the payment of emoluments of the members of the Board of Directors, additional emoluments payable to the Executive Committee and other internal Committees, as well as Directors' attendance fees for participation at meetings of the Board of Directors and of the above committees. Excluded, however, were additional emoluments payable to Directors appointed to particular positions in compliance with the articles of association (specifically Chairman, Vice Chairmen and Chief Executive Officer): in accordance with art. 24 of the articles of association in force at the time, this remuneration had to be set, in fact, by the Board of Directors, after having sought the opinion of the Board of Statutory Auditors.
The total amount of fees, determined as indicated and charged to the income statement of the year on an accruals basis, in compliance with IAS 19 under "Personnel costs - Directors and Statutory Auditors", was Euro 1,542.2 thousand (Euro 1,519.5 thousand at 31 December 2015), below the set limit of Euro 1,600 thousand. In detail, this amount includes the fees due to members of the Board of Directors of Euro 860.8 thousand (Euro 884 thousand at 31 December 2015), the fees due to members of the Executive Committee of Euro 170.3 thousand (Euro 141.1 thousand at 31 December 2015), the fees for participation in various internal Committees set up to meet the obligations of Corporate Governance of Euro 358.7 thousand (Euro 271.3 thousand at 31 December 2015) and attendance fees for Directors attending meetings of the Board of Directors of Euro 121.8 thousand (Euro 123.9 thousand at 31 December 2015), and of the Executive Committee and the various internal committees of Euro 30.6 thousand (Euro 99.2 thousand at 31 December 2015).
In addition to these amounts, there were also emoluments payable to the Chairman and Deputy Chairmen of Euro 548.3 thousand (Euro 489.3 thousand in the year ended 31 December 2015) and to the Chief Executive Officer of Euro 850 thousand (unchanged compared with the year ended 31 December 2015).
The total amount is therefore Euro 2,940.5 thousand, compared with Euro 2,858.9 thousand for 2015.
Having disclosed the Directors' fees for 2016, we now submit a proposal for their remuneration for 2017, confirming the amount of Euro 1,600 thousand, already established as the limit for the last three years.
We hereby propose the following resolution for your consideration: "the total amount of fees payable to Directors for 2017, pursuant to art. 11 of the articles of association, is set at Euro 1,600,000 (one million six hundred thousand euro)".

7. Proposal for the allocation of net profit

Having completed our presentation of the results of operations and the various events that took place in the year just ended, prior to submitting to you our proposal for the allocation of profit for the year, which, as mentioned, amounted to Euro 18,698,675.54, we submit to you the accounting realignment of certain reserves formed over the years on the allocation of profit that, for the sake of an improved and clearer presentation and in a manner consistent with the Bank's new *status* and the articles of association in force, should be classified as part of the extraordinary reserve (as per article 42 of the articles of association). The reserves in question are as follows:

- Statutory reserve, the balance of which is Euro 475,497,554.74;
- Treasury shares purchase reserve (no longer usable for its originally intended purpose), the balance of which is Euro 139,765,342.67;
- Reserve for other risks, the balance of which is Euro 477,853,941.61;

which come to a total of Euro 1,093,116,839.02 and that would be added to the balance of the extraordinary reserve at 31 December 2016 of Euro 128,653,524.86.

We herewith submit to you the proposed allocation of profit, which adheres to the criteria of prudence and attention to the strengthening of capital, in line with guidance provided by the Supervisory Authorities and which is first of all a preliminary allocation, as provided for by art. 42 (paragraph 2) of the articles of association, of an amount of Euro 3,434,488.32, to the non-distributable reserve under Legislative Decree no. 38/2005 (art. 6, paragraph 1.a) for unrealised gains, net of tax.

Accordingly, there is a residual balance of Euro 15,264,187.22 to be allocated, comprising an allocation of Euro 763,209.36 to the legal reserve in line with the minimum requirements of law (5%) and the articles of association.

Taking account of the capital adequacy of the Parent Company and the Group, in accordance with parameters established by prudential supervision regulations and decisions made by the European Central Bank concerning capital requirements (2016 SREP) and in line with the communications issued thereby concerning dividend distribution policy, we submit to you the proposed payment of a dividend of Euro 0.06 for each of the no. 481,308,435 shares representing the share capital, excluding those held in portfolio at the ex-dividend date (no. 455,458 at 31 December: a number that is confirmed as of today's date).

The total amount allocated for dividends comes to a maximum of Euro 28,878,506.10, which exceeds the residual profit (Euro 14,500,977.86) subsequent to the preliminary allocations and the transfer to the legal reserve in accordance with the articles of association (art. 42). Accordingly, use will need to be made of revenue reserves of an amount of Euro 14,377,528.24. It has been decided to make use of the extraordinary reserve, which, after the above proposed reallocation, will amount to Euro 1,221,770,363.88.

Trusting that you will grant your consent, we therefore present in accordance with the articles of association the following proposed allocation of net profit:

Net profit for the year	**Euro**	**18,698,675.54**
Preliminary allocation (Art. 42, paragraph 2, of the articles of association):		
- to non-distributable reserve, art. 6.1.A of Decree 38/05	Euro	3,434,488.32
Residual profit to be distributed	**Euro**	**15,264,187.22**
- to the legal reserve (5%)	Euro	763,209.36
- use of the Extraordinary reserve	Euro	(14,377,528.24)
- to the Shareholders as a dividend of Euro 0.06 for the 481,308,435 shares making up the share capital	Euro	28,878,506.10

According to Borsa Italiana S.p.A.'s calendar, payment of the proposed dividend will take place as from 24 May 2017. As regards its market price, BPER Banca's stock will go ex-coupon on Monday, 22 May 2017, while the record date is scheduled for Tuesday, 23 May 2017.
It is important to remember that the dividend is subject to withholding tax or forms part of taxable income to a varying extent depending on the *status* of the recipients. It should be noted that, according to the Ministerial Decree of 2 April 2008, for tax purposes, the entire dividend is considered earnings produced up to the year in progress at 31 December 2007.

8. Significant subsequent events and outlook for operations

8.1 Significant events subsequent to 31 December 2016

Please refer to the Directors' Report on Group operations.

8.2 Outlook for operations

Please refer to the Directors' Report on Group operations.

9. Acknowledgements

With the Bank's transformation into a company limited by shares, 2016 represents a key milestone in its history, as it prepares to commemorate the 150th anniversary of its foundation in 2017. The transformation was necessary on account of new legislation and we may now look to the future, which we will confidently face up to with great serenity and commitment. We believe that the many shareholders, who we wish to acknowledge our appreciation of as a result of their extraordinary commitment over the years to their Bank, will be joined in their consent by those who have invested or will invest in our shares, convinced of the reliability and extreme rigour of our management and strategic vision.
The transformation into a company limited by shares has given rise to a change in the corporate objects from mutualism to capitalism. This transition has been necessary and has led us to deeply reflect on the manner in which we wish to operate as a Bank. We believe, in particular, that the attention given until now to the enhancement of resources in the areas served constitutes a distinctive prerogative that must absolutely be safeguarded. It is for this reason that, as part of the transformation process, articles of association were proposed and adopted by a vast majority of shareholders that not only conform to the new legal form of a company limited by shares, but which also reflect specific decisions concerning the Bank's vocation, as well as giving way to more evolved governance mechanisms.

The past year has thus been particularly challenging in many ways. In facing up to these commitments, BPER Banca has been able to count on the contribution made by a large group of participants, who made it possible to achieve our positive results. Above all, the Members and customers, who more and more frequently show tangible appreciation for our daily efforts.
A particular thought goes to the outgoing Chairman, Ettore Caselli, who resigned from his position for personal reasons on 29 November, but who continues to be appreciated for the work he performs as a member of the Board of Directors and heartfelt thanks are extended to all the members thereof for their fruitful work, as is also the case for the members of the Board of Statutory Auditors of the Bank, who have assiduously carried out their articulated control activities.
We also wish to thank those who, with differing roles and responsibilities, have worked for the Bank and all the businesses that make up BPER Banca Group. We refer to the Chairman, the Directors, Statutory Auditors, Managers and all members of the General Management of the Bank and Group companies; recognition is due to all of them for their great professionalism in their management activities and their extraordinary ability to listen and to be attentive to the territorial context in which we operate.

We also express our gratitude to the Chief Executive Officer, the General Manager and the Deputy General Managers: they have all expressed a high level of professionalism and have managed the Bank in an increasingly collaborative way that is entirely in line with the guidelines provided by the Board of Directors. For them, what has been fundamental is the dedication shown by all of our personnel, who have never failed in their efforts, with exceptional commitment to the Bank's values, guaranteeing the achievement of objectives set.
We express, in particular, deep gratitude and regard for all those persons who retired from service during the year.

A greeting also goes to the Governor of the Bank of Italy, to the managers of the Central Administration, as well as managers and staff of the relevant structures of the Supervisory Authority, as well as the

representatives of the ECB with whom we have had a useful and constructive debate following the Bank's transfer under its direct supervision.
Also a thought for CONSOB and the Borsa Italiana S.p.A. which runs the Italian Stock Exchange.

Lastly, we would like to thank our auditors PricewaterhouseCoopers s.p.a. and all of its staff who contributed to the development, in-house, of a higher level of attention to different accounting and legislative matters, also thanks to a positive and effective dialogue usefully developed with full respect for the different roles and functions.

10. Resolutions

Shareholders,
on completion of our discussion and trusting that you concur with us, we present for your approval the 2016 financial statements, accompanied by the report on operations and the other attached documentation.
We also ask you to approve the proposed allocation of net profit, as previously set out, and seek your approval for the remuneration of the Board of Directors in the terms expressed previously.
We confirm that the financial statements of the Bank and the Consolidated financial statements of the Group are accompanied by the certification (required by para. 5 of art. 154-*bis* of the Consolidated Finance Law) given by the Chief Executive Officer and the Manager responsible for preparing the Company's financial reports.
The reports of the independent auditors on the financial statements of the Bank and the Consolidated financial statements of the Group, included in the printed volume, are issued by PricewaterhouseCoopers s.p.a. under the terms of their mandate for the period 2008-2016.

11. Reappointment of Directors and Officers

We hereby inform you that the mandate of the following Directors has expired: Luigi Odorici (Chairman) Alberto Marri (Deputy Chairman), Mara Bernardini, Cristina Crotti, Pietro Ferrari, Costanzo Jannotti Pecci, Giovampaolo Lucifero, Giuseppe Lusignani, Margherita Perretti, Valeria Venturelli.
As required by art. 45 of the articles of association, the Meeting is called upon to elect 8 members of the Board of Directors.

Modena, 28 February 2017

The Board of Directors
The Chairman
Luigi Odorici

Financial statements

Balance sheet as at 31 December 2016

(in Euro)

Assets	31.12.2016	31.12.2015
10. Cash and cash equivalents	255,933,535	276,777,304
20. Financial assets held for trading	702,293,136	815,113,713
30. Financial assets designated at fair value through profit and loss	38,642,715	36,898,910
40. Financial assets available for sale	8,575,832,241	6,746,054,249
50. Financial assets held to maturity	2,515,993,095	2,663,859,255
60. Due from banks	2,155,636,542	1,737,029,322
70. Loans to customers	35,478,258,488	33,885,272,988
80. Hedging derivatives	59,767,383	35,715,277
100. Equity investments	1,619,457,479	1,471,789,249
110. Property, plant and equipment	426,715,104	438,260,175
120. Intangible assets	296,922,762	298,290,661
of which: goodwill	280,235,895	280,235,895
130. Tax assets	1,233,836,373	1,187,605,089
a) current	202,317,279	188,099,963
b) deferred	1,031,519,094	999,505,126
b1) of which L. 214/2011	862,067,604	862,145,923
150. Other assets	375,786,869	803,659,168
Total assets	**53,735,075,722**	**50,396,325,360**

Liabilities and shareholders' equity	31.12.2016	31.12.2015
10. Due to banks	12,539,336,575	8,655,264,359
20. Due to customers	27,383,756,769	25,198,114,652
30. Debt securities in issue	7,208,172,011	8,700,062,489
40. Financial liabilities held for trading	232,097,802	247,407,660
50. Financial liabilities designated at fair value through profit and loss	247,933,422	873,558,293
60. Hedging derivatives	36,860,314	20,358,563
80. Tax liabilities	63,232,929	70,792,167
b) deferred	63,232,929	70,792,167
100.Other liabilities	891,095,670	1,435,113,834
110. Provision for termination indemnities	122,008,252	120,872,278
120. Provisions for risks and charges	328,887,775	319,724,578
a) pensions and similar commitments	134,691,225	124,020,912
b) other provisions	194,196,550	195,703,666
130. Valuation reserves	(11,746,702)	33,640,369
160. Reserves	2,307,997,481	2,192,709,016
170. Share premium reserve	930,072,623	930,072,623
180. Share capital	1,443,925,305	1,443,925,305
190. Treasury shares	(7,253,180)	(7,253,180)
200. Net profit (loss) for the period	18,698,676	161,962,354
Total liabilities and shareholders' equity	**53,735,075,722**	**50,396,325,360**

Income statement as at 31 December 2016

(in Euro)

Captions	31.12.2016	31.12.2015
10. Interest and similar income	1,124,288,030	1,256,240,508
20. Interest and similar expense	(270,977,792)	(358,009,296)
30. Net interest income	**853,310,238**	**898,231,212**
40. Commission income	565,222,736	575,351,847
50. Commission expense	(29,053,156)	(29,745,176)
60. Net commission income	**536,169,580**	**545,606,671**
70. Dividends and similar income	19,961,409	33,349,105
80. Net trading income	6,866,834	30,958,550
90. Net hedging gains (losses)	(297,419)	(688,948)
100. Gains/losses on disposal or repurchase of:	80,874,176	209,354,770
a) loans	(9,129,542)	3,624,220
b) financial assets available for sale	90,001,230	206,439,072
c) financial assets held to maturity	(77)	221,532
d) financial liabilities	2,565	(930,054)
110. Net results on financial assets and liabilities designated at fair value	4,137,955	429,373
120. Net interest and other banking income	**1,501,022,773**	**1,717,240,733**
130. Net impairment adjustments to:	(557,593,759)	(585,135,255)
a) loans	(516,606,305)	(558,844,011)
b) financial assets available for sale	(48,987,575)	(23,369,310)
d) other financial assets	8,000,121	(2,921,934)
140. Net profit from financial activities	**943,429,014**	**1,132,105,478**
150. Administrative costs:	(1,027,399,640)	(1,041,374,347)
a) payroll	(481,799,932)	(523,844,014)
b) other administrative costs	(545,599,708)	(517,530,333)
160. Net provisions for risks and charges	(20,832,278)	(40,703,936)
170. Net adjustments to property, plant and equipment	(22,684,003)	(28,104,945)
180. Net adjustments to intangible assets	(2,508,735)	(2,473,273)
190. Other operating charges/income	141,693,322	139,126,542
200. Operating costs	**(931,731,334)**	**(973,529,959)**
210. Profit (loss) from equity investments	(10,045,153)	(5,179,211)
240. Gains (losses) on disposal of investments	(211,854)	351,238
250. Profit (loss) from current operations before tax	**1,440,673**	**153,747,546**
260.Income taxes on current operations	17,258,003	8,214,808
270. Profit (loss) from current operations after tax	**18,698,676**	**161,962,354**
290. Net profit (loss) for the period	**18,698,676**	**161,962,354**

	Earnings per share (Euro) 31.12.2016	Earnings per share (Euro) 31.12.2015
Basic EPS	0.039	0.337
Diluted EPS	0.039	0.337

Statement of comprehensive income

(in Euro)

	31.12.2016	31.12.2015
10. Net profit (loss) for the period	**18,698,676**	**161,962,354**
Other income items, net of income taxes, without release to the income statement	**(13,248,147)**	**17,882,364**
40. Defined benefit plans	(13,248,147)	17,882,364
Other income items, net of income taxes, with release to the income statement	**(32,138,924)**	**(50,741,885)**
90. Cash-flows hedges	(2,844,428)	(1,743,135)
100. Financial assets available for sale	(29,294,496)	(48,998,750)
130. Total other elements of income (net of income taxes)	**(45,387,071)**	**(32,859,521)**
140. Comprehensive income (caption 10+130)	**(26,688,395)**	**129,102,833**

Statement of changes in shareholders' equity

(in thousands of Euro)

	Balance as at 31.12.15	Changes in opening balances	Balance as at 1.1.16	Allocation of prior year results		Changes during the year								Shareholders' equity as at 31.12.16
							Transactions on shareholders' equity							
				Reserves	Dividends and other allocations	Changes in reserves	Issue of new shares	Purchase of treasury shares	Extraordinary distribution of dividends	Changes in equity instruments	Derivatives on treasury shares	Stock options	Comprehensive income as at 31.12.16	
Share capital:	**1,443,925**	**-**	**1,443,925**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,443,925**
a) ordinary shares	1,443,925	-	1,443,925	-	-	-		-	-	-	-	-	-	1,443,925
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**930,073**	**-**	**930,073**	**-**	**-**	**-**		**-**	**-**	**-**	**-**	**-**	**-**	**930,073**
Reserves:	**2,192,709**	**-**	**2,192,709**	**113,877**	**-**	**1,411**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,307,997**
a) from profits	1,692,503	-	1,692,503	113,877	-	110	-	-	-	-	-	-	-	1,806,490
b) other	500,206	-	500,206	-	-	1,301	-	-	-	-	-	-	-	501,507
Valuation reserves	**33,640**	**-**	**33,640**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(45,387)**	**(11,747)**
Equity instruments	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Treasury shares	**(7,253)**	**-**	**(7,253)**	**-**	**-**	**-**			**-**	**-**	**-**	**-**	**-**	**(7,253)**
Net profit (loss)	**161,962**	**-**	**161,962**	**(113,877)**	**(48,085)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**18,699**	**18,699**
Shareholders' equity	**4,755,056**	**-**	**4,755,056**	**-**	**(48,085)**	**1,411**	**-**	**-**	**-**	**-**	**-**	**-**	**(26,688)**	**4,681,694**

	Balance as at 31.12.14	Changes in opening balances	Balance as at 1.1.15	Allocation of prior year results		Changes during the year								Shareholders' equity as at 31.12.15
							Transactions on shareholders' equity							
				Reserves	Dividends and other allocations	Changes in reserves	Issue of new shares	Purchase of treasury	Extraordinary distribution of dividends	Changes in equity instruments	Derivatives on treasury shares	Stock options	Comprehensive income as at 31.12.15	
Share capital:	**1,443,925**	**-**	**1,443,925**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**1,443,925**
a) ordinary shares	1,443,925	-	1,443,925	-	-	-		-	-	-	-	-	-	1,443,925
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium reserve	**930,077**	**-**	**930,077**	**-**	**-**	**-**	**(4)**	**-**	**-**	**-**	**-**	**-**	**-**	**930,073**
Reserves:	**2,186,914**	**-**	**2,186,914**	**5,701**	**-**	**94**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,192,709**
a) from profits	1,686,708	-	1,686,708	5,701	-	94	-	-	-	-	-	-	-	1,692,503
b) other	500,206	-	500,206	-	-	-	-	-	-	-	-	-	-	500,206
Valuation reserves	**66,500**	**-**	**66,500**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(32,860)**	**33,640**
Equity instruments	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Treasury shares	**(7,257)**	**-**	**(7,257)**	**-**	**-**	**-**	**8**	**(4)**	**-**	**-**	**-**	**-**	**-**	**(7,253)**
Net profit (loss)	**15,449**	**-**	**15,449**	**(5,701)**	**(9,748)**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**161,962**	**161,962**
Shareholders' equity	**4,635,608**	**-**	**4,635,608**	**-**	**(9,748)**	**94**	**4**	**(4)**	**-**	**-**	**-**	**-**	**129,102**	**4,755,056**

Cash flow as at 31 December 2016

Indirect method

(in thousands of Euro)

A. Operating activities	31.12.2016	31.12.2015
1. Cash generated from operations	**659,992**	**816,085**
net profit (loss) for the period	18,699	161,962
net gains/losses from financial assets held for trading and financial assets/liabilities designated at fair value through profit and loss	4,881	(34,137)
gains (losses) from hedging activities	297	689
net adjustments for impairment	557,594	585,135
impairment/write-backs to property, plant and equipment and intangible assets	25,193	30,578
net provisions for risks and charges and other costs/income	70,747	92,353
unsettled taxes	(17,258)	(8,215)
other adjustments	(161)	(12,280)
2. Cash generated/absorbed by financial assets	**(3,851,926)**	**(1,273,471)**
financial assets held for trading	107,714	259,396
financial assets designated at fair value through profit and loss	1,343	13,115
financial assets available for sale	(1,925,434)	(1,225,471)
loans to customers	193,686	(168,795)
due from banks: on demand	(612,293)	175,212
due from banks: other receivables	(2,109,592)	(167,242)
other assets	492,650	(159,686)
3. Cash generated/absorbed by financial liabilities	**3,358,062**	**960,307**
due to banks: on demand	(1,024,123)	68,138
due to banks: other debts	4,908,195	292,224
due to customers	2,185,642	925,177
debt securities in issue	(1,514,514)	326,577
financial liabilities held for trading	(15,310)	(197)
financial liabilities designated at fair value through profit and loss	(620,847)	(815,265)
other liabilities	(560,981)	163,653
Net cash generated/absorbed by operating activities	**166,128**	**502,921**

B. Investing activities	31.12.2016	31.12.2015
1. Cash generated by	**150,314**	**180,654**
sale of equity investments	170	80
dividends collected on equity investments	10,204	17,460
sale of financial assets held to maturity	138,409	158,105
sale of property, plant and equipment	1,531	5,009
2. Cash absorbed by	**(289,298)**	**(703,222)**
purchase of equity investments	(268,579)	(69,639)
purchase of financial assets held to maturity	(6,908)	(621,161)
purchase of property, plant and equipment	(12,670)	(11,898)
purchase of intangible assets	(1,141)	(524)
Net cash generated/absorbed by investing activities	**(138,984)**	**(522,568)**

C. Financing activities	31.12.2016	31.12.2015
dividend distribution and other	(48,085)	(9,748)
Net cash generated/absorbed by financing activities	**(48,085)**	**(9,748)**
Net cash generated/absorbed in the period	**(20,941)**	**(29,395)**

Key
(+) generated
(-) absorbed

Reconciliation

Captions	31.12.2016	31.12.2015
Cash and cash equivalents at beginning of the period	276,777	306,329
Net cash generated/absorbed in the period	(20,941)	(29,395)
Cash and cash equivalents: effect of exchange rate variations	98	(157)
Cash and cash equivalents at end of the period	**255,934**	**276,777**

Explanatory notes

Key to abbreviations in tables:
FV: fair value
FV: fair value excluding variations due to changes in the credit worthiness of the issuer since the issue date*
NV: nominal or notional value
BV: book value
L1: Fair value hierarchy – Level 1
L2: Fair value hierarchy – Level 2
L3: Fair value hierarchy – Level 3
#: not applicable

Part A - Accounting policies

A.1 General information

Section 1 – Declaration of compliance with International Financial Reporting Standards

The Separate financial statements for the year ended 31 December 2016 have been prepared in accordance with the International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board (IASB), endorsed by the European Commission, as provided by EU Regulation no. 1606 dated 19 July 2002, and currently in force, including the related interpretations of the International Financial Reporting Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC).

Reference was also made, where necessary, to the "Framework for the preparation and presentation of financial statements" and to the documents prepared by the Italian Accounting Commission (OIC) and the Italian Banking Association (ABI).
In the absence of a standard or interpretation specifically applicable to a particular transaction, the Bank makes use of the professional opinion of its own staff, in particular the Administration and Reporting Department, to develop rules for accounting recognition that make it possible to provide reliable financial information and to ensure that the financial statements give a true and fair view of the financial position, result of operations and cash flows of the Bank, reflecting the economic substance of the transaction and its key aspects.
In formulating these accounting rules, reference has been made as far as possible to International Accounting Standards and interpretations dealing with similar or comparable matters.

Section 2 – Basis of preparation

In terms of format and layout, ever since the introduction of IAS/IFRS, the financial statements have been prepared in accordance with Circular no. 262/2005 and subsequent amendments, and with CONSOB resolution no. 11971 dated 14 May 1999 and subsequent amendments.
The financial statements also reflect the requirements of the Italian Civil Code, as amended following the reform of company law (Legislative Decrees no. 5 and no. 6 dated 17 January 2003, and subsequent amendments, including Decree 310 dated 28 December 2004), and the enabling instructions issued for art. 9 of Legislative Decree no. 38/2005.
The financial statements consist of the balance sheet, the income statement and the statement of comprehensive income, presented in euro, together with the statement of changes in shareholders' equity, the cash flow statement and these Explanatory notes, presented in thousands of euro. They are accompanied by the directors' report on operations.
The general criteria underlying the preparation of the financial statements are presented below in accordance with IAS 1:

- Going Concern: assets, liabilities and off-balance sheet transactions are measured in the context of continuity over time;
- Accrual Basis of Accounting: costs and revenues are recognised in accordance with the matching principle, regardless of when they are settled.

- Materiality and Aggregation: each material class of similar items is presented separately in the financial statements. Items that are dissimilar in terms of their nature or use are only aggregated if they are individually immaterial.
- Offsetting: assets and liabilities, income and expenses are not offset unless required or permitted by a standard or an interpretation, or by the Bank of Italy's regulations for the preparation of financial statements.
- Frequency of disclosures: information must be prepared annually or more frequently; if an entity changes its accounting reference date, the reason must be indicated together with the fact that the information provided is not comparable.
- Comparative Information: comparative information is disclosed in respect of the previous period for all amounts reported in the financial statements, unless required otherwise by a standard or an interpretation.
- Consistency of Presentation: the presentation and classification of items is maintained over time to ensure that information is comparable, unless specified otherwise in new accounting standards or their interpretations, or unless a change is required to improve the meaningfulness and reliability of the amounts reported. The nature of changes in account presentation or classification is described, together with the related reasons; where possible, the new criterion is applied on a retroactive basis.

The description of the accounting policies adopted in relation to the principal financial statement aggregates is presented in sufficient detail to identify the principal assumptions and assessments made for the preparation of the financial statements.

The notes and attachments provide additional information to help to provide a complete, true and fair view of the company's situation, even if such information is not expressly required by the regulations.

Uncertainties in the use of estimates

The preparation of financial statements requires recourse to estimates and assumptions that may affect the amounts recorded in the balance sheet and the income statement, as well as the information about contingent assets and liabilities disclosed in the financial statements. The development of such estimates involves the use of available information and the adoption of subjective assessments, partly based on historical experience, in order to make reasonable assumptions for the recognition of operating events. By their nature, the estimates and assumptions used may change from period to period and, accordingly, it may be that the actual amounts recorded in the financial statements in subsequent periods are significantly different as a consequence of changes in the subjective assessments made.
The principal situations in which management is required to make subjective assessments include:

- quantification of the losses arising from the impairment of loans and, in general, other financial assets;
- determination of the fair value of financial instruments for disclosure purposes; in particular, the use of measurement models to determine the fair value of financial instruments that are not listed in active markets;
- quantification of the provisions for employee benefits and the provisions for risks and charges;
- estimates and assumptions about the recoverability of deferred tax assets;

- measurement of goodwill/intangible assets.

Current income taxes are calculated using an estimate of current taxable income. Current tax receivables and payables are recognised at the amount that is expected to be recoverable from/payable to the tax authorities applying current fiscal regulations, or those substantially approved, at the accounting reference date and the estimated tax rates for the year.
Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax laws that have been enacted or substantively enacted by the end of the reporting period and only if deemed to be recoverable.

Section 3 – Subsequent events

These draft financial statements were approved on 28 February 2017 by the Board of Directors of BPER Banca.
Reference is made to the detailed information provided in the "Significant subsequent events and outlook for operations" section of the directors' report on operations.

Section 4 – Other aspects

Amendments to accounting standards endorsed by the European Commission

As required by IAS 8, the following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 2016.

EC Approval Regulation	Title	In force from years beginning
28/2015	Improvements to IFRS - 2010-2012 Cycle The purpose of the annual improvements is to deal with necessary topics relating to inconsistencies in IFRSs or clarifications in terminology that are not particularly urgent, but that have been discussed by the IASB during the project cycle that began in 2011. In some cases, the changes are clarifications or corrections to these principles (IFRS 8, IAS 16, IAS 24 and IAS 38), in others, the changes involve amendments to existing regulations or provide additional information on how they are to be applied (IFRS 2 and 3).	1 January 2016
29/2015	EU Commission Regulation 2015/29 of 17 December 2014, published in the Official Journal L 5 of 9 January, adopts Amendments to IAS 19 - Defined Benefit Plans: Employee Contributions. The amendment to IAS 19 was necessary to facilitate, under certain conditions, the accounting for defined benefit plans that provide for contributions to be made by employees or third parties. If certain conditions are not complied with, recognition of these contributions is more complex, because they have to be allocated to each period of the plan by an actuarial calculation of the liability involved.	1 January 2016
2113/2015	EU Commission Regulation 2015/2113 of 23 November 2015, published in the Official Journal L 306 of 24 November 2015 adopts Amendments to IAS 16 - Property, Plant and Equipment and IAS 41 - Agriculture The amendment to IAS 16 was necessary because the IASB decided that plants that are used exclusively for the cultivation of agricultural products for various years, known as fruiting plants, should be subject to the same accounting treatment as property, plant and equipment.	1 January 2016
2173/2015	EU Commission Regulation 2015/2173 of 24 November 2015, published in the Official Journal L 307 of 25 November 2015 adopts Amendments to IFRS 11 - Joint Agreements. The amendment provides new guidance on accounting for acquisitions of interests in joint ventures that constitute a business.	1 January 2016
2231/2015	EU Commission Regulation 2015/2231 of 2 December 2015, published in the Official Journal L 317 of 3 December 2015 adopts Amendments to IAS 16 - Property, Plant and Equipment and IAS 38 - Intangible Assets The amendment was necessary to clarify which depreciation/amortisation methods should be used to calculate the asset's depreciation/amortisation.	1 January 2016

EC Approval Regulation	Title	In force from years beginning
2343/2015	EU Commission Regulation 2015/2343 of 15 December 2015, published in the Official Journal L 330 of 16 December 2015 adopts amendments on certain international accounting standards (Improvements to IFRSs 2012-2014) The amendments to IFRS 5, IFRS 7 and IFRS 1 form part of the normal rationalisation and clarification of international accounting standards.	1 January 2016
2406/2015	EU Commission Regulation 2015/2406 of 18 December 2015, published in the Official Journal L 333 of 19 December 2015 adopts Amendments to IAS 1 - Presentation of Financial Statements The amendments, entitled "Disclosure initiative", aim to submit to the professional judgement of the company the relevant and explanatory information to be provided to the market.	1 January 2016
2441/2015	EU Commission Regulation 2015/2406 of 18 December 2015, published in the Official Journal L 336 of 23 December 2015 adopts amendments to IAS 27 - Separate financial statements The amendments allow entities to apply the equity method, as described in IAS 28, to include investments in subsidiaries, associates and joint ventures in their Separate financial statements.	1 January 2016
1703/2016	EU Commission Regulation 2016/1703 of 22 September 2016, published in the Official Journal L 257 of 23 September 2016, adopts Amendments to IAS 28 - Investments in Associates and Joint Ventures, IFRS 10 - Consolidated financial statements and IFRS 12 - Disclosure of interests in other entities. The changes are intended to clarify the requirements for accounting for investment entities and to provide for exemptions in certain situations.	1 January 2016

None of these updates has produced particular effects on the Bank's financial statements.

The following table shows the new international accounting standards or amendments to standards already in force, whose application is mandatory from 1 January 2017 or later date (if the financial statements do not coincide with the calendar year). The Group has decided not to take advantage of the possibility of early implementation.

EC Approval Regulation	Title	In force from years beginning
1905/2016	EU Commission Regulation 2016/1905 of 22 September 2016, published in the Official Journal L 295 of 29 October 2016, endorsed IFRS 15 Revenue from contracts with customers, the objective of which is to improve financial reporting about revenue and, thus, the comparability of reported revenue.	1 January 2018
2067/2016	EU Commission Regulation 2016/2067 of 22 November 2016, published in the Official Journal L 323 of 29 November 2016, endorsed IFRS 9 Financial instruments, the objective of which is to improve financial reporting about financial instruments by addressing relevant issues that arose during the financial crisis. In particular, IFRS 9 responds to the G20's call to move to a more forward-looking model for the recognition of expected losses on financial assets.	1 January 2018

No EC regulations endorsing international accounting standards with mandatory application from 1 January 2017 were issued during the year.

Please refer to the Directors' Report on Group operations for information on IFRS 9.

Documents of the Supervisory Authority

Bank of Italy

The Supervisory Authority did not issue any new rules or instructions regarding the financial statements. The Bank of Italy issued instructions concerning:

- setting the *ratio* for the Countercyclical Capital Buffer (CCyB) equal to 0% (updated on a quarterly basis).
- communication with guidance on accounting recognition methods and supervisory regulatory reporting of contributions paid to the Single Resolution Fund, already adopted at the time of preparing the 2015 financial statements.
- various updates to circulars on supervisory regulations:
  - Circular no. 272 "Accounts Matrix" (8th update): in particular, the structure of the information requested in section III, under EU Regulation 2015/534 of 17/3/2015, was revised;
  - Circular no. 285 "Supervisory Instructions for Banks" (16th, 17th and 18th updates): the first two updates referred to security systems for internet payments and the System of internal controls;
  - The 18th update referred to the change in the capital conservation buffer requirement (CCB), for which transitional arrangements are adopted, revising the original decision to bring forward full application of the CCB;
  - Circular no. 286 "Instructions for prudential reporting by supervised entities" (8th update): in particular, the information required with the new disclosure schemes enrich the information framework available to the Supervisory Authorities for a more thorough evaluation of the various components of the leverage ratio;
  - Circular no. 154 "Supervisory reports by banks and financial institutions - data collection schemes and submission of information flows" (63rd update): this update involved, among other things, a change in Volume II of the circular in question, concerning "Data collection schemes and coding system";
  - Circular no. 262 "Banks' financial statements: layout and preparation" (draft of 5th update): this update incorporates changes introduced by standards that will take effect as of 1 January 2018.
- TLTRO II: dissemination of operational procedures and reporting instructions.
- new reporting of non-performing loans: in the market environment in which intermediaries currently have to work, it has become a priority to improve the management of anomalous items. The availability of detailed data on non-performing loans has therefore gained great importance, particularly those considered bad loans, as well as on the guarantees that secure them and the *status* of pending recovery procedures. a view of the limited availability of such data at a computerised level, particularly marked for exposures managed by legal departments, the Bank of Italy has introduced a specific statistical survey on non-performing loans, through which it intends to collect detailed information on these exposures, any secured collateral or

other types of guarantees that lower credit risk and the *status* of recovery procedures. The new survey was produced for the first time by 25 September 2016 with 31 December 2015 as the reference date.

With reference to the CRR Regulation, the following were issued during 2016:

- Implementing regulations by the European Commission (2016/200/EU, 2016/428/EU, 2016/892/EU) concerning the prudential supervisory reports of banks, with particular reference to the information on the leverage ratio of institutions and the extension of the transitional periods relating to the Own Funds requirements for exposures to central counterparties.
- EU Regulation 2016/445 of the European Central Bank (ECB) of 14 March 2016 on the exercise of the options and discretion powers foreseen for in EU regulations (ECB/2016/4).
- EU Implementing Regulation 2016/1702 of 18 August 2016. The Regulation lays down the obligations in relation to reports that entities are required to make for the purposes of compliance with CRR and provides additional explanations of the models, instructions and definitions used by the entities for the purpose of regulatory reporting, in addition to updating and replacing the various forms in the attachments to the legislative measure.

Document issued jointly by the Bank of Italy, CONSOB and IVASS on the recognition of default interest pursuant to Legislative Decree no. 231/2002 concerning performing loans purchased outright.

The document, which was issued on 9 November 2016, was needed to address the above topic, which is not expressly covered by IAS 39.

A reliable estimation of the portion of the interest deemed to be recoverable at the time of purchase of the loans should be immediately included in expected cash flows and should be recognised on an accrual basis (based on its maturity).

In the absence of a reliable estimate, the *default* interest should be recognised on a cash basis (based on actual receipts).

Other regulations – Internal recognition rules

As stated in the paragraph entitled "General assessment criteria", in the absence of a standard or interpretation specifically applicable to a particular transaction, an appropriate internal rule for accounting recognition should be developed and formalised.

Since 2015 there are no longer any internal interpretations that need to be complied with and no need arose to introduce any new rules in 2016.

Domestic tax group election

Commencing from 2007, BPER Banca has elected to establish a domestic tax group, which was introduced by Legislative Decree no. 344/2003 and subsequent amendments and is governed by arts. 117-129 of the Consolidated Income Tax Law.

Under this optional arrangement, which is binding for three years, the subordinate members transfer their results to the parent, for fiscal purposes only, which then calculates the consolidated taxable income or tax loss.

The effects of the tax consolidation are reported in the *"Other assets - due from members of the tax group"* caption, as the matching entry for the IRES provisions classified as *"Current tax liabilities"* by the above group companies, gross of withholdings and the advances paid.

The *"Other liabilities - due to members of the tax group"* caption represents the matching entry for the IRES advances withheld from and paid by the above group companies, which are classified as *"Current tax assets"* following their transfer to the consolidating company.

The option exercised by Banco di Sardegna, Optima SIM and BPER Trust Company was due to expire at the end of the 2016 tax year, but was duly renewed by 30 September 2016 upon filing their tax returns.

Consolidated companies	2014	2015	2016	2017	2018
Banca di Sassari s.p.a.		x	x	x	
Banco di Sardegna s.p.a.			x	x	x
Cassa di Risparmio di Bra s.p.a.	x	x	x		
Optima s.p.a. SIM			x	x	x
Emilia Romagna Factor s.p.a.	x	x	x		
Sardaleasing s.p.a.		x	x	x	
BPER Trust Company s.p.a.			x	x	x

Audit

The financial statements are audited, as required by Legislative Decree no. 58 dated 24 February 1998, by PricewaterhouseCoopers s.p.a. which was appointed for the period 2008-2016 at the Shareholders' Meeting held on 10 May 2008.
Due to the fact that the above audit appointment was coming to an end, BPER Banca initiated the process required by EU regulations that became effective as from mid-2016 and, on 26 November 2016, the Ordinary Shareholders' Meeting approved the appointment of Deloitte & Touche s.p.a. as auditors for the period 2017-2025, as well as their remuneration.

A.2 Main captions in the financial statements

1 - Financial assets held for trading

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while derivative contracts are recognised on the date of signature.
In particular, any changes in the fair value of the asset to be received between the settlement date and the earlier arrangement date are recognised at the time of settlement, in the same way in which the asset acquired is recorded.
After initial recognition, financial assets held for trading are measured at their fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, without considering any related costs or income attributable to them, which are recorded directly in the income statement.
Embedded derivatives (instruments whose characteristics satisfy the definition of a "derivative") embedded in but not closely correlated with hybrid financial instruments, and classified in financial asset or liability categories other than assets or liabilities measured at fair value, are separated from the host contract, reclassified to this category and measured at fair value. The related host contract is measured on the basis applicable to the category in which it is classified.

Classification

The Bank classifies as *"Financial assets held for trading" those* financial instruments that are held with a view to generating short-term profits deriving from variations in their prices. This category includes the derivative instruments that are not held for hedging purposes.

Measurement

After initial recognition, financial assets held for trading are measured at their fair value. If the fair value of a financial asset becomes negative, it is accounted for as a financial liability.
The VaR techniques used to determine fair value are described in point 21 within this part of the Explanatory notes.
As an exception, if the fair value of equity instruments and the related derivatives cannot be reliably determined using the above guidelines, they are valued at cost.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.
If the Bank sells a financial asset classified in its own trading portfolio, it derecognises the asset on the date it is transferred (the settlement date).
Securities received as part of a transaction that contractually provides for their subsequent sale and securities delivered as part of a transaction that contractually provides for their repurchase are not recorded or eliminated from the financial statements.

Recognition of components affecting the income statement

The positive elements of income comprising interest on securities and similar revenues, as well as the differentials and margins from derivative contracts classified as financial assets held for trading, but

operationally linked with the financial assets and liabilities measured at fair value (under the fair value option), are recorded in the interest captions of the income statement on an accruals basis.
The differentials and margins from other derivative contracts classified in the trading portfolio are recorded as *"Net trading income"*.
Gains and losses realized on sale or redemption and unrealised gains and losses deriving from changes in the fair value of the trading portfolio are classified as *"Net trading income"*, except for amounts relating to derivative contracts that are operationally linked to assets or liabilities measured at fair value, which are classified as *"Net results on financial assets and liabilities designated at fair value"*.

2 - Financial assets available for sale

Recognition

Financial assets represented by debt or equity instruments are initially recognised on the settlement date, while loans are recognised on the payout date.
Financial assets available for sale are initially recorded at fair value; unless stated otherwise, this is represented by the consideration paid for the transaction, including any directly-attributable transaction costs or income. Assets reclassified from *"Financial assets held to maturity"* are recognised at their fair value at the time of transfer.

Classification

This category comprises the financial assets, other than derivatives, that have not been classified in the other categories envisaged by IAS 39 and do not represent interests in subsidiaries, joint ventures or associates.

Measurement

Subsequent to initial recognition, assets available for sale continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the Explanatory notes. As an exception, if the fair value of equity instruments cannot be determined reliably, they are valued at cost.
An impairment test is performed at each reporting date to check if there is any objective evidence of a reduction in value.
If subsequently the reasons for impairment cease to apply, the amounts concerned are written back without causing the value of the asset to exceed the amortised cost that would have been reported in the absence of earlier adjustments.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

Recognition of components affecting the income statement

The return on financial instruments, determined using the effective interest method ("amortised cost" basis), is recognised as income on an accruals basis, while gains or losses deriving from changes in fair value are recorded in a specific "equity reserve" until the financial asset is derecognised or a loss in value is recorded. The corresponding amount is included in the statement of comprehensive income.
Dividends are recognised when the right to collect them is established.

On derecognition or when a loss in value is recorded, the accumulated Gains or losses are released from the related reserves to the income statement as, respectively, *"Gains/losses on disposal or repurchase"* or *"Net impairment adjustments"*. If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back to the income statement, if they relate to loans or debt securities, and to shareholders' equity if equity instruments are concerned.

3 - Financial assets held to maturity

Recognition

Financial assets are initially recognised on the settlement date. At the time of initial recognition, the financial assets classified in this category are recorded at their fair value, including any directly-attributable costs and revenues.
If transferred to this category from *Assets available for sale*, the fair value of the financial assets at the time of transfer is taken to be their new amortised cost.

Classification

This category is used to record the debt instruments with payments that are fixed or determinable at fixed intervals which the Bank intends and is able to retain until they mature.
Investments are reclassified as *financial assets held for sale* if the intention or ability to retain them changes and it is no longer appropriate to classify them in this category. In the case of not-insignificant sales or reclassifications of investments held to maturity (part of a portfolio of financial assets held to maturity) that do not meet any of the conditions set out in paragraph 9 of IAS 39, any residual investment held to maturity is reclassified as a *financial asset available for sale*.

Measurement

Subsequent to initial recognition, *Financial assets held to maturity* are measured at amortised cost.
An impairment test is performed at each reporting date to check if there is any objective evidence of a reduction in value. In the event of impairment, the amount of the loss is measured as the difference between the book value of the assets and the present value of the estimated recoverable cash flows, discounted using the original effective interest rate.
If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back. The carrying amount after the writeback does not exceed the amortised cost that would have been recognised had the impairment losses not been recorded.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows, or when they are sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

The positive elements of income comprising interest and similar income are recorded in the interest captions of the income statement, on an accruals basis, using the effective interest method.
Gains and losses on assets held to maturity are recorded in the income statement when the assets are derecognised or suffer a loss in value.

Any write-downs in value are charged to the *"Net impairment adjustments"* caption of the income statement. If the reasons for recognising a reduction in value cease to apply as a result of subsequent events, the amounts concerned are written back to the income statement.

4 - Loans

Recognition

Loans are initially recognised on the payout date or, in the case of debt securities, on the settlement date, with reference to the fair value of the financial instrument concerned. This is represented by the amount paid out, or the subscription price, including costs/revenues that are both directly attributable to the individual loans and identifiable from the start of the transaction, even if they are settled at a later time. Costs with the above characteristics are excluded if they are reimbursable by the borrower or represent routine internal administrative costs.

Agreements involving the forward repurchase or resale of securities are recorded in the financial statements as funding or lending transactions. In particular, spot sales with forward repurchases are recorded as a payable for the spot amount collected, while spot purchases with forward resales are recorded as a loan for the spot amount paid.

Classification

Loans form part of the broadest category of financial instruments and consist of relationships under which the Bank has a right to the cash flows deriving from the loan.

This caption includes loans to customers and deposits with banks, either made directly or acquired from third parties and not listed on active markets, which involve payments that are either fixed or determinable.

The loans caption also includes loans, repurchase agreements and finance leases (which are accounted for under the "financial method", in accordance with IAS 17). The amount shown on the assets side of the lessor's balance sheet reflects the value of the loan granted, net of the principal portions of the lease instalments that have fallen due and been paid by the lessee. The income statement includes the interest income and the securities subscribed for at the time of issue or private placement and not listed on active markets, with payments that are fixed or determinable.

Measurement

After initial recognition, loans are valued at their amortised cost, corresponding to the initially recognised amount less principal repayments, net impairment adjustments and amortisation - calculated using the effective interest method – of the difference between the amount paid out and the amount repayable on maturity, which is generally attributable to the costs/income directly allocated to the individual loans.

The effective interest rate is the rate that discounts the flow of estimated payments over the expected duration of the loan back to its initial net book value, inclusive of directly-related costs and revenues. In financial terms, this method of recognition distributes the economic effect of these costs and revenues over the expected residual life of the loan.

The amortised cost method is not used in relation to short-term loans (up to 12 months), since the effect of discounting would be negligible. These loans are stated at historical cost.

Costs and revenues relating to loans without a fixed term or repayable on demand are recorded directly in the income statement.

Loans are assessed at the end of each accounting period to identify any objective evidence, arising from events subsequent to initial recognition, that their value may be impaired. This includes positions classified as non-performing, "unlikely to pay" and past due loans in compliance with current Bank of Italy regulations, which are consistent with IAS/IFRS.
The amount of the adjustment of each balance is equal to the difference between its carrying value at the time of measurement (amortised cost) and the present value of expected future cash flows.
The estimate of expected cash flows comes from assessing analytically the position of bad loans for "unlikely to pay" loans with exposures above the thresholds set by internal procedures. For "unlikely to pay" loans with exposures above the thresholds set by in internal procedures and past due loans, expected cash flows are calculated using a forfeit approach, based on the operational version of LGD.
The adjustments are recorded in the income statement.
The original value of loans is reinstated in subsequent periods, to the extent that the reasons for the adjustments made cease to apply, on condition that this assessment is objectively linked with events that took place subsequent such adjustments.
The reversal of the impairment loss may not exceed the amortised cost of the loan had the impairment not been recognised in the past.
Loans and advances, for which no impairment was identified on an individual basis, have been subjected to measurement as a whole, to estimate the implicit risk component.
This assessment is made on a case-by-case basis with reference to the risk parameters (Probability of Default – PD, and Loss Given Default – LGD) generated by the internal models. Any additional write-downs or write-backs are determined separately at the end of each reporting period, with reference to the entire portfolio of performing loans as of that date.

Derecognition

Loans sold are only derecognised if the disposal involved the transfer of essentially all the risks and benefits associated with the loan. Conversely, if the risks and benefits relating to loans that have been sold are retained, these continue to be reported as assets in the balance sheet, even if legal ownership of the loans has been effectively transferred.
Even if the transfer of essentially all the risks and benefits cannot be demonstrated, loans are derecognised if no form of control over them has been retained. By contrast, the partial or total retention of such control means that the related loans are reported in the balance sheet to the extent of the residual involvement, as measured by the exposure to changes in the value of the loans sold and to changes in their cash flows.
Lastly, loans sold are derecognised, despite retention of the contractual rights to collect the related cash flows, if there is a parallel commitment to pay all such flows and only these to third parties.

Recognition of components affecting the income statement

The positive elements of income comprising interest and similar income are recorded in the interest captions of the income statement, on an accruals basis, using the effective interest method.
Default interest, which may be provided by contract, is recognised in the income statement only when actually collected.
The costs/revenues attributable to short-term loans, as defined above, are recorded directly in the income statement.
Write-downs and any write-backs are recorded in the *"Net impairment adjustments to loans"* caption of the income statement.

Profits and losses from the sale of loans are classified in the *"Gains/losses on disposal or repurchase of loans and advances"* caption.

Securitised loans

In accordance with the applicable product breakdown, loans also include securitisation loans (after 1 January 2004 that do not satisfy the IAS 39 requirements for derecognition (see paragraph 24 – Derecognition of financial assets).

The corresponding amounts received for the sale of securitised loans, net of the securities issued and other forms of credit support that may be held in portfolio (retained risk), are recognised in liability caption *"Due to banks"* and *"Due to customers"*.

Both assets and liabilities are measured at amortised cost and the interest is recorded in the income statement. In the event of losses due to impairment of securitised assets that have not been subject to derecognition from the financial statements, such losses are recorded in income statement caption *"Net impairment adjustments to loans"*.

5 - Financial assets designated at fair value through profit and loss

Recognition

These financial assets are initially recognised on the settlement date.

On initial recognition, these financial assets are recorded at their fair value, as represented - unless specified differently - by the consideration paid for the transaction without considering the costs or revenues attributable to the instrument, which are recorded directly in the income statement.

Classification

Financial assets designated at fair value through profit and loss include the financial assets, not held for trading, that meet at least one of the following criteria:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of assets managed together whose performance is measured at fair value, as part of a documented risk-management strategy;
- they contain separable embedded derivatives.

Measurement

Subsequent to initial recognition, financial assets continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the Explanatory notes.

Derecognition

Financial assets are derecognised on expiry of the contractual rights over the related cash flows or when the financial asset is sold with the transfer of essentially all the related risks and benefits.

If the Bank sells a financial asset at fair value, it derecognises the asset on the date it is transferred (the settlement date).

Securities received as part of a transaction that contractually provides for their subsequent sale and securities delivered as part of a transaction that contractually provides for their repurchase are not recorded or eliminated from the financial statements.

Recognition of components affecting the income statement

The positive elements of income represented by interest income are recorded in the interest captions of the income statement on an accruals basis.

Gains and losses realized on sale or redemption and unrealized gains and losses deriving from changes in the fair value of the portfolio are classified in the *"Net results on financial assets and liabilities at designated at fair value through profit and loss"* caption.

6 - Hedging derivatives

Recognition

Hedges are arranged to neutralise losses that may be incurred in relation to a given element or group of elements, as a consequence of a given risk, via profits that would be earned on another element or group of elements should that particular risk crystallise. There are two types of hedge:

- fair value hedges: arranged to hedge the exposure to changes in the fair value of a balance sheet caption;
- cash flow hedges: arranged to hedge the exposure to changes in future cash flows attributable to specific balance sheet captions.

Classification

Financial instruments are designated as hedges when the relationship between the hedged and the hedging instrument is adequately documented and formalised, if the hedge is effective both at the start and prospectively throughout its life.

Measurement

Hedging derivatives are measured at their fair value.

Specific tests are performed to verify the effectiveness of hedging transactions. The effectiveness of a hedge depends on the extent to which changes in the fair value of the hedged instrument, caused by changes in the risk factor addressed by the hedge, are offset by changes in the value of the hedging instrument. In order to be effective, the hedge must be made with a counterparty outside the Group.

The method of accounting for the gains and losses deriving from changes in fair value depends on the type of hedge:

- fair value hedge: the change in the fair value of the hedged element representing the hedged risk is recognised in the income statement, together with the change in the fair value of the derivative instrument; any difference, which represents the ineffective portion of the hedge, determines the consequent net economic effect.
- cash-flow hedge: to the extent that the hedge is effective, changes in the fair value of the derivative are recognised in shareholders' equity; they are only recognised in the income statement when changes in the cash flows from the hedged item need to be offset, or when the hedge becomes ineffective.

Effectiveness is established when changes in the fair value of (or cash flows from) the hedging instrument, caused by the hedged risk factor, almost entirely offset those of the hedged instrument (the percentage limits fall in the range from 80% to 125%).

Effectiveness is checked each month for operational purposes and on every official reporting date for accounting purposes, using:

- prospective tests that justify the application of hedge accounting, by demonstrating the expected effectiveness of the hedge;
- retrospective tests that show the effectiveness of the hedge during the period under review. In other words, they measure by how the actual results differ from the "perfect" hedge.

Derecognition

If transactions do not meet the effectiveness test, hedge accounting - as described above - is terminated and the derivative contract is reclassified as an instrument held for trading, with recognition of the related impacts in the income statement. Hedge accounting is also terminated in the following situations:

- the hedged item is sold and redeemed;
- the hedging transaction is revoked prior to the expiry date;
- the hedging instrument expires, is sold, terminated or exercised.

Recognition of components affecting the income statement

Income elements are allocated to the relevant income statement captions on the following basis:

- differentials earned on derivatives that hedge interest-rate risk (and the interest on the hedged positions) are allocated to the *"Interest and similar income"* or *"Interest and similar expense"* captions;
- capital gains and losses deriving from the measurement of hedging instruments and the positions covered by fair value hedges are allocated to the *"Net hedging gains (losses)"* caption;
- capital gains and losses deriving from measurement of the effective part of "cash flow hedges" are allocated to a special *equity reserve "cash flow hedges"*, net of the related deferred tax effect. Gains and losses relating to the ineffective part of such hedges are recorded in the *"Net hedging gains (losses)"* caption of the income statement.

7 - Equity investments

Recognition

Equity investments are recognised on the settlement date. Equity investments are recorded at cost on initial recognition, including any costs and revenues directly attributable to the transaction.

Classification

This caption comprises both controlling equity interests (understood as the power to manage the relevant activities, influence their returns and be exposed to such returns) and interests in associates (over which significant influence is exercised).
The concept of control explained in IFRS 10 requires a more comprehensive analysis as it is necessary to identify the relevant activities, check whether the rights/powers exist and analyse whether there is exposure to the variability of returns. This includes an evaluation based on a single consolidation model (because it should be applied to all entities regardless of their nature), carried out every time financial statements are prepared.
This caption also includes equity investments in associates which according to IAS 28 are not only companies in which the equity interest equals or exceeds 20% (or an equivalent share of the Voting rights), but also those companies subject to significant influence due to certain legal ties (such as

shareholder agreements) and those under joint control as a result of contractual, shareholder or other arrangements for the joint management of the business and the appointment of directors.

Measurement

Under IAS 27, 28 and IFRS 11, equity investments in subsidiaries, joint ventures and associated companies can be carried at cost in the Bank's individual financial statements, or at fair value pursuant to IAS 39. The Bank has measured them at cost. Any difference between the cost incurred and the share of interest in the fair value of the net identifiable assets of the investment is recorded in a way similar to the provisions of IFRS 3 "Business Combinations".

If there is evidence that an investment in an associate may be impaired, its recoverable amount is estimated with reference to the present value of future cash flows, including the expected proceeds from the future sale of the investment.

If the recoverable amount is lower than the carrying amount, the related difference is charged to the income statement.

If the reasons for making the impairment adjustment cease to apply as a result of an event subsequent to the write-down, the related write-back is credited to the income statement without exceeding the amount of the write-down previously recorded.

The Parent Company's share of any losses of the investee, exceeding the book value of the investment, is recorded in a specific reserve to the extent that the company is required to fulfil legal or implicit obligations of the investee, or, in any case, to cover its losses.

Derecognition

Equity investments are derecognised on expiry of the contractual rights over the related cash flows or when the investment is sold with the transfer of essentially all the related risks and benefits of ownership.

Recognition of components affecting the income statement

Dividends are recorded in the "*Dividends and similar income*" caption when the right to collection is established.

Any write-downs/write-backs relating to the impairment of equity investments and gains or Losses on the disposal of equity investments are recorded in the "*Profit (loss) from equity investments*" caption.

8 - Property, plant and equipment

Recognition

Property, plant and equipment are initially recorded at purchase price, including all directly statements attributable costs of purchasing and bringing the asset to working condition.

Expenditure on improvements that will generate future economic benefits is added to the value of the assets concerned, while routine maintenance costs are charged to the income statement.

Classification

Property, plant and equipment comprise land, property used for operating purposes, installations, furniture, furnishings and all types of equipment.

These are tangible assets that will be used for more than one accounting period and which are held for use in the production of business or the supply of goods and services, for rental to third parties or for administrative purposes.
This caption also includes assets held under finance lease contracts, even though the lessor remains the legal owner.

Measurement

Property, plant and equipment, including investment property, are carried at cost less accumulated depreciation and any accumulated impairment losses.
Property, plant and equipment are systematically depreciated over their useful lives[2], on a straight-line basis, except for:

- land acquired separately or included in the value of property, since it has an indefinite useful life. The value of land included in property is deemed to be separable from the value of buildings; the allocation of value between land and buildings is based on independent appraisals carried out solely in relating to free-standing buildings;
- works of art, since the useful life of a work of art cannot be estimated and its value normally appreciates over time.

If there is any evidence at a reporting date that the value of an asset may be impaired, its carrying value is compared with its recoverable value, being its fair value net of any selling costs or its value in use, as represented by the present value of the cash flows generated by the asset, whichever is greater.
Any adjustments are recorded in the income statement.
If the reasons for recognising an impairment loss cease to apply, the loss can be written back but without exceeding the carrying value that the asset would have had (net of depreciation) if no impairment losses had been recognised in prior years.

Derecognition

Property, plant and equipment are derecognised on disposal, or when the assets concerned are permanently taken out of use and no further economic benefits are expected from their disposal.

Recognition of components affecting the income statement

Both the depreciation determined on a straight-line basis and any net impairment adjustments are recorded in the *"Net adjustments to property, plant and equipment"* caption of the income statement.
Disposal gains and losses are however recorded in the *"Gains (losses) on disposal of investments"* caption.

9 - Intangible assets

Recognition

Intangible assets other than goodwill are initially recognised at cost, as represented by the purchase price paid plus any directly-related costs incurred to obtain use of the assets concerned.

[2] *The relevant section of the Explanatory Notes, Part B, includes a table with the useful life of the main fixed asset categories*

Goodwill may be recognised as an intangible asset when the positive difference between the acquisition cost of an equity interest (including related charges) and the fair value of the net assets acquired, including those identified as part of the Purchase Price Allocation (PPA), is representative of the investee's ability to generate income in the future (goodwill).
If the difference is negative (badwill) or the goodwill is not justified by the investee's ability to generate income in the future, the difference is recognised in the income statement.

Classification

Intangible assets are identifiable, non-monetary assets without physical form that are expected to generate economic benefits.

The qualifying characteristics of intangible assets are:

- identifiability;
- control over the resources concerned;
- expectation of economic benefits.

In the absence of any one of the above characteristics, the acquisition or internal production costs are expensed in the year incurred.
Goodwill is represented by the difference between the acquisition cost of an equity investment and the fair value, at the acquisition date, of the assets and other balance sheet items acquired.
Other intangible assets are recognised if they are identifiable and reflect legal or contractual rights.

Measurement

An intangible asset with an indefinite useful life, such as goodwill, is not amortised, but is tested periodically for impairment. An impairment test is performed annually, or whenever there is an indication of impairment. In the case of goodwill, the cash generating unit (CGU) to which it has been allocated is tested for impairment. If the carrying amount of the CGU, inclusive of goodwill, exceeds its recoverable amount, an impairment loss is recognised up to the amount of the goodwill recorded. The recoverable amount is the higher of the cash-generating unit's fair value, net of any selling costs, or its related value in use. Any resulting impairment loss is recognised in the income statement and the reversal thereof is prohibited.
In contrast to the treatment of goodwill, the cost of intangible assets with a finite useful life is amortised on a straight-line basis or by use of the reducing balance method based on the flow of economic benefits expected from the asset. If there is any evidence of impairment, it is envisaged that an asset would be assessed for impairment by comparing its fair value to its carrying amount.
An estimate of recoverable value is made if there is any evidence of asset impairment at the reporting date. The impairment loss, expensed to income, is the difference between the carrying value of an asset and its recoverable amount, if the latter is lower.

Derecognition

Intangible assets are derecognised on retirement and when no further economic benefits are expected.

Recognition of components affecting the income statement

Both the amortisation charge and any net impairment adjustments to intangible assets other than goodwill are recorded in the *"Net adjustments to intangible assets"* caption of the income statement.

Disposal gains and losses are however recorded in the *"Gains (losses) on disposal of investments"* caption.
Adjustments to the value of goodwill are recorded in the *"Goodwill impairment"* caption.

10 - Non-current assets and disposal groups held for sale

Recognition and classification

Non-current assets and groups of assets/liabilities subject to a disposal process are classified in asset caption 140 *"Non-current assets and disposal groups held for sale"* and liability caption 90 *"Liabilities associated with non-current assets held for sale"*, when such sale is deemed to be highly likely.

Measurement

These assets and liabilities are measured at the lower of their carrying value, determined in accordance with IFRS, or their fair value, less costs to sell.

Recognition of components affecting the income statement

Income and charges (net of tax effect) relating to discontinued operations are classified in the *"Net profit/loss from non-current assets and disposal groups held for sale"* caption of the income statement.

11 - Current and deferred taxation

Recognition and classification

Current taxation comprises the net balance of income tax payable for the year and the current tax receivable due from the tax authorities consisting of advances and other withholding tax credits or other tax credits recoverable by future offset.
Current tax assets also include tax credits for which a request for reimbursement has been made to the tax authorities.
Deferred tax assets and liabilities are calculated on temporary differences between the carrying amounts and the corresponding amounts recognised for tax purposes, applying the tax rate in force on the date on which the temporary difference will reverse, determined on the basis of the tax rates that are foreseeable under current rules at the reporting date.

Measurement

Deferred tax assets, representing the future tax benefit deriving from deductible temporary differences and tax losses carried forward, are recognised to the extent that their recovery is highly likely.
Deferred tax assets not recognised in the financial statements are re-analysed at each balance sheet date and recognised to the extent that it is now probable that there will be sufficient taxable income in the future to recover the deferred tax asset.
The Bank recognises the effects of current and deferred taxation by applying, respectively, the current tax rates and the theoretical tax rates in force when the related temporary differences "reverse".

Recognition of components affecting the income statement

Changes in tax assets and liabilities are normally recorded in the *"Income taxes on current operations"* caption.

As an exception, those deriving from transactions recognised directly in equity are treated in the same way, and those deriving from Business Combinations are included in the calculation of goodwill.

12 - Provisions for risks and charges

Recognition

The provisions for risks and charges cover liabilities whose timing and extent are uncertain, when all the following conditions are met:

- a current obligation exists at the balance sheet date, deriving from a past event. The origin of the obligation must either be legal (deriving from a contract, regulation or the provisions of law) or implicit (arising when the business causes third parties to expect that commitments will be met, even if these do not fall into the category of legal obligations);
- a financial outflow is likely;
- the extent of the obligation can be estimated reliably.

For liabilities that are merely potential and not likely, no provision has been made, but information is provided in the report on operations in the section "Principal risks and uncertainties".

Classification

This caption includes the provisions relating to long-term benefits and post-employment benefits governed by IAS 19, discussed in paragraph 17 below, and the provisions for risks and charges governed by IAS 37.

Measurement

Where the time element is significant, the provisions are discounted using current market rates. Provisions are charged to the income statement.

Recognition of components affecting the income statement

Provisions for risks and charges and the related write-backs, including the effects of the passage of time, are classified in the *"Net provisions for risks and charges"* caption.

Provisions are made on the basis of the best estimate of the amount that the company would reasonably pay to settle the obligation or to transfer it to third parties at the balance sheet date. When the financial effect of time is significant and the payment dates of obligations can be reliably estimated, the provision is calculated by discounting the expected future cash flows taking into account the risks associated with the obligation; the increase in the provision due to the passage of time is recognised in the income statement.

13 - Debts and debt securities in issue

Recognition

The initial recognition of these financial liabilities takes place on receipt of the amounts collected or on issue of the debt securities.

These liabilities are initially recognised at their fair value, usually corresponding to the amount collected or the issue price, plus any additional costs/proceeds directly attributable to the individual funding

transaction or issue that are not reimbursed by the creditor. This does not include internal administrative costs.
Structured instruments are considered to include compound debt instruments linked to equities, foreign currencies, credit instruments or indices. If such instruments are not classified as Financial Liabilities designated at fair value through profit and loss, the embedded derivative is separated from the primary contract and represents a "derivative" in its own right, if the separation criteria are satisfied. The embedded derivative is recorded at its fair value, while the value of the primary contract represents the difference between the total amount collected and the fair value of the embedded derivative.
The issue of instruments convertible into shares in the Bank involves the recognition, on the issue date, of both a financial liability and an equity element. In particular, the value of a financial liability with the same cash flows but without conversion rights is deducted from the overall value of the instrument. The residual value is then attributed to the equity element of the convertible bond.

Classification

"Due to banks", "Due to customers" and *"Debt securities in issue"* comprise the various forms of interbank and customer funding. These captions also include liabilities recognised by the lessee under leases, as well as funding through certificates of deposit and debt securities in issue, net of any repurchases, not classified as *"Financial liabilities designated at fair value through profit and loss"*.

Measurement

Following initial recognition, financial liabilities are valued at amortised cost.
As an exception, short-term liabilities (up to 12 months) are measured at the amount collected and any costs are charged to the income statement, since the effect of the time factor is insignificant.
Any separated embedded derivatives are measured at fair value and the related changes are recorded in the income statement.

Derecognition

Financial liabilities are derecognised when they expire or are settled.
The repurchase of debt securities in issue in prior periods results in their derecognition.
The difference between the carrying amount of the liability and the amount paid to repurchase it is recorded in the income statement.
The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest and similar expense are recorded in the interest captions of the income statement on an accruals basis, using the effective interest method.
Costs/revenues relating to short-term payables are recorded directly in the income statement.
The difference between the book value of a liability and the amount paid to settle it is recorded in the *"Gains/losses on disposal/repurchase"*.

14 - Financial liabilities held for trading

Recognition

The criteria applied for the recognition of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Classification

This caption includes the negative fair value adjustment of trading derivatives and the fair value of the liabilities deriving from "technical shorts" generated by trading in securities.

Measurement

The criteria applied for the measurement of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Derecognition

The criteria applied for the derecognition of financial assets held for trading (see Section 1 above) are adopted, with suitable modifications.

Recognition of components affecting the income statement

The criteria applied for the recognition of income components of financial assets held for trading (see Section 1 above) are adopted with suitable modifications.

15 - Financial liabilities designated at fair value through profit and loss

Recognition

These liabilities are initially recognised at fair value, net of transaction costs or revenues.

Classification

This caption includes the financial liabilities to be measured at fair value through the income statement, if one of the following conditions are met:

- classification in this category eliminates "accounting asymmetries";
- they are part of groups of liabilities managed together whose performance is measured at fair value, as part of a documented risk-management strategy;
- they contain separable embedded derivatives.

Measurement

Subsequent to initial recognition, financial liabilities continue to be measured at their fair value. The techniques for determining fair value are described in point 21 in this part of the Explanatory notes.

Derecognition

Financial liabilities designated at fair value through profit and loss are derecognised when they expire or are settled.

The repurchase of debt securities in issue in prior periods results in their derecognition.

The renewed placement of treasury securities subsequent to their repurchase is deemed to represent a new issue, with the recognition of a new placement price, without any effect on the income statement.

Recognition of components affecting the income statement

The negative elements of income represented by interest are recorded in the interest captions of the income statement on an accruals basis.

The results of measurement are recorded in the *"Net result on financial assets and liabilities designated at fair value"* caption, together with the profits and losses arising on settlement.

16 - Currency transactions

Recognition

On initial recognition, foreign currency transactions are recorded in the reporting currency, by translating the foreign currency amounts using the exchange rates prevailing on the transaction dates.

Measurement

At each reporting date, the amounts originally denominated in a foreign currency are measured as follows:

- monetary items are translated using the closing rate for the period;
- non-monetary items carried at historical cost are translated using the exchange rate on the date of the transaction;
- non-monetary items carried at fair value are translated using the closing rate for the period.

Classification

These comprise all assets and liabilities not denominated in euro.

Derecognition

The criteria applying to the balance sheet captions concerned are used. The exchange rate applying on the settlement date is used.

Recognition of components affecting the income statement

Exchange differences deriving from the settlement of monetary items or from the translation of monetary items using rates other than the initial translation rate, or the closing rate at the end of prior periods, are recorded in the income statement for the period in which they arise.

When gains or losses relating to a non-monetary item are recorded in shareholders' equity, the related exchange differences are also recorded in shareholders' equity. Conversely, when gains or losses are recorded in the income statement, the related exchange differences are also recorded in the income statement.

17 - Employee benefits

Classification

Employee benefits, excluding short-term amounts such as wages and salaries, comprise:

- post - employment benefits;

- other long-term benefits.

Post-employment benefits are, in turn, sub-divided into defined-contribution plans and defined benefit plans, depending on the nature of the benefits envisaged:

- under defined contribution plans, the employer makes fixed contributions and has no legal or constructive obligation to make further contributions if the fund does not hold sufficient assets to pay all employee benefits;
- defined benefit plans are all post-employment benefit plans other than defined contribution plans.

Pursuant to Law 296 dated 27 December 2006 (2007 Finance Law):

- the TFR earned from 1 January 2007 by is deemed to be a defined contributions plan for which no actuarial calculations are required;
- the TFR already earned at the dates indicated above, on the other hand, continues to be treated as a defined benefits plan, although such benefits have already been fully earned. As a consequence, the actuarial value of the liability must be redetermined at every accounting date subsequent to 31 December 2006.

Other long-term benefits comprise employee benefits that are not due entirely within twelve months of the end of the year in which employees accumulated their right to them.

Recognition and measurement

The value of a defined-benefit obligation is represented by the present value of the future payments necessary to settle the obligations deriving from work performed by employees in the current and prior years.

This present value is determined using the "Projected Unit Credit Method".

The employee benefits included as other long-term benefits, such as long-service bonuses that are paid on reaching a pre-determined level of seniority, are recorded for an amount determined at the reporting date using the "Projected Unit Credit Method".

The Provision for termination indemnities is recorded as a separate liability, while the other post-employment benefits and long-term benefits are recorded among the provisions for risks and charges.

Recognition of components affecting the income statement

Service costs are recorded as payroll costs, together with the related accrued interest.

Actuarial gains and losses (remeasurements) relating to post-employment, defined benefit plans are recorded in shareholders’ equity in the year they are identified. These actuarial gains and losses are reported in the "Statement of comprehensive income", as required by IAS 1.

The actuarial gains and losses (remeasurements) relating to other long-term benefits are recognised in full as part of payroll costs in the year in which they arise. On this last point, in 2012 BPER Banca has standardised the orientation expressed by the National Institute of Actuaries in Circular no. 35 dated 21 December 2012, valid with effect from the measurements carried out at 31 December 2012. This document confirmed the guidelines already issued with the previous Circular dated 22 May 2012, in which it was expected that the component represented by interest cost had to be calculated using the rate of the curve corresponding to the duration of the liability, instead of the 1-year rate of the same curve used up to 31 December 2011.

The information not specifically detailed here, is provided in the Remuneration Report and in the Remuneration Policies referred to in Part I of these notes.

18 – Income statement: Revenues

Revenues are the gross inflow of economic benefits arising in the course of ordinary activities of a business, when those inflows result in increases in equity, other than increases relating to contributions from shareholders (IAS 18).
Revenues are recognised at the fair value of the consideration received or receivable, when it can be reliably estimated.
When the result of a rendering of services can be estimated reliably, the revenues associated with the transaction are recognised using the percentage of completion at the balance sheet date.

The outcome of a transaction can be estimated reliably when all of the following conditions are met:

a) the amount of the revenues can be reliably measured;
b) it is probable that the economic benefits associated with the transaction will flow to the business;
c) the stage of completion of the transaction at the balance sheet date can be reliably measured;
d) the costs incurred for the transaction and the costs to complete it can be reliably calculated.

Revenues are recognised in the accounting period in which the services are provided and when it is probable that the economic benefits associated with the transaction will flow to the company.
However, when there is uncertainty about the collectability of an amount already included in revenue, the uncollectible amount, or the amount whose recovery is no longer probable, is recognised as an expense, rather than as an adjustment to the original revenue.

Revenues arising from third-party use of the entity's assets yielding interest and dividends are recognised on the basis of the following criteria:

a) interest is recognised using the effective interest method;
b) dividends are recognised when the shareholders' right to receive payment is determined.
c) commission income on services is recorded in the period when the services are rendered, based on contractual agreements. Commissions considered in amortised cost for the purpose of determining the effective interest rate are recognised as interest.

19 – Income statement: Costs

Costs are recognised at the same time as the related revenues according to the principle of matching revenues and costs. If the correlation between costs and revenues is only generic and indirect, the costs are recorded over several years according to a systematic method of distribution in accordance with the accrual principle. Costs that by nature are not associated with revenues are recognised immediately in the income statement.
Marginal costs and revenues directly attributable to the acquisition of an asset or issue of a financial liability measured at amortised cost are recognised in the income statement together with the interest on the financial asset or liability using the effective interest method.

20 - Other information

– Treasury shares

Any treasury shares held following repurchase are stated at purchase cost and shown in *"Treasury shares"* caption with a negative sign. Profits or losses deriving from their subsequent sale are recorded as changes in shareholders' equity in the *"Share premium"* caption.

– Leasehold improvements

These costs have been classified as *"Other assets"*, since they cannot be recorded as part of *"Property, plant and equipment"*, as required by Bank of Italy instructions.
The related amortisation is recorded in the *"Other operating charges/income"* caption.

– Offsetting financial assets and financial liabilities

Financial assets and liabilities have to be offset when the criteria laid down in IAS 32 § 42 are satisfied. IFRS 7 requires specific disclosures about any financial instruments that are governed by "master netting or similar agreements" that do not meet all of the criteria laid down in IAS 32 § 42. Please refer to Part B of these Explanatory Notes, in the section entitled "Other information".

- Negative interest

As regards interest, results from 2015 onwards have been significantly influenced by negative interest rates, accentuating certain effects that began to be seen at the end of 2014, especially as regards repurchase agreements, with income statement entries being made with opposite signs to the related balance sheet entries (interest income on various types of deposits or interest expense arising from lending activities).
At the end of 2015, the Bank of Italy issued a statement on the question of interest resulting from the application of negative rates, even if not specifically with reference to financial statements, reiterating the recommendations made during the year by the EBA with regard to the supervisory regulations for the FINREP (Q&A no. 2015_1940). The matter was treated as of 31 December 2015, as part of the update of the unified technical documentation for banks (Puma2), containing the changes relating to implementation of the 4th update of the Bank of Italy's Circular no. 262/2005.
This documentation envisages that negative returns on financial assets should be represented as "interest expense on other liabilities" and that positive returns on financial liabilities should be represented as "interest income on other assets".
In this context, as from 31 December 2015, BPER Banca Group has deemed it appropriate to change its accounting approach to bring it into line with these guidelines and has also aligned its financial reporting to comply with the supervisory requirements. Interest generated by the application of negative rates has been recorded in net interest income, as mentioned previously, giving appropriate disclosures in the footnotes to the tables in Part C of the notes.

– Other regulations – Internal recognition rules

As stated in the paragraph entitled “Declaration of compliance with International Financial Reporting Standards”, in the absence of a standard or interpretation specifically applicable to a particular transaction, an appropriate internal rule for accounting recognition should be developed and formalised.
No need arose to introduce any new rules in 2016.

– Single Resolution Fund (SRF), Deposit Guarantee Scheme (DGS), Interbank Deposit Guarantee Fund: – Voluntary Scheme (IDGF-VS): accounting aspects

On 19 January 2016, the Bank of Italy issued a communication to provide guidance on the correct approach to be used for the recognition of contributions to the Single Resolution Fund (SRF), the Deposit Guarantee Scheme (DGS) and the IDGF - Voluntary Scheme (VS).

The Bank of Italy recalls IAS 37 "Provisions, contingent liabilities and contingent assets" and IFRIC 21 "Levies" (approved and effective from 2015). The latter, in fact, *"deals with the recognition of a liability for the payment of a tax in the case where the liability falls within the scope of IAS 37 "*. Under IFRIC 21, *"a tax represents a use of resources that includes economic benefits imposed by government entities in accordance with legislation"*.

The communication of the Bank of Italy then notes that the contra-entry of the liability (or cash outflow) connected with the contributions foreseen in the decrees implementing the BRRD and DGSD Directives, is represented by a charge to be recorded in the income statement.

The mandatory contributions to the Single Resolution Fund, both in the "ordinary" and "extraordinary" form, derive from legislative provisions and therefore fall within the definition of "Levies" as provided by IFRIC 21. The same conclusions can also be drawn with respect to contributions to the DGS. As regards the income statement caption that includes such contributions, the communication of the Bank of Italy noted that, since these are forms of contributions similar to taxes for accounting purposes, they have to be reported by banks in the income statement under *"Administrative expenses - Other administrative expenses"*, which should also include, among other things, indirect taxes (paid or not yet paid) for the year (see Circular no. 262/2005 "Banks' financial statements: layout and preparation").

21 - Techniques for the determination of fair value

Paragraph 9 of IFRS 13 defines fair value as *"the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date"*.

When determining whether the fair value at initial recognition equals the transaction price, it is necessary to take into account factors specific to the transaction and to the asset and liability. It follows that, if the transaction price (consideration) differs from fair value, the difference should be recognised in the income statement.

It is also established that fair value includes transport costs, but excludes transaction costs.

In addition to the measurement of stand-alone financial instruments at fair value, the Bank may also measure groups of similar assets and liabilities at fair value, where it is permitted to do so.

Measurement at fair value assumes that the transaction to sell an asset or transfer a liability takes place in a principal market, defined as the market with the greatest volume and level of trading for the asset or liability to be measured. In the absence of a principal market, reference should be made to the most advantageous market, which is the market that maximises the amount that would be received to sell an asset or minimises the amount that would be paid to transfer a liability, after taking into account transaction costs.

Identification of active markets

The process for measurement of fair value starts with determining whether there is an active market with regularly available quoted prices.

In order to consider a market as active, the Bank takes account of the following factors:

- number of participants;
- frequency of price quotations and updates thereto;
- presence of a bid-ask spread;
- width of the bid-ask spread;
- trading volume.

Whether a financial instrument qualifies as traded on an active market can only be determined through extensive research of all the existing markets in order to identify the principal or most advantageous market, taking into account *"all information that is reasonably available"* (IFRS 13 § 17). This needs to be done for each financial instrument for which the fair value has to be determined.
To determine whether, based on the information that is available, a market can be considered to be active, the Bank assesses the importance and relevance of factors that include the following:

a) low level of recent trading activity;
b) available prices are not current;
c) available prices vary significantly over time or between market-makers;
d) it can be demonstrated that indices that previously had a close correlation with the fair value of an asset or a liability no longer have this correlation based on recent indications of fair value of that asset or liability;
e) presence of a significant increase in the embedded risk premia, or *default* rates, of the transactions being considered or in quoted prices;
f) presence of a wide bid-ask spread or of a significant increase therein;
g) significant decline in the level of trading activity;
h) lack of publicly available information.

If compliance with the necessary requirements is verified periodically, a financial instrument can be considered to be traded on an active market. Within the possible markets, a search is undertaken to identify the principal market or, in the absence of a principal market, the most advantageous market.

Fair value is determined with reference to:

- the closing bid price for assets held or liabilities to be issued;
- the closing ask price for liabilities already issued or assets to be purchased.

Closing bid and ask prices are the bid and ask prices referred to by the entity that regulates the market on which an instrument is traded.
In the absence of reference bid and ask prices, the last price set by the entity which regulates the market could be taken, provided that this price has the following features: advertised, liquidity, prompt adaptation to changing conditions and availability as envisaged by the standards.

For assets and liabilities with offsetting positions in market risks, the average of the bid and ask price can be used, provided that this is commonly used by market participants and is consistent with the objective of measuring fair value in accordance with IFRS 13.

In the case of open-end mutual funds, the Net Asset Value (NAV) is considered to be the most representative of the fair value of the instrument. No adjustments are made to the NAV to take into account the interval between the date redemption is requested and the actual redemption date.

In the case of listed closed-end funds, the fair value is derived from the market quotation.
With regard to foreign shares, if these are listed on regulated stock exchanges, then they are considered to be traded in an active market. The price provided for this type of share, if the bid-ask spread is not available, is the last price. On the contrary, equity trading in OTC markets is not considered to take place in an active market.
Listed derivatives are measured using the last prices supplied by the clearing house.

Financial instruments listed in inactive markets are reported as "unlisted" for the purpose of preparing the tables in the Explanatory notes.

With regard to bonds not listed on regulated markets, in view of the role played by the Bank in the institutional market for financial instruments, the Bloomberg Professional system has been identified as an active market for front office operations, if the prices recorded therein have the appropriate features mentioned above.

Identification of the fair value of financial instruments not listed on active markets

If the market for a financial instrument does not meet the conditions required to qualify as an active market, the fair value of the instrument is determined through the use of valuation techniques.
Valuation techniques indicated by international accounting standards are:

- market approach: this uses prices and other relevant information generated by market transactions involving comparable assets;
- cost approach: this reflects the amount that would be required currently to replace the service capacity of an asset ("current replacement cost");
- income approach: this converts future cash flows or income and expenses to a single current amount.

For Bank purposes, the following valuation techniques are valid:

- market approach for identical or comparable assets and liabilities;
- use of matrix pricing;
- present value techniques;
- option pricing models;
- the multi-period excess earnings method.

These techniques may be used if:

- they maximise the use of market data, while minimising the use of Bank estimates and assumptions;
- they reasonably reflect how the market expects the price to be determined;
- the fair value measurement is determined on the basis of the value indicated by current market expectations and the risk and yield of the instrument being valued;
- they reflect the assumptions that market participants would use when pricing an asset or liability;
- they are consistent with commonly accepted methodologies;
- they are periodically subjected to verification and calibration to verify their capability to determine a fair value in line with actual trading prices for the instrument being valued.

In summary, the Bank's preference is to adopt a market approach for the determination of fair value, even if an active market does not exist. Only in the event that it is not possible to apply the above valuation techniques, quantitative valuation methods may be used.

It is apparent that regulations governing valuation techniques do not authorise a neutral and objective use of quantitative methods. However, their use should be understood to be the development by the Bank of an internal process that matches the fair value measurement with a price at which an instrument could be exchanged in a market transaction at current conditions.

As part of this process, it would thus appear necessary to give priority to the use of recent transaction prices (prices on non-active markets, prices provided by third-party participants), or the prices of similar instruments. In this context, quantitative methods can provide a benchmark to supplement, or correct, any differences between the instrument being valued and that observed in the market, or to reflect the impact of changes in the economic environment on market transactions.

Valuation techniques used to measure fair value are applied consistently. A change in a valuation technique or its application is appropriate if the change results in a measurement that is equally or more representative of fair value in the circumstances. That might be the case if any of the following events take place:

- new markets develop;
- new information becomes available;
- information previously used is no longer available;
- valuation techniques improve;
- market conditions change.

Valuation techniques

Specific techniques are applied in relation to particular types of financial instrument, in order to correctly identify their characteristics.

Equities

For all unlisted shares, the valuation rules set out above apply. Failing this, they are measured at cost.

For unlisted shares, other than equity investments, the methods used the most for fair value measurement fall into the following categories:

- discounted cash flow;
- the use of multiples.

These methods require the availability of a significant amount of data to estimate future cash flows generated by a company or to identify the correct market multiples. They use uncertain estimates of various parameters (cash flows, dividends, beta, risk premium, cost of capital, asset values, etc.), the measurement of which is subjective and which do not always reflect market conditions. This leads to a valuation of a distribution of theoretical fair values. Where it is not possible to reliably determine the fair value with the above methods, securities and instruments are measured at cost.
As an alternative to the valuation techniques above, the value of the share may be based on book value, computed as the *ratio* between equity and the number of issued ordinary shares.

Plain vanilla debt securities

With regard to plain vanilla debt securities, the valuation technique applied is discounted cash flow analysis. There are three steps:

- mapping of cash flows: recognition of the cash flows expected from the instrument and their distribution of the duration of the contract;
- selection of the discounting curve, having regard for the risk factors affecting the cash flows;
- calculation of the present value of the instrument at the measurement date.

Having identified the cash flows, the appropriate discounting curve is calculated using the discount rate adjustment approach, which takes account of both rate risk and credit risk. This information is used to calculate the instrument's fair value, as the sum of the present values of its cash flows.

Structured debt securities

Given the non-determinant nature of the future cash flows from structured securities, their fair value is calculated by breaking them down into a portfolio of elementary instruments using the replica portfolio technique. The fair value of the structured product is obtained by summing the individual values obtained for elementary instruments comprising the product.

As from 2013, the Bank started issuing protection certificates. They combine two financial instruments:

- a zero coupon bond;
- an option which seeks to replicate the performance of an underlying asset and to protect, partially or completely, the amount invested.

The methods used for the calculation of fair value are similar to those described above for structured debt securities.

Derivatives

The fair value of derivatives is determined using quantitative models that differ depending on the type of instrument concerned. In particular, a distinction is made between:

- Over-The-Counter (OTC) options represented by either stand-alone options or options embedded in complex financial instruments. Pricing techniques include:
  - options with payoff that can be calculated precisely, priced using models generally accepted by the market (e.g. Black & Scholes and variants);
  - options with payoff that cannot be calculated precisely, usually priced using "Montecarlo" simulation techniques;
- Interest Rate Swaps (IRS): the fair value of IRS is determined using net discounted cash flow analysis. In the case of a structured IRS, the instrument is decomposed into a "plain" component and an optional component ("building blocks"), so that their separate values can be determined and summed.

Forward currency transactions

These transactions are measured with reference to the forward rates at period end for maturities corresponding to those of the contracts to be priced.

Balance sheet items measured at amortised cost

Loans and receivables and held to maturity investments are measured at amortised cost and their fair value is determined for disclosure purposes only.

The fair value of loans with a contractual duration of less than twelve months is estimated to be their book value; the fair value of other loans is obtained by discounting the contract cash flows, net of the expected losses determined with reference to the credit rating of the borrower, using the corresponding rate curve for their maturities.

Credit Valuation Adjustment (CVA) and Debit Valuation Adjustment (DVA)

Current regulations state that the pricing of a derivative, in addition to being based on market factors, should also reflect the credit risk of the counterparty determined by a Credit Valuation Adjustment (CVA) and a Debit Valuation Adjustment (DVA).
To assess the credit risk of the counterparty, BPER Banca adopts the following methodology.
The term Credit Valuation Adjustment (CVA) refers to an adjustment in order to properly reflect the credit risk of the derivative counterparty made on the valuation of an OTC derivative (with a positive current exposure) transaction entered into by the Bank with an external counterparty and may be considered to be the market value of a potential loss amount derived from changes in market prices, due to a worsening of the credit or *default* risk of the counterparty.

Conversely, the term Debit Valuation Adjustment (DVA) refers to an adjustment in order to properly reflect the own *default* risk of the Bank made on the valuation of an OTC derivative (with a negative current exposure) entered into by the Bank with an external counterparty, that is, the market value of a potential gain derived from changes in market prices, due to a worsening of the credit or *default* risk of the Bank.
For the quantification of a CVA and a DVA, under certain conditions, IFRS 13 refers to a calculation that must be made by netting set or by counterparty and, thus, based on net exposure and not at individual contract level. In addition, it is necessary to consider whether any collateral has been provided or if there are any netting agreements.

BPER Banca currently makes use of bilateral agreements for the netting of derivative contracts, in accordance with which the reciprocal mark to market receivable and payable positions are offset automatically on a daily basis, leading to a single net balance, without any novation: this results in margin settlement being made solely by the net creditor. The foregoing has led to a considerable reduction in exposure to credit risk and, consequently, the impact of CVAs and DVAs on fair value.

In particular, for the Parent Company, there are two factors that mitigate the impact on fair value of credit risk:

- the signing of ISDA (International Swaps and Derivatives Association, the international industry standard on OTC derivatives) agreements with the main corporate and all the institutional counterparties to OTC derivatives. In respect of the institutional counterparties (with the exception of the subsidiary EMRO Finance Ireland) the related CSA (Credit Support Annex) was also executed in order to cover the provision of collateral and to further reduce current exposure and consequent risks;
- the entry into force of the new EMIR (European Market Infrastructure Regulation) platform, in respect of the exclusion from the scope of CVAs and DVAs of derivatives entered into on that platform/market. On the basis of assessments made, it is likely that most derivative transactions will go through the new system as they mainly consist of derivatives that are eligible for that purpose.

IFRS 13 does not indicate a specific methodology for the calculation of CVAs and DVAs, but it requires the use of valuation techniques that, on the one hand, must be appropriate for the data available and, on the other hand, maximise the use of observable market data.

With reference to the above, in order to align with best market practices, it was decided to use bilateral CVA methodology that considers the presence of two components to the calculation, with the aim of including the potential loss/gain arising from changes in the credit risk of the counterparty/Bank, but taking into account the joint probability of *default* by counterparties.

Market parameters

The following types of yield curve are used:

- par swap curves;
- bond curves derived from baskets of bonds;
- corporate curves by issuer, rating, and sector.

The following are derived from the par curves:

- zero coupon curves;
- forward rate curves;
- discount factor curves.

The zero coupon rate curves are obtained using the bootstrapping technique. These are used to extrapolate the discount factors used to determine the present value of the cash flows generated by the financial instruments to be priced. The forward rates are implicit in the zero coupon curve are determined with reference to the non-arbitrage theory.
The issuer curves are obtained by adding to the par swap rates the spreads that reflect the credit rating of the instrument's issuer. These are used to price unlisted bonds.
Bond curves are calculated based on baskets of government bonds. Prices of the basket bonds, as well as the curves generated by them, are updated in real-time.
The credit rating curve of the Bank is obtained by creating a basket of issues by banking issuers that have similar characteristics and ratings. This is used to price all issued bonds.
The prices thus obtained are applied daily to organised systems of trading for the bonds issued by the Group Banks (MELT-HIMTF) that are reflected in the fair value valuation in the financial statements.

Volatility and other parameters

Volatilities and correlations are used principally to price unlisted derivatives. The volatilities are classified as follows:

- historical volatilities, estimated as the standard deviation of a time series of daily observations of the logarithm of the yields of the underlying concerned;
- contributed volatilities, obtained from information providers;
- implicit volatilities, obtained from the market prices of listed options.

With regard to the correlations, multi-variant derivatives are priced using historical correlations.

Additional information

IFRS 13 requires an entity to disclose *"information that helps users of its financial statements assess both of the following:*

a) *for assets and liabilities that are measured at fair value on a recurring or non-recurring basis in the statement of financial position after initial recognition, the valuation techniques and inputs used to develop those measurements;*

b) *for recurring fair value measurements using significant unobservable inputs (Level 3), the effect of the measurements on profit or loss or other comprehensive income for the period."*

The Bank has a procedure in place to:
- identify transfers between levels;
- analyse and document the reasons for such transfers;
- monitor and control the reliability of the fair value of financial instruments.

In particular, for assets and liabilities measured at fair value on a recurring and non-recurring basis, adequate disclosure is made of:
- the fair value measurement at the end of the reporting period, and for non-recurring fair value measurements, the reasons for the measurement;
- the level of the fair value hierarchy within which the fair value measurements are categorised in their entirety (Level 1, 2 or 3);
- for assets and liabilities categorised within Level 2 or 3, a description of the valuation techniques and inputs used and the reasons for any changes in valuation techniques used.

The Bank provides, for assets and liabilities held at the end of the reporting period that are measured at fair value on a recurring basis, the amounts of any transfers between Level 1 and Level 2 of the fair value hierarchy, the reasons for those transfers and the policy for determining when transfers between levels are deemed to have occurred, while, for those categorised on a recurring basis within Level 3 of the fair value hierarchy, a reconciliation is provided from the opening balances to the closing balances.
Information is also provided on the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred.

For assets or liabilities categorised within Level 3 of the fair value hierarchy, the following disclosures are provided:
- quantitative information about the significant unobservable inputs used in the fair value measurement;
- for recurring fair value measurements, the amount of the total gains or losses for the period included in profit or loss that is attributable to the change in unrealised gains or losses relating to those assets and liabilities held at the end of the reporting period, and the line item(s) in profit or loss in which those unrealised gains or losses are recognised;
- a description of the valuation processes used for recurring and non-recurring fair value measurements;
- a narrative description of the sensitivity of the fair value measurement to changes in unobservable inputs if a change in those inputs to a different amount might result in a significantly higher or lower fair value measurement.

For financial assets and liabilities measured at amortised cost (not thus measured at fair value, but with fair value disclosure obligations) the following information is provided:
- the fair value hierarchy level;
- a description of the valuation techniques adopted for Levels 2 and 3, as well as the inputs used;
- if there has been any change in the valuation technique, a description of the change and the reason for it.

For own financial liabilities measured at fair value with credit enhancement (e.g. inseparable guarantees), information is provided on the existence of credit enhancement and the impact thereof on the determination of the fair value of the liability.

The application of the fair value option to loans and receivables and financial liabilities requires disclosure of the change in fair value attributable solely to changes in the credit risk associated with the instrument.
As mentioned, the risk factors are included in the discount curve using the discount rate adjustment approach.
This approach involves making separate and independent estimates of the various risk components (rate risk and credit risk), so that the partial fair value can be determined considering the changes in just one risk factor.

The following factors are considered in relation to credit risk:

- the risk-free market rate observed at the valuation date;
- the credit spread observed at the initial recording date or the previous valuation date;
- the credit spread observed at the valuation date.

The market fair value at the measurement date is compared with the fair value calculated using the credit risk observed at the initial recording date (or, alternatively, at the previous valuation date). This makes it possible to determine the changes in fair value due solely to changes in credit risk on a cumulative or periodic basis.

Fair value hierarchy
The Bank classifies its financial assets and liabilities by decreasing degree of fair value quality on the basis of the following principles:

- Fair value Level 1. Measurement is based on the price of the financial instrument concerned, being a quoted price in an active market.
- Fair value Level 2. Measurement is not based on quoted prices in active markets for the financial instrument concerned, but on meaningful prices obtained from non-active markets or reliable infoproviders, or on prices determined using an appropriate valuation technique largely based on observable market parameters, including credit spreads, derived from quotations of instruments that are substantially similar in terms of risk factors considered. The objective of the use of valuation techniques is to reaffirm the aim of obtaining a closing price at the valuation date from the point of view of a market participant that holds the financial instrument.
- Fair value Level 3. Measurement is based on various inputs that include subjective parameters, that is, parameters whose value cannot be derived from quoted prices observable in active markets. Since the parameters are not observable directly in the market, it follows that the value is required to make estimates and assumptions.

In some cases, the inputs used to measure the fair value of an asset or a liability might be categorised within different levels of the fair value hierarchy. In those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Bank has set out:

- the analyses to be performed in the event of changes in valuation techniques used to measure fair value;
- the policy for determining when transfers between fair value hierarchy levels are deemed to have occurred and which is constantly adhered to.

As a general principle, to be allocated to Level 1 of the fair value hierarchy, if there is a quoted price in an active market for an asset or a liability, that price should be used without adjustment when measuring fair value. In fact, the fair value hierarchy gives the highest priority to quoted prices (unadjusted) in active markets for identical assets or liabilities and the lowest priority to unobservable inputs.

An allocation to Levels 2 and 3 depends on how the inputs used for the fair value measurement of an asset or liability are categorised within different levels of the fair value hierarchy: in those cases, the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Assessing the significance of a particular input to the entire measurement requires judgement, taking into account factors specific to the asset or liability.

The availability of relevant inputs and their relative subjectivity might affect the selection of appropriate valuation techniques.

22 - Method for determining the extent of impairment

Financial assets

At each reporting date, financial assets not classified as at fair value through profit or loss are subjected to an impairment test to verify if there is any objective evidence for believing that their carrying amount may not be fully recoverable.

Value is impaired if there is objective evidence that future cash flows will be lower than the originally estimated contractual amounts; the related loss must be quantified in a reliable manner and associated with actual events rather than just expected events.

Impairment is measured in detail for those financial assets for which there is specific evidence of an impairment adjustment, and on an overall basis for other financial assets.

Pursuant to IAS 39, whenever the fair value of equities classified as available for sale is significantly lower than their purchase cost, or remains lower for an extended period, the Bank recognises an impairment loss with allocation of the negative valuation reserve to the income statement.

In particular, the BPER Banca recognises as objective evidence of impairment situations in which fair value is less than 50% of purchase cost or remains below purchase cost for 24 consecutive months.

If fair value is impaired, detailed analysis is performed to determine the reasons for the loss and identify any difficulties faced by the issuer, such as:

- significant financial problems or possibility of court-supervised arrangements;
- announcement/implementation of financial restructuring plans;

- significant changes with an adverse effect on the technological, economic or regulatory environment in which the issuer operates.

If the above analysis causes the Bank to believe that impairment exists, the related fair value equity reserve is posted to the income statement.
See paragraph 4 - Loans for detailed information about the treatment of loans.

Equity investments

The Bank's equity investments are also subjected to impairment testing. In particular, the impairment test is performed on an annual basis and involves the determination of recoverable value, being the greater of fair value less selling costs or value in use.
The measurement methodology used to calculate fair value less costs to sell was described in an earlier section of this report.
Value in use represents the present value of the cash flows expected to derive from the assets subject to impairment testing; this involves estimating the cash flows expected from the asset, possible changes in the timing and/or extent of such flows, the time value of money, and the price that remunerates the specific risks associated with the asset, together with such other factors as the size of the market for the asset, which might affect operators' assessments of the quality of the expected cash flows.
The estimate of value in use, being the present value of the cash flows expected to derive from the asset determined using a Discounted Cash Flow (DCF) method such as the DDM configured for banks, Excess Capital Method, identifies the value of a business in relation to its ability to generate cash flow and thus its financial solidity.
Value in use is therefore determined by discounting the cash flows identified in the Business Plan, the time horizon for which must be sufficiently long for "fair" forecasts to be made; in financial practice, the time period covered by the forecast flows is at least three years. Where Business Plans are not prepared directly by the investees, long-term inertia-based plans are developed based on the companies' results and financial position, as well as market projections.
Shareholders' equity and earnings performance are only referred to on a residual basis, for the measurement of less significant equity investments.

Property, plant and equipment and intangible assets

Property, plant and equipment and intangible assets with a finite useful life are subjected to impairment testing if there is evidence that their carrying amounts may no longer be recoverable. Recoverable value is determined with reference to the fair value of the property, plant and equipment or intangible asset, net of disposal costs, or to its value in use if this can be determined and exceeds fair value.
The fair value of property is usually determined by appraisal. Impairment is only recognised if fair value less costs to sell, or value in use, is lower than the related carrying amount for an extended period.

23 - Business Combinations: allocation of purchase cost

Introduction

The process of allocation of the purchase price for Business Combinations is described below, while details of such transactions are provided in Part G of the Explanatory notes.

Fair value of the assets and liabilities acquired

When accounting for a Business Combination, the Bank determines the fair value of the assets, liabilities and contingent liabilities acquired. Such amount is only identified separately if, at the acquisition date, the following criteria are met:

- in the case of assets other than intangible assets, it is likely that the purchaser will obtain any future economic benefits;
- in the case of liabilities other than contingent liabilities, it is likely that their settlement will require the use of resources capable of producing economic benefits;
- in the case of an intangible asset (IAS 38) or a contingent liability (IAS 37), the related fair value can be measured in a reliable manner.

Identification of intangible assets

Depending on the characteristics of the business acquired, an analysis is performed to identify any unrecorded assets that should be recognised separately, for example customer-related (client relationship) intangibles, or marketing-related (brand name) intangibles.

Customer-related intangible assets: these are recognised as intangible assets when they are separable and can be measured reliably, even though they may not always derive from contractual rights such as marketing-related intangibles.

This category includes:

- client lists: these comprise all the information held about clients (database containing: names, addresses, transaction history, demographic information etc.) that has a recognised market value, on condition that it can be rented or exchanged; such information cannot be treated as an intangible asset if it is considered so confidential that the combination agreement forbids its sale, rental or exchange in other forms;
- contracts with clients and the client relationships established as a consequence: contracts with clients satisfy the contractual/legal requirement for the recognition of an intangible asset, even if the combination contract forbids their sale or transfer separately from the business acquired; this category also includes long-established contacts with clients, even if there is no formal contract, and all other non-contractual relationships that can be separated and measured on their own;
- non-contractual relations with clients: this category includes all intangible assets that, being separable and transferable independently of the business acquired, may be valued individually and recognised as intangibles.

Marketing-related intangible assets: trademarks, commercial names, service brands, collective names and quality marks that derive from contractual rights or which are usually separable. Such assets reflect the collection of productive conditions that are economically correlated with the commercial name, the relationship with the market, and the reach of distribution.

An intangible asset must be measured initially at cost. If acquired as part of a Business Combination, its cost is its fair value at the time control is obtained.

Fair value, in this context, reflects market expectations about the likelihood that the owner will obtain the future economic benefits deriving from the asset. The entity must assess the probability of obtaining future economic benefits using reasonable and justifiable assumptions that reflect Management's best estimate of the economic conditions that will apply over the useful life of the asset.

The accounting standards do not specify the methodology to be used to measure the fair value of such assets but, among the possible alternatives, preference is given to those making reference to observable

market prices. Failing this, the accounting standards allow the use of valuation models that include assumptions which are generally used and recognised by the market.
The fair value of customer-related intangible assets is determined by discounting the profit flows generated by deposits over the expected residual period of the relationships outstanding at the time of acquisition.
In general, brands are valued using market methods and well as methods based on the flows deriving from their management or a royalty recognised by the market.

Determination of goodwill

Goodwill represents the unallocated amount of purchase cost, being the excess of the cost of the Business Combination over the net fair value of the identifiable assets, liabilities and contingent liabilities acquired (including those intangibles and contingent liabilities that satisfy the requirements for recognition in the financial statements).
This represents the consideration recognised by the purchaser in exchange for the future economic benefits deriving from assets that cannot be identified individually and recognised separately. In substance, this includes the value of the expected synergies, the corporate image of the company acquired, its know how, its professionalism, its procedures and other non-specific factors.
The goodwill acquired as a result of a Business Combination must not be amortised. The Bank verifies each year, or whenever there is evidence of possible impairment, that the recorded value of goodwill has not been impaired (impairment test).

24 - Derecognition of financial assets

Derecognition involves the elimination of a previously recognised financial asset from the balance sheet.
Before assessing whether the conditions for derecognition of financial assets exist, according to IAS 39, one has to ascertain whether these conditions are to be applied to such assets in their entirety or whether they can refer to only part of them.
The essential condition for full derecognition of a financial asset is the extinction of its contractual rights, either because they expire naturally or because the rights to the cash flows resulting from such assets are transferred to a third party outside the Group.
The elimination of a financial asset is subject to verification that all of the risks and rewards of ownership of the rights have actually been transferred. In the case of transfer of substantially all of the risks and rewards, the transferred asset (or group of assets) can be derecognised and the rights and obligations relating to the transfer have to be recognised separately as assets or liabilities.
Conversely, in the event that the risks and rewards are retained, the asset (or group of assets) transferred has to continue being recognised. In this case, one has to recognise a liability equal to the amount received as consideration for the transfer and subsequently recognise all revenues and expenses accruing on the liability.
The main types of transactions that, under these rules, do not permit the derecognition of a financial asset are securitisations of receivables, repurchase agreements and securities lending.

A.3 – Information on transfers of financial assets between portfolios

A.3.1 Financial assets reclassified: book value, fair value and effects on overall profitability

Type of financial instrument	Source portfolio	Destination portfolio	Book value as at	Fair value as at	Income elements without transfer (before tax)		Income elements recorded in the year (before tax)	
			31.12.2016	31.12.2016	measured	other	measured	other
Debt securities	Financial assets held for trading	Due from banks	2,493	2,462	197	15	-	79
Debt securities	Financial assets available for sale	Loans to customers	1,126	750	(1,410)	(12)	(1,860)	(20)
UCITS units	Financial assets held for trading	Financial assets available for sale	2,686	2,686	452	-	452	-

A.3.2 Financial assets reclassified: effect on overall profitability before transfer

No financial assets were reclassified during the year.

A.3.3 Transfer of financial assets held for trading

No financial assets were reclassified during the year.

A.3.4 Effective interest rate and cash flows expected from reclassified assets

No financial assets were reclassified during the year.

A.4 – Information on fair value

Qualitative information

A.4.1 Fair value levels 2 and 3: valuation techniques and inputs used

A description of the valuation techniques and inputs used has been disclosed in Chapter 21 of Part A.2 of these Explanatory notes "Techniques for the determination of fair value".

A.4.2 Measurement process and sensitivity

Assets and liabilities categorised within Level 3 of the fair value hierarchy mainly consist of:

- connected derivatives, in that they offset each other and which originate from securitisations, classified as *"Financial assets held for trading"* and *"Financial liabilities held for trading"*;
- a limited number of equity investments measured at cost or under the equity method and in UCITS units measured at NAV classified as *"Financial assets designated at fair value through profit and loss"*;
- minority equity investments, often held to preserve links with the territory or for the development of commercial relationships (measured mainly on the basis of the book value of shareholders' equity of the companies in question or at cost), as well as UCITS units (usually at NAV), with both classified as *"Financial assets available for sale"*;
- investments in asset-backed securities primarily held by the subsidiary Bper (Europe) International s.a., classified as *"Due from banks"* and *"Loans to customers"* following reclassification in 2008 from *"Financial assets available for sale"*.

For the latter, the related sensitivity is provided below:

Financial asset/liability	Non-observable parameter	Change in parameter	Sensitivity (in thousands)
Investments in asset-backed securities	Credit Spread	+25 bps	(498)

For the other positions which have just been illustrated, given the use of valuation techniques involving the use of estimates, the measurement thereof is incapable of being significantly impacted by changes in inputs.

A.4.3 Fair value hierarchy

A description of the fair value hierarchy has been disclosed in Part A.2 of these Explanatory notes in Chapter 21 "Techniques for the determination of fair value".

A.4.4 Other information

Reference should be made to Chapter 21 of Part A.2 of the Explanatory notes "Techniques for the determination of fair value" for further information on fair value.

Quantitative information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value levels

	31.12.2016			31.12.2015		
	L1	L2	L3	L1	L2	L3
Financial assets designated at fair value						
1. Financial assets held for trading	325,255	351,389	25,649	378,395	409,979	26,740
2. Financial assets designated at fair value through profit and loss	20,959	12,490	5,194	20,713	12,684	3,502
3. Financial assets available for sale	7,345,101	817,811	412,920	6,073,371	351,790	320,893
4. Hedging derivatives	-	59,767	-	-	35,715	-
5. Property, plan and equipment	-	-	-	-	-	-
6. Intangible assets	-	-	-	-	-	-
Total	**7,691,315**	**1,241,457**	**443,763**	**6,472,479**	**810,168**	**351,135**
Financial liabilities designated at fair value						
1. Financial liabilities held for trading	3,291	208,805	20,002	22,868	198,065	26,475
2. Financial liabilities designated at fair value through profit and loss	-	247,933	-	-	873,558	-
3. Hedging derivatives	-	36,860	-	-	20,359	-
Total	**3,291**	**493,598**	**20,002**	**22,868**	**1,091,982**	**26,475**

Transfers of assets from Level 1 to Level 2 of the fair value hierarchy during the year amounted to € 252,745 thousand and those from Level 2 to Level 1 amounted to € 9,527 thousand.
The former are due to a loss of significance of the prices quoted in the principal market, while, for the latter, the dealer market showed an improvement in the negotiability of the instruments in terms of volumes and in the width and depth of the prices quoted.

Key

L1= Level 1
L2 = Level 2
L3 = Level 3

A.4.5.2 Period changes in assets measured at fair value on a recurring basis (level 3)

	Financial assets held for trading	Financial assets designated at fair value through profit and loss	Financial assets available for sale	Hedging derivatives	Property, plant and equipment	Intangible assets
1. Opening balance	**26,740**	**3,502**	**320,893**	**-**	**-**	**-**
2. Increases	**3,162**	**2,752**	**142,375**	**-**	**-**	**-**
2.1 Purchases	1	2,498	122,216	-	-	-
2.2 Profits posted to:	3,161	251	20,090	-	-	-
2.2.1 Income statement	3,161	251	1,383	-	-	-
- of which: gains	3,159	249	-	-	-	-
2.2.2 Shareholders' equity	#	#	18,707	-	-	-
2.3 Transfers from other levels	-	-	-	-	-	-
2.4 Other increase	-	3	69	-	-	-
3. Decreases	**4,253**	**1,060**	**50,348**	**-**	**-**	**-**
3.1 Sales	2	43	6,625	-	-	-
3.2 Redemptions	-	636	-	-	-	-
3.3 Losses posted to:	4,246	378	43,649	-	-	-
3.3.1 Income statement	4,246	378	41,077	-	-	-
- of which: losses	4,237	-	-	-	-	-
3.3.2 Shareholders' equity	#	#	2,572	-	-	-
3.4 Transfers to other levels	-	-	-	-	-	-
3.5 Other decreases	5	3	74	-	-	-
4. Closing balances	**25,649**	**5,194**	**412,920**	**-**	**-**	**-**

There were no transfers during the year to or from other levels of the fair value hierarchy.

A.4.5.3 Period changes in liabilities measured at fair value on a recurring basis (level 3)

	Financial liabilities held for trading	Financial liabilities designated at fair value through profit and loss	Hedging derivatives
1. Opening balance	**26,475**	**-**	**-**
2. Increases	**-**	**-**	**-**
2.1 Issues	-	-	-
2.2 Losses posted to:	-	-	-
2.2.1 Income statement	-	-	-
- of which: losses	-	-	-
2.2.2 Shareholders' equity	#	#	-
2.3 Transfers from other levels	-	-	-
2.4 Other increase	-	-	-
3. Decreases	**6,473**	**-**	**-**
3.1 Redemptions	-	-	-
3.2 Buybacks	-	-	-
3.3 Profits posted to:	6,473	-	-
3.3.1 Income statement	6,473	-	-
- of which: gains	6,473	-	-
3.3.2 Shareholders' equity	#	#	-
3.4 Transfers to other levels	-	-	-
3.5 Other decreases	-	-	-
4. Closing balances	**20,002**	**-**	**-**

There were no transfers during the year to or from other levels of the fair value hierarchy.

A.4.5.4 Assets and liabilities not measured at fair value or at fair value on a non-recurring basis: breakdown by fair value levels

Assets/Liabilities not measured at fair value or at fair value on a non-recurring basis	31.12.2016				31.12.2015			
	BV	L1	L2	L3	BV	L1	L2	L3
1. Financial assets held to maturity	2,515,993	2,492,106	205,820	-	2,663,859	2,732,671	125,432	-
2. Due from banks	2,155,637	-	86,255	2,071,812	1,737,029	-	86,936	1,653,895
3. Loans to customers	35,478,258	-	130,126	36,038,973	33,885,273	-	151,436	34,395,507
4. Investment property, plant and equipment	72,122	-	-	79,376	73,514	-	-	78,516
5. Non-current assets and disposal groups held for sale	-	-	-	-	-	-	-	-
Total	**40,222,010**	**2,492,106**	**422,201**	**38,190,161**	**38,359,675**	**2,732,671**	**363,804**	**36,127,918**
1. Due to banks	12,539,337	-	-	12,539,337	8,655,264	-	-	8,655,264
2. Due to customers	27,383,757	-	-	27,383,757	25,198,115	-	-	25,198,115
3. Debt securities in issue	7,208,172	2,611,580	2,474,844	2,208,145	8,700,062	2,606,780	3,078,037	3,123,036
4. Liabilities associated with non-current assets held for sale	-	-	-	-	-	-	-	-
Total	**47,131,266**	**2,611,580**	**2,474,844**	**42,131,239**	**42,553,441**	**2,606,780**	**3,078,037**	**36,976,415**

Key:

BV = Book value
L1 = Level 1
L2 = Level 2
L3 = Level 3

A.5 – Information on "day one profit/loss"

In the case of Level 3 transactions, the fair value according to the model may differ from the transaction price: in the case of a positive difference (day one profit), this is amortised over the residual life of the instrument; in case of a negative difference (day-one loss), it is charged to the income statement for prudence sake.

There were no differences at 31 December 2016 between the value of transactions and their corresponding fair values.

Part B – Information on the balance sheet

Assets

Section 1 – Cash and cash equivalents Caption 10

1.1 Cash and cash equivalents: breakdown

	31.12.2016	31.12.2015
a) Cash	255,934	276,777
b) Demand deposits with Central Banks	-	-
Total	**255,934**	**276,777**

Section 2 – Financial assets held for trading Caption 20

2.1 Financial assets held for trading: breakdown by sector

Description/Amount	31.12.2016			31.12.2015		
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
A. Cash assets						
1. Debt securities	199,836	179,660	1	257,763	233,798	14
1.1 Structured securities	22,215	1,393	-	19,236	1,349	-
1.2 Other debt securities	177,621	178,267	1	238,527	232,449	14
2. Equities	62,538	48	1	64,589	48	1
3. UCITS units	62,471	-	-	56,034	-	-
4. Loans	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-
4.2 Other	-	-	-	-	-	-
Total A	**324,845**	**179,708**	**2**	**378,386**	**233,846**	**15**
B. Derivatives						
1. Financial derivatives	410	171,681	25,647	9	176,133	26,725
1.1 Trading	410	165,826	25,647	9	150,794	26,725
1.2 Connected with the fair value option	-	5,855	-	-	25,339	-
1.3 Other	-	-	-	-	-	-
2. Credit derivatives	-	-	-	-	-	-
2.1 Trading	-	-	-	-	-	-
2.2 Connected with the fair value option	-	-	-	-	-	-
2.3 Other	-	-	-	-	-	-
Total B	**410**	**171,681**	**25,647**	**9**	**176,133**	**26,725**
Total (A+B)	**325,255**	**351,389**	**25,649**	**378,395**	**409,979**	**26,740**

The financial derivatives connected with the fair value option (€ 5,855 thousand) are associated with debt securities classified as financial liabilities designated at fair value through profit and loss (liability caption 50).

2.2 Financial assets held for trading: breakdown by issuer/borrower

Description/Amounts	31.12.2016	31.12.2015
A. Cash assets		
1. Debt securities	379,497	491,575
a) Governments and Central Banks	268,653	338,704
b) Other public entities	8	13
c) Banks	66,490	119,507
d) Other issuers	44,346	33,351
2. Equity instruments	62,587	64,638
a) Banks	14,733	12,815
b) Other issuers:	47,854	51,823
- insurance companies	3,764	3,635
- financial companies	2,754	545
- non-financial companies	41,336	47,643
- other	-	-
3. UCITS units	62,471	56,034
4. Loans	-	-
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total A	504,555	612,247
B. Derivative instruments		
a) Banks	126,770	129,829
b) Customers	70,968	73,038
Total B	197,738	202,867
Total (A+B)	702,293	815,114

Section 3 – Financial assets designated at fair value through profit and loss
Caption 30

3.1 Financial assets designated at fair value through profit and loss: breakdown by sector

Description/Amounts	31.12.2016			31.12.2015		
	Level 1	Level 2	Level 3	Level 2	Level 2	Level 3
1. Debt securities	-	12,128	286	-	12,208	325
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	-	12,128	286	-	12,208	325
2. Equity instruments	3	362	-	3	476	-
3. UCITS units	20,956	-	4,908	20,710	-	3,177
4. Loans	-	-	-	-	-	-
4.1 Structured	-	-	-	-	-	-
4.2 Other	-	-	-	-	-	-
Total	**20,959**	**12,490**	**5,194**	**20,713**	**12,684**	**3,502**
Cost	**18,150**	**12,872**	**5,323**	**18,324**	**12,887**	**2,210**

Financial assets designated at fair value through profit and loss: use of the fair value option

Description	31.12.2016	31.12.2015
a) Natural hedges using derivatives	-	-
b) Natural hedges using other financial instruments	-	-
c) Other cases of accounting mismatches	-	-
d) Financial instruments managed and measured at fair value	38,643	36,899
e) Structured products with embedded derivatives	-	-
Total	**38,643**	**36,899**

3.2 Financial assets designated at fair value through profit and loss: breakdown by borrower/issuer

Description/Amounts	31.12.2016	31.12.2015
1. Debt securities	**12,414**	**12,533**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	7,282	7,274
d) Other issuers	5,132	5,259
2. Equity instruments	**365**	**479**
a) Banks	-	-
b) Other issuers:	365	479
- insurance companies	-	-
- financial companies	-	-
- non-financial companies	365	479
- other	-	-
3. UCITS units	**25,864**	**23,887**
4. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total	**38,643**	**36,899**

Analysis of UCITS units

Description	31.12.2016	31.12.2015
2. Property - closed end	7,452	8,079
3. Equities - open end	8,500	7,855
5. Bonds - open end	2,131	2,008
6. Equities closed end	2,190	2,464
7. Speculative securities	542	712
10. Other	5,049	2,769
Total	**25,864**	**23,887**

Section 4 – Financial assets available for sale
Caption 40

4.1 Financial assets available for sale: breakdown by sector

Description/Amounts	31.12.2016			31.12.2015		
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
1. Debt securities	**7,300,192**	**817,811**	**9,101**	**6,030,772**	**351,790**	**10,134**
1.1 Structured securities	-	-	-	-	-	-
1.2 Other debt securities	7,300,192	817,811	9,101	6,030,772	351,790	10,134
2. Equity instruments	**3,590**	**-**	**282,793**	**4,768**	**-**	**250,161**
2.1 Valued at fair value	3,590	-	254,248	4,768	-	220,477
2.2 Valued at cost	-	-	28,545	-	-	29,684
3. UCITS units	**41,319**	**-**	**121,026**	**37,831**	**-**	**60,598**
4. Loans	**-**	**-**	**-**	**-**	**-**	**-**
Total	**7,345,101**	**817,811**	**412,920**	**6,073,371**	**351,790**	**320,893**

"Financial Assets available for sale" are measured at fair value on the basis described in Part A of these Explanatory notes. "Debt securities" mainly relate to investments made in government bonds with the aim of returning to a more balanced asset sensitivity structure. The UCITS units mainly relate to closed-end property and investment funds.

4.2 Financial assets available for sale: breakdown by borrower/issuer

Description/Amounts	31.12.2016	31.12.2015
1. Debt securities	**8,127,104**	**6,392,696**
a) Government and Central Banks	3,236,459	3,894,543
b) Other public entities	110,775	18,364
c) Banks	3,522,787	2,036,508
d) Other issuers	1,257,083	443,281
2.Equity instruments	**286,383**	**254,929**
a) Banks	115,513	115,565
b) Other issuers:	170,870	139,364
- insurance companies	63,777	54,462
- financial companies	67,444	48,498
- non-financial companies	39,643	36,340
- other	6	64
3. UCITS units	**162,345**	**98,429**
4. Loans	**-**	**-**
a) Government and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other parties	-	-
Total	**8,575,832**	**6,746,054**

4.3 Micro-hedged financial assets available for sale

	31.12.2016	31.12.2015
1. Financial assets covered by specific fair value hedges	**2,167,059**	**893,382**
a) Interest rate risk	2,167,059	893,382
b) Price risk	-	-
c) Foreign exchange risk	-	-
d) Credit risk	-	-
e) Multiple risks	-	-
2. Financial assets covered by specific cash flow hedges	**282,371**	**284,181**
a) Interest rate risk	282,371	284,181
b) Foreign exchange risk	-	-
c) Other	-	-
Total	**2,449,430**	**1,177,563**

Section 5 – Financial assets held to maturity Caption 50

5.1 Financial assets held to maturity: breakdown by sector

	31.12.2016				31.12.2015			
	BV	FV			BV	FV		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Debt securities	2,515,993	2,492,106	205,820	-	2,663,859	2,732,671	125,432	-
- structured	-	-	-	-	-	-	-	-
- other	2,515,993	2,492,106	205,820	-	2,663,859	2,732,671	125,432	-
2. Loans	-	-	-	-	-	-	-	-
Total	**2,515,993**	**2,492,106**	**205,820**	**-**	**2,663,859**	**2,732,671**	**125,432**	**-**

Key:

FV = fair value
BV = book value

5.2 Financial assets held to maturity: breakdown by borrower/issuer

Type of transaction/Amounts	31.12.2016	31.12.2015
1. Debt securities	**2,515,993**	**2,663,859**
a) Governments and Central Banks	1,348,283	1,423,156
b) Other public entities	9,960	9,954
c) Banks	933,791	975,305
d) Other issuers	223,959	255,444
2. Loans	**-**	**-**
a) Governments and Central Banks	-	-
b) Other public entities	-	-
c) Banks	-	-
d) Other entities	-	-
Total	**2,515,993**	**2,663,859**
Total fair value	**2,697,926**	**2,858,103**

Section 6 – Due from banks Caption 60

6.1 Due from banks: breakdown by sector

Type of transaction/Amounts	Total 31.12.2016				Total 31.12.2015			
	BV	FV			BV	FV		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
A. Due from Central Banks	**576,337**	**#**	**#**	**576,337**	**248,025**	**-**	**-**	**248,025**
1. Restricted deposits	-	#	#	#	-	#	#	#
2. Reserve requirement	576,337	#	#	#	248,025	#	#	#
3. Repurchase agreements	-	#	#	#	-	#	#	#
4. Other	-	#	#	#	-	#	#	#
B. Due from banks	**1,579,300**	**-**	**86,255**	**1,495,475**	**1,489,004**	**-**	**86,936**	**1,405,870**
1. Loans	1,495,475	#	#	1,495,475	1,405,870	-	-	1,405,870
1.1. Current accounts and demand deposits	605,961	#	#	#	412,274	#	#	#
1.2. Restricted deposits	390,090	#	#	#	256,065	#	#	#
1.3. Other loans	499,424	#	#	#	737,531	#	#	#
- Repurchase agreements	150,291	#	#	#	129,275	#	#	#
- Finance leases	-	#	#	#	-	#	#	#
- Other	349,133	#	#	#	608,256	#	#	#
2. Debt securities	83,825	#	86,255	#	83,134	-	86,936	-
2.1 Structured securities	-	#	#	#	-	#	#	#
2.2 Other debt securities	83,825	#	#	#	83,134	#	#	#
Total	**2,155,637**	**-**	**86,255**	**2,071,812**	**1,737,029**	**-**	**86,936**	**1,653,895**

Key:

FV = fair value
BV = book value

Section 7 – Loans to customers Caption 70

7.1 Loans to customers: breakdown by sector

Type of transaction/Values	31.12.2016					
	Book value			Fair value		
	Performing loans	Non-performing loans		L1	L2	L3
		Purchased	Other			
Loans	**31,162,700**	**-**	**4,054,695**	**-**	**-**	**35,898,809**
1. Current accounts	4,876,520	-	648,039	#	#	#
2. Repurchase agreements	-	-	-	#	#	#
3. Mortgage loans	18,584,278	-	2,662,000	#	#	#
4. Credit cards, personal loans and assignments of one-fifth of salary	945,701	-	37,935	#	#	#
5. Finance leases	-	-	-	#	#	#
6. Factoring	-	-	-	#	#	#
7. Other loans	6,756,201	-	706,721	#	#	#
Debt securities	**259,930**	**-**	**933**	**-**	**130,126**	**140,164**
8. Structured securities	-	-	-	#	#	#
9. Other debt securities	259,930	-	933	#	#	#
Total	**31,422,630**	**-**	**4,055,628**	**-**	**130,126**	**36,038,973**

Type of transaction/Values	31.12.2015					
	Book value			Fair value		
	Performing loans	Non-performing loans		L1	L2	L3
		Purchased	Other			
Loans	**29,326,881**	**-**	**4,285,814**	**-**	**-**	**34,259,321**
1. Current accounts	5,349,289	-	707,568	#	#	#
2. Repurchase agreements	-	-	-	#	#	#
3. Mortgage loans	17,628,982	-	2,692,710	#	#	#
4. Credit cards, personal loans and assignments of one-fifth of salary	886,941	-	41,099	#	#	#
5. Finance leases	-	-	-	#	#	#
6. Factoring	-	-	-	#	#	#
7. Other loans	5,461,669	-	844,437	#	#	#
Debt securities	**271,668**	**-**	**910**	**-**	**151,436**	**136,186**
8. Structured securities	-	-	-	#	#	#
9. Other debt securities	271,668	-	910	#	#	#
Total	**29,598,549**	**-**	**4,286,724**	**-**	**151,436**	**34,395,507**

The sub-caption "Other loans" of performing loans includes: € 3,996,473 thousand of bullet loans (€ 2,422,754 thousand at the end of 2015), € 1,923,657 thousand of advances on invoices subject to collection (€ 2,004,117 thousand at the end of 2015), € 648,654 thousand of import/export advances (€ 747,141 thousand at the end of 2015), € 37,179 thousand of credit assignment (€ 44,172 thousand at the end of 2015) and € 150,238 thousand of other miscellaneous entries (€ 243,485 thousand at the end of 2015).

7.2 Loans to customers: breakdown by borrower/issuer

Type of transaction/Amounts	31.12.2016			31.12.2015		
	Performing loans	Non-performing loans		Performing loans	Non-performing loans	
		Purchased	Other		Purchased	Other
1.Debt securities:	**259,930**	**-**	**933**	**271,668**	**-**	**910**
a) Governments	-	-	-	-	-	-
b) Other public entities	141	-	-	282	-	-
c) Other issuers	259,789	-	933	271,386	-	910
- non-financial companies	4,842	-	933	4,774	-	910
- financial companies	151,360	-	-	163,042	-	-
- insurance companies	103,587	-	-	103,570	-	-
- other	-	-	-	-	-	-
2. Loans to:	**31,162,700**	**-**	**4,054,695**	**29,326,881**	**-**	**4,285,814**
a) Governments	1,712,350	-	1	1,680,875	-	1
b) Other public entities	150,323	-	4,429	111,268	-	6,102
c) Other parties	29,300,027	-	4,050,265	27,534,738	-	4,279,711
- non-financial companies	17,425,046	-	3,412,558	16,434,487	-	3,605,965
- financial companies	4,052,511	-	135,367	3,642,105	-	159,017
- Insurance companies	15,508	-	-	14,186	-	-
- other	7,806,962	-	502,340	7,443,960	-	514,729
Total	**31,422,630**	**-**	**4,055,628**	**29,598,549**	**-**	**4,286,724**

Section 8 – Hedging derivatives Caption 80

8.1 Hedging derivatives: breakdown by type and level

	Fair Value 31.12.2016			NV	Fair Value 31.12.2015			NV
	L1	L2	L3		L1	L2	L3	
A. Financial derivatives	**-**	**59,767**	**-**	**2,513,350**	**-**	**35,715**	**-**	**1,950,563**
1) Fair value	-	59,767	-	2,513,350	-	35,715	-	1,950,563
2) Cash flows	-	-	-	-	-	-	-	-
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**59,767**	**-**	**2,513,350**	**-**	**35,715**	**-**	**1,950,563**

Key

NV = nominal value
L1 = Level 1
L2 = Level 2
L3 = Level 3

8.2 Hedging derivatives: breakdown by hedged portfolio and type of hedge

Operations/Type of hedges	Fair value						Cash flows		Foreign investments
	Specific					General	Specific	General	
	Interest Rate Risk	Exchange Risk	Credit risk	Price risk	Multiple risks				
1. Financial assets available for sale	12,942	-	-	-	-	#	-	#	#
2. Loans	-	-	-	#	-	#	-	#	#
3. Financial assets held to maturity	#	-	-	#	-	#	-	#	#
4. Portfolio	#	#	#	#	#	-	#	-	#
5. Other operations	-	-	-	-	-	#	-	#	-
Total assets	**12,942**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Financial liabilities	46,825	-	-	#	-	#	-	#	#
2. Portfolio	#	#	#	#	#	-	#	-	#
Total liabilities	**46,825**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	#	#	#	#	#	#	-	#	#
2. Portfolio of financial assets and liabilities	#	#	#	#	#	-	#	-	-

Section 9 – Remeasurement of financial assets backed by general hedges Caption 90

There are no amounts in this section.

Section 10 – Equity investments
Caption 100

10.1 Equity investments: information on shareholdings

Name	Registered head office	Operational head office	% holding	% Voting rights
A. Investments in wholly-owned subsidiaries				
Direct:				
1 Adras s.p.a.	Milan	Milan	100.000	
2 Banca di Sassari s.p.a.	Sassari	Sassari	78.462	
3 Bper (Europe) International s.a.	Luxembourg	Luxembourg	100.000	
4 Banco di Sardegna s.p.a.	Cagliari	Sassari	50.669	51.000
5 BPER Credit Management s.cons.p.a.	Modena	Modena	67.000	
6 BPER Services s.cons.p.a.	Modena	Modena	92.838	
7 BPER Trust Company s.p.a.	Modena	Modena	100.000	
8 Cassa di Risparmio di Bra s.p.a.	Bra	Bra	67.000	
9 Cassa di Risparmio di Saluzzo s.p.a.	Saluzzo	Saluzzo	100.000	
10 Emilia Romagna Factor s.p.a.	Bologna	Bologna	94.403	
11 Estense Covered Bond s.r.l.	Conegliano	Conegliano	60.000	
12 Estense CPT Covered Bond s.r.l.	Conegliano	Conegliano	60.000	
13 Italiana Valorizzazioni Immobiliari s.r.l.	Milano	Milano	100.000	
14 Modena Terminal s.r.l.	Campogalliano	Campogalliano	100.000	
15 Mutina s.r.l.	Modena	Modena	100.000	
16 Nadia s.p.a.	Modena	Modena	100.000	
17 Optima s.p.a. S.I.M.	Modena	Modena	100.000	
18 Polo Campania s.r.l.	Avellino	Avellino	100.000	
19 Sardaleasing s.p.a.	Sassari	Milano	51.440	
20 SIFA' - Società Italiana Flotte Aziendali s.p.a.	Trento	Milano/Reggio Emilia	35.000	
B. Investments in companies under joint control				
C. Associates (subject to significant influence)				
1 Alba Leasing s.p.a.	Milan	Milan	33.498	
2 Arca Holding s.p.a.	Milan	Milan	32.752	
3 Atriké s.p.a.	Modena	Modena	45.000	
4 Banca della Nuova Terra s.p.a.	Milan	Milan	30.369	
5 Cassa di Risparmio di Fossano s.p.a.	Fossano	Fossano	23.077	
7 Cassa di Risparmio di Savigliano s.p.a.	Savigliano	Savigliano	31.006	
8 CAT Progetto Impresa Modena s.c.r.l.	Modena	Modena	20.000	
9 Co.Ba.Po. Consorzio Banche popolari dell'Emilia Romagna	Bologna	Bologna	23.587	
10 CONFORM Consulenza Formazione e Management s.cons. a r.l.	Avellino	Avellino	46.430	
11 Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	Lanciano	Lanciano	20.000	
12 Resiban s.p.a.	Modena	Modena	20.000	
13 Sintesi 2000 s.r.l.	Milan	Milan	33.333	
14 Unione Fiduciaria s.p.a.	Milan	Milan	24.000	

The "% Voting rights" column is only filled in cases where the actual share of votes exercisable at the Ordinary Shareholders' Meeting is different from the share held in the company's share capital.

Despite having subscribed for just 35% of SIFA' - Società Italiana Flotte Aziendali s.p.a., BPER Banca has acquired de facto control by virtue of being able to exercise significant influence over the company's strategic financial and operating decisions.

Impairment testing of investments in subsidiaries

In accordance with IAS/IFRS, controlling interests have been subjected to impairment testing to determine whether the carrying amounts thereof were recoverable.
The following table provides details of the carrying amounts of the controlling interests that were subjected to impairment testing.

Bank	Investment % (1)	Carrying amount of investment
CR Bra s.p.a.	67.00%	65.5
Banco di Sardegna s.p.a.	50.66%	614.3

Amounts in millions of Euro

Key:
(1) % relating to 30 November 2015.
(2) Equal to the difference between the pro rata value in use of the bank and the value of the investment.

Impairment testing has to be performed by comparing the carrying amount of an asset with its recoverable value, where the recoverable amount is the higher of its fair value less costs to sell and its value in use.
The recoverable value of each investment has been estimated as being equal to the pro rata value in use of the subsidiary, given that each individual entity is independently capable of generating cash flows. For the estimate of the value in use, assumptions, parameters and methodology, reference should be made to the section on the goodwill impairment test.
With respect to equity investments at 31 December 2016, the comparison with the pro rata value in use of the subsidiary confirms the carrying amounts recorded in the financial statements at that date.

Impairment testing of investments in associates

As required by IAS/IFRS, equity investments in associated banks have been subjected to impairment tests. With respect to the method for the determination of impairment of investments in associates, the applicable accounting standards require that this be applied by comparing the recoverable amount with the carrying amount of the investment.
As is the case with subsidiary banks, testing for impairment is performed annually, normally during preparation of the year-end financial statements. If evidence of possible impairment emerges during the first half of the year, the tests are repeated using updated information.

Casse Cuneesi

The recoverable amount was determined on a value in use basis, estimated by discounting future cash flows. As for the subsidiary banks, the Dividend Discount Model was applied with a cost of capital of 8.42% and a long-term growth rate of 1.5%.
More specifically, for the estimate of the cost of capital, reference was made to the following parameters:

- risk-free rate of 1.75%, i.e. the 3-month average yield on 10-year BTPs;
- market risk premium of 5.50%;
- beta of 1.21 equal to the average based on a sampling of Italian listed banks with mainly regional activities, a small-medium size and focused on Retail customers.

For more details about the methodology and other parameters, reference should be made to the section on goodwill impairment testing.

The value in use was estimated by discounting future cash flows relating to an explicit forecast period of five years, from 2017 to 2021. The forecasts were drawn up considering:

- for 2016, the trend registered until 30 June 2016, or a later date, of the quarterly financial situations, where available;
- for the period 2017-2021, financial projections were developed in a context of inertial growth in order to identify sustainable long-term normalised income, having made reference to the historical evolution of the bank and the system estimates provided by Prometeia.

Distributable cash flows have been calculated assuming an increased regulatory requirement from 7.25% to 8.5% in line with the latest supervisory provisions.
Based on the above, the values in use of investments in associates were estimated and compared with their respective carrying amounts, which provided confirmation of the sustainability of the carrying amounts recorded in the financial statements at that date.

Sensitivity analysis was performed, considering increases and decreases of normalised cash flow and changes in the discount rate. The following table presents the potential impairment loss that would arise in the event of a change in normalised cash flow and discount rate from those used as underlying assumptions.

Bank	Change in the normalised base cash flow		Change in the base discount rate	
	-10%	-5%	+50 bps	+25 bps
CR Savigliano s.p.a.	n.i.	n.i.	n.i.	n.i.
CR Fossano s.p.a.	-0.4	n.i.	-0.3	n.i.

Amounts in millions of Euro

n.i. = no impairment

A sensitivity analysis was also performed, alternating changes in the discount rate and normalised cash flow for the last period of the projections (used to estimate the Terminal Value) until the changes resulted in the value in use equalling the carrying amount. The following table shows for each investment, the change limit for the two parameters used for reference purposes.

Bank	Ke limit rate	Reduction of final flow
CR Savigliano s.p.a.	9.16%	-13.4%
CR Fossano s.p.a.	8.85%	-8.2%

10.5 Equity investments: change in the period

	31.12.2016	31.12.2015
A. Opening balance	**1,471,789**	**1,379,467**
B. Increases	**301,425**	**99,812**
B.1 Purchases	268,579	69,639
- of which: Business Combinations	51,893	-
B.2 Write-backs	-	-
B.3 Revaluation	-	-
B.4 Other changes	32,846	30,173
C. Decreases	**153,757**	**7,490**
C.1 Sales	170	80
C.2 Adjustments	7,673	7,410
C.3 Other changes	145,914	-
D. Closing balance	**1,619,457**	**1,471,789**
E. Total revaluations	**-**	**-**
F. Total adjustments	**161,723**	**154,050**

Increases due to purchases (caption B.1) refer to:
Banca di Sassari s.p.a.:
- Purchase of no. 37,326,150 shares for € 216,480 thousand.
Banco di Sardegna s.p.a.:
- Purchase of no. 34,122 savings shares for € 206 thousand.
Cassa di Risparmio di Saluzzo s.p.a.:
- Purchase of no. 44,147,523 shares from Fondazione Cassa di Risparmio di Saluzzo for € 51,893 thousand to acquire control of the company.

"Other increases" (caption B.4) refer to:
- transfer at fair value of no. 19,852,477 shares in Cassa di Risparmio di Saluzzo s.p.a. from the "investments in associates" portfolio to "controlling interests" (€ 23,336 thousand);
- waiver of interest receivable due to BPER Banca by Italiana Valorizzazioni Immobiliari s.r.l. (€ 260 thousand);
- capital contribution in favour of the investee Polo Campania s.r.l. to cover accumulated losses and recapitalise the company (€ 9,036 thousand);
- non-repayable contribution by shareholders to Sifà s.p.a. (€ 210 thousand);
- gain on sale of no. 840 shares in BPER Services s.cons.p.a. to Cassa di Risparmio di Saluzzo s.p.a. (€ 2 thousand);
- gain on sale of no. 840 shares in BPER Services s.cons.p.a. to BPER Credit Management s.cons.p.a. (€ 2 thousand).

Decreases due to sales (caption B.1) relate to:
- sale of no. 840 shares in BPER Services s.cons.p.a. to BPER Credit Management s.cons.p.a. (€ 80 thousand);
- sale of no. 840 shares in BPER Services s.cons.p.a. to Cassa di Risparmio di Saluzzo s.p.a. (€ 80 thousand);
- sale of no. 1000 shares in BPER Credit Management s.cons.p.a. to Cassa di Risparmio di Saluzzo s.p.a. (€ 10 thousand);

"Adjustments" (caption C.2.) refer to:
- impairment made to the holding in Banca della Nuova Terra s.p.a. (€ 2,275 thousand);
- impairment made to the holding in Italiana Valorizzazione Immobili s.r.l. (€ 260 thousand);
- impairment made to the holding in Nadia s.p.a. (€ 3,507 thousand);
- impairment made to the holding in Polo Campania s.r.l. (€ 1,294 thousand);
- impairment made to the holding in Sifà s.p.a. (€ 337 thousand).

"Decreases" (caption C.3) refer to:
- transfer of no. 19,852,477 shares in Cassa di Risparmio di Saluzzo s.p.a. from the "investments in associates" portfolio to "controlling interests" following the acquisition of control of the company (€ 23,336 thousand);
- loss on transfer at fair value of no. 19,852,477 shares in Cassa di Risparmio di Saluzzo s.p.a. from the "investments in associates" portfolio to "controlling interests" following the acquisition of control of the company (€ 2,923 thousand);
- write-down to zero of the investment in Nettuno Gestione Crediti s.p.a. in liquidation on completion of the liquidation process and the cancellation of the company (€ 1,500 thousand);
- cancellation of no. 155 shares in Emro Finance Ireland Limited following the merger of the company with BPER Banca (€ 118,155 thousand).

Section 11 – Property, plant and equipment Caption 110

11.1 Property, plant and equipment used for business purposes: breakdown of assets valued at cost

Description/Amounts	31.12.2016	31.12.2015
1. Assets owned	**352,210**	**362,268**
a) land	86,199	86,481
b) buildings	223,334	232,076
c) furniture	18,486	20,424
d) electronic systems	8,901	8,189
e) other	15,290	15,098
2. Assets purchased under finance leases	**2,383**	**2,478**
a) land	-	-
b) buildings	2,383	2,478
c) furniture	-	-
d) electronic systems	-	-
e) other	-	-
Total	**354,593**	**364,746**

11.2 Investment property: breakdown of assets valued at cost

Description/Amounts	Total 31.12.2016				Total 31.12.2015			
	Book value	Fair value			Book value	Fair value		
		L1	L2	L3		L1	L2	L3
1. Assets owned	**72,122**	**-**	**-**	**79,376**	**73,514**	**-**	**-**	**78,516**
a) land	25,580	-	-	27,214	26,115	-	-	29,846
b) buildings	46,542	-	-	52,162	47,399	-	-	48,670
2. Assets purchased under finance leases	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) land	-	-	-	-	-	-	-	-
b) buildings	-	-	-	-	-	-	-	-
Total	**72,122**	**-**	**-**	**79,376**	**73,514**	**-**	**-**	**78,516**

The Bank has opted to measure both assets used in the business and investment property at cost.

11.5 Property, plant and equipment used in business: changes in the period

	Land	Buildings	Furniture	Electronic systems	Other	31.12.2016
A. Opening gross amount	**86,481**	**343,694**	**119,245**	**78,378**	**153,728**	**781,526**
A.1 Total net write-downs	-	109,140	98,821	70,189	138,630	416,780
A.2 Opening net amount	**86,481**	**234,554**	**20,424**	**8,189**	**15,098**	**364,746**
B. Increases	**-**	**2,575**	**886**	**3,617**	**5,533**	**12,611**
B.1 Purchases	-	122	886	3,617	5,533	10,158
B.2 Capitalised improvement expenditure	-	2,453	-	-	-	2,453
B.3 Write-backs	-	-	-	-	-	-
B.4 Positive changes in fair value posted to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) income statement	-	-	-	-	-	-
B.5 Positive exchange rate adjustments	-	-	-	-	-	-
B.6 Transfer from properties held for investment	-	-	-	-	-	-
B.7 Other changes	-	-	-	-	-	-
C. Decreases	**282**	**11,412**	**2,824**	**2,905**	**5,341**	**22,764**
C.1 Sales	-	-	-	438	33	471
C.2 Depreciation	-	9,340	2,824	2,467	5,308	19,939
C.3 Impairment charges posted to:	-	282	-	-	-	282
a) shareholders' equity	-	-	-	-	-	-
b) income statement	-	282	-	-	-	282
C.4 Negative changes in fair value posted to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) income statement	-	-	-	-	-	-
C.5 Negative exchange rate adjustments	-	-	-	-	-	-
C.6 Trasfer to:	282	1,790	-	-	-	2,072
a) property, plant and equipment held for investment	282	1,790	-	-	-	2,072
b) non-current assets held for sale	-	-	-	-	-	-
C.7 Other changes	-	-	-	-	-	-
D. Closing net balance	**86,199**	**225,717**	**18,486**	**8,901**	**15,290**	**354,593**
D.1 Total net write-downs	-	117,739	101,647	68,308	143,212	430,906
D.2 Closing gross amount	**86,199**	**343,456**	**120,133**	**77,209**	**158,502**	**785,499**

The depreciation accumulated in relation to assets sold during the year amounted to € 5,138 thousand. The determination of the fair value of property, held for whatever purpose, which is also useful to highlight any need for impairment, is usually done based on generally accepted valuation methods and principles. At 31 December 2016, the valuation of the Bank's entire property portfolio was subjected to review by an independent expert, Praxi s.p.a., an exercise considered useful for better compliance with the guidance provided by international accounting standards, specifically, IAS 40. Based on the valuation submitted to us on completion of the above review, it was deemed appropriate to write down the carrying amount of the various properties with the recognition of an impairment loss of € 282 thousand.

11.6 Investment property: changes in the period

	31.12.2016	
	Land	Buildings
A. Opening gross amount	**26,115**	**60,362**
A.1 Total net write-downs	-	12,963
A.2 Opening net amount	**26,115**	**47,399**
B. Increases	**342**	**1,790**
B.1 Purchases	60	-
B.2 Capitalised improvement expenditure	-	-
B.3 Positive changes in fair value	-	-
B.4 Write-backs	-	-
B.5 Exchange gains	-	-
B.6 Transfers from assets used in business	282	1,790
B.7 Other changes	-	-
C. Decreases	**877**	**2,647**
C.1 Sales	322	739
C.2 Depreciation	-	1,099
C.3 Negative changes in fair value	-	-
C.4 Impairment changes	555	809
C.5 Exchange losses	-	-
C.6 Transfers to other asset portfolios:	-	-
a) property used in business	-	-
b) non-current assets held for sale	-	-
C.7 Other changes	-	-
D. Closing net balance	**25,580**	**46,542**
D.1 Total net write-downs	-	14,635
D.2 Closing gross amount	**25,580**	**61,177**
E. Measured at fair value	**27,214**	**52,162**

As a result of the updated valuation of the property portfolio at fair value, as mentioned previously, it was found necessary, in accordance with IAS 36, to write down the carrying amount of five properties, recording an impairment loss of € 1,364.2 thousand.

Useful life of the main fixed asset categories

Category	Useful life
Land	not depreciated
Property	based on the useful lives identified from specific appraisals
Office furniture and machines	100 months
Furnishings	80 months
Lifting equipment	160 months
Motor vehicles	48 months
Alarm systems	40 months
IT hardware	60 months

Depreciation is calculated with reference to the estimated useful lives of the assets concerned, commencing from when they enter into service.

Section 12 – Intangible assets Caption 120

12.1 Intangible assets: breakdown by type

Description/Amounts	31.12.2016		31.12.2015	
	Limited duration	Unlimited duration	Limited duration	Unlimited duration
A.1 Goodwill	**#**	**280,236**	**#**	**280,236**
A.2 Other intangible assets	**16,687**	**-**	**18,056**	**-**
A.2.1 Carried at cost:	16,687	-	18,056	-
a) Intangible assets generated internally	-	-	-	-
b) Other assets	16,687	-	18,056	-
A.2.2 Carried at fair value:	-	-	-	-
a) Intangible assets generated internally	-	-	-	-
b) Other assets	-	-	-	-
Total	**16,687**	**280,236**	**18,056**	**280,236**

"Other intangible assets" include € 13,333 thousand representing the value of the client relationships identified on final allocation of the purchase price paid for the former UniCredit branches in 2008, the useful life of which is estimated as 18 years.
The remaining "Other intangible assets" comprise software which is amortised on a straight-line basis over a period that depends on its degree of obsolescence; in any case, this period does not exceed five years.

BPER Banca's items of goodwill recorded in the financial statements are summarised in the following table:

Goodwill	31.12.2016	31.12.2015
- Purchase of UniCredit branches	83,650	83,650
- Meliorbanca s.p.a.	104,685	104,685
- Banca CRV - Cassa di Risparmio di Vignola s.p.a.	2,272	2,272
- Banca Popolare di Lanciano e Sulmona s.p.a.	1,655	1,655
- Banca Popolare di Aprilia s.p.a.	10,151	10,151
- CARISPAQ - Cassa di Risparmio della Provincia dell'Aquila s.p.a.	13,477	13,477
- Banca Popolare di Ravenna s.p.a.	6,876	6,876
- Banca Popolare del Mezzogiorno s.p.a.	6,124	6,124
- Banca della Campania s.p.a.	51,346	51,346
Total	**280,236**	**280,236**

The detailed figures represent a purely historical and accounting situation, in any case combined in the only identifiable CGU represented by the Legal Entity BPER Banca.

Goodwill impairment test

In recent years, BPER Banca has been subject to a series of internal reorganisation transactions, including the merger of a number of subsidiary banks (specifically, Banca Popolare di Lanciano e Sulmona s.p.a., Banca Popolare di Aprilia s.p.a., CARISPAQ – Cassa di Risparmio della Provincia dell'Aquila s.p.a, Banca Popolare di Ravenna s.p.a., Banca della Campania s.p.a., Banca Popolare del Mezzogiorno s.p.a. and Meliorbanca s.p.a.) that did not result in changes in the amounts of goodwill, but simply a different allocation of their value to the Cash Generating Units (CGUs).

According to IAS 36, there is a need to correlate the level at which goodwill is tested with the internal reporting level at which management controls movements in this value. In this regard, the definition of this level is closely dependent on the organisational models and the attribution of management responsibilities for the definition of operating activities and subsequent monitoring. Organisational models can be related to the articulation of legal entities through which operations are developed or to the definition of the business's operating sectors that are the basis of segment reporting as envisaged by IFRS 8.

The characteristics of the individual business units merged, which were fully absorbed by BPER Banca's organisation and its structure, in terms of both the commercial network and risk management, led to the identification of the Bank as a whole as the CGU, representing the lowest level at which Management checks the profitability of an investment. In addition, planning processes and reporting systems are managed at the level of the individual Legal Entity.

Goodwill recorded in the Bank's assets for a total of Euro 280.2 million is therefore verified on the basis of cash flows potentially distributable by the Bank as a whole. Accordingly, even the goodwill that was previously verified at individual entity level is now verified with reference to the Bank as a whole.

On account of the fact that intangible assets with an indefinite useful life recognised in the Separate financial statements coincide in substance with the same assets recognised in the Consolidated financial statements of the BPER Banca CGU, the analysis performed and the results of impairment tests conducted for the preparation of the Consolidated financial statements were also considered valid for the Separate financial statements.

Details of the criteria used for the calculation of the recoverable amounts of CGUs, of the assumptions underlying the valuation models used and of sensitivity analysis are provided in "Section 13 Intangible assets" of the Consolidated Explanatory notes.

The analysis did not indicate any need to recognise an impairment loss pertaining to goodwill recorded in the Separate financial statements.

12.2 Intangible assets: changes in the period

	Goodwill	Other intangible assets: generated internally		Other intangible assets: others		31.12.2016
		Lim.	Unilm.	Lim.	Unilm.	
A. Opening balance	**280,236**	**-**	**-**	**32,900**	**-**	**313,136**
A.1 Total net write-downs	-	-	-	14,844	-	14,844
A.2 Opening net amount	**280,236**	**-**	**-**	**18,056**	**-**	**298,292**
B. Increases	**-**	**-**	**-**	**1,140**	**-**	**1,140**
B.1 Purchases	-	-	-	1,140	-	1,140
B.2 Increases in intangible assets generated internally	#	-	-	-	-	-
B.3 Write-backs	#	-	-	-	-	-
B.4 Positive changes in fair value	-	-	-	-	-	-
- posted to shareholders' equity	#	-	-	-	-	-
- posted to income statement	#	-	-	-	-	-
B.5 Exchange gains	-	-	-	-	-	-
B.6 Other changes	-	-	-	-	-	-
C. Decreases	**-**	**-**	**-**	**2,509**	**-**	**2,509**
C.1 Sales	-	-	-	-	-	-
C.2 Adjustments	-	-	-	2,509	-	2,509
- Amortisation	#	-	-	2,509	-	2,509
- Write-downs	-	-	-	-	-	-
+ shareholders' equity	#	-	-	-	-	-
+ income statement	-	-	-	-	-	-
C.3 Negative changes in fair value	#	-	-	-	-	-
- posted to shareholders' equity	#	-	-	-	-	-
- posted to income statement	#	-	-	-	-	-
C.4 Transfers to discontinued operations due for disposal	-	-	-	-	-	-
C.5 Exchange losses	-	-	-	-	-	-
C.6 Other changes	-	-	-	-	-	-
D. Closing net balance	**280,236**	**-**	**-**	**16,687**	**-**	**296,923**
D.1 Total net value adjustments	-	-	-	17,353	-	17,353
E. Closing gross amount	**280,236**	**-**	**-**	**34,040**	**-**	**314,276**

All intangible assets are stated at cost.

Key

Lim.= limited duration
Unlim.= unlimited duration

Section 13 – Tax assets and liabilities
Asset caption 130 and liability caption 80

13.1 Deferred tax assets: breakdown

	IRES	IRAP	Total
Adjustments to loans to customers	600,127	54,408	654,535
Write-downs of equity investments and securities	20,607	10,039	30,646
Goodwill	138,459	28,044	166,503
Personnel provisions	52,686	4,580	57,266
Endorsement credits, revocatory action during bankruptcy proceedings and outstanding lawsuits	46,829	3,608	50,437
Depreciation of property, plant and equipment and amortisation of intangible assets	9,334	438	9,772
Tax losses	37,055	3,977	41,032
Other deferred tax assets	20,720	609	21,329
Total	**925,817**	**105,703**	**1,031,520**

The total deferred includes tax assets under Law no. 214/2011 for an amount of € 862,070 thousand.

13.2 Deferred tax liabilities: breakdown

	IRES	IRAP	Total
Goodwill	11,698	2,369	14,067
Payroll	1,518	-	1,518
Depreciation of property, plant and equipment and amortisation of intangible assets	1,996	330	2,326
Gains on disposal of lines of business	-	-	-
Gains from the sale of shares and bonds	33,292	9,470	42,762
Equity investments	245	-	245
Other deferred tax liabilities	1,925	390	2,315
Total	**50,674**	**12,559**	**63,233**

13.3 Changes in deferred tax assets (with contra-entry to income statement)

	31.12.2016	31.12.2015
1. Opening balance	**961,134**	**895,606**
2. Increases	**83,066**	**86,557**
2.1 Deferred tax assets arising during the year	83,066	86,557
a) relating to prior years	-	-
b) due to changes in accounting policies	-	-
c) write-backs	-	-
d) other	83,066	86,557
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	-	-
3. Decreases	**67,789**	**21,029**
3.1 Deferred tax assets derecognised during the year	67,789	21,029
a) reversals	67,789	21,029
b) written down as no longer recoverable	-	-
c) due to changes in accounting policies	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decrease:	-	-
a) transformation of tax credits referred as per L. 214/2011	-	-
b) other	-	-
4. Closing balance	**976,411**	**961,134**

Caption 2.1 d) "Increases - other" mainly consists of deferred tax assets relating to tax losses convertible into tax credits of €38,943 thousand and to an ACE carry forward of Euro 14,977 thousand; of provisions for legal disputes, € 14,142 thousand; of payroll accruals of € 10,330 thousand; and of impairment losses recognised on property and equity instruments of € 2,619 thousand.

13.3.1 Changes in deferred tax assets as per Law 214/2011 (with contra-entry to the income statement)

	31.12.2016	31.12.2015
1. Opening balance	**862,146**	**818,508**
2. Increases	**38,943**	**47,936**
3. Decreases	**41,110**	**4,298**
3.1 Reversals	41,110	4,298
3.2 Transformations into tax credits	-	-
a) arising from losses	-	-
b) arising from tax losses	-	-
3.3 Other decreases	-	-
4. Closing balance	**859,979**	**862,146**

The increases referred to in paragraph 2 above relate to deferred tax assets on tax losses convertible into tax credits in accordance with the rules mentioned above.

13.4 Changes in deferred tax liabilities (with contra-entry to income statement)

	31.12.2016	31.12.2015
1. Opening balance	**17,457**	**17,418**
2. Increases	**3,509**	**1,781**
2.1 Deferred tax liabilities arising during the year	3,509	1,781
a) relating to prior years	-	-
b) due to change in accounting policies	-	-
c) other	3,509	1,781
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	-	-
3. Decreases	**1,200**	**1,742**
3.1 Deferred tax liabilities derecognised during the year	1,200	1,742
a) reversals	1,200	1,742
b) due to change in accounting policies	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	-	-
4. Closing balance	**19,766**	**17,457**

13.5 Changes in deferred tax assets (with contra-entry to shareholders' equity)

	31.12.2016	31.12.2015
1. Opening balance	**38,371**	**40,513**
2. Increases	**24,968**	**7,225**
2.1 Deferred tax assets recognised during the year	24,968	7,225
a) relating to prior years	-	-
b) due to changes in accounting policies	-	-
c) other	24,968	7,225
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	-	-
3. Decreases	**8,230**	**9,367**
3.1 Deferred tax assets cancelled during the year	8,230	9,367
a) reversals	8,230	9,367
b) written down as no longer recoverable	-	-
c) due to changes in accounting policies	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	-	-
4. Closing balance	**55,109**	**38,371**

The amount shown under "Deferred tax liabilities recognised during the year - other" (2.1 - c)) comprises an amount of € 2,089 thousand related to deferred tax assets convertible into tax credits in accordance with Law 214/2011.

13.6 Changes in deferred tax liabilities (with contra-entry to shareholders' equity)

	31.12.2016	31.12.2015
1. Opening balance	**53,335**	**55,475**
2. Increases	**16,561**	**23,273**
2.1 Deferred tax liabilities recognised during the year	16,561	23,273
a) relating to prior years	-	-
b) due to change in accounting policies	-	-
c) other	16,561	23,273
2.2 New taxes or increase in tax rates	-	-
2.3 Other increases	-	-
3. Decreases	**26,429**	**25,413**
3.1 Deferred tax liabilities cancelled during the year	26,429	25,413
a) reversals	26,429	25,413
b) due to change in accounting policies	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	-	-
4. Closing balance	**43,467**	**53,335**

The amount shown under "Deferred tax liabilities recognised during the year - other" (2.1 - c) refers mainly to deferred taxes on unrealised capital gains on financial instruments.

13.7 Other information

Current tax assets

	31.12.2016	31.12.2015
IRES provisions	39,197	118,843
IRAP provisions	23,815	42,488
Other assets and withholdings	139,763	105,361
Gross current tax assets	**202,775**	**266,692**
Offset current tax liabilities	458	78,592
Net current tax assets	**202,317**	**188,100**

Current tax liabilities

	31.12.2016	31.12.2015
Tax debt for IRES	316	56,729
Tax debt for IRAP	142	21,863
Other liabilities for tax current on the income	-	-
Gross current tax liabilities	**458**	**78,592**
Offset current tax assets	458	78,592
Net current tax liabilities	**-**	**-**

Changes in gross current tax liabilities

	31.12.2016	31.12.2015
Balance at the end of the prior year	**78,592**	**170,779**
Decreases	**78,134**	**170,340**
- uses for payment of income taxes	76,372	170,281
- other decreases	1,762	59
Increases	**-**	**78,153**
- income taxes: Parent Company	-	55,757
- income taxes: members of domestic tax group	-	22,396
Total gross current tax liabilities	**458**	**78,592**

Section 14 - Non-current assets and disposal groups held for sale and associated liabilities Asset caption 140 and liability caption 90

There are no amounts in this section.

Section 15 – Other assets Caption 150

15.1 Other assets: breakdown

	31.12.2016	31.12.2015
Taxes withheld on interest, withholdings and tax credits on dividends, advance taxation	118,065	107,437
Sundry amounts to be charged to customers	64,186	478,564
Bank charges to be debited to customers or banks	48,848	51,840
Cheques being processed	1,021	944
Cheques drawn on other banks	94,693	114,430
Items relating to securities transactions	6,146	14,698
Leasehold improvement expenditure	4,978	6,851
Gold, silver and precious metals	234	234
Accrued income and prepaid expenses	9,319	11,802
Receivables from group companies	-	1,559
Other items for sundry purposes	28,297	15,300
Total	**375,787**	**803,659**

This caption does not include any positions classed as "contingent assets" as defined by applicable legislation. Positions classed as such are sufficiently covered by allocations to provisions for risks and charges.

Liabilities and shareholders' equity

Section 1 – Due to banks
Caption 10

1.1 Due to banks: breakdown by type

Type of transaction/Amounts	31.12.2016	31.12.2015
1. Due to Central Banks	**4,991,667**	**3,003,907**
2. Due to banks	**7,547,670**	**5,651,357**
2.1 Current accounts and demand deposits	1,411,564	2,435,687
2.2 Restricted deposits	1,118,197	169,361
2.3 Loans	5,012,220	3,044,121
2.3.1 Repurchase agreements	4,704,478	2,698,319
2.3.2 Other	307,742	345,802
2.4 Payables for commitments to repurchase own equity instruments	-	-
2.5 Other payables	5,689	2,188
Total	**12,539,337**	**8,655,264**
Fair value - level 1	-	-
Fair value - level 2	-	-
Fair value - level 3	12,539,337	8,655,264
Total fair value	**12,539,337**	**8,655,264**

The net interbank position is negative for € 10,383.7 million. -The Directors' Report on Operations provides further details on this.

Sezione 2 – Due to customers Caption 20

2.1 Due to customers: breakdown by sector

Type of transaction/Amounts	31.12.2016	31.12.2015
1. Current accounts and demand deposits	23,311,562	20,776,490
2. Restricted deposits	1,634,948	2,035,904
3. Loans	1,976,476	1,853,659
3.1 repurchase agreements	110,577	24,810
3.2 other	1,865,899	1,828,849
4. Payables for commitments to repurchase own equity instruments	-	-
5. Other payables	460,771	532,062
Total	**27,383,757**	**25,198,115**
Fair value - level 1	-	-
Fair value - level 2	-	-
Fair value - level 3	27,383,757	25,198,115
Total fair value	**27,383,757**	**25,198,115**

2.5 Finance lease payables

	31.12.2016	31.12.2015
Finance lease payable	853	998

Section 3 – Debt securities in issue Caption 30

3.1 Debt securities in issue: breakdown by sector

Type of security/Amounts	31.12.2016				31.12.2015			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
A. Securities								
1. Bonds	4,908,130	2,611,580	2,381,769	-	5,477,034	2,606,780	2,978,606	-
1.1 structured	-	-	-	-	-	-	-	-
1.2 other	4,908,130	2,611,580	2,381,769	-	5,477,034	2,606,780	2,978,606	-
2. Other securities	2,300,042	-	93,075	2,208,145	3,223,028	-	99,431	3,123,036
2.1 structured	91,897	-	93,075	-	99,992	-	99,431	-
2.2 other	2,208,145	-	-	2,208,145	3,123,036	-	-	3,123,036
Total	**7,208,172**	**2,611,580**	**2,474,844**	**2,208,145**	**8,700,062**	**2,606,780**	**3,078,037**	**3,123,036**

The "Level 3" column of point 2.2 reports the nominal value of certificates of deposit, the fair value of which has not been disclosed since these are short-term transactions.
Bonds include subordinated bonds issued by the Bank totalling € 483,088 thousand, as analysed in table 3.2 below.
The caption "2.2 Other securities – structured securities" includes the value of certificates after unbundling the embedded option, previously classified under caption "1.1 Bonds – structured bonds"; the figures at 31 December 2015 have been restated for comparative purposes.

3.2 Analysis of caption 30 "Debt securities in issue": subordinated securities

	Book value 31.12.2016	Nominal value 31.12.2016	Book value 31.12.2015	Nominal value 31.12.2015
EMTN B.P.E.R. subordinated non-convertible bond floating rate 3-month Euribor +100 bps, 2006-2016	-	-	62,234	62,227
EMTN B.P.E.R. subordinated non-convertible bond floating rate 3-month Euribor +95 bps, 2007-2017	159,018	158,893	159,047	158,893
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	47,162	47,179	71,041	71,100
Lower Tier II B.P.E.R. subordinated non-convertible bond 5.81%, 2013-2020	10,052	9,556	12,564	11,945
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	225,293	224,855	224,806	224,383
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	12,024	12,000	-	-
Lower Tier II CARISPAQ subordinated non-convertible bond floating rate, 2010-2020	4,269	4,250	4,272	4,250
Total non-convertible bonds	**457,818**	**456,733**	**533,964**	**532,798**
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2012-2018	25,270	23,589	26,046	23,786
Total expired non convertible bonds (*)	**25,270**	**23,589**	**26,046**	**23,786**
Total bonds	**483,088**	**480,322**	**560,010**	**556,584**

(*) Tranches of loans maturing 31 December 2016 for which accounting confirmation from ICBPI (Istituto Centrale delle Banche Popolari Italiane s.p.a.) was received on 2 January 2017.

3.3 Analysis on caption 30 "Debt securities in issue": micro-hedged securities

	31.12.2016	31.12.2015
1. Payables with fair value micro-hedge	**1,835,745**	**1,972,597**
a) interest rate risk	1,835,745	1,972,597
b) foreign exchange risk	-	-
c) multiple risks	-	-
2. Payables with cash flow micro-hedge	**-**	**-**
a) interest rate risk	-	-
b) foreign exchange risk	-	-
c) multiple risks	-	-
Total	**1,835,745**	**1,972,597**

Section 4 – Financial liabilities held for trading Caption 40

4.1 Financial liabilities held for trading: breakdown by sector

Type of transaction/Amounts	31.12.2016					31.12.2015				
	NV	FV			FV*	NV	FV			FV*
		L1	L2	L3			L1	L2	L3	
A. Cash liabilities										
1. Due to banks	-	-	-	-	-	1,930	2,124	-	-	2,124
2. Due to customers	1,600	1,785	-	-	1,785	20,007	20,068	-	-	20,068
3. Debt securities	-	-	-	-	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	#	-	-	-	-	#
3.1.2 Other bonds	-	-	-	-	#	-	-	-	-	#
3.2 Other securities	-	-	-	-	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	#	-	-	-	-	#
3.2.2 Other	-	-	-	-	#	-	-	-	-	#
Total A	**1,600**	**1,785**	**-**	**-**	**1,785**	**21,937**	**22,192**	**-**	**-**	**22,192**
B. Derivatives										
1. Financial derivatives	-	1,506	208,805	20,002	-	-	676	198,065	26,475	-
1.1 For trading	#	1,506	202,771	20,002	#	#	676	192,398	26,475	#
1.2 Connected with the fair value option	#	-	-	-	#	#	-	-	-	#
1.3 Other	#	-	6,034	-	#	#	-	5,667	-	#
2. Credit derivatives	-	-	-	-	-	-	-	-	-	-
2.1 For trading	#	-	-	-	#	#	-	-	-	#
2.2 Connected with the fair value option	#	-	-	-	#	#	-	-	-	#
2.3 Other	#	-	-	-	#	#	-	-	-	#
Total B	**#**	**1,506**	**208,805**	**20,002**	**#**	**#**	**676**	**198,065**	**26,475**	**#**
Total (A+B)	**#**	**3,291**	**208,805**	**20,002**	**#**	**#**	**22,868**	**198,065**	**26,475**	**#**

The caption "cash liabilities" concerns the balance of "technical shorts" generated by capital market transactions.

Key:

FV = fair value
FV = fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date*
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

Section 5 - Financial liabilities designate at fair value through profit and loss
Caption 50

5.1 Financial liabilities designated at fair value through profit and loss: breakdown by sector

Type of security/Amounts	31.12.2016					31.12.2015				
	NV	FV			FV*	NV	FV			FV*
		L1	L2	L3			L1	L2	L3	
1. Due to banks	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1.1 Structured	-	-	-	-	#	-	-	-	-	#
1.2 Other	-	-	-	-	#	-	-	-	-	#
2. Due to customers	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
2.1 Structured	-	-	-	-	#	-	-	-	-	#
2.2 Other	-	-	-	-	#	-	-	-	-	#
3. Debt securities	**245,240**	**-**	**247,933**	**-**	**251,130**	**845,157**	**-**	**873,558**	**-**	**874,971**
3.1 Structured	-	-	-	-	#	-	-	-	-	#
3.2 Other	245,240	-	247,933	-	#	845,157	-	873,558	-	#
Total	**245,240**	**-**	**247,933**	**-**	**251,130**	**845,157**	**-**	**873,558**	**-**	**874,971**

The cumulative change in fair value attributable to the change in credit risk amounts to € 3,196 thousand; this change had a positive effect during the year of € 2,025 thousand.
"Debt securities" include subordinated bonds of the Bank for a total of € 170,539 thousand, none of which are convertible into shares.

Key:

FV = fair value
FV = fair value excluding variations due to changes in the creditworthiness of the issuer since the issue date.*
NV = nominal or notional value
L1 = Level 1
L2 = Level 2
L3 = Level 3

Financial liabilities designated at fair value through profit and loss: use of the fair value option

Description/Amounts	31.12.2016		
	Due to banks	Due to customers	Debt securities
a) Natural hedges using derivatives	-	-	247,933
b) Natural hedges using other financial instruments	-	-	-
c) Other cases of accounting mismatches	-	-	-
d) Financial instruments managed and measured at fair value	-	-	-
e) Structured products with embedded derivatives	-	-	-
Total	**-**	**-**	**247,933**

5.2 Dettaglio della voce 50 "Passività finanziarie valutate al fair value": passività subordinate

	Book value 31.12.2016	Nominal value 31.12.2016	Book value 31.12.2015	Nominal value 31.12.2015
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	3,708	3,600	7,507	7,200
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	10,514	10,200	21,297	20,400
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.75%, 2011-2017	141,196	139,104	289,284	277,927
Total non-convertible bonds	**155,418**	**152,904**	**318,088**	**305,527**
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	3,913	3,600	4,070	3,600
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	11,208	10,200	11,712	10,200
Total expired non convertible bonds (*)	**15,121**	**13,800**	**15,782**	**13,800**
Total bonds	**170,539**	**166,704**	**333,870**	**319,327**

(*) Tranches of loans maturing 31 December 2016 for which accounting confirmation from ICBPI (Istituto Centrale delle Banche Popolari Italiane s.p.a.) was received on 2 January 2017.

Section 6 – Hedging derivatives Caption 60

6.1 Hedging derivatives: breakdown by type of hedging and by levels

	Fair value 31.12.2016			NV	Fair value 31.12.2015			NV
	L1	L2	L3		L1	L2	L3	
A. Financial derivatives	**-**	**36,860**	**-**	**1,735,300**	**-**	**20,359**	**-**	**1,120,000**
1) Fair value	-	13,406	-	1,505,300	-	4,650	-	890,000
2) Cash flows	-	23,454	-	230,000	-	15,709	-	230,000
3) Foreign investments	-	-	-	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-	-	-	-
2) Cash flows	-	-	-	-	-	-	-	-
Total	**-**	**36,860**	**-**	**1,735,300**	**-**	**20,359**	**-**	**1,120,000**

The cash flow hedge agreements have the following expiry dates: notional value of € 115 million in 2017, € 50 million in 2021, € 15 million in 2022 and € 50 million in 2023.
The related cash flows will impact the income statement up to the relevant expiration dates.

Key:

NV = nominal value
L1 = Level 1
L2 = Level 2
L3 = Level 3

6.2 Hedging derivatives: analysis by hedged portfolio and type of hedge

Operation/Type of hedge	Fair value						Cash flows		
	Specific								
	Interest Rate risk	Exchange risk	Credit risk	Price risk	Multiple risks	General	Specific	General	Foreing Investments
1. Financial assets available for sale	13,406	-	-	-	-	#	23,454	#	#
2. Loans	-	-	-	#	-	#	-	#	#
3. Financial assets held to maturity	#	-	-	#	-	#	-	#	#
4. Portfolio	#	#	#	#	#	-	#	-	#
5. Other operations	-	-	-	-	-	#	-	#	-
Total assets	**13,406**	**-**	**-**	**-**	**-**	**-**	**23,454**	**-**	**-**
1. Financial liabilities	-	-	-	#	-	#	-	#	#
2. Portfolio	#	#	#	#	#	-	#	-	#
Total liabilities	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
1. Expected transactions	#	#	#	#	#	#	-	#	#
2. Portfolio of financial assets and liabilities	#	#	#	#	#	-	#	-	-

Section 7 – Remeasurement of financial liabilities backed by general hedges Caption 70

There are no amounts in this section.

Section 8 - Tax liabilities Caption 80

See asset section 13.

Section 9 - Liabilities associated with non-current assets held for sale Caption 90

See asset section 14.

Section 10 - Other liabilities
Caption 100

10.1 Other liabilities: breakdown

	31.12.2016	31.12.2015
Amounts due to banks	6,566	5,426
Amounts due to customers	463,756	809,420
Net adjustments on collection of receivables for third parties	12,439	271,783
Staff emoluments and related social contributions	16,232	20,545
Amounts due to third parties for coupons, securities and dividends to be collected	52,311	32,566
Amounts due to the tax authorities on behalf of customers and personnel	77,897	92,806
Bank transfers for clearance	3,277	12,288
Advances for the purchase of securities	16	44
Due to suppliers	57,041	56,383
Third-part payments as surety for loans	110	99
Provisions for guarantees given	56,080	56,200
Accrued expenses and deferred income	10,321	11,294
Payables due to members of the tax group	31,407	22,480
Other liabilities to third parties	103,643	43,780
Total	**891,096**	**1,435,114**

Commencing from 2007, the Bank, as Parent Company, has elected to establish a domestic tax group, as described further in Part A of these Explanatory notes. The caption "Due to members of the domestic tax group" is the contra-entry for the amount included in "Current tax assets" made up of the positive net balance of the tax credits for IRES advances paid, other tax credits for taxes paid and withholdings incurred, and the IRES tax liability for the domestic tax group member companies that have transferred these amounts to the consolidating Parent Company.
Consistent with the Bank of Italy Communication dated 19 January 2016 – Contributions to the Single Resolution Fund – an amount of € 29,628 thousand has been reclassified to the caption "Other liabilities to third parties", relating to extraordinary contributions recognised in profit or loss in the year ended 31 December 2016, for which no cash outlay had yet occurred.

Section 11 - Provision for termination indemnities
Caption 110

11.1 Provision for termination indemnities: change in the year

	31.12.2016	31.12.2015
A. Opening balance	**120,872**	**135,589**
B. Increases	**5,041**	**1,224**
B.1 Provisions	1,337	1,217
B.2 Other increases	3,704	7
C. Decreases	**3,905**	**15,941**
C.1 Payments made	3,905	9,106
C.2 Other decreases	-	6,835
D. Closing balance	**122,008**	**120,872**
Total	**122,008**	**120,872**

Note that the caption "Other increases" (B.2) includes actuarial losses (€ 3,634 thousand). At 31 December 2015, the caption "Other decreases" (C2) consisted solely of actuarial gains (€ 6,835 thousand).

11.2 Other information

The following tables detail the changes in the Provision for termination indemnities, as well as the principal demographic and financial assumptions made in order to quantify the provision using the Projected Unit Credit Method (pursuant to IAS 19R, § 65-67); lastly, table 11.2.3 presents the comparative information required by law.

11.2.1 Changes in termination indemnities during the year

Description/Amounts	31.12.2016	31.12.2015
A. Opening balance	**120,872**	**135,589**
B. Increases	**5,041**	**1,224**
1. Pension cost relating to current work	-	-
2. Financial charges	1,337	1,217
3. Contribution to the plan by employees	-	-
4. Actuarial losses	3,634	-
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	70	7
C. Decreases	**3,905**	**15,941**
1. Benefits paid	3,905	9,106
2. Pension cost of prior work	-	-
3. Actuarial gains	-	6,835
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	-	-
D. Closing balance	**122,008**	**120,872**

11.2.2 Description of the principal actuarial assumptions

Principal actuarial assumptions/%	31.12.2016	31.12.2015
Discount rates	0.52%	1.10%
Expected increase in remuneration	n/i	n/i
Turnover	3.51%	4.40%
Inflation rate	1.40%	1.50%
Interest rate adopted for the calculation of interest cost	1.12%	0.93%

In addition to the average data included in the table, the approach taken to identify the principal actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Turnover: time series analysis for the period 2011-2014 of the phenomena giving rise to the terminations and adjustments to take account of any "anomalies" that occurred in the past. The assumptions made about turnover took account of grade, seniority, age and gender.
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2016", by adopting an IPCA index of 1.0% for 2017, 1.2% for 2018 and 1.4% for subsequent years;
- Net Interest Cost: it was calculated at a rate that reflected the duration of the liability.

Demographic assumptions

With reference to the technical demographic bases, the analyses performed on the time series of the Company's staff focused on monitoring the trend in the following reasons for elimination between 2011 and 2014:

- rate of employee mortality: except for the Section B pension fund, for which use was made of table RG48 (with age shifting), the ISTAT life table of resident population was used, broken down by age and gender, updated as of 2015;
- rate of employee disability: the tables used for the INPS model to generate "Initial prospects for 2010" were used;
- frequency and amount of advances on termination indemnities: in order to take into account the effects that these advances have on the timing of severance payments and, consequently on the discounting of the Company's liability, a probability table for the release of part of the accrued volumes was created. The frequency of advance payments and the average percentage of termination indemnities requested as an advance were taken from corporate data;
- probability of retirement, resignation, dismissal: this was taken from corporate data; in particular, a table showing the propensity of departure from the Company was created, based on age and gender.

11.2.3 Comparative information: history of the plan

Description/Amounts	31.12.2016	31.12.2015	31.12.2014	31.12.2013
1. Present value of provisions (+)	122,008	120,872	135,589	80,620
2. Fair value of assets servicing the plan (-)	-	-	-	-
3. Plan (surplus) deficit (+/-)	122,008	120,872	135,589	80,620
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	3,634	(6,835)	11,501	(316)
5. Adjustments to plan assets based on historical experience		-	-	-

The adjustments based on historical experience solely comprise actuarial gains and losses.

11.2.4 Sensitivity analysis

As required by IAS 19R, we carried out a sensitivity analysis on the Provision for termination indemnities with respect to the more significant actuarial assumptions to show how the liability would change in relation to possible fluctuations in each of these assumptions. The following table shows how the provision would change in the event of a 50 basis point increase or decrease in the discount and inflation rates compared with the parameters actually used.

Provision for termination indemnities	31.12.2016		+50 bps		-50 bps	
	DBO	Service Cost	DBO	Service Cost	DBO	Service Cost
discount rates	122,008	-	118,092	-	126,171	-
inflation rate	122,008	-	124,534	-	119,562	-

In compliance with the requirements of IAS 19 Revised with regard to additional disclosures, an estimate of future cash flows was carried out at 31 December 2016, as shown in the following table:

Funds	1° year	2° year	3° year	4° year	over the 4° year
Future cash flow	19,760	9,402	9,234	9,338	83,010

Section 12 - Provisions for risks and charges Caption 120

12.1 Provisions for risks and charges: breakdown

Item/Components	31.12.2016	31.12.2015
1. Pensions and similar commitments	134,691	124,021
2. Other provisions for risk and charges	194,197	195,704
2.1 Legal disputes	106,849	102,064
2.2 Personnel expenses	73,839	80,897
2.3 Other	13,509	12,743
Total	**328,888**	**319,725**

12.2 Provisions for risks and charges: change in the year

	Pension and similar commitments	Other provisions	31.12.2016
A. Opening balance	**124,021**	**195,704**	**319,725**
B. Increases	**16,153**	**60,355**	**76,508**
B.1 Provisions	-	58,945	58,945
B.2 Changes due to the passage of time	1,910	266	2,176
B.3 Changes due to variations in the discount rate	14,243	19	14,262
B.4 Other changes	-	1,125	1,125
C. Decreases	**5,483**	**61,862**	**67,345**
C.1 Utilisations during the year	5,483	43,447	48,930
C.2 Changes due to variations in the discount rate	-	-	-
C.3 Other changes	-	18,415	18,415
D. Closing balance	**134,691**	**194,197**	**328,888**

The changes due to variations in the discount rate include actuarial gains and losses, considering not just interest rate movements, but also other demographic and financial factors, where applicable.
"Other decreases" (C.3) include € 9,262 thousand released from the provisions for legal disputes and bankruptcy claims recorded in prior years.

12.3 Defined-benefit pension plans

12.3.1. Features of the pension plans and related risk

The In-house supplementary pension fund is not a separate Legal Entity and its assets are held together with those of the Bank; it is made up entirely of Section "A", classifiable as a "defined benefit" scheme (section "B", with characteristics that made it classifiable as a "defined contribution" scheme, is no longer present from 31 December 2012).
Under the Regulations for Section A, beneficiaries receive a supplementary pension subject to revaluation, the cost of which is borne entirely by the Bank.
This section comprises all current employees hired by the Bank prior to 28 April 1993; it also includes all retired beneficiaries, or their heirs, of supplementary pension payments deriving from earlier agreements signed by BPER Banca or by the banks absorbed by the latter over time.
The following tables report the changes in the Fund.
The actuarial gains and losses relating to Section A are recognised as an equity reserve.

The benefits provided by Fund Section A represent post-employment defined benefits, as governed by IAS 19R; accordingly, the liability for these benefits is determined using the actuarial "Projected Unit Credit Method" applied in relation to termination indemnities.

The attachments to the financial statements include a statement of the staff pension fund, in accordance with the provisions of Bank of Italy's Circular no. 262/2005.

12.3.2 Changes in the year of net obligations (assets) under the defined benefit plan and reimbursement rights

12.3.2.1 Changes in the plans during the year: Fund Section A

Items/Values	Sez. A	
	31.12.2016	31.12.2015
Opening balance	**124,021**	**144,607**
A. Increases	**16,154**	**1,529**
1. Pension cost relating to current work	-	-
2. Financial charges	1,910	1,529
3. Contribution to the plan by employees	-	-
4. Actuarial losses	14,244	-
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	-	-
B. Decreases	**5,484**	**22,115**
1. Benefits paid	5,484	5,456
2. Pension cost of prior work	-	-
3. Actuarial gains	-	16,659
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	-	-
Closing balance	**134,691**	**124,021**

The actuarial gains and losses relating to Section A are recognised as an equity reserve.

12.3.3 Information on fair value of assets servicing the plan

As stated earlier, there are no "plan assets" that meet the requirements of IAS 19R. Since there are no "plan assets" and given that the Bank recognises actuarial gains and losses in the year in which they arise, the present value of the Fund coincides with the value of the liabilities recorded in the balance sheet.

12.3.4 Description of the principal actuarial assumptions

Principal actuarial assumptions/%	31.12.2016	31.12.2015
Discount rates	1.18%	1.81%
Expected increase in remuneration	n/s	n/s
Turnover	n/s	n/s
Inflation rate	1.40%	1.50%
Interest rate adopted for the calculation of interest cost (active employees)	2.17%	1.34%
Interest rate adopted for the calculation of interest cost (ceased and retired employees)	1.31%	0.93%

In addition to the average data included in the table, the approach taken to identify the principal actuarial assumptions is described below:

- Discount rates: the curve of "Euro Composite AA" rates for prime corporate bonds listed in the Euro market on the measurement date has been used.
- Inflation rate: the inflationary scenario was inferred from the "Update of the Economics and Finance Document 2016", by adopting an IPCA index of 1.0% for 2017, 1.2% for 2018 and 1.4% for subsequent years;
- Interest Cost: it was calculated at a rate that reflected the duration of the liability.

12.3.5 Information on the amount, timing and uncertainty of cash flows

As required by IAS 19R, we carried out a sensitivity analysis on the obligation of pension funds with respect to the more significant actuarial assumptions to show how the liability would change in relation to reasonably possible movements in each of these assumptions. The following table shows how the provision would change in the event of a 50 basis point increase or decrease in the discount rate compared with the parameters actually used.

Fund	31.12.2016		+50 bps		-50 bps	
	DBO	Service Cost	DBO	Service Cost	DBO	Service Cost
Fund Section A	134,691	-	125,617	-	144,814	-

In compliance with the requirements of IAS 19 Revised with regard to additional disclosures, an estimate of future cash flows was carried out at 31 December 2016, as shown in the following table:

Funds	1° year	2° year	3° year	4° year	over the 4° year
Fund Section A	5,477	5,396	5,320	5,237	141,850

12.3.6 Multi-employer plans

At 31 December 2016 there were no multi-employer plans in place.

12.3.7 Defined benefit plans that share risks between entities under common control

At 31 December 2016 there were no plans of this type.

12.3.8 Comparative information

Description/Amounts	Defined-benefit pension plans 2016	Defined-benefit pension plans 2015	Defined-benefit pension plans 2014
1. Present value of provisions (+)	134,691	124,021	144,607
2. Fair value of assets servicing the plan (-)	-	-	-
3. Plan (surplus) deficit (±)	134,691	124,021	144,607
4. Adjustments to plan liabilities based on historical experience - actuarial (gains)/losses	14,244	(16,659)	24,516
5. Adjustments to plan assets based on historical experience	-	-	-

The adjustments based on historical experience solely comprise actuarial gains and losses.

12.4 Provisions for risks and charges - other provisions

12.4.1 Legal disputes

Description	Legal disputes
Opening balance	**102,064**
Charge for the year	28,497
Other increases	25
Other decreases	(14,106)
Utilisation during the year	(9,631)
Closing balance	**106,849**

The legal disputes as of 31 December 2016 comprise court cases, € 89,344 thousand, and bankruptcy clawback actions, € 17,505 thousand.
There are no contingent liabilities for which it was not possible to record appropriate risk-related provisions in the 2016 financial statements.

Personnel charges relate to specific benefits granted to employees based on their length of service, the provisions for which are governed by IAS 19R. The changes are shown in the following table as an aid to understanding the phenomenon.

12.4.2 Personnel charges

Description/Amounts	Other personnel provisions	
	31.12.2016	31.12.2015
Opening balance	**80,897**	**50,825**
A. Increases	**26,692**	**61,680**
1. Pension cost relating to current work	25,928	61,547
2. Financial charges	262	133
3. Contribution to the plan by employees	-	-
4. Actuarial losses	502	-
5. Translation differences	-	-
6. Pension cost of prior work	-	-
7. Other changes	-	-
B. Decreases	**33,750**	**31,608**
1. Benefits paid	33,033	29,952
2. Pension cost of prior work	-	-
3. Actuarial gains	130	1,353
4. Translation differences	-	-
5. Reductions	-	-
6. Positions closed	-	-
7. Other changes	587	303
Closing balance	**73,839**	**80,897**

"Actuarial losses" relate to the sum of "25th year of service bonus" of € 115 thousand and the "Special termination indemnity" of € 387 thousand; "Actuarial gains" relate to the "Provision for additional cover on death". At 31 December 2015, the figure for "Pension cost relating to current work" (A.1) includes extraordinary provisions for redundancy incentives and the Solidarity Fund of € 34,321 thousand under the terms of agreements entered into with the Trade Unions on 14 August 2015, as foreseen by the 2015-2017 Business Plan.

12.4.3 Other provisions

Captions	31.12.2016		31.12.2015	
	Provision for charitable	Other provisions	Provision for charitable	Other provisions
A. Opening balance	**870**	**11,873**	**1,064**	**4,300**
B. Allocation net profit	-	-	131	-
C. Provisions	-	5,141	-	8,719
D. Uses	(314)	(4,061)	(325)	(1,146)
E. Residual balance	**556**	**12,953**	**870**	**11,873**

Section 13 - Redeemable shares Caption 140

There are no amounts in this section.

Section 14 - Shareholder’s equity
Captions 130, 150, 160, 170, 180, 190 e 200

14.1 "Share capital" and "Treasury shares": breakdown

Treasury shares: breakdown	31.12.2016	31.12.2015
Ordinary shares no. 481,308,435	1,443,925	1,443,925
of which: treasury shares no. 455,458	*1,366*	*1,366*

14.2 Share capital - number of shares: change in the period

Caption/Type	Ordinary	Others
A. Shares in issue at the beginning of the year	**481,308,435**	**-**
- fully paid	481,308,435	-
- not fully paid	-	-
A.1 Treasury shares (-)	(455,458)	-
A.2 Shares in issue: opening balance	**480,852,977**	**-**
B. Increases	**-**	**-**
B.1 New share issues	-	-
- for payment:	-	-
- on Business Combinations	-	-
- on conversion of bonds	-	-
- exercise of warrants	-	-
- other	-	-
- *bonus* issues:	-	-
- to employees	-	-
- to directors	-	-
- other	-	-
B.2 Sale of treasury shares	-	-
B.3 Other changes	-	-
C. Decreases	**-**	**-**
C.1 Cancellation	-	-
C.2 Purchase of treasury shares	-	-
C.3 Disposal of businesses	-	-
C.4 Other changes	-	-
D. Shares in issue: closing balance	**480,852,977**	**-**
D.1 Treasury Shares (+)	455,458	-
D2. Shares in issue at the end of the year	481,308,435	-
- fully paid	481,308,435	-
- not fully paid	-	-

14.3 Share capital: other information

The Bank's share capital is represented solely by ordinary shares; such shares are not subject to rights, privileges or restrictions. At the reporting date, the Bank directly owns 455,458 treasury shares.

14.4 Profit reserves: other information

Nature and description of items comprising shareholders' equity		Amount	(1) portion available to:		
			Cover losses	Increase capital	Distribution
Share capital		**1,443,925**			
Capital reserves:		**1,431,580**	**1,455,633**	**1,455,633**	**1,455,633**
share premium		930,073	930,073	930,073	930,073
other reserves		501,507	525,560	525,560	525,560
- contribution reserve (Law 218/90)		-	-	-	-
- equity element of convertible instruments		-	-	-	-
- differences of shareholders' equity		(24,062)	-	-	-
- merger surpluses/deficits		525,560	525,560	525,560	525,560
- reserve (art. 55 Decree 917/86)		9	-	-	-
Revenue reserves:		**1,799,237**	**1,799,237**	**1,515,901**	**1,514,210**
ordinary / legal reserve		275,191	275,191		
statutory reserve		475,498	475,498	475,498	475,498
other reserves		1,048,548	1,048,548	1,040,403	1,038,712
- extraordinary reserve		128,654	128,654	128,654	128,654
- reserve for treasury shares	(5)	132,512	132,512	132,512	132,512
- reserve for other risks		479,661	479,661	479,661	479,661
- taxed reserve (Law 823/73)		2,872	2,872	2,872	2,872
- special reserve (art. 6 Law 461/1998)		45,711	45,711	45,711	45,711
- special reserve under Law 218/1990 (Amato)		1,207	1,207	1,207	1,207
- special reserve (Decree 124/93)	(2)	963	963	963	
- reserve for dividends on treasury shares held		9,370	9,370	9,370	9,370
- non-distributable reserve - FV and gains to SE	(4)	8,145	8,145		
- reserve for FVO gains on securities - available portion		191,001	191,001	191,001	191,001
- reserve for subordinated bonds issued		-	-	-	-
- equity element of convertible instruments - available portion		6,772	6,772	6,772	6,772
- reserve for adjustments to pension fund Section B		(2,941)	(2,941)	(2,941)	(2,941)
- contribution reserve	(6)	728	728	728	
- FTA reserves		35,733	35,733	35,733	35,733
- IAS net income (loss) for 2004		8,160	8,160	8,160	8,160
Valuation reserves:		**(11,747)**	**-**	**-**	**-**
- reserve for revaluation surpluses		54	-	-	-
- AFS reserves	(3)	85,636	-	-	-
- cash-flow hedge reserve		(68)	-	-	-
- reserve for actuarial gains (losses)		(97,369)	-	-	-
Equity instruments		**-**	**-**	**-**	**-**
Total shareholders' equity		**4,662,995**	**3,254,870**	**2,971,534**	**2,969,843**

(1) No utilisations in the past 3 years.
(2) Management has decided that the reserves in suspense for tax purposes are not available for distribution.
(3) Pursuant to art. 6.4 of Legislative Decree no. 38/05.
(4) Pursuant to art. 6.5 of Legislative Decree no. 38/05, these reserves can only be used after fully using the available reserves and the legal reserve.
(5) Amount of the statutory reserve for the purchase of treasury shares (€ 139,765 thousand), net of the treasury shares held (€ 7,253 thousand).
(6) Relates to the contribution of the Bank's IT resources to BPER Services s.cons.p.a.

14.5 Equity instruments: break down and change in year

There are no amounts in this section.

Other information

1. Guarantees given and commitments

Operations	31.12.2016	31.12.2015
1) Financial guarantees	672,088	1,003,725
a) Banks	5,970	205,794
b) Customers	666,118	797,931
2) Commercial guarantees	2,048,380	2,161,588
a) Banks	137,399	122,000
b) Customers	1,910,981	2,039,588
3) Irrevocable commitments to disburse loans	490,535	631,896
a) Banks:	2,483	48,033
i) certain to be called on	2,483	47,972
ii) not certain to be called on	-	61
b) Customers:	488,052	583,863
i) certain to be called on	26,555	19,311
ii) not certain to be called on	461,497	564,552
4) Commitments underlying credit derivatives: protection sale	-	-
5) Assets used to guarantee the commitments of third parties	10,000	11,620
6) Other commitments	54,535	291,330
Total	**3,275,538**	**4,100,159**

2. Assets used to guarantee own liabilities and commitments

Portfolios	31.12.2016	31.12.2015
1. Financial assets held for trading	253,605	227,848
2. Financial assets designated at fair value through profit and loss	7,282	7,274
3. Financial assets available for sale	7,077,342	3,912,213
4. Financial assets held to maturity	1,852,778	1,599,885
5. Due from banks	354,584	201,967
6. Loans to customers	8,466,952	7,939,423
7. Property, plant and equipment	-	-

Type of assets used to guarantee own liabilities and commitments

	31.12.2016	31.12.2015
1. Assets sold as part of Covered Bonds	3,248,980	3,025,338
2. Securities and deposits acting as collateral for derivative transactions	253,239	200,503
3. Securities guaranteeing securitisations	44,594	39,223
4. Securities guaranteeing treasury transactions	4,006,169	2,550,662
5. Loans guaranteeing treasury transactions	4,795,307	4,450,424
6. Securities guaranteeing repurchase agreements	4,773,580	2,665,024
7. Loans guaranteeing the related funding	404,854	445,116
8. Securities guaranteeing the funding of subsidised loans	485,820	512,320

The amounts indicated at point 5 include:
- € 2,437,025 thousand relating to mortgage loans sold as part of Covered Bond issues,
- € 697,896 thousand relating to mortgage loans sold as part of the Estense Finance self-securitisation transaction.
Operationally, the instruments provided as a guarantee are represented by the Senior Notes originated by the transactions.
€ 119,000 thousand of securities coming from reverse repurchase agreements were lodged in guarantee for the guaranteed funding transactions (repurchase agreements).

4. Administration and trading on behalf of third parties

Type of services	31.12.2016
1. Trading in financial instruments on behalf of third parties	**-**
a) Purchases	-
1. settled	-
2. unsettled	-
b) Sales	-
1. settled	-
2. unsettled	-
2. Asset management	**2,499,892**
a) individual	2,499,892
b) collective	-
3. Custody and administration of securities	**43,460,940**
a) third-party securities on deposit: associated with activities as a custodian bank (excluding portfolio management)	-
1. securities issued by consolidated companies	-
2. other securities	-
b) Other third-party securities on deposit (excluding portfolio management): other	28,458,653
1. securities issued by consolidated companies	5,388,797
2. other securities	23,069,856
c) third-party securities in custody with others	26,529,831
d) own securities in custody with others	15,002,287
4. Other transactions	**7,714,472**

"Other transactions" (point 4) relate to order taking activities.

5. Financial assets subject to offsetting in the financial statements, or subject to framework agreements for offsetting or similar arrangements

Technical form	Gross amount of financial assets (a)	Amount of the financial assets offset in the financial statements (b)	Net amount of financial liabilities shown in the financial statements (c = a-b)	Related amounts not subject to offsetting in the financial statements		Net amount (f=c-d-e) 31.12.2016	Net amount (f=c-d-e) 31.12.2015
				Financial instruments (d)	Cash deposits received as collateral (e)		
1. Derivatives	199,596	-	199,596	126,658	41,019	31,919	19,323
2. Repurchase agreements	-	-	-	-	-	-	-
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31.12.2016	**199,596**	**-**	**199,596**	**126,658**	**41,019**	**31,919**	**#**
Total 31.12.2015	**181,909**	**-**	**181,909**	**125,039**	**37,547**	**#**	**19,323**

The amounts shown in the table relate to standard master agreements such as ISDA (International Swaps and Derivatives Association) and CSA (Credit Support Annex) agreements for derivatives and GMRA (Global Master Repurchase Agreement) for repurchase agreement transactions.
Under the agreements executed using the ISDA standard, offsetting of OTC derivative contracts is permitted in the event of default of either party to the agreement and, for almost all institutional counterparties, the terms of the CSA provide for cash collateral that is revised regularly based on the contracts' underlying value.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of paragraph 42 of IAS 32.
The gross amounts (a) shown in the table relate to € 139,829 thousand of derivatives recorded under caption 20 "Financial assets held for trading" and € 59,767 thousand recorded under caption 80 "Hedging derivatives"; related financial instruments (d) consist of derivatives recorded under caption 40 "Financial liabilities held for trading" and under caption 60 "Hedging derivatives", whereas cash deposits received (e) are recorded under caption 10 "Due to banks" and in the caption 20 "Due to customers".

6. Financial liabilities subject to offsetting in the financial statements, or subject to framework agreements for offsetting or similar arrangements

Technical form	Gross amount of financial liabilities (a)	Amount of financial assets offset in the financial statements (b)	Net amount of financial liabilities shown in the financial statements (c = a-b)	Related amounts not subject to offsetting in the financial statements		Net amount (f=c-d-e) 31.12.2016	Net amount (f=c-d-e) 31.12.2015
				Financial instruments (d)	Cash deposits used as collateral (e)		
1. Derivatives	249,814	-	249,814	126,658	120,538	2,618	1,504
2. Repurchase agreements	3,202,297	-	3,202,297	3,198,737	3,560	-	2,634
3. Securities lending	-	-	-	-	-	-	-
4. Other operations	-	-	-	-	-	-	-
Total 31.12.2016	**3,452,111**	**-**	**3,452,111**	**3,325,395**	**124,098**	**2,618**	**#**
Total 31.12.2015	**1,730,772**	**-**	**1,730,772**	**1,620,565**	**106,069**	**#**	**4,138**

With regard to the types of master agreements, the points made in respect of the previous table apply here as well.
None of the amounts shown has been offset in the financial statements as the amounts in question do not meet the requirements of paragraph 42 of IAS 32.

The gross amounts (a) shown in the table relate to € 212,954 thousand of derivatives recorded under caption 40 "Financial liabilities held for trading" and € 36,860 thousand recorded under caption 60 "Hedging derivatives"; related financial instruments (d) consist of derivatives recorded under caption 20 "Financial assets held for trading" and under caption 80 "Hedging derivatives", whereas cash deposits made (e) are recorded under caption 60 "Due from banks" and under caption 70 "Loans to customers".
The gross amounts (a) shown in the table relating to repurchase agreement transactions are recorded under caption 10 "Due to Banks" at an amount of € 3,106,113 thousand and under caption 20 "Due to customers" at an amount of € 96,184; related financial instruments (d) represent the value of the securities pertaining to the transactions, whereas cash deposits made (e) are recorded under caption 60 "Due from banks".

7. Securities lending

Type of lender/ use	To guarantee own financing operations	Sold	Subject to repurchase agreements	Other	31.12.2016
a) Banks	-	-	-	-	-
b) Public entities	-	-	-	-	-
c) Non-financial businesses	-	-	-	-	-
d) Financial businesses	469,801	-	-	-	469,801
e) Insurance companies	-	-	-	-	-
f) Other	-	-	-	-	-
Total	**469,801**	**-**	**-**	**-**	**469,801**

Part C – Information on the income statement

Section 1- Interests
Caption 10 and 20

1.1 Interest and similar income: breakdown

Captions/Technical forms	Debt securities	Loans	Other transactions	31.12.2016	31.12.2015
1. Financial assets held for trading	10,047	-	8,561	18,608	31,778
2. Financial assets available for sale	99,873	-	-	99,873	85,702
3. Financial assets held to maturity	58,251	-	-	58,251	60,283
4. Due from banks	3,217	3,755	-	6,972	8,130
5. Loans to customers	11,027	897,471	-	908,498	1,052,673
6. Financial assets designated at fair value through profit and loss	349	-	-	349	428
7. Hedging derivatives	#	#	14,293	14,293	14,605
8. Other assets	#	#	17,444	17,444	2,642
Total	**182,764**	**901,226**	**40,298**	**1,124,288**	**1,256,241**

Interest on loan exposures, classified as impaired, amounts to € 111,432 thousand, being the amounts shown in the "Loans" column relating to "Loans to customers", plus € 24 thousand shown in the "Debt securities" column.
"Other transactions" in point 8 include € 17,445 thousand of interest income on financial liabilities as explained in Part A2 of these notes; this amount includes € 8,333 thousand relating to the benefit arising from the application of a negative interest rate of 0.40% to the amount taken up from ECB in 2016 as part of the TLTRO II programme (€ 4 billion with a settlement date of 29 June 2016 and € 1 billion on 21 December 2016) in accordance with IAS 39, having taken account of the fact that, at 31 December 2016, BPER Banca had already met the target set for 31 January 2018 and that it had prepared a structured plan to maintain that result
Default interest accrued in the year, but which has been fully written down, amounts to € 23,294 thousand.
Default interest relating to prior years was collected on positions classified as non-performing loans for a total of € 1,510 thousand.

1.2. Interest and similar income: differentials on hedging transactions

Items	31.12.2016	31.12.2015
A. Positive differentials on hedging transactions	51,112	49,589
B. Negative differentials on hedging transactions	(36,819)	(34,984)
C. Balance (A-B)	**14,293**	**14,605**

1.3 Interest and similar income: other information

1.3.1 Interest income on foreign currency assets

Captions	31.12.2016	31.12.2015
Interest income on foreign currency assets	32,808	20,046

1.4 Interest and similar expense: breakdown

Caption/Technical forms	Debts	Securities	Other transactions	31.12.2016	31.12.2015
1. Due to Central Banks	1,608	#	-	1,608	3,576
2. Due to banks	21,000	#	-	21,000	19,770
3. Due to customers	91,698	#	-	91,698	124,137
4. Debt securities in issue	#	132,635	-	132,635	169,898
5. Financial liabilities held for trading	175	-	-	175	303
6. Financial liabilities designated at fair value through profit and loss	-	20,015	-	20,015	39,611
7. Other liabilities and provisions	#	#	3,847	3,847	714
8. Hedging derivatives	#	#	-	-	-
Total	**114,481**	**152,650**	**3,847**	**270,978**	**358,009**

"Other transactions" in point 7 include € 3,846 thousand of interest expense on financial assets as explained in Part A2 of these Explanatory notes.

1.6 Interest and similar expense: other information

1.6.1 Interest expense on foreign currency liabilities

Captions	31.12.2016	31.12.2015
Interest expense on foreign currency liabilities	12,262	3,536

1.6.2 Interest expense on finance leases

Captions	31.12.2016	31.12.2015
Interest expense on finance leases	7	10

Section 2 – Commissions Captions 40 and 50

2.1 Commission income: breakdown

Type of services/Values	31.12.2016	31.12.2015
a) guarantees given	27,530	30,153
b) credit derivatives	-	-
c) management, brokerage and consulting services	198,280	197,623
1. trading in financial instruments	538	938
2. trading in foreign exchange	4,756	4,960
3. portfolio management	19,068	18,276
3.1. individual	19,068	18,276
3.2. collective	-	-
4. custody and administration of securities	3,579	3,640
5. custodian bank	-	-
6. placement of securities	100,700	104,196
7. order taking	10,806	13,401
8. advisory services	5,990	4,501
8.1 regarding investments	-	-
8.2 regarding financial structuring	5,990	4,501
9. distribution of third-party services	52,843	47,711
9.1 asset management	1,511	1,589
9.1.1. individual	-	-
9.1.2. collective	1,511	1,589
9.2 insurance products	28,621	26,438
9.3 other products	22,711	19,684
d) collection and payment services	85,622	90,271
e) servicing related to securitisation	422	282
f) services for factoring transactions	-	-
g) tax collection services	-	-
h) management of multilateral trading systems	-	-
i) maintenance and management of current accounts	107,940	113,352
j) other services	145,429	143,671
- commission income on other loans to customers	110,673	110,210
- commission income on cash card services	18,818	19,110
- other commission income	15,938	14,351
Total	**565,223**	**575,352**

2.2 Commission income: distribution channels for products and services

Channels/Sectors	31.12.2016	31.12.2015
a) at own branches:	**172,611**	**170,183**
1. asset management	19,068	18,276
2. placement of securities	100,700	104,196
3. distribution of third-party services and products	52,843	47,711
b) through financial promoters:	**-**	**-**
1. asset management	-	-
2. placement of securities	-	-
3. distribution of third-party services and products	-	-
c) other distribution channels:	**-**	**-**
1. asset management	-	-
2. placement of securities	-	-
3. distribution of third-party services and products	-	-

2.3 Commission expense: breakdown

Type of service/Amounts	31.12.2016	31.12.2015
a) guarantees received	1,456	1,673
b) credit derivatives	-	-
c) management and brokerage services:	9,784	9,753
1. trading in financial instruments	432	609
2. trading in foreign exchange	-	-
3. asset management:	7,470	7,289
3.1 own portfolio	-	-
3.2 third-party portfolio	7,470	7,289
4. custody and administration of securities	1,343	1,344
5. placement of financial instruments	539	511
6. offer of securities, financial products and services through financial promoters	-	-
d) collection and payment services	4,263	4,251
e) other services	13,550	14,068
Total	**29,053**	**29,745**

Section 3 – Dividends and similar income
Caption 70

3.1 Dividends and similar income: breakdown

Caption/income	31.12.2016		31.12.2015	
	Dividends	Income from UCITS units	Dividends	Income from UCITS units
A. Financial assets held for trading	2,234	242	1,774	133
B. Financial assets available for sale	7,107	108	13,645	317
C. Financial assets designated at fair value through profit and loss	32	34	-	19
D. Equity investments	10,204	#	17,461	#
Total	**19,577**	**384**	**32,880**	**469**

Section 4 – Net trading income
Caption 80

4.1 Net trading income: breakdown

Transactions/Income items	Capital gains (A)	Trading profits (B)	Capital losses (C)	Trading losses (D)	Net result [(A+B)-(C+D)]
1. Financial assets held for trading	**10,310**	**6,260**	**(10,533)**	**(5,401)**	**636**
1.1 Debt securities	2,226	4,057	(4,889)	(2,063)	(669)
1.2 Equity instruments	4,097	1,649	(4,627)	(3,338)	(2,219)
1.3 UCITS units	3,987	470	(1,017)	-	3,440
1.4 Loans	-	-	-	-	-
1.5 Other	-	84	-	-	84
2. Financial liabilities held for trading	**-**	**-**	**-**	**-**	**-**
2.1 Debt securities	-	-	-	-	-
2.2 Debts	-	-	-	-	-
2.3 Other	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	**#**	**#**	**#**	**#**	**(8,809)**
4. Derivatives	**72,253**	**130,929**	**(66,806)**	**(138,070)**	**15,040**
4.1 Financial derivatives:	72,253	130,929	(66,806)	(138,070)	15,040
- On debt securities and interest rates	66,708	121,962	(61,185)	(133,450)	(5,965)
- On equities and equity indices	5,545	4,364	(5,621)	(2,824)	1,464
- On currency and gold	#	#	#	#	16,734
- Other	-	4,603	-	(1,796)	2,807
4.2 Credit derivatives	-	-	-	-	-
Total	**82,563**	**137,189**	**(77,339)**	**(143,471)**	**6,867**

Section 5 – Net hedging gains (losses) Caption 90

5.1 Net hedging gains (losses): breakdown

Income item/Amounts	31.12.2016	31.12.2015
A. Income relating to:		
A.1. Fair value hedges	28,812	1,293
A.2. Hedged financial assets (fair value)	7,736	3,907
A.3. Hedged financial liabilities (fair value)	5,665	2,423
A.4. Cash flow hedges	-	-
A.5. Foreign currency assets and liabilities	-	-
Total income from hedging activity (A)	**42,213**	**7,623**
B. Charges relating to:		
B.1. Fair value hedges	(14,220)	(6,589)
B.2. Hedged financial assets (fair value)	(12,049)	(80)
B.3. Hedged financial liabilities (fair value)	(16,241)	(1,643)
B.4. Cash flow hedges	-	-
B.5. Foreign currency assets and liabilities	-	-
Total charges from hedging activity (B)	**(42,510)**	**(8,312)**
C. Net hedging gains (losses) (A-B)	**(297)**	**(689)**

Section 6 – Gains (Losses) on disposal or repurchase Caption 100

6.1 Gains (Losses) on disposal or repurchase: breakdown

Caption/Income items	31.12.2016			31.12.2015		
	Profits	Losses	Net result	Profits	Losses	Net result
Financial assets						
1. Due from banks	-	-	-	2	-	2
2. Loans to customers	4,901	(14,031)	(9,130)	5,680	(2,058)	3,622
3. Financial assets available for sale	90,322	(321)	90,001	219,847	(13,408)	206,439
3.1 Debt securities	72,083	(72)	72,011	39,655	(11,261)	28,394
3.2 Equity instruments	16,862	(25)	16,837	180,179	(2,139)	178,040
3.3 UCITS units	1,377	(224)	1,153	13	(8)	5
3.4 Loans	-	-	-	-	-	-
4. Financial assets held to maturity	-	-	-	222	-	222
Total assets	**95,223**	**(14,352)**	**80,871**	**225,751**	**(15,466)**	**210,285**
Financial liabilities						
1. Due to banks	-	-	-	-	-	-
2. Due to customers	-	-	-	-	-	-
3. Debt securities in issue	1,019	(1,016)	3	567	(1,497)	(930)
Total liabilities	**1,019**	**(1,016)**	**3**	**567**	**(1,497)**	**(930)**

Gains relating to equity instruments classified as "Financial assets available for sale" include the amount received under the earn-out clause relating to the sale of an equity interest in Istituto Centrale delle Banche Popolari Italiane s.p.a. that took place last year (€ 16.8 million).
This caption at 31 December 2015 included a gain on sale of an equity interest in Istituto Centrale delle Banche Popolari Italiane s.p.a. of € 174.3 million.

Section 7 – Net result on financial assets and liabilities designated at fair value
Caption 110

7.1 Net result on financial assets and liabilities designated at fair value: breakdown

Transactions/Income items	Capital gains	Gains on disposal	Capital losses	Losses on disposal	Net result
	(A)	(B)	(C)	(D)	[(A+B)-(C+D)]
1. Financial assets	**3,106**	**39**	**(809)**	**-**	**2,336**
1.1 Debt securities	51	1	(317)	-	**(265)**
1.2 Equity securities	-	-	(114)	-	**(114)**
1.3 UCITS units	3,055	38	(378)	-	**2,715**
1.4 Loans	-	-	-	-	**-**
2. Financial liabilities	**5,012**	**9,619**	**(233)**	**-**	**14,398**
2.1 Debt securities	5,012	9,619	(233)	-	**14,398**
2.2 Due to banks	-	-	-	-	**-**
2.3 Due to customers	-	-	-	-	**-**
3. Financial assets and liabilities in foreign currency: exchange differences	**#**	**#**	**#**	**#**	**47**
4. Derivatives	**-**	**-**	**(6,994)**	**(5,649)**	**(12,643)**
Total	**8,118**	**9,658**	**(8,036)**	**(5,649)**	**4,138**

The net result of the measurement of financial liabilities at fair value and of derivatives connected operationally (fair value option for financial liabilities) is positive for € 1,753 thousand.

Section 8 – Net impairment adjustments Caption 130

8.1 Net impairment adjustments to loans and advances: breakdown

Transactions/Income items	Adjustments			Write-backs				31.12.2016	31.12.2015
	Specific			Specific		Portfolio			
	Write-offs	Other	Portfolio	Interest	Other write-backs	Interest	Other write-backs		
A. Due from banks	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
- Loans	-	-	-	-	-	-	-	-	-
- Debt securities	-	-	-	-	-	-	-	-	-
B. Loans to customers	**(18,939)**	**(922,813)**	**(10,394)**	**80,349**	**338,857**	**-**	**16,334**	**(516,606)**	**(558,844)**
Non-performing loans acquired	-	-		-	-			-	-
- Loans	-	-	#	-	-	#	#	-	-
- Debt securities	-	-	#	-	-	#	#	-	-
Other	(18,939)	(922,813)	(10,394)	80,349	338,857	-	16,334	(516,606)	(558,844)
- Loans	(18,939)	(922,813)	-	80,349	338,857	-	16,334	(506,212)	(552,043)
- Debt securities	-	-	(10,394)	-	-	-	-	(10,394)	(6,801)
C. Total	**(18,939)**	**(922,813)**	**(10,394)**	**80,349**	**338,857**	**-**	**16,334**	**(516,606)**	**(558,844)**

8.2 Net impairment adjustments to financial assets available for sale: breakdown

Transactions/Income items	Adjustments		Write-backs		31.12.2016	31.12.2015
	Specific		Specific			
	Write-offs	Other	Interest	Other write-backs		
A. Debt securities	-	-	-	-	-	-
B. Equity instruments	-	(17,638)	#	#	(17,638)	(19,017)
C. UCITS units	-	(31,350)	#	-	(31,350)	(4,352)
D. Due from banks	-	-	-	-	-	-
E. Loans to customers	-	-	-	-	-	-
F. Total	**-**	**(48,988)**	**-**	**-**	**(48,988)**	**(23,369)**

The adjustments to "Equity instruments" mainly consist of writedowns of the interest held in Release s.p.a. of € 12,686 thousand and of the commitment towards the intervention by IDGF-VS to support Caricesena (€ 1,971 thousand). The adjustments to "UCITS units" include a writedown of units in Fondo Atlante of € 28,262 thousand.

8.4 Net impairment adjustments to other financial assets: breakdown

Transactions/Income items	Adjustments			Write-backs				31.12.2016	31.12.2015
	Specific		Portfolio	Specific		Portfolio			
	Write-offs	Other		Interest	Other	Interest	Other		
A. Guarantees given	-	(13,214)	(4,997)	-	26,211	-	-	8,000	(2,922)
B. Credit derivatives	-	-	-	-	-	-	-	-	-
C. Commitments to disburse funds	-	-	-	-	-	-	-	-	-
D. Other transactions	-	-	-	-	-	-	-	-	-
E. Total	**-**	**(13,214)**	**(4,997)**	**-**	**26,211**	**-**	**-**	**8,000**	**(2,922)**

Section 9 – Administrative expenses Caption 150

9.1 Payroll: breakdown

Type of expense/Amounts	31.12.2016	31.12.2015
1) Employees	**520,969**	**556,860**
a) wages and salaries	377,805	378,799
b) social security charges	99,693	100,600
c) termination indemnities	22,751	22,483
d) pension expenses	-	-
e) provision for termination indemnities	1,337	1,217
f) provision for post-retirement benefits and similar commitments:	809	689
- defined contribution	-	-
- defined benefit	809	689
g) payments to external supplementary pension funds:	11,115	11,043
- defined contribution	11,115	11,043
- defined benefit	-	-
h) costs deriving from payment agreements based on own capital instruments	(45)	25
i) other personnel benefits	7,504	42,004
2) Other active employees	**11,860**	**12,224**
3) Directors and auditors	**4,024**	**4,036**
4) Retired personnel	**1,172**	**910**
5) Recovery of cost of employees seconded to other companies	**(64,790)**	**(56,816)**
6) Reimbursement of cost of third-party employees seconded to the Bank	**8,565**	**6,630**
Total	**481,800**	**523,844**

The Provision for termination indemnities required under art. 2120 of the Italian Civil Code amounted to € 2,042 thousand. The comparative period amount of "Other benefits to employees" includes provisions of € 34,321 thousand made in 2015 in respect of applications for redundancy incentives or access to the solidarity fund as provided for by agreements with the Trade Unions and as envisaged by the 2015-2017 Business Plan.

9.2 Average number of employees, by level

	31.12.2016	31.12.2015
Employees	**6,894**	**7,026**
a) Managers	153	155
b) Middle managers	2,215	2,243
c) Other employees	4,526	4,628
Other personnel	**211**	**224**

9.2.1 Number of employees, by level: banking group

	31.12.2016	31.12.2015
Employees:	**8,054**	**8,021**
a) Managers	188	186
b) Total 3rd and 4th level middle managers	1,096	1,074
c) Total 1st and 2nd level middle managers	1,434	1,430
d) Other employees	5,336	5,331
Other personnel	**200**	**225**

9.3 Post-retirement defined benefit plans: total costs

Captions	31.12.2016	31.12.2015
Post-retirement defined benefit plans: total costs	809	689

9.4 Other personnel benefits

Captions	31.12.2016	31.12.2015
Other personnel benefits	7,504	42,004

9.5 Other administrative expenses: breakdown

Captions	31.12.2016	31.12.2015
Taxation	**98,268**	**102,156**
Stamp duty	84,548	89,311
Other indirect taxes with right of recourse	6,224	5,359
Municipal property tax	3,997	4,012
Other	3,499	3,474
Other costs	**447,332**	**415,374**
Post office, telephone and telegraph	9,793	10,086
Maintenance and repairs	14,466	14,274
Rental expense	54,291	54,246
Advertising	18,808	11,179
Data transmission fees and use of databases	18,572	20,164
Energy and fuel	10,841	11,729
Insurance	8,800	6,504
Printing and stationery	2,431	5,236
Cleaning of office premises	5,369	5,335
Transport	8,600	8,808
Use of external data gathering and processing services	74,900	71,654
Information and surveys	8,853	9,047
Lease of IT hardware and software	135	77
Staff training and expense refunds	9,438	10,844
Consulting and other professional services	54,549	48,518
Condominium expenses	1,831	1,740
Security	6,227	6,618
Administrative services	60,033	49,462
Membership fees	5,026	5,096
Contribution to SRF, DGS, FITD-SV	62,553	52,018
Sundry other	11,816	12,739
Total	**545,600**	**517,530**

The amount relating to "Consulting and other professional services" of € 54.5 million is attributable to sundry administrative expenses for legal services and for other professional advisors for advice on specific regulations and for the provision of support and advice on matters concerning changes in legislation, the system of internal control and the 2015-2017 Business Plan.
Details are as follows:
• services provided by various legal advisors, particularly in respect of litigation, for € 20.8 million (€ 20.7 million in 2015);
• professional services provided by various firms, regarding the execution of a number of funding transactions completed in the year (issue of Covered Bonds, update and issues pertaining to the Euro Medium Term Notes programme, etc.), for the audit of the financial statements, to obtain ratings from different agencies and for specific valuation work performed for financial statement purposes of € 3.4 million (same amount as in 2015);
• other sundry professional services (for example, appraisals and other technical support) for € 10.2 million (€ 5.9 million in 2015);
• sundry advice in respect of continuous changes in legislation, improvements to the system of internal control and projects foreseen by the 2015-2017 Business Plan.
These are in fact genuine investments for the future, as can be seen from the work performed for the overall development of operations, related above all to the adoption of internal models for the measurement of credit risk and the new Regulations for the prudential supervision of banks referred to in Circular no. 263 of the Bank of Italy. The total of this type of cost is € 20.1 million (€ 18.5 million in 2015).
"Contributions to SRF, DGS, IDGF-VS" include contributions paid to the Single Resolution Fund (SRF) of € 42.2 million (ordinary contributions of € 12.6 million and extraordinary contributions of € 29.6 million), to the Deposit Guarantee Scheme (DGS) of € 12.3 million and to the IDGF voluntary scheme for the intervention in favour of Banca Tercas of € 8.1 million.

Section 10 – Net provisions for risks and charges Caption 160

10.1 Net provisions for risks and charges: breakdown

Type of risks and charges	31.12.2016	31.12.2015
A. Provisions	**(33,040)**	**(50,271)**
1. for legal disputes	(30,078)	(42,404)
2. other	(2,962)	(7,867)
B. Write-backs	**12,208**	**9,567**
1. for legal disputes	9,262	9,453
2. other	2,946	114
Total	**(20,832)**	**(40,704)**

Section 11 – Net adjustments to property, plant and equipment Caption 170

11.1 Net adjustments to property, plant and equipment: breakdown

Assets/Income items	Depreciation (a)	Impairment adjustments (b)	Write-backs (c)	Net result (a+b-c)
A. Property, plant and equipment				
A.1 Owned	(20,943)	(1,646)	-	(22,589)
- For business purposes	(19,844)	(282)	-	(20,126)
- For investment purposes	(1,099)	(1,364)	-	(2,463)
A.2 Held under finance leases	(95)	-	-	(95)
- For business purposes	(95)	-	-	(95)
- For investment purposes	-	-	-	-
Total	**(21,038)**	**(1,646)**	**-**	**(22,684)**

As detailed in Part B, Section 11, Assets, tables 11.5 and 11.6, the amount recorded under "Impairment adjustments" refers to the impairment test.

Section 12 – Net adjustments to intangible assets Caption 180

12.1 Net adjustments to intangible assets: breakdown

Assets/Income items	Amortisation (a)	Impairment adjustments (b)	Write-backs (c)	Net result (a+b-c)
A. Intangible assets				
A.1 Owned	(2,509)	-	-	(2,509)
- generated internally by the company	-	-	-	-
- other	(2,509)	-	-	(2,509)
A.2 Held under finance leases	-	-	-	-
Total	**(2,509)**	**-**	**-**	**(2,509)**

Section 13 – Other operating charges/income Caption 190

13.1 Other operating charges: breakdown

Description/Amounts	31.12.2016	31.12.2015
Reimbursement of interest for collections and payments settled through the clearing house	(376)	-
Amortisation of leasehold improvement expenditure	(3,074)	(4,380)
Other	(10,110)	(21,528)
Total	**(13,560)**	**(25,908)**

13.2 Other operating revenues: breakdown

Description/Amounts	31.12.2016	31.12.2015
Rental income	4,173	3,916
Recovery of taxes	90,059	94,311
Other income	61,022	66,805
Total	**155,254**	**165,032**

Section 14 – Profit (Loss) from equity investments Caption 210

14.1 Profit (Loss) from equity investments: breakdown

Income item/Amounts	31.12.2016	31.12.2015
A. Income	551	2,742
1. Revaluations	-	-
2. Gain from disposals	551	2,742
3. Write-backs	-	-
4. Other income	-	-
B. Charges	(10,596)	(7,921)
1. Write-downs	-	-
2. Impairment write-downs	(7,673)	(7,410)
3. Loss from disposals	(2,923)	(511)
4. Other charges	-	-
Net result	**(10,045)**	**(5,179)**

The amount recorded under "Impairment adjustments" relates to impairment testing, details of which are provided in Part B, Section 10, Assets, table 10.5.
"Impairment losses" include the negative impact recognised upon the fair value measurement of shares in Cassa di Risparmio di Saluzzo held before the acquisition of control thereover, in accordance with IFRS 3.

Section 15 – Net gains (losses) arising on fair value adjustments to property, plant and equipment and intangible assets Caption 220

There are no amounts in this section.

Section 16 – Adjustments to goodwill Caption 230

There are no amounts in this section.

Section 17 – Gains (Losses) on disposal of investments Caption 240

17.1 Gains and losses on disposal of investments: breakdown

Income item/Amounts	31.12.2016	31.12.2015
A. Building		
- Gains on disposal	195	359
- Losses on disposal	-	-
B. Other assets		
- Gains on disposal	63	39
- Losses on disposal	(470)	(47)
Net result	**(212)**	**351**

Section 18 – Income taxes for the year on current operations Caption 260

18.1 Income taxes for the period on current operations: breakdown

Items/Segments	31.12.2016	31.12.2015
1. Current taxes (-)	1,519	(57,405)
2. Change in prior period income taxes (+/-)	2,771	131
3. Reduction in current taxes (+)	-	-
3. *bis* Reduction in current taxes for tax credits under L. 214/2011 (+)	-	-
4. Change in deferred tax assets (+/-)	15,277	65,528
5. Change in deferred tax liabilities (+/-)	(2,309)	(39)
6. Income taxes for the year on current operations (-) (-1+/-2+3+3 *bis*+/-4+/-5)	**17,258**	**8,215**

Caption 2."Change in prior period income taxes" mainly relates to prior period negative components that were deducted in 2015 and to income tax declared in the tax return that was lower than the amount provided.

18.2 Reconciliation between the theoretical and current tax burden

IRES	31.12.2016	
Result of current operations before income taxes		**1,441**
Negative components of the gross result definitively considered not relevant (+)		**48,810**
Non-deductible interest expense	7,810	
Losses on disposal/remeasurement of AFS securities and equity investments	26,263	
Non-deductible taxes (other than on income)	3,355	
Administrative costs of limited deductibility	2,959	
Other non-deductible costs	1,580	
Allocations to provisions for sundry disputes	4,104	
Recovery of IRES deducted from IRES in prior years	1,650	
Other	1,089	
Positive components of the gross result definitively considered not relevant (-)		**(32,366)**
Non-relevant portion of gains on disposal/remeasurement of AFS securities and equity investments	(16,508)	
Non-relevant portion of dividends	(15,658)	
Other	(200)	
Definitive increases not linked to elements of the gross result (+)		**-**
Other	-	
Definitive decreases not linked to elements of the gross result (-)		**(59,987)**
Recovery of intercompany interest expense deductibility for tax consolidation	(1,005)	
Standard deduction 10% IRAP		
Deduction of payroll cost for IRAP	-	
A.C.E. (aid for economic growth) deduction	(58,982)	
Other	-	
Basis of calculation of IRES shown in the income statement		**(42,102)**
IRES tax rate	*27.50%*	
Effective IRES		**(11,578)**
Effective IRES tax rate		-803.47%

IRAP	31.12.2016	
Result of current operations before income taxes		**1,441**
Negative components of the gross result definitively considered not relevant (+)		**101,096**
Non-deductible interest expense	8,283	
Non-deductible portion of depreciation/amortisation on assets used in business	2,245	
Other non-deductible administrative costs	52,524	
Payroll, net of permitted deductions	3,405	
Other net impairment adjustments (caption 130 of the income statement)	-	
Net provisions for risks and charges	20,997	
Losses from equity investments	10,045	
IMU	3,597	
Positive components of the gross result definitively considered not relevant (-)		**(50,277)**
Non-relevant portion of dividends	(9,788)	
Other operating income	(40,489)	
Definitive increases not linked to elements of the gross result (+)		**30,585**
Negative value of production	30,585	
Definitive decreases not linked to elements of the gross result (-)		**(109,974)**
Recovery of non-relevant charges of prior periods (loan disposals)	(109,974)	
Other	-	
Basis of calculation of IRAP shown in the income statement		**(27,129)**
Weighted average nominal rate of IRAP	*5.57%*	
Effective IRAP		(1,511)
Effective IRAP tax rate		-104.86%

Out-of-period IRES and IRAP and other taxes	31.12.2016	
Total impact		**(4,169)**
IRES - Changes in current out-of-period IRES	(1,585)	
IRAP - Changes in current out-of-period IRAP	(1,105)	
Prior year deferred tax adjustment	(989)	
Other	(490)	
Effective out-of-period IRES and IRAP and other taxes		-289.31%

Total tax on gross result	31.12.2016
IRES + IRAP + other taxes	**(17,258)**
Overall effective tax rate	-1197.65%

Section 19 – Profit (Loss) after tax on current assets held for sale
Caption 280

There are no amounts in this section.

Section 20 – Other information

There are no amounts in this section.

Section 21 – Earnings per share

IAS 33 requires disclosure of basic and diluted earnings per share (EPS), specifying how each is calculated.

Basic earnings per share reflect the relationship between:

a) the earnings attributable to ordinary shareholders,
b) and the weighted average number of shares outstanding during the period.

Diluted earnings per share reflect the relationship between:

a) the earnings used to calculate Basic EPS, as adjusted by the economic effects of converting all outstanding convertible bonds into shares at period end,
b) and the number of shares used to calculate Basic EPS, as adjusted by the weighted average of the potential ordinary shares with a diluting effect deriving from the conversion of bonds outstanding at period end.

	31.12.2016			31.12.2015		
	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)	Attributable earnings	Weighted average ordinary shares	Earnings per share (Euro)
Basic EPS	18,699	480,852,977	0.039	161,962	480,852,977	0.337
Diluted EPS	18,699	480,852,977	0.039	161,962	480,852,977	0.337

The following tables reconcile the weighted average number of ordinary shares outstanding used to calculate basic earnings per share with the number of ordinary shares used to calculate diluted earnings per share; they also reconcile net profit for the year with the net income used to determine basic and diluted earnings per share.

21.1 Average number of ordinary shares (fully diluted)

	31.12.2016	31.12.2015
Weighted average number of outstanding ordinary shares for Basic EPS calculation	480,852,977	480,852,977
Weighted dilutive effect of the potential conversion of convertible bonds	-	-
Weighted average number of outstanding ordinary shares for Diluted EPS calculation	**480,852,977**	**480,852,977**

21.2 Other information

	31.12.2016	31.12.2015
Net profit for the period	18,699	161,962
Allocations not attributable to the shareholders	-	-
Profit for Basic EPS calculation	18,699	161,962
Change in income and charges deriving from conversion	-	-
Profit for Diluted EPS calculation	**18,699**	**161,962**

Part D – Comprehensive income

Statement of comprehensive income

(in thousands of Euro)

Captions	Gross amount	Income taxes	Net amount
10. Profit (loss) for the period	**1,441**	**17,258**	**18,699**
Other income items, net of income taxes, without release to the income statement			
40. Defined benefit plans	(18,273)	5,025	(13,248)
Other income items, net of income taxes, with release to the income statement			
90. Cash-flows hedges:	**(4,250)**	**1,406**	**(2,844)**
a) changes in fair value	(4,250)	1,406	(2,844)
b) release to the income statement	-	-	-
c) other changes	-	-	-
100. Financial assets available for sale:	**(49,470)**	**20,175**	**(29,295)**
a) changes in fair value	(46,669)	3,712	(42,957)
b) reclassification through profit or loss	(2,801)	16,463	13,662
- impairment write-downs	48,988	(660)	48,328
- gains/losses on disposals	(51,789)	17,123	(34,666)
c) other changes	-	-	-
130. Total other elements of income	**(71,993)**	**26,606**	**(45,387)**
140. Total comprehensive income (captions 10+130)	**(70,552)**	**43,864**	**(26,688)**

Part E – Information on risks and related hedging policy

Introduction

With regard to a summary of the risk governance organisation, of the related processes and key functions, reference should be made to the details provided in the section on "Principal risks and uncertainties" in the directors' report on Group operations.

Section 1 - Credit risk

The Group's organisation provides for centralisation of the credit risk control function at the Parent Company; consequently, the qualitative information set out below reflects the individual position of BPER Banca.

Qualitative information

1. General aspects

2016 saw the Italian economy show signs of recovery, closing with growth in gross domestic product (GDP), broadly in line with the previous year. The modest growth was attributable to a rise in domestic demand countered by a further weakening of foreign demand; these signs are distinctive compared to the trend seen in recent years. There has also been growth in capital investment, with a positive impact on employment.

In this context, credit policies were aimed at the development of lending activity with a view to optimising the risk-yield profile of loan portfolios.
The use of internal models for credit risk measurement has focused lending activity on the Retail segment, with the objective of achieving growth in certain economic sectors with development potential or which are likely to excel, taking advantage of the typicality of the Italian economic fabric, which is characterised by many industrial districts.
Credit policy guidelines have been completed with the identification of a number of macro geographical areas on which there should be increased focus on lending activity, as well as with indications of the maximum penetration rates for certain customer clusters.

Particular attention was given to Group product-specific companies, which handle leasing, factoring and consumer credit, with the objective of providing customers high value added products with a limited level of risk.

Again in 2016, initiatives continued in support of private and corporate customers in difficulty, based on ABI agreements entered into in prior years and in accordance with many initiatives provided for by law for areas hit by natural disasters (earthquakes, floods, etc.), as well as with the bank's own initiatives.

2. Credit risk management policies

The lending policy of the Group pursues the aim of carefully selecting counterparties through an analysis of their creditworthiness, including the use of well-established tools such as the rating system, having regard for the achievement of commercial and support objectives.
In view of the Group's strategic objectives and operations, the general risk management strategy is to accept a moderate level of risk involving:

- the assessment of the current and prospective creditworthiness of counterparties;
- the diversification of the portfolio, limiting the concentration of exposures towards individual counterparties and sectors of economic activity.

2.1 Organisational aspects

The Group's credit risk management model has the following objectives:

- apply the instructions issued by the Supervisory Authorities, while taking account of the Group's specific operating characteristics;
- ensure that credit risk is managed appropriately by each bank and at a consolidated level.

These objectives are achieved via the segregation of responsibilities and duties between the bodies that manage credit risk and those with a control function.
The following elements underpin work to manage and control the exposure to credit risk:

- independence of the function responsible for the measurement of credit risk with respect to the various business functions;
- clear definition of delegated powers and the resulting structure of limits imposed by the Board of Directors of the Parent Company;
- coordination by the Parent Company of credit risk management processes, while leaving individual companies with operational autonomy for the management of credit risk;
- consistent application of measurement models throughout the Group, in line with international best practice;
- transparent methodology and measurement criteria to facilitate understanding of the risk measures adopted;
- performance of periodic Stress Tests which use endogenous and exogenous shock scenarios to provide deterministic and/or probability-based indicators of risk.

2.2 Systems for managing, measuring and monitoring

The management of risk involves applying a system of methodologies and approaches for the ongoing measurement and/or assessment of risk. This system helps to guide operational decisions and quantify the level of capital required by the Group in order to cover the risks that have been accepted. Each Bank analyses the various components of credit risk and identifies the exposure associated with the loan portfolio using suitable measurement methodologies. In particular, the Bank uses many tools to measure and monitor credit risk in relation to both performing and non-performing loans.
The characteristics of the rating models developed by the Parent Company for the calculation of PD (Probability of Default: i.e. the probability that the borrower will not be able to meet their commitments) depend on the risk segment to which the counterparty belongs, the amount of the exposure and the

stage in the lending process at which they are applied (initial payout or monitoring). The classifications are represented by 13 classes of merit differentiated by risk segment.
All of the Parent Company's systems share a number of common characteristics:

- the rating is determined with reference to the specific counterparty;
- the rating systems are established with reference to the loan portfolio of the BPER Banca group (the rating is unique for each counterparty, even if shared by several banks in the Group);
- the models process internal performance information derived from reports issued by the central risk database, as well as financial information in the case of businesses;
- the models for Corporate SMEs, Long-term Property SMEs, Holding and Large Corporates add a qualitative element to the purely statistical side. The rating allocation process for these segments also allows the account manager to activate an override process i.e. to request an exception to the quantitative rating based on true and documented information not processed by the model. The requested exception is evaluated by a central function that operates at Group level;
- to support risk analysis in the Large Corporate segment, another component was added to the model to take into account whether counterparties belong to a group;
- the Probability of Default is calibrated with reference to regulatory anomalies, which include past due amounts;
- the time series used to develop and calibrate the models cover a broad time horizon and reflect internal reality on a forward-looking basis;
- the ratings are analysed and reviewed at least once each year; the Bank has also defined a process for the monitoring of each rating, causing the rating to lapse if it no longer represents the true risk profile of the counterparty and there are signs of deterioration in the quality of the related lending;
- use is made of a rating calculation model for counterparties acting as guarantors for individuals, aimed at the quantification and measurement of credit risk attributable to private counterparties that provide personal guarantees to BPER Banca Group's customers.

Determination of the final rating depends on the type of counterparty. In particular, the rating allocation process involves a level of investigation that is proportional to the complexity/scale of the counterparty under review: a more complex and sophisticated structure is foreseen for medium-large businesses (Corporate SMEs, Long-term Property SMEs, Holding and Large Corporates), which are fewer but with larger average exposures, while there is a simpler structure for Retail customers (Retail SMEs, Individuals and Small Businesses), which are more numerous, but with lower exposures.

The estimation of LGD (Loss Given Default: representing the extent of the loss expected to occur on *default* of the borrower, dependent on type of exposure to the counterparty) is based on information on the borrower (segment, geographical area, internal administrative *status*), the product (technical form, size of exposure), and the presence, type and coverage of guarantees.
LGD estimation includes the impact of the recession (downturn LGD).

Key activities in 2016 concerning Project Basel 2 included the start-up of the following projects:

- adjustment of credit risk models for IFRS 9 - impairment;
- development of rating models for the Banks and Confidi segments;
- development of rating models for the Holding companies and Financial businesses segments.

Moreover, the following were completed:

- development of a model for estimating the EAD for Corporate counterparties and updating of the EAD model for Retail counterparties, with an expansion of the historical series;
- evolution of the way in which rating models are developed.

In addition to indicating the principles of governance, assumption and management of credit risk, the Group Credit Risk Governance Policy defines the BPER Group's credit risk appetite. For this purpose, the policy provides for a new system of credit risk exposure limits, establishing supervisory thresholds that have to be monitored periodically. The document also explains the principles for calculating analytical and collective loan loss provisions and for the classification of loans by *status*.

In order to manage credit risk, the Group has developed a system of credit limits designed to regulate the lending process, together with a system for authorisations that takes account of the riskiness of the customer and/or the transaction, consistent with the risk evaluation systems adopted. This system ensures compliance with the principle that the level of authorisation be consistent with the riskiness of the transaction, envisaging that the limits on decision making are established with reference to one or more aspects of the specific counterparty and transaction risk (in particular counterparty rating, expected loss, amount of the facility).

The internal rating system's risk measures are used for management reporting purposes; in particular, a Credit Risk Book is prepared on a quarterly basis and is an essential tool for the Risk Committee. This is the basic information support for the Risk Committee and contains detailed reports on credit risk at consolidated and individual level (distribution of the portfolio by type and rating classes, dynamics of risk parameters and expected loss, transition matrices, dynamics of general and analytical provisions and decay rates), with differentiated analyses for risk and management segments and geographical area.
In addition, a summary report is prepared on a monthly basis, including the monitoring of supervisory thresholds set for credit risk.
A network reporting tool is also available, characterised by different views of the loan portfolio, with different levels of aggregation (Branch, Regional Division, General Management, Bank and Group) and hierarchical visibility cones.

Lastly, following the ECB's authorisation in June 2016 to use internal models for measuring capital requirements for credit risk, starting from the 30 June 2016 regulatory reports, BPER Banca Group began using AIRB methods for the banks included in the scope of the first validation (BPER Banca, Banco di Sardegna and Banca di Sassari) for the following asset classes:

- retail businesses;
- exposure to companies.

2.3 Credit risk mitigation techniques

Mitigation techniques are an important tool for reducing or transferring part of the credit risk associated with the portfolio of exposure. Consistent with the low propensity to accept risk that characterises operations, the Group seeks to mitigate credit risk, in particular, by obtaining and managing secured and unsecured guarantees. For this purpose, the Group has prepared suitable IT procedures and systems for managing mortgages and financial guarantees in compliance with prudent supervisory requirements, as well as appropriate internal regulations for managing the life-cycles of the other tangible security obtained.

The secured guarantees obtained by the Group generally comprise mortgages on residential and non-residential property, as part of Retail lending and, to a lesser extent, loans to Corporate customers, as well as pledges on securities, receivables and cash. An internal procedure developed over a number of years gathers information in an organised fashion on the property assets of borrowers and on the properties given in guarantee. The value of property is periodically remeasured and updated with reference to the statistical databases maintained by a leading operator in the sector, and steps are taken to renew the related appraisals; an internal function covering the entire banking group has been established to supervise this process and monitor constantly the value obtained to cover exposures, as required by the new regulations. Likewise, the collateral represented by financial instruments is managed within a procedure that updates the fair value on the basis of market trends.

The principal types of unsecured guarantees consist of "specific guarantees" and "restricted omnibus guarantees", mainly given by entrepreneurs in favour of their companies and by Parent Companies in favour of their subsidiaries in the form of binding letters of patronage. Guarantees given by various guarantee consortiums in favour of their members firms are becoming more significant, as well as guarantees given by third party institutions, such as SACE; MCC (Guarantee Fund for SMEs); EIF (European Investment Fund); Guarantee Fund for the First Home, also subject to periodic monitoring.

2.4 Impaired financial assets

Impaired financial assets are managed by the classification thereof within risk categories established by supervisory regulations based on the risk profile attributed thereto.

The classification of each anomalous position is decided both automatically and by means of an analysis described in an internal regulation that governs in detail the transfer of a counterparty to a certain administrative position when a certain deterioration of its credit quality has occurred.
The classifications of the positions within problem items, when not automatic, takes place on the basis of subjective performance assessments based on monitoring of the credit chain. The tools that we have available make it possible to identify on a timely basis any signs of deterioration in risk relationships, allowing punctual analysis of the credit worthiness and classification of the position to the correct category of risk.
The consistency of the classification of a position in the right risk category, with respect to internal rules and Bank of Italy regulations, is also ensured by second-level checks that, by applying a suitable method, verify not only that classifications are correct, but also the adequacy of provisions, the presence of first-level controls and the effectiveness of recovery processes, so as to ensure strong supervision throughout the entire credit chain. The improvement in the risk profile of counterparties leads to a transfer to better internal classifications; after the completion of subjective and analytical assessments; this may result, in the final analysis, a return to "performing" *status*.

In order to optimise the process of monitoring customers, the Parent Company made some refinements to an Early Warning model, which is capable of analysing performing loans by level of risk, with a view to suggesting timely action to be taken by the responsible functions.

The model was developed using methodology that responds to two key needs in the process of managing performing counterparties:

- the need to identify as a first step those counterparties that, for the sake of prudence, should be monitored actively in order to avoid a deterioration in their position, or to implement actions that will improve the counterparty's risk profile or contain possible future losses;
- the need to define processes for observing these positions, determining the priorities and the rules for monitoring them, in order to optimise the organisational effort of the account managers and the results of such action.

Quantitative information

A. Credit quality

A.1 Non performing and performing loans: amounts, adjustments, trends, economic and territorial distribution

A.1.1 Distribution of credit exposures by portfolio and quality of lending (book values)

Portfolio/quality		Bad Loans	Unlikely to pay loans	Impaired past due loans	Past due loans not impaired	Other performing exposures	Total
1. Financial assets available for sale		-	-	-	-	8,127,104	8,127,104
2. Financial assets held to maturity		-	-	-	-	2,515,993	2,515,993
3. Due from banks		-	-	-	62,118	2,093,519	2,155,637
4. Loans to customers		1,879,625	2,102,050	73,953	613,810	30,808,820	35,478,258
5. Financial assets designated at fair value through profit and loss		-	-	-	-	12,414	12,414
6. Financial assets being sold		-	-	-	-	-	-
Total	**31.12.2016**	**1,879,625**	**2,102,050**	**73,953**	**675,928**	**43,557,850**	**48,289,406**
Total	**31.12.2015**	**1,884,520**	**2,226,296**	**175,908**	**822,586**	**39,582,080**	**44,691,390**

The following table analyses, portfolio by portfolio, the maturities of loans that are past due but not impaired, as required by IFRS 7, paragraph 37.

Portfolio/Quality	Other assets not overdue	Past due unimpaired loans			
		Past due up to 3 months	Past due from 3 to 6 months	Past due from 6 to 12 months	Past due for over 1 year
3. Due from banks	2,093,519	61,884	234		
4. Loans to customers	30,808,820	506,124	78,237	23,258	6,191
Total	**32,902,339**	**675,928**			

A.1.2 Distribution of credit exposures by portfolio and quality of lending (gross and net values)

Portfolio/quality		Non-performing loans			Performing loans			Total
		Gross exposure	Specific provisions	Net exposure	Gross exposure	General portfolio provisions	Net exposure	(Net exposure)
1. Financial assets available for sale		-	-	-	8,127,104	-	8,127,104	8,127,104
2. Financial assets held to maturity		-	-	-	2,515,993	-	2,515,993	2,515,993
3. Due from banks		-	-	-	2,155,637	-	2,155,637	2,155,637
4. Loans to customers		7,669,831	3,614,203	4,055,628	31,545,903	123,273	31,422,630	35,478,258
5. Financial assets designated at fair value through profit and loss		-	-	-	12,414	#	12,414	12,414
6. Financial assets being sold		-	-	-	-	-	-	-
Total	**31.12.2016**	**7,669,831**	**3,614,203**	**4,055,628**	**44,357,051**	**123,273**	**44,233,778**	**48,289,406**
Total	**31.12.2015**	**7,952,978**	**3,666,254**	**4,286,724**	**40,545,856**	**141,190**	**40,404,666**	**44,691,390**

Derecognised bad loans to customers involved in insolvency proceedings amount to € 711,760 thousand. As also indicated in paragraph 6.1 of the directors' report on Group operations, for the purpose of determining the actual level of coverage of non-performing loans the above mentioned derecognised loans need to be taken into account.

Portfolio/quality		Low credit quality assets		Other activities
		Cumulated losses	Net exposures	Net exposure
1. Financial assets held for trading		1,110	2,515	574,720
2. Hedging derivatives		-	-	59,767
Total	**31.12.2016**	**1,110**	**2,515**	**634,487**
Total	**31.12.2015**	**1,339**	**4,838**	**725,319**

A.1.3 Banking group - Cash and off-balance sheet exposures to banks: gross and net values and past-due buckets

Type of exposure/Amounts	Gross exposure					Specific provisions	General portfolio provisions	Net exposure
	Non-performing loans				Performing exposures			
	up to 3 months	from 3 to 6 months	from 6 to 12 months	over 1 year				
A. Cash exposures								
a) Bad loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
b) Unlikely to pay loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
c) Impaired past due loans	-	-	-	-	#	-	#	-
- of which: forborne exposures	-	-	-	-	#	-	#	-
d) Not impaired past due loans	#	#	#	#	62,120	#	-	62,120
- of which: forborne exposures	#	#	#	#	-	#	-	-
e) Other performing assets	#	#	#	#	6,647,628	#	-	6,647,628
- of which: forborne exposures	#	#	#	#	-	#	-	-
Total A	**-**	**-**	**-**	**-**	**6,709,748**	**-**	**-**	**6,709,748**
B. Off-balance sheet exposures								
a) Non-performing exposures	-	-	-	-	#	-	#	-
b) Performing exposures	#	#	#	#	599,409	#	-	599,409
Total B	**-**	**-**	**-**	**-**	**599,409**	**-**	**-**	**599,409**
Total (A+B)	**-**	**-**	**-**	**-**	**7,309,157**	**-**	**-**	**7,309,157**

A.1.6 Cash and off-balance sheet credit exposures to customers: gross and net values and past-due buckets

Type of exposure/Amounts	Gross exposure					Specific provisions	General Portfolio provisions	Net exposure
	Non-performing loans				Performing exposures			
	up to 3 months	from 3 to 6 months	from 6 to 12 months	over 1 year				
A. Cash exposures								
a) Bad loans	49	271	-	4,727,370	#	2,848,065	#	1,879,625
- of which: forborne exposures	-	-	-	591,603	#	273,399	#	318,204
b) Unlikely to pay loans	1,258,128	139,912	304,801	1,157,696	#	758,487	#	2,102,050
- of which: forborne exposures	886,252	68,008	132,924	453,495	#	343,122	#	1,197,557
c) Impaired past due loans	4,602	34,584	29,939	12,479	#	7,651	#	73,953
- of which: forborne exposures	118	1,055	355	56	#	132	#	1,452
d) Not impaired past due loans	#	#	#	#	624,494	#	10,686	613,808
- of which: forborne exposures	#	#	#	#	66,347	#	1,876	64,471
e) Other assets	#	#	#	#	37,402,306	#	112,587	37,289,719
- of which: forborne exposures	#	#	#	#	654,104	#	9,717	644,387
Total A	**1,262,779**	**174,767**	**334,740**	**5,897,545**	**38,026,800**	**3,614,203**	**123,273**	**41,959,155**
B. Off-Balance sheet exposure								
a) Non-performing exposures	132,033	-	-	-	#	42,690	#	89,343
b) Others	#	#	#	#	3,083,661	#	13,390	3,070,271
Total B	**132,033**	**-**	**-**	**-**	**3,083,661**	**42,690**	**13,390**	**3,159,614**
Total (A+B)	**1,394,812**	**174,767**	**334,740**	**5,897,545**	**41,110,461**	**3,656,893**	**136,663**	**45,118,769**

A.1.7 Cash credit exposures to customers: dynamics of gross impaired loans

Description/categories	Bad loans	Unlikely to pay loans	Impaired past due loans
A. Opening gross exposure	**4,813,975**	**2,940,665**	**198,338**
- of which: sold but not derecognised	-	-	-
B. Increases	**826,887**	**1,306,172**	**96,706**
B.1 transfers from performing loans	177,931	844,780	82,448
B.2 transfers from other categories of impaired exposures	578,551	119,645	640
B.3 other increases	70,405	341,747	13,618
C. Decreases	**913,172**	**1,386,300**	**213,440**
C.1 transfers to performing loans	2,400	252,489	25,966
C.2 write-offs	112,227	4,489	126
C.3 collections	192,088	599,242	18,592
C.4 proceeds from disposals	103,878	-	-
C.5 losses from disposals	492,606	-	-
C.6 transfers to other categories of impaired exposures	-	530,080	168,756
C.7 other decreases	9,973	-	-
D. Closing gross exposure	**4,727,690**	**2,860,537**	**81,604**
- of which: assets sold but not derecognised	-	-	-

A.1.7 *bis* On-balance sheet credit exposures to customers: dynamics of gross forborne exposures by credit quality

Description/categories	Non-performing forborne exposures	Performing forborne exposures
A. Opening balance - gross exposure	**1,976,999**	**747,669**
- of which: assets sold but not derecognised	-	-
B. Increases	**1,093,905**	**709,031**
B.1 transfers from performing not forborne	252,787	424,641
B.2 transfers from performing forborne	214,533	-
B.3 transfers from non-performing forborne	-	102,641
B.4 other increases	626,585	181,749
C. Reductions	**937,038**	**736,249**
C.1 transfers to performing not forborne	-	218,353
C.2 transfers to performing forborne	102,641	-
C.3 transfers from non-performing forborne	-	214,533
C.4 write-offs	4,632	-
C.5 collections	592,243	301,090
C.6 proceeds from disposals	10,386	-
C.7 losses from disposals	26,349	-
C.8 transfers to other categories of impaired exposures	200,787	2,273
D. Gross exposure closing balance	**2,133,866**	**720,451**
- of which: assets sold but not derecognised	-	-

A.1.8 Non performing cash credit exposures to customers: dynamics of total write-downs

Description/categories	Bad Loans		Unlikely to pay loans		Impaired past due loans	
	Total	of which: forborne exposures	Total	of which: forborne exposures	Total	of which: forborne exposures
A. Total opening adjustments	**2,929,455**	**190,358**	**714,369**	**339,902**	**22,430**	**1,077**
- of which: sold but not derecognised	-	-	-	-	-	-
B. Increases	**789,818**	**129,818**	**375,879**	**137,564**	**6,923**	**164**
B.1 adjustments	597,397	69,360	360,899	136,456	6,751	92
B.2 loss from disposals	14,022	8,994	-	-	-	-
B.3 transfer from other categories of impaired exposures	168,897	51,464	11,845	1,108	172	72
B.4 other increases	9,502	-	3,135	-	-	-
C. Reductions	**871,208**	**46,777**	**331,761**	**134,344**	**21,702**	**1,109**
C.1 write-backs on valuation	196,729	23,969	84,686	50,838	2,955	2
C.2 write-backs due to collections	56,053	1,225	80,223	31,160	70	-
C.3 *bis* profit from disposals	3,621	412	-	-	-	-
C.4 write-offs	112,227	3,823	4,489	809	126	-
C.5 transfer to other categories of impaired exposures	-	-	162,363	51,537	18,551	1,107
C.6 other decreases	502,578	17,348	-	-	-	-
D. Total closing adjustments	**2,848,065**	**273,399**	**758,487**	**343,122**	**7,651**	**132**
- of which: sold but not derecognised	-	-	-	-	-	-

The adjustments take account of default interest accrued in the year of € 23,294 thousand.
Writebacks also take into account prior year default interest that has been collected for an amount of € 1,510 thousand.

Determination of impairment of performing loans ("collective" method)

The Bank's method used for the determination of collective impairment provides for the calculation of collective impairment by single exposure by means of the following formula:

$$IMPAIRMENT=EXP*PD*LGD$$

- EXP = gross book value in the case of cash exposures; nominal value multiplied by the regulatory credit equivalent (standard method) in the case of off-balance sheet exposures;
- PD = a figure that estimates the Probability of Default at 1 year. The PDs associated with internal official ratings are used;
- LGD = Rate of loss in case of default. The LGD estimated by the internal models developed as part of the Basel 2 project is applied, less the downturn component and indirect costs (LGD for management purposes).

A.2 Classification of exposures based on external and internal ratings

A.2.1 Distribution of cash and "off-balance sheet" exposures by external rating class

Exposures	External rating classes						Total
	AAA/AA-	A+/A-	BBB+/BBB-	BB+/BB-	B+/B-	Down of B-	
A. Cash exposures	638,907	6,837,578	2,333,852	858,184	190,722	52,220	10,911,463
B. Derivatives	64	4,714	16,644	16,271	5,455	-	43,148
B.1 Financial derivatives	64	4,714	16,644	16,271	5,455	-	43,148
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	42,582	504,158	410,571	165,052	66,162	32,648	1,221,173
D. Commitments to make loans	-	31,075	106,329	16,564	8,147	272	162,387
E. Other	-	-	-	-	-	-	-
Total	**681,553**	**7,377,525**	**2,867,396**	**1,056,071**	**270,486**	**85,140**	**12,338,171**

	with external rating	Unrated	Total
A. Cash exposures	10,911,463	37,757,441	48,668,904
B+C+D. Off-balance sheet exposures	1,426,708	2,051,798	3,478,506
Total	**12,338,171**	**39,809,239**	**52,147,410**

The following rating agencies are used: DBRS for exposures to central administrations, Cerved Group for exposures to businesses, Fitch, Moody's and S&P's for exposures deriving from securitisations.
The rating classes used in the table are those of Standard&Poor's.
S&P's rating classes and those of the other ECAI used by the BPER Banca Group have been interpreted with reference to the Bank of Italy's classes of merit.

The ratings issued by Standard & Poor's for exposures to businesses and other parties are mapped below.

Long-term rating for exposures to businesses and other parties:

Class of credit merit	Risk weighting coefficients	ECAI Standard & Poor's
1	20%	from AAA to AA-
2	50%	from A+ to A-
3	100%	from BBB+ to BBB-
4	100%	from BB+ to BB-
5	150%	from B+ to B-
6	150%	CCC+ and below

Long-term rating for exposures to securitisations:

Class of credit merit	Risk weighting coefficients	ECAI Standard & Poor's
1	20%	from AAA to AA-
2	50%	from A+ to A-
3	100%	from BBB+ to BBB-
4	350%	from BB+ to BB-
5	1250%	from B+ and below

A.2.2 Distribution of cash and "off-balance sheet" exposures by internal rating class

Exposures to individuals:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	1,239,804	827,024	914,130	1,063,903	1,680,518	613,481	497,072
B. Derivatives	27	32	-	35	71	37	-
B.1 Financial derivatives	27	32	-	35	71	37	-
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	5,869	3,032	4,724	4,017	5,595	5,852	2,811
D. Commitments to make loans	4,691	2,726	3,698	5,739	4,772	2,135	2,164
E. Other	-	-	-	-	-	-	-
Total	**1,250,391**	**832,814**	**922,552**	**1,073,694**	**1,690,956**	**621,505**	**502,047**

(cont.)

Exposures	Internal rating class						
	8	9	10	11	12	13	Total
A. Cash exposures	305,581	190,641	137,065	105,267	49,703	107,793	7,731,982
B. Derivatives	-	-	23	-	-	-	225
B.1 Financial derivatives	-	-	23	-	-	-	225
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	5,080	3,239	875	345	164	188	41,791
D. Commitments to make loans	441	337	471	91	3	89	27,357
E. Other	-	-	-	-	-	-	-
Total	**311,102**	**194,217**	**138,434**	**105,703**	**49,870**	**108,070**	**7,801,355**

Exposure to businesses:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	1,250,578	1,316,674	2,030,067	2,391,845	1,524,574	875,376	633,442
B. Derivatives	1,845	1,508	1,850	9,347	16,559	5,256	4,656
B.1 Financial derivatives	1,845	1,508	1,850	9,347	16,559	5,256	4,656
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	195,114	178,935	230,798	185,367	96,257	56,212	47,108
D. Commitments to make loans	6,092	11,622	58,102	19,062	17,793	57,341	5,781
E. Other	-	-	-	-	-	-	-
Total	**1,453,629**	**1,508,739**	**2,320,817**	**2,605,621**	**1,655,183**	**994,185**	**690,987**

(cont.)

Exposures	Internal rating class						
	8	9	10	11	12	13	Total
A. Cash exposures	342,230	205,001	113,546	65,516	42,217	102,278	10,893,344
B. Derivatives	236	1	243	-	-	540	42,041
B.1 Financial derivatives	236	1	243	-	-	540	42,041
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	16,032	8,762	3,802	2,112	8,001	8,743	1,037,243
D. Commitments to make loans	2,066	1,663	1,244	123	-	609	181,498
E. Other	-	-	-	-	-	-	-
Total	**360,564**	**215,427**	**118,835**	**67,751**	**50,218**	**112,170**	**12,154,126**

Exposure to large businesses:

Exposures	Internal rating class						
	1	2	3	4	5	6	7
A. Cash exposures	34,337	298,488	422,484	866,067	826,042	504,567	171,838
B. Derivatives	269	366	2,001	1,239	817	85	88
B.1 Financial derivatives	269	366	2,001	1,239	817	85	88
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	49,827	109,605	191,402	193,272	163,597	103,064	28,564
D. Commitments to make loans	-	928	5,224	20,330	3,942	90,884	563
E. Other	-	-	-	-	-	-	-
Total	**84,433**	**409,387**	**621,111**	**1,080,908**	**994,398**	**698,600**	**201,053**

(cont.)

Exposures	Internal rating class						
	8	9	10	11	12	13	Total
A. Cash exposures	124,242	74,428	46,104	1,830	202	-	3,370,629
B. Derivatives	418	361	-	-	-	-	5,644
B.1 Financial derivatives	418	361	-	-	-	-	5,644
B.2 Credit derivatives	-	-	-	-	-	-	-
C. Guarantees given	20,919	3,624	6,222	377	525	49,349	920,347
D. Commitments to make loans	409	-	-	-	-	-	122,280
E. Other	-	-	-	-	-	-	-
Total	**145,988**	**78,413**	**52,326**	**2,207**	**727**	**49,349**	**4,418,900**

A.3 Distribution of guaranteed exposures by type of guarantee

A.3.1 Guaranteed credit exposures to banks

	Amount of net exposure	Real guarantees (1)			
		Property - Mortgages	Property finance lease	Securities	Other secured guarantees
1. Guaranteed cash exposures:	**162,733**	**-**	**-**	**149,565**	**-**
1.1. fully guaranteed	162,733	-	-	149,565	-
- of which: non-performing exposures	-	-	-	-	-
1.2. partially guaranteed	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**44,084**	**-**	**-**	**-**	**-**
2.1. fully guaranteed	44,084	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-
2.2. partially guaranteed	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-

(cont.)

	Personal guarantees (2)									Total (1)+(2)
	Credit Derivatives					Endorsement credits				
		Other derivatives								
	Creadit link notes	Governments and central banks	Other public entities	Banks	Other parties	Governments and central banks	Other public entities	Banks	Other parties	
1. Guaranteed cash exposures:	**-**	**-**	**-**	**-**	**-**	**12,441**	**-**	**-**	**-**	**162,006**
1.1. fully guaranteed	-	-	-	-	-	12,441	-	-	-	162,006
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
1.2. partially guaranteed	-	-	-	-	-	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**-**	**-**	**42,795**	**-**	**730**	**559**	**44,084**
2.1. fully guaranteed	-	-	-	-	-	42,795	-	730	559	44,084
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-
2.2. partially guaranteed	-	-	-	-	-	-	-	-	-	-
- of which: non-performing exposures	-	-	-	-	-	-	-	-	-	-

A.3.2 Guaranteed credit exposures to customers

	Amount of net exposure	Real guarantees (1)			
		Property - Mortgages	Property Finance lease	Securities	Other secured guarantees
1. Guaranteed cash exposures:	**20,881,580**	**13,957,059**	**-**	**463,588**	**520,196**
1.1. fully guaranteed	18,598,469	13,667,151	-	337,512	489,535
- of which: non-performing exposures	3,001,715	2,444,680	-	16,577	18,041
1.2. partially guaranteed	2,283,111	289,908	-	126,076	30,661
- of which: non-performing exposures	507,827	201,012	-	5,577	814
2. Guaranteed off-balance sheet credit exposures:	**933,672**	**4,647**	**-**	**69,144**	**51,017**
2.1. fully guaranteed	702,426	1,513	-	44,731	48,319
- of which: non-performing exposures	28,415	465	-	1,141	5,115
2.2. partially guaranteed	231,246	3,134	-	24,413	2,698
- of which: non-performing exposures	5,098	414	-	320	20

(cont.)

	Personal guarantees (2)									Total (1)+(2)
	Credit derivatives					Endorsement credits				
		Other derivatives								
	Credit link notes	Governments and central banks	Other public entities	Banks	Other parties	Governments and central banks	Other pubblic entities	Banks	Other parties	
1. Guaranteed cash exposures:	**-**	**-**	**-**	**-**	**-**	**35,964**	**517,804**	**40,029**	**4,551,882**	**20,086,522**
1.1. fully guaranteed	-	-	-	-	-	6,607	233,814	32,428	3,817,676	18,584,723
- of which: non-performing exposures	-	-	-	-	-	710	17,763	29,633	469,688	2,997,092
1.2. partially guaranteed	-	-	-	-	-	29,357	283,990	7,601	734,206	1,501,799
- of which: non-performing exposures	-	-	-	-	-	580	7,615	457	174,927	390,982
2. Guaranteed off-balance sheet credit exposures:	**-**	**-**	**-**	**-**	**-**	**1,016**	**658**	**7,984**	**754,035**	**888,501**
2.1. fully guaranteed	-	-	-	-	-	408	-	7,294	590,903	693,168
- of which: non-performing exposures	-	-	-	-	-	-	-	-	21,668	28,389
2.2. partially guaranteed	-	-	-	-	-	608	658	690	163,132	195,333
- of which: non-performing exposures	-	-	-	-	-	-	-	-	3,977	4,731

B. Distribution and concentration of credit exposures

B.1 Distribution by sector of cash and "off-balance sheet" exposures to customers (book values)

Exposures/Counterparts	Governments			Other Pubblic Entities			Financial businesses		
	Net exposure	Specific provisions	General portfolio provisions	Net exposure	Specific provisions	General portfolio provisions	Net exposure	Specific provisions	General portfolio provisions
A. Cash exposure									
A.1 Bad loans	-	-	#	-	-	#	33,192	128,852	#
- of which: forborne exposures	-	-	#	-	-	#	4,549	11,577	#
A.2 Unlikelyt to pay loans	-	-	#	4,407	657	#	101,319	55,221	#
- of which: forborne exposures	-	-	#	4,281	571	#	75,528	26,152	#
A.3 Impaired past due loans	-	-	#	22	2	#	856	240	#
- of which: forborne exposures	-	-	#	-	-	#	-	-	#
A.5 Performing exposures	6,541,985	#	-	271,207	#	801	5,298,741	#	4,616
- of which: forborne exposures	-	#	-	6,750	#	35	14,007	#	197
Total A	**6,541,985**	**-**	**-**	**275,636**	**659**	**801**	**5,434,108**	**184,313**	**4,616**
B. Off-Balance sheet exposures									
B.1Bad loans	-	-	#	-	-	#	-	-	#
B.2 Unlikely to pay loans	-	-	#	26	-	#	4,846	4	#
B.3 Other impaired loans	-	-	#	57	2	#	-	-	#
B.4 Performing exposures	1,443	#	-	9,120	#	8	443,545	#	240
Total B	**1,443**	**-**	**-**	**9,203**	**2**	**8**	**448,391**	**4**	**240**
Total (A+B) 31.12.2016	**6,543,428**	**-**	**-**	**284,839**	**661**	**809**	**5,882,499**	**184,317**	**4,856**
Total (A+B) 31.12.2015	**7,499,256**	**1**	**-**	**160,200**	**699**	**709**	**5,091,193**	**188,566**	**5,281**

(cont.)

Exposures/Counterparts	Insurance companies			Non-financial companies			Other entities		
	Net exposure	Specific provisions	General portfolio provisions	Net exposure	Specific provisions	General portfolio provisions	Net exposure	Specific provisions	General portfolio provisions
A. Cash exposure									
A.1 Bad loans	-	-	#	1,602,100	2,364,512	#	244,333	354,701	#
- of which: forborne exposures	-	-	#	272,740	206,004	#	40,915	55,818	#
A.2 Unlikelyt to pay loans	-	-	#	1,755,365	648,161	#	240,959	54,448	#
- of which: forborne exposures	-	-	#	971,429	286,720	#	146,319	29,679	#
A.3 Impaired past due loans	-	-	#	56,027	5,851	#	17,048	1,558	#
- of which: forborne exposures	-	-	#	957	104	#	495	28	#
A.5 Performing exposures	179,538	#	2	17,805,095	#	104,572	7,806,961	#	13,282
- of which: forborne exposures	-	#	-	545,172	#	10,211	142,929	#	1,150
Total A	**179,538**	**-**	**2**	**21,218,587**	**3,018,524**	**104,572**	**8,309,301**	**410,707**	**13,282**
B. Off-Balance sheet exposures									
B.1Bad loans	-	-	#	17,668	21,939	#	206	90	#
B.2 Unlikely to pay loans	-	-	#	65,282	20,505	#	361	87	#
B.3 Other impaired loans	-	-	#	864	62	#	33	1	#
B.4 Performing exposures	14,302	#	3	2,495,611	#	5,352	95,254	#	7,787
Total B	**14,302**	**-**	**3**	**2,579,425**	**42,506**	**5,352**	**95,854**	**178**	**7,787**
Total (A+B) 31.12.2016	**193,840**	**-**	**5**	**23,798,012**	**3,061,030**	**109,924**	**8,405,155**	**410,885**	**21,069**
Total (A+B) 31.12.2015	**138,535**	**-**	**7**	**23,029,720**	**3,096,984**	**126,845**	**8,057,056**	**427,810**	**16,742**

B.2 Territorial distribution of the cash and "off-balance sheet" exposure to customers (book value)

Exposures/Geographical area		Italy		Other european countries		America		Asia		Rest of the world	
		Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Cash exposure											
A.1 Bad loans		1,877,013	2,836,595	2,612	11,439	-	13	-	-	-	18
A.2 Unlikely to pay loans		2,016,908	695,409	82,831	60,796	2,310	2,280	-	1	1	1
A.3 Impaired past due loans		73,865	7,609	86	38	-	2	2	1	-	1
A.5 Performing exposures		35,795,811	122,864	1,006,666	243	958,704	93	95,181	68	47,165	5
Total		**39,763,597**	**3,662,477**	**1,092,195**	**72,516**	**961,014**	**2,388**	**95,183**	**70**	**47,166**	**25**
B. Off-Balance sheet exposures											
B.1 Bad Loans		17,874	22,029	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans		70,335	20,526	180	70	-	-	-	-	-	-
B.3 Other impaired loans		954	65	-	-	-	-	-	-	-	-
B.4 Performing exposures		2,893,755	13,264	163,550	126	350	-	936	-	684	-
Total		**2,982,918**	**55,884**	**163,730**	**196**	**350**	**-**	**936**	**-**	**684**	**-**
Total	**31.12.2016**	**42,746,515**	**3,718,361**	**1,255,925**	**72,712**	**961,364**	**2,388**	**96,119**	**70**	**47,850**	**25**
Total	**31.12.2015**	**42,397,809**	**3,822,925**	**1,023,881**	**39,039**	**542,552**	**1,637**	**1,755**	**8**	**9,962**	**35**

B.2.1 Territorial distribution of the cash and "off-balance sheet" exposure to customers (book value)

Exposures/Geographical area		North-West Italy		North-East Italy		Central Italy		South of Italy and islands		Rest of the world	
		Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Cash exposure											
A.1 Bad loans		179,880	280,675	775,369	1,136,405	193,182	436,372	728,582	983,143	2,612	11,470
A.2 Unlikely to pay loans		104,487	43,968	1,010,286	389,904	282,265	95,865	619,870	165,672	85,142	63,078
A.3 Impaired past due loans		3,140	405	39,944	3,718	5,816	704	24,965	2,782	88	42
A.4 Performing exposures		4,021,761	18,028	14,314,483	52,452	9,032,483	17,227	8,427,084	35,157	2,107,716	409
Total		**4,309,268**	**343,076**	**16,140,082**	**1,582,479**	**9,513,746**	**550,168**	**9,800,501**	**1,186,754**	**2,195,558**	**74,999**
B. Off-Balance sheet exposures											
B.1 Bad loans		615	692	10,112	15,875	4,422	2,833	2,725	2,629	-	-
B.2 Unlikely to pay loans		5,462	1,843	47,393	15,028	10,518	2,198	6,962	1,457	180	70
B.3 Other impaired loans		86	2	693	46	35	4	140	13	-	-
B.4 Performing exposures		539,954	657	1,636,377	11,448	261,590	433	455,834	726	165,520	126
Total		**546,117**	**3,194**	**1,694,575**	**42,397**	**276,565**	**5,468**	**465,661**	**4,825**	**165,700**	**196**
Total	**31.12.2016**	**4,855,385**	**346,270**	**17,834,657**	**1,624,876**	**9,790,311**	**555,636**	**10,266,162**	**1,191,579**	**2,361,258**	**75,195**
Total	**31.12.2015**	**4,397,201**	**422,174**	**17,792,771**	**1,569,975**	**10,293,509**	**570,530**	**9,914,329**	**1,260,246**	**1,578,150**	**40,719**

B.3 Territorial distribution of the cash and "off-balance sheet" exposure to banks (book value)

Exposures/Geographic Area	Italy		Other EU countries		America		Asia		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Balance sheet exposures										
A.1 Bad loans	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
A.3 Impaired past due loans	-	-	-	-	-	-	-	-	-	-
A.4 Performing exposures	2,409,311	-	2,962,099	-	343,980	-	85,629	-	908,729	-
Total	**2,409,311**	**-**	**2,962,099**	**-**	**343,980**	**-**	**85,629**	**-**	**908,729**	**-**
B. Off-Balance sheet exposures										
B.1 Bad loans	-	-	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
B.3 Other impaired loans	-	-	-	-	-	-	-	-	-	-
B.4 Performing exposures	42,834	-	211,655	-	19,890	-	44,086	-	11,424	-
Total	**42,834**	**-**	**211,655**	**-**	**19,890**	**-**	**44,086**	**-**	**11,424**	**-**
Total 31.12.2016	**2,452,145**	**-**	**3,173,754**	**-**	**363,870**	**-**	**129,715**	**-**	**920,153**	**-**
Total 31.12.2015	**1,916,813**	**-**	**2,683,131**	**-**	**197,819**	**-**	**85,757**	**-**	**550,711**	**-**

B.3.1 Territorial distribution of the cash and "off-balance sheet" exposure to banks (book value)

Exposures/Geographic area	North-West Italy		North-East Italy		Central Italy		South of Italy and islands		Rest of the world	
	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs	Net exposure	Total write-downs
A. Balance Sheet exposures										
A.1 Bad loans	-	-	-	-	-	-	-	-	-	-
A.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
A.3 Impaired past due loans	-	-	-	-	-	-	-	-	-	-
A.Performing exposures	1,161,835	-	140,258	-	732,420	-	374,798	-	4,300,437	-
Total A	**1,161,835**	**-**	**140,258**	**-**	**732,420**	**-**	**374,798**	**-**	**4,300,437**	**-**
B. Off-Balance Sheet exposures										
B.1 Bad loans	-	-	-	-	-	-	-	-	-	-
B.2 Unlikely to pay loans	-	-	-	-	-	-	-	-	-	-
B.3 Other impaired loans	-	-	-	-	-	-	-	-	-	-
B.4 Performing exposures	26,667	-	1,961	-	2,471	-	11,735	-	287,055	-
Total B	**26,667**	**-**	**1,961**	**-**	**2,471**	**-**	**11,735**	**-**	**287,055**	**-**
Total 31.12.2016	**1,188,502**	**-**	**142,219**	**-**	**734,891**	**-**	**386,533**	**-**	**4,587,492**	**-**
Total 31.12.2015	**741,872**	**-**	**293,871**	**-**	**493,110**	**-**	**387,960**	**-**	**3,517,418**	**-**

B.4 Large exposures

	31.12.2016	31.12.2015
a) Book value	18,551,713	17,391,278
b) Weighted value	2,661,309	2,260,905
c) Number	8	6

This measurement was made on the basis of the recent updates to Circular no. 285 which regulate "large exposures".
The rules define as a "large exposure" the amount of cash assets at risk and off-balance sheet transactions of a single customer or group of related customers that come to 10% or more of admissible capital.
Note that repurchase agreements are included in the amount of risk activities. These transactions contribute to the value of the counterparty exposure for the amount of "securities to be received", while they contribute to the exposure after CRM and exemptions under art. 400 CRR only for the difference between the amount of "securities to be received" and the cash deposit received.
At the end of the year, there are nine "major risks" for an overall amount of € 18,551.7 million, corresponding to € 2,661.3 million of weighted value. Of these, repurchase agreements account for € 3,461.5 million of the overall value, while the impact on the weighted value is not significant.
These exposures include the Treasury Ministry and the Ministry of Economy and Finance for a nominal value of € 7,257.7 million (39% of the total). This amount includes a DTA (deferred tax asset) of € 932.3 million (same amount after CRM and exemptions)

The remainder consists of balances with large banking groups (for nominal value of € 1,600.1 million - weighted € 708.3 million) and an associated company.

To facilitate an understanding of the degree of concentration of loans, the nominal value of major exposures has been provided.

Risk concentration:

Reference date: 31.12.2016	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	16,559,632	2,038,769
First 10 exposures	19,444,538	3,102,104
First 20 exposures	23,256,414	4,992,438

Reference date: 31.12.2015	Amount of the exposure	Amount of the exposure after CRM and exemptions under art. 400 CRR
First 5 exposures	16,911,789	2,209,500
First 10 exposures	18,962,383	3,082,377
First 20 exposures	21,437,917	4,350,691

C. Securitisation transactions

QUALITATIVE INFORMATION

The primary objectives of the securitisation transactions arranged by the Group in relation to non-performing loans are:

- to improve the asset structure of the banks concerned;
- to facilitate loan recovery strategies and make them more efficient (by centralising work with one group of lawyers);
- to exercise rigorous, direct control over higher risk loans, without modifying the overall risk profile.

Transactions involving performing contracts are, on the other hand, arranged in order to optimise funding.

At 31 December 2016, BPER Banca is involved in the Mutina and Diesis transactions.

Mutina (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	27/06/02
Seller:	"Multi-originator" transaction arranged by the following Group banks: - Banca del Monte di Foggia s.p.a.(2); - Banca Popolare di Aprilia s.p.a. (4); - Banca Popolare dell'Irpinia s.p.a. (1); - Banca Popolare di Lanciano e Sulmona s.p.a.(4); - Banca Popolare del Materano s.p.a. (3); - Banca Popolare di Salerno s.p.a. (1); - Cassa di Risparmio della Provincia dell'Aquila s.p.a. (4); - Banca Popolare di Crotone s.p.a. (3); - Banca di Sassari s.p.a. (5) (1) merged with Banca della Campania s.p.a. on 23/06/03 (2) merged with Banca della Campania s.p.a. on 28/12/06 (3) merged with Banca popolare del Mezzogiorno on 3/11/08. (4) now part of BPER as a result of the merger on 27/05/13. (1)(2)(3) Banca della Campania and Banca Popolare del Mezzogiorno are now part of BPER as a result of the merger on 24/11/2014. (5) On 23 May 2016 Banco di Sardegna acquired a business unit of Banca di Sassari, that include this type.
Special purpose vehicle:	Mutina s.r.l., with registered offices in Modena. Held 100% by BPER (as a result of the merger of Em.Ro. popolare s.p.a. and Meliorbanca s.p.a. in 2012).
Servicer:	Nettuno Gestione Crediti s.p.a. as Master Servicer; the originator banks are used as sub-servicers. Until 31 December 2015, the Parent Company BPER was the back-up servicer. The new "Master Servicing Agreement" was signed on 15 December 2015, providing for the appointment of BPER (former back-up servicer) as a new Master Servicer in place of Nettuno Gestione Crediti s.p.a., with effect from 1 January 2016.
Issue date of securities	20 March 2003
Type of transaction	Standard
Organisation	Commencing from the closing date, the Master Servicer prepares quarterly and six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. This information is also provided regularly to General Management and the administrative bodies of the Parent Company, BPER. The Master Servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	*Non-performing*
Amount of securitised assets	The carrying amount of the loans portfolio was Euro 840,160,206.
Disposal price of securitised assets	The disposal price was Euro 412,514,712.
Guarantees and credit lines granted by the bank	Liquidity line equal to 20% of the amount of the Senior securities issued.
Guarantees and credit lines granted by third parties	None.
Related financial transactions	Limited recourse loan in the form of government securities representing 120% of the amount of the Senior securities issued.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following no. 10 bonds in two categories, Senior and Junior.

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2016	*Rating Fitch*	*Rating S&P*
IT0003444327	Senior	Aug-09	228,000	-	AA-	A+
IT0003444350	Junior	Feb-19	12,069	2,054	n.r.	n.r.
IT0003444376	Junior	Feb-19	12,143	7,517	n.r.	n.r.
IT0003444392	Junior	Feb-19	24,001	13,745	n.r.	n.r.
IT0003444459	Junior	Feb-19	61,830	38,917	n.r.	n.r.
IT0003444509	Junior	Feb-19	9,987	198	n.r.	n.r.
IT0003444517	Junior	Feb-19	10,487	10,487	n.r.	n.r.
IT0003444525	Junior	Feb-19	3,432	1,052	n.r.	n.r.
IT0003444558	Junior	Feb-19	31,094	23,607	n.r.	n.r.
IT0003444566	Junior	Feb-19	19,466	8,086	n.r.	n.r.
Totale			**412,509**	**105,663**		

The Senior securities bore interest at Euribor plus a spread of 22 bps. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. They were placed with institutional investors and listed on the Luxembourg stock exchange.

The Junior securities, all subscribed for on a proportional basis by the originator banks, bear interest at 0.10%, with a "without memory" clause, and their redemption is subordinate to full satisfaction of the rights of bearers of the Senior securities.

The remaining outstanding Senior securities matured on 10 August 2009 and were repaid in full on that date. Payment was made using available cash totalling Euro 5,922 thousand, plus Euro 29,350 thousand deriving from the redemption on 1 August of the CCTs previously used to guarantee the securities.

This utilisation, essentially representing an advance of liquidity, has given rise to a liability for Mutina s.r.l. towards the guarantors drawn against. Such liability has the same maturity as the Class C securities and is subordinated to their repayment.
A "Change Agreement" was signed on 12 September 2012, which extended the maturity of the Junior security from August 2013 to February 2019.
The current residual amount of Junior Securities is Euro 105,663 thousand:

- Euro 23,607 thousand held by Banco di Sardegna s.p.a., originating from Banca di Sassari's sale of the business unit in 2016 at a book value of Euro 3,622 thousand;
- Euro 82,056 thousand in portfolio at the Parent Company BPER Banca, following the mergers in 2013 and 2014. The book value is Euro 21,116 thousand.

Diesis (transaction structured pursuant to Law 130 dated 30 April 1999)

Disposal date:	13 July 2016
Seller:	"Multi-originator" transaction arranged by the following Group banks: - BPER Banca s.p.a.; - Banco di Sardegna s.p.a. ;
Special purpose vehicle:	Diesis SPV s.r.l., based in Conegliano (TV)
Servicer:	Securitisation Services s.p.a., acting as Servicer, Corporate Servicer and Calculation and Investor Reporting Agent; Cerved Credit Management s.p.a. acted as Special Servicer.
Issue date of securities	22 December 2016
Type of transaction	Standard
Organisation	The Master Servicer prepares six-monthly statements that are provided to the vehicle company. The reports discuss the activities performed and the collections, with details of interest and principal payments made. The master servicer ensures that the proper disclosures required by the Bank of Italy are made to the Central Risks database and for supervisory purposes.
Internal systems for the measurement and control of risk	The recovery of loans and management of collections is carried out, in accordance with the contractually-agreed code of conduct, by an organisational unit dedicated to this task.

The operational aspects are summarised below:

Assets sold	Loans of banking origin
Quality of assets securitised	Non-performing
Amount of securitised assets	The total nominal value of the loan portfolio sold is Euro 259 million.
Disposal price of securitised assets	The disposal price was Euro 55 million.
Guarantees and credit lines granted by the bank	None.
Guarantees and credit lines granted by third parties	None.
Analysis by business sector	Not provided for non-performing loans since this would not be significant given their nature (the businesses concerned may have closed, be bankrupt or subject to other forms of court-supervised arrangements).
Analysis by geographical area	The securitised loans were made to parties resident in Italy, mainly in the central and southern regions of the country.

The special purpose vehicle has issued the following bonds.

ISIN Code	*Seniority*	Maturity	Issue amount	Residual balance at 31.12.2016	*Rating Moody's*	*Rating S&P*
IT0005224925	Senior	July-26	31,000,000	310	n.r.	n.r.
IT0005224933	Junior	July-28	20,600,000	206	n.r.	n.r.
Total			**51,600,000**	**516**		

The Senior securities bear interest at the 6-month Euribor interest rate plus a spread of 3%. They were redeemed on a six-monthly basis, using the proceeds from the loan recovery activities. They were placed with institutional investors.

The Junior securities, all subscribed for by the originator banks, bear interest at the 6-month Euribor interest rate and the payment thereof is subordinate to the full satisfaction of the rights of the bearers of the senior securities.

Quantitative information

C.1 Exposures deriving from principal "own" securisations, analysed by type of asset securitised and by type of exposure

Type of underlying assets/Exposure	Cash exposures					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/write-backs	Book value	Adjustments/write-backs	Book value	Adjustments/write-backs
A. Derecognised in full	**23,462**	**-**	**736**	**-**	**22,304**	**1,744**
- performing residential mortgages	1,562	-	736	-	88	-
- non-performing residential mortgages	2,609	-	-	-	2,174	169
- performing no residential mortgages	-	-	-	-		
- non-performing no residential mortgages	10,859	-	-	-	12,541	991
- other non-performing loans	8,432	-	-	-	7,501	584
B. Derecognised in part	**-**	**-**	**-**	**-**	**-**	**-**
C. Not derecognised	-	-	-	-	-	-

(cont.)

Type of underlying assets/Exposure	Guarantees given					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/write-backs	Book value	Adjustments/write-backs	Book value	Adjustments/write-backs
A. Derecognised in full	**4,062**	**-**	**-**	**-**	**-**	**-**
- performing residential mortgages	4,062	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages		-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
B. Derecognised in part	**-**	**-**	**-**	**-**	**-**	**-**
C. Not derecognised	-	-	-	-	-	-

The table shows the cash exposures assumed in connection with its own securitisations Mutina, Sestante and Diesis. "Adjustments/writebacks" show the annual flow of writedowns and writebacks as required by the Bank of Italy's Circular no. 262/2005.
The parts of the table relating to credit lines have not been shown as there is nothing to report.

C.2 Exposures deriving from principal "third party" securitisations, analysed by type of asset securitised and by type of exposure

Type of underlying assets/Exposure	Cash exposures					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/write-backs	Book value	Adjustments/write-backs	Book value	Adjustments/write-backs
- performing residential mortgages	9,101	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	286	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	96,047	6,790	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-

(cont.)

Type of underlying assets/Exposure	Credit lines					
	Senior		Mezzanine		Junior	
	Book value	Adjustments/write-backs	Book value	Adjustments/write-backs	Book value	Adjustments/write-backs
- performing residential mortgages	-	-	-	-	-	-
- non-performing residential mortgages	-	-	-	-	-	-
- performing no residential mortgages	-	-	-	-	-	-
- non-performing no residential mortgages	-	-	-	-	-	-
- leasing performing	-	-	-	-	-	-
- leasing non-performing	-	-	-	-	-	-
- other performing loans	2,100	-	-	-	-	-
- other non-performing loans	-	-	-	-	-	-
- performing securities	-	-	-	-	-	-

The parts of the table relating to guarantees given have not been shown as there is nothing to report.

C.3 SPV for securitisation

Name of the securitisation /SPV	Head office	Consolidation	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Mutina s.r.l.	Modena	Equity method (art.19 CRR)	29,273	-	965	-	-	28,034

The Mutina SPV is wholly-owned by the Parent Company, but it has not been consolidated line-by-line because from 30 June 2015 the Bank standardised the scope of consolidation for accounting purposes with the scope for supervisory purposes.

C.4 Unconsolidated SPVs for securitisation

Name of the securitisation /SPV	Head office	Consolidation	Assets			Liabilities		
			Loans	Debt securities	Other	Senior	Mezzanine	Junior
Estense Finance s.r.l.	Conegliano (TV)	9,9%	610,586	-	97,927	467,484	-	132,632
Estense SME s.r.l. in liquidazione	Conegliano (TV)	9,9%	-	-	68	-	-	-

C.5 Servicer activities - collection of securitised loans and reimbursement of securities issued by the SPV for securitisation

SPV	Securitised assets (at year end)		Loan collections during the year		Percentage of securities redeemed (at year end)					
					Senior		Mezzanine		Junior	
	Non-performing loans	Performing loans	Non-performing loans	Performing loans	Non-performing loans	Performing	Non-performing loans	Performing	Non-performing loans	Performing
Mutina s.r.l.	25,053	-	3,046	-	100%	-	-	-	46.51%	-

E. Transfers

A. Financial assets sold but not derecognised in full

Qualitative information

BPER Bank did not carry out any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

Quantitative information

E.1 Financial assets sold but not derecognised: book value and full value

Technical forms/Portfolio	Financial assets held for trading			Financial assets designated at fair value through profit and loss		
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)
A. Cash assets	**55,502**	**-**	**-**	**-**	**-**	**-**
1. Debt securities	55,502	-	-	-	-	-
2. Equity instruments	-	-	-	-	-	-
3. UCITS units	-	-	-	-	-	-
4. Loans	-	-	-	-	-	-
B. Derivatives	**-**	**-**	**-**	**#**	**#**	**#**
Total 31.12.2016	**55,502**	**-**	**-**	**-**	**-**	**-**
- of which: impaired	-	-	-	-	-	-
Total 31.12.2015	**6,521**	**-**	**-**	**-**	**-**	**-**
- of which: impaired	-	-	-	-	-	-

All of the amounts shown in the table refer to assets sold and held as collateral for funding repurchase agreements.

(cont.)

Technical forms/Portfolio	Financial assets available for sale			Financial assets held to maturity		
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)
A. Cash assets	**3,544,848**	**-**	**-**	**1,054,075**	**-**	**-**
1. Debt securities	3,544,848	-	-	1,054,075	-	-
2. Equity instruments	-	-	-	-	-	-
3. UCITS units	-	-	-	-	-	-
4. Loans	-	-	-	-	-	-
B. Derivatives	**-**	**-**	**-**	**#**	**#**	**#**
Total 31.12.2016	**3,544,848**	**-**	**-**	**1,054,075**	**-**	**-**
- of which: impaired	-	-	-	-	-	-
Total 31.12.2015	**1,726,687**	**-**	**-**	**905,737**	**-**	**-**
- of which: impaired	-	-	-	-	-	-

(cont.)

Technical forms/Portfolio	Due from banks			Loans to customers			Total	
	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)	Financial assets sold and recognised in full (book value)	Financial assets sold and recognised in part (book value)	Financial assets sold and recognised in part (full value)	31.12.2016	31.12.2015
A. Cash assets	119,155	-	-	-	-	-	4,773,580	2,659,031
1. Debt securities	-	-	-	-	-	-	4,654,425	2,638,945
2. Equity instruments	#	#	#	#	#	#	-	-
3. UCITS units	#	#	#	#	#	#	-	-
4. Loans	119,155	-	-	-	-	-	119,155	20,086
B. Derivatives	#	#	#	#	#	#	-	-
Total 31.12.2016	119,155	-	-	-	-	-	4,773,580	#
- of which: impaired	-	-	-	-	-	-	-	#
Total 31.12.2015	20,086	-	-	-	-	-	#	2,659,031
- of which: impaired	-	-	-	-	-	-	#	-

E.2 Financial liabilities for financial assets sold but not derecognised: book value

Liabilities/portfolio assets	Financial assets held for trading	Financial assets designated at fair value through profit and loss	Financial assets available for sale	Financial assets held to maturity	Due from banks	Loans to customers	Total
1. Due to customers	10,102	-	67,143	33,332	-	-	110,577
a) for assets recorded in full	10,102	-	67,143	33,332	-	-	110,577
b) for assets recorded in part	-	-	-	-	-	-	-
2. Due to banks	45,370	-	3,417,195	1,122,758	119,155	-	4,704,478
a) for assets recorded in full	45,370	-	3,417,195	1,122,758	119,155	-	4,704,478
b) for assets recorded in part	-	-	-	-	-	-	-
Total 31.12.2016	55,472	-	3,484,338	1,156,090	119,155	-	4,815,055
Total 31.12.2015	6,509	-	1,726,811	969,723	20,086	-	2,723,129

B. Financial assets sold and not derecognised in full with recognition of continuing involvement

Qualitative information

BPER Bank did not carry out any sales for which it would have to provide information in accordance with IFRS 7 § 7, 42D letters a), b), c) and § 42H.

E.4 Covered Bond transactions

Introduction

GBB issues are foreseen by BPER Banca Group's strategic plan as a means of diversification of funding sources, of reduction of related costs and of lengthening of maturities of liabilities. In particular, guaranteed bank bond issues are extremely appealing at a time when market yields are very low, also thanks to the institutional intervention of the ECB through its programmes of GBB purchases (CBPP3).

On 8 February 2011, the Board of Directors launched the structuring of a first programme for the issue of guaranteed bank bonds ("GBB1"), based on a collateralised portfolio of residential mortgage loans pursuant to art. 7-*bis* of Law 130 of 30 April 1999 ("Law 130/99"), the Ministry of Economy and Finance's Decree no. 310 of 14 December 2006 (the "MEF Decree") and the regulatory provisions of the Bank of Italy of 24 March 2010 (the "Rules" and, together with Law 130/99 and the MEF Decree and each subsequent amendment, the "Regulations").

On 3 March 2015 the Board of Directors launched the structuring of a second programme for the issue of guaranteed bank bonds ("GBB2"), based on a collateralised portfolio of residential and commercial mortgage loans, as already mentioned in the Directors' report on Group operations.

The basic structure of a guaranteed bank bonds issue

"Guaranteed Bank Bonds", also known as "Covered Bonds", may be issued under a scheme which envisages:

- the sale by a bank, which may differ from the bond issuer, to a special purpose vehicle of high credit quality assets and which constitute segregated assets pursuant to the applicable provisions of Law 130/99;
- the selling bank or another bank granting a subordinated loan to the assignee company to provide the assignee with the funding required to purchase the assets;
- the issue of a guarantee by the assignee company in favour of the bondholders, up to the amount of the segregated assets.

High credit quality assets are intended to mean loans that meet the selection criteria defined by the Regulations and related contracts (the "Eligible Assets").

Key elements of the BPER Banca Group's Programmes for the issue of Covered Bonds

The BPER Banca's Covered Bond Programmes (the "Programmes") have been structured as follows:

- the sale without recourse to Estense Covered Bond s.r.l. (the "SPV" or "Estense Covered Bond") for GBB1, and to Estense CPT Covered Bond s.r.l. (the "SPV" or "Estense CPT Covered Bond") for GBB2, initially just by BPER Banca and then, during the Programmes, also by other Group Banks, of assets with a high credit quality, which constitute segregated assets pursuant to Law 130/99;
- the provision to the assignee SPVs, by BPER Banca and other Group Banks that will eventually join the programmes as selling banks, of subordinated loans to provide the assignees with the funding required to purchase the assets sold;
- the issue by the SPVs, up to the amount of the segregated assets, of guarantees in favour of the holders of the Guaranteed Bank Bonds issued by BPER Banca.

Although they are presented as Group programmes, the initial and subsequent transactions only involved BPER Banca as the selling bank, the understanding being that BPER Banca will always take on the role of issuing bank. Only at a later stage, after an expert assessment of the risks and opportunities, is it

expected that other Group Banks will join the Programmes as selling banks to sell additional Eligible Assets.
The portfolios of Eligible Assets involved in the initial sales are composed of loans originating from residential mortgage loans for GBB1 and of residential and commercial mortgage loans for GBB2, which meet the requirements of the Regulations. These portfolios were identified based on general and specific criteria indicated in the sale agreements. Additional portfolios of Eligible Assets may include mortgage loans that meet the requirements of the Rules and any subsequent additional eligible assets referred to in article 2, paragraph 3, points 2 and 3 of the MEF Decree.
The sale prices of the portfolios is determined, as laid down in the Provisions, with reference to their book values in the latest financial statements approved by BPER Banca with a view to specific sale dates or by having the sale price certified by the Independent Auditors. The sale prices so determined are subject to adjustment to take account of movements on the loans between the financial year end and the date of sale. More specifically, the sale prices shall be adjusted to take account of the collection of the capital element of the loans in the intervening period and the payment of contractually agreed interest in the same period.

The sale of the portfolios - without recourse and under the combined provisions of articles 1 and 4 of Law 130/99 and art. 58 of the CFA - is communicated to the mortgage holders by publishing a notice of sale by the seller with the above selection criteria in the Official Journal and by filing the same notice of sale with the Registrar of Companies. Further formalities are also carried out for privacy legislation purposes (Legislative Decree no. 196/2003).
The mortgage holders maintain a direct operational relationship with BPER Banca - or, in the case of sale of Eligible Assets by other selling banks that will join the Programmes, with the other Group Banks that the mortgage holders originally obtained the loans from - since the two SPVs have given BPER Banca responsibility for managing and administering the loans sold and the related collection and payment services (servicing activities), with BPER Banca having the power to grant a sub-proxy to the pertinent selling banks to perform servicing activities for the portfolios sold.
This, in accordance with the Regulations, is in order to minimise the commercial impact with the mortgage holders and, at the same time, to optimise the operational management of each portfolio which, in fact, remains in the hands of the assignors.
At predetermined dates and based on specific operational and market situations, BPER Banca, in the role of Calculation Agent, will perform assessment tests to compare the portfolios sold with the bonds issued, aimed at verifying the adequacy of the guarantees issued with reference to specific legal parameters and the parameters set by the Programmes' documentation based on indications provided by rating agencies, on which the credit rating assigned to the Guaranteed Bank Bonds depends.
In the case of non-compliance with one or more of the required parameters, it will be necessary to add to the portfolios sold by selling further Eligible Assets. The portfolios can be added to by using the SPVs' liquid funds or by further drawdowns of the subordinated loans granted by BPER Banca (or by the other selling banks) to the two SPVs.
Other initiatives are required in the case of violation of contractual conditions, up to the extreme consequences of enforcement of the guarantees provided by the SPVs in the case of an Event of Default by the Issuer (for example, *default* in repayment of principal or non-payment of interest on the Covered Bonds).
Moreover, on predetermined dates, the functions responsible for supervising the Bank's risk management verify the quality and integrity of the assets provided as collateral for Covered Bonds issued.

The structure of the Programmes, as outlined, permits the creation of segregated assets (consisting of the Eligible Assets assigned from time to time to the SPVs), to serve as a preferred guarantee for the Covered Bond holders, for the counterparties to derivative contracts entered into under the Programmes to hedge the risks inherent in the portfolios of transferred Eligible Assets and for the payment of other transaction costs.
Normally, the charges for payment and redemption of the Covered Bonds remain with the Issuer and, only when there is an Event of Default by the Issuer will automatic protection mechanisms be activated to protect the investors.
In further support of the financial structure, provision has been made for swaps with one or more external counterparties selected on the market and with an appropriate credit standing in line with the eligibility criteria required by rating agencies. The purpose of these contracts is to transform the interest flow produced by the loan portfolios sold so as to make them consistent with that incurred on the bonds issued.
In particular, among the various options available, it is normally envisaged that two separate swap derivative contracts will be entered into:

- asset swap: under this contract, the SPV will pay the swap counterparty the flow received as interest on a notional amount represented by a portion of segregated assets and determined by taking into account the outstanding amount of the liability represented by the Guaranteed Bank Bonds issued and will collect from it a flow corresponding to Euribor for the period plus or minus a Spread applied to the same notional amount for the reference period;
- liability swap: under this derivative the SPV will receive from the swap counterparty a fixed rate equal to the coupon of the related series of Guaranteed Bank Bonds and will pay thereto a flow corresponding to Euribor plus or minus (as appropriate) a Spread applied to an amount equal to the nominal value of the corresponding series of Guaranteed Bank Bonds.

These contracts can be linked to back-to-back swap agreements between the swap counterparties and BPER Banca, a situation that currently exists in the case of the third, fourth and fifth issue of the GBB1 Programme.
In this respect, it should be noted that the first issue of the GBB1 Programme was redeemed on 22 January 2014, whereas the second issue, redemption of which should have taken place in April 2015, was redeemed early on 12 January 2015. For the third, fourth and fifth issue, which bear a fixed interest rate, it was necessary to execute liability swap agreements. Lastly, the sixth issue bears a floating interest rate and, thus, has no associated liability swap.
The financial mechanism allows, on the one hand, BPER Banca, as selling bank, to maintain a financial position as desired and consistent with its Asset & Liability Management strategies and, on the other hand, the SPV, as guarantor, in the Event of the occurrence of an Event of Default of the Issuer, to cover the costs of the Guaranteed Bank Bonds by trading them for the expected return on portfolio of loans sold.
The first and second issue of the GBB2 Programme also envisage a floating rate and did not therefore need any hedging by derivatives.

The GBB1 Programme

The GBB1 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to be carried out in a number of issues over time, by 31 December 2018 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).

The first series of Guaranteed Bank Bonds with par value of Euro 750 million was issued on 1 December 2011 and was redeemed on 22 January 2014, after the sale on 2 November 2011 by BPER Banca to Estense Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the Regulations for a nominal value of Euro 1.1 billion, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential mortgage loans provided in accordance with mortgage lending legislation;
- concluded by 31 December 2010;
- final instalment due after 31 December 2012;
- *ratio* of outstanding debt to the value of secured property, estimated at the payment date, lower than 80%.

Based on these general assumptions, a second issue of Guaranteed Bank Bonds was completed on 25 June 2012 for a total of Euro 300 million, with a maturity of three years at a floating rate. This was after another Euro 546 million of residential mortgage loans, again originated exclusively by BPER Banca, were transferred to the vehicle company Estense Covered Bond s.r.l. on 4 May 2012, essentially attributable to the "production" of 2011. The new issue has been carefully sized to take into account the possible implications of the earthquake in May 2012 on the value of the collateral.
Based on these same general assumptions, on 10 July 2013, a further Euro 680 million of residential mortgage loans was sold, with these originating solely from BPER Banca or from other Group banks merged into the Parent Company. On 12 January 2015 the second series of GBB was all repaid early.

On 15 October 2013, a third issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market. This issue was then reopened on 24 February 2014 for a further Euro 250 million.
On 23 July 2014, another Euro 501 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 22 January 2015, a fourth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 7 years, all of which was placed on the market.
On 28 April 2015, another Euro 1,074 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.

On 29 January 2015, a fifth issue of Guaranteed Bank Bonds was completed for an amount of Euro 750 million, at a fixed rate and with a tenor of 5 years, all of which was placed on the market.
On 28 January 2016, another Euro 1,086 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 31 May 2016, a sixth issue of Guaranteed Bank Bonds was completed for an amount of Euro 500 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
On 27 July 2016, another Euro 310 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
The subordinated loan granted by BPER Banca to Estense Covered Bond s.r.l., under the form of a credit facility to finance the purchase of the assigned portfolios currently amounts to Euro 5 billion. Notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance

the purchase of additional portfolios (both in connection with new issues or for the purpose of adding to segregated assets) and with a remuneration that guarantees a return to the transferor of the yield on the segregated mortgage loans, albeit residual with respect to payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby. In this regard it should be noted that in October 2014 drawdowns of the subordinated loan had been reduced to Euro 250 million, as a first partial early redemption was made taking advantage of part of the principal generated by the loan portfolio sold. Subsequently, in October 2015 and again in January, April and July 2016, an additional Euro 250 million, Euro 120 million, Euro 250 million and Euro 250 million respectively, were reimbursed, again drawing on the resources of the principal generated by the loan portfolio sold.
The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated from the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with BNP Paribas Securitisation Services, either in Italy or the UK, since this is a third party with appropriate rating.

Counterparties involved in the GBB1 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Principal Paying Agent and Calculation Agent: BPER Banca.
Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.

Arranger: The Royal Bank of Scotland plc (RBS).
Joint Lead Manager of the Third series of bonds issued: RBS, Citibank, Mediobanca, Société Générale, UBS.
Joint Lead Manager of re-opening of the Third series of bonds issued: Citibank, Raiffeisen Bank International.
Joint Lead Manager of the Fourth series of bonds issued: RBS, BNP Paribas, Natixis, Nomura International plc., UNICREDIT Bank AG.
Joint Lead Manager of the Fifth series of bonds issued: RBS, Banca IMI, Credit Suisse International, Raiffeisen Bank International, Société Générale.
Lead Manager of the Sixth series of bonds issued: RBS
Guarantor: Estense Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Italian Paying Agent, Cash Manager and Account Bank: BNP Paribas Securities Services (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Liability Swap counterparty: for the third and fourth issue, RBS; for the fifth issue, Credit Suisse International.
Legal advisor to BPER Banca: Studio Legale Linklaters.

Asset Monitor and Pool Auditor: Deloitte & Touche s.p.a.
Independent Auditors of the special purpose vehicle: PricewaterhouseCoopers s.p.a.
Rating agencies: Moody's Investor Services.

In 2012, the role of Back Up Servicer (BUS) was added to the structure of this transaction and is being performed by Italfondiario s.p.a.; the aim was to make the transaction more robust, also based on the indications received to that effect from the counterparty to the asset swap and from the Rating Agency.

The GBB2 Programme

The GBB2 Programme provides for the issue of Covered Bonds up to a maximum of Euro 5 billion, to take place in a number of issues over time, by 31 December 2025 at latest (subject to the obligations for annual renewal of the prospectus prepared in compliance with EU regulations).
The first series of Guaranteed Bank Bonds with par value of Euro 625 million was issued on 16 December 2015, after the sale on 17 September 2015 by BPER Banca to Estense CPT Covered Bond s.r.l. of a portfolio of loans that met eligibility requirements under the regulations for a nominal value of Euro 870 million, selected on the basis of the criteria outlined above and having the following main characteristics:

- residential and commercial mortgage loans;
- granted by 31 December 2014;
- final instalment due after 31 December 2015;
- *ratio* of outstanding debt to the value of secured property, revalued close to the date of sale, up to a maximum of 80% for residential mortgage loans and up to a maximum of 60% for commercial mortgage loans.

The first bond issue of Euro 625 million was fully subscribed by BPER Banca in order to increase the collateral for refinancing operations with the European Central Bank.
On 23 June 2016, another Euro 478 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
On 1 August 2016, a second issue of Guaranteed Bank Bonds was completed for an amount of Euro 200 million, at a floating interest rate, with a tenor of 4 years and which was self-subscribed.
Lastly, on 21 November 2016, another Euro 411 million of residential mortgage loans, originated exclusively by BPER Banca or by other Group banks absorbed by Parent Company in the meantime, were sold on the basis of the same general assumptions.
The subordinated loan granted by BPER Banca to Estense CPT Covered Bond s.r.l., under the form of a credit facility, to finance the purchase of the assigned portfolios, amounted to Euro 2 billion, notwithstanding BPER Banca's right to increase the amount of the subordinated loan granted to finance the purchase of additional portfolios (both in connection with new issues or for the purposes of adding to segregated assets) and with a yield that guarantees a return to the transferor of the yield on the segregated mortgage loans within segregated assets, albeit residual with respect to the payment of the SPV's operating expenses; thus making the sale essentially neutral from an economic standpoint.
Repayment of this loan is linked to the gradual reimbursement of the Guaranteed Bank Bonds that, in turn, will allow the release of the loan portfolio or the cash collections generated thereby.

The liquidity generated by the portfolio may - within legal limits - also be used for suitable investments or deposits, based on BPER Banca's indications as Investment Agent. It may not, however, in view of the inadequate level of rating, be entrusted to BPER Banca. Accordingly, cash generated by the portfolio of sold Eligible Assets - for which BPER Banca will remain as Servicer - are transferred to current accounts with Citibank N.A., either in Italy or the UK, since this is a third party with an appropriate rating.

The specific financial feature of the GBB2 Programme is a different structural technique which, in the event of the Parent Company's *default* and under other circumstances foreseen in the GBB2 Programme, makes it possible to transform the repayment plan of the Covered Bonds according to the loan portfolio amortisation schedule given in guarantee. This eliminates the financial risk associated with a forced and peremptory liquidation of this portfolio, thereby transforming the outstanding Covered Bonds into securities similar to pass-through securities issued as part of securitisation transactions. In this way, the risk profile of a *default* on the Covered Bonds is clearly attenuated, making it possible to obtain a higher rating.

Counterparties involved in the GBB2 Programme

Issuing Bank, initial Selling Bank, Servicer, Investment Agent, Primary Paying Agent and Calculation Agent: BPER Banca.

Any other seller banks that could join the Programme:

- Banco di Sardegna s.p.a.;
- Banca di Sassari s.p.a.;
- Cassa di Risparmio di Bra s.p.a.

Arranger: Finanziaria Internazionale Securitisation Group s.p.a.
Initial Dealer of the first series of bonds issued: Banca Finanziaria Internazionale s.p.a.
Lead Manager of the Second series of bonds issued: RBS
Guarantor: Estense CPT Covered Bond s.r.l.
Representative of the Bondholders (RoB): Securitisation Services s.p.a.
Subsequent Paying Agent, Cash Manager and Account Bank: Citibank N.A. (both Italian and London branches).
Corporate Servicer: Securitisation Services s.p.a.
Guarantor Calculation Agent: Securitisation Services s.p.a.
Legal advisor to BPER Banca: Jones Day Studio Legale.
Asset Monitor and Pool Auditor: Deloitte & Touche s.p.a.
Independent Auditors of the special purpose vehicle: PricewaterhouseCoopers s.p.a.
Rating agencies: Moody’s Investor Services.

The requirements for Issuers

According to the Rules, Guaranteed Bank Bonds may be issued by banks belonging to banking groups that have:

- Own Funds not lower than Euro 250 million;
- Total Capital Ratio at consolidated level not lower than 9%.

These requirements must be satisfied, on a consolidated basis, even by selling banks, where the latter, as provided for by the Programmes' structure, differ from the bank issuing the Guaranteed Bank Bonds. In the case of banks belonging to the same group, reference should be made to consolidated figures.

With reference to the figures at 31 December 2016, the Own Funds of the BPER Banca Group, calculated under the transitional arrangements ("Phased in"), amount to Euro 4,958 million and the Total capital Ratio is equal to 15.21%.

Limits on the sale of Eligible Assets

The Provisions set limits to the possibility for banks to sell Eligible Assets, which are based on the level of their Tier 1 (T1) and Common Equity Tier 1 (CET1) Ratio.
Sale restrictions refer to total transactions of this kind made by a banking group. Banking groups are classified into three categories, with corresponding specific limits as shown below:

- "a" band: for banking groups with T1 Ratio equal to or higher than 9% and CET1 Ratio equal to or higher than 8%, for which there are no sale limits;
- "b" band: for banking groups with T1 Ratio equal to or higher than 8% and CET1 Ratio equal to or higher than 7%, for which there is a sale limit of 60% of appropriate assets.
- "c" band: for banking groups with T1 Ratio equal to or higher than 7% and CET1 Ratio equal to or higher than 6%, for which there is a sale limit of 25% of appropriate assets.

At 31 December 2016, the Tier 1 Ratio was 13.89% and the Common Equity Tier 1 Ratio 13.80% (Phased in).

Organisational structure and procedures

The structuring process for the GBB Issue Programmes meant organising a team to coordinate the activities of all the departments involved. In this regard, a specific structure was set up, the Structured Finance Management Office, which acts as coordinator of the interfunctional team, taking care to involve all the structures involved in the management process of the Covered Bonds. To supervise the structuring process and management of the Programmes, including when it is fully operational, a specific Group Regulation has been prepared followed by a Group Organisational Procedure.

Accounting, capital and tax impact

With the issue of the GBB, BPER Banca, as initial selling bank and any subsequent selling banks will retain substantially all the risks and benefits of the transferred assets as:

- they are required to reinstate, in line with several alternatives, the collateral should the value of assets sold deteriorate and their value fall below the thresholds set by contract;
- the repayment of the subordinated loan granted to the special purpose vehicle is linked to the performance of the secured assets.

The primary objective of creating a special purpose vehicle and the sale of eligible assets thereto is, in fact, to legally segregate, by means of a without recourse sale contract, the selling bank's assets within a separate Legal Entity. These assets, segregated in this manner, are subject to a restriction as to their use pursuant to Law 130/99 for the protection, among others, of the holders. Thus, the holders of Covered Bonds benefit, on the one hand, from the general guarantee represented by the issuer's capital and on the other, from the guarantee issued by the SPV in respect of the segregated portfolio for which they have priority creditor rights. This structure of "dual protection" facilitates the creation of conditions for a potential reduction in funding costs.
The overall risk profile of BPER Banca as initial selling bank and that of any further selling banks is not altered in any way.
The same regulatory provisions stipulate that the selling banks retain the same capital requirement that they are already required to comply with, in respect of the assets sold, prior to the sale. The transactions, therefore, do not qualify for derecognition: the selling banks must continue to recognise the transferred assets in their entirety in the balance sheet and the considerations received from the sale must be accounted for as opposite entries to the financial liabilities due to the SPVs (IAS 39, § 29).
In turn, these liabilities must be shown net of the subordinated loans granted to the vehicles, due to the principle of substance over form: it is as if the purchase of loans by the SPVs had never taken place.

The subordinated loans are not taken into consideration for the purposes of counterparty risk; these loans must not, in fact, be considered, as the credit risk is already reflected in the valuation of the mortgage loans being sold.
As regards the impact at consolidation level, it should be noted that both the SPVs are BPER Banca Group's entities, as the Parent Company has a 60% holding; they are therefore subject to consolidation, although limited to their own results and financial position.
Finally, regarding the tax implications, consistent with the dictates of art. 7 *bis*, Law 130/99, all taxes and dues are payable as though the sales of the loans had never taken place.
Again, to ensure that the operation was neutral for tax purposes, it was established, as foreseen in art. 7 *bis*, paragraph 7 of Law 130/99, that the sale price would be equal *"to the latest carrying amount of the loans"*, or as certified by the Independent Auditors of the selling Bank.

More specifically, the book value is adjusted for "endogenous variables", that is, cash collected from the loans in the intervening period and contractual interest accruing in the same period. This is also consistent with the regulatory provisions laid down by the Rules as described previously.
As for the other components that could affect the configuration of the carrying amount, i.e. amortised cost and collective impairments (given that they are performing loans), it has been considered in line with the principles of relevance, pertinence and materiality to assume that their value is equal to the one shown in the latest approved and audited financial statements, or the sale price specifically certified by the auditors of the selling Bank.

The risks associated with the transaction

The GBB1 and GBB2 Programmes involve some financial and other risks, subject to analysis and monitoring by the Risk Management and Compliance functions and, specifically with regard to the risks of fraud and unintentional errors in financial reporting, by the Manager responsible for preparing the Company's financial reports. In summary the main risk profiles can be summarised as follows:

- Interest rate risk. In the structure of a Covered Bond, the interest rate risk originates from the different characteristics of interest rates on Guaranteed Bank Bonds and on the portfolio of secured assets. These risks are mitigated by hedging derivatives put in place from time to time with market counterparties.
- Credit risk. In the structure of a Covered Bond, credit risk is attributable to the quality of loans sold by each Selling Bank in the cover pool. Given this risk, the rating agencies, in order to attribute to the Covered Bonds the maximum rating possible, require a level of over-collateralisation which is also linked to the quality of the cover pool.
- Counterparty risk. The counterparty risk is the possibility that the creditworthiness of counterparties involved in the transaction, in other words, the swap counterparties and the non Group bank, with which the SPV has its accounts, may worsen to the point of creating a liquidity problem, with the result that the cover pool funds that flow into the accounts of the SPV or payments made in connection with the swaps are retained by the same counterparties. This risk is mitigated by the involvement of high rated counterparties and the existence of clauses, in the relevant ISDA and CSA contracts as well as in the "Cash Management and Agency Agreement", according to which, in the case of downgrading of the counterparties, they will be immediately replaced.
- Liquidity risk. An issue of "bullet" Covered Bonds with a cover pool relating to mortgage loans with a given repayment plan entails the need for dynamic management of the cover pool itself. The funds received from the collection of capital instalments on the mortgage loans relating to

the cover pool may have to be, in fact, reinvested in new mortgage loans with similar characteristics. If the Group does not have eligible mortgages available to be sold to supplement the cover pool (or to replace non-performing mortgages), it would be forced to pay cash or eligible securities, impacting negatively on Counterbalancy Capacity (the limit set by the Rules for these assets is 15%).

- Compliance risk. The articulate and accurate external legislation regulating Guaranteed Bank Bonds, together with management and internal operating rules, require a precise and formal structuring of activities under the Programmes, both during the up front and on going phases. The analysis of compliance requirements has been performed by the Compliance function.
- Reputational risk. Reputational risk is the possibility that the failure by BPER Banca to fulfil certain obligations arising from its role in the Programmes adversely affects the credibility and image of the Group on the market, resulting in a significant economic and financial impact. In addition to the risks outlined above, already existing at the inaugural issue, there are aspects associated with the multi-originator characteristic of the Programmes, which will be formally integrated into the body of the contract and management processes, as and when other Group Banks join the Programmes as originators.
- Risk of financial inadequacy. The regulatory provisions, in the discipline of Guaranteed Bank Bonds, in relation to the complexity of the contractual profiles and the possible impact on the technical structure of these transactions, require, among other things, a careful assessment of the impact on the financial stability of the bank. The analysis of the projects by the Board of Directors, highlighted:
    - regarding the impact on results, the transactions would have led to, with reference to available market data, a lower cost of funding compared with equivalent senior transactions and this would have allowed start-up costs to be fully covered, already in the first year, as well as to cover ongoing costs for the period. Under current market conditions, this original estimate may be considered highly conservative;
    - regarding the impact on the financial position, having valued the portfolio of eligible residential or commercial mortgage loans, at Group level, there was an assumed plan for 7 and 10 year issues respectively, for the first and second Programme, so as to have appropriate margins for restoration of the cover pool, if necessary, without this having an impact on the Group's financial position or commercial practices.

These findings have allowed the Board to determine that the transactions do not negatively affect the financial stability of the bank and of the Group as a whole.

Organisational and management aspects of special purpose vehicles

With regard to organisational and management aspects of special purpose vehicles (in order to assess their adequacy in relation to the role assigned them) and the contracts entered into as part of the Programmes, "Reports on the transferee company" have been prepared by external legal consultants, in order to ensure that the contracts entered into as part of the Programmes contain clauses that ensure the regular and efficient performance of functions by the assignees, as required by the Regulations.

Assessment of legal aspects of the Programmes for Issue of Guaranteed Bank Bonds

Studio Legale Linklaters and Studio Legale Allen & Overy, for the GBB1 and GBB2 Programme respectively, also issued reports to assess the legal aspects of the activities involved in the Programmes in accordance with the Rules. The reports contain a thorough assessment of legal structures and contractual arrangements used, with particular attention to the characteristics of the guarantees given by the assignee companies and the overall relationships between and among the participants in the Programmes.

Annual assessment of the Programmes for Issue of Guaranteed Bank Bonds by Asset Monitor

Note that, in accordance with the terms of relevant regulations, the asset monitor – in this case Deloitte & Touche s.p.a. – performs annual reviews of the Programmes' *status* and issues a report to the Board of Directors, the Board of Statutory Auditors and the Bank's Internal Audit Function.

As of to date, reviews have been performed for 2011, 2012, 2013, 2014 and 2015 without any significant findings emerging.

Quantitative information relating to loans sold

GBB1 Programme

1. Movements

Description	31.12.2016
Opening balance	**3,006,994**
Increases	**1,502,446**
Purchase of loan portfolio	1,396,066
Other changes:	106,380
- Interest income accrued on loans	98,071
- *Default* interest	214
- Penalties and various recoveries	114
- Revenue from IAS adjustments	7,978
- Out-of-period income from bad loans	-
- Write-backs of loan provisions	-
- Recovery of expenses on bad loans	3
Decreases	**638,610**
Collections from customers	601,027
Other changes:	4,073
- Loan provisions	3,967
- Loan losses	62
- Charges due to IAS adjustments	44
Repurchases by the Originator	33,510
Closing balance	**3,870,830**

2. Breakdown by residual life

Residual life of securitised loans	31.12.2016
Up to 3 months	229
Between 3 and 12 months	3,174
From 1 to 5 years	156,442
Over 5 years	3,712,406
Unspecified duration	11,061
Total	**3,883,312**

3. Concentration of risk

Amount by category (Euro)	Number of customers	31.12.2016
0 - 25.000	4,936	73,122
25.000 - 75.000	19,814	998,108
75.000 - 250.000	20,939	2,505,099
sopra 250.000	878	306,983
Total		**3,883,312**

The loans balance is gross of loan provisions and IAS adjustment.

As of 31 December 2016, debtors sold are for the most part resident in Italy and the loans are denominated in Euro.

GBB2 Programme

1. Movements

Description	31.12.2016
Opening balance	**800,930**
Increases	**918,748**
Purchase of loan portfolio	888,791
Other changes:	29,957
- Interest income accrued on loans	26,429
- *Default* interest	109
- Penalties and various recoveries	154
- Revenue from IAS adjustments	2,754
- Out-of-period income from bad loans	511
- Write-backs of loan provisions	
Decreases	**216,548**
Collections from customers	211,086
Other changes:	5,462
- Loan provisions	4,227
- Charges due to IAS adjustments	1,235
Repurchases by the Originator	-
Closing balance	**1,503,130**

2. Breakdown by residual life

Residual life of securitised loans	31.12.2016
Up to 3 months	199
Between 3 and 12 months	5,852
From 1 to 5 years	148,512
Over 5 years	1,350,802
Unspecified duration	9,130
Total	**1,514,495**

3. Concentration of risk

Amount by category (Euro)	Number of customers	31.12.2016
0 - 25.000	884	13,745
25.000 - 75.000	4,256	215,374
75.000 - 250.000	5,719	728,808
sopra 250.000	780	556,568
Totale		**1,514,495**

The loans balance is gross of loan provisions and IAS adjustment.

As of 31 December 2016, debtors sold are for the most part resident in Italy and the loans are denominated in Euro.

Section 2 – Market risk

2.1 Interest rate risk and price risk - Trading portfolio reported for supervisory purposes

The Group's organisation provides for centralisation of the market risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

Qualitative information

A. General aspects

As a primary activity, the Group trades on own account.
The portfolio comprises all of the financial instruments acquired for trading purposes or for hedging a risk factor inherent to the portfolio.
"For trading purposes" is understood as being the purchase of financial instruments with the following features:

- exposure to managed risk factors (interest rate risk and price risk, exchange rate risk, issuer risk, counterparty risk and liquidity risk);
- trading done prevalently on active markets;
- securities issued by operators of prime standing.

The trading portfolio is managed according to exposure to the interest rate risk deriving from the overall asset-liability structure and, as a rule, does not include complex or innovative derivatives.
The trading portfolio comprises all those financial instruments not purchased with the aim of achieving equilibrium of the asset-liability structure, but with a view to contributing to the results of the year, optimising the overall risk-yield profile.
The size of the trading portfolio is closely linked to the liquidity position.
Arbitrage and short-term speculative activity with regard to listed derivatives are marginal with respect to routine trading on own account. The objective of the investment strategy underlying trading in these financial instruments is to maximise the overall risk/yield profile via appropriate diversification.
The Parent Company makes medium term speculative investments in stock markets, in commodity derivatives, in mutual funds and, to a marginal extent, in hedge funds. This activity is however just a small part of the transactions carried out in the bond markets.
The trading portfolio governance process is centralised in BPER Banca to respond to the needs of central oversight of market risk and greater efficiency of Group investment processes.
This process implies that the individual Group banks remain responsible for optimisation of the yield from liquidity through treasury transactions with BPER Banca or, alternatively, by investing in floating rate or fixed rate bonds issued by the Bank.
In this way, the governance of market risk has been centralised by the Parent Company on the basis of decisions taken by the ALCO and Finance Committee, which is chaired by the Chief Executive Officer.

B. Management and measurement of interest rate risk and price risk

The Group's system of daily checking is consistent with market standards. Value at Risk (VaR) techniques are used to measure market risk.

VaR represents the estimated maximum potential loss, determined based on probabilities, that may be suffered by the aggregate concerned over a given time horizon (depending on the degree of liquidity of the portfolio) at a pre-determined level of probability (consistent with the investor's degree of risk aversion).

The methodology used to calculate the VaR belongs to the "variance-covariance" class of models (which approximates well the level of risk inherent in the aggregates analysed, as long as the transactions with a non-linear pay-off comprise only a minimal part of the portfolio), whereby the overall risk depends on the sensitivity of each position to changes in market factors, the volatility of their yields and the degree of correlation between them. The methodologies used to monitor market risks also include a sensitivity analysis based on parallel shifts in the market rate curves.

Currently, the daily calculation of VaR makes reference to two distinct time horizons, in order to meet both regulatory and operational requirements. An analysis is performed with a 10-day time horizon and a 99% confidence interval in order to satisfy the Bank of Italy's requirements (see Bank of Italy's Circular no. 285 dated 17 December 2013 and subsequent amendments) for models that are used to calculate capital adequacy in relation to market risk. This is supported by a further analysis with the same confidence interval, but with a daily time horizon, both to monitor the dynamics of market risk in relation to the Bank's portfolio and to provide a consistent dataset for the recognition of profits and losses for this aggregate. This model is only used for internal management purposes and is not involved in the calculation of the capital adequacy requirements regarding market risk.

The interest rate and price risk control process is centralised at BPER Banca and is carried out by the Risk Management Unit. Periodic information is assured by the distribution of specific daily and monthly reports.

The monitoring and control of interest rate risk of the trading portfolio aims to mitigate the risk in question, by defining certain limits (sensitivity, stop loss and position), in respect of the various risks borne, for portfolios managed by the appropriate Group structure. Limits are checked on a daily basis by the Financial Risk Department.

The daily monitoring and control of the price risk associated with the trading portfolio for supervisory purposes is performed via Value-at-Risk (VaR) analyses. Specifically, the risk related to shares is estimated for each position with respect to a global or sector benchmark index, while the estimate for individual funds is made with reference to a set of risk factors that reflect the management strategy adopted. The overall risk is then determined with reference to the volatility and the correlation between the various risk factors.

The Group's Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

Quantitative information

3. Interest rate risk - Trading portfolio reported for supervisory purposes: internal models and methodologies for the analysis of sensitivity

The VaR readings determined over time horizons of ten days and one day are set out below, in relation to the rate risk associated with the trading portfolio reported for supervisory purposes at 31 December 2016.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 1 day Confidence interval: 99%	
Type of operations	Present value	VaR	Var/Present Value	VaR	Var/Present Value
BOT	-	-	0.00%	-	0.00%
BTP	54,622	131	0.24%	42	0.08%
CCT	-	-	0.00%	-	0.00%
Other government securities	14,610	126	0.86%	40	0.27%
Bonds	269,342	3,392	1.26%	1,073	0.40%
Mutual funds and SICAVs	45,449	66	0.15%	21	0.05%
Derivatives/Transactions to be settled	(148)	7,528	-5086.49%	2,381	-1608.78%
Effect of diversification		(4,674)		(1,478)	
Total portfolio 2016	**383,875**	**6,569**	**1.71%**	**2,079**	**0.54%**
Total portfolio 2015	**503,983**	**7,024**	**1.39%**	**2,221**	**0.44%**

The value of the trading portfolio at 31 December 2016 given a parallel shift of +/- 100 basis points (sensitivity analysis) is set out below.

	+100 bps	-100 bps
31 dec 2016	22,156	(16,812)
31 dec 2015	17,933	(20,661)

3. Price risk - Trading portfolio for supervisory purposes: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the trading portfolio reported for supervisory purposes at 31 December 2016.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 10 days Confidence interval: 99%	
Type of operations	**Present value**	**VaR**	**Var/Present Value**	**VaR**	**Var/Present Value**
Equities	79,231	5,019	6.34%	1,587	2.00%
Mutual funds and SICAVs	45,449	1,653	3.64%	523	1.15%
Derivatives/Transactions to be settled	21,830	-	0.00%	-	0.00%
Effect of diversification	-	(331)		(105)	
Total portfolio 2016	**146,510**	**6,341**	**4.33%**	**2,005**	**1.37%**
Total portfolio 2015	**111,895**	**7,618**	**6.81%**	**2,409**	**2.15%**

2.2 Interest rate risk and price risk - Banking book

Qualitative information

A. General aspects, management and measurement of interest rate risk and price risk

Interest rate risk represents the potential impact of unexpected changes in market rates on current profits and the equity value of the Parent Company. This risk typically affects the positions included in the banking book.
The exposure to interest rate risk can be further analysed into:

- income risk;
- investment risk.

Income risk derives from the possibility that an unexpected change in interest rates may reduce net interest income, being the difference between interest received and interest paid. This risk is measured by maturity gap models and depends on:

- the mismatch in the maturity structures of lending and funding, in cases where the related assets and liabilities are remunerated at fixed rates until final maturity;
- the mismatch of the review periods for rate conditions, in the case of floating-rate assets and liabilities.

The timing mismatches mentioned above expose BPER Banca to:

- refinancing risk: the risk arising when the average maturity period (period until the next rate review) is shorter for funding than for lending. In this case, the Bank is exposed to possible increases in interest rates (the Bank is Liability Sensitive);

- reinvestment risk: the risk arising when the average maturity period (period until the next rate review) is shorter for lending than for funding. In this case, the Bank's net interest income will decline if interest rates fall (the Bank is Asset Sensitive).

Investment risk derives from the possibility that adverse changes in the value of all assets, liabilities and off-balance sheet instruments held by the Bank, following changes in interest rates, may destabilise the equilibrium of the balance sheet. This risk is measured by duration gap and sensitivity analysis techniques.
The following types of interest rate risk are identified:

- *Repricing Risk:* risk associated with differences in the maturities (fixed rate) and the repricing dates (floating rate) of the assets and liabilities held in the portfolio.
- *Yield Curve Risk:* risk associated with changes in the gradient and shape of the yield curve.
- *Refixing Risk:* risk associated with the timing of changes in market parameters, for floating rate positions. More specifically, this is the risk that rate of rise in interest rates is more marked in the refixing periods for funding than in those for lending.
- *Basis Risk:* risk arising from the imperfect correlation between the indexation parameters for lending and funding, or from unfavourable changes in the gradient of the curve.
- *Optionality Risk:* risk associated with "explicit" or "embedded" options embedded in the banking book's assets and liabilities (e.g. cap/floor/collar, loan prepayment options).

BPER Banca monitors at both consolidated and Legal Entity level the impact that unexpected changes in market interest rates might have on the positions in the banking book, considering both current profits (sensitivity of net interest income) and the economic value of shareholders' equity:

- standpoint of current profits: the purchase of considering the impact on current profits is to evaluate interest risk with reference to the sensitivity of net interest income to rate changes over a given period of time. Adverse changes in net interest income potentially affect the financial stability of a bank by weakening its capital adequacy. The change in net interest income depends on the various types of risk;
- standpoint of economic value: changes in interest rates may affect the economic value of the Parent Company's assets and liabilities. The economic value of a bank is represented by the present value of its expected cash flows, defined as the sum of the present value of the cash flows to be generated by its assets, liabilities and positions in derivatives. By contrast with the standpoint of current profits, that of economic value identifies the risk generated by the repricing or maturity gap over a long time horizon.

The objectives to be pursued in support of the proper management of interest rate risk are:

- reduce the adverse effects of the volatility of net interest income (standpoint of current profits). The stability of net interest income is principally influenced by the yield curve risk, repricing risk, basis risk and optionality risk;
- immunise the economic value, being the sum of the present values of all the expected cash flows, generated by both sides of the balance sheet. By contrast with the standpoint of current profits, the standpoint of economic value takes a medium-long term view and is principally associated with the repricing risk;
- ensure compliance with the related organisational requirements envisaged by the domestic and international supervisory bodies.

The model for the governance of rate risk is based on the following principles:

- consistency with BPER Banca's current business model in terms of autonomy and the coordination of the commercial and lending policies of Group companies;
- allocation to BPER Banca of powers to manage and coordinate, in order to ensure consistency in the overall governance of rate risk and compliance with regulatory requirements;
- segregation between governance processes and the management of rate risk.

The model for the management of interest rate risk focuses on the following measures of risk:

- sensitivity of net interest income;
- sensitivity of economic value.

Analysis of the sensitivity of net interest income identifies the impact of changes in interest rates as a result of parallel and other shocks.
The Bank calculates the sensitivity of net interest income holding rates and volumes constant. According to this model amounts maturing are reinvested on the assumption of constant volumes, rates and maturities.
The following shocks are considered:

- parallel shock of + 100 bps;
- parallel shock of +/- 50 bps;
- parallel shock of - 25 bps.

The indicator is calculated at both Group and Legal Entity levels.

Analysis of the sensitivity of economic value identifies the impact on the value of shareholders' equity of parallel and other shocks to the yield curve. This change is calculated by discounting all the cash flows using two different yield curves: the current curve at the analysis date and that following the shock, and comparing the two values.

$$\Delta VA = VA_{(\mathrm{Curve1})} - VA_{(\mathrm{Curve2})}$$

In order to incorporate the phenomenon known as prepayment of loans[3], in measuring the sensitivity of economic value, a model was adopted according to which the amount of capital prepaid on a loan is estimated through a percentage of early repayment on the capital outstanding during the reference period. The percentage of prepayment defined in this way is maintained constant for the whole duration of the loan.
For the calculation of sensitivity, demand balances outstanding with customers are simulated using an econometric model which identifies a portfolio that replicates them, by allocating demand funding (lending) to a portfolio of liabilities (assets) with an identified effective repricing profile.

In addition to the risk measures mentioned above, the capital absorbed in relation to interest rate risk is also calculated. Sensitivity analysis is applied in order to estimate the capital absorbed, consistent with the standardised approach envisaged by the Supervisory Authorities. Under this approach, the capital absorbed in relation to the banking book's interest rate risk is the change in the economic value (defined as the present value of expected cash flows) caused by a rate shock of 200 basis points.

[3] *Prepayment can be defined as a total or partial early repayment of the residual loan by the borrower.*

With regard to price risk, the banking book mainly comprises shares, mutual funds and SICAVs classified as available for sale or measured using the Fair Value Option.
The portfolio is monitored using the VaR methodology described in the section entitled "Interest-rate risk and price risk – trading portfolio for supervisory purposes".
The Risk Management Department determines the exposure to exchange risk each day and summarises it monthly in a specific VaR report.

B. Fair value hedges

As mentioned earlier, the Bank arranges operational hedges against changes in fair value, which are recognised for accounting purposes using the Fair Value Option.
In this regard, the decisions made by the Parent Company concerning the scope of application of the fair value option, included in the "Guidelines for the application of the fair value option by the BPER Banca Group", envisage that - when deemed appropriate with reference to the results of interest risk monitoring - certain issues of debt instruments will be hedged via plain vanilla OTC derivative contracts.
The designation of these bonds as *"Financial liabilities at fair value"*, consistent with the requirements of IAS 39, simplifies the management and accounting process.

C. Cash flow hedges

In compliance with the law, the Bank decided to take advantage of the Hedge Accounting approach, when deemed appropriate.
In this regard, the decisions concerning the scope of application of cash flow hedges, included in the "Guidelines for the application of the fair value to financial instruments by the BPER Group", identify the area of application to the Group's assets and liabilities and provide that, when considered opportune based on the results of interest risk monitoring, certain floating-rate positions are to be hedged by means of plain vanilla OTC derivative contracts.
In the application of the fair value option, income statement recognition is given solely to the change in fair value attributable to the risk being hedged.

Quantitative information

2. Interest rate risk - Banking book: internal models and other methodologies for the analysis of sensitivity

Year end (31 December 2016) and trend data (minimum, average, maximum) for the year is provided below in relation to the change in the interest margin on the banking book following the application of a parallel shift of +/-50 basis points to the relevant interest rate curve.

	+50 bps	-50 bps
31 December 2016	**13,474**	**8,500**
maximum change	13,474	8,582
minimum change	(138)	2,533
average change	5,906	5,671
31 December 2015	**(3,442)**	**2,498**

Year end (31 December 2016) and trend data (minimum, average, maximum) for the year is provided below in relation to the change in the economic value of equity following the application of a parallel shift of +/-100 basis points to the relevant interest rate curve.

	+100 bps	-100 bps
31 December 2016	**(46,033)**	**(65,263)**
maximum change	(226,664)	(89,670)
minimum change	(46,033)	(39,120)
average change	(131,261)	(69,017)
31 December 2015	**(127,657)**	**(14,845)**

2. Price risk - Banking book: internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the price risk associated with the trading portfolio reported for supervisory purposes at 31 December 2016.

Descriptive data		VaR Time horizon: 10 days Confidence interval: 99%		VaR Time horizon: 10 days Confidence interval: 99%	
Type of operations	**Present value**	**VaR**	**Var/Present Value**	**VaR**	**Var/Present Value**
Equities	287,335	21,810	7.59%	6,897	2.40%
Mutual funds and SICAVs	193,226	12,173	6.30%	3,849	1.99%
Derivatives/Transactions to be settled	-	-	0.00%	-	0.00%
Effect of diversification	-	(882)		(279)	-
Total portfolio 2016	**480,561**	**33,101**	**6.89%**	**10,467**	**2.18%**
Total portfolio 2015	**390,265**	**30,220**	**7.74%**	**9,556**	**2.45%**

2.3 Exchange risk

Qualitative information

A. General aspects, management and measurement of exchange risk

The Bank is exposed to exchange risk as a consequence of routine borrowing and lending activities and, to a marginal extent, in relation to speculative activities.
The Parent Company's Risk Management Department determines the exposure to exchange rate risk each day and summarises it monthly in a specific VaR report.

B. Hedging of exchange risk

The Bank uses plain vanilla instruments for the operational hedging of exchange risk.

Quantitative information

1. Foreign currency assets, liabilities and derivatives

Captions	Currency					
	US Dollars	Sterling	Yen	Canadian Dollars	Swiss Francs	Other currency
A. Financial assets	**2,225,104**	**311,640**	**2,743**	**2,240**	**14,318**	**6,610**
A.1 Debt securities	2,013,648	278,190	-	-	-	-
A.2 Equity instruments	16,693	-	-	379	169	-
A.3 Loans to banks	35,365	31,929	972	1,351	3,724	6,534
A.4 Loans to customers	159,398	1,521	1,771	510	10,425	76
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	**3,085**	**1,159**	**62**	**410**	**1,235**	**676**
C. Financial liabilities	**2,114,930**	**270,929**	**4,061**	**4,559**	**4,793**	**15,261**
C.1 Due to banks	1,874,308	247,424	36	215	1,515	1,720
C.2 Due to customers	240,622	23,505	4,025	4,344	3,278	13,541
C.3 Debt securities	-	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	**1,675**	**35**	**-**	**-**	**17**	**3**
E. Financial derivatives						
- Options						
+ long positions	49,240	2,704	6,562	841	-	-
+ short positions	81,230	330	6,678	-	-	3,184
- Other derivatives						
+ long positions	310,731	6,528	7,951	1,550	839	26,873
+ short positions	377,811	55,604	11,602	105	11,596	15,524
Total assets	**2,588,160**	**322,031**	**17,318**	**5,041**	**16,392**	**34,159**
Total liabilities	**2,575,646**	**326,898**	**22,341**	**4,664**	**16,406**	**33,972**
Net balance (+/-)	**12,514**	**(4,867)**	**(5,023)**	**377**	**(14)**	**187**

2. Internal models and other methodologies for the analysis of sensitivity

The VaR determined over time horizons of ten days and one day is set out below, in relation to the exchange risk faced by the Bank at 31 December 2016.

	VaR Time horizon: 10 days Confidence interval: 99%	VaR Time horizon: 1 day Confidence interval: 99%
2016 figures	92,286	29,183
2015 figures	47,095	14,893

2.4 Derivatives

A. Financial Derivatives

A.1 Regulatory trading portfolio: notional values at the end of period

Underlying assets/Type of derivative	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Clearing house
1. Debt securities and interest rates	**4,396,151**	**1,022,954**	**5,127,152**	**1,144,474**
a) Options	990,420	106,921	1,284,873	150,926
b) Swaps	2,964,272	-	3,842,279	-
c) Forwards	-	-	-	-
d) Futures	-	916,033	-	993,548
e) Other	441,459	-	-	-
2. Equities and stock indices	**554**	**22,368**	**554**	**6,133**
a) Options	554	21,888	554	4,844
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	480	-	1,289
e) Other	-	-	-	-
3. Currency and gold	**788,847**	**4,743**	**1,116,747**	**11,482**
a) Options	303,994	4,743	401,609	11,482
b) Swaps	-	-	-	-
c) Forwards	484,853	-	715,138	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**14,048**	**-**	**4,913**
5. Other underlyings	**3**	**-**	**-**	**-**
Total	**5,185,555**	**1,064,113**	**6,244,453**	**1,167,002**

A.2 Banking portfolio: period-end values

A.2.1 For hedging

Underlying assets/Type of derivative	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rates	**4,248,650**	**-**	**3,070,563**	**-**
a) Options	-	-	-	-
b) Swaps	4,248,650	-	3,070,563	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
2. Equities and stock indices	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
3. Currency and gold	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**-**	**-**	**-**
5. Other underlyings	**-**	**-**	**-**	**-**
Total	**4,248,650**	**-**	**3,070,563**	**-**

A.2.2 Other derivatives

Underlying assets/Type of derivative	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
1. Debt securities and interest rate	**6,484,894**	**-**	**7,426,158**	**-**
a) Options	5,101	-	5,799	-
b) Swaps	6,479,793	-	7,420,359	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
2. Equities and stock indices	**265,110**	**-**	**265,412**	**-**
a) Options	265,110	-	265,412	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
3. Currency and gold	**-**	**-**	**-**	**-**
a) Options	-	-	-	-
b) Swaps	-	-	-	-
c) Forwards	-	-	-	-
d) Futures	-	-	-	-
e) Other	-	-	-	-
4. Goods	**-**	**-**	**-**	**-**
5. Other underlyings	**-**	**-**	**-**	**-**
Total	**6,750,004**	**-**	**7,691,570**	**-**

A.3 Financial derivatives: positive gross fair value - allocation by product

Portfolio/Types	Positive fair value			
	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
A. Trading portfolio for supervisory purposes	**111,300**	**398**	**109,392**	**-**
a) Options	10,351	398	12,202	-
b) Interest rate swaps	81,525	-	85,727	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	12,517	-	11,463	-
f) Futures	-	-	-	-
g) Other	6,907	-	-	-
B. Banking portfolio - for hedging	**59,767**	**-**	**35,715**	**-**
a) Options	-	-	-	-
b) Interest rate swaps	59,767	-	35,715	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
C. Banking portfolio - other derivatives	**94,000**	**-**	**102,780**	**-**
a) Options	9,297	-	9,497	-
b) Interest rate swaps	84,703	-	93,283	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
Total	**265,067**	**398**	**247,887**	**-**

A.4 Financial derivatives: negative gross fair value - allocation by product

Portfolio/Types	Negative fair value			
	31.12.2016		31.12.2015	
	Over the counter	Central counterparties	Over the counter	Central counterparties
A.Trading portfolio for supervisory purposes	**147,167**	**1,506**	**154,482**	**676**
a) Options	13,022	1,506	19,197	676
b) Interest rate swaps	120,547	-	129,585	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	8,275	-	5,700	-
f) Futures	-	-	-	-
g) Other	5,323	-	-	-
B. Banking portfolio - for hedging	**36,860**	**-**	**20,359**	**-**
a) Options	-	-	-	-
b) Interest rate swaps	36,860	-	20,359	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
C. Banking portfolio - other derivatives	**89,600**	**-**	**79,361**	**-**
a) Options	8,922	-	9,332	-
b) Interest rate swaps	80,678	-	70,029	-
c) Cross currency swaps	-	-	-	-
d) Equity swaps	-	-	-	-
e) Forwards	-	-	-	-
f) Futures	-	-	-	-
g) Other	-	-	-	-
Total	**273,627**	**1,506**	**254,202**	**676**

A.5 OTC financial derivatives: Trading portfolio for supervisory purposes - notional amounts, positive and negative gross fair values by counterparty - contracts not included in offset agreements

Contracts not included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	55,372	34,521	-	1,210,007	10,234
- positive fair value	-	-	399	1,731	-	52,883	173
- negative fair value	-	-	823	31	-	2,735	-
- future exposure	-	-	152	180	-	5,239	27
2) Equities and stock indices							
- notional value	-	-	1	-	-	553	-
- positive fair value	-	-	-	-	-	22	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	44	-
3) Currency and gold							
- notional value	-	-	4,007	-	-	391,613	2,554
- positive fair value	-	-	-	-	-	6,344	97
- negative fair value	-	-	211	-	-	10,165	7
- future exposure	-	-	40	-	-	4,042	25
4) Other instruments							
- notional value	-	3	-	-	-	-	-
- positive fair value	-	3	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-

A.6 OTC financial derivatives: Trading portfolio for supervisory purposes: notional amounts, positive and negative gross fair values by counterparty - contracts included in offset agreements

Contracts included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	2,734,737	254,578	-	96,702	-
- positive fair value	-	-	27,867	59	-	10,148	-
- negative fair value	-	-	110,614	17,630	-	-	-
2) Equities and stock indices							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
3) Currency and gold							
- notional value	-	-	318,090	72,583	-	-	-
- positive fair value	-	-	9,131	2,443	-	-	-
- negative fair value	-	-	4,605	346	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-

A.7 OTC Financial derivatives: banking book - notional amounts, positive and negative gross fair values by counterparty - contracts not included in offset agreements

Contracts not included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
2) Equities and stock indices							
- notional value	-	-	-	564	-	35,075	94,820
- positive fair value	-	-	-	12	-	-	-
- negative fair value	-	-	-	1	-	-	6,034
- future exposure	-	-	-	19	-	1,605	-
3) Currency and gold							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-

A.8 OTC financial derivatives: banking book: notional amounts, positive and negative gross fair value by counterparty - contracts included in offset agreements

Contracts included in offset agreements	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Debt securities and interest rates							
- notional value	-	-	9,986,268	747,276	-	-	-
- positive fair value	-	-	140,881	3,590	-	-	-
- negative fair value	-	-	114,159	3,515	-	-	-
2) Equities and stock indices							
- notional value	-	-	131,901	2,750	-	-	-
- positive fair value	-	-	9,283	-	-	-	-
- negative fair value	-	-	2,213	538	-	-	-
3) Currency and gold							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
4) Other instruments							
- notional value	-	-	-	-	-	-	-
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-

A.9 Residual life of OTC financial derivatives: notional values

Underlyings/Residual value	Within 1 year	Between 1 year up to 5 years	Over 5 years	Total
A. Trading portfolio for supervisory purposes	**1,424,331**	**1,802,111**	**1,959,113**	**5,185,555**
A.1 Financial derivatives on debt securities and interest rates	702,098	1,738,738	1,955,315	4,396,151
A.2 Financial derivatives on equities and stock indices	1	553	-	554
A.3 Financial derivatives on exchange rates and gold	722,232	62,820	3,795	788,847
A.4 Financial derivatives on other	-	-	3	3
B. Banking book	**468,676**	**5,764,295**	**4,765,683**	**10,998,654**
B.1 Financial derivatives on debt securities and interest rates	455,447	5,544,478	4,733,619	10,733,544
B.2 Financial derivative contracts on equity securities and stock indices	13,229	219,817	32,064	265,110
B.3 Financial derivatives on exchange rates and gold	-	-	-	-
B.4 Financial derivatives on other instruments	-	-	-	-
Total 31.12.2016	**1,893,007**	**7,566,406**	**6,724,796**	**16,184,209**
Total 31.12.2015	**3,463,759**	**7,408,863**	**6,133,964**	**17,006,586**

C. Financial and credit derivatives

C.1 OTC financial and credit derivatives: net fair value and future exposure by counterparty

	Governments and Central Banks	Other public entities	Banks	Financial businesses	Insurance companies	Non-financial companies	Other parties
1) Bilateral financial derivative agreements							
- positive fair value	-	-	54,718	1,206	-	10,148	-
- negative fair value	-	-	99,147	17,143	-	-	-
- future exposure	-	-	94,906	4,727	-	759	-
- net counterparty risk	-	-	109,229	4,891	-	10,907	-
2) Bilateral credit derivative agreements							
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
- net counterparty risk	-	-	-	-	-	-	-
3) Cross Product agreements							
- positive fair value	-	-	-	-	-	-	-
- negative fair value	-	-	-	-	-	-	-
- future exposure	-	-	-	-	-	-	-
- net counterparty risk	-	-	-	-	-	-	-

Section 3 - Liquidity risk

Qualitative information

The Group's organisation provides for centralisation of the liquidity risk control function at the Parent Company; consequently, the qualitative information set out below also reflects the individual position of BPER Banca.

A. General aspects, management and measurement of liquidity risk

The BPER Banca Group has a specific policy for the management of liquidity risk (Liquidity Policy Handbook), as well as the plan for emergencies covering the objectives, processes and strategies for action (Contingency Funding Plan).

1. Liquidity Policy Handbook

This document establishes the Group's policy for the efficient governance of liquidity under normal conditions, formalising:

- the governance model in terms of the parties involved in the risk governance process and their roles and responsibilities;
- limits and mitigating actions aimed at risk containment;
- risk management methods, through the establishment of rules, procedures and metrics for the measurement and monitoring of liquidity and funding risk;
- the Stress Test model adopted to evaluate the exposure to liquidity risk under stress scenarios;
- the funding plan process for the optimisation of the governance of long term liquidity.

Liquidity risk typically crystallises in the form of failure to meet payment obligations; it may take various forms, depending on the circumstances in which the risk arises. With reference to the definitions adopted at international level, a distinction is made between funding liquidity risk and market liquidity risk.
Funding liquidity risk is the risk that the Parent Company will not be able to make, in an efficient manner, expected and unexpected cash payments, both current and future, nor will it be able to meet collateral obligations, without an adverse effect on current operations or its financial position.
Market liquidity risk, on the other hand, is the risk that the Parent Company is not able to sell a financial asset without incurring a capital loss due to poor liquidity or disorder in the reference market.
These two forms of liquidity risk are often highly correlated, and may crystallise as a result of the same underlying factors. Market liquidity risk is usually considered to be a type of market risk (price risk); accordingly, the processes and rules for measuring, controlling and mitigating liquidity risk focus on the funding risk aspect, consistent with the related regulatory requirements[4].

In the context of funding risk, a distinction is made between:

---

[4] *Basel Committee: "Principles for Sound Liquidity Risk Management and Supervision" (Sept. 2008), EBA: "Guidelines on Liquidity buffer & Survival Periods" (Dec. 2009), EBA: "Guidelines on Liquidity Cost Benefit Allocation" (Oct. 2010).*

- mismatch liquidity risk, being the liquidity risk implicit in the structure of the Parent Company's assets and liabilities due to the transformation of maturities typical of financial intermediaries, when the profile of cash outflows is not perfectly matched by the profile of cash inflows (with reference to contractual maturities and routine behaviour);
- contingency liquidity risk, being the risk that future events may require access to significantly more liquidity than previously planned by the Parent Company; in other words, this is the risk of not being able to settle sudden and unexpected payment commitments in the short or very short term.

The sources of liquidity risk fall into two macrocategories:

- endogenous: sources that originate from specific adverse events resulting in the market losing confidence in the Bank. Such specific adverse events might include a rating downgrade or other events that cause the market to lose confidence.
  A downgrade might result in:
  - reduced access to the market for unsecured funds (e.g. commercial paper) by institutional investors;
  - a reduction in or cancellation of interbank lines of credit, or even the withdrawal of deposits by Retail customers.

  The downgrade or the widespread market perception of a deterioration in the solidity of banks (which may arise from other risks, such as major losses on the trading book or on the portfolio of loans) might also result in a higher liquidity requirement; for example, an increase in the margin calls and guarantees required, or the need to finance assets that can no longer be sold or converted into securities via securitisations;
- exogenous: sources that originate from adverse events caused by market shocks that are not directly controllable; these sources of risk depend directly on the ability of the market to allocate the available resources in accordance with the specific circumstances. Exogenous sources might include such systemic events as political and financial crises, catastrophic events etc. that cause a liquidity crisis in the market.

BPER Banca Group's liquidity risk governance model has the following objectives:

- to enable the Parent Company to remain solvent both in the ordinary course of business and under crisis conditions;
- to follow the guidance provided by the Supervisory Authorities, while taking account of the Parent Company's specific operating characteristics;
- to ensure a level of liquidity that enables the Parent Company to meet its contractual commitments at any time, while also optimising the cost of funding in relation to current and expected market conditions.

The BPER Banca Group's governance model is based on centralised governance of liquidity and the related risk. In particular, the Parent Company BPER Banca:

- is responsible for liquidity policy;
- governs both short-term and medium-long term liquidity;
- defines and governs the funding plan;
- monitors and manages liquidity risk.

The above governance model is based on the following principles:

- segregation between the processes of Liquidity Management and Liquidity Risk Controlling;

- development of processes for the management and control of liquidity risk that are consistent with the Group's reporting structure and by using the governance model formalised by the policy;
- communication of decisions and clear division of responsibilities between management, control and operational bodies;
- compliance of the processes for the management and monitoring of liquidity risk with guidance provided on prudential supervision.

The updates of the Liquidity Policy Handbook are approved by the Board of Directors of the Bank following examination thereof by the Risk Committee. The Handbook is then adopted by the Board of each Bank/Group Company covered by the policy.
Pursuit of the above objectives takes account of the following aspects:

- segregation of responsibilities and roles between the internal functions responsible for managing liquidity and those responsible for managing liquidity risk;
- measurement of the exposure to liquidity risk, according to the Liquidity Risk Mismatch Model;
- definition of a Group Contingency Funding Plan that establishes the liquidity policy to be followed in a crisis scenario caused by endogenous and/or exogenous factors.

The Liquidity Policy Mismatch Model is based on the liquidity policy and on the metrics and tools aimed at managing liquidity risk; split into short-term liquidity and medium-long term liquidity. In particular:

- the purpose of managing short-term (operational) liquidity risk is to manage the events affecting the Group's liquidity position over time horizons from 1 day to 1 year, with the paramount objective of maintaining the Group's ability to meet routine and special payment commitments, while minimising the related costs;
- the purpose of managing medium-long term (structural) liquidity risk, deriving from events that affect the Group's liquidity position over a time horizon in excess of one year, is to maintain a suitable dynamic between medium-long term assets and liabilities, while avoiding pressure on the current and future sources of short-term liquidity and, at the same time, optimising the cost of funding.

The metrics for monitoring short-term liquidity risk include:

- calculation of the liquidity mismatch having regard for the assets that can be promptly converted to cash, comprising the portfolio of eligible and marketable securities, as well as any reserves under the form of working capital;
- maintaining the lending-funding maturing in the various time bands within a cumulative limit expressed in absolute terms; daily checking for internal operational purposes and weekly checks using the methodologies defined by the Supervisory Authorities.

The metrics for the monitoring of structural liquidity risk include calculation of the liquidity mismatch which, operationally, involves:

- calculating the gap ratios between assets and liabilities in the time bands that exceed one year;
- the use of statistical/quantitative behavioural models for items without contractual maturities or which are subject to options;
- the performance of periodic Stress Tests which, based on the application of endogenous and exogenous shock scenarios, generate deterministic and/or probability-based indicators of risk.

The Group's liquidity position is monitored both under normal conditions and at times of stress: scenario analysis is carried out once a month by the Risk Management Department. When carrying out stress analyses, the scenarios are constructed with reference both to systemic events (Market Stress Scenario) and to events specific to BPER Banca (Name Crisis Stress Scenario), as well as a combination of the two (Composite Scenario). In view of the macroeconomic context, commercial policies and possible changes in customer behaviour.

2. Contingency funding plan

The Contingency Funding Plan formalises the process of liquidity management under stress or crisis scenarios. The business functions responsible for monitoring and managing liquidity risk must be able to carry out their activities both under normal conditions and at times of stress and/or liquidity crises that are unlikely to occur, but which would have a significant impact.
BPER Banca Group's governance model, which is defined in the Liquidity Policy Handbook, envisages the centralised governance of liquidity. In view of this, BPER Banca - as the lender of last resort for all Group subsidiaries - guarantees their short, medium and long term solvency and is responsible for activating the Contingency Funding Plan, regardless of where in the Group the liquidity crisis arises.
The purpose of the document is to safeguard the net assets of the Bank at the early stages of liquidity stress and to guarantee the Group's continuity in the event of a serious and/or prolonged liquidity crisis, by:

- defining a process for the identification and monitoring of risk indicators that signal and measure the stages in a liquidity crisis;
- identifying ex ante a system of predetermined but flexible actions to be implemented in the early stages of a crisis;
- determining the roles and responsibilities of each business function involved in activating the Group's Contingency Funding Plan;
- identifying the internal regulations that may be invoked to justify the actions of the BPER Banca Group's management, which at a time of crisis must be authorised to modify on a timely and perhaps radical basis the structure of the assets and liabilities in the balance sheet.

A state of liquidity crisis is defined as a situation in which a Group finds it difficult or impossible to settle the cash payments falling due, except by activating procedures and/or using tools with an intensity or in a manner not envisaged as part of ordinary administration.
Liquidity crises fall into two broad categories:

- systemic or "market driven" liquidity crises generated by market, political or macroeconomic crises;
- specific liquidity crises or "name crises" limited to the Group or to one or more Group companies/banks.

Considering the types of liquidity crisis and their scale, three operational scenarios have been identified:

- ordinary course of business;
- state of stress;
- state of crisis.

Depending on the scenario, the actions required and the functions involved in its management can be identified.
The operational scenario faced by the Group is identified by monitoring the system of Early Warnings, which comprises a series of indicators that flag the scenario with reference to progressive levels of

stress/crisis associated with one or more drivers. Depending on the level of stress/crisis identified, monitoring and/or communications procedures are activated in preparation for implementing procedures designed to manage the state of stress or state of crisis concerned.

The Contingency Funding Plan and its revisions must be approved by the Board of Directors of the Parent Company.

Quantitative information

1.1Time breakdown by contractual residual maturity of financial assets and liabilities - Currency: Euro

Items/Time period	On demand	From 1 to 7 days	From 7 to 15 days	From 15 days to 1 month	From 1 to 3 months	From 3 to 6 months	From 6 months to 1 year	From 1 to 5 years	Over 5 years	Unspecified duration
Cash assets	**6,620,558**	**468,023**	**834,680**	**2,282,661**	**2,526,650**	**1,918,982**	**4,313,974**	**14,931,782**	**13,118,640**	**576,337**
A.1 Government securities	-	-	-	9,594	33,266	136,158	182,032	1,704,469	1,989,157	-
A.2 Other debt securities	27	55	13,853	22,993	164,935	76,683	97,248	2,231,591	2,047,675	-
A.3 UCITS units	236,922	-	-	-	-	-	-	-	-	-
A.4 Loans	6,383,609	467,968	820,827	2,250,074	2,328,449	1,706,141	4,034,694	10,995,722	9,081,808	576,337
- Banks	871,129	71,309	24,625	76,077	263,179	81,994	7,616	16,072	678	576,337
- Customers	5,512,480	396,659	796,202	2,173,997	2,065,270	1,624,147	4,027,078	10,979,650	9,081,130	-
Cash liabilities	**24,892,136**	**2,469,204**	**1,173,372**	**386,360**	**1,523,014**	**1,359,173**	**1,727,277**	**9,269,499**	**2,409,801**	**-**
B.1 Deposits and current accounts	24,395,549	269,535	879,777	238,881	401,664	496,538	445,096	-	1	-
- Banks	1,373,729	214,674	800,000	86,518	-	-	-	-	-	-
- Customers	23,021,820	54,861	79,777	152,363	401,664	496,538	445,096	-	1	-
B.2 Debt securities	29,782	58,277	77,587	127,650	595,881	712,567	1,104,963	3,559,913	1,179,925	-
B.3 Other liabilities	466,805	2,141,392	216,008	19,829	525,469	150,068	177,218	5,709,586	1,229,875	-
"Off-balance sheet" transactions										
C.1 Financial derivatives with exchange of capital										
- Long positions	-	231,247	14,677	33,610	79,988	61,471	54,375	25,359	1,978	-
- Short positions	-	88,070	5,733	31,015	88,492	64,594	49,208	13,624	1,892	-
C.2 Financial derivatives without exchange of capital										
- Long positions	92,011	-	-	-	-	-	-	-	-	-
- Short positions	130,381	-	-	-	-	-	-	-	-	-
C.3 Deposits and loans to be received										
- Long positions	-	2,062,791	-	-	-	-	-	-	-	-
- Short positions	-	1,937,779	-	-	125,012	-	-	-	-	-
C.4 Irrevocable commitments to make loans										
- Long positions	11,407	-	-	-	790	13,787	4,518	274,211	139,734	-
- Short positions	29,713	790	-	-	184,211	47,134	92,600	90,000	-	-
C.5 Financial guarantees given	-	-	-	-	-	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-

As required by the regulations, liquidity risk includes the self-securitisations carried out within the BPER Banca Group and outstanding in 2016, as shown below.

Estense Finance self-securitisation

During 2009, BPER Banca completed a securitisation of performing residential mortgages pursuant to Law 130 dated 30 April 1999, with a view to strengthening the funding available to tackle liquidity risks.
This operation involved the without-recourse sale of a block of no. 20,198 performing loans, comprising residential mortgages granted to developers and residential mortgages granted to home owners, totalling Euro 1,922,631,856, to Estense Finance s.r.l., a company formed pursuant to Law 130 that is 9.9% owned by the Bank.
The vehicle company financed the operation via issue of the asset-backed bonds described in the following table, all of which were taken up by BPER Banca.
In order to hedge the interest-rate risk associated with the issue of these bonds, the SPV has arranged an IRS contract with a leading financial institution. The originator has entered into an equal but opposite contract with this institution, in order to internalise the returns from the operation.
The objective of this operation, not involving the market, was to create a reserve of liquidity via the issue of securities eligible for refinancing with the ECB and for use as a guarantee for other funding transactions. It represents one aspect of the liquidity management activities arranged by BPER Banca.
The securities, which initially had a rating only from Standard & Poor's, have since been rated by a second agency, Fitch Ratings, as required by the subsequent changes in European regulations.
As structured, the sale does not transfer to third parties, with respect to the originator bank, the real credit risk associated with the underlying loans. Accordingly, pursuant to the provisions of IAS 39 on the subject of derecognition, the securitised loans remain classified as an asset in BPER Banca's balance sheet and are described in the Explanatory notes.

Classes	A	B	C
Issue amount	1,750,000,000	40,000,000	132,632,000
Currency	Euro	Euro	Euro
Maturity	24-Aug-48	24-Aug-48	24-Aug-48
Listing	Luxembourg Stock Exchange	Luxembourg Stock Exchange	Unlisted
ISIN Code	IT0004513542	IT0004513559	IT0004513567
Amortisation	Pass Through	Pass Through	Pass Through
Indexation	3-month Euribor	3-month Euribor	Not indexed
Spread	0.60%	2.50%	Residual
S&P's issue rating	AAA	A	Unrated
Fitch issue rating	Unrated	Unrated	Unrated
Current S&P rating	AA-sf	Asf	Unrated
Current Fitch rating	AA+sf	Asf	Unrated

The Senior Security is currently being amortised according to expectations. The residual nominal capital after the payment date of November 2016 amounted to Euro 427 million.

1.5 Time breakdown by contractual residual maturity of financial assets and liabilities - Currency: Other currencies

Items/Time period	On demand	From 1 to 7 days	From 7 to 15 days	From 15 days to 1 month	From 1 to 3 months	From 3 to 6 months	From 6 months to 1 year	From 1 to 5 years	Over 5 years	Unspecified duration
Cash assets	**67,857**	**6,846**	**31,149**	**21,910**	**80,080**	**30,155**	**170,513**	**1,879,633**	**374,686**	**-**
A.1 Government securities	-	-	-	-	300	3,210	3,509	437,500	30,300	-
A.2 Other debt securities	51	70	758	1,066	7,397	10,379	146,085	1,423,355	322,732	-
A.3 UCITS units	13,758	-	-	-	-	-	-	-	-	-
A.4 Loans	54,048	6,776	30,391	20,844	72,383	16,566	20,919	18,778	21,654	-
- Banks	33,046	3,872	25,065	2,736	4,333	3,361	7,788	-	-	-
- Customers	21,002	2,904	5,326	18,108	68,050	13,205	13,131	18,778	21,654	-
Cash liabilities	**300,546**	**193,073**	**156,756**	**309,715**	**1,450,064**	**413**	**1,519**	**19**	**-**	**-**
B.1 Deposits and current accounts	299,186	15,489	-	2,217	1,635	413	1,519	-	-	-
- Banks	25,274	15,489	-	1,840	-	-	-	-	-	-
- Customers	273,912	-	-	377	1,635	413	1,519	-	-	-
B.2 Debt securities	-	-	-	-	-	-	-	-	-	-
B.3 Other liabilities	1,360	177,584	156,756	307,498	1,448,429	-	-	19	-	-
"Off-balance sheet" transactions										
C.1 Financial derivatives with exchange of capital										
- Long positions	-	113,257	29,354	42,954	92,651	67,668	50,835	13,439	2,393	-
- Short positions	-	254,439	37,579	41,214	84,125	63,859	56,276	26,356	2,638	-
C.2 Financial derivatives without exchange of capital										
- Long positions	1,247	-	-	-	-	-	-	-	-	-
- Short positions	1,253	-	-	-	-	-	-	-	-	-
C.3 Deposits and loans to be received										
- Long positions	-	23,327	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	9,391	13,936	-	-	-	-
C.4 Irrevocable commitments to make loans										
- Long positions	281	346	-	-	-	-	-	-	-	-
- Short positions	281	346	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	-	-	-	-	-	-	-	-	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-
C.8 Credit derivatives without exchange of capital										
- Long positions	-	-	-	-	-	-	-	-	-	-
- Short positions	-	-	-	-	-	-	-	-	-	-

Section 4 – Operational risks

Qualitative information

A. General aspects, governance and measurement of operational risk

Operational risk is "the risk of losses due to inadequate or dysfunctional procedures, human resources or internal systems, or to exogenous events, including the legal risk[5]".
BPER Banca adopts the Traditional Standardised Approach (TSA) to calculate the individual capital requirement for operational risk. The Own Funds requirement is calculated using the standardised approach by determining the three-year average of the sum of the annual Own Funds requirement for the lines of business in which the relevant indicator was classified[6].

Note that, on the basis of the principles of organisational separation and independence of functions exercising second and third level control activities, it is envisaged that there is:

- a first level control of operational risk;
- a function that performs second level controls of operational risk within the Risk Management Department, part of the Credit and Operational Risk Management Unit;
- a function for third level controls that is attributed to the Internal Audit Department, in accordance with the Group's internal control system.

Operational risk management is based on the following principles:

- identification: operational risks are identified, highlighted and reported to senior management;
- measurement and assessment: the risk is quantified by determining the impact on business processes, inclusive of the financial impact thereon;
- monitoring: monitoring of operational risk and of exposure to significant losses is ensured, generating information flows that favour active risk management;
- mitigation: appropriate measures have been taken to mitigate operational risk;
- reporting: a reporting system has been set up to report on operational risk management.

The collection and storage of data relating to loss events deriving from operational risks, customer claims and legal disputes is done by means of the Group's Loss Data Collection process.
The process of Loss Data Collection is supported by special IT tools, which are under constant development, to ensure the integrity and quality of data.
The assessment of operational risk exposure, which is performed by means of risk self assessment methodology, is aimed at determining, with an annual time horizon and for significant operating segments:

- the extent of exposure to operational risk;
- an assessment of the adequacy of line processes and controls.

---

[5] *See (EU) Regulation 575/2013 of the European Parliament and the Council of 26 June 2013 on prudential requirements for credit institutions and investment companies (CRR) – Part one, Title I, art. 4. Legal risk is the risk of losses resulting from violations of laws or regulations, from contractual or extra-contractual liability or from other disputes.*
[6] *See CRR – Part three, Title III, Chapter 3, art. 317.*

In 2015, the Bank implemented an analytical framework for IT risk, in compliance with Circular no. 285 of 17 December 2013, with the aim of providing an overview of the current risk situation and of the remedial measures needed to avoid exceeding the risk appetite threshold.

In 2017, the Bank implemented a reputational risk management framework in accordance with applicable regulations and best practice to continuously oversee and monitor the risk and to mitigate any abnormal situations. With this purpose in mind, objectives and risk exposure and operational limits were established, given that there is no requirement to quantify internal capital in relation to reputational risk.
The Parent Company prepares detailed reports for senior management and the heads of central organisational units concerning the operational losses that occurred during the period and mitigating actions planned for their resolution and a report to the operational structures to make them aware of the losses incurred and of the anomalies to be mitigated.
Specific reporting requirements have also been established by the IT and reputational risk management framework.

Membership by the Bank of the DIPO consortium[7] allows the Bank to obtain feedback about the operational losses reported by the other Italian banks that are members. This feedback is used by the Bank to analyse positioning in comparison to that indicated by the system and as support for specific assessments of processes in order to implement any corrective measures that may be needed.
Operational risk management includes the various steps involved in the process of Business Continuity Management. This process is designed to maintain an appropriate level of attention regarding operational continuity and to avoid the progressive obsolescence of organisational measures (rules, impact assessment, scenarios, emergency measures, operating plans etc.) taken to ensure the continuity of critical business processes.

Quantitative information

The following is the distribution of the number of events and operating losses recorded in 2016, divided into the following risk categories:

- internal fraud: losses due to fraud, embezzlement or circumvention of regulations, laws or company policies, excluding incidents of discrimination or failure to apply equal treatment, which involves at least one internal resource of the entity;
- external fraud: losses due to fraud, embezzlement or violation/circumvention laws, by a third party;
- employment and safety at work: losses arising from acts not in compliance with laws or agreements in respect of employment, health and safety at work, from the payment of compensation for personal injuries or incidents of discrimination or failure to apply equal treatment;
- customers, products and business practices: losses arising from unintentional or negligent non-performance relating to professional obligations to specific clients (including fiduciary and suitability requirements), or from the nature or characteristics of the product;

[7] *Database Italiano Perdite Operative (Italian Database of Operational Losses) which the Bank has participated in since 2003. The DIPO observatory is a service provided by the Italian Banking Association designed to support the development of Operational Risk Management and to create a methodology for gathering and exchanging information on operational losses suffered by members.*

- damage to fixed assets: losses resulting from loss or damage to assets from natural disasters or other events;
- business interruption and system failures: losses arising from business interruption or system failures;
- performance, delivery and management of processes: losses due to weaknesses in the handling of transactions or management of processes, as well as losses due to relations with business partners and suppliers.

Figure 1 – Breakdown by Frequency

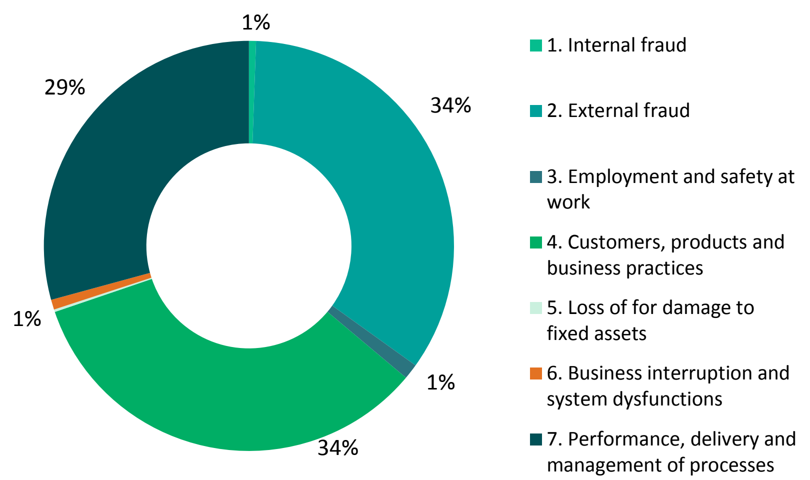
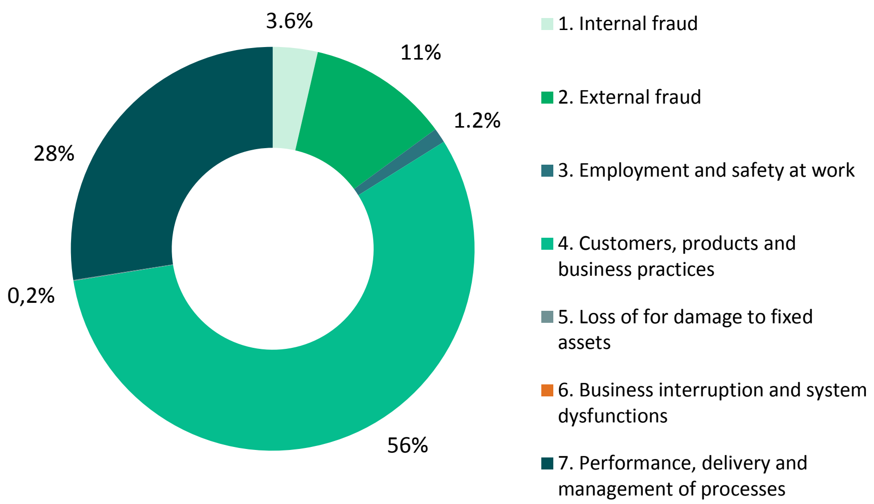


Figure 2 – Breakdown by Gross Actual Loss



An analysis of the graphs shows that the most relevant type of event in terms of frequency is:

- "External fraud" with 34% of the total frequency;
- "Customers, products and business practices", with 34% of the total frequency.

In terms of economic impact the most significant events related to:

- "Customers, products and business practices", with 56% of the total gross loss;
- "Performance, delivery and management of processes", with 28% of the total gross loss

Part F – Information on shareholders' equity

Section 1 – Shareholders’ equity

A. Qualitative information

Shareholders' equity comprises share capital and all types of reserve, together with the net profit for the year.

A . Quantative information

B.1 Shareholders' equity: breakdown

Captions/Amounts	31.12.2016	31.12.2015
1. Share capital	**1,443,925**	**1,443,925**
2. Share premium	**930,073**	**930,073**
3. Reserves	**2,307,997**	**2,192,709**
- income reserves	1,806,490	1,692,503
a) legal reserve	275,191	259,402
b) statutory reserve	475,498	443,920
c) reserve for treasury shares	139,764	139,765
d) other	916,037	849,416
- other	501,507	500,206
3.*bis* Advance on dividends	**-**	**-**
4. Equity instruments	**-**	**-**
5. (Treasury shares)	**(7,253)**	**(7,253)**
6. Valuation reserves	**(11,747)**	**33,640**
- Financial assets available for sale	85,636	114,930
- Property, plant and equipment	-	-
- Intangible assets	-	-
- Foreign investments hedges	-	-
- Cash-flow hedges	(68)	2,777
- Exchange differences	-	-
- Non-current assets and disposal groups held for sale	-	-
- Actuarial gains (losses) on defined-benefit pension plans	(97,369)	(84,121)
- Portion of valuation reserves relating to investments carried at equity	-	-
- Special revaluation laws	54	54
- Other	-	-
7. Net profit (loss)	**18,699**	**161,962**
Total	**4,681,694**	**4,755,056**

B.2 Valuation reserves for financial assets available for sale: breakdown

Assets/Amount	31.12.2016		31.12.2015	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	75,877	38,512	95,718	12,796
2. Equity instruments	47,452	981	36,476	4,346
3. UCITS units	2,868	1,068	1,200	1,322
4. Loans	-	-	-	-
Total	**126,197**	**40,561**	**133,394**	**18,464**

B.3 Valuation reserves for financial assets available for sale: change in year

	Debt securities	Equity instruments	UCITS units	Loans
1. Opening balance	**82,922**	**32,130**	**(122)**	**-**
2. Positive changes	**104,441**	**35,001**	**43,294**	**-**
2.1 Increases in fair value	60,230	17,222	3,220	-
2.2 Release of negative reserves to the income statement:	1,341	17,638	31,484	-
- from impairment	-	17,638	31,350	-
- from disposal	1,341	-	134	-
2.3 Other changes	42,870	141	8,590	-
3. Negative changes	**149,998**	**20,660**	**41,372**	**-**
3.1 Reductions in fair value	76,388	19,123	31,830	-
3.2 Impairment write-downs	-	-	-	-
3.3 Release of positive reserves to the income statement:				
- from disposal	53,248	12	3	-
3.4 Other changes	20,362	1,525	9,539	-
4. Closing balance	**37,365**	**46,471**	**1,800**	**-**

B.4 Valutation reserves about acturial gains (losses) on defined-benefit pension plans

Captions/Amounts	31.12.2016	31.12.2015
1. Opening balance	**(84,121)**	**(102,004)**
2. Positive changes	**5,025**	**24,715**
2.1 Actuarial gains	-	24,665
2.2 Other changes	5,025	50
3. Negative changes	**18,273**	**6,832**
3.1 Actuarial losses	18,273	-
3.2 Other changes	-	6,832
4. Closing balance	**(97,369)**	**(84,121)**

Section 2 - Own Funds and capital adequacy ratios

2.1 Own Funds

A. Qualitative information

The elements of Own Funds are:

- Common Equity Tier 1 - CET1;
- Additional Tier 1 - AT1;
- Tier 2 - T2.

CET1 and AT1 constitute Tier 1 Capital, which added to Tier 2 Capital leads to the determination of Own Funds.

1. Common Equity Tier 1 - CET1

Common Equity Tier 1 capital (CET1) is made up of positive and negative elements:

- Share capital and related share premiums;
- Revenue reserves;
- Positive and negative valuation reserves (from OCI);
- Other reserves;
- CET1 instruments subject to transitional provisions ("grandfathering");
- Prudential filters;
- Deductions.

Prudential filters are positive or negative adjustments of CET1, their purpose being to stabilise the balance sheet aggregate of reference as much as possible, reducing the potential volatility. The prudential filters exclude from CET1 the valuation reserve generated by cash flow hedges and gains/losses arising from changes in own creditworthiness (liabilities under the fair value option and derivative liabilities).
Deductions are negative elements of CET1 such as goodwill, intangible assets and other accounting items that directly reduce the Tier 1 capital component.

On a Fully Phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 28 CRR):

- they must be classified as equities for accounting purposes;
- they must have a perpetual duration, i.e. not have any maturity;
- they must not be subject to obligations in terms of remuneration;
- they must not be subject to distribution caps;
- any cancellation of distributions must not result in any kind of restriction on the issuer;
- they must be the first to absorb business losses as soon as they occur;
- they are the most subordinated instruments in the event of bankruptcy or liquidation of the entity in question;
- they must not enjoy any form of guarantee or contractual clause that can raise their level of seniority.

2. Additional Tier 1 - AT1

"Additional Tier 1 Capital" (AT1) consists of the following positive and negative elements:

- Equity instruments and related share premiums;
- AT1 instruments subject to transitional provisions ("grandfathering");
- Deductions.

On a Fully Phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 52 CRR):

- the instruments must be issued or the loans granted and fully paid up;
- the purchase of instruments or the assignment of subordinated loans cannot be paid for by the entity, neither directly nor indirectly;
- the capital receivable for these instruments or subordinated loans is fully subordinated to the receivables of all unsubordinated creditors;
- the instruments or subordinated loans are not hedged or covered by a guarantee that allows the receivable's ranking to be increased by the entity or its subsidiaries, Parent Company and any company that has close links with the entity;
- the instruments or subordinated loans are not subject to any provision that allows the receivable's ranking to be increased in any other way;
- the instruments or subordinated loans must have an original maturity of at least five years;
- the provisions governing the instruments or subordinated loans must not contain any incentive that encourages the entity to reimburse or repay the principal amount prior to maturity;
- if the instruments or subordinated loans include one or more call options, these may be exercised at the sole discretion of the issuer or obligor;
- the instruments or subordinated loans cannot be repaid or repurchased or repaid in advance earlier than five years from the date of issue or assignment;
- the provisions governing the instruments or subordinated loans must not indicate, expressly or implicitly, that they shall or may be redeemed, repurchased or repaid in advance by the entity in cases other than those of insolvency or liquidation;
- the provisions governing the instruments or subordinated loans must not give the holder the right to accelerate future scheduled payments of interest or principal, except in the event of insolvency or liquidation;
- the level of payments of interest or dividends due on these instruments or subordinated loans cannot be changed on the basis of the creditworthiness of the entity or its Parent Company.

As of 31 December 2016, the Parent Company BPER Banca had not issued any instrument which could be identifiable as Additional Tier 1 capital (AT1).

3. Tier 2 - T2

Tier 2 capital (T2) consists of the following positive and negative elements:

- Equity instruments, subordinated loans and related share premiums;
- T2 instruments subject to transitional provisions ("grandfathering");
- General adjustments;
- Deductions.

On a Fully Phased basis, the equity instruments listed above have to meet clearly defined requirements (art. 63 CRR):

- the instruments must be issued/assigned and fully paid up;
- the assignment of the instrument cannot be financed by the entity, neither directly nor indirectly;
- the capital receivable for these instruments has to be fully subordinated to the receivables of all unsubordinated creditors;
- the instruments cannot be hedged, nor subject to any form of guarantee;
- these instruments should not be subject to any provision that increases their credit ranking;
- the instruments must have an original maturity of at least five years;
- the provisions governing these instruments must not contain any kind of incentives that encourage the entity to reimburse or repay the principal prior to maturity;
- in the event that the instruments include in their rules one or more call or early repayment options, they can only be exercised at the discretion of the issuer or obligor;
- the provisions do not give the holder the right to accelerate future scheduled payments, except in the event of the entity's insolvency or liquidation;
- these instruments can be reimbursed, also in advance, but only in that the event that the entity asks for prior authorisation from the competent authority, and not earlier than five years from the date of issue, except in the following cases: a) the entity of reference replaces the above instruments with other instruments of Own Funds of equal or higher quality, at conditions that are sustainable considering its earning capacity, b) the entity can demonstrate that it complies with the minimum capital requirements imposed by the regulations to the satisfaction of the competent authority.

At 31 December 2016 the T2 instruments included the Group's subordinated loans covered by the grandfathering rules, since they were issued prior to the deadline of 31 December 2011 identified by the regulations, together with the "Banca popolare dell'Emilia Romagna Subordinated Tier II 4.25% 15/06/2016-15/06/2025 Callable" and "BPER Banca Tier II 4.60% 15/12/2016-15/12/2026 Callable" bonds.

Transitional arrangements

The new regulations also provide for transitional arrangements ("Phased in"), during which the provisions contained in Circular no. 285/2013 Section II are gradually introduced. The application to the capital requirements and grandfathering rules develops over a period more or less of 4 years (2014-2017) involving partial computability and, at the same time, a gradual exclusion of those equity instruments that do not meet all of the requirements laid down in the CRR.

Specific regulatory requirements

The Supervisory rules introduced by Circular no. 285/13 require Italian banks belonging to banking groups to fully comply with the following minimum ratios:

- CET1 of 4.5%;
- Tier 1 of 6%;
- Total Capital Ratio of 8%.

In addition to the mandatory requirements prescribed in the Regulations, the following requirements have also been added:

- Capital Conservation Buffer (CCB): this consists of Common Equity Tier 1 capital, acting as an additional requirement that under full application will be equal to 2.5%;
- Countercyclical Capital Reserve: this is also made up of Tier 1 capital and must be accumulated in periods of economic growth against possible future losses on the basis of a specific coefficient established on a national basis. On 23 September 2016, the Bank of Italy, in its capacity as the designated authority for the adoption of macroprudential measures for the banking sector, published a document with which it set the Countercyclical Capital Buffer (CCyB) for the fourth quarter of 2016 (on exposures to Italian counterparts) as 0%, confirming what had been done up to September 2016;
- Additional Reserves for so-called Global & Other Systemically Important Institutions (G-SII & O-SII): both consist of Tier 1 capital and make direct reference to entities of particular importance at a global or national level. The buffer for G-SII can vary between a minimum level of 1% and a maximum of 3.5%, whereas the one for O-SII only provides for a non-binding maximum threshold of 2%;
- Capital reserve for systemic risk: it is at least 1% of the related risk exposures and is established by each Member State; it is essentially used to mitigate the risk of non-cyclical macro-prudential long-term risk, i.e. to deal with the negative effects related to unexpected crises in the banking system.

The sum of regulatory requirements and additional reserves determine the minimum level of capital conservation required at individual level; for 2016, that level is as follows:

- CET1 of 5.125%;
- Tier 1 of 6.625%;
- Total Capital Ratio of 8.625%.

Failure to meet these ratios based on the sum of the reserves mentioned above ("Combined Requirement") leads to limitations on the distribution of earnings and the need to adopt a plan for the conservation of capital.

At the end of November 2015, the Parent Company received notification from the European Central Bank (ECB), in accordance with art. 16 of Regulation (EU) no. 1024/2013, of its decision on additional Own Funds (2015 SREP), requiring compliance with consolidated limits until 31 December 2016, in light of the communication of the new decisions made by ECB as part of the 2016 SREP that was received at the beginning of December 2016, effective as of 1 January 2017.
With these decisions pertaining to the 2015 and 2016 SREP processes, other than indications concerning the assigned limits for consolidated capital ratios, the ECB did not establish any specific limit for BPER Banca, but requested ongoing compliance with the regulatory limits.
As can be seen from the figures below, these limits have been amply complied with.

Conditions for the inclusion of interim or year-end earnings

With reference al EU Regulation 575/2013 (CRR), on 4 February 2015 the ECB issued a "Decision" that laid down the procedures to be followed by banks under their direct supervision (EU Regulation no. 468/2014) with regard to the inclusion in CET1 Capital of interim or year-end earnings before a formal decision is taken confirming the result.
They can only be included (art. 26 CRR) with the prior approval of the Competent Authority, which in this case is the ECB, and it will only give approval if the following conditions are met:

- earnings must be checked and certified by the Independent Auditors;
- the Bank must provide a specific declaration about the earnings with particular reference to the accounting standards applied and the inclusion of foreseeable charges and dividends. The latter have to be calculated according to specific methodologies as indicated.

The "Decision" also provides a standard letter and certification form that the Banks have to use when asking for approval.

Subordinated loans included in Tier 2 capital

Characteristics of subordinated instruments	Interest rate	Step up	Maturity date	Currency	Original amount (in Euro)	Contribution to Own Funds (in thousands of Euro)
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.35%, 2010-2017	4.35%	NO	31-12-2017	Eur	18,000,000	2,159
Lower Tier II B.P.E.R. subordinated non-convertible bond 4.94%, 2010-2017	4.94%	NO	31-12-2017	Eur	51,000,000	6,117
Lower Tier II B.P.E.R. subordinated non convertible bond 4.75%, 2011-2017	4.75%	NO	15-03-2017	Eur	700,000,000	16,997
Lower Tier II CARISPAQ subordinated non convertible bond floating rate, 2010-2020	TV	NO	30-09-2020	Eur	25,000,000	1,910
Total bonds included in the scope of grandfathering					**794,000,000**	**27,183**
Tier II B.P.E.R. subordinated non-convertible bond 4.25%, 2015-2025 callable	4.25%	NO	15-06-2025	Eur	224,855,200	224,855
Tier II B.P.E.R. subordinated non-convertible bond 4.60%, 2016-2026 callable	4.60%	NO	15-12-2026	Eur	12,000,000	12,000
Total bonds not included in the scope of grandfathering					**236,855,200**	**236,855**
Total bonds					**1,030,855,200**	**264,038**

B. Quantitative inormation

	31.12.2016	31.12.2015
A. Common Equity Tier 1 capital (Common Equity Tier 1 - CET) before the application of prudential filters	**4,660,069**	**4,652,736**
of which CET1 instruments subject to transitional provisions		
B. Prudential filters for CET1 (+/-)	(11,841)	(24,457)
C. CET1 gross of items to be deducted and of transitional arrangements (A+/-B)	**4,648,228**	**4,628,279**
D. Items to be deducted from CET1	(376,746)	(371,161)
E. Transitional arrangements - Impact on CET1 (+/-)	**(18,647)**	**(89,406)**
F. Total Common Equity Tier 1 (CET1) (C-D+/-E)	**4,252,835**	**4,167,712**
G. Additional Tier 1 capital (AT1) gross of items to be deducted and of transitional arrangements	-	-
of which AT1 instruments subject to transitional provisions	-	-
H. Items to be deducted from AT1	6,094	(4,125)
I. Transitional arrangements - Impact on AT1 (+/-)	**(6,094)**	**4,125**
L. Total Additional Tier 1 (AT1) (G-H+/-I)	**-**	**-**
M. Tier 2 capital (T2) gross of items to be deducted and of transitional arrangements	334,264	376,010
of which T2 instruments subject to transitional provisions	*27,183*	*151,627*
N. Items to be deducted from T2	-	-
O. Transitional arrangements - Impact on T2 (+/-)	**7,204**	**10,934**
P. Total Tier 2 (T2) (M-N+/-O)	**341,468**	**386,944**
Q. Total Own Funds (F+L+P)	**4,594,303**	**4,554,656**

2.2 Capital adequacy

A. Qualitative information

Particular importance is given to checking compliance with capital adequacy requirements, both at CET1 level and in total. The responsible functions at the Parent Company perform this task on an ongoing basis, with the various departments involved (Finance and Planning Department, Risk Department and Administration and Financial Reporting Department) issuing regular reports as part of the broader process of verifying consolidated capital adequacy. The guidelines for this activity are stated in BPER Banca Group's annual report on the verification of capital adequacy (ICAAP). This report identifies the functions, methodology and approach for measuring and assessing accepted risk on an ongoing basis, with a view to guiding operations and quantifying the capital required by the Group to cover the various risks accepted.

On 24 June 2016 the European Central Bank authorised the BPER Banca Group to adopt internal models (IRB Advanced Approach) for measuring capital requirements for customer credit risk within the activity classes which have exposures to companies and to Retail businesses. The first model validation scope includes BPER Banca, Banco di Sardegna and Banca di Sassari; Cassa di Risparmio di Bra, Sardaleasing and Cassa di Risparmio di Saluzzo are formally included in the roll-out plan and will adopt the IRB Approach as scheduled in the plan.
The other Group companies and asset classes not included in the roll-out plan will continue to use the Standardised Approach.
For further details, please refer to the document entitled "Public disclosure at 31 December 2016 – Pillar 3".

B. Quantitative information

The risk-weighted assets reported in point C.1 are now recalculated with reference to the reciprocal of the prudent requirement of 8% (C.1 = caption B.7 multiplied by 12.50).

Description/Amounts	Unweighted amounts		Weighted amounts/Requirements	
	31.12.2016	31.12.2015	31.12.2016	31.12.2015
A. Assets at risk				
A.1 Credit and counterparty risk	**60,392,086**	**51,143,888**	**20,569,460**	**27,799,455**
1. Standardised methodology	**27,116,012**	**50,994,643**	**8,602,432**	**27,563,152**
2. Methodology based on internal ratings	**33,124,159**	**-**	**11,704,259**	**-**
2.1 Basic	-	-	-	-
2.2 Advanced	33,124,159	-	11,704,259	-
3. Securitisations	**151,915**	**149,245**	**262,769**	**236,303**
B. Capital adequacy requirements				
B.1 Credit and counterparty risk			**1,645,557**	**2,223,956**
B.2 Credit down-rating risk			**23,519**	**23,272**
B.3 Settlement risk			**-**	**-**
B.4 Market risk			**49,533**	**47,499**
1. Standard methodology			49,533	47,499
2. Internal models			-	-
3. Concentration risk			-	-
B.5 Operational risk			**204,754**	**209,401**
1. Basic method			-	-
2. Standardised method			204,754	209,401
3. Advanced method			-	-
B.6 Other elements for the calculation			**-**	**-**
B.7 Total precautionary requirements			**1,923,363**	**2,504,128**
C. Risk assets and capital ratios				
C.1 Risk-weighted assets			24,042,033	31,301,600
C.2 Common Equity Tier 1 capital/Risk-weighted assets (CET1 capital Ratio)			17.69%	13.31%
C.3 Tier 1 capital/Risk-weighted assets (Tier 1 capital Ratio)			17.69%	13.31%
C.4 Total Own Funds/Risk-weighted assets (Total capital Ratio)			19.11%	14.55%

The capital ratios shown are all well above the regulatory limits established under the transitional ("Phased in") arrangements for 2016.

The CET1 Ratio at 31 December 2016 was 17.69%.
The use of internal models has given rise to a significant positive impact on our capital ratios, influenced by a decrease in RWA of € 7,260 million. The Bank's CET1 and T1 capital ratios at 31 December 2016, calculated for supervisory purposes, have increased with respect to 31 December 2016 by 438 bps. The Total Capital Ratio has increased by 456 bps.
The CET1 Ratio on a "Fully Phased" basis is estimated to be 17.77%.

Leverage ratio

The leverage ratios are:

- transitional arrangements (Phased in) of 7.29% (7.76% at 31 December 2015)
- under full application (Fully Phased) one of 7.33% (it was 7.92% at 31 December 2015).

Part G – Business Combinations

Section 1 – Transactions carried out during the year

1.1 Business Combinations: Acquisition of Cassa di Risparmio di Saluzzo s.p.a.

Details of the transaction are provided in Part G of the consolidated Explanatory notes to the financial statements for the year ended 31 December 2016.

1.2 Combinations under common control

As already mentioned in the Directors' report on Group operations, there have been certain Business Combinations between entities under common control, which are outwith the scope of IFRS 3 and have therefore been recorded without any change in their carrying value.
These transactions formed part of the process to rationalise the BPER Banca Group with a view to improving its competitive profile.
The transactions in question relate to:

- the acquisition of direct control over Banca Sassari s.p.a. by BPER Banca following its acquisition of the controlling interest from Banco di Sardegna s.p.a[8].
- cross-border merger of EMRO Finance Ireland Ltd with BPER Banca.

Section 2 – Transactions subsequent to the year end

No Business Combinations have been carried out after 31 December 2016.

[8] *In the BPER Banca consolidation only, this transaction appears as BC ("between entities under common control"). In the Consolidated financial statements of BDS, it was treated as a transaction with the third party.*

Part H – Related-party transactions

1. Information on the remuneration of Managers with strategic responsibilities

Description		31.12.2016	31.12.2015
Directors			
	- short-term benefits	2,940	2,903
	- other long-term benefits	-	177
Statutory Auditors			
	- short-term benefits	522	522
Managers with strategic responsibilities (General Manager, Deputy General Managers, Manager responsible for preparing the Company's financial reports and Heads of Group Departments):			
1	- short-term benefits	4,213	4,831
	includes salaries, social security contributions, indemnities in lieu of untaken vacation, paid leave of absence and any fringe benefits, such as insurance, housing and car.		
	- other short-term benefits - contributions for social security taxes	1,100	1,342
2	- post-employment benefits	461	489
	includes payments to supplementary pension funds and provisions for termination indemnities.		
3	- other long-term benefits	-	271
4	- indemnities for termination of employment	86	-
5	- share-based payments	-	-

The information provided is consistent with that required by para. 16 of IAS 24.
The amounts relating to the Directors, including the Chief Executive Officer, and the Statutory Auditors represents their emoluments for the year, regardless of when paid. These amounts are classified in the income statement caption 150-a) "Payroll".
In particular, as regards the amounts relating to Directors (€ 2,940 thousand), details are disclosed at the foot of the table included in the notes to the Consolidated financial statements.
The amounts shown for other Managers with strategic responsibility (the General Manager, 4 Deputy General Managers, the Manager responsible for preparing the Company's financial reports and 11 other Senior Managers) belong to the types of costs detailed above. They are disclosed in the Report on Remuneration (art. 123-ter of Legislative Decree no. 58/1998) in accordance with CONSOB requirements. The amounts at 31 December 2015 referred to a total of 19 Senior Managers.
Other long-term benefits relating to Directors (specifically, the Chief Executive Officer) and to other managers with strategic responsibilities for 2015 relate entirely to the valuation of the Phantom Stocks assigned, which no longer existed in 2016.

2. Related-party disclosures

Related party transactions

	Assets	Liabilities	Guarantees given	Revenues	Costs
Subsidiaries	3,325,291	3,918,628	185,252	118,867	182,425
Associates	634,772	5,719	61,607	5,625	1,489
Directors, Statutory Auditors and Managers	1,349	2,655	6	122	17
Other related parties	7,740	8,618	180	312	1,523
Total as at 31.12.2016	**3,969,152**	**3,935,620**	**247,045**	**124,926**	**185,454**
Subsidiaries	2,787,571	4,069,042	368,285	112,461	169,854
Associates	593,806	18,726	83,072	8,128	1,800
Directors, Statutory Auditors and Managers	1,392	3,265	-	84	62
Other related parties	9,902	14,665	196	317	342
Total as at 31.12.2015	**3,392,671**	**4,105,698**	**451,553**	**120,990**	**172,058**

"Managers" are understood to mean Managers with strategic responsibilities, as defined in the table on the previous page. Other related parties comprise parties controlled by Directors, Statutory Auditors or Managers, or parties that may exercise influence over these individuals.
With reference to the entry into force with effect from 2012 of the regulations relating to "Risk activities and Conflicts of Interest in respect of Related Parties" issued by the Bank of Italy as part of the 9th update of Circular no. 263/2006, BPER Banca has adopted a set of rules, as detailed in a specific chapter of the Directors' report on Operations, together with the significant transactions completed during the year. This includes, among other things, "Group Regulations for the monitoring of prudential limits to risk activities with related parties", which describes the following processes: definition of prudential limits to risk activities with related parties; continuous monitoring of the limits; managing situations where the limits have been exceeded, also governing the roles, responsibilities, tasks and coordination mechanisms of the Corporate Bodies and Top Management of the various functions at the Parent Company and at Group banks and companies.
The Group Regulations include an "internal threshold of attention" which makes reference to a weighted consolidated individual exposure limit that is lower than the regulatory threshold. This threshold is set at such a level as to constitute an adequate precaution against accepting particularly significant exposures to related parties and persons associated with them.

	Assets	Liabilities	Guarantees given	Revenues	Costs
Total reference amounts - 2016	53,735,076	49,053,382	2,730,468	1,844,764	1,340,990
Total reference amounts - 2015	50,396,325	45,641,268	3,176,932	1,996,626	1,455,036

The total reference amounts for revenues include interest income, commission income and other operating income; costs include interest expense, commission expense, other operating expenses and administrative expenses.

Related party transactions stated as a percentage of reference amounts (financial position and results)

	Assets	Liabilities	Guarantees given	Revenues	Costs
Subsidiaries	6.19%	7.99%	6.78%	6.44%	13.61%
Associates	1.18%	0.01%	2.26%	0.30%	0.11%
Directors, Statutory Auditors and Managers	0.00%	0.01%	0.00%	0.01%	0.00%
Other related parties	0.02%	0.02%	0.01%	0.02%	0.11%
Total as at 31.12.2016	**7.39%**	**8.02%**	**9.05%**	**6.77%**	**13.83%**
Subsidiaries	5.53%	8.92%	11.59%	5.63%	11.68%
Associates	1.18%	0.04%	2.61%	0.41%	0.12%
Directors, Statutory Auditors and Managers	0.00%	0.01%	0.00%	0.00%	0.00%
Other related parties	0.02%	0.03%	0.01%	0.02%	0.02%
Total as at 31.12.2015	**6.73%**	**9.00%**	**14.21%**	**6.06%**	**11.82%**

There are no critical outstanding balances or transactions with related parties. They all relate to routine banking and other services and arose normally during the year, as a consequence of needs and requirements in the common interests of the parties or, where applicable, of the Group. The conditions applied to individual balances and transactions with these companies are in line with those currently applied in the market.
No provisions for non-performing loans relating to parties which, on 31 December 2016, qualified as related parties have been made in 2016.

3. Balances and transactions between the Parent Company and subsidiary and/or correlated companies (CONSOB's recommendations of 20/2/1997 and of 27/2/1998)

There are intercompany balances and transactions with banks and other companies in which BPER has a direct or indirect interest and which form part of the Consolidated financial statements. Balances and transactions with these companies are as follows.

	Assets	Liabilities	Guarantees and commitments	Revenues	Costs
Banco di Sardegna s.p.a.	360,516	2,945,243	4,948	14,002	23,359
Banca di Sassari s.p.a.	20,529	152,116	-	14,970	4,884
Cassa di Risparmio di Bra s.p.a.	309,146	40,408	1,640	4,547	2,139
Cassa di Risparmio di Saluzzo s.p.a.	73,694	83,160	-	679	832
Bper (Europe) International Sa Lux	158,518	673,247	6,063	1,580	2,142
Emilia Romagna Factor s.p.a.	620,713	1,008	2,495	3,244	7
EMRO Finance Ireland Ltd	-	-	-	280	12
Modena Terminal s.r.l.	911	11	126	45	125
Mutina s.r.l.	-	-	-	-	-
Nadia s.p.a.	12,652	8	563	480	5,173
Nettuno Gestione Crediti s.p.a.	-	-	-	2	1
Numera s.p.a.	-	57	-	7	275
Tholos s.p.a.	1	11	-	6	254
Optima s.p.a. SIM	176	9,388	-	1,975	7,610
BPER Services s.c.p.a.	81,027	6	17,957	54,367	123,875
Estense Covered Bond s.r.l.	-	-	-	7	-
Sardaleasing s.p.a.	1,587,978	3,857	151,460	10,265	192
BPER Trust Company s.p.a.	-	121	-	75	100
Estense CPT Covered Bond s.r.l.	-	-	-	1,074	-
BPER Credit Management s.c.p.a.	856	3,010	-	9,761	10,301
Galilei Immobiliare s.r.l.	189	-	-	10	-
Polo Campania s.r.l.	24,436	3,825	-	256	-
Italiana Valorizzazioni Immobiliari s.r.l.	14,627	1,505	-	883	49
Adras s.p.a.	17,821	1,322	-	48	-
Sifà s.r.l.	41,501	325	-	304	1,095
Total subsidiaries	**3,325,291**	**3,918,628**	**185,252**	**118,867**	**182,425**
Co.Ba.Po. Consorzio Banche popolari dell'Emilia Romagna	-	121	-	1	17
Sofipo s.a. in liquidazione	-	-	-	-	-
CONFORM Consulenza Formazione e Management s.cons. a r.l	127	654	668	222	621
Sintesi 2000 s.r.l.	-	204	-	-	100
Cassa di Risparmio di Fossano s.p.a.	-	100	-	-	-
CAT Progetto Impresa Modena s.c.r.l.	74	11	83	5	-
Cassa di Risparmio di Savigliano s.p.a.	-	100	-	-	-
Resiban s.p.a.	-	253	-	2	-
Unione Fiduciaria s.p.a.	-	-	-	42	37
Sarda Factoring s.p.a.	2,968	-	-	24	-
Alba Leasing s.p.a.	607,828	1,906	60,856	4,190	440
Banca della Nuova Terra s.p.a.	22	2,196	-	234	125
Atrikè s.p.a.	1,454	92	-	-	-
Emil-Ro Service s.r.l.	-	82	-	-	-
Lanciano Fiera - Polo Fieristico d'Abruzzo Consorzio	162	-	-	-	50
Brozzu e Cannas s.r.l. in liquidazione	-	-	-	-	-
Compagnia Finanziaria Olbia Produce s.r.l. in liquidazione	-	-	-	-	-
Arca Holding s.p.a.	22,137	-	-	905	99
Gestione esazioni convenzionate s.p.a. in liquidazione	-	-	-	-	-
Total associates	**634,772**	**5,719**	**61,607**	**5,625**	**1,489**
Total 31.12.2016	**3,960,063**	**3,924,347**	**246,859**	**124,492**	**183,914**
Total 31.12.2015	**3,381,377**	**4,087,768**	**451,357**	**120,589**	**171,654**

Part I – Equity-based payments

A. Qualitative information

1. Description of equity-based payments

On 1 March 2016 the Bank's Board of Directors approved:

- the Remuneration Report pursuant to art. 123-*ter* of Legislative Decree no. 58 dated 24 February 1998, relating to the remuneration policies for 2016 of the BPER Banca Group;
- the remuneration plan pursuant to art. 114-*bis* of Legislative Decree no. 58 dated 24 February 1998, implementing the remuneration policies for 2016 of the BPER Group. The Plan covers those employees of the BPER Banca Group identified as "key personnel" in accordance with the 7th update of 18 November 2014 of Circular no. 285 "supervisory provisions for banks", Title IV, Chapter 2 "Remuneration and incentive policies and practices" and in Delegated EU Regulation 604 of 4 March 2014.

Both documents were approved by the Shareholders' Meeting held on 16 April 2016 at second calling.

The remuneration of key personnel is composed of a fixed element and a variable element that is lower than the maximum of 60% of the fixed component, though there are certain exceptional situations[9] in which it is possible to raise this percentage to 100%, and it is governed by particularly stringent rules (Bank of Italy's Circular no. 285, 7th update of 18 November 2014, Section III, paragraphs 1.2, 2.1 points 3 and 4, 2.2.1 and 2.2.2). With particular regard to risk alignment before the event, this is based on actual and lasting results, it also takes qualitative objectives into account, it is parameterised to performance indicators, it is measured net of risks and takes into account the level of capital resources.
The sustainability of the overall maximum amount of variable remuneration allocated to key personnel (those most responsible for running the company), is assessed in relation to the economic and financial stability of the Group as a whole.
The payment of *bonuses* is in fact dependent on achieving basic economic and financial objectives (the so-called "entry gates") that have to be achieved at the same time.

The entry gates that have been identified are based on the following parameters:

- consolidated Common Equity Tier 1 Ratio (CET 1);
- Return on Risk Adjusted Share Capital (RoRAC)[10];
- Liquidity Coverage Ratio (LCR).

If entry gates are exceeded, gross profit acts as an indicator to which the *bonus* pool is linked:

- only the consolidated profit parameter applies to personnel of the Parent Company with Group functions;
- for the others, the parameter of consolidated and separate gross profit applies.

After it has been verified that the entry gates have been exceeded and the *bonus* pool has been calculated, the actual allocation of the *bonus* and the related amount, within the maximum limits[11] of the

---

[9] *Entry bonus or incentive packages designed to facilitate the acquisition of resources that the company deems necessary for the achievement of important objectives.*
[10] *If, during the year, the RoRAC included in the RAF were to be replaced with a different indicator and therefore the gate of the risk-adjusted profitability should be changed, the consistency of the gate threshold level would still be ensured.*
[11] *The theoretical maximum amount of the bonus payable is the sum of the maximum bonuses obtainable at an individual level.*

variable remuneration, are defined through a process of individual performance evaluation that includes an analysis of various qualitative and quantitative indicators.

If the *Bonus* exceeds a specific amount established by the Board of Directors, the Plan envisages an allocation (which can also be deferred) of part of the total *bonus* through an assignment of "phantom stock"[12].

In particular, this Plan provides for: (apart from as provided by the stricter regulations foreseen for the CEO of the Parent Company):

- in the case of a *bonus* of more than Euro 100 thousand:
  - 60% is attributed at the date the *bonus* is granted ("upfront portion");
  - the remainder of 40% is attributed in equal portions on a deferred basis: for *bonuses* lower than Euro 120 thousand, it is attributed over the subsequent three years; for *bonus* amounting to between Euro 120 thousand and Euro 150 thousand, the deferral period is increased to 4 years; for *bonuses* higher than Euro 150 thousand, there is a 5 year deferral period.

  The allocation of 50% of the up-front and deferred portions takes place through phantom stock, the other 50% in cash;

- for *bonuses* amounting to between Euro 60 thousand and Euro 100 thousand:
  - 50% of the *bonus* is attributed at the grant date in cash;
  - the remainder of 50% is allocated through phantom stock, attributed in equal portions in the three years subsequent to the grant year;

- for *bonuses* amounting to between Euro 30 thousand[13] and Euro 60 thousand:
  - the first Euro 30 thousand is attributed at the grant date in cash;
  - the allocation of the portion of the *bonus* exceeding Euro 30 thousand[14] takes place through phantom stock entirely attributed in equal portions in the three years subsequent to the grant year;

- for *bonuses* of less than Euro 30 thousand and less than 30% of the fixed remuneration:
  - the amount in question is attributed at the grant date in cash.

The deferred instalments are subject to malus rules that can reduce the instalment to zero in the event of failure to achieve the access thresholds ("entry gates") for the financial year preceding the year of payment of each deferred instalment.

There are also clawback clauses on the *bonuses* paid, applicable in cases of fraudulent behaviour or gross negligence on the part of the staff, without which the results would not have been achieved, behaviour that caused a significant loss to the Bank or Company, breach of the obligations under art. 26 of the

[12] *Phantom Stock: these are "virtual" financial instruments (free, personal and not transferable inter vivos) that assign to each recipient the right to demand on maturity an amount of money corresponding to the value of the BPER Banca stock, calculated as per paragraph 3.8 of the information document on the remuneration plan based on financial instruments - Phantom Stock 2016, at the payment date.*

[13] *Or 30% of the fixed remuneration, if lower.*

[14] *Or 30% of the fixed remuneration, if lower. In exceptional and unlikely circumstances where the bonus is more than 60% of the fixed remuneration, but less than 60 thousand euro, 50% of the bonus is paid in cash upfront and 50% in phantom stock deferred over three years.*

Consolidated Banking Act or, when the subject is an interested party, art. 53, paragraphs 4 et seq. of the Consolidated Banking Act or of the obligations relating to incentives and remuneration.
The malus mechanism, which can block payment of the deferred portions of the *bonus*, also acts on activation of the clawback clauses.
Note that there are compensation plans still outstanding for the years 2013, 2014 and 2015.

B. Quantitative information

2. Other information

In light of the results achieved at Group level, no phantom stock was assigned under the 2016 compensation plan.
Please also note that the same results affect the 2015 Plan allowing the vesting of no. 19,703 Phantom Stocks, for a consideration of Euro 109 thousand, the 2014 Plan allowing the vesting of no. 770 Phantom Stocks for a consideration of Euro 4 thousand and the 2013 Plan allowing the vesting of no. 511 Phantom Stocks for a consideration of Euro 3 thousand.

Part L – Segment reporting

Segment reporting is prepared on the basis of IFRS 8 "Operating Segments" adopted by EC Regulation 1358/2007, commencing from the first annual financial statements for periods ending after 1 January 2009. IFRS 8 establishes that, for reporting purposes, these operating segments must be identified with reference to internal reporting prepared for senior management in order to assess the performance of the various sectors and allocate resources among them.
The criteria used to allocate the various captions are based on qualitative and quantitative parameters consistent with the operational segmentation of customers adopted by the Bank for the determination of its commercial policies, which also provides the basis for operational reporting to management; each operating segment identified has similar economic characteristics and is internally consistent in terms of:

- nature of products and services offered and distribution processes;
- type of customers;
- marketing approach;
- nature of regulatory environment.

Given their strategic importance, the segments identified are covered in the disclosures made, even if their results are quantitatively lower than the thresholds envisaged, since this is deemed helpful to users of the financial statements.

Operating segments

Economic and financial information is presented for the following operating segments:

Private

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- individuals and joint accounts regulated by the "BPER Private Banking" service.

Retail

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- individuals and joint accounts not regulated by the "BPER Private Banking" service;
- sole traders;
- partnerships or limited companies with sales of less than Euro 2.5 million and agreed facilities with the banking totalling less than Euro 1 million.

Corporate

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- public administrations;
- non financial and non resident companies;
- non-financial partnerships and companies with turnover equal to or greater than 2.5 million but less than 250 million.

- non-financial partnerships and companies with turnover greater than Euro 250 million or belonging to a corporate group (as reported in the general register) with reported consolidated turnover equal to or greater than Euro 250 million;
- financial companies.

Large Corporate

This segment comprises the economic and financial information deriving from relations with the following types of customers:

- partnerships and companies, which on their own or as part of a group, ought to be considered in the Corporate macrosegment, but which are considered as Large Corporate to ensure maximum supervision. (Assignment to this segment is performed solely in expert mode and not automatically).

Finance

This segment includes the results and financial position deriving from treasury activities, management of the Group's investment portfolio, access to financial markets and specialist operational support for the commercial network.

Corporate Centre

Included herein are income statement and balance sheet captions arising from activities related to the governance of the Group, to strategic decisions and results thereof (shareholders' equity, equity investments, etc.) or from activities not directly connected to other areas of the business.

A.1 Distribution by operating segment: income statement

Based on the requirements established in IFRS 8, the income statement by operating segment contains the following information:

Captions	Retail	Private	Corporate	Large Corporate	Finance	Corporate centre	Total
Net interest income	324,598	5,715	311,240	33,916	171,361	6,480	853,310
Net commission income	343,745	50,811	129,137	12,477	-	-	536,170
Net interest and other banking income	666,080	56,562	436,278	44,946	280,473	16,684	1,501,023
Net profit from financial activities 31.12.2016	**513,706**	**55,863**	**85,553**	**32,256**	**231,486**	**24,565**	**943,429**
Net profit from financial activities 31.12.2015	**554,322**	**53,894**	**104,782**	**34,138**	**366,181**	**18,790**	**1,132,107**
Operating costs	(436,630)	(20,071)	(115,952)	(30,922)	(3,982)	(324,174)	(931,731)
Profit (loss) from current operations before tax 31.12.2016	**77,078**	**35,792**	**(30,400)**	**1,333**	**227,504**	**(309,866)**	**1,441**
Profit (loss) from current operations before tax 31.12.2015	**75,208**	**34,692**	**(25,534)**	**(4,571)**	**363,145**	**(289,193)**	**153,747**

The above captions have been allocated to the operating segments using the information held on the management information system, which has been reconciled with the accounting system.

A.2 Distribution by operating segment: balance sheet

Based on the requirements established in IFRS 8, the balance sheet by operating segment contains the following information:

Captions	Retail	Private	Corporate	Large Corporate	Finance	Corporate centre	Total
Financial assets	-	-	-	-	11,832,761	-	11,832,761
Due from banks	-	-	-	-	2,155,637	-	2,155,637
Loans to customers	13,455,277	184,471	16,184,290	5,654,220	-	-	35,478,258
Other assets	419,085	11,709	88,522	30,292	60,075	3,658,737	4,268,420
Total assets 31.12.2016	**13,874,362**	**196,180**	**16,272,812**	**5,684,512**	**14,048,473**	**3,658,737**	**53,735,076**
Total assets 31.12.2015	**13,783,482**	**161,517**	**16,076,770**	**4,421,147**	**12,034,979**	**3,918,430**	**50,396,325**
Due to banks	-	-	-	-	12,539,337	-	12,539,337
Due to customers	19,990,143	1,095,350	4,929,076	1,369,188	-	-	27,383,757
Debt securities in issue	6,278,020	437,382	108,100	40,793	343,877	-	7,208,172
Financial liabilities designated at fair value through profit and loss	226,758	15,798	3,904	1,473	-	-	247,933
Other liabilities and equity	212,275	14,789	3,655	1,379	36,860	6,086,919	6,355,877
Total liabilities and shareholders' equity 31.12.2016	**26,707,196**	**1,563,319**	**5,044,735**	**1,412,833**	**12,920,074**	**6,086,919**	**53,735,076**
Total liabilities and shareholders' equity 31.12.2015	**27,155,901**	**1,961,150**	**4,454,685**	**1,101,321**	**9,021,709**	**6,701,559**	**50,396,325**

Balance sheet information has been allocated to the operating segments using the criteria adopted for the allocation of the income statement.

B. Distribution by geographical areas

All banking activities are located in Italy

Attachments

The following documents, which are not attached to the financial statements as at 31 December 2016, could be consulted in the Italian version:

- Cash flow statements and balance sheets of the staff pension fund
- Schedule of properties revaluation

Fees for audit and non-audit services

Information pursuant to art. 149-duodecies of CONSOB's Issuers' Regulations

This schedule, prepared pursuant to art. 149-duodecies of CONSOB's Issuers' Regulations (Resolution 11971 of 14 May 1999 and subsequent additions and amendments), reports the 2016 fees for audit and non-audit services provided by the Independent Auditors and member firms of the same network. These fees represent the costs incurred and recorded in the financial statements, including expenses, unrecoverable VAT and the CONSOB contribution.

(in thousands)

Type of services	Party providing the service	Recipient		Fees
Audit	PricewaterhouseCoopers s.p.a.	BPER Banca	(1)	1,084
Certification services:	PricewaterhouseCoopers s.p.a.	BPER Banca	(2)	169
Tax advisory services	TLS-Associazione Professionale di Avvocati e Commercialisti	BPER Banca	(3)	78
Other services	PricewaterhouseCoopers Advisory s.p.a.	BPER Banca	(4a)	424
	PricewaterhouseCoopers s.p.a.	BPER Banca	(4b)	140
Total				**1,895**

(1) Legal audit:
- activity performed for BPER Banca, € 1,084 thousand: Separate financial statements (€ 532 thousand), Consolidated financial statements (€ 83 thousand), condensed consolidated half-year report (€ 229 thousand) and consolidated interim report on operations for the period ended 30 September 2016 (€ 240 thousand);
(2a) Certification services by PricewaterhouseCoopers s.p.a.:
- activities performed in relation to the translation into English of the auditors' reports on the separate and Consolidated financial statements for the year ended 31 December 2015 and of the condensed consolidated half-year report for the period ended 30 June 2016 for € 30 thousand;
- activities performed for the issue of comfort letters for the update and implementation of the Covered Bond issue programme for € 25 thousand;
- activities performed for the issue of certification required by Bank of Italy Circular no. 285 relating to asset sales in connection with programmes for the issue of Covered Bonds of € 72 thousand;
- activities performed for the issue of comfort letters as part of the "Euro Medium Term Notes" issue Programme for € 35 thousand;
- activities involved in signing off the consolidated national and international tax return for the year 2015 for the purpose of offsetting a tax credit worth € 7 thousand;
(3) Tax advisory services rendered by TLS-Associazione Professionale di Avvocati e Commercialisti, member firm of PricewaterhouseCoopers s.p.a.'s network, relating to the second module of project Patent Box of € 50 thousand, to project Transfer Pricing of € 18 thousand and to the identification of criteria for the allocation of costs among consortium members in accordance with VAT law of € 10 thousand.
(4a) Other services rendered by PricewaterhouseCoopers Advisory s.p.a., a company that belongs to the network of PricewaterhouseCoopers s.p.a.:
- Methodological support as part of the project for implementation of the model for handling outsourcing arrangements of € 35 thousand and subsequent contractual amendments of € 126 thousand;
- Methodological support in the analysis of the impact arising from the adoption of MiFID II and the MiFIR Regulation of € 55 thousand;
- Methodological support for the monitoring of arrangements pertaining to outsourced functions of € 100 thousand;
- Methodological support for the improvement of the analysis of information concerning loans to customers for funding purposes of € 108 thousand.
(4b) Other services rendered by PricewaterhouseCoopers s.p.a.: due diligence services performed in relation to the proposed acquisition of a further interest in Cassa di Risparmio di Saluzzo s.p.a. of € 140 thousand.

Certification and other reports

Certification of the individual financial statements for 2016 pursuant to art. 81-ter of Consob Regulation no. 11971 dated 14 May 1999 and subsequent additions and amendments

➢ The undersigned

- Alessandro Vandelli, as Chief Executive Officer,
- Emilio Annovi, as the Manager responsible for preparing the Company's financial report,

of BPER Banca S.p.A., having considered the requirements of paras. 3 and 4 of art. 154-bis of Decree no. 58 dated 24 February 1998, confirm:

- the adequacy in relation to the characteristics of the Bank and
- the proper application

during 2016, of the administrative and accounting procedures adopted for the preparation for the financial statements.

➢ This assessment of the adequacy of the administrative and accounting procedures adopted for the preparation of the financial statements at 31 December 2016 is based on a model developed by BPER Banca S.p.A., consistent with the Internal Control - Integrated Framework issued by the Committee of Sponsoring Organizations of the Tradeway Commission. These framework represent reference standards for systems of internal control that are generally accepted at an international level.

➢ It is also certified that

- the financial statements at 31 December 2016:
  a) have been prepared in accordance with the applicable international accounting standards recognised within the European Union pursuant to European Parliament and Council Regulation (EC) no. 1606/2002 dated 19 July 2002, Decree 38/2005 and the enabling regulations for art. 9 of this Decree;
  b) agree with the underlying accounting records and entries;
  c) present a true and fair view of the financial position and results of operations of the Bank.
- The report on operations includes a reliable analysis of performance and the results of operations, as well as of the position of the Bank, together with a description of the principal risks and uncertainties to which it is exposed.

Modena, 28 February 2017

Chief Executive Officer

Alessandro Vandelli

Manager responsible for preparing the company's financial report

Emilio Annovi

INDEPENDENT AUDITORS' REPORT IN ACCORDANCE WITH ARTICLES 14 AND 16 OF LEGISLATIVE DECREE No. 39 OF 27 JANUARY 2010

To the shareholders of
BPER Banca SpA (formerly Banca popolare dell'Emilia Romagna S.C.)

Report on the financial statements

We have audited the accompanying financial statements of BPER Banca SpA, which comprise the balance sheet as of 31 December 2016, the income statement, statement of comprehensive income, statement of changes in shareholders' equity, cash flow statement for the year then ended and related explanatory notes.

Directors' responsibility for the financial statements

The directors of BPER Banca SpA are responsible for the preparation of financial statements that give a true and fair view in compliance with International Financial Reporting Standards as adopted by the European Union, as well as with the regulations issued to implement article 9 of Legislative Decree no. 38/2005 and article 43 of Legislative Decree no. 136/15.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing (ISA Italia) drawn up pursuant to article 11 of Legislative Decree no. 39 of 27 January 2010. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing audit procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The audit procedures selected depend on the auditor's professional judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of financial statements that give a true and fair view, in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

PricewaterhouseCoopers SpA

Sede legale e amministrativa: Milano 20149 Via Monte Rosa 91 Tel. 0277851 Fax 027785240 Cap. Soc. Euro 6.890.000,00 i.v., C .F. e P.IVA e Reg. Imp. Milano 12979880155 Iscritta al n° 119644 del Registro dei Revisori Legali - Altri Uffici: **Ancona** 60131 Via Sandro Totti 1 Tel. 0712132311 - **Bari** 70122 Via Abate Gimma 72 Tel. 0805640211 - **Bologna** 40126 Via Angelo Finelli 8 Tel. 0516186211 - **Brescia** 25123 Via Borgo Pietro Wuhrer 23 Tel. 0303697501 - **Catania** 95129 Corso Italia 302 Tel. 0957532311 - **Firenze** 50121 Viale Gramsci 15 Tel. 0552482811 - **Genova** 16121 Piazza Piccapietra 9 Tel. 01029041 - **Napoli** 80121 Via dei Mille 16 Tel. 08136181 - **Padova** 35138 Via Vicenza 4 Tel. 049873481 - **Palermo** 90141 Via Marchese Ugo 60 Tel. 091349737 - **Parma** 43121 Viale Tanara 20/A Tel. 0521275911 - **Pescara** 65127 Piazza Ettore Troilo 8 Tel. 0854545711 - **Roma** 00154 Largo Fochetti 29 Tel. 06570251 - **Torino** 10122 Corso Palestro 10 Tel. 011556771 - **Trento** 38122 Viale della Costituzione 33 Tel. 0461237004 - **Treviso** 31100 Viale Felissent 90 Tel. 0422696911 - **Trieste** 34125 Via Cesare Battisti 18 Tel. 0403480781 - **Udine** 33100 Via Poscolle 43 Tel. 043225789 - **Varese** 21100 Via Albuzzi 43 Tel. 0332285039 - **Verona** 37135 Via Francia 21/C Tel. 0458263001 - **Vicenza** 36100 Piazza Pontelandolfo 9 Tel. 0444393311

www.pwc.com/it

REPORT OF THE BOARD OF STATUTORY AUDITORS TO THE SHAREHOLDERS' MEETING PURSUANT TO ART. 153 OF LEGISLATIVE DECREE no. 58/1998

Shareholders,

Pursuant to art. 153 of Legislative Decree 58/1998 ("CFA") and art. 2429, paragraph 2, of the Italian Civil Code, we, the Board of Statutory Auditors, are required to report to the Shareholders' Meeting, called to approve the financial statements at 31 December 2016, on the supervisory activities that we have carried out and on any omissions and reprehensible situations that we have found. We can also make observations and proposals on the financial statements, their approval and other matters within our sphere of competence.

Following our report issued pursuant to art. 153 CFA presented to the Shareholders' Meeting of 16 April 2016 relating to the procedure for implementing the provisions of Law no. 33 of 24 March 2015, the Board of Statutory Auditors of BPER Banca S.p.A. (also the "Bank" or "BPER" or "Company" or "Parent Company") certifies that, in accordance with the applicable provisions of law:

- by resolution of 18 October 2016, the Board of Directors approved the proposed transformation of the Bank's legal form from a cooperative into a joint-stock company, resulting in the adoption of new Articles of Association. This proposal was explained in detail in the Explanatory Report prepared pursuant to art. 72 of CONSOB Resolution 11971/99 (and subsequent amendments) and published in accordance with law;

- by resolution of 26 November 2016, registered with the Modena Register of Companies on 28 November 2016, the Shareholders' Meeting approved the proposal for the transformation of Banca popolare dell'Emilia Romagna from a "società cooperativa" (cooperative company) to a "società per azioni" (joint-stock company), as well as the adoption of a new text of the Articles of Association - in relation to which the Bank of Italy issued the prescribed measure of assessment - concerning, among other things, the change of name of the Company in BPER Banca S.p.A. and that of the banking group in Gruppo BPER Banca S.p.A.;

- the transformation into a joint-stock company involved a right of withdrawal pursuant to art. 2437 of the Italian Civil Code; the liquidation value of each BPER Banca S.p.A.'s share subject to withdrawal was set at € 3.8070 per share, calculated in accordance with art. 2437-ter, paragraph 3, of the Italian Civil Code; as communicated to the market on 3 January 2017, none of the legitimate holders of the Bank's shares had exercised their right of withdrawal following its transformation into a joint-stock company, as approved by the Shareholders' Meeting, in extraordinary session, of 26 November 2016, so it was not necessary to implement the liquidation procedure in accordance with art. 2437-quater of the Italian Civil Code and explained in the report on the proposed transformation presented to the Shareholders' Meeting, made available to the public on 19 October 2016.

During the year, we carried out our institutional duties in accordance with the Italian Civil Code, Legislative Decrees 385/1993 ("CBA") and 58/1998 ("CFA") and the Articles of Association, in compliance with the standards of conduct recommended by the Italian Accounting Profession (represented by the Consiglio Nazionale dei Dottori Commercialisti e degli Esperti Contabili), as well as the special laws on the subject, and pursuant to the provisions adopted by the Public Authorities involved in supervisory and control activities in Italy (including the Bank of Italy and CONSOB) and in Europe (the European Central Bank).

In fact, following the entry into force in November 2014 of the Single Supervisory Mechanism, the Bank and the Group are now classified respectively as a "significant supervised entity" and a "significant supervised group" and therefore subject to direct Supervision by the European Central Bank (ECB), which has taken on the tasks assigned by (EU) Regulation 1024 of 15 October 2013, which are also performed with assistance from the Bank of Italy in the manner envisaged in (EU) Regulation 468/2016 of 6 April 2014.

Our activities were supported by a detailed Operating Manual and, from 2016, by new Regulations on how the Board of Statutory Auditors is to function.

During the year, we acquired the information needed to perform the general supervisory duties assigned to us through the detailed system of information flows provided for within the Group as well as by taking part in meetings of the Board of Directors and Executive Committee.

According to the annual plan, we held regular meetings with some of the Board Committees (Control and Risk Committee, Remuneration Committee, Independent Directors Committee), the Chief Executive Officer, the General Manager, the Supervisory Body established pursuant to Legislative Decree 231/01 and with the Supervisory Body of the Pension Fund for employees of the Bank; we also held meetings with the Supervisory bodies of Italian banks and of the main non-banking companies of the Group.

We had frequent meetings with the Manager responsible for preparing the company's financial reports (also "Manager Responsible"), the Independent Auditors and the Group's Internal Control Functions: the Internal Audit Department (IAD) and the Chief Audit Executive (CAE), a third-level control function, the Risk Management Department and the Chief Risk Officer (CRO), the Anti Money Laundering Unit, the Compliance Unit, as well as the Tax Unit.

We also had regular meetings with the Chief Lending Officer (CLO) to look into those loan dossiers that had been brought to the attention of Governing Bodies and regularly met the key corporate functions of the Bank, including the Chief Legal & Governance Officer (CL&GO), Chief Operating Officer (COO), Chief Information Officer (CIO), Chief Financial Officer (CFO) and Chief Business Officer (CBO), and of the Group.

We analysed the information flows acquired from the various corporate structures, including through specific control activities carried out during the course of our meetings, through direct audits on specific issues, as well as making use of hearings, investigations and information collected from management.

Recommendations and suggestions made by us are communicated to the internal departments concerned through the secretarial structure or communicated directly to the Body with management or strategic supervision functions and to the related committees, monitoring the follow-up.

Given the above, the following information is provided relating to CONSOB Communication 1025664 of 6 April 2001 and subsequent amendments and additions, noting that the financial statements for the year ended 31 December 2016 are prepared in accordance with International Financial Reporting Standards adopted by the European Union, and with the measures implementing art. 9 of Legislative Decree 38/2005.

I - INFORMATION ON THE PRINCIPAL ECONOMIC, FINANCIAL AND CAPITAL TRANSACTIONS CARRIED OUT BY THE BANK

On the basis of the information made available and obtained during the meetings with the Board of Directors, the Executive Committee and the Managing Director pursuant to article 150 of the CFA, and as a result of the analyses carried out in 2016, we think that it is reasonable to maintain that the principal economic, financial and capital transactions carried out by the Bank, also through subsidiaries, have been conducted with respect for the principles of proper administration, in compliance with the law and the Articles of Association, without being manifestly imprudent, risky or in contrast with the resolutions passed by the Shareholders' Meeting or otherwise prejudicial to the integrity of the Company's assets and assisted, where necessary, by structured processes of analysis and evaluation also with the support of independent experts.

Full information is provided in the Directors' Report on Operations ("Report on operations") and in the Directors' Report on Group Operations ("Report on Group Operations", para. 3), to which reference should be made.

The main transactions and events in 2016 included the following:

- The ECB's authorisation (24 June 2016) to use AIRB models with effect from 30 June 2016 for measuring capital requirements for credit risk in relation to customers in the activity classes with either Corporate or Retail exposures, the application of which has led to significant benefits in terms of capital ratios. The first scope of model validation includes the Parent Company, Banco di Sardegna (BdS) and Banca di Sassari (BSS), whereas Cassa di Risparmio di Bra (CR Bra), Sardaleasing and Cassa di Risparmio di Saluzzo (CR Saluzzo) will adopt the AIRB approach by the end of 2018, as scheduled in the roll-out plan;

- implementation of the "Dinamo" project, with the operational restructuring of the Banca di Sassari SpA, which on 20 May 2016, transferred to Banco di Sardegna SpA, effective 23 May 2016, its "traditional" banking business consisting of 55 BSS branches, in order to focus on Consumer Finance and Electronic Money; simultaneously (23 May 2016), 59.2% of the BSS shares were transferred from BdS to BPER Banca, which thereby achieved direct control over BSS with 78.462% of the share capital, also by purchasing shares from third-party shareholders. This transaction allowed BdS to make a capital gain of € 69 million, which does not affect the consolidated result as the various transfers were all intercompany;

- participation in system operations to rescue a number of banking institutions by signing up for a total commitment of up to € 100 million (of which € 81.1 million paid in 2016) in the Atlante I Fund: it is managed by Quaestio Capital Management SGR SpA (15 April 2016), with writedowns recognized in the income statement for € 28.3 million at the year end (-34.83%) and through contributions to the Voluntary Scheme of the Interbank Deposit Guarantee Fund, which prompted writedowns of € 2.5 million;

- the acquisition of control of Cassa di Risparmio di Saluzzo SpA, which entered the scope of consolidation in the last quarter of the year following the ECB's authorisation (30 September 2016) and subsequent acquisition on 4 October 2016 of 48.98% from the Fondazione BSS, bringing the stake to 80%, which then rose to 100% on 23 December 2016 following the purchase of the last 20% when the Fondazione exercised its put option. The total consideration amounted to € 51.9 million;

- start-up of the project to adapt to the new IFRS 9 (effective from 1 January 2018);

- issued 2 tranches of covered bonds: one for € 500 million as part of the first programme launched in 2011, the second for € 200 million as part of the second programme launched by the Board in 2015; the purpose is to diversify the forms of medium-long term funding, both self-subscribed with a view to refinancing at the European Central Bank;

- streamlining of the Group structure by merging EMRO Finance Ireland ltd with BPER (effective from 1 August 2016), Melior Valorizzazioni Immobili (MVI) with Italiana Valorizzazioni Immobili (IVI) and Frigodocks SpA with Modena Terminal SpA, as well as the liquidation of Nettuno Gestione Crediti SpA;

- implementation of the so-called "delayering" project, aimed at reducing organisational complexity and increase the efficiency of the Group, with particular regard to BPER and the BPER Services consortium (IT and Operations), with a significant reduction in organisational units. The new Organisation Chart became operational from 1 January 2017. This reorganisation follows a similar streamlining exercise carried out in 2016 on the network and semi-centre structures, in implementation of the so-called "distribution footprint" project;

- the operational start-up of the consortium company BPER Credit Management (BCM), dedicated to the management and recovery of the Group's bad loans; the company is completing the start-up phases and will have to verify the investment opportunities, also in technology, in order to realize its full potential;

- continuation, according to BPER Services' 2016 IT Plan, of the data governance and data quality project, as foreseen in the Group's Business Plan. Its implementation also appears indispensable in relation to the securitisation of covered bank bonds, as well as for efficient and effective management of non-performing loans (NPE);

- non-recourse assignments of NPE portfolios for a total gross book value of € 700 million, with a limited impact on the income statement (the overall net loss of € 11.1 million on a consolidated basis is recorded under item 100 of the income statement) by means of 4 transactions: the first, completed in July 2016, involved around 15,000 positions for a gross book value (GBV) of about € 450 million, sold to two institutional counterparties (Algebris Investment NPL Fund and Cerberus European Investment); in the second case, the Group subscribed for senior and junior bonds of this securitisation in accordance with the limits laid down for derecognition for accounting and supervisory purposes. The second assignment was carried out in September 2016, for a GBV of € 52 million. On 25 October 2016 the Group completed the assignment of an NPL portfolio (no. 153 positions, of which 66 BPER Banca and no. 87 Banco di Sardegna) to Fortress, for a total GBV of € 52.3 million. Lastly, in December 2016 the Group completed a further transfer to of J-Invest (an Italian NPL specialist) involving a portfolio of unsecured corporate loans with no. 68 positions (no. 58 BPER and no. 10 Banco di Sardegna) with a total GBV of € 150.1 million. The total net consideration was approximately € 111 million;

- participation in the increase in capital of Release SpA for € 21.7 million to complete the company's run off.

Transactions that have an impact on the income statement include the following:

- the extraordinary component of the Single Resolution Fund for € 34.9 million;

- capital gains of € 37.6 million related to the sale of the stake held by BSS in Visa Europe by Visa Inc. and the receipt of a price adjustment for the sale of ICBPI linked to the latter's sale of the stake in Visa Europe;

- accounting, under interest income, for the potential maximum negative rate (or "sweetener") of 0.40% foreseen on the € 4.0 billion drawdown of the ECB "TLTRO II" loan. In accordance with IAS 39, taking into account that the target set for 31 January 2018 had already been reached at 31 December 2016 and that the Bank has prepared a structured plan for the maintenance of this result, the Bank has assessed the interest income involved and booked an amount of € 8.3 million; the outcome of the impairment tests on equity investments and goodwill, which led to a writedown, only at a consolidated level, of € 29.6 million on the goodwill attributable to the CGU Banco di Sardegna, as well as the writedown of € 3.3 million on the goodwill attributable to Banca di Sassari made by Banco di Sardegna on the purchase of the business unit represented by the bank's entire branch network.

- At Group level, there was also the sale by Sardaleasing SpA of buildings derived from non-performing leasing contracts to Fondo Securis Real Estate III (€ 16.1 million) and Fondo Polis Asset Fund Bancari VI (€ 2.8 million), both of which are real estate funds.

As regards the business plan, the KPI monitoring process was refined during the year, particularly as regards the objectives relating to investments and projects; through a dedicated project structure, the various stages of the process (operational planning, implementation, monitoring, reporting and analysis of variances) were coordinated at Group level.

At the beginning of 2017 the Board of Directors also adopted new policies and regulations for planning, budgeting and monitoring activities. These were made necessary not only by the prospect of having to adapt to new supervisory guidelines (interactions with RAF, SPRE processes and stress testing for regulatory requirements and for ICAAP/ILAAP purposes), but also, in our opinion, by the need for tight control over performance in light of the prolonged unfavourable market environment, which sees Italian credit institutions under threat from the risk of disintermediation caused by the Fintech sector; not to mention the structural changes that affect the payment system and exchanges of monetary flows between individuals; and lastly, the need to carefully monitor changes in the cost/income ratio and the importance of economies of scale, not only for the optimisation of costs, but also for access to potential new product and distribution markets.

In a complex market environment and changing economic scenarios, at the beginning of this year, also at the request of the Supervisory Authority, the Board of Directors assessed the ability to achieve the level of economic goals by starting a review of the business plan, at the same time combining it with the requirements deriving from implementation of the EBA Guidelines (being finalized by the end of the current month, in a first version to be submitted to the Supervisory Authority) regarding NPL management.

The new 2018-2021 Plan is expected to be presented by the end of the summer of 2017.

II, III - INFORMATION ON THE EXISTENCE AND ASSESSMENT OF THE ADEQUACY OF INFORMATION MADE AVAILABLE BY THE DIRECTORS ON ATYPICAL OR UNUSUAL TRANSACTIONS, INCLUDING INTERCOMPANY TRANSACTIONS OR TRANSACTIONS WITH RELATED PARTIES.

The Report on Operations and the information produced during meetings of the Board of Directors and Executive Committee and those received from the Chief Executive Officer, the General Manager, the Supervisory Board as per Legislative Decree 231/2001, as well as from the Boards of Statutory Auditors of the other Banks and Companies controlled by BPER Banca S.p.A. - and in any case those collected as part of our supervisory activity - did not reveal the existence of any atypical or unusual transactions carried out with third parties, Banks and Companies of the Banking Group or with related parties.

It should be recalled that the management of conflicts of interest and risk assets with associated persons is governed by the "*Group policy regarding controls over risk assets and conflicts of interest versus associated persons*", adopted in accordance with the Bank of Italy's Circular no. 263/2006, approved by the Board on 11 November 2015. As regards to the overall rules on related parties and associated persons, mention should also be made of the internal regulatory documents called "*Group regulations for the handling of transactions with related parties and associated persons*" approved by the Board on 12 November 2013, and "*Group Regulations for the monitoring of prudential limits on risk activities – monitoring of prudential limits on risk activities with related parties and associated persons*" approved by the Board on 24 June 2014, in compliance with additional formalities.

Further information on transactions with associated persons and related parties is provided in the Group report on operations and in the report on operations, as well as in Section H of the notes to the consolidated financial statements and the draft separate financial statements.

We regularly receive periodic information flows on transactions with related parties and associated persons and on the monitoring of exposures involving associated persons; where necessary, we requested additional information and details.

In this context, we can confirm that there has been a reduction in transactions with Directors and other corporate officers and a general stabilisation of transactions with associated companies, while there has been a significant increase in the volumes of intercompany payables related to centralisation of Group cash management at the Parent Company.

We also met with the Independent Directors Committee, without prejudice to the tasks and duties established generally by statutory and banking regulations for its specific supervisory purposes on the subject of conflict of interest, ensuring an adequate exchange of information.

With regard to more significant intercompany transactions or transactions with related parties, we can confirm that the Board of Directors has provided an exhaustive explanation of such transactions in the report on operations and in the notes to the financial statements, explaining the methods for determining the amount of their fees. To the knowledge of the Board of Statutory Auditors, these transactions were concluded in the interest of the Bank and did not lead to any comments on their appropriateness, being considered part of the Bank's day-to-day operations.

We also acknowledge that we have been given appropriate information on transactions with related parties or associated persons in accordance with the provisions introduced by CONSOB with Resolution no. 17221 of 12 March 2010 and in compliance with the requirements on associated persons as per Circular 263 of the Bank of Italy - 9th update of 12 December 2011. This information was received through the prescribed quarterly information flows and at two joint meetings held with the Independent Directors Committee.

We can certify that the transactions as per art. 136 of the CBA were unanimously approved by the Board of Directors and with the favourable opinion of all members of the Board of Statutory Auditors, in compliance with the special provisions of law.

Lastly, as regards the supervisory reports required for transactions carried out by relevant parties and by persons closely associated with them pursuant to art. 114, paragraph 7, of the CFA and arts. 152 sexies, septies and octies of CONSOB's Issuers Regulation (instructions on Internal Dealing), we have ascertained that the Bank adopted appropriate internal rules and procedures for making such reports through the adoption of an *"Internal Dealing Regulation"*.

IV - OBSERVATIONS AND PROPOSALS ON THE FINDINGS AND HIGHLIGHTS CONTAINED IN THE INDEPENDENT AUDITORS' REPORT

The Board of Statutory Auditors is identified by Legislative Decree 39/2010 as the "Internal Control and Audit Committee" and supervises the financial reporting process, the effectiveness of the internal control system, internal audit and risk management, the audit of the annual and consolidated accounts and the independence of the auditors, also pursuant to the EU Delegated Regulation 537/2014.

In this regard, we would point out that the audit engagement as per art. 2409 bis of the Italian Civil Code and the audit of the financial statements pursuant to art. 156 of the CFA, granted by the Shareholders' Meeting of 10 May 2008 for the nine years from 2008 to 2016, was assigned to PricewaterhouseCoopers S.p.A. ("PwC"), together with the opinion on the consistency of the report on operations and of the information referred to in paragraph 1 letters c), d), f), l), m) and paragraph 2, letter b) of article 123 bis of the CFA presented in the Report on Corporate Governance and Ownership Structure.

In view of the expiry of PwC's mandate and given the timing related to the obligations in art. 26, paragraph 2, letter a) of the EU Commission's Delegated Regulation (EU) no. 575/2013 ("CRR"), as of July 2016, the Bank, together with the Board of Statutory Auditors, carried out the procedure for selecting a new audit firm for the nine years from 2017 to 2025 in accordance with the provisions of art. 16, paragraph 3 of the Delegated Regulation (EU) no. 537/2014. As a result of the selection procedure the Board of Statutory Auditors, pursuant to art. 16, paragraph 2 of the Regulation has therefore prepared, also for the purposes of art. 24 of the Articles of Association, a reasoned recommendation, containing two proposals with a preference expressed for one of them. This was transmitted to the Board of Directors and presented to the Shareholders' Meeting held on 25 and 26 November 2016, in ordinary session, based on the report pursuant to art. 125-ter of the Consolidated Finance Act published on 26 October 2016, to which reference should be made. The proposal made to the Shareholders' Meeting refers to the Parent Company, but also takes into account the offers and valuations made with reference to the entire Group, given the Bank's preference to have a single firm audit the whole of the Group.

On 26 November 2016, the Ordinary Shareholders' Meeting appointed Deloitte & Touche SpA as Independent Auditors for the nine years mentioned previously, this being the firm that was preferred by the Statutory Auditors.

On 16 March 2017 the Independent Auditors issued the reports pursuant to arts. 14 and 16 of Legislative Decree 39 of 27 January 2010 (as applicable to 2016 on a transitional basis), which included their certification that the separate and consolidated financial statements complied with IAS/IFRS issued by the International Accounting Standards Board and adopted by the European Union, in force since 31 December 2016, as well as with the measures implementing art. 9 of Legislative Decree 38/2005.

In particular, these reports highlight the fact that the separate and consolidated financial statements have been drawn up clearly and in accordance with the law and general accepted accounting standards and that they represent a true and fair view of the financial position, results of operations and cash flows for the year ended 31 December 2016.

In addition, the report of the Independent Auditors does not include any findings or highlights regarding the nature, quality and accuracy of the information, including the consistency of the Report on Operations, nor on the reliability of the bookkeeping/accounting system, which appears to be adequate and in line with the operational needs of the Company.

We received from PwC the report pursuant to art. 19, paragraph 3 of Legislative Decree 39/2010, dated 16 March 2017, on key matters that arose from the statutory audit and on any significant weaknesses found in the internal control system in relation to the financial reporting process. In this regard, we did not receive any evidence of significant weaknesses.

V - INFORMATION ON ANY COMPLAINTS UNDER ART. 2408 OF THE ITALIAN CIVIL CODE AND ACTION TAKEN

No complaints pursuant to art. 2408 of the Italian Civil Code were received during 2016 and up to the date of this report.

VI - INFORMATION ON ANY PRESENTATION OF COMPLAINTS AND ACTION TAKEN

We would like to mention the letter signed by a shareholder, Mr. Elman Rosania, received on 1 April 2016, concerning his alleged request for rectification of the 2015 financial statements for the discovery of liquidity generated and not accounted for (relating to the virtual/electronic money "created" by the Bank) with a request to pay the related premium under art. 930 of the Italian Civil Code. We initiated an investigation into this matter and based on the checks carried out together with the Manager responsible for preparing the company's financial reports, came to the conclusion that the shareholder's hypothesis was totally unjustified and a reply to this effect was given to him at the Shareholders' Meeting held on 16 April 2016.

We would also point out that, in relation to the provisions of art. 52-bis of the Consolidated Banking Act and the related implementing instructions of the Bank of Italy (Circular no. 285/2013, Title IV, Chapter 3, Sec. VIII), and pending full implementation of art. 8-bis of the Consolidated Finance Act, the Bank, with the Board resolutions of 2 and 15 December 2015, has implemented its own system of whistleblowing, centralised at the Parent Company. This is structured in such a way as to ensure the transmission, receipt, review and assessment of reports of infringements of legislation governing banking activities as per art. 10 of Legislative Decree 385/93 (acceptance of deposits from the public, lending, failure to observe rules governing financial activities and fraud to the detriment to one or more companies) via specific, autonomous and independent channels that differ from normal reporting lines and confidentiality and protection of the personal data pertaining to the reporting party and to the party exposed.

In this context, the Head of the Internal Audit Department acts as Head of the Internal Reporting System and the Board of Statutory Auditors of the Parent Company (or of Group companies and the banks involved in the reporting) acts as the Control Body.

No reports were received through this channel in 2016.

VII - INFORMATION ON ANY ADDITIONAL ASSIGNMENTS TO THE INDEPENDENT AUDITORS AND RELATED COSTS

Please note that the compensation paid to PwC for the legal audit was approved by the Shareholders' Meeting on 10 May 2008 for the nine years from 2008 to 2016, subsequently updated according to the contractual mechanisms already foreseen.

In this regard, in accordance with specific regulations, we acknowledge that the audit fees paid by the Bank to PwC for the year 2016, which totalled € 1,084 thousand for the audit of the Parent Company and the consolidated financial statements, are broken down as follows:

- € 532 thousand for the audit of the financial statements of the Bank at 31 December 2016, including periodic activities under article 14 of Legislative Decree 39/2010;
- € 83 thousand for the audit of the Consolidated financial statements at 31 December 2016;
- € 229 thousand for the limited audit of the Condensed half-year financial statements included in the Consolidated half-year report at 30 June 2016;

- € 240 thousand for the limited audit of the Interim report on operations at 30 September 2016.

The following additional fees were also awarded to the Independent Auditors for other assignments:

a) € 30 thousand for the activities performed in relation to the translation into English of the auditors' reports on the Separate and Consolidated financial statements for the year ended 31 December 2015 and of the Condensed consolidated half-year report for the period ended 30 June 2016;

b) € 97 thousand for the issue of comfort letters for the update and implementation of the covered bond issue programme and for the certifications as part of the related disposals;

c) € 35 thousand for the issue of comfort letters for the update of the "Euro Medium Term Notes" programme;

d) € 7 thousand for activities involved in signing off the consolidated national and international tax return for the year 2015 for the purpose of offsetting a tax credit.

PwC were also paid € 705 thousand for auditing the Italian subsidiaries and € 103 thousand for auditing the foreign subsidiaries (paid to affiliates of PwC). Additional assignments by PwC were also paid fees of € 27 thousand for signing BPER's tax returns and certification of information pertaining to the National Guarantee Fund (NGF) from Italian subsidiaries and € 5 thousand for signing tax certifications of foreign companies by the PwC network.

VIII - INFORMATION ON ANY ADDITIONAL ASSIGNMENTS TO PARTIES WITH ONGOING RELATIONSHIPS WITH THE INDEPENDENT AUDITORS AND RELATED COSTS

During 2016, collaboration continued with other companies that have ongoing relationships with the Independent Auditors, started in previous years, for assignments received. These are:

TLS – Associazione Professionale di Avvocati e Commercialisti:

a) Tax advisory services rendered in connection with the Patent Box project, Transfer Pricing and VAT issues for € 78 thousand;

PricewaterhouseCoopers S.p.A.:

b) Due diligence activities as part of the acquisition of a stake in CR Saluzzo for € 140 thousand (assignment awarded prior to June 2016);

PricewaterhouseCoopers Advisory S.p.A.:

c) Methodological support as part of a project to identify the impact of the MiFID II-MiFIR rules for the Parent Company, Euro 55 thousand, plus € 11 thousand for Banco di Sardegna and € 1 thousand for CR Bra;

d) Methodological support in the monitoring of outsourcing activities on behalf of the Parent Company, € 100 thousand; as well as for implementation of the management model, € 35 thousand, and the adaptation of contracts for € 126 thousand related to the Parent Company, in addition to € 8 thousand and € 30 thousand, respectively, for Banco di Sardegna; € 1 thousand and € 5 thousand respectively for Banca di Sassari and, for the adaptation of contracts, € 166 thousand for BPER Services s.cons. p.a.;

e) Technical and methodological support as part of the project to assess and analyse the organisational model with a view to ensuring consistency in the Group's compliance policies, for Euro 140 thousand;

f) Methodological support to improve the analysis of information on loans to customers for funding purposes, € 108 thousand;

g) Methodological support for implementation of the road map for governance of the information system with reference to Bank of Italy Circ. 285 carried out for BPER Services scons.p.a. for € 644 thousand.

Having obtained the report on the independence of the Independent Auditors pursuant to arts. 10 and 17 of Legislative Decree 39/2010, we do not believe that there are critical aspects regarding independence or causes of incompatibility pursuant to arts. 10 and 17 of the Independent Audit Code and the related implementing provisions.

In view of the entry into force of Regulation (EU) 537/2014, with particular regard to the ban on providing non-audit services and the limits on audit fees, and in relation to the new provisions on independence and transparency introduced by Legislative Decree 135/2016 which amended Legislative Decree 39/2010, pending the definition of new Group regulations, instructions were issued to subsidiaries to ensure that all non-audit engagements to the outgoing and incoming auditors (PwC and Deloitte) are communicated in advance to the Manager Responsible and to the Board of Statutory Auditors of the Parent Company.

IX - OPINIONS ISSUED DURING 2016 BY THE BOARD OF STATUTORY AUDITORS PURSUANT TO THE LAW

During 2016 and up to the date of this report, we issued any obligatory opinions required by the law, the Articles of Association and Supervisory Regulations.

The opinions expressed and observations made in accordance with supervisory orders or requests include:

- an opinion on the remuneration of directors that perform special duties as per art. 2389 of the Italian Civil Code;
- opinions on the appointment of a director to replace a member of the Board as per art. 2386, paragraph 1, of the Italian Civil Code;
- opinion on the project to transform the Bank into a joint-stock company;
- opinions on the appointment of persons in charge of internal control functions as well as the replacement of the Manager responsible for preparing the Company's financial reports;
- assessments relating to the ICAAP and ILAAP process and the related 2016 Reports (in accordance with the Bank of Italy's Circular 285/2013, Part I, Title III, Chapter 1 and the Bank of Italy's Circular 263 of 27 December 2006, Title V, Chapter 7);
- observations on the report on outsourced operational functions (Bank of Italy Circ. 263/2006, Title V, Ch. 7);
- opinions, in accordance with the Bank of Italy's Circular 285/2013, Part I, Chapter 1, Sec. III, on amendments to the "Guidelines on the Internal Control System" and the "Regulation of the Group Risk Management Department";
- opinion on amendments to "Group Regulation on the process of Structuring and Managing a Covered Bond Programme" within the meaning of Bank of Italy Circular 285/2013, Part Three, Chapter 3, Sec. II, para. 5;
- opinion on the 2016 Recovery Plan adopted by the BPER Group in compliance with the provisions of Directive 2016/59/EU (BRRD);
- comments on planning the activities of the Corporate Control Functions and their reporting under Bank of Italy Circ. 285/2013 (Title V Chapter 3) and Bank of Italy Instructions of 11.03.2011;
- comments on the planning and reporting of the various functions involved in accordance with CONSOB Resolution 17297 of 28 April 2010;
- opinion on the assessment carried out by the Internal Audit Department on the transfer of assets from EMRO Finance to BPER (Europe) International s.a. in 2015, as requested by the Supervisory Authority.

The Board of Directors normally meets once every month, in accordance with the current Articles of Association; however, no. 25 meetings were held during 2016.

The Executive Committee normally meets in compliance with the frequency requirements laid down in its "Operating Rules"; no. 17 meetings took place in 2016.

During 2016 we held no. 57 meetings, often holding meetings with several corporate bodies or functions on the same day; the minutes explain the control and supervisory activities that were carried out.

During 2016, the Control and Risk Committee held 26 meetings, no. 21 of which saw the participation by the Chairman of the Board of Statutory Auditors or another Statutory Auditor.

We can report that, during our mandate and through a special annual self-assessment, we have verified the adequacy of the Board of Statutory Auditors in terms of its powers, operations and composition, in accordance with current legislation, introduced by the 1st update of 6 May 2014 of Circular 285/2003 of the Bank of Italy. In compliance with our "Internal regulations of the self-assessment process", on 20 December 2016, having examined the results of the self-assessment process, we carried out this assessment, which ended with a positive outcome.

We also noted that the Board has positively assessed its own qualitative and quantitative composition and functional efficiency (in May 2016), as well as those of the Executive Committee (March 2016).

XI, XII, XIII - COMMENTS ON COMPLIANCE WITH THE PRINCIPLES OF CORRECT ADMINISTRATION, ADEQUACY OF THE ORGANISATIONAL STRUCTURE AND OF THE INTERNAL CONTROL SYSTEM

Correct administration

We have monitored compliance with the law, the Articles of Association and the requirements of Public Supervisory and Control Authorities; we acquired knowledge about and monitored, within the scope of our sphere of competence, compliance with the principles of correct administration and the adequacy of the organisational and accounting structures, as well as the overall functionality of BPER's Internal Control System.

This also through continued participation at meetings of the Board of Directors and the Executive Committee, as provided by current regulations, through meetings with Board Committees, the Supervisory Body as per Legislative Decree 231/2001, the Chief Executive Officer and the General Manager, as well as through the other supervisory activities mentioned previously.

We were able to make sure that the activities of these Committees and Bodies were based on respect for the principles of correct administration and protection of the Bank's assets. During the meetings we attended and the checks we carried out, we did not become aware of any transactions which were manifestly imprudent, risky or in potential conflict of interest, nor of actions contrary to the decisions of the Shareholders' Meeting or that might compromise the integrity of the Company's assets. In addition, there were no transactions involving Directors that did not have the required information.

As mentioned previously, we also checked that the main transactions to be approved were backed by adequate and thorough analysis and evaluation of all relevant aspects, making use, where appropriate, of independent expert appraisals.

In our opinion, the Bank is managed competently and in compliance with the law and the Articles of Association. The structure of powers and proxies, as currently allocated, appears appropriate to the size and operations of the Bank, as stated in the Directors' Report on Operations, in particular in the "Report on Corporate Governance and Ownership Structure", introduced by art. 123 bis of the CFA. The administrative activity did not give rise to any findings nor to particular or significant observations as indicated elsewhere on our part, nor by any other Corporate Body vested with specific control functions.

With regard to the decision-making processes of the Board of Directors, we monitored, also through direct participation at board meetings, its compliance with the law and the Articles of Association and verified that the resolutions of the Board of Directors were supported by adequate processes of information, analysis and verification.

We took note of the declarations made pursuant to art. 2391 of the Italian Civil Code.

Board meetings were regularly attended, by right or by invitation, by the General Manager, the Deputy General Managers and the Secretary to the Board of Directors, for the explanation and analysis of the measures to be decided. These meetings were also attended by other Managers, depending on the specific topics on the agenda.

During the course of regular meetings with the CEO, we discussed and provided our comments on the issues of greatest interest to the Bank and the Group (including the results of internal and external audits and of the checks carried out by the manager responsible for the subsidiary Sardaleasing SpA, progress on the various projects in the business plan, the results of the ECB's SREP letter for 2016, the start of BPER Credit Management work-out unit, etc …).

Organisational structure

The Company's organisational structure changed during the year in order to meet the operational requirements that arose also with regard to the initiatives undertaken for the development of the Company's activities as a whole and for the 2015-2017 Business Plan, as noted by us.

As regards the organisational structure, please refer to the matters discussed above in relation to the delayering project contained in the 2015-2017 Business Plan, which aims to redesign the Bank's organisational units, simplifying the structure to make processes and operations more efficient and fluid.

As part of the organisational system, we have closely followed developments in the internal control functions affected by a significant evolution in the wake of the constant changes in external banking regulations and increasing demands expressed by the Governing Bodies; this in a context of organisational change (the delayering project and the review of graduated compliance model) and technological development (projects related to remote controls, creating systems of stress testing, upgrading the operational risk management platform and projects in the field of data governance).

The system architecture was affected by the progressive introduction of a summary reporting system, which accompanies and completes the detailed reporting systems already in place, and a revision of the system for the management of findings in order to ensure homogeneity, timeliness and priorities for action, in line with best practice (EBA/CP/2016/16); this new policy, which is currently being implemented, should enable a consistent approach among the various corporate control functions in their evaluation of audit findings and a standardised approach to resolution measures, monitored and in line with the Bank's and the Group's priorities.

Some slowdowns in achieving authorised target staffing for the control functions required temporary use of external consultants.

The credit and loans area has been the object of particular attention on our part, both as regards implementation of the new organisational model (with clear separation between granting and managing performing credit from that of abnormal loans) and as regards the various processes (activation of specialised units, implementation of engines for the detection of particular positions and evolution of the procedures in support of management and the outsourcing of recovery activities).

As regards the management of NPE, we noted that the Group model provides for a separation between the management of impaired exposures other than bad loans, which fall into the area of the CLO, and bad loans. With reference to the latter, during the year the Group activated a work unit in the form of a consortium dedicated to the management of bad loans, activating a special mandate and transferring the management of such positions. The process is still in progress, also in connection with activities related to the adaptation of the EBA Guidelines on NPL (draft issued in September 2016); they appear open to improvement, especially in the processes of aggregation, integration and processing of information, those of reporting and the definition of targets to be achieved.

The NPL disposals made during the year have also allowed the Bank to gain considerable practice in the management of such transactions.

In our opinion, there are no critical issues of particular relevance to be reported nor significant comments to be made regarding the Bank's organisational structure. No particular weaknesses were found nor situations to be reported here regarding the effective functioning of Bodies, corporate functions, systems and procedures. We took note of the delicate and progressive actions undertaken in order to modulate the organisation and corporate structure in compliance with the objectives outlined in the Business Plan currently in progress (including the review and streamlining of the number and role of internal management committees and the simplification of governance), as well as of the constant steps being taken in the consolidation and refinement of procedures and corporate regulations that became more necessary in order to adjust and align the models, procedures, and consequently the structure and organisation to the new needs and to the new provisions and indications issued by the Supervisory Authorities.

The organisation and services, both those structured within the Company and the Group, and those that have been outsourced, are appropriate and performed on a timely basis for the required obligations, both in terms of regulations and for the purposes of a fair, effective and efficient corporate management.

As regards the functions entrusted to outsourcing, both inside and outside the Group, in 2016 the Bank refined the processes of managing, monitoring and evaluating such services, which are currently being implemented, as well as reviewing the various types of contract.

The remuneration system of the Bank and the Group, subject among other things to the provisions of the 7th update of Bank of Italy's Circular 285/2013, is outlined in the Remuneration Report (prepared in accordance with art. 123 ter and art. 84 quater of the CFA) and the "Prospectus for phantom stock compensation plan" (prepared under article 114 bis of the CFA) submitted to the Shareholders' Meeting; further information is provided in the report on operations and in the Group report on operations, as well as in Part I of the notes to the draft separate and consolidated financial statements and in the Third Pillar disclosure to the market.

During the course of 2016, the remuneration system made further developments and refinements including a closer connection with the RAF/RAS, as well as the introduction of the MBO System, of which are beneficiaries the Material Risk Takers and management roles, which are based on incentive criteria.

Internal Control System

With reference to the Internal Control System, in referring to what is reported in the report on operations, in the Group report on operations, in the Explanatory Notes, in the Report on Corporate Governance and Ownership Structure and in the Third Pillar disclosure to the market, this system is primarily characterised by the Group Guidelines, as last updated by the Board of Directors in November 2016, which is divided into three layers (Group internal controls, corporate internal controls and internal controls of the Group). The Guidelines show and explain the roles of the Bodies and control functions involved, the procedures for coordination and collaboration and the information flows exchanged between functions and between them and the Corporate Bodies of the Parent Company and of Group Companies.

The Parent Company's control functions also carry out tests at the main banks and companies of the Banking Group on an outsourcing basis; in this context, the relevant scope was extended during the year to the new entities that have joined the Group (CR Saluzzo SpA, BCM); as regards the other entities of the Banking Group, control is in any case carried out as part of the management supervision and coordination activity.

The Board constantly monitored the internal control system, both through frequent and regular meetings with the corporate control functions, and through direct verification activities at the various levels of the control system.

In this context, we receive and analyse the reports on the checks performed by the Corporate Control Functions and take steps to ask senior management or the strategic supervisory body for feedback, follow up or interventions.

During 2016, we addressed several issues related to the internal control system, including the size and the expected strengthening of the functions, the planning, handling of findings, the system of management and control of credit, operational and financial risks, providing recommendations and input (e.g. on the valuation of collateral).

The information system, which is managed by the BPER Services consortium, is involved in important projects as part of the implementation of policies and regulations to transpose new legislation (Circ. 285, Title V, Chapter IV), particularly on the subject of data governance: these projects respond to a need for data quality that is strongly felt within the Group and the corporate functions, both control and operational. This matter intersects with that of NPL management and is a critical success factor in relation to both the workout capacity and the ability to obtain assignment prices in line with expected internal rates of recovery.

We monitor the transposition of directives and Group regulations, requiring, where necessary, the intervention of the equivalent control functions operating at subsidiaries.

Based on the actions and facts examined during the course of our monitoring activity, we did not find any situations that might indicate that the internal control system as a whole was inadequate; in fact, the internal control system did not reveal any significant problems, pending the activity of the Control and Risk Committee and the continued work on the part of the competent functions of constant methodological and organisational review and refining, which have led to better results compared with last year, in terms of effectiveness and efficiency. Significant work was also carried out to keep the Bank in line the European legislation as it evolved.

In this context, one of the numerous activities that we performed was to review the annual results for 2016 of the internal control functions and the planning for the current year, providing input and suggestions.

Considering our overall knowledge and taking into account the outcome of the evaluation of the internal control system carried out by the Corporate Control Functions, we believe that the Internal Control System is substantially adequate overall, also in relation to the dimensional and operational characteristics of the Bank and the Group.

Risk management and control system

The risk management and control system is an integral part of the Group's Internal Control System and is expressed through Group policies, regulations and procedures.

The ICAAP and ILAAP processes achieved significant progress in 2016, though they also highlighted the opportunity to refine the time framework for preparing the respective reports, the link with RAF and the budget/plan, greater integration of the ICAAP figures with the Quarterly RAF reporting and inclusion in the available capital of the effects resulting from the IFRS 9 project, points that were the subject of interventions during the year for which a positive effect is expected in the 2017 accounts.

As for unquantified risks, we mentioned the development of the reference framework, which is open to further improvements in relation to the residual risk and the possibility of a better link, as regards the risks in the trading book, between internal capital and the RAF metrics and the definition of fiduciary limits on issuers.

In relation to the Recovery Plan, its updating to 2016 was approved at the beginning of 2017. There were significant areas of improvement compared with the previous year; others are being addressed (the development of stress test scenarios, the hierarchy of recovery options and details of actions by legal entity).

With reference to the management of credit and counterparty risk, while remembering what was mentioned previously with regard to authorisation to use the AIRB approach, we would point out that this system facilitates the accounting measurement processes with the use of management statistics, also as benchmarks for valuation purposes (e.g. use of LGD/PD for the assessment of exposures classified as "unlikely to pay" up to € 500 thousand and as "past due").

Particular attention has also been devoted to reconfiguration of the second level credit control activities, now substantially up to speed, and which represent an important element of the internal control system.

Market risks are monitored using VAR-based models and a system of limits that is subject to maintenance, depending on the complexity of the portfolios; expected developments regarding the concentration of guarantees and sovereign risk.

The operational risk area has been involved in changes, both in relation to the framework and with reference to the detection and analysis platform, completed by a process of risk assessment. This area is going through a period of evolution: at the end of the year the policy on reputational risk was updated and the Group undertook to implement the improvements that emerged in the field of payment systems and cybercrime.

Supervisory checks

In relation to the issues mentioned above, we would like to give an update on the inspections in progress and/or completed.

During the year, we continued to monitor implementation of the initiatives taken by the Bank in response to the organisational and procedural actions that arose from the Asset Quality Review (AQR), as part of the Comprehensive Assessment carried out by the ECB between the end of 2014 and early 2015.

As mentioned in the 2015 report, following an inspection by the Bank of Italy that ended in July 2015, designed to assess compliance with the regulations on transparency of operations and fairness in dealings with customers and combating money laundering, in September 2015, the Bank submitted its own observations to the Supervisory Authority. We have continuously monitored the implementative activities relating both to anti-money laundering, which are substantially completed except for certain IT activities, and those in the field of transparency in customer relations, which are continuing in accordance with the plan and not yet completed.

As part of the ongoing supervisory procedures of the Single Supervisory Mechanism (SSM) at European level, since the end of January 2016 the BPER Group has - like other national intermediaries - been involved in an assessment of the strategy, governance, processes and methodology adopted by the Group in the field of non performing loans. As of the date of this report, the results of this assessment have not yet been communicated, even though talks and discussion with the Supervisory Authority have continued.

With reference to the on-site verification carried out during 2015 by the ECB in the field of governance and internal controls and the thematic review on remuneration and risk management, the results of these two surveys were notified jointly in the follow-up letter sent by the ECB in March 2016. During 2016, the Bank completed most of the planned activities in response to the observations made as a result of the supervisory activity on governance (and risk management) and we are monitoring completion of the planned interventions in accordance with the Supervisory Authority's requests. Further improvements in governance processes may derive from future participation in the rules of conduct for listed companies, as discussed in the Report pursuant to art. 123-bis of the Consolidated Finance Act.

In 2016, the ECB also performed another on-site check on the "credit and counterparty risk management and control system", concerning the adequacy, effectiveness and completeness of these processes, which ended in April 2016. Following this audit, the results of which were communicated to the Bank most recently in October 2016, the Supervisory Authority has issued several recommendations relating to the credit control function, which were implemented during the course of the inspection, the processes involved in valuing collateral, strengthening the autonomy of the work out unit, refinement of provisioning based on statistical methods, provisioning with regard to "unlikely to pay" exposures and bad loans, and upgrading IT support. Overall, all of the interventions are scheduled to be completed by 30 September 2017. We are monitoring the progress of remedy activities and their quarterly reporting.

At the time of validation of the AIRB models, the Supervisory Authority also made a number of recommendations regarding completion of the roll-out process, which is expected to be completed in 2018, as well as other procedural and reporting improvements, which are expected to be completed in 2017. We are monitoring their progress and stage of completion.

Note also that the ECB has been carrying on an on-site inspection since 15 December 2016 on the "Accuracy of the calculation of the capital position" of the BPER Group. The inspection is still in progress at the date of this report, so the results are still not available.

Since 2 December 2016, the Group has been the subject of a thematic analysis to assess the potential impact of IFRS 9 as part of ongoing monitoring by the ECB and, as far as we know, already started some time ago with other important banks.

In December 2016, the Bank received the ECB's SREP Letter for 2016, in which the Supervisory Authority sets the BPER's consolidated capital requirements applicable from 1 January 2017 in terms of CET1 ratio (7.25%) and Total Capital ratio (10.75%); these requirements are fully respected. At the same time, the Supervisory Authority asked for quarterly reporting on NPE and the definition of a strategy for the management of NPL, to be transmitted by the end of March 2017 and designed to tackle the Group's high level of loans in default, with quantitative and other targets. As mentioned previously, such a strategy, which is linked to the plan to adhere to the EBA's guidelines on the management of NPL, is currently being developed.

XIV - COMMENTS ON THE ADEQUACY OF THE ADMINISTRATIVE AND ACCOUNTING SYSTEM AND ON ITS RELIABILITY TO REPRESENT OPERATING EVENTS CORRECTLY

We have assessed and monitored the adequacy of the administrative and accounting system, its reliability in correctly representing operating events, by obtaining information from the heads of the various Corporate Functions, examining the most significant corporate documents, analysing the work performed by the Independent Auditors PwC, by the Manager responsible for preparing the company's financial reports, and by the Internal Audit Department.

As part of the Internal Control System, in relation to financial reporting, a primary role is played by the Manager responsible for preparing the company's financial reports, who has defined a specific Control Model for Financial Reporting approved by the Board of Directors, using the support of the Financial Reporting, Monitoring and Control Office for the tasks foreseen in Law 262/2005 and art. 154 bis of the CFA.

In this regard, we took note of the positive content of the report of the Manager responsible for preparing the company's financial reports for the purposes of art. 154 bis, paragraphs 3 and 4, of the CFA that describes the Control Model for Financial Information, the checks carried out, the overall evaluation of the system and any points of attention, and the planning for 2017.

Given the task attributed to us as part of the financial reporting process, we maintained close coordination with the Financial Statements and Administration Department, the head of which is also the Manager responsible for preparing the company's financial reports.

During the year we reviewed the checks performed by the Financial Reporting Monitoring and Control Office and the results of these checks; at the beginning of 2017 we took note of the actual activity and planning carried out. In this context, the points of attention are monitored by us, and with our usual constructive relationship, we provide suggestions and recommendations where necessary.

As for financial reporting processes, the Board has taken note of the strengthening which occurred in 2016 in the design and control activities carried out by the UCMIF, whose surveys have enabled the Group to focus on certain aspects of interest for the purpose of the consolidated financial statements (e.g. Nadia, Sardaleasing).

From an accounting point of view, all of the Group's Italian Banks adopt the same procedures, with the exception of CR Saluzzo, which joined the Group recently, for which alignment has already been programmed; these procedures are managed centrally by BPER Services, while for the main non-banking companies (Sardaleasing SpA and Emil-Ro Factor SpA), IT mirroring procedures have been introduced to allow centralised control. Further benefits are expected from the construction of the Group's internal datawarehouse, currently being implemented, also for auditing purposes.

Lastly, the Board has monitored, and continues to monitor, implementation of the suggestions made by the Independent Auditors, which in any case did not highlight any issues needing particular attention.

In relation to accounting information contained in the separate and consolidated financial statements at 31 December 2016, the Chief Executive Officer and the Manager responsible for preparing the company's financial reports issued the required certification pursuant to art. 81 ter of CONSOB Regulation 11971, without any comments.

It is worth recalling that the BPER Group does not include any companies incorporated under the laws of non-EU countries.

In light of the above, the administrative and accounting structure is adequately defined and suitable to meet the business needs that arose during the year.

The internal control system on financial reporting, constantly subject to updates and maintenance, is organised, structured and equipped with appropriate resources and tools.

The Independent Auditors checked the administrative and accounting procedures without highlighting any matters regarding their reliability. They also checked the accuracy of the recognition of operating events in the accounting records, as well as the completeness of the information and accounting policies for the preparation of the separate and consolidated financial statements, without making any comments or observations.

Even though the statutory audit of the accounts as per art. 2409 bis of the Italian Civil Code is not part of the duties of the Board of Statutory Auditors, being delegated to the Independent Auditors, based on the information received from the latter and from the Manager responsible for preparing the company's financial reports and the checks provided for in arts. 2403 et seq. of the Italian Civil Code, we are of the opinion that the administrative and accounting system, as a whole, is adequate and reliable and that operating events are recognised correctly and punctually.

We have also followed developments related to the introduction of the new accounting standard IFRS 9, which implies a number of changes in relation to loan assessment processes, as mentioned in the Group Report on Operations. In this regard, while referring to the Directors' report on the consolidated financial statements for further details, please note that impacts of first-time application of the standard - which will have to be recognised as a contra-entry to shareholders' equity - are considered significant by the Directors, but precise figures are not yet available.

Lastly, it should be noted that the Bank and the Group do not have any situations that could be considered significant for disclosure purposes under IFRS 12.

XV - COMMENTS ON THE ADEQUACY OF THE INSTRUCTIONS GIVEN TO SUBSIDIARIES UNDER ART. 114 OF THE CFA

We have monitored the adequacy of the instructions given by the Bank to its subsidiaries, pursuant to art. 114 of the CFA, deeming them appropriate for the latter to comply with the legal disclosure requirements.

In relation to the close functional and operational links, as well as the presence of contact persons at the subsidiaries, a proper and adequate flow of information was guaranteed during 2016, supported by appropriate accounting documents and calculations relating to the management of legal entities under the Bank's control.

We have no comments to make on the adequacy of the instructions given to the banks or subsidiaries to acquire the information flows needed to ensure the timely fulfilment of the legal disclosure requirements.

On the more general issue of the relationship between the Parent Company and Italian banks of the Group - taking into account the meetings that were held throughout the year with their Control Bodies and the periodic conferences organised with a view to sharing information more and more with all of the Control Bodies of the Italian banks and other Group companies, and in the light of the directives issued by the Parent Company - we can confirm that no critical issues arose that need reporting.

In particular, we would like to mention the Group Convention held in May 2016, organised by Banco di Sardegna S.p.A., which was attended by all the Chairmen of the Control Bodies of the BPER Group's banks and companies. Subsequently, in November 2016, another Convention was held at the Bank's head office, organised by ourselves as the Board of Statutory Auditors of the Parent Company, attended by all the Chairmen of the Control Bodies of the Italian banks and a number of non-banking companies of the BPER Group. During these Conventions, which took place over a total of three days, the Corporate Control Functions, the Manager responsible for preparing the company's financial reports and the CLO presented their reports on topics relating to regulatory changes, implementation of processes for the Group and analyses of issues of common interest.

Lastly, we can confirm that we have remained in constant contact with the corresponding bodies of the main Group banks and companies; in this context, it should be noted that in October 2016 individual meetings were held with the Chairmen of the Boards of Statutory Auditors of the main Group entities for an exchange of information on key issues pertaining to the individual companies (evaluation of the internal control system, audit supervision, organisation, IT, human resources; performance of the company; management and assessment of non-performing loans; significant disputes/litigation; anti-money laundering; overall compliance; adoption of strategic and coordination instructions).

XVI - OBSERVATIONS ON SIGNIFICANT ISSUES THAT AROSE DURING THE COURSE OF MEETINGS HELD WITH THE INDEPENDENT AUDITORS PURSUANT TO ART. 150 PARAGRAPH 3 OF LEGISLATIVE DECREE 58/1998

Through checks and information obtained from the Independent Auditors PwC and from the Bank's senior management, we have been able to ensure compliance with the rules and laws on the preparation and format of the separate and consolidated financial statements and of the report on operations.

We have met with the Independent Auditors in charge of both accounting control as per art. 2409 bis of the Italian Civil Code and the statutory audit of the separate and consolidated financial statements, activating in such cases, a fruitful exchange of information, as required by art. 150 of the CFA.

In particular, together with the Independent Auditors, we examined the application of accounting standards, the best treatment and presentation of key elements in the financial statements from an economic, financial and capital point of view. There are no acts or facts considered reprehensible and/or that need to be reported in accordance with art. 155, paragraph 2 of the CFA.

During regular meetings with the Independent Auditors, the main issues and process and organisational changes with an impact on accounting systems and financial reporting were also discussed (e.g. changes in the credit supply chain, system of second-level checks on loans, finance department evaluation processes). The Board also met with the Independent Auditors in July to discuss the audit plan for the 2016 financial statements.

The Board also discussed with the Independent Auditors, as well as with the Manager responsible for preparing the Company's financial reports and other Corporate functions involved, issues relating to the measurement of receivables and financial assets and the impairment testing of equity investments and goodwill.

No anomalies, issues or omissions detected by the Independent Auditors arose during these meetings. During these meetings, we informed the Independent Auditors on our activities and reported any relevant and significant facts about the Bank that we were aware of.

There have been no significant changes in the Group's scope of consolidation compared with 2016. As regards the scope of consolidation, please refer to the Group report on operations and to Part A of the notes for information on the unification of the line-by-line scope of consolidation for accounting purposes with the scope of consolidation for supervisory purposes for reasons of rationalisation, simplification and control of process for producing the consolidated figures for supervisory and financial reporting purposes, without appreciable effects in terms of equity, economic results or financial performance of the Group.

XVII - CODE OF CONDUCT OF THE COMMITTEE FOR CORPORATE GOVERNANCE

As of the date of this Report, the Bank does not formally adhere to the Code of Conduct for listed companies or other codes of conduct regarding governance, despite having for years drawn inspiration from the principles set out in that code. For 2016, the Bank again prepared the "Report on Corporate Governance and Ownership Structure" in accordance with art. 123 bis of the Consolidated Finance Act, inspired largely by the "Format for the Report on corporate governance and ownership structure" prepared by Borsa Italiana S.p.A. In this regard, we verified its approval by the Bank's Board of Directors on 28 February 2017. The Report is published on the Bank's website.

As previously noted, subsequent to the transformation into an S.p.A., on 9 February 2017, BPER's Board of Directors passed a motion to perform appropriate analyses during the year, also of the organisational and documentary changes that would be needed, with a view to adopting the said Code.

XVIII - FINAL ASSESSMENT OF THE SUPERVISORY ACTIVITIES PERFORMED AND OF ANY OMISSIONS, MISCONDUCT OR IRREGULARITIES FOUND

Shareholders,

In concluding this report, we would like to confirm that we carried out our supervisory activities with the full cooperation of the Corporate Bodies, of the managers in charge of administrative and management activities, of the Independent Auditors, of the Internal Audit Department and other Corporate Control Functions and that there are no omissions, misconduct, transactions at risk or irregularities that ought to be reported.

Our supervision and control activity did not reveal any facts that would require reporting to the Supervisory and Control Authorities or mentioning in this report.

As can be seen from the figures in the report on operations (of the Bank and the Group) and in Part F of the notes to the separate and consolidated financial statements, the Bank's and the consolidated capital ratios at 31 December 2016 are all well over the required minimum, even with reference to the add-ons imposed by the European Central Bank as part of the 2015 SREP (in force until 31 December 2016) and the 2016 SREP (in force since 1 January 2017), as referred to previously.

As regards the principal risks and uncertainties to which the Bank and the Group are exposed, business continuity as a going concern and the situation of disputed items, as well as the business outlook, reference should be made to the report of operations and to the Group report on operations.

In referring to the report on operations, we can certify that we have monitored any significant events that took place after 31 December 2016, concerning:

- the decision by legitimate holders of the Bank's shares not to exercise their right of withdrawal, as reported previously (communicated to the market on 3 January 2017);

- on 25 January 2017, the sale of residential mortgages originated by the Bank or companies absorbed by it over time, for a total of € 404 million under the first covered bond programme (known as "OBG1"); on 3 February 2017, the seventh issue of covered bonds for an amount of € 540 million, subject to self-subscription, under OBG1; on 24 February 2017 the third issue of covered bonds for an amount of € 240 million, subject to self-subscription, under the second covered bond program ("OBG2");

As regards other events that took place after approval of the financial statements on 28 February 2017, we should mention that on 3 March 2017 Banco di Sardegna was sent a notice under art. 415-bis of the Code of Criminal Procedure, with the conclusions of the investigations that originated from the results of the Inspection carried out by the Bank of Italy at Banco di Sardegna in the first half of 2012. This notice concerns criminal proceedings brought by the Public Prosecutor at the Court of Cagliari against Banco di Sardegna SpA, under Legislative Decree 231/2001, and its officers during the period 2010/2012 and refers to an alleged offence under art. 2638 of the Italian Civil Code.

Again with reference to events that took place after 28 February 2017, we would highlight communication issued by the Bank to the market with a specific press release which provides information on BPER Banca's signing of a contract for the purchase of 100% of Nuova Cassa di Risparmio di Ferrara SpA ("Nuova Carife) from the Single Resolution Fund (press release issued to the market on 2 March 2017), after which steps are being taken to obtain the necessary approvals from the Italian and European Authorities and Institutions involved in this matter.

The Bank financial statements for 2016 show a net profit of € 18,698,675.54.

As for the proposed allocation of the profit for the period, the Directors have decided to submit the following for approval by the shareholders:

- cancellation of pre-existing reserves (statutory reserve, reserve for the purchase of treasury shares and the reserve for other risks), reversing them all to the Extraordinary Reserve;

- initially, part of the profit (€ 3,434,488.32) would be allocated to the restricted reserve under Legislative Decree 38/2005 (art. 6, para. 1, letter a), for unrealized profits net of tax and (to the extent required by law, namely € 763,209.36) to the legal reserve; this would leave distributable earnings of € 14,500,977.86;

- the distribution of a dividend of € 0.06 per share for a total of no. 481,308,435 shares representing the share capital (but excluding from this allocation the shares held in portfolio on the ex-dividend date, which at 31 December 2016, as at the date of the Directors' report, came to no. 455,458). The total amount allocated to dividends would therefore come to a maximum of € 28,878,506.10, so the Directors propose taking the difference of € 14,377,528.24 from the extraordinary reserve.

In this regard, the Directors would like to point out that this distribution of reserves does not appreciably affect the capitalisation of the Bank and the Group.

XIX - PROPOSALS TO THE SHAREHOLDERS' MEETING

Completing our supervision and control activity, we do not believe that there is any reason to exercise our right to make proposals to the Shareholders' Meeting in accordance with art. 153, paragraph 2, of the CFA.

XX - CONCLUSIONS

Shareholders,

In conclusion, we would like to recall the successful transformation of the Bank from a "cooperative" to a "joint stock company", as approved on 26 November 2016 by the Extraordinary Shareholders' Meeting, together with the consequent adoption of new Articles of Association. This transformation comes close to the 150th anniversary of the Bank's foundation.

Approval of the financial statements for the year ended 31 December 2016 marks the end of the period of office of no. 10 directors and you will be called upon, among other things, to elect by voting list no. 8 directors with a period of office of one year, as foreseen in art. 45 paragraph 3 of the current Articles of Association. This will conclude the process of gradually reducing the number of Board members (from 19 to 15), as approved by the Extraordinary General Meeting of the Shareholders on 18 April 2015, in compliance with the Supervisory Provisions of the Bank of Italy in the field of corporate governance, issued on 6 May 2014 (Circular 285 of 17 December 2013, 1st update, Part I, Title IV, Chapter 1) and overcoming the so-called "staggered board" system.

In conclusion, considering the content of the reports prepared by the Independent Auditors and having taken note of the declarations issued jointly by the Chief Executive Officer and the Manager responsible for preparing the Company's financial reports, we the Board of Statutory Auditors, within our sphere of competence, do not have any objections about the proposals made by the Board of Directors to the Shareholders' Meeting, including the proposed allocation of net profit, as we consider the information provided as complete and comprehensive.

At the end of the second year of our mandate, we would like to extend our heartfelt thanks to the outgoing Chairman, Ettore Caselli, and at the same time express our best wishes to the new Chairman, Luigi Odorici, who was elected on 20 December 2016. We would also like to thank all members of the Board of Directors and management, as well as all the Bank's staff for their assistance in carrying out the functions and tasks assigned to us.

Modena, 16 March 2017

The Board of Statutory Auditors

Antonio Mele (Chairman)
Carlo Baldi (acting auditor)
Diana Rizzo (acting auditor)
Francesca Sandrolini (acting auditor)
Vincenzo Tardini (acting auditor)

Other attachments

Geographical organization of the Group

Group commercial banks

Details	BPER Banca	BSAR	BSSS	CR BRA	CR SALUZZO	31.12.2016	31.12.2015
Emilia - Romagna	**297**	**1**				**298**	**298**
Bologna	55					55	55
Ferrara	14					14	14
Forlì – Cesena	33					33	33
Modena	77					77	77
Parma	27	1				28	28
Piacenza	5					5	5
Ravenna	31					31	31
Reggio Emilia	38					38	38
Rimini	17					17	17
Abruzzo	**97**					**97**	**96**
Chieti	37					37	36
L'Aquila	41					41	41
Pescara	11					11	11
Teramo	8					8	8
Basilicata	**34**					**34**	**34**
Matera	19					19	19
Potenza	15					15	15
Calabria	**42**					**42**	**43**
Catanzaro	10					10	10
Cosenza	14					14	14
Crotone	8					8	9
Reggio Calabria	6					6	6
Vibo Valentia	4					4	4
Campania	**95**					**95**	**96**
Avellino	26					26	27
Benevento	4					4	4
Caserta	5					5	5
Naples	24					24	24
Salerno	36					36	36
Lazio	**58**	**6**				**64**	**65**
Frosinone	3					3	3
Latina	9					9	9
Rieti	2					2	2
Roma	43	6				49	50
Viterbo	1					1	1
Liguria		**4**				**4**	**4**
Genoa		2				2	2
La Spezia		1				1	1
Savona		1				1	1
Lombardy	**40**	**2**				**42**	**42**
Bergamo	1					1	1
Brescia	4					4	4
Cremona	5					5	5
Lecco	1					1	1
Lodi	1					1	1
Mantua	11					11	11
Milan	15	2				17	17
Monza Brianza	1					1	1
Varese	1					1	1
Marche	**9**					**9**	**9**
Ancona	2					2	2
Ascoli Piceno	2					2	2
Fermo	1					1	1
Macerata	2					2	2
Pesaro-Urbino	2					2	2

Details	BPER Banca	BSAR	BSSS	CR BRA	CR SALUZZO	31.12.2016	31.12.2015
Molise	**10**					**10**	**10**
Campobasso	7					7	7
Isernia	3					3	3
Piedmont				**28**	**27**	**55**	**28**
Alessandria				3		3	3
Asti				4		4	4
Cuneo				17	20	37	17
Turin				4	7	11	4
Apulia	**35**					**35**	**35**
Bari	11					11	11
Barletta Andria Trani	5					5	5
Foggia	16					16	16
Taranto	3					3	3
Sardinia		**349**				**349**	**390**
Cagliari		86				86	97
Carbonia-Iglesias		20				20	23
Medio Campidano		21				21	25
Nuoro		46				46	50
Ogliastra		21				21	21
Olbia-Tempio		33				33	39
Oristano		51				51	52
Sassari		71				71	83
Sicily	**17**					**17**	**17**
Agrigento	4					4	4
Catania	3					3	3
Messina	5					5	5
Palermo	2					2	2
Siracusa	3					3	3
Tuscany	**6**	**4**				**10**	**10**
Florence	2					2	2
Livorno		1				1	1
Lucca	2	1				3	3
Massa		1				1	1
Pisa		1				1	1
Pistoia	1					1	1
Prato	1					1	1
Trentino-Alto Adige	**3**					**3**	**3**
Trento	3					3	3
Umbria	**2**					**2**	**2**
Terni	2					2	2
Veneto	**34**					**34**	**34**
Belluno	2					2	2
Padua	7					7	7
Rovigo	6					6	6
Treviso	2					2	2
Venezia	3					3	3
Verona	11					11	11
Vicenza	3					3	3
Total as at 31.12.2016	779	366	-	28	27	1,200	1,216
Total as at 31.12.2015	780	353	55	28	-	1,216	- 16

List of IAS/IFRS endorsed by the European Commission as at 31 December 2016

Accounting Standards

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IAS 1	Presentation of Financial Statements	Reg. 1274/2008	Reg. 53/2009, 70/2009, 494/2009, 243/2010, 149/2011, 475/2012, 1254/2012, 1255/2012, 301/2013, 2113/2015, 2406/2015, 1905/2016, 2067/2016
IAS 2	Inventories	Reg. 1126/2008	Reg.70/2009, 1255/2012, 1905/2016, 2067/2016
IAS 7	Cash Flow Statement	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 494/2009, 243/2010, 1254/2012, 1174/2013
IAS 8	Accounting Standards, Changes in Accounting Estimates and Errors	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 2067/2016
IAS 10	Events after the Reporting Period	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1142/2009, 1255/2012, 2067/2016
IAS 11	Construction Contracts	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 1905/2016
IAS 12	Income Taxes	Reg. 1126/2008	Reg. 1274/2008, 495/2009, 475/2012, 1254/2012, 1255/2012,1174/2013, 1905/2016, 2067/2016
IAS 16	Property, Plant and Equipment	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 495/2009, 1255/2012, 301/2013, 28/2015, 2113/2015, 2231/2015, 1905/2016
IAS 17	Leases	Reg. 1126/2008	Reg. 243/2010, 1255/2012, 2113/2015
IAS 18	Revenues	Reg. 1126/2008	Reg. 69/2009, 1254/2012, 1255/2012, 1905/2016
IAS 19	Employee Benefits	Reg. 475/2012	Reg. 1255/2012, 29/2015, 2343/2015
IAS 20	Accounting for Government Grants and Disclosure of Government Assistance	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 475/2012, 1255/2012, 2067/2016
IAS 21	Effects of Changes in Foreign Exchange Rates	Reg. 1126/2008	Reg. 1274/2008, 69/2009, 494/2009, 149/2011, 475/2012, 1254/2012, 1255/2012, 2067/2016
IAS 23	Borrowing Costs	Reg. 1260/2008	Reg. 70/2009, 2113/2015, 2067/2016
IAS 24	Related Party Disclosures	Reg. 632/2010	Reg. 475/2012, 1254/2012, 1174/2013, 28/2015
IAS 26	Accounting and Reporting by Retirement Benefit Plans	Reg. 1126/2008	
IAS 27	Separate financial statements	Reg. 1254/2012	Reg. 1174/2013, 2441/2015
IAS 28	Investments in Associates and Joint Ventures	Reg. 1254/2012	Reg. 1255/2012, 2441/2015, 1703/2016, 2067/2016
IAS 29	Financial Reporting in Hyperinflationary Economies	Reg. 1126/2008	Reg. 1274/2008, 70/2009

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IAS 32	Financial Instruments: Presentation	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 494/2009, 495/2009, 1293/2009, 149/2011, 475/2012, 1254/2012, 1255/2012, 1256/2012, 301/2013, 1174/2013, 1905/2016, 2067/2016
IAS 33	Earnings Per Share	Reg. 1126/2008	Reg. 1274/2008, 494/2009, 495/2009, 475/2012, 1254/2012, 1255/2012, 2067/2016
IAS 34	Interim Financial Reporting	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 495/2009, 149/2011, 475/2012, 1255/2012, 301/2013, 1174/2013, 2343/2015, 2406/2015, 1905/2016
IAS 36	Impairment of assets	Reg. 1126/2008	Reg. 1274/2008, 69/2009, 70/2009, 495/2009, 243/2010, 1254/2012, 1255/2012, 1374/2013, 2113/2015, 1905/2016, 2067/2016
IAS 37	Provisions, Contingent Liabilities and Contingent Assets	Reg. 1126/2008	Reg. 1274/2008, 495/2009, 28/2015, 1905/2016, 2067/2016
IAS 38	Intangible assets	Reg. 1126/2008	Reg. 1260/2008, 1274/2008, 70/2009, 495/2009, 243/2010, 1254/2012, 1255/2012, 28/2015, 2231/2015, 1905/2016
IAS 39	Financial Instruments: Recognition and Measurement	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 494/2009, 495/2009, 824/2009, 839/2009, 1171/2009, 243/2010, 149/2011, 1254/2012, 1255/2012, 1174/2013, 1375/2013, 28/2015, 1905/2016, 2067/2016
IAS 40	Investment Property	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 1361/2014, 2113/2015, 1905/2016
IAS 41	Agriculture	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 1255/2012, 2113/2015
IFRS 1	First-time Adoption of International Financial Reporting Standards	Reg. 1136/2009	Reg. 1164/2009, 550/2010, 574/2010, 662/2010, 149/2011, 1205/2011, 475/2012, 1254/2012, 1255/2012, 183/2013, 301/2013, 313/2013, 1174/2013, 2343/2015, 2441/2015, 1905/2016, 2067/2016
IFRS 2	Share-Based Payment	Reg. 1126/2008	Reg. 1261/2008, 495/2009, 243/2010, 244/2010, 1254/2012, 1255/2012, 28/2015, 2067/2016

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IFRS 3	Business Combinations	Reg. 495/2009	Reg. 149/2011, 1254/2012, 1255/2012, 1174/2013, 1361/2014, 28/2015, 1905/2016, 2067/2016
IFRS 4	Insurance Contracts	Reg. 1126/2008	Reg. 1274/2008, 494/2009, 1165/2009, 1255/2012, 1905/2016, 2067/2016
IFRS 5	Non-current Assets Held for Sale and Discontinued Operations	Reg. 1126/2008	Reg. 1274/2008, 70/2009, 494/2009, 1142/2009, 243/2010, 475/2012, 1254/2012, 1255/2012, 2343/2015, 2067/2016
IFRS 6	Exploration for and Evaluation of Mineral Resources	Reg. 1126/2008	
IFRS 7	Financial Instruments: Disclosures	Reg. 1126/2008	Reg. 1274/2008, 53/2009, 70/2009, 495/2009, 824/2009, 1165/2009, 574/2010, 149/2011, 1205/2011, 475/2012, 1254/2012, 1255/2012, 1256/2012, 1174/2013, 2343/2015, 2406/2015, 2067/2016
IFRS 8	Operating segments	Reg. 1126/2008	Reg. 1274/2008, 243/2010, 632/2010, 475/2012, 28/2015
IFRS 9	Financial Instruments	Reg. 2067/2016	
IFRS 10	Consolidated Financial Statements	Reg. 1254/2012	Reg. 313/2013, 1174/2013, 1703/2016
IFRS 11	Joint Agreements	Reg. 1254/2012	Reg. 313/2013, 2173/2015
IFRS 12	Disclosure of Interests in Other Entities	Reg. 1254/2012	Reg. 313/2013, 1174/2013, 1703/2016
IFRS 13	Fair Value Measurement	Reg. 1255/2012	Reg. 1361/2014, 2067/2016
IFRS 15	Revenue from contract with customers	Reg. 1905/2016	

Interpretation documents

IAS/IFRS	Accounting Standards	Endorsement (a)	Amendments
IFRIC 1	Changes in Existing Decommissioning, Restoration and Similar Liabilities	Reg. 1126/2008	Reg. 1260/2008, 1274/2008
IFRIC 2	Members' Shares in Co-operative Entities and Similar Instruments	Reg. 1126/2008	Reg. 53/2009, 1255/2012, 301/2013, 2067/2016
IFRIC 4	Determining Whether an Arrangement Contains a Lease	Reg. 1126/2008	Reg. 254/2009, 1255/2012
IFRIC 5	Rights to Interests Arising from Decommissioning, Restoration and Environmental Funds	Reg. 1126/2008	Reg. 1254/2012, 2067/2016
IFRIC 6	Liabilities Arising from Participating in a Specific Market - Waste Electrical and Electronic Equipment	Reg. 1126/2008	
IFRIC 7	Applying the Restatement Approach under IAS 29, Financial Reporting in Hyperinflationary Economies	Reg. 1126/2008	Reg. 1274/2008
IFRIC 9	Reassessment of Embedded Derivatives	Reg. 1126/2008	Reg. 495/2009, 1171/2009, 243/2010, 1254/2012, 2067/2016
IFRIC 10	Interim Financial Reporting and Impairment	Reg. 1126/2008	Reg. 1274/2008, 2067/2016
IFRIC 12	Service Concession Arrangements	Reg. 254/2009	1905/2016, 2067/2016
IFRIC 13	Customer Loyalty Programmes	Reg. 1262/2008	Reg. 149/2011, 1255/2012, 1905/2016
IFRIC 14	The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction	Reg. 1263/2008	Reg. 1274/2008, 633/2010, 475/2012
IFRIC 15	Agreements for the Construction of Real Estate	Reg. 636/2009	Reg. 1905/2016
IFRIC 16	Hedges of a Net Investment in a Foreign Operation	Reg. 460/2009	Reg. 243/2010, 1254/2012, 2067/2016
IFRIC 17	Distributions of Non-cash Assets to Owners	Reg. 1142/2009	Reg. 1254/2012, 1255/2012
IFRIC 18	Transfers of Assets from Customers	Reg. 1164/2009	Reg. 1905/2016
IFRIC 19	Extinguishing Financial Liabilities with Equity Instruments	Reg. 662/2010	Reg. 1255/2012, 2067/2016
IFRIC 20	Stripping Costs in the Production Phase of a Surface Mine	Reg. 1255/2012	
IFRIC 21	Levies	Reg. 634/2014	
SIC 7	Introduction of the Euro	Reg. 1126/2008	Reg. 1274/2008, 494/2009
SIC 10	Government Assistance – No Specific Relation to Operating Activities	Reg. 1126/2008	Reg. 1274/2008
SIC 15	Operating Leases - Incentives	Reg. 1126/2008	Reg. 1274/2008
SIC 25	Income Taxes – Changes in the Tax Status of an Enterprise or its Shareholders	Reg. 1126/2008	Reg. 1274/2008
SIC 27	Evaluating the Substance of Transactions in the Legal Form of a Lease	Reg. 1126/2008	1905/2016, 2067/2016
SIC 29	Service Concession Arrangements: Disclosures	Reg. 1126/2008	Reg. 1274/2008, 254/2009
SIC 31	Revenue – Barter Transactions Involving Advertising Services	Reg. 1126/2008	Reg. 1905/2016
SIC 32	Intangible Assets - Web Site Costs	Reg. 1126/2008	Reg. 1274/2008, 1905/2016

(a) The Regulation listed is that of the first publication of the Standard or the replacement of the same